BNK610

Islamic banking practices

FINAL TERM NOTES

Made by: Muniba ch

Subscribe to my YouTube channel for more files and highlighted handouts
MC Learning House

MC Learning House

BEST OF LUCK STUDENTS

126: Particpatory Modes – Mudaraba-3

MCQs:

1. **What are the various capacities in which a Mudarib may have to work according to the contract?**

   a. Only as a partner

   b. Trustee, agent, partner, indemnifier/liable, and wage-earner

   c. Solely as an agent to the Rabbul-māl

   d. Only as an indemnifier/liable

Answer: b. Trustee, agent, partner, indemnifier/liable, and wage-earner

2. **In a multilateral Mudarabah, what forms can it take?**

   a. Only one financier contracting with a single person

   b. One financier contracting with more than one worker

   c. A number of financiers contracting with a single person

   d. All of the above

Answer: d. All of the above

3. **What is Sub-Mudarabah, and under what condition is it allowed?**

   a. It is not allowed under any circumstances

   b. Mudarib may give the Mudarabah capital to a third party without the consent of Rab bul Maal

   c. It is allowed with the consent of Rab bul Maal

   d. It is allowed only in case of profit-sharing

Answer: c. It is allowed with the consent of Rab bul Maal

4. **What can make the Mudarabah contract void or voidable?**

   a. Absence of lawful items of trade

MC Learning House

b. Mudarib working as a wage-earner

c. Mudarib giving the Mudarabah capital to a third party

d. Mudarib's actions being in the best interest of the contract

Answer: a. Absence of lawful items of trade

5. **According to classical jurists, what was the scope of use of Mudarabah?**

a. Limited to buying/selling activities

b. Only applicable to financing activities

c. Wide scope for use by Islamic banks

d. Restricted to the act of trade and partnership

Answer: a. Limited to buying/selling activities

6. **How is Mudarib considered with respect to the capital entrusted to him?**

a. Not trustworthy

b. Trustworthy only in financial matters

c. Considered trustworthy with respect to the capital

d. Liable for all losses incurred in business activities

Answer: c. Considered trustworthy with respect to the capital

7. **What role does the Mudarib play in a Mudarabah contract?**

a) Sole investor

b) Business owner

c) Trustee, agent, partner, indemnifier/liable, and wage-earner

d) Capital provider

Answer: c) Trustee, agent, partner, indemnifier/liable, and wage-earner

8. **In a multilateral Mudarabah, what forms can it take?**

MC Learning House

a) Only one financier with multiple workers

b) Only multiple financiers with one worker

c) A number of financiers with a single person or a financier with more than one worker

d) Only a single financier with a single worker

Answer: c) A number of financiers with a single person or a financier with more than one worker

9. **What is Sub-Mudarabah, and when is it allowed?**

a) It is not allowed in Mudarabah contracts.

b) It requires the consent of Rab bul Maal and allows Mudarib to give the Mudarabah capital to a third party on Mudarabah terms.

c) It can be done without the consent of Rab bul Maal.

d) Sub-Mudarabah is an alternative term for multilateral Mudarabah.

Answer: b) It requires the consent of Rab bul Maal and allows Mudarib to give the Mudarabah capital to a third party on Mudarabah terms.

10. **What makes a Mudarabah contract void or voidable?**

a) Involvement of multiple financiers

b) Failure to have a single financier

c) Use of unlawful items of trade

d) Exclusive use for buying and selling

Answer: c) Use of unlawful items of trade

11. **How do contemporary jurists differ from classical jurists regarding the scope of Mudarabah?**

a) They restrict it to buying/selling activities.

b) They allow a wider scope, especially for Islamic banks as an alternative to interest-based financing.

c) They completely reject the use of Mudarabah.

MC Learning House

d) They limit it to a single financier.

Answer: b) They allow a wider scope, especially for Islamic banks as an alternative to interest-based financing.

12. In Mudarabah, what is the Mudarib's liability for losses incurred in normal business activities?

a) No liability

b) Full liability

c) Limited liability

d) Joint liability with Rab bul Maal

Answer: a) No liability

13. **In a Mudarabah contract, the Mudarib may work in various capacities. Which of the following is NOT one of those capacities?**

a. Trustee

b. Agent

c. Liable

d. Manufacturer

Answer: d. Manufacturer

14. **What happens if the Mudarabah contract becomes void?**

a. Mudarib continues the business alone.

b. The contract remains unchanged.

c. Mudarib shares the profit with the Rabbul-m¯al.

d. Mudarib undertakes the business and shares the profit.

Answer: c. Mudarib shares the profit with the Rabbul-m¯al.

15. **Under what condition is Sub-Mudarabah allowed?**

a. Without the knowledge of Rab bul Maal

MC Learning House

b. With the consent of Rab bul Maal

c. If the Mudarib wishes

d. Only in case of financial distress

Answer: b. With the consent of Rab bul Maal

16. **What makes a Mudarabah contract void or voidable?**

a. Breach of trust

b. Misconduct

c. Lawful items of trade

d. Unlawful items of trade

Answer: d. Unlawful items of trade

17. **According to classical jurists, what specific trade activities were generally restricted for Mudarabah?**

a. All business activities

b. Buying and Selling

c. Manufacturing only

d. Services provision

Answer: b. Buying and Selling

18. **What is Mudarabah considered as, and how is the Mudarib's liability defined in the contract?**

a. Contract of interest; full liability for all losses

b. Contract of fidelity; no liability for any losses

c. Contract of trade; partial liability for specific losses

d. Contract of partnership; full liability for breach of trust and negligence

Answer: b. Contract of fidelity; no liability for any losses

MC Learning House

19. **What is the primary alternative use of Mudarabah as suggested by contemporary jurists?**

    a. Manufacturing only

    b. Interest-based financing

    c. Buying and selling

    d. Profit and loss sharing for Islamic banks

    Answer: d. Profit and loss sharing for Islamic banks

20. **What is the consequence if the owner's permission is not obtained for Sub-Mudarabah?**

    a. The contract remains valid.

    b. It becomes voidable.

    c. Mudarib becomes the owner.

    d. Sub-Mudarabah is allowed without permission.

    Answer: b. It becomes voidable.

21. **What is the Mudarib's role concerning the property in his care in a Mudarabah contract?**

    a. Full ownership

    b. No responsibility

    c. Liability for breach of trust only

    d. Liability for breach of trust, misconduct, and negligence

    Answer: d. Liability for breach of trust, misconduct, and negligence

22. **What aspect of Mudarabah is emphasized by contemporary scholars for use by Islamic banks?** a. Strict adherence to classical jurists' views b. Limited scope in financial transactions c. Wider scope as an alternative to interest-based financing d. Exclusively for manufacturing activities

    Answer: c. Wider scope as an alternative to interest-based financing

MC Learning House

Q&A:

1. **Q: What are the various capacities in which the Mudarib is expected to work in a Mudarabah contract?**

   A: The Mudarib is required to function as a trustee, agent, partner, indemnifier/liable, and even a wage-earner if the contract becomes void. Additionally, the Mudarib acts as an agent to the Rabbul-m¯al, undertaking the business and sharing the profit.

2. **Q: Explain the concept of multilateral Mudarabah and provide examples of how it may take various forms.**

   A: Multilateral Mudarabah involves multiple financiers contracting with a single person or a financier contracting with more than one worker. Examples include a group of financiers entering into Mudarabah with a single person or a number of workers associating to work for one or more subscribers.

3. **Q: Under what conditions is Sub-Mudarabah allowed, and what consequence arises if the owner's permission is not obtained?**

   A: Sub-Mudarabah is allowed with the consent of Rab bul Maal, where the Mudarib can give the Mudarabah capital to a third party on Mudarabah terms. The absence of the owner's permission makes the former contract voidable.

4. **Q: How does Mudarabah differ from other contracts, and what is the significance of lawful items of trade in a Mudarabah contract?**

   A: Mudarabah, unlike other contracts, is based on profit and loss sharing. It requires lawful items of trade, and the absence of such legality makes the contract void or voidable.

5. **Q: Describe the historical perspective on the use of Mudarabah by classical jurists and the stance taken by contemporary jurists regarding its scope.**

   A: Classical jurists restricted Mudarabah to the act of trade (buying/selling). However, contemporary jurists and scholars have overwhelmingly allowed a wider scope, especially for Islamic banks, as an alternative to interest-based financing.

6. **Q: What is the nature of Mudarabah as a contract of fidelity, and how is the Mudarib's trustworthiness with respect to capital defined?**

   A: Mudarabah is considered a contract of fidelity (Uqood al-Amanah). The Mudarib is deemed trustworthy with the capital entrusted to him, and he is not liable for the loss incurred in the normal course of business activities.

MC Learning House

7. **Q: Discuss the liability of the Mudarib in a Mudarabah contract, both in terms of losses and the property in his care.**

   A: The Mudarib is liable for losses resulting from the breach of trust, misconduct, and negligence. However, he is not liable for losses incurred in the normal course of business activities. Additionally, the Mudarib is responsible for the property in his care as a result of the breach of trust, misconduct, and negligence.

8. **Q: In what way are contemporary scholars advocating for the use of Mudarabah, particularly in the context of Islamic banks?**

   A: Contemporary scholars support a wider scope for Mudarabah, suggesting its use by Islamic banks as an alternative to interest-based financing.

9. **Q: What happens if the owner's permission is not obtained for Sub-Mudarabah, and what is the implication for the initial Mudarabah contract?**

   A: If the owner's permission is not obtained for Sub-Mudarabah, the former contract becomes voidable. This emphasizes the importance of obtaining consent for any sub-contracting arrangements.

10. **Q: Elaborate on the actions expected from the Mudarib to ensure the best interest of the Mudarabah contract and compliance with commercial practices.**

    A: The Mudarib's actions should be in the best interest of the contract and within the recognized and customary commercial practice. This includes conducting business activities in a manner that aligns with ethical and commercial standards.

11. **Q: What are the various capacities in which the Mudarib has to work in a Mudarabah contract?**

    A: The Mudarib has to work as a trustee, agent, partner, indemnifier, liable party, and even as a wage-earner if the contract becomes void.

12. **Q: Explain the role of the Mudarib as an agent to the Rabbul-māl in a Mudarabah contract.**

    A: The Mudarib, as an agent to the Rabbul-māl, undertakes the business on behalf of the capital provider and shares the resulting profit.

13. **Q: How does a multilateral Mudarabah differ from a traditional Mudarabah contract?**

    A: In a multilateral Mudarabah, a number of financiers may contract with a single person, or a financier may contract with more than one worker. It can also involve a group of workers working for one or more subscribers.

MC Learning House

14. **Q: Under what conditions is Sub-Mudarabah allowed, and what happens if the owner's permission is not obtained?**

    A: Sub-Mudarabah is allowed with the consent of Rab bul Maal, and the absence of the owner's permission makes the former contract voidable.

15. **Q: What is the significance of lawful items of trade in a Mudarabah contract, and what is the consequence if the items are not lawful?**

    A: Mudarabah, like other contracts, requires lawful items of trade. If the items are not lawful, the contract becomes void or voidable.

16. **Q: How did classical jurists restrict the use of Mudarabah, and how do contemporary jurists view its application, especially in Islamic banks?**

    A: Classical jurists restricted Mudarabah to the act of trade (buying/selling). Contemporary jurists and scholars allow a wider scope, endorsing its use by Islamic banks as an alternative to interest-based financing.

17. **Q: What is the nature of Mudarabah as a contract, and how is the Mudarib's trustworthiness defined concerning the capital entrusted to him?**

    A: Mudarabah is considered a contract of fidelity (Uqood al-Amanah), and the Mudarib is deemed trustworthy with respect to the capital entrusted to him. He is not liable for normal business losses.

18. **Q: Elaborate on the Mudarib's liability in a Mudarabah contract, covering normal business activities and breaches of trust, misconduct, and negligence.**

    A: The Mudarib is not liable for losses incurred in the normal course of business activities. However, he is liable for the property in his care due to breaches of trust, misconduct, and negligence.

19. **Q: What guiding principles should the Mudarib adhere to in his actions within a Mudarabah contract?**

    A: The Mudarib's actions should be in the best interest of the contract and align with recognized and customary commercial practices.

20. **Q: What are the various capacities in which the Mudarib has to work in a Mudarabah contract?**

    A: The Mudarib has to work as a trustee, agent, partner, indemnifier, liable party, and even as a wage-earner if the contract becomes void.

MC Learning House

21. **Q: Explain the role of the Mudarib as an agent to the Rabbul-māl in a Mudarabah contract.**

    A: The Mudarib, as an agent to the Rabbul-māl, undertakes the business on behalf of the capital provider and shares the resulting profit.

22. **Q: How does a multilateral Mudarabah differ from a traditional Mudarabah contract?**

    A: In a multilateral Mudarabah, a number of financiers may contract with a single person, or a financier may contract with more than one worker. It can also involve a group of workers working for one or more subscribers.

23. **Q: Under what conditions is Sub-Mudarabah allowed, and what happens if the owner's permission is not obtained?**

    A: Sub-Mudarabah is allowed with the consent of Rab bul Maal, and the absence of the owner's permission makes the former contract voidable.

24. **Q: What is the significance of lawful items of trade in a Mudarabah contract, and what is the consequence if the items are not lawful?**

    A: Mudarabah, like other contracts, requires lawful items of trade. If the items are not lawful, the contract becomes void or voidable.

25. **Q: How did classical jurists restrict the use of Mudarabah, and how do contemporary jurists view its application, especially in Islamic banks?**

    A: Classical jurists restricted Mudarabah to the act of trade (buying/selling). Contemporary jurists and scholars allow a wider scope, endorsing its use by Islamic banks as an alternative to interest-based financing.

26. **Q: What is the nature of Mudarabah as a contract, and how is the Mudarib's trustworthiness defined concerning the capital entrusted to him?**

    A: Mudarabah is considered a contract of fidelity (Uqood al-Amanah), and the Mudarib is deemed trustworthy with respect to the capital entrusted to him. He is not liable for normal business losses.

27. **Q: Elaborate on the Mudarib's liability in a Mudarabah contract, covering normal business activities and breaches of trust, misconduct, and negligence.**

    A: The Mudarib is not liable for losses incurred in the normal course of business activities. However, he is liable for the property in his care due to breaches of trust, misconduct, and negligence.

MC Learning House

28. **Q: What guiding principles should the Mudarib adhere to in his actions within a Mudarabah contract?**

A: The Mudarib's actions should be in the best interest of the contract and align with recognized and customary commercial practices.

127: Particpatory Modes – Mudaraba-4

MCQs:

1. **What are the two types of Mudarabah mentioned in the text?**

   a. Primary and Secondary

   b. Restricted and Unrestricted

   c. Commercial and Non-Commercial

   d. Limited and Unlimited

   Answer: b. Restricted and Unrestricted

2. **In Restricted Mudarabah, what authority does the Rab-ul-Maal have over the Mudarib regarding the business?**

   a. No authority

   b. Partial authority

   c. Complete authority

   d. Limited authority

   Answer: c. Complete authority

3. **What is the key characteristic of Unrestricted Mudaraba in terms of the Mudarib's freedom?**

   a. Limited freedom

   b. No freedom

   c. Complete freedom

   d. Conditional freedom

MC Learning House

Answer: c. Complete freedom

4. **In Unrestricted Mudaraba, what action does the Mudarib need consent for from Rab-ul-Maal?**

   a. Lending money

   b. Business operations

   c. Appointing another partner

   d. Investing money

   Answer: a. Lending money

5. **What is the Mudarib authorized to do in the course of business in Unrestricted Mudaraba?**

   a. Only routine activities

   b. Anything normally done in business

   c. Extraordinary works only

   d. Extraordinary works with consent

   Answer: b. Anything normally done in business

6. **In Unrestricted Mudaraba, under what condition can the Mudarib undertake extraordinary work?**

   a. Always

   b. With express permission from Rab-ul-Maal

   c. Without any restrictions

   d. Only during normal routine

   Answer: b. With express permission from Rab-ul-Maal

7. **Can the Mudarib appoint another partner or mix his own investment in Unrestricted Mudaraba without permission?**

   a. Yes

MC Learning House

b. No

c. Only with legal approval

d. Only if profitable

Answer: b. No

8. **What role can a bank play in Mudarabah according to the text?**

a. Only as a financier

b. Only as a Mudarib

c. Only as an investor

d. Act as an agent to an investor

Answer: d. Act as an agent to an investor

9. **What right does the financier have in imposing conditions on the Mudarib in Mudarabah?**

a. No right

b. Conditional right

c. Absolute right

d. Limited right

Answer: c. Absolute right

10. **What is an example of a condition that the financier may impose on the Mudarib in Mudarabah?**

a. Fixing a time limit

b. Selecting the Mudarib

c. Deciding the profit-sharing ratio

d. Determining the market conditions

Answer: a. Fixing a time limit

Mc Learning House

11. **What are the two types of Mudarabah mentioned in the text?**

    a. Open Mudarabah and Closed Mudarabah

    b. Free Mudarabah and Restricted Mudarabah

    c. Mutlaqah Mudarabah and Muqayyadah Mudarabah

    d. General Mudarabah and Specific Mudarabah

    Answer: c. Mutlaqah Mudarabah and Muqayyadah Mudarabah

12. **In Restricted Mudarabah, what authority does the Rab-ul-Maal have regarding the business carried out by the Mudarib?**

    a. Full freedom

    b. Limited authority

    c. No authority

    d. Only during specific hours

    Answer: b. Limited authority

13. **What does Unrestricted Mudaraba allow the Mudarib to do without seeking consent from Rab-ul-Maal?**

    a. Lend money to anyone

    b. Appoint another partner

    c. Undertake extraordinary works

    d. Mix his own investment

    Answer: c. Undertake extraordinary works

14. **What is the restriction on Mudarib in Unrestricted Mudaraba regarding extraordinary works?**

    a. No restriction

    b. Requires express permission

    c. Only during specific hours

MC Learning House

d. Limited to routine business activities

Answer: b. Requires express permission

15. **How does a bank act in the Mudarabah contract according to the text?**

a. As a Mudarib

b. As an investor

c. As an agent to the investor

d. As a Rab-ul-Maal

Answer: c. As an agent to the investor

16. **What conditions can the financier impose on the Mudarib, as mentioned in the text?**

a. Any conditions, regardless of their impact

b. Conditions prejudicial to the business

c. Conditions against the purpose of Mudarabah

d. Conditions beneficial to the business

Answer: d. Conditions beneficial to the business

17. **Which of the following is an example of a condition that the financier may impose on the Mudarib?**

a. Allowing unrestricted travel

b. Fixing a time limit for the contract

c. Avoiding specifying goods for trade

d. Ignoring the place of trade

Answer: b. Fixing a time limit for the contract

18. **What authority does the financier have concerning the goods to be traded in Mudarabah?**

a. No authority

MC Learning House

b. Full authority

c. Limited authority

d. Authority only during specific hours

Answer: c. Limited authority

19. **What action can the financier compel the worker to take if the bargain is profitable, according to the text?**

a. Stop dealing with a particular person

b. Travel to a particular place

c. Continue the Mudarabah contract

d. Sell the goods

Answer: d. Sell the goods

Q&A:

1. **Q: What are the two main types of Mudarabah discussed in the text?**

   A: The two types are Restricted Mudarabah (al Mudarabah al Muqayyadah) and Unrestricted Mudaraba (al Mudarabah al Mutlaqah).

2. **Q: In Restricted Mudarabah, what authority does the Rab-ul-Maal have over the Mudarib?**

   A: In Restricted Mudarabah, the Rab-ul-Maal has full authority to specify a particular business or place for the Mudarib to carry out the business.

3. **Q: What is the key characteristic of Unrestricted Mudaraba concerning the Mudarib's freedom?**

   A: Unrestricted Mudaraba grants the Mudarib complete freedom to undertake whatever business he deems fit.

4. **Q: Can the Mudarib, in Unrestricted Mudaraba, lend money to anyone without the consent of Rab-ul-Maal?**

   A: No, the Mudarib cannot lend money to anyone without the consent of Rab-ul-Maal in Unrestricted Mudaraba.

MC Learning House

5. **Q: What is the Mudarib authorized to do in the normal course of business in Unrestricted Mudaraba?**

   A: The Mudarib is authorized to do anything that is normally done in the course of business, except extraordinary work without express permission.

6. **Q: How is the relationship between the financier and Mudarib established in Mudarabah without direct contract formation?**

   A: It is not legally necessary for the financier to directly make a contract with the Mudarib. A bank, for example, may act as an agent to the investor, functioning as a middleman on the basis of investment agency (Wakalatul Istism¯ar).

7. **Q: What rights does the financier have to impose conditions on the Mudarib, and what is the condition related to time?**

   A: The financier has the right to impose conditions, provided they are not prejudicial to the interests of the business. An example of a condition is fixing a time limit for the operation of the contract.

8. **Q: Can the Mudarib undertake extraordinary work without the express permission of Rab-ul-Maal?**

   A: No, the Mudarib cannot undertake extraordinary work beyond the normal routine of traders without the express permission of Rab-ul-Maal.

9. **Q: What are some conditions that the financier may impose on the Mudarib in Mudarabah?**

   A: Conditions may include fixing a time limit for the operation of the contract, specifying goods to be traded, restricting dealings with certain persons or companies, controlling travel, and compelling the sale of goods in profitable bargains.

10. **Q: What happens if the Mudarib breaches the specified conditions in Mudarabah?**

    A: Breach of specified conditions in Mudarabah can lead to consequences such as termination of the contract or other legal actions by the financier.

11. **Q: What are the two types of Mudarabah discussed, and how do they differ?**

    A: The two types of Mudarabah are Restricted Mudarabah (al Mudarabah al Muqayyadah) and Unrestricted Mudaraba (al Mudarabah al Mutlaqah). Restricted Mudarabah gives the Rab-ul-Maal full authority to specify the business or place for the Mudarib. In Unrestricted Mudaraba, the Mudarib has complete freedom in business decisions.

MCLearning House

12. **Q: What limitations does the Mudarib have in Unrestricted Mudaraba without the consent of Rab-ul-Maal?**

    A: In Unrestricted Mudaraba, the Mudarib cannot lend money to anyone without the consent of Rab-ul-Maal. Additionally, any extraordinary work beyond normal business routine requires express permission.

13. **Q: Can a bank act as an agent to an investor in Mudarabah, and under what concept does this occur?**

    A: Yes, a bank can act as an agent to an investor in Mudarabah based on the concept of investment agency (Wakalatul Istism¯ar).

14. **Q: What rights does the financier have in imposing conditions on the Mudarib in a Mudarabah contract?**

    A: The financier has complete authority to impose conditions on the Mudarib, provided they are not prejudicial to the interests of the business and are not against the purpose of the Mudarabah.

15. **Q: Give an example of a condition that the financier may impose on the Mudarib in Mudarabah.**

    A: One example is that the financier may fix a time limit for the operation of the contract as a condition in Mudarabah.

16. **Q: Under what circumstances can the Mudarib undertake extraordinary work in Unrestricted Mudaraba?**

    A: The Mudarib can undertake extraordinary work in Unrestricted Mudaraba with the express permission of Rab-ul-Maal.

17. **Q: How does the Rab-ul-Maal exercise authority in Restricted Mudarabah over the Mudarib's business decisions?**

    A: In Restricted Mudarabah, the Rab-ul-Maal has the authority to specify a particular business or place for the Mudarib to carry out the business, and the Mudarib must invest the money accordingly.

18. **Q: Can the Mudarib appoint another partner or mix his own investment in a particular Mudarabah without permission?**

    A: No, the Mudarib is not authorized to appoint another partner or mix his own investment in a particular Mudarabah without express permission from Rab-ul-Maal.

MC Learning House

128: Particpatory Modes – Mudaraba-5

MCQs:

1. **How is the proportion or ratio of profit-sharing in Mudarabah decided?**

   a. After the business operations conclude

   b. At the time of the Mudarabah contract conclusion

   c. During constructive liquidation

   d. Quarterly

   Answer: b. At the time of the Mudarabah contract conclusion

2. **What is the prohibition concerning profit in Mudarabah?**

   a. A lump sum amount as profit can be agreed upon.

   b. Profit-sharing ratios cannot be decided.

   c. Profit-sharing must be decided at the end of the contract.

   d. Profit cannot be recognized or agreed upon as a lump sum amount.

   Answer: d. Profit cannot be recognized or agreed upon as a lump sum amount.

3. **Can different profit-sharing ratios be agreed upon for different situations in Mudarabah?**

   a. No, it is not allowed.

   b. Yes, but only for specific goods.

   c. Yes, for different business operations or situations.

   d. Yes, but only for specific towns.

   Answer: c. Yes, for different business operations or situations.

4. **Who bears the loss in Mudarabah, and under what condition can profit be recognized or claimed?**

   a. Mudarib; if capital is intact.

MC Learning House

b. Financier; if capital is intact.

c. Both parties; if reserves are created.

d. Financier; unless capital is maintained intact.

Answer: b. Financier; if capital is intact.

5. **When does the distribution of profit in Mudarabah depend on the final result of operations?**

a. Quarterly

b. At the time of profit allocation

c. During constructive liquidation

d. When reserves are created

Answer: c. During constructive liquidation

6. **How can a Mudarabah compensate for losses incurred, and what can be created for this purpose?**

a. By claiming a management bonus; Future operation profits

b. By creating reserves; Mutual consent

c. By claiming expenses; Past operation profits

d. By liquidating the Mudarabah; Partners' donation

Answer: b. By creating reserves; Mutual consent

7. **What options do partners have at the time of profit allocation in Mudarabah?**

a. Withdraw profit as an advance

b. Donate a part of their profit to each other

c. Both a and b

d. None of the above

Answer: c. Both a and b

MC Learning House

8. **Is the Mudarib allowed to claim a periodical salary or remuneration beyond the agreed share in the Mudarabah?**

   a. Yes, always

   b. Yes, if approved by the jurists

   c. No, never

   d. Only during financial distress

   Answer: c. No, never

9. **What right do jurists restrict concerning expenses for the Mudarib in Mudarabah?**

   a. The right to claim expenses incurred during business journeys

   b. The right to claim any expenses

   c. The right to claim expenses beyond the agreed share

   d. The right to claim expenses only during financial distress

   Answer: a. The right to claim expenses incurred during business journeys

10. **What is the key aspect of profit-sharing in Mudarabah?**

    a. Fixed lump sum amount

    b. Mutual consent on profit ratio

    c. Equal sharing for both parties

    d. Financier's sole discretion

    Answer: b. Mutual consent on profit ratio

11. **According to the text, can a lump sum amount as a profit on investment be allowed or agreed upon?**

    a. Yes, always

    b. No, never

    c. Only in specific situations

MC Learning House

d. Only with jurists' approval

Answer: b. No, never

12. **In Mudarabah, different profit-sharing ratios can be agreed upon for different situations. What is an example provided in the text?**

    a. Fixed 50% profit-sharing in all cases

    b. 40% profit-sharing for cloth, 50% for wheat

    c. Equal profit-sharing regardless of the business

    d. Financier's sole discretion in determining ratios

    Answer: b. 40% profit-sharing for cloth, 50% for wheat

13. **Who bears the loss in a Mudarabah contract, and what does loss mean in this context?**

    a. Mudarib; decline in profits

    b. Financier; erosion of capital

    c. Shared equally; any decline in business

    d. Mudarib; any financial setback

    Answer: b. Financier; erosion of capital

14. **When can the distribution of profit in Mudarabah take place, and what does it depend on?**

    a. At any time; fixed ratios

    b. Upon mutual consent; business success

    c. At the time of contract conclusion; Mudarabah capital

    d. Finalization of accounts; final result of operations

    Answer: d. Finalization of accounts; final result of operations

15. **What can be done to compensate for a Mudarabah loss, and when can it be compensated?**

MC Learning House

a. Immediate compensation; reserves created in the past

b. Compensated by the Mudarib; future profits

c. Mutual consent; reserves or future operations

d. Loss cannot be compensated

Answer: c. Mutual consent; reserves or future operations

16. **Can partners in Mudarabah allocate profit donations or management bonuses?**

a. No, it is not allowed.

b. Yes, but only with jurists' approval.

c. Yes, with mutual consent.

d. Yes, only if the Mudarib agrees.

Answer: c. Yes, with mutual consent.

17. **At the time of profit allocation, can one partner donate a part of his profit to the other partner(s)?**

a. No, it is not allowed.

b. Yes, but only with the financier's approval.

c. Yes, with mutual consent.

d. Yes, but only if there is a loss.

Answer: c. Yes, with mutual consent.

18. **Can the Mudarib claim a periodical salary or remuneration beyond the agreed share in Mudarabah?**

a. Yes, always

b. No, never

c. Only with jurists' approval

d. Only if there is a profit

MC Learning House

Answer: b. No, never

19. **What has been restricted concerning the Mudarib's right to claim expenses during business journeys?**

    a. Claiming expenses is allowed.

    b. Only claiming extraordinary expenses is allowed.

    c. Expenses can be claimed with the financier's approval.

    d. The right to claim expenses has been restricted.

    Answer: d. The right to claim expenses has been restricted.

Q&A:

1. **Q: How is profit-sharing determined in Mudarabah, and when should this ratio be decided?**

   A: Profit-sharing in Mudarabah is determined with mutual consent, and the ratio should be decided at the time the contract is concluded.

2. **Q: Is it permissible to agree on a lump sum amount as profit on investment in Mudarabah?**

   A: No, a lump sum amount as profit on investment cannot be allowed or agreed upon in Mudarabah.

3. **Q: Can different profit-sharing ratios be agreed upon for different situations in Mudarabah? Provide an example mentioned in the text.**

   A: Yes, different profit-sharing ratios can be agreed upon. For instance, the financier may specify 50% profit-sharing for dealing in wheat and 40% for dealing in cloth.

4. **Q: Who bears the loss in Mudarabah, and what does loss entail in this context?**

   A: The financier bears the loss in Mudarabah, and loss refers to the erosion of capital. No profit can be recognized or claimed unless the Mudarabah capital is maintained intact.

5. **Q: When does the distribution of profit in Mudarabah take place, and what does it depend on?**

Mr Learning House

A: The distribution of profit in Mudarabah takes place at the time of physical or constructive liquidation, and it depends on the final result of the operations.

6. **Q: How can a Mudarabah loss be compensated, and what are the potential sources of compensation mentioned in the text?**

   A: A Mudarabah loss can be compensated with mutual consent. It can be compensated by the profit of future operations or reserves created in the past.

7. **Q: Can partners in Mudarabah allocate profit donations or management bonuses, and is this subject to any conditions?**

   A: Yes, partners can allocate profit donations or management bonuses with mutual consent. It is a permissible action in Mudarabah.

8. **Q: At the time of profit allocation, can one partner donate a part of his profit to the other partner(s)?**

   A: Yes, at the time of profit allocation, one partner can donate a part of his profit to the other partner(s) with mutual consent.

9. **Q: Can the Mudarib claim a periodical salary or remuneration for work done in Mudarabah beyond the agreed share?**

   A: No, the Mudarib cannot claim any periodical salary, fee, or remuneration beyond the share agreed upon in the Mudarabah contract.

10. **Q: What has been restricted concerning the Mudarib's right to claim expenses during business journeys?**

    A: Jurists have restricted the right of the Mudarib to claim expenses incurred during business journeys in Mudarabah.

11. **Q: What is the fundamental principle regarding profit-sharing in Mudarabah, and how is the ratio determined?**

    A: In Mudarabah, both parties are at liberty to agree on the proportion or ratio of profit-sharing between them with mutual consent. This ratio must be decided at the time the contract is concluded.

12. **Q: According to the information provided, why is a lump sum amount as a profit on investment not allowed in Mudarabah?**

    A: A lump sum amount as a profit on investment cannot be allowed or agreed upon in Mudarabah to ensure fair and agreed-upon profit-sharing between the parties.

Mc Learning House

13. **Q: Can different profit-sharing ratios be agreed upon for different situations in Mudarabah, and what example is given in the text?**

    A: Yes, different profit-sharing ratios can be agreed upon for different situations. For instance, the financier may specify different ratios for dealing in wheat or cloth, or for doing business in different towns.

14. **Q: In the context of Mudarabah, who bears the loss, and what does loss signify?**

    A: The loss in Mudarabah is borne by the financier, and loss signifies the erosion of capital. No profit can be recognized or claimed unless the capital of Mudarabah is maintained intact.

15. **Q: When does the distribution of profit in Mudarabah take place, and what does it depend on?**

    A: The distribution of profit in Mudarabah takes place at the time of physical or constructive liquidation of the Mudarabah. It depends on the final result of the operations.

16. **Q: How can a Mudarabah loss be compensated, and what role do reserves play in this process?**

    A: A Mudarabah loss can be compensated with mutual consent. Reserves created in the past or future profits from joint business operations can be used for compensation.

17. **Q: At the time of profit allocation, can one partner donate a part of his profit to the other partner(s)?**

    A: Yes, at the time of profit allocation in Mudarabah, one partner can donate a part of his profit to the other partner(s), subject to mutual consent.

18. **Q: Is the Mudarib entitled to claim any periodical salary, fee, or remuneration beyond the agreed share in Mudarabah?**

    A: No, the Mudarib cannot claim any periodical salary or fee for the work done for the Mudarabah business beyond the share agreed upon in the contract.

19. **Q: What has been restricted regarding the Mudarib's right to claim expenses during business journeys?**

    A: Jurists have restricted the Mudarib's right to claim expenses incurred during business journeys in Mudarabah.

MC Learning House

129: Particpatory Modes – Mudaraba-6

MCQs:

1. **Under what circumstances can Mudarabah be unilaterally terminated by each party?**

   a. Only when the Mudarib has already commenced the business

   b. Only when the parties agree on a certain duration of the contract

   c. Both (a) and (b)

   d. Mudarabah is always binding; it cannot be unilaterally terminated

   Answer: c. Both (a) and (b)

2. **When does the Mudarabah contract become binding according to the general principle?**

   a. When the Mudarib commences the business

   b. When the Mudarib sells illiquid assets

   c. At the time of contract conclusion

   d. During the period of constructive liquidation

   Answer: a. When the Mudarib commences the business

3. **In which situation can Mudarabah not be terminated before the expiry of a certain period?**

   a. When the Mudarib has already commenced the business

   b. When the parties agree on a certain duration of the contract

   c. Both (a) and (b)

   d. Mudarabah can be terminated at any time

   Answer: b. When the parties agree on a certain duration of the contract

4. **What is the reason for giving the Mudarib time to sell illiquid assets during termination?**

   a. To determine the actual amount of profit

MC Learning House

b. To prevent the Mudarib from terminating the contract

c. To ensure the continuity of the business

d. To avoid losses for the Rab-ul-Maal

Answer: a. To determine the actual amount of profit

5. **In the context of modern businesses, what does the text suggest regarding the termination of Mudarabah during a specified period?**

a. It is allowed without mutual agreement

b. It violates principles of Sharı´ah

c. It is not mentioned in the text

d. It is only permissible for illiquid assets

Answer: b. It violates principles of Sharı´ah

6. **What does the famous Hadith mentioned in the text say about the conditions agreed upon by Muslims?**

a. They are upheld except for those violating Sharı´ah principles

b. All conditions are binding, regardless of Sharı´ah principles

c. Conditions are only upheld in business contracts

d. The Hadith does not mention conditions

Answer: a. They are upheld except for those violating Sharı´ah principles

7. **When will a restricted Mudarabah automatically wind up?**

a. After a certain duration

b. After achieving the objective

c. Only with mutual agreement

d. When the Mudarib commences the business

Answer: b. After achieving the objective

MC Learning House

8. **What is the general principle regarding the termination of Mudarabah contracts?**

   a. Binding for a specific period

   b. Unilateral termination by either party

   c. Mutual agreement required for termination

   d. Termination allowed only with jurists' approval

   Answer: b. Unilateral termination by either party

9. **Under what circumstances does the Mudarabah contract become binding up to the date of actual or constructive liquidation?**

   a. If the parties agree on a certain duration

   b. If the Mudarib has already commenced the business

   c. If there is a specific termination clause

   d. If the contract involves illiquid assets

   Answer: b. If the Mudarib has already commenced the business

10. **When can a Mudarabah contract not be terminated before the expiry of a certain period?**

    a. If the Mudarib wants to terminate

    b. If the Rab-ul-Maal wants to terminate

    c. If both parties mutually agree on a duration

    d. If there are illiquid assets in the business

    Answer: c. If both parties mutually agree on a duration

11. **What provision is given for the termination of Mudarabah, and what is the Mudarib given time for during termination?**

    a. Immediate termination; liquidation of assets

    b. Termination with profit calculation; selling illiquid assets

    c. Termination with penalties; finalizing accounts

MC Learning House

d. Termination only with jurists' approval; assessing losses

Answer: b. Termination with profit calculation; selling illiquid assets

12. **In modern businesses, what consideration is given for the continuous and complex efforts required, and how can termination be handled during a specified period?**

    a. Termination is not allowed during a specified period

    b. Termination is allowed at any time

    c. Termination requires jurists' approval

    d. Termination is allowed only by the Mudarib

    Answer: a. Termination is not allowed during a specified period

13. **What does the famous Hadith mentioned in the context of Mudarabah termination say about conditions agreed upon by Muslims?**

    a. All conditions are upheld, including those violating Shariah

    b. No conditions are upheld

    c. Conditions allowing what is prohibited are upheld

    d. Conditions prohibiting what is lawful are upheld

    Answer: a. All conditions are upheld, except those violating Shariah

14. **When does a restricted Mudarabah automatically wind up?**

    a. After the expiry of a specified duration

    b. After the achievement of the objective

    c. After mutual agreement for termination

    d. After the Mudarib's decision to terminate

    Answer: b. After the achievement of the objective

15. **Under what circumstances can Mudarabah be unilaterally terminated by either party?**

    a. Anytime with mutual consent

MC Learning House

b. When the Mudarib has commenced the business

c. Only after the specified duration of the contract

d. Only if both parties incur a loss

Answer: b. When the Mudarib has commenced the business

16. **In which situation can Mudarabah not be terminated before the expiry of a specified period?**

a. Mutual agreement

b. When the Mudarib has already commenced the business

c. Unilateral decision by the financier

d. Loss incurred by the Mudarib

Answer: a. Mutual agreement

17. **What is the consequence of terminating Mudarabah before the specified period, according to the text?**

a. Immediate termination without consequences

b. Liquidation of assets to determine the actual profit

c. Continued profit-sharing until the assets are sold

d. No consequences, as Mudarabah is not binding

Answer: b. Liquidation of assets to determine the actual profit

18. **In the context of modern businesses, what can justify the agreement not to terminate Mudarabah during a specified period?**

a. Continuous and complex efforts required in modern businesses

b. Sharı´ah principles that prohibit termination

c. Mutual agreement to maximize profit

d. Unilateral decision by the Mudarib

Answer: a. Continuous and complex efforts required in modern businesses

MC Learning House

19. **What does the famous Hadith mentioned in the text suggest regarding conditions agreed upon by Muslims?**

    a. All conditions are upheld without exception.

    b. Conditions are upheld unless they violate Sharı´ah principles.

    c. Conditions can be modified at any time.

    d. Conditions are subject to the unilateral decision of the financier.

    Answer: b. Conditions are upheld unless they violate Sharı´ah principles.

20. **When does a restricted Mudarabah automatically wind up according to the text?**

    a. After the specified period expires

    b. When either party decides to terminate

    c. After the object is achieved

    d. Upon mutual agreement

    Answer: c. After the object is achieved

Q&A:

1. **Q: Under what conditions can Mudarabah be unilaterally terminated by either party, and what exceptions exist to this general principle?**

   A: The general principle is that Mudarabah is not a binding contract, and each party can unilaterally terminate it, except in two cases: when the Mudarib has already commenced the business, making the contract binding up to the date of actual or constructive liquidation; and when the parties agree on a specified duration, preventing termination before the agreed period except with mutual agreement.

2. **Q: What is the process for terminating Mudarabah, and why is the Mudarib given time after termination?**

   A: If the Mudarabah has commenced, termination involves giving the Mudarib time to sell illiquid assets to determine the actual amount of profit. This is crucial for the proper calculation and settlement of the financial aspects of the contract.

MC Learning House

3. **Q: In what context does the text discuss the agreement not to terminate Mudarabah during a specified period, and what justification is provided for this agreement in modern businesses?**

   A: The context is modern businesses that demand continuous and complex efforts. The agreement not to terminate during a specified period is considered justifiable in light of the complexities of modern business operations.

4. **Q: What does the famous Hadith mentioned in the text suggest regarding conditions agreed upon by Muslims, and how does it relate to Mudarabah?**

   A: The Hadith suggests that all conditions agreed upon by Muslims are upheld, except those that allow what is prohibited or prohibit what is lawful in Shari´ah. In the context of Mudarabah, this emphasizes the importance of adhering to Shari´ah principles in the contractual agreements.

5. **Q: When does a restricted Mudarabah automatically wind up according to the text, and what is the determining factor for its conclusion?**

   A: A restricted Mudarabah automatically winds up after the object is achieved. The conclusion is based on the fulfillment of the specific goal or purpose outlined in the Mudarabah contract.

6. **Q: What is the general principle regarding the termination of Mudarabah contracts, and under what circumstances can either party unilaterally terminate it?**

   A: The general principle is that Mudarabah is not a binding contract, and each party can unilaterally terminate it, except when the Mudarib has already commenced the business or when the parties agree on a certain duration of the contract.

7. **Q: What is the consequence of Mudarabah termination when the Mudarib has already commenced the business, and how is the termination period determined?**

   A: In this case, the contract becomes binding up to the date of actual or constructive liquidation. The Mudarib is given time to sell illiquid assets to determine the actual amount of profit.

8. **Q: Under what conditions can Mudarabah not be terminated before the expiry of a specified period, and what must be in place for such termination?**

   A: Mudarabah cannot be terminated before the expiry of a specified period except with mutual agreement. For termination, the Mudarib will be given time to sell illiquid assets to determine the actual profit.

Mc Learning House

9. **Q: In the context of modern businesses, what is mentioned regarding the continuous and complex efforts that may justify the agreement not to terminate Mudarabah during a specified period?**

   A: The text suggests that modern businesses demand continuous and complex efforts, and if the parties agree not to terminate it during a specified period, it does not violate Sharı´ah principles.

10. **Q: What does the famous Hadith mentioned in the text imply about conditions agreed upon by Muslims?**

    A: The Hadith suggests that all conditions agreed upon by Muslims are upheld, except a condition that allows what is prohibited or prohibits what is lawful in Sharı´ah.

11. **Q: When does a restricted Mudarabah automatically wind up according to the text?**

    A: A restricted Mudarabah will automatically wind up after the object is achieved.

12. **Q: What is the general principle regarding the termination of Mudarabah, and under what conditions can either party unilaterally terminate it?**

    A: The general principle is that Mudarabah is not a binding contract, and each party can unilaterally terminate it except when the Mudarib has already commenced the business or when the parties agree on a certain duration of the contract.

13. **Q: If the Mudarabah has already commenced, what becomes binding, and what is the exception to termination in such cases?**

    A: The contract becomes binding up to the date of actual or constructive liquidation. The exception is that the contract cannot be terminated before the expiry of a specified period, except with mutual agreement.

14. **Q: What is the process for terminating Mudarabah, and why is the Mudarib given time before termination?**

    A: The Mudarib is given time to sell illiquid assets so that the actual amount of profit may be determined. Termination involves the liquidation of assets to ascertain the actual profit.

15. **Q: In the context of modern businesses, what factor justifies the agreement not to terminate Mudarabah during a specified period?**

    A: Modern businesses demand continuous and complex efforts. Therefore, if the parties agree that no party shall terminate it during a specified period, it does not seem to violate any principle of Sharı´ah.

MC Learning House

16. **Q: What does the famous Hadith mentioned in the text suggest regarding conditions agreed upon by Muslims in contracts like Mudarabah?**

    A: The Hadith suggests that all conditions agreed upon by Muslims are upheld, except a condition that allows what is prohibited or prohibits what is lawful in Sharı´ah.

17. **Q: In the case of a restricted Mudarabah, when does it automatically wind up, and what is the determining factor for its conclusion?**

    A: A restricted Mudarabah will automatically wind up after the object is achieved. The achievement of the specified object is the determining factor for its conclusion.

130: Particpatory Modes - Musharakah vs Mudaraba

MCQs:

1. **In Musharakah, where does the investment come from, and how does it differ from Mudarabah?**

    a. Investment comes from the Mudarib in Musharakah.

    b. Investment comes from all partners in Musharakah, while in Mudarabah, it comes from a person or group, excluding the Mudarib.

    c. Investment comes from Rabbul-mal in Musharakah.

    d. Investment is not a crucial element in Musharakah.

    Answer: b. Investment comes from all partners in Musharakah, while in Mudarabah, it comes from a person or group, excluding the Mudarib.

2. **In Musharakah, what is the right of all partners regarding business management, and how does it differ from Mudarabah?**

    a. Rabbul-m¯al has the right to participate in management in Musharakah.

    b. All partners in Musharakah have the right to participate in management, unlike Mudarabah where the Rabbul-m¯al has no such right.

    c. Only Mudarib has the right to manage in Musharakah.

    d. No one has the right to participate in management in Musharakah.

    Answer: b. All partners in Musharakah have the right to participate in management, unlike Mudarabah where the Rabbul-m¯al has no such right.

MC Learning House

3. **How is the sharing of loss different between Musharakah and Mudarabah?**

   a. In Musharakah, only Rabbul-m¯al suffers the loss.

   b. In Musharakah, all partners share the loss, while in Mudarabah, only the Mudarib suffers the loss.

   c. Both Musharakah and Mudarabah share loss in the same way.

   d. Loss is not applicable in either Musharakah or Mudarabah.

   Answer: b. In Musharakah, all partners share the loss, while in Mudarabah, only the Mudarib suffers the loss.

4. **What is the liability of partners in Musharakah, and how does it differ from Mudarabah?**

   a. Liability is unlimited for all partners in both Musharakah and Mudarabah.

   b. Liability is limited for Rabbul-m¯al in Musharakah, unlike Mudarabah where the liability is unlimited.

   c. Liability is unlimited for Rabbul-m¯al in both Musharakah and Mudarabah.

   d. Liability is limited for Mudarib in Musharakah, unlike Mudarabah where the liability is unlimited.

   Answer: c. Liability is unlimited for Rabbul-m¯al in both Musharakah and Mudarabah.

5. **How is investment sourced in Musharakah and Mudarabah, according to the text?**

   a. Investment comes from the Mudarib in both cases.

   b. In Musharakah, all partners contribute; in Mudarabah, it comes from a person or a group of persons.

   c. Mudarib is solely responsible for the investment.

   d. Both Musharakah and Mudarabah involve contributions from all partners.

   Answer: b. In Musharakah, all partners contribute; in Mudarabah, it comes from a person or a group of persons.

6. **What is the key distinction in terms of the right to participate in management between Musharakah and Mudarabah?**

MC Learning House

a. In Musharakah, only the Rabbul-mal can participate.

b. In Mudarabah, all partners participate equally.

c. In Musharakah, all partners have the right; in Mudarabah, only the Mudarib participates.

d. Neither Musharakah nor Mudarabah allows any partner to participate in management.

Answer: c. In Musharakah, all partners have the right; in Mudarabah, only the Mudarib participates.

7. **How is the sharing of loss handled in Musharakah and Mudarabah, respectively?**

a. In both, loss is shared equally among all partners.

b. In Musharakah, Rabbul-m¯al bears the loss; in Mudarabah, Mudarib bears it.

c. In Musharakah, partners have limited liability; in Mudarabah, Rabbul-m¯al's liability is unlimited.

d. Loss is always suffered by the Mudarib, regardless of the contract type.

Answer: b. In Musharakah, Rabbul-m¯al bears the loss; in Mudarabah, Mudarib bears it.

8. **Under what circumstances is the liability of Rabbul-m¯al limited in Mudarabah?**

a. Liability is always unlimited in Mudarabah.

b. Rabbul-m¯al's liability is limited unless the Mudarib incurs debts on his behalf.

c. Limited liability only in case of negligence by Mudarib.

d. Rabbul-m¯al's liability is limited only in Musharakah.

Answer: b. Rabbul-m¯al's liability is limited unless the Mudarib incurs debts on his behalf.

9. **What is the key distinction between Musharakah and Mudarabah in terms of investment sources?**

a. Both involve investment from all partners.

b. In Musharakah, investment comes from the Mudarib.

MC Learning House

c. In Mudarabah, investment comes from the Rabbul-māl.

d. In Musharakah, investment comes from all partners, while in Mudarabah, it comes from a person or group, excluding the Mudarib.

Answer: d. In Musharakah, investment comes from all partners, while in Mudarabah, it comes from a person or group, excluding the Mudarib.

10. **What distinguishes the right to participate in the management of the business between Musharakah and Mudarabah partners?**

a. In both, all partners can participate.

b. In Musharakah, only Rabbul-māl can participate.

c. In Musharakah, all partners can participate; in Mudarabah, only the Mudarib can participate.

d. In Musharakah, only the Mudarib can participate.

Answer: c. In Musharakah, all partners can participate; in Mudarabah, only the Mudarib can participate.

11. **How is the sharing of losses handled differently in Musharakah and Mudarabah?**

a. Both partners share losses equally in both Musharakah and Mudarabah.

b. In Musharakah, only the Mudarib suffers losses.

c. In Musharakah, losses are suffered by the Rabbul-māl only; in Mudarabah, the Mudarib is liable for losses caused by negligence or misconduct.

d. Only the Mudarib is liable for losses in both Musharakah and Mudarabah.

Answer: c. In Musharakah, losses are suffered by the Rabbul-māl only; in Mudarabah, the Mudarib is liable for losses caused by negligence or misconduct.

12. **What is the typical liability status of partners in Musharakah, and how does it differ in Mudarabah?**

a. Unlimited liability for all partners in both Musharakah and Mudarabah.

b. Unlimited liability in Musharakah; limited liability in Mudarabah.

c. Limited liability in Musharakah; unlimited liability in Mudarabah.

MC Learning House

d. Limited liability for all partners in both Musharakah and Mudarabah.

Answer: b. Unlimited liability in Musharakah; limited liability in Mudarabah.

Q&A:

1. **Q: How does the source of investment differ between Musharakah and Mudarabah, as outlined in the text?**

   A: In Musharakah, investment comes from all partners, while in Mudarabah, it comes from a person or a group of persons, but not from the Mudarib.

2. **Q: What distinguishes the right to participate in the management of the business between Musharakah and Mudarabah?**

   A: In Musharakah, all partners have the right to participate in the management of the business and can work for it, while in Mudarabah, the Rabbul-m¯al has no right to participate in management.

3. **Q: How is the sharing of loss handled in Musharakah and Mudarabah, respectively, according to the information provided?**

   A: In Musharakah, all partners share the loss according to the ratio of their investment, while in Mudarabah, the loss, if any, is suffered by the Rabbul-maal only. However, Mudarib shall be liable for the loss caused by his negligence or misconduct.

4. **Q: Under what conditions is the liability of Rabbul-m¯al limited in Mudarabah?**

   A: The liability of Rabbul-m¯al in Mudarabah is limited to his investment unless he has permitted the Mudarib to incur debts on his behalf.

5. **Q: Provide a brief overview of the key differences highlighted between Musharakah and Mudarabah in the context of participatory modes.**

   A: Musharakah involves investment from all partners, allows all partners to participate in management, shares loss among partners, and generally has unlimited liability. In contrast, Mudarabah's investment comes from specific individuals, only the Mudarib participates in management, loss is borne by the Rabbul-maal, and Rabbul-maal's liability is limited unless debts are incurred on his behalf.

6. **Q: In terms of liability, how does Musharakah differ from Mudarabah, and what exceptions apply in Mudarabah?**

MC Learning House

A: Liability in Musharakah is normally unlimited for all partners. In Mudarabah, the liability of Rabbul-m¯al is limited to his investment unless he has permitted the Mudarib to incur debts on his behalf.

7. **Q: What is the primary difference in the source of investment between Musharakah and Mudarabah, as highlighted in the text?**

   A: In Musharakah, the investment comes from all partners, while in Mudarabah, it comes from a person or a group of persons, but not from the Mudarib.

8. **Q: Describe the rights of partners in terms of participating in the management of the business in both Musharakah and Mudarabah.**

   A: In Musharakah, all partners have the right to participate in the management and work for the business. In Mudarabah, only the Mudarib has the right to participate; the Rabbul-m¯al has no right to manage.

9. **Q: How is the sharing of loss handled differently in Musharakah and Mudarabah, and under what conditions does the Mudarib become liable for loss?**

   A: In Musharakah, all partners share the loss according to the ratio of their investment. In Mudarabah, the loss, if any, is suffered by the Rabbul-m¯al only. However, the Mudarib becomes liable for the loss caused by his negligence or misconduct.

10. **Q: What is the general status of liability for partners in Musharakah, and how does it contrast with the liability of Rabbul-m¯al in Mudarabah?**

    A: In Musharakah, the liability of partners is normally unlimited. In Mudarabah, the liability of Rabbul-m¯al is limited to his investment, unless he has permitted the Mudarib to incur debts on his behalf.

11. **Q: Under what circumstances does the liability of Rabbul-m¯al become unlimited in Mudarabah?**

    A: Rabbul-m¯al's liability becomes unlimited if he has permitted the Mudarib to incur debts on his behalf in Mudarabah.

12. **Q: What is the primary distinction between Musharakah and Mudarabah in terms of the source of investment?**

    A: In Musharakah, the investment comes from all partners, while in Mudarabah, it comes from a person or a group of persons, but not from the Mudarib.

13. **Q: In the context of management participation, how do Musharakah and Mudarabah differ?**

MC Learning House

A: In Musharakah, all partners have a right to participate in the management of the business and can work for it, whereas in Mudarabah, the Rabbul-m¯al has no right to participate in management.

14. **Q: Explain the difference in the handling of loss between Musharakah and Mudarabah.**

    A: In Musharakah, all partners share the loss according to the ratio of their investment, whereas in Mudarabah, the loss, if any, is suffered by the Rabbul-maal only. However, Mudarib shall be liable for the loss caused by his negligence or misconduct.

15. **Q: Under what circumstances is the liability of the partners limited in Musharakah and Mudarabah?**

    A: In Musharakah, liability of the partners is normally unlimited. However, in Mudarabah, the liability of Rabbul-m¯al is limited to his investment unless he has permitted the Mudarib to incur debts on his behalf.

16. **Q: What principle from Sharı´ah is highlighted in the context of Musharakah and Mudarabah termination?**

    A: The general principle is that Mudarabah is not a binding contract, and each party can unilaterally terminate it, except when the Mudarib has already commenced the business or when the parties agree on a certain duration of the contract.

131: Particpatory Modes - Musharakah vs Mudaraba

MCQs:

1. **In Musharakah, how can profit be distributed in terms of time intervals, and what is the condition for final distribution in Mudarabah?**

   a. Quarterly in Musharakah; annually after liquidation in Mudarabah

   b. Monthly in Musharakah; on account payment in Mudarabah

   c. Annually, quarterly, or monthly in Musharakah; only after liquidation in Mudarabah

   d. Annually in Musharakah; quarterly in Mudarabah

   Answer: c. Annually, quarterly, or monthly in Musharakah; only after liquidation in Mudarabah

2. **To address issues in perpetual Mudarabah, what concept have contemporary jurists accepted?**

MC Learning House

a. Annual valuation

b. Constructive liquidation of assets

c. Monthly assessment

d. Final adjustment

Answer: b. Constructive liquidation of assets

3. **In Musharakah, what happens to the ownership of assets, and how does it differ from Mudarabah?**

a. Assets are solely owned by the Mudarib in both cases.

b. All assets become jointly owned by partners in Musharakah, while in Mudarabah, they are solely owned by the Rabbul-m¯al.

c. Assets are jointly owned in both Musharakah and Mudarabah.

d. Ownership structure depends on the type of assets involved.

Answer: b. All assets become jointly owned by partners in Musharakah, while in Mudarabah, they are solely owned by the Rabbul-m¯al.

4. **What is the requirement for the distribution of assets and profit in Mudarabah after its dissolution, and how does it compare to Shirkah?**

a. Distribution without assessing the value in Musharakah; assessment is not necessary in Mudarabah

b. Distribution after assessing the value in Musharakah; not necessary in Mudarabah

c. Distribution without assessing the value in Mudarabah; assessment is not necessary in Musharakah

d. Assessment is necessary in both Musharakah and Mudarabah

Answer: b. Distribution after assessing the value in Musharakah; not necessary in Mudarabah

5. **In Musharakah, how can profit be distributed, and how does it differ from Mudarabah?**

a. Profit can only be distributed annually in Musharakah, while in Mudarabah, it is distributed monthly.

MC Learning House

b. Musharakah allows quarterly and monthly profit distribution; in Mudarabah, it occurs only after liquidation.

c. Profit distribution is the same in both Musharakah and Mudarabah.

d. Mudarabah permits annual profit distribution, while Musharakah allows it monthly.

Answer: b. Musharakah allows quarterly and monthly profit distribution; in Mudarabah, it occurs only after liquidation.

6. **To address perpetual Mudarabah issues, what concept have contemporary jurists accepted?**

a. Constructive dissolution

b. Constructive liquidation of assets

c. Forced liquidation

d. Mutual termination

Answer: b. Constructive liquidation of assets

7. **How do ownership rights differ between Musharakah and Mudarabah regarding assets?**

a. In Musharakah, each partner solely owns the assets, while in Mudarabah, Rabbul-m¯al owns all assets.

b. In both Musharakah and Mudarabah, assets are jointly owned by all partners.

c. In Mudarabah, each partner has sole ownership of the assets, while in Musharakah, they are jointly owned.

d. Musharakah has no ownership rights; Mudarabah grants sole ownership to the Mudarib.

Answer: c. In Mudarabah, each partner has sole ownership of the assets, while in Musharakah, they are jointly owned.

8. **What is required for the distribution of assets and profit in Mudarabah upon dissolution?**

a. It can be done immediately without assessment.

b. Distribution is based on the market value without any assessment.

MC Learning House

c. Distribution occurs only after assessing the value in terms of money.

d. No distribution is needed; assets automatically transfer to Rabbul-m¯al.

Answer: c. Distribution occurs only after assessing the value in terms of money.

9. **In the dissolution of a Shirkah, what is the key difference regarding the distribution of assets and profit?**

a. Shirkah requires assessment of assets, while Mudarabah does not.

b. In Shirkah, assets and profit can be distributed without assessment.

c. Mudarabah necessitates distribution without assessment, unlike Shirkah.

d. The distribution process is identical in both Shirkah and Mudarabah.

Answer: b. In Shirkah, assets and profit can be distributed without assessment.

10. **When can profit be distributed in Musharakah, and how does it compare to Mudarabah?**

a. Profit can be distributed annually in Musharakah, quarterly in Mudarabah.

b. Quarterly distribution is possible in both Musharakah and Mudarabah.

c. Profit distribution in Musharakah can be annual, quarterly, or monthly; in Mudarabah, only after liquidation.

d. Both Musharakah and Mudarabah allow monthly profit distribution.

Answer: c. Profit distribution in Musharakah can be annual, quarterly, or monthly; in Mudarabah, only after liquidation.

11. **To address issues in perpetual Mudarabah, what concept have contemporary jurists accepted?**

a. Continuous profit distribution

b. Constructive liquidation of assets

c. Annual valuation of assets

d. Monthly assessment of market value

Answer: b. Constructive liquidation of assets

MC Learning House

12. **How do ownership rights differ between Musharakah and Mudarabah with respect to assets?**

    a. In Musharakah, all partners have individual ownership; in Mudarabah, assets are solely owned by the Mudarib.

    b. Ownership in Musharakah is collective; in Mudarabah, each partner owns a share in assets.

    c. Both Musharakah and Mudarabah have individual ownership of assets.

    d. Ownership is not defined clearly in either Musharakah or Mudarabah.

    Answer: a. In Musharakah, all partners have individual ownership; in Mudarabah, assets are solely owned by the Mudarib.

13. **What is the requirement for the distribution of assets and profit in the case of Mudarabah business dissolution?**

    a. Immediate distribution without assessment

    b. Distribution only after assessing the value of assets in terms of money

    c. Distribution after quarterly assessment

    d. Distribution without considering profit assessment

    Answer: b. Distribution only after assessing the value of assets in terms of money

14. **In Musharakah, how are assets owned by partners, and what distinguishes this from Mudarabah?**

    a. All assets are jointly owned by partners in Musharakah; in Mudarabah, assets are owned by Rabbul-m¯al.

    b. Ownership in Musharakah is limited to specific assets; in Mudarabah, all assets are jointly owned.

    c. Individual ownership is practiced in both Musharakah and Mudarabah.

    d. Ownership structure is not defined clearly in either Musharakah or Mudarabah.

    Answer: a. All assets are jointly owned by partners in Musharakah; in Mudarabah, assets are owned by Rabbul-m¯al.

MC Learning House

Q&A:

1. **Q: What options are available for profit distribution in Musharakah, and how does it compare to Mudarabah?**

   A: In Musharakah, profit can be distributed on an annual, quarterly, or monthly basis by valuation of the assets. In Mudarabah, final distribution occurs only after liquidation, but on-account payment of profit is possible subject to final adjustment.

2. **Q: How have contemporary jurists addressed challenges in perpetual Mudarabah, and what concept have they accepted?**

   A: To avoid issues in perpetual Mudarabah, contemporary jurists have accepted the concept of constructive liquidation of assets. This involves determining the market value of non-liquid assets.

3. **Q: In Musharakah, how do partners collectively own assets, and what advantage does this offer when the value increases?**

   A: In Musharakah, all assets become jointly owned by partners. Each partner benefits from the increase in the value of assets. This is different from Mudarabah, where goods/assets purchased by the Mudarib are solely owned by the Rabbul-m¯al.

4. **Q: What is the process for distributing assets and profit in case of Mudarabah business dissolution, and how does it differ from Shirkah?**

   A: In Mudarabah, if the business is dissolved, assets and profit can be distributed only after assessing their value in terms of money. In Shirkah, this assessment is not necessary.

5. **Q: Why is on-account payment of profit possible in Mudarabah even before final distribution, and how does this provide flexibility?**

   A: On-account payment of profit is possible in Mudarabah to provide flexibility, allowing partners to receive partial payments before the final distribution, subject to adjustment.

6. **Q: What is the key distinction between ownership of goods/assets in Musharakah and Mudarabah, and how does it impact the partners involved?**

   A: In Musharakah, all partners jointly own assets, enabling each to benefit from increased value. In Mudarabah, goods/assets purchased by the Mudarib are solely owned by the Rabbul-m¯al, limiting ownership to the investor.

7. **Q: How does the distribution of profit differ between Musharakah and Mudarabah, including the frequency and basis for valuation?**

MC Learning House

A: In Musharakah, profit can be distributed annually, quarterly, or monthly by valuation of the assets. In Mudarabah, final distribution occurs only after the liquidation of the Mudarabah business, although on-account payment of profit is possible subject to final adjustment.

8. **Q: Why have contemporary jurists accepted the concept of constructive liquidation of assets in perpetual Mudarabah, and how is it implemented?**

   A: To avoid problems in perpetual Mudarabah, contemporary jurists have accepted the concept of constructive liquidation of assets. This involves determining the market value of non-liquid assets, providing a solution to issues that may arise in ongoing Mudarabah arrangements.

9. **Q: How does ownership of assets differ between Musharakah and Mudarabah, and what benefits does this distinction offer in Musharakah?**

   A: In Musharakah, all assets become jointly owned by all partners, allowing each to benefit from the increase in asset value. In Mudarabah, goods/assets purchased by the Mudarib are solely owned by the Rabbul-m¯al.

10. **Q: What happens in the case of the dissolution of Mudarabah business, and how does it differ from Shirkah in terms of asset distribution?**

    A: In Mudarabah, if the business is dissolved, assets and profit can be distributed only after assessing their value in terms of money. In Shirkah, this step is not necessary for distribution.

11. **Q: How does the frequency of profit distribution impact the partners in Musharakah, and how does it contrast with Mudarabah?**

    A: In Musharakah, profit can be distributed annually, quarterly, or monthly, providing flexibility. This contrasts with Mudarabah, where final distribution occurs only after the liquidation of the business.

12. **Q: What role does the joint ownership of assets play in Musharakah, and how does it differ from the sole ownership structure in Mudarabah?**

    A: In Musharakah, all partners have joint ownership of assets, allowing each partner to benefit from the increase in asset value. In Mudarabah, goods/assets purchased by the Mudarib are solely owned by the Rabbul-m¯al.

132: Particpatory Modes - Diminishing Musharkah

MCQs:

MC Learning House

1. **What is the primary focus of "Diminishing Musharakah" as a participatory contract?**

   a. Financing working capital

   b. Financing long-term projects

   c. Financing day-to-day operations

   d. Financing speculative ventures

   Answer: b. Financing long-term projects

2. **In the Diminishing Musharakah contract, what does a party have the option to do within a defined period?**

   a. Expand the investment

   b. Liquidate the investment

   c. Increase ownership shares

   d. Reinvest the profits

   Answer: b. Liquidate the investment

3. **When was Diminishing Musharakah developed, and what is its fundamental concept?**

   a. Developed in the distant past; based on joint ownership

   b. Developed recently; involves periodic purchase of units

   c. Developed in the near past; relies on speculative ventures

   d. Developed in the distant past; primarily used for working capital

   Answer: b. Developed recently; involves periodic purchase of units

4. **How is the financier's share divided in the Diminishing Musharakah contract?**

   a. Fixed ratio throughout the contract

   b. Divided equally among all parties

   c. Divided into units

MC Learning House

d. Financier retains full ownership

Answer: c. Divided into units

5. **In Diminishing Musharakah, how does the client eventually become the sole owner of the property or commercial enterprise?**

   a. By purchasing the financier's share in fixed installments

   b. Through joint ownership with the financier indefinitely

   c. By leasing the property or equipment

   d. Sole ownership is not possible in Diminishing Musharakah

   Answer: a. By purchasing the financier's share in fixed installments

6. **In which financial domain has Diminishing Musharakah been primarily used, according to the text?**

   a. Speculative ventures

   b. Working capital financing

   c. Home financing

   d. Day-to-day operations

   Answer: c. Home financing

7. **What financial need does Diminishing Musharakah address in the example where the client wants to purchase a taxi?**

   a. Home financing

   b. Business startup

   c. Ready-made garments business

   d. Working capital for a taxi business

   Answer: d. Working capital for a taxi business

8. **What is the primary concept behind "Diminishing Musharakah" (DM), as mentioned in the text?**

MC Learning House

a. Continuous increase in ownership

b. Periodic liquidation of investment within a defined period

c. Fixed ownership without changes

d. Joint ownership with indefinite participation

Answer: b. Periodic liquidation of investment within a defined period

9. **When does a party participating in Diminishing Musharakah have the option to liquidate their investment?**

a. After the joint ownership is established

b. Anytime without restrictions

c. Only if the asset or business faces financial issues

d. Within a defined period

Answer: d. Within a defined period

10. **What is the primary characteristic of Diminishing Musharakah with regard to the financier's share?**

a. The financier's share remains fixed throughout the contract.

b. The financier's share is divided into units that the client purchases periodically.

c. The financier's share is subject to market fluctuations.

d. The client has no involvement in the financier's share.

Answer: b. The financier's share is divided into units that the client purchases periodically.

11. **How does the client become the sole owner in Diminishing Musharakah?**

a. By purchasing all units of the financier periodically

b. The client becomes the sole owner immediately after entering the contract.

c. The financier automatically transfers ownership after a fixed period.

d. Sole ownership is not possible in Diminishing Musharakah.

MC Learning House

Answer: a. By purchasing all units of the financier periodically

12. **In what context has Diminishing Musharakah been commonly used, according to the examples provided?**

    a. Investment in stocks and bonds

    b. Financing of personal expenses

    c. Home financing, purchasing taxis, and starting a business

    d. Funding short-term projects

    Answer: c. Home financing, purchasing taxis, and starting a business

13. **How does Islamic banks address clients' financial needs using Diminishing Musharakah?**

    a. By restricting financial support

    b. By using traditional banking methods

    c. By employing Diminishing Musharakah as a mode of finance

    d. By offering interest-based loans

    Answer: c. By employing Diminishing Musharakah as a mode of finance

14. **What is the primary focus of Diminishing Musharakah in the context of participatory contracts?**

    a. Financing of short-term projects

    b. Financing of working capital

    c. Financing of fixed assets and ongoing projects

    d. Financing of daily operations

    Answer: c. Financing of fixed assets and ongoing projects

15. **In Diminishing Musharakah, how can a party liquidate their investment after participating in the ownership of an asset or business?**

    a. Liquidation is not allowed in Diminishing Musharakah.

MC Learning House

b. By selling their share in the open market.

c. Within a defined period, through periodic purchase of units.

d. Through immediate full payment to the financier.

Answer: c. Within a defined period, through periodic purchase of units.

16. **When was Diminishing Musharakah developed, according to the provided information?**

a. In the distant past

b. In the near past

c. It has been a traditional Islamic financing method.

d. There is no information on its development.

Answer: b. In the near past.

17. **How is the financier's share divided in Diminishing Musharakah, and how does the client acquire it?**

a. Financier's share remains fixed; the client acquires it through an auction.

b. Financier's share is divided into units; the client purchases these units periodically.

c. Financier's share increases over time; the client acquires it through full payment.

d. Financier's share is transferred to the client without any periodic purchase.

Answer: b. Financier's share is divided into units; the client purchases these units periodically.

18. **What happens as the client purchases units periodically in Diminishing Musharakah?**

a. The client's share decreases.

b. The client's share remains constant.

c. The client's share increases until they become the sole owner.

d. The client's share is transferred to the financier.

MC Learning House

Answer: c. The client's share increases until they become the sole owner.

Q&A:

1. **Q: What is the core concept behind "Diminishing Musharakah," and why is it considered suitable for financing fixed assets and ongoing projects?**

   A: The core concept is the gradual reduction of investment over time. It is considered suitable for financing fixed assets and ongoing projects due to the option for a party to liquidate their investment within a defined period.

2. **Q: How is the financier's share structured in a Diminishing Musharakah contract, and how does the client acquire these shares over time?**

   A: In Diminishing Musharakah, the financier's share is divided into units. The client purchases these units periodically, gradually increasing their share until all units are acquired.

3. **Q: Explain the concept of constructive liquidation in Diminishing Musharakah, as mentioned in the text.**

   A: To address perpetual Diminishing Musharakah, contemporary jurists have accepted the concept of constructive liquidation of assets. This involves determining the market value of non-liquid assets.

4. **Q: Provide examples of transactions where Diminishing Musharakah has been applied, according to the text.**

   A: Diminishing Musharakah has been used in various transactions such as home financing, purchasing a taxi for income generation, and starting a ready-made garments business.

5. **Q: How does Diminishing Musharakah cater to the financial needs of clients, and what types of needs are mentioned in the text?**

   A: Islamic banks use Diminishing Musharakah to address the financial needs of clients, particularly in financing fixed assets and ongoing projects. Examples include home financing, taxi purchase, and starting a ready-made garments business.

6. **Q: What is the core principle behind "Diminishing Musharakah," and why is it considered suitable for financing fixed assets and ongoing projects?**

MC Learning House

A: The core principle involves the gradual reduction of investment over time. It is suitable for financing fixed assets and ongoing projects due to its concept of allowing a party to liquidate their investment within a defined period.

7. **Q: How is the financier's share structured in Diminishing Musharakah, and how does the client acquire these shares?**

   A: In Diminishing Musharakah, the financier's share is divided into units. The client purchases these units periodically until they eventually become the sole owner of the property or commercial enterprise.

8. **Q: Can you explain the concept of constructive liquidation of assets in the context of Diminishing Musharakah, as mentioned in the text?**

   A: Constructive liquidation in Diminishing Musharakah involves determining the market value of non-liquid assets to address issues in perpetual Mudarabah.

9. **Q: Provide examples of how Diminishing Musharakah has been used in different transactions, as outlined in the text.**

   A: Diminishing Musharakah has been applied in various transactions such as home financing, taxi purchase for income generation, and starting a ready-made garment business.

10. **Q: What option becomes available to a party participating in the ownership of an asset or business under Diminishing Musharakah within a defined period?**

    A: The party has the option to liquidate their investment within a defined period under Diminishing Musharakah.

11. **Q: How do Islamic banks use Diminishing Musharakah as a mode of finance, and what financial needs does it address for clients?**

    A: Islamic banks use Diminishing Musharakah to finance fixed assets and ongoing projects for their clients, addressing various financial needs such as home financing, taxi purchase, and starting a business in the garment industry.

12. **Q: What is the core principle of "Diminishing Musharakah" (DM) and how does it make it suitable for financing fixed assets and ongoing projects?**

    A: Diminishing Musharakah involves the gradual reduction of investment over time, making it suitable for financing as it allows a party to liquidate their investment within a defined period.

13. **Q: Can you explain the concept behind Diminishing Musharakah and how it has been developed in recent times?**

MC Learning House

A: In Diminishing Musharakah, a financier and client jointly own a property, equipment, or engage in a commercial enterprise. The financier's share is divided into units, and the client purchases these units periodically, increasing their share until they become the sole owner.

14. **Q: How does Diminishing Musharakah take different forms in various transactions, and can you provide examples of its applications?**

    A: Diminishing Musharakah has been used in home financing, where a client wants to purchase a house but lacks funds. It has also been applied to scenarios like a client wanting to purchase a taxi or start a ready-made garments business, addressing different financial needs.

15. **Q: What becomes possible for a party participating in Diminishing Musharakah within a defined period, and why does this make it unique?**

    A: Within a defined period, a party participating in Diminishing Musharakah can liquidate their investment. This feature distinguishes it, as it allows for the gradual reduction of investment, providing flexibility.

16. **Q: How does the structure of the financier's share in Diminishing Musharakah differ from traditional financing models, and what advantages does this structure offer to the client?**

    A: The financier's share is divided into units, and the client purchases these units periodically. This unit-based structure provides the client with flexibility and allows for the gradual increase in their share until they become the sole owner.

17. **Q: In what financial scenarios do Islamic banks commonly employ Diminishing Musharakah as a mode of finance?**

    A: Islamic banks commonly use Diminishing Musharakah for financing fixed assets and ongoing projects, addressing the financial needs of clients in these specific contexts.

133: Particpatory Modes - Diminishing Musharkah

MCQs:

1. **What initiates the process of Diminishing Musharakah (DM) in the described procedural details?**

    a. Appraisal

    b. Client's request

MC Learning House

c. Approval

d. Execution of Musharakah contract

Answer: b. Client's request

2. **After the client's request, what step follows in the procedural details of DM?**

   a. Bank releases its share

   b. Appraisal is accorded

   c. Approval is conveyed

   d. Execution of Musharakah contract

   Answer: b. Appraisal is accorded

3. **When does the Musharakah contract get executed in the DM process?**

   a. After appraisal

   b. Upon client's request

   c. Following approval

   d. When bank releases its share

   Answer: d. When bank releases its share

4. **What happens to the asset in the DM process once the Musharakah contract is executed?**

   a. It becomes the sole ownership of the bank.

   b. It becomes undivided ownership of both the bank and the client.

   c. It is leased to the client.

   d. It is sold to a third party.

   Answer: b. It becomes undivided ownership of both the bank and the client.

5. **What promise does the bank obtain from the client simultaneously with the execution of the Musharakah contract in DM?**

MC Learning House

a. Promise to pay the bank's equity.

b. Promise to share profits and losses.

c. Promise to purchase units of the bank's equity.

d. Promise to lease the asset.

Answer: c. Promise to purchase units of the bank's equity.

6. **What is valued to determine the price of one unit of the bank's equity in DM?**

a. Client's promise

b. Appraisal

c. Musharakah contract

d. Unilateral promise

Answer: b. Appraisal

7. **In the case of Ijarah in DM, what is realized periodically?**

a. Rent

b. Profit

c. Client's equity

d. Bank's equity

Answer: a. Rent

8. **When are profits and losses shared in the DM process?**

a. Periodically

b. Upon the client's request

c. After appraisal

d. Upon execution of the Musharakah contract

Answer: a. Periodically

MC Learning House

9. **How are expenses connected to the asset borne in DM?**

   a. Solely by the client

   b. Proportionately by the partners

   c. Solely by the bank

   d. Based on the Musharakah contract

   Answer: b. Proportionately by the partners

10. **What happens to the bank's share in the asset in the DM process as the client purchases units of the bank's equity?**

    a. It increases

    b. It remains constant

    c. It decreases

    d. It becomes the sole ownership of the bank.

    Answer: c. It decreases

11. **What is the ultimate outcome of the DM process according to the procedural details?**

    a. Bank's share increases to full ownership.

    b. Client becomes the sole owner, and the bank's share reduces to zero.

    c. The Musharakah contract is terminated.

    d. The asset is sold to a third party.

    Answer: b. Client becomes the sole owner, and the bank's share reduces to zero.

12. **What initiates the process of Diminishing Musharakah (DM)?**

    a. Bank's unilateral decision

    b. Client's request to the bank

    c. Mutual agreement between bank and client

MC Learning House

d. Appraisal by the bank

Answer: b. Client's request to the bank

13. **When does the bank release its share and become a partner in the asset in the procedural details of DM?**

a. After obtaining a unilateral promise

b. Upon execution of the Musharakah contract

c. Before the appraisal process

d. Once the client becomes the sole owner

Answer: b. Upon execution of the Musharakah contract

14. **What does the asset become after the Musharakah contract is executed in DM?**

a. Sole ownership of the bank

b. Undivided ownership of the client

c. Joint ownership of both the bank and the client

d. Collateral for the bank

Answer: c. Joint ownership of both the bank and the client

15. **In DM, what does the client promise to do simultaneously with the execution of the Musharakah contract?**

a. Obtain a unilateral promise from the bank

b. Purchase units of the bank's equity

c. Release the bank's share

d. Transfer ownership to the bank

Answer: b. Purchase units of the bank's equity

16. **How is the price of one unit of the bank's equity valued in DM?**

a. Mutual agreement between bank and client

MC Learning House

b. Unilateral decision by the bank

c. Based on the client's request

d. Determined after the Musharakah contract execution

Answer: a. Mutual agreement between bank and client

17. **In case of Ijarah under DM, what is realized, and how does it differ in the case of business or services?**

a. Profit, which is shared

b. Rent, which is shared

c. Losses, which are avoided

d. Expenses, which are borne by the bank

Answer: b. Rent, which is shared

18. **How are expenses connected to the asset handled in DM?**

a. Borne only by the bank

b. Borne only by the client

c. Borne proportionately by both partners

d. Ignored in the DM process

Answer: c. Borne proportionately by both partners

19. **What happens to the bank's share in the asset as the DM process progresses?**

a. It increases

b. It becomes the sole owner

c. It remains constant

d. It decreases

Answer: d. It decreases

20. **How does the client's ownership in the asset change during the DM process?**

MC Learning House

a. It remains constant

b. It decreases

c. It increases

d. It becomes the sole owner

Answer: c. It increases

21. **When does the client become the sole owner of the asset in DM?**

a. After obtaining a unilateral promise

b. Upon execution of the Musharakah contract

c. Once the bank's share reduces to zero d. After the appraisal process

Answer: c. Once the bank's share reduces to zero

Q&A:

1. **Q: What triggers the initiation of the Diminishing Musharakah (DM) process?**

   A: The DM process begins with a client's request to the bank.

2. **Q: At what stage does the bank release its share and become a partner in the asset in DM?**

   A: The bank releases its share and becomes a partner upon the execution of the Musharakah contract.

3. **Q: What does the asset become once the Musharakah contract is executed in DM?**

   A: The asset becomes the undivided ownership of both the bank and the client.

4. **Q: What does the client promise to do simultaneously with the execution of the Musharakah contract in DM?** *A: The client promises to purchase units of the bank's equity.*
5. **Q: How is the price of one unit of the bank's equity valued in DM?**

   A: The price is determined based on mutual agreement between the bank and the client.

6. **Q: In case of Ijarah under DM, what is realized, and how does it differ in the case of business or services?**

MC Learning House

A: In the case of Ijarah, rent is realized, whereas in the case of business or services, profit and losses are shared.

7. **Q: How are expenses connected to the asset handled in DM?**

   A: Expenses are borne proportionately by both the bank and the client.

8. **Q: What happens to the bank's share in the asset as the DM process progresses?**

   A: The bank's share decreases over time.

9. **Q: How does the client's ownership in the asset change during the DM process?**

   A: The client's ownership increases as the DM process progresses.

10. **Q: When does the client become the sole owner of the asset in DM?**

    A: The client becomes the sole owner once the bank's share reduces to zero.

11. **Q: What is the significance of obtaining a unilateral promise from the client in the DM process?**

    A: The unilateral promise from the client is to purchase units of the bank's equity.

12. **Q: What type of agreement is signed in DM in case of Ijarah, and what payments are made?**

    A: In DM, an Ijarah Agreement is signed, and rent is paid in case of Ijarah.

13. **Q: How is the joint ownership structure managed in DM, and what is the eventual outcome for the bank's share?**

    A: Both the bank and the client jointly own the asset, and the bank's share decreases until it becomes zero.

14. **Q: What forms does Diminishing Musharakah take in various financial needs, such as home financing or starting a business?**

    A: Diminishing Musharakah is used in home financing, purchasing assets like taxis, and starting various businesses.

15. **Q: What is the final outcome for the bank's equity in DM, and how does it relate to the client's ownership?**

    A: The bank's equity reduces to zero, and the client becomes the sole owner of the asset.

MC Learning House

16. **Q: How is the periodic purchase of the bank's equity by the client structured in DM?**

    A: The client periodically purchases units of the bank's equity, leading to a decrease in the bank's share.

17. **Q: What contractual arrangement marks the beginning of the Diminishing Musharakah process?**

    A: The Musharakah contract is executed between the bank and the client at the start of the DM process.

18. **Q: What ensures fair sharing of expenses in Diminishing Musharakah?**

    A: Expenses connected to the asset are borne proportionately by both the bank and the client in DM.

19. **Q: In what circumstances can the Diminishing Musharakah process be initiated?**

    A: The DM process can be initiated based on a client's request for financing needs.

20. **Q: What agreement is signed in DM, and how does it impact financial transactions, whether rent or profit sharing?**

    A: In DM, an Ijarah Agreement is signed, impacting financial transactions by determining rent or profit sharing based on the nature of the arrangement.

134: Particpatory Modes - Diminishing Musharkah

MCQs:

1. **Q: What is Diminishing Musharakah (DM) primarily composed of?**

    a) Two different contracts

    b) Three different contracts

    c) Four different contracts

    d) Five different contracts

    Answer: b) Three different contracts

2. **Q: How are the three contracts in DM entered into?**

MC Learning House

a) Sequentially

b) Simultaneously

c) Independently

d) Reversely

Answer: c) Independently

3. **Q: What is the first contract in the sequencing of DM contracts?**

a) Lease Agreement

b) Purchase Promise

c) Joint Ownership (Shirkat ul milk)

d) Sale Contract

Answer: c) Joint Ownership (Shirkat ul milk)

4. **Q: What promise does the client make in DM before or after the lease agreement is finalized?**

a) Promise to pay rent

b) Promise to share profit

c) Promise to purchase the financier partner's share

d) Promise to terminate the contract

Answer: c) Promise to purchase the financier partner's share

5. **Q: What does the bank provide to the client in the second contract of DM?**

a) Leased assets

b) Units of its share on lease

c) Profit-sharing agreement

d) Loan for purchasing assets

Answer: b) Units of its share on lease

MC Learning House

6. **Q: What action does the client take in the third contract of DM?**

   a) Leasing the assets

   b) Selling the assets

   c) Purchasing units of ownership from the bank

   d) Terminating the contract

   Answer: c) Purchasing units of ownership from the bank

7. **Q: According to the principle in DM, how are different contracts treated within a single contract?**

   a) They are prohibited

   b) They are combined into one contract

   c) They appear as unilateral promises only

   d) They are independent and separate

   Answer: d) They are independent and separate

8. **Q: Which contract appears as a unilateral promise only in DM?**

   a) Joint Ownership (Shirkat ul milk)

   b) Lease Agreement

   c) Purchase Promise

   d) Sale Contract

   Answer: c) Purchase Promise

9. **Q: What is the primary binding nature of leasing and sale contracts in DM?**

   a) Binding for both parties

   b) Binding for the bank only

   c) Binding for the client only

   d) Binding for the promiser only

MC Learning House

Answer: d) Binding for the promiser only

10. **Q: In DM, what is the primary function of the first contract (Shirkat ul milk)?**

    a) To determine rent

    b) To create joint ownership

    c) To promise future profit-sharing

    d) To establish a sale agreement

    Answer: b) To create joint ownership

11. **Q: What happens to the rent in DM as the client purchases units of ownership from the bank?**

    a) Rent increases

    b) Rent remains constant

    c) Rent decreases

    d) Rent becomes variable

    Answer: c) Rent decreases

12. **Q: What is the significance of the promise made by the client in DM?**

    a) Promise to maintain the contract

    b) Promise to increase rent

    c) Promise to purchase the bank's share

    d) Promise to terminate the contract

    Answer: c) Promise to purchase the bank's share

13. **Q: In the sequencing of DM contracts, when does the client start purchasing units of ownership from the bank?**

    a) Before the lease agreement is finalized

    b) After the sale contract is completed

MC Learning House

c) Simultaneously with the lease agreement

d) After the joint ownership contract

Answer: c) Simultaneously with the lease agreement

14. **Q: What is the primary purpose of the lease agreement in DM?**

a) To finalize the purchase of assets

b) To determine the rent amount

c) To establish a sale agreement

d) To create joint ownership

Answer: b) To determine the rent amount

15. **Q: What does the third contract in DM primarily involve?**

a) Leasing assets

b) Selling assets

c) Purchasing units of ownership

d) Terminating the contract

Answer: c) Purchasing units of ownership

16. **Q: According to DM principles, what is the allowable treatment of different contracts within one contract?**

a) Prohibited

b) Combined into one contract

c) Treated as unilateral promises only

d) Independent and separate

Answer: d) Independent and separate

17. **Q: In the sequencing of DM contracts, what does the bank provide to the client initially?**

MC Learning House

a) Leased assets

b) Units of its share on lease

c) Profit-sharing agreement

d) Loan for purchasing assets

Answer: b) Units of its share on lease

18. **Q: What is the primary purpose of the promise made by the client in DM?**

a) To determine the rent amount

b) To purchase units of ownership

c) To terminate the contract

d) To create joint ownership

Answer: b) To purchase units of ownership

19. **Q: What is the core principle regarding the combination of different contracts in DM?**

a) They are prohibited

b) They are combined into one contract

c) They appear as unilateral promises only

d) They are independent and separate

Answer: d) They are independent and separate

20. **Q: According to DM principles, what does the sale contract appear as in terms of binding nature?**

a) Binding for both parties

b) Binding for the bank only

c) Binding for the client only

d) Binding for the promiser only

MC Learning House

Answer: d) Binding for the promiser only

Q&A:

1. **Q: What is Diminishing Musharakah (DM) primarily composed of?**

   Answer: Diminishing Musharakah is primarily composed of three different contracts: Joint Ownership (Shirkat ul milk), Lease Agreement, and Purchase Promise.

2. **Q: How are the three contracts in DM entered into?**

   Answer: The three contracts in DM are entered into independently, ensuring that each contract is separate and distinct from the other two contracts.

3. **Q: What is the first contract in the sequencing of DM contracts?**

   Answer: The first contract in the sequencing of DM contracts is Joint Ownership (Shirkat ul milk).

4. **Q: What promise does the client make in DM before or after the lease agreement is finalized?**

   Answer: The client makes a promise, either before or after the lease agreement is finalized, to purchase the share of the financier partner.

5. **Q: What does the bank provide to the client in the second contract of DM?**

   Answer: In the second contract of DM, the bank provides units of its share on lease to the client.

6. **Q: What action does the client take in the third contract of DM?**

   Answer: In the third contract of DM, the client goes on purchasing the units of ownership of the bank as per his promise, ultimately reducing the bank's share to zero.

7. **Q: According to the principle in DM, how are different contracts treated within a single contract?**

   Answer: Different contracts in DM are treated as independent and separate, and they are not combined into one contract.

8. **Q: Which contract appears as a unilateral promise only in DM?**

MC Learning House

Answer: The Purchase Promise appears as a unilateral promise only in DM.

9. **Q: What is the primary binding nature of leasing and sale contracts in DM?**

   Answer: Leasing and sale contracts in DM are primarily binding for the promiser only.

10. **Q: In DM, what is the primary function of the first contract (Shirkat ul milk)?**

    Answer: The primary function of the first contract (Shirkat ul milk) in DM is to create joint ownership between the bank and the client.

11. **Q: What happens to the rent in DM as the client purchases units of ownership from the bank?**

    Answer: As the client purchases units of ownership from the bank in DM, the rent decreases.

12. **Q: What is the significance of the promise made by the client in DM?**

    Answer: The promise made by the client in DM is significant as it commits the client to purchase the bank's share and reduce the bank's ownership to zero.

13. **Q: In the sequencing of DM contracts, when does the client start purchasing units of ownership from the bank?**

    Answer: The client starts purchasing units of ownership from the bank simultaneously with the lease agreement in DM.

14. **Q: What is the primary purpose of the lease agreement in DM?**

    Answer: The primary purpose of the lease agreement in DM is to determine the rent amount to be paid by the client.

15. **Q: What does the third contract in DM primarily involve?**

    Answer: The third contract in DM primarily involves the client purchasing units of ownership from the bank.

16. **Q: According to DM principles, what is the allowable treatment of different contracts within one contract?**

    Answer: According to DM principles, different contracts are treated as independent and separate within one contract.

MC Learning House

17. **Q: In the sequencing of DM contracts, what does the bank provide to the client initially?**

    Answer: In the sequencing of DM contracts, the bank initially provides units of its share on lease to the client.

18. **Q: What is the primary purpose of the promise made by the client in DM?**

    Answer: The primary purpose of the promise made by the client in DM is to commit to purchasing units of ownership from the bank.

19. **Q: What is the core principle regarding the combination of different contracts in DM?**

    Answer: The core principle regarding the combination of different contracts in DM is that they are independent and separate, not combined into one contract.

20. **Q: According to DM principles, what does the sale contract appear as in terms of binding nature?**

    Answer: According to DM principles, the sale contract appears as binding for the promiser only.

135: Particpatory Modes - Diminishing Musharkah

MCQs:

1. **Q: How many contracts are involved in the partnership created for a joint business activity in DM in Trade?**

   A. One

   B. Two

   C. Three

   D. Four

   Answer: B. Two

2. **Q: What is the first contract in DM in Trade for a joint business activity?**

   A. Purchase of other partner's share

   B. Shirkatul Aqd

Mc Learning House

C. Ijarah Agreement

D. Murabahah Contract

Answer: B. Shirkatul Aqd

3. **Q: In DM in Trade, what does 'B' agree to do in partnership with 'A'?**

   A. Lend money to 'A'

   B. Share profits equally with 'A'

   C. Participate for a specified period

   D. Act as a silent partner

   Answer: C. Participate for a specified period

4. **Q: What percentage of the investment is contributed by 'A' in the business in DM in Trade?**

   A. 20%

   B. 30%

   C. 40%

   D. 50%

   Answer: C. 40%

5. **Q: How much of the investment is contributed by 'B' in the business in DM in Trade?**

   A. 40%

   B. 50%

   C. 60%

   D. 70%

   Answer: C. 60%

6. **Q: On what basis do 'A' and 'B' start the business in DM in Trade?**

MC Learning House

A. Mudarabah

B. Ijarah

C. Murabahah

D. Musharakah

Answer**: D. Musharakah**

7. **Q: What is expressly agreed upon between 'A' and 'B' regarding the proportion of profit in DM in Trade?**

A. It will be based on market value

B. It will be equally shared

C. It will be decided later

D. It is not specified

Answer**: B. It will be equally shared**

8. **Q: How is 'B's share in the business divided in DM in Trade?**

A. Into three units

B. Into four units

C. Into five units

D. Into six equal units

Answer: D. **Into six equal units**

9. **Q: What does 'A' keep doing in DM in Trade with regard to 'B's share in the business?**

A. Selling it to third parties

B. Renting it to 'B'

C. Gradually purchasing these units

D. Gifting them to 'B'

MC Learning House

Answer: C. **Gradually purchasing these units**

10. **Q: How long does 'B' agree to participate in the business in DM in Trade?**

A. One year

B. Two years

C. Three years

D. Four years

Answer: B**. Two years**

11. **Q: What tends to repay the original amount invested by 'B' in DM in Trade?**

A. Periodical profits earned by 'B'

B. 'A' purchasing 'B's share

C. 'B' selling assets to 'A'

D. 'B' lending money to 'A'

Answer: A. **Periodical profits earned by 'B'**

12. **Q: In DM in Trade, what is the ultimate outcome for 'B' after two years?**

A. He becomes the sole owner

B. He remains a silent partner

C. He loses his investment

D. He comes out of the business

Answer**: D. He comes out of the business**

13. **Q: What is the primary characteristic of 'B's share in DM in Trade?**

A. It remains constant

B. It increases over time

C. It decreases as 'A' purchases units

MC Learning House

D. It is not specified

Answer**: C. It decreases as 'A' purchases units**

14. **Q: What type of business activity does 'A' want to start in DM in Trade?**

A. Real estate development

B. Manufacturing of electronics

C. Ready-made garments

D. Agricultural production

Answer**: C. Ready-made garments**

15. **Q: How much of the business's proportion of profit is allocated to each partner in DM in Trade?**

A. It is not specified

B. 30% to 'A', 70% to 'B'

C. Equally shared

D. 40% to 'A', 60% to 'B'

Answer**: C. Equally shared**

16. **Q: What does 'B' gain, in practical terms, in DM in Trade in addition to periodical profits?**

A. Ownership of the entire business

B. Interest on the investment

C. The price of the units of his share

D. Control over the business operations

Answer**: C. The price of the units of his share**

17. **Q: What is the significance of the specified period of 'B's participation in DM in Trade?**

A. It determines the profit margin

MC Learning House

B. It affects the tax liability

C. It defines the duration of partnership

D. It has no significance

Answer**: C. It defines the duration of partnership**

18. **Q: What does 'A' contribute to the business in DM in Trade?**

A. 50% of the investment

B. 60% of the investment

C. 70% of the investment

D. 40% of the investment

Answer**: D. 40% of the investment**

19. **Q: What is the main purpose of 'A' gradually purchasing 'B's share in DM in Trade?**

A. To control the business completely

B. To reduce 'B's profits

C. To repay 'B's original investment

D. To terminate the partnership

Answer: C**. To repay 'B's original investment**

20. **Q: What is the proportion of profit allocated for each partner in DM in Trade?**

A. 30% to 'A', 70% to 'B'

B. Equally shared

C. 40% to 'A', 60% to 'B'

D. It is not specified

Answer**: B. Equally shared**

MC Learning House

Q&A:

1. **Q: How many contracts are involved in the partnership created for a joint business activity in DM in Trade?**

   Answer: Diminishing Musharakah in Trade involves two contracts: Shirkatul Aqd and the Purchase of the other partner's share on a periodical basis.

2. **Q: What is the primary characteristic of 'B's share in DM in Trade?**

   Answer: 'B's share decreases as 'A' purchases units over time in Diminishing Musharakah in Trade.

3. **Q: What is expressly agreed upon between 'A' and 'B' regarding the proportion of profit in DM in Trade?**

   Answer: 'A' and 'B' agree that the proportion of profit will be equally shared in Diminishing Musharakah in Trade.

4. **Q: How long does 'B' agree to participate in the business in DM in Trade?**

   Answer: 'B' agrees to participate in the business for a specified period, such as two years, in Diminishing Musharakah in Trade.

5. **Q: What is the significance of the specified period of 'B's participation in DM in Trade?**

   Answer: The specified period of 'B's participation defines the duration of the partnership in Diminishing Musharakah in Trade.

6. **Q: In DM in Trade, what is the ultimate outcome for 'B' after two years?**

   Answer: 'B' comes out of the business after two years in Diminishing Musharakah in Trade.

7. **Q: What does 'A' contribute to the business in DM in Trade?**

   Answer: 'A' contributes 40% of the investment to the business in Diminishing Musharakah in Trade.

8. **Q: How much of the investment is contributed by 'B' in the business in DM in Trade?**

   Answer: 'B' contributes 60% of the investment to the business in Diminishing Musharakah in Trade.

MC Learning House

9. **Q: What does 'A' keep doing in DM in Trade with regard to 'B's share in the business?**

   Answer: 'A' keeps purchasing 'B's share in Diminishing Musharakah in Trade.

10. **Q: What is the main purpose of 'A' gradually purchasing 'B's share in DM in Trade?**

    Answer: The main purpose is to repay 'B's original investment in Diminishing Musharakah in Trade.

11. **Q: What tends to repay the original amount invested by 'B' in DM in Trade?**

    Answer: Periodical profits earned by 'B' tend to repay the original amount invested in Diminishing Musharakah in Trade.

12. **Q: How is 'B's share in the business divided in DM in Trade?**

    Answer: 'B's share in the business is divided into six equal units in Diminishing Musharakah in Trade.

13. **Q: What does 'B' gain, in practical terms, in DM in Trade in addition to periodical profits?**

    Answer: In practical terms, 'B' gains the price of the units of his share in Diminishing Musharakah in Trade.

14. **Q: What type of business activity does 'A' want to start in DM in Trade?**

    Answer: 'A' wants to start the business of ready-made garments in Diminishing Musharakah in Trade.

15. **Q: What is the proportion of profit allocated for each partner in DM in Trade?**

    Answer: The proportion of profit is equally shared between 'A' and 'B' in Diminishing Musharakah in Trade.

16. **Q: What does 'B' agree to do in partnership with 'A'?**

    Answer: 'B' agrees to participate for a specified period, such as two years, in Diminishing Musharakah in Trade.

17. **Q: What is the first contract in DM in Trade for a joint business activity?**

    Answer: The first contract is Shirkatul Aqd in Diminishing Musharakah in Trade.

MC Learning House

18. **Q: What is the primary characteristic of 'B's share in DM in Trade?**

    Answer: 'B's share decreases as 'A' purchases units over time in Diminishing Musharakah in Trade.

19. **Q: What is expressly agreed upon between 'A' and 'B' regarding the proportion of profit in DM in Trade?**

    Answer: 'A' and 'B' agree that the proportion of profit will be equally shared in Diminishing Musharakah in Trade.

20. **Q: How long does 'B' agree to participate in the business in DM in Trade?**

    Answer: 'B' agrees to participate in the business for a specified period, such as two years, in Diminishing Musharakah in Trade.

136: Particpatory Modes - Diminishing Musharkah

MCQs:

1. **Q: In Mudarabah, what is the role of the Mudarib?**

   A. Sole owner

   B. Financier

   C. Trustee

   D. Business partner

   Answer: C. Trustee

2. **Q: What is Sub-Mudarabah in the context of Mudarabah contracts?**

   A. Mudarib's salary

   B. Extraordinary work

   C. Capital given to a third party

   D. Profit-sharing ratio

   Answer: C. Capital given to a third party

3. **Q: What is the primary focus of Mudarabah contracts according to classical jurists?**

MC Learning House

A. Manufacturing

B. Buying/Selling

C. Lending

D. Investing

Answer: B. Buying/Selling

4. **Q: In Mudarabah, who is considered trustworthy with respect to the capital entrusted to them?**

   A. Rab-ul-Maal

   B. Mudarib

   C. Both

   D. None

   Answer: B. Mudarib

5. **Q: What is the liability of the Mudarib for losses incurred in the normal course of business activities?**

   A. Fully liable

   B. Limited liability

   C. No liability

   D. Depends on the contract

   Answer: B. Limited liability

6. **Q: In Unrestricted Mudarabah, what is the Mudarib authorized to do without the consent of Rab-ul-Maal?**

   A. Lend money

   B. Appoint another partner

   C. Mix own investment

   D. All of the above

MC Learning House

Answer: A. Lend money

7. **Q: What is the basis for profit-sharing ratio in Mudarabah?**

   A. Business experience

   B. Negotiation

   C. Mutual consent

   D. All of the above

   Answer: D. All of the above

8. **Q: According to Mudarabah rules, what happens to loss in the partnership?**

   A. Shared by Mudarib only

   B. Shared by Rab-ul-Maal only

   C. Shared by both in profit-sharing ratio

   D. Ignored

   Answer: B. Shared by Rab-ul-Maal only

9. **Q: What is the significance of the concept of Sub-Mudarabah?**

   A. Profit distribution

   B. Loss prevention

   C. Capital utilization

   D. Risk management

   Answer: D. Risk management

10. **Q: What is the primary requirement for the use of Mudarabah by Islamic banks according to contemporary scholars?**

    A. Trade of lawful items

    B. Interest-based financing

    C. Speculative ventures

MC Learning House

D. Fixed return investments

Answer: A. Trade of lawful items

11. **Q: What is the classical juristic view on the use of Mudarabah in business activities?**

A. Encouraged

B. Restricted to trade

C. Prohibited

D. Optional

Answer: B. Restricted to trade

12. **Q: What can the financier impose on the Mudarib in a Mudarabah contract?**

A. Conditions against the purpose

B. Time limits for the operation

C. Specification of goods

D. All of the above

Answer: D. All of the above

13. **Q: What is the Mudarib not allowed to claim in Mudarabah contracts?**

A. Salary

B. Remuneration

C. Periodical expenses

D. All of the above

Answer: D. All of the above

14. **Q: In Termination of Mudarabah, when can the contract not be terminated unilaterally?**

A. When Mudarib wants to exit

B. When parties agree on a certain duration

MC Learning House

C. When Rab-ul-Maal is dissatisfied

D. When loss occurs

Answer: B. When parties agree on a certain duration

15. **Q: What principle supports the agreement not to terminate Mudarabah during a specified period?**

A. Hadith about Muslims' conditions

B. Shariah violation

C. Profit maximization

D. Customary practice

Answer: A. Hadith about Muslims' conditions

16. **Q: In Musharakah, how is loss shared among partners?**

A. Proportional to investment

B. Only by the active partner

C. Only by the passive partner

D. Equally among all partners

Answer: A. Proportional to investment

17. **Q: What is a distinguishing feature of Musharakah compared to Mudarabah?**

A. Active participation in management

B. Limited liability of Rab-ul-Maal

C. Loss-sharing by Rab-ul-Maal

D. Sole ownership by Mudarib

Answer: A. Active participation in management

18. **Q: In Musharakah, how is profit distributed among partners?**

A. Equally among all partners

MC Learning House

B. Proportional to investment

C. Solely by the Mudarib

D. Based on managerial skills

Answer: B. Proportional to investment

19. **Q: What is the key difference in asset ownership between Musharakah and Mudarabah?**

A. Joint ownership in Musharakah

B. Sole ownership in Musharakah

C. Joint ownership in Mudarabah

D. Sole ownership in Mudarabah

Answer: A. Joint ownership in Musharakah

20. **Q: What is the concept behind Diminishing Musharakah (DM) in financing fixed assets?**

A. Increasing ownership

B. Gradual liquidation

C. Continuous partnership

D. Full ownership transfer

Answer: B. Gradual liquidation

Q&A:

1. **Q: What is the primary role of the Mudarib in a Mudarabah contract?**

A: The Mudarib acts as a trustee, agent, partner, indemnifier, and may even work as a wage-earner if the contract becomes void.

2. **Q: What forms can a multilateral Mudarabah take?**

A: Multilateral Mudarabah may involve a single person contracting with multiple financiers, or a financier contracting with more than one worker.

MC Learning House

3. **Q: Under what condition is Sub-Mudarabah allowed?**

   A: Sub-Mudarabah is allowed with the consent of Rab bul Maal, where the Mudarib gives the Mudarabah capital to a third party on Mudarabah terms.

4. **Q: How do contemporary jurists differ from classical jurists in the scope of Mudarabah?**

   A: Contemporary jurists allow a wider scope for Mudarabah, including its use by Islamic banks as an alternative to interest-based financing.

5. **Q: What is the Mudarib considered in the context of Mudarabah contracts?**

   A: The Mudarib is considered trustworthy with respect to the capital entrusted to him, and he is not liable for losses incurred in normal business activities.

6. **Q: How is loss handled in a Mudarabah contract?**

   A: The Mudarib is not liable for losses incurred in the normal course of business activities, and the loss is borne by the Rab-ul-Maal.

7. **Q: What conditions can a financier impose on a Mudarib in a Mudarabah contract?**

   A: Conditions may include fixing a time limit, specifying goods to be traded, stopping Mudarib from dealing with specific persons or companies, and specifying trade locations.

8. **Q: Can the Mudarib claim periodical salary or additional fees in Mudarabah contracts?**

   A: No, the Mudarib cannot claim any periodical salary, fee, or remuneration beyond the agreed-upon share in the contract.

9. **Q: According to classical jurists, what was the focus of Mudarabah contracts?**

   A: Mudarabah contracts were generally restricted to the act of trade, such as buying and selling.

10. **Q: What is the significance of the concept of Sub-Mudarabah in risk management?**

    A: Sub-Mudarabah allows the Mudarib to give the Mudarabah capital to a third party, enabling risk distribution and management.

11. **Q: What is the primary requirement for the use of Mudarabah by Islamic banks according to contemporary scholars?**

MC Learning House

A: The use of lawful items of trade is a primary requirement for the use of Mudarabah by Islamic banks.

12. **Q: How is profit-sharing ratio determined in Mudarabah contracts?**

A: The profit-sharing ratio is determined through mutual consent, negotiation, and business experience.

13. **Q: What is the liability of the Mudarib for losses incurred in the normal course of business activities?**

A: The Mudarib has limited liability for losses incurred in the normal course of business activities.

14. **Q: In Termination of Mudarabah, when can the contract not be terminated unilaterally?**

A: The contract cannot be unilaterally terminated when the parties agree on a certain duration of the contract.

15. **Q: What principle supports the agreement not to terminate Mudarabah during a specified period?**

A: The principle that all conditions agreed upon by Muslims are upheld, except those allowing what is prohibited or prohibiting what is lawful in Shari´ah.

16. **Q: In Musharakah, how is loss shared among partners?**

A: Loss in Musharakah is shared among partners according to the ratio of their investment.

17. **Q: What is a distinguishing feature of Musharakah compared to Mudarabah?**

A: In Musharakah, all partners have the right to participate in the management of the business, while in Mudarabah, the Mudarib manages the business.

18. **Q: How is profit distributed among partners in Musharakah?**

A: Profit in Musharakah is distributed proportionally based on the partners' investment.

19. **Q: What is the key difference in asset ownership between Musharakah and Mudarabah?**

A: In Musharakah, all assets become jointly owned by all partners, while in Mudarabah, the goods/assets purchased are solely owned by the Rabul-maal.

MC Learning House

20. **Q: What is the concept behind Diminishing Musharakah (DM) in financing fixed assets?**

    A: Diminishing Musharakah involves gradual liquidation, allowing a party to liquidate their investment within a defined period.

137: Particpatory Modes - Diminishing Musharkah

MCQs:

1. **Q: In Diminishing Musharakah (DM) home financing, what is the tenure mentioned in the example?**

   A) 5 years

   B) 8 years

   C) 10 years

   D) 12 years

   Answer: C) 10 years

2. **Q: What percentage of the house cost is financed by the bank in the numerical example?**

   A) 70%

   B) 80%

   C) 90%

   D) 100%

   Answer: B) 80%

3. **Q: What is the return rate equivalent to rent in the numerical example of DM home financing?**

   A) 5% p.a.

   B) 7% p.a.

   C) 9% p.a.

Mc Learning House

D) 10% p.a.

Answer: B) 7% p.a.

4. **Q: What is the total number of units in the DM home financing example?**

   A) 100

   B) 120

   C) 150

   D) 200

   Answer: B) 120

5. **Q: How is the rent per unit calculated in the numerical example?**

   A) Fixed amount per unit

   B) Percentage of outstanding investment rate

   C) Fixed monthly rent

   D) Percentage of the total investment

   Answer: B) Percentage of outstanding investment rate

6. **Q: In the DM home financing example, what happens at the end of the tenure?**

   A) The client continues paying rent indefinitely

   B) The client becomes the sole owner of the house

   C) The bank's share increases

   D) The partnership is terminated

   Answer: B) The client becomes the sole owner of the house

7. **Q: What is Running Musharakah used for in the corporate sector?**

   A) Long-term financing

   B) Project financing

MC Learning House

C) Working capital financing

D) Home financing

Answer: C) Working capital financing

8. **Q: In Running Musharakah, what is charged on the amount actually utilized by the client on a daily basis?**

A) Profit

B) Rent

C) Interest

D) Fees

Answer: C) Interest

9. **Q: What is considered as the bank's capital for business in Running Musharakah?**

A) Average sale proceeds

B) Actual amount utilized by the client

C) Surplus amount

D) Monthly profit

Answer: B) Actual amount utilized by the client

10. **Q: How is profit calculated in Running Musharakah at level 2?**

A) Based on the client's total profit

B) A fixed percentage for the bank

C) A fixed percentage for the client

D) A percentage of the average sale proceeds

Answer: B) A fixed percentage for the bank

11. **Q: What does Diminishing Musharakah involve in terms of gradual changes?**

A) Gradual increase in bank's share

MC Learning House

B) Gradual liquidation of investment

C) Gradual reduction in client's share

D) Gradual increase in rent

Answer: B) Gradual liquidation of investment

12. **Q: In DM home financing, what happens to the rent as the bank's share decreases?**

A) Increases

B) Decreases

C) Remains constant

D) Becomes zero

Answer: B) Decreases

13. **Q: What is the primary role of the client in Running Musharakah?**

A) To pay fixed monthly rent

B) To utilize the bank's capital

C) To manage the business

D) To pay interest on the utilized amount

Answer: C) To manage the business

14. **Q: What is considered as the bank's capital in Running Musharakah?**

A) Surplus amount

B) Monthly profit

C) Actual amount utilized by the client

D) Average sale proceeds

Answer: C) Actual amount utilized by the client

15. **Q: What is the key feature of Diminishing Musharakah (DM) in financing fixed assets?**

MC Learning House

A) Fixed monthly payments

B) Gradual liquidation of investment

C) Long-term commitment

D) Immediate transfer of ownership

Answer: B) Gradual liquidation of investment

16. **Q: In DM home financing, what is the client's share in the total investment at the beginning?**

A) 10%

B) 20%

C) 30%

D) 40%

Answer: B) 20%

17. **Q: What is the purpose of a unilateral promise in Diminishing Musharakah?**

A) To terminate the contract

B) To purchase the bank's share

C) To reduce the rent

D) To extend the tenure

Answer: B) To purchase the bank's share

18. **Q: In Running Musharakah, what does the client undertake to do periodically?**

A) Pay fixed monthly rent

B) Purchase the bank's share

C) Liquidate the entire investment

D) Increase the bank's capital

Answer: B) Purchase the bank's share

MC Learning House

19. **Q: What is the primary contract in Diminishing Musharakah?**

    A) Sale

    B) Lease (Ijarah)

    C) Joint ownership (Shirkatul Milk)

    D) Partnership (Musharakah)

Answer: C) Joint ownership (Shirkatul Milk)

20. **Q: How is profit shared in Running Musharakah at level 1?**

    A) Equal sharing

    B) Proportional to the investment

    C) Bank receives a fixed percentage

    D) Client receives a fixed percentage

Answer: C) Bank receives a fixed percentage

Q&A:

1. **Q: What is the significance of the cost of the house in the context of Diminishing Musharakah (DM) in Home Financing?**

   Answer: The cost of the house represents the total value of the property that the client aims to purchase through DM Home Financing.

2. **Q: Explain the concept of bank financing in DM Home Financing.**

   Answer: Bank financing in DM Home Financing refers to the percentage of the total cost of the house that the bank provides, allowing the client to jointly own the property.

3. **Q: How does the tenure (duration) of home financing impact the DM process?**

   Answer: The tenure determines the time over which the client gradually purchases the bank's share, leading to sole ownership.

4. **Q: What role does rental play in DM Home Financing, and how is it calculated?**

MC Learning House

Answer: Rental is the return rate equivalent, and it is the periodic payment made by the client to use the bank's share. It is calculated based on a pre-agreed rate on the outstanding investment.

5. **Q: In the numerical example, why is the concept of units used in DM Home Financing?**

   Answer: Units represent the fractional ownership of the bank's share, which the client purchases periodically, leading to the reduction of the bank's ownership.

Participatory Modes-30:

6. **Q: What is the core principle behind Running Musharakah in financing working capital for enterprises?**

   Answer: Running Musharakah allows clients to draw and deposit varying amounts from an approved limit, providing a flexible and interest-free financing solution for working capital.

7. **Q: How does the Islamic bank consider capital in the Running Musharakah product?**

   Answer: The bank considers the amount deposited back by the client as its capital for the business.

8. **Q: What is the primary advantage of the Running Musharakah product for corporate clients?**

   Answer: The product's simplicity and flexibility make it advantageous for corporate clients, providing a convenient way to manage working capital needs.

9. **Q: How is profit allocated in Running Musharakah between the bank and the client?**

   Answer: The profit is allocated based on two levels, with a small ratio for the bank (e.g., 0.01) and the remaining share (99.99) given to the client.

10. **Q: How does Running Musharakah differ from conventional banking practices regarding interest?**

    Answer: Unlike conventional banking, Running Musharakah does not charge interest but shares profit and loss based on a mutually agreed ratio.

11. **Q: What is the primary concept behind Diminishing Musharakah (DM)?**

MC Learning House

Answer: Diminishing Musharakah is based on the idea of gradually decreasing the financier's share in an asset while the client purchases these units over time, ultimately becoming the sole owner.

12. **Q: How is the cost of the house divided between the bank and the client in DM home financing?**

    Answer: The bank provides a certain percentage (e.g., 80%) of the cost, and the client covers the remaining percentage.

13. **Q: What is the significance of the rent in DM home financing?**

    Answer: The client pays rent for the bank's part of ownership, and as the client purchases more units, the rent decreases until it becomes zero.

14. **Q: What happens to the bank's share in DM as the client purchases more units?**

    Answer: The bank's share decreases, and the client's share increases over time until the client becomes the sole owner.

15. **Q: In DM, what is the purpose of creating units for the bank's share?**

    Answer: Units represent a way to gradually liquidate the financier's investment in the asset, allowing the client to purchase them periodically.

Participatory Modes-30:

16. **Q: How does Running Musharakah differ from conventional bank financing for working capital?**

    Answer: Running Musharakah involves Islamic banks providing a working capital limit where clients draw and deposit funds, and profit is shared based on the actual amount utilized.

17. **Q: What is the role of a limit in Running Musharakah, and how does it work?**

    Answer: The Islamic bank approves a limit for the client, and the client uses funds from this limit for business activities, returning surplus amounts.

18. **Q: How is profit calculated in Running Musharakah, and what is unique about its distribution?**

    Answer: Profit is calculated at two levels, with a larger ratio for the bank and a very small ratio for the client. This unique distribution is appealing to clients.

19. **Q: Why is Running Musharakah popular among corporate clients?**

MC Learning House

Answer: It offers simplicity, flexibility, and a profit-sharing mechanism suitable for daily business needs, making it a preferred choice for corporate financing.

20. **Q: What is the primary advantage of Running Musharakah for Islamic banks?**

    Answer: The product's simplicity and flexibility make it attractive for Islamic banks, allowing for easy management of corporate clients' working capital needs.

138: Particpatory Modes - Running Musharkah

MCQs:

1. **Q: What is the primary objection raised against Running Musharakah?**

   A. The lack of flexibility

   B. Unknown amount of capital at the time of contract

   C. Predetermined rate of return

   D. Limited profit-sharing

   Answer: B. Unknown amount of capital at the time of contract

2. **Q: Why do banks receive a predetermined rate of return in Running Musharakah?**

   A. To attract more clients

   B. To ensure stability

   C. Tied up with capital

   D. To maximize profits

   Answer: C. Tied up with capital

3. **Q: In Running Musharakah, what role do banks play in relation to depositors?**

   A. Decision-makers

   B. Trustees

   C. Shareholders

   D. Advisors

MC Learning House

Answer: B. Trustees

4. **Q: What is the key advantage of Running Musharakah for Islamic banks?**

   A. High profitability

   B. Simplicity and flexibility

   C. Fixed rate of return

   D. Limited risk exposure

   Answer: B. Simplicity and flexibility

5. **Q: Why do clients find Running Musharakah attractive?**

   A. Higher profits

   B. Fixed returns

   C. Simplicity and flexibility

   D. Lower capital requirements

   Answer: C. Simplicity and flexibility

Participatory Modes-31:

6. **Q: What is a security in financial terms?**

   A. A tangible asset

   B. A paper representing ownership

   C. A liquid asset

   D. A non-tangible asset

   Answer: B. A paper representing ownership

7. **Q: How is Musharakah utilized in securitization for big projects?**

   A. Issuing shares

   B. Issuing certificates

MC Learning House

C. Creating partnerships

D. Acquiring liquid assets

Answer: B. Issuing certificates

8. **Q: What can be bought and sold in the secondary market in Musharakah-based securitization?**

A. Stocks

B. Bonds

C. Musharakah certificates

D. Commodities

Answer: C. Musharakah certificates

9. **Q: What types of projects can Musharakah and Mudarabah Sukuk be issued for?**

A. Only industrial projects

B. Small-scale projects

C. Various projects, including clinics, hospitals, and trading centers

D. Only commercial projects

Answer: C. Various projects, including clinics, hospitals, and trading centers

10. **Q: How are Musharakah and Mudarabah Sukuk structured?**

A. As perpetual contracts

B. As redeemable certificates

C. As profit-sharing agreements

D. As interest-bearing bonds

Answer: B. As redeemable certificates

11. **Q: What objection is raised against Running Musharakah?**

A. Amount of capital of both parties remains unknown at the time of contract.

MC Learning House

B. Banks receive a predetermined rate of return tied up with capital.

C. Banks act as trustees for depositors, prioritizing their best interest.

D. All of the above.

Answer: D

12. **Q: What does Running Musharakah offer flexibility for?**

A. Long-term investments.

B. Short-term investments.

C. Fixed-rate returns.

D. None of the above.

Answer: B

13. **Q: In Running Musharakah, what is unknown at the time of the contract?**

A. Profit-sharing ratio.

B. Capital of both parties.

C. Duration of the contract.

D. Bank's predetermined profit.

Answer: B

14. **Q: What role do banks play in Running Musharakah?**

A. Active participation in business operations.

B. Trustees for depositors' money.

C. Silent partners.

D. None of the above.

Answer: B

15. **Q: Why do Islamic banks find Running Musharakah attractive?**

A. It provides a fixed-rate return.

Mc Learning House

B. Simplicity and flexibility for managing corporate clients' working capital needs.

C. It allows full control over business operations.

D. None of the above.

Answer: B

Participatory Modes-31:

16. **Q: What is the definition of securitization in financial terms?**

A. An asset with unpredictable cash flow.

B. An asset backed by a pool of liquid and tangible assets.

C. A type of partnership contract.

D. None of the above.

Answer: B

17. **Q: How can Musharakah be adopted for securitization?**

A. By issuing shares in the stock market.

B. By providing loans to individuals.

C. By issuing Musharakah certificates backed by tangible assets.

D. None of the above.

Answer: C

18. **Q: What can be bought and sold in the secondary market in the case of Musharakah-based securitization?**

A. Stocks and bonds.

B. Musharakah certificates.

C. Real estate.

D. None of the above.

Answer: B

MC Learning House

19. **Q: What purpose can Musharakah and Mudarabah Sukuk serve?**

A. Financing big projects.

B. Individual savings.

C. Speculative trading.

D. None of the above.

Answer: A

20. **Q: What type of certificates can be issued for the establishment of high-standard clinics, hospitals, factories, etc.?**

A. Ijarah certificates.

B. Murabaha certificates.

C. Musharakah and Mudarabah Sukuk.

D. None of the above.

Answer: C

Q&A:

Participatory Modes-23: Differences between Musharakah and Mudarabah:

1. **Q: How is profit distribution handled differently in Musharakah and Mudarabah?**

   A: In Musharakah, profit can be distributed periodically, while in Mudarabah, final distribution occurs after liquidation.

2. **Q: What concept do contemporary jurists accept to avoid problems in perpetual Mudarabah?**

   A: Contemporary jurists accept the concept of constructive liquidation of assets by determining the market value of non-liquid assets.

3. **Q: What is the key difference in ownership of assets between Musharakah and Mudarabah?**

   A: In Musharakah, all assets become jointly owned by partners, while in Mudarabah, goods/assets purchased by the Mudarib are solely owned by the Rabbul-maal.

MCLearning House

4. **Q: How is loss-sharing handled in Musharakah and Mudarabah?**

   A: In Musharakah, all partners share the loss according to the ratio of their investment, while in Mudarabah, the Rabbul-maal bears the loss, except for losses due to Mudarib's negligence or misconduct.

Participatory Modes-24: Diminishing Musharakah:

5. **Q: What does Diminishing Musharakah (DM) focus on in terms of financing?**

   A: DM focuses on financing fixed assets and present-day ongoing projects.

6. **Q: What is the primary concept behind Diminishing Musharakah?**

   A: In DM, a party gradually liquidates their investment, becoming the sole owner of the asset within a defined period.

7. **Q: Give an example of a scenario where Diminishing Musharakah is used.**

   A: Diminishing Musharakah is commonly used in home financing when a client gradually purchases units of the financier's share.

8. **Q: How is the client's share in Diminishing Musharakah increased?**

   A: The client's share increases by purchasing units periodically until they become the sole owner of the property.

Participatory Modes-25: Procedural details of DM:

9. **Q: What is the initial step in implementing Diminishing Musharakah?**

   A: The client requests the bank for Diminishing Musharakah based on the details of the project.

10. **Q: What does the unilateral promise from the client involve in Diminishing Musharakah?**

    A: The client promises to purchase units of the bank's equity over time.

11. **Q: How are expenses connected to the asset handled in Diminishing Musharakah?**

    A: Expenses are borne by the partners proportionately.

12. **Q: How does the client ultimately become the sole owner of the asset in Diminishing Musharakah?**

MC Learning House

A: The client purchases units periodically, reducing the bank's share until the client becomes the sole owner.

Participatory Modes-26: Contracts in DM:

13. **Q: What contracts constitute Diminishing Musharakah?**

    A: Diminishing Musharakah involves a contract for joint ownership (Shirkat ul milk), a promise to purchase the financier's share, and leasing or sale agreements.

14. **Q: What is the sequencing of contracts in Diminishing Musharakah?**

    A: The contracts are entered into separately to ensure independence, starting with joint ownership, followed by the promise to purchase, and then leasing or sale agreements.

15. **Q: Why is the combination of different contracts in one contract not allowed in principle?**

    A: Combining different contracts is not allowed to maintain independence; in Diminishing Musharakah, only partnership (Shirakah) appears as a contract.

16. **Q: What does the promise to purchase involve in Diminishing Musharakah?**

    A: The client makes a promise to purchase the share of the financier partner according to a pre-agreed schedule.

Participatory Modes-27: DM in Trade:

17. **Q: How is DM used in the context of trade?**

    A: In a partnership for a trade business, DM involves joint ownership (Shirkatul Aqd) and the periodic purchase of the other partner's share.

18. **Q: How is the profit-sharing proportion determined in a DM trade scenario?**

    A: The proportion of profit allocated for each partner is expressly agreed upon in the contract.

19. **Q: How does the partner's share decrease in a DM trade scenario?**

    A: The partner's share is divided into units, and the other partner gradually purchases these units, reducing the first partner's share.

20. **Q: What is the objective of purchasing units in a DM trade scenario?**

MC Learning House

A: The objective is to repay the original amount invested by the partner, apart from the periodical profits earned.

139: Particpatory Modes - Securitization on Musharkah

MCQs:

Participatory Modes-32: TFCs Issued by Sitara Industries- Pakistan:

1. **Q: What is the purpose of the 5-year term finance certificates (TFCs) issued by Sitara Chemical Industries?**

   a) To finance a research project

   b) To meet the cost of an expansion project

   c) To fund employee salaries

   d) To pay off existing debts

   Answer: b) To meet the cost of an expansion project

2. **Q: How much were the TFCs issued for by Sitara Chemical Industries in June 2002?**

   a) Rs. 100 million

   b) Rs. 200 million

   c) Rs. 360 million

   d) Rs. 500 million

   Answer: c) Rs. 360 million

3. **Q: What is the basis of the TFCs issued by Sitara Chemical Industries?**

   a) Mudarabah

   b) Ijarah

   c) Shirkah

   d) Murabaha

MC Learning House

Answer: c) Shirkah

4. **Q: How often is profit paid to TFC holders?**

   a) Yearly

   b) Quarterly

   c) Monthly

   d) Six-monthly

   Answer: d) Six-monthly

5. **Q: How is profit payment structured for the first Rs. 100 million operating profit?**

   a) 8% p.a.

   b) 10% p.a.

   c) 12% p.a.

   d) 15% p.a.

   Answer: c) 12% p.a.

6. **Q: What is the term used for the profit distributed on each subsequent Rs. 100 million operating profit?**

   a) Level I Profit

   b) Level II Profit

   c) Tiered Profit

   d) Subsequent Profit

   Answer: b) Level II Profit

7. **Q: Where is a quarter of the Level II Profit transferred?**

   a) Profit Reserve

   b) General Reserve

   c) Takaful Reserve

MC Learning House

d) Mudarabah Reserve

Answer: c) Takaful Reserve

8. **Q: How is the balance of Level II Profit distributed?**

a) To shareholders

b) To employees

c) To TFC holders

d) To creditors

Answer: c) To TFC holders

9. **Q: What happens if the final profit payment exceeds on-account profit payments to TFC holders?**

a) It is donated to charity

b) It is transferred to Mudarabah Reserve

c) It is paid along with the next on-account profit payment

d) It is retained by the company

Answer: c) It is paid along with the next on-account profit payment

10. **Q: How are on-account profit payments adjusted in case of a loss?**

a) They are increased

b) They are unaffected

c) They are adjusted by reducing future payments

d) They are written off

Answer: c) They are adjusted by reducing future payments

11. **Q: What is the primary purpose of the TFCs in the securities market?**

a) To fund charitable activities

b) To serve as collateral

MC Learning House

c) To facilitate trade financing

d) To be tradable

Answer: d) To be tradable

12. **Q: What type of reserve is created with a portion of the Level II Profit?**

a) Profit Reserve

b) General Reserve

c) Takaful Reserve

d) Investment Reserve

Answer: c) Takaful Reserve

13. **Q: What is the purpose of the Mudarabah Reserve?**

a) To distribute among employees

b) To offset losses

c) To invest in new projects

d) To fund research initiatives

Answer: b) To offset losses

14. **Q: What is the key factor linked to the payment of profit to TFC holders?**

a) Market conditions

b) Inflation rate

c) Company's goodwill

d) Actual performance of the company

Answer: d) Actual performance of the company

15. **Q: How does the TFC payment structure link to the company's operating profit?**

a) Directly proportional

b) Inversely proportional

MC Learning House

c) Linear relationship

d) Unrelated

Answer: a) Directly proportional

16. **Q: What is the tenure of the TFCs issued by Sitara Chemical Industries?**

a) 3 years

b) 5 years

c) 7 years

d) 10 years

Answer: b) 5 years

17. **Q: How are TFCs different from conventional debt instruments?**

a) TFCs are non-tradable

b) TFCs involve profit-sharing

c) TFCs have fixed interest rates

d) TFCs have unlimited tenure

Answer: b) TFCs involve profit-sharing

18. **Q: What is the linkage between TFC holders and the company's success?**

a) TFC holders have no impact on company success

b) TFC holders benefit regardless of the company's success

c) TFC holders benefit only if the company is profitable

d) TFC holders bear the losses of the company

Answer: c) TFC holders benefit only if the company is profitable

19. **Q: What is the primary function of TFCs in the Musharakah-based financing model?**

a) To act as collateral

Mc Learning House

b) To generate immediate returns

c) To share in the risk and reward of the company

d) To provide interest-free loans

Answer: c) To share in the risk and reward of the company

20. **Q: How does the TFC payment structure align with Islamic finance principles?**

a) It complies with Shariah principles

b) It involves interest payments

c) It is solely based on fixed interest rates

d) It is not consistent with Islamic finance principles

Answer: a) It complies with Shariah principles

Q&A:

1. **Q: What is the primary purpose of the 5-year term finance certificates (TFCs) issued by Sitara Chemical Industries?**

   A: The primary purpose is to meet the cost of an expansion project.

2. **Q: How much were the TFCs issued for by Sitara Chemical Industries in June 2002?**

   A: The TFCs were issued for Rs. 360 million.

3. **Q: What is the basis of the TFCs issued by Sitara Chemical Industries?**

   A: The TFCs are based on the mechanism of Shirkah.

4. **Q: How often is profit paid to TFC holders?**

   A: Profit is paid to TFC holders every six months.

5. **Q: How is profit payment structured for the first Rs. 100 million operating profit?**

   A: The profit is structured at 12% p.a. of the outstanding principal.

MC Learning House

6. **Q: What is the term used for the profit distributed on each subsequent Rs. 100 million operating profit?**

   A: It is called Level II Profit.

7. **Q: Where is a quarter of the Level II Profit transferred?**

   A: A quarter of the Level II Profit is transferred to the Takaful Reserve.

8. **Q: How is the balance of Level II Profit distributed?**

   A: The balance is distributed to the TFC holders.

9. **Q: What happens if the final profit payment exceeds on-account profit payments to TFC holders?**

   A: The excess amount is paid along with the next six-monthly on-account profit payment.

10. **Q: How are on-account profit payments adjusted in case of a loss?**

    A: On-account profit payments are adjusted by reducing future payments.

11. **Q: What is the primary purpose of the TFCs in the securities market?**

    A: The primary purpose is to be tradable in the securities market.

12. **Q: What type of reserve is created with a portion of the Level II Profit?**

    A: A Takaful Reserve is created.

13. **Q: What is the purpose of the Mudarabah Reserve?**

    A: The Mudarabah Reserve is created to offset losses.

14. **Q: What is the key factor linked to the payment of profit to TFC holders?**

    A: The key factor is the actual performance of the company.

15. **Q: How does the TFC payment structure link to the company's operating profit?**

    A: It is directly proportional to the company's operating profit.

16. **Q: What is the tenure of the TFCs issued by Sitara Chemical Industries?**

    A: The tenure of the TFCs is 5 years.

MC Learning House

17. **Q: How are TFCs different from conventional debt instruments?**

    A: TFCs involve profit-sharing, unlike conventional debt instruments.

18. **Q: What is the linkage between TFC holders and the company's success?**

    A: TFC holders benefit only if the company is profitable.

19. **Q: What is the primary function of TFCs in the Musharakah-based financing model?**

    A: The primary function is to share in the risk and reward of the company.

20. **Q: How does the TFC payment structure align with Islamic finance principles?**

    A: The TFC payment structure complies with Shariah principles.

140: Particpatory Modes - TFC on Musharkah

MCQs:

1. **Q: What range of annual profit did Sitara TFCs provide?**

    a. 10-15%

    b. 15-24%

    c. 20-30%

    d. 5-10%

    Answer: b. 15-24%

2. **Q: Why are Sitara TFCs not available in the secondary market?**

    a. Lack of demand

    b. Low profitability

    c. Holders locked in for high profitability

    d. Regulatory restrictions

    Answer: c. Holders locked in for high profitability

MC Learning House

3. **Q: What should Islamic banks focus on when a customer approaches them for financing?**

    a. Standardized offerings

    b. Evaluating customer requirements

    c. High-profit products

    d. Quick approvals

    Answer: b. Evaluating customer requirements

4. **Q: Which mode of financing is NOT mentioned as suitable for every kind of need?**

    a. Murabaha

    b. Ijarah

    c. Diminishing Musharakah

    d. Mudarabah

    Answer: a. Murabaha

5. **Q: In Diminishing Musharakah, what type of assets are commonly involved?**

    a. Consumable assets

    b. Non-consumable assets

    c. Liquid assets

    d. Intangible assets

    Answer: b. Non-consumable assets

6. **Q: Which mode allows for prepayment of financing?**

    a. Salam

    b. Istisna'

    c. Murabaha

    d. Musharakah

MC Learning House

Answer: c. Murabaha

7. **Q: What is the primary use of Salam?**

   a. Financing ready-made garments

   b. Export financing

   c. Working capital finance

   d. Manufacturing

   Answer: d. Manufacturing

8. **Q: Which mode combines Murabaha with Istisna'a and Wakalah for working capital finance?**

   a. Salam

   b. Diminishing Musharakah

   c. Murabaha-Istisna'a

   d. Mudarabah

   Answer: c. Murabaha-Istisna'a

9. **Q: In working capital finance, what can Salam effectively be used for?**

   a. Purchase of raw material

   b. Overhead expenses

   c. Export financing

   d. Lease financing

   Answer: a. Purchase of raw material

10. **Q: What is a key feature of Salam-compatible assets?**

    a. Non-halal nature

    b. Perishable

    c. Halal nature

MC Learning House

d. Intangible

Answer: c. Halal nature

11. **Q: What is the primary function of TFCs in the Musharakah-based financing model?**

    a. Generate fixed income

    b. Share in the risk and reward

    c. Provide loans

    d. Guarantee returns

    Answer: b. Share in the risk and reward

12. **Q: How often is profit paid to TFC holders?**

    a. Monthly

    b. Quarterly

    c. Semi-annually

    d. Annually

    Answer: c. Semi-annually

13. **Q: What type of reserve is created with a portion of the Level II Profit?**

    a. Mudarabah Reserve

    b. Takaful Reserve

    c. Istisna‘ Reserve

    d. Salam Reserve

    Answer: b. Takaful Reserve

14. **Q: How does the TFC payment structure link to the company's operating profit?**

    a. Fixed percentage of operating profit

    b. Proportional to operating profit

MC Learning House

c. Independent of operating profit

d. Inversely proportional to operating profit

Answer: b. Proportional to operating profit

15. **Q: What is the tenure of the TFCs issued by Sitara Chemical Industries?**

a. 2 years

b. 5 years

c. 10 years

d. 15 years

Answer: b. 5 years

16. **Q: How are TFCs different from conventional debt instruments?**

a. They have fixed returns

b. They involve profit-sharing

c. They have no maturity

d. They are not tradable

Answer: b. They involve profit-sharing

17. **Q: What is the linkage between TFC holders and the company's success?**

a. Guaranteed returns

b. No linkage

c. Benefit only if the company is profitable

d. Linked to market conditions

Answer: c. Benefit only if the company is profitable

18. **Q: What is the primary purpose of TFCs in securitization on a Musharakah basis?**

a. Generate fixed income

MC Learning House

b. Pool liquid assets

c. Guarantee returns

d. Hedge against losses

Answer: b. Pool liquid assets

19. **Q: What does Musharakah-based securitization allow in the secondary market?**

a. Trading of ownership certificates

b. Exchange of profit commitments

c. Issuance of fixed-income securities

d. No secondary market trading

Answer: a. Trading of ownership certificates

20. **Q: How is the profit-sharing ratio typically structured in Running Musharakah?**

a. Equal sharing

b. Bank receives a fixed percentage

c. Bank receives the majority

d. Bank receives a small ratio

Answer: d. Bank receives a small ratio

Q&A:

7. **Q: What is the significance of TFCs in Islamic financing?**

A: Term Finance Certificates (TFCs) represent a form of participatory instruments used in Islamic financing to raise funds for various projects.

8. **Q: How did Sitara Chemical Industries utilize the funds raised through TFCs?**

A: The funds raised through TFCs were utilized to meet a part of the cost of an expansion project undertaken by Sitara Chemical Industries.

9. **Q: Why are TFCs based on the mechanism of Shirkah?**

MC Learning House

A: TFCs are based on the mechanism of Shirkah to ensure that the payment of profit or sharing of loss is linked to the actual performance of the company, promoting fairness in the financial arrangement.

10. **Q: How often is profit paid on Sitara TFCs, and how is it calculated?**

    A: Profit on Sitara TFCs is paid on a six-monthly basis. The yearly operating profit is divided into two tiers: Level I Profit for the first Rs. 100 million at 12% p.a. and Level II Profit for subsequent Rs. 100 million at 2% p.a.

11. **Q: What happens if the final profit payment exceeds the on-account profit payments?**

    A: If the final profit payment of a year exceeds the on-account profit payments, the excess amount will be paid along with the next six-monthly on-account profit payment.

12. **Q: How is the profitability of Sitara TFCs reflected in their market availability?**

    A: Sitara TFCs are not available in the secondary market as the holders are locked in, reflecting their high profitability and the preference of holders to retain them.

13. **Q: Why is it important for Islamic banks to focus on selecting financing modes that suit customer requirements?**

    A: Islamic banks need to focus on modes that best suit customer requirements to ensure the offering of tailored and ethical financial products, promoting customer satisfaction.

14. **Q: What are the salient features of major modes of financing, such as Diminishing Musharakah, Ijarah, and Murabaha?**

    A: Diminishing Musharakah is long-term and involves joint ownership, Ijarah can be short or long-term with fixed/variable rates, and Murabaha is short/long-term with a fixed rate.

15. **Q: In which scenario is Salam financing most effectively used?**

    A: Salam financing can be effectively used to finance the working capital needs of industries such as sugar, fertilizer, and cement.

16. **Q: How can Islamic banks combine different modes for working capital finance, especially for exporters?**

MC Learning House

A: Islamic banks can combine Murabaha with Istisna‘ and Wakalah for working capital finance, especially for exporters, to cover the processing of raw materials and other expenses.

17. **Q: What is the role of Istisna‘ in the working capital finance procedure?**

    A: Istisna‘ is used in the procedure for working capital finance to manufacture required goods, covering the processing of raw materials and labor expenses.

18. **Q: Why is Murabaha alone insufficient for meeting all the requirements of business and industry?**

    A: Murabaha alone may be insufficient as it primarily involves the purchase and sale of goods, and businesses may require additional modes for manufacturing and processing needs.

19. **Q: How does import financing through Murabaha work in terms of the agent and negotiation of FX rates?**

    A: In import financing through Murabaha, the customer acts as an agent, purchases goods on the bank's behalf, negotiates FX rates, and sells the goods to the bank through Murabaha.

20. **Q: What is the benefit of combining Murabaha with Istisna‘and Wakalah for exporters in processing raw materials?**

    A: Combining Murabaha with Istisna‘and Wakalah helps exporters cover the processing of raw materials and other expenses, providing a comprehensive solution.

21. **Q: How can Salam financing be effectively used to meet working capital needs in certain industries?**

    A: Salam financing can be effectively used to meet working capital needs, particularly in industries like sugar, fertilizer, and cement, addressing specific requirements.

22. **Q: What is the example of Musharakah-based financing through the issuance of participatory instruments mentioned?**

A: The example is the 5-year term finance certificates (TFCs) issued by Sitara Chemical Industries in Pakistan.

23. **Q: How was the amount raised through the TFC issue utilized by Sitara Chemical Industries?**

MC Learning House

A: The amount raised through the TFC issue was utilized to meet a part of the cost of an expansion project of the company.

24. **Q: What is the mechanism on which the TFCs issued by Sitara Chemical Industries are based?**

A: The TFCs are based on the mechanism of Shirkah.

25. **Q: What is the frequency of profit payment for the TFC holders?**

A: Profit is paid on a six-monthly basis.

26. **Q: How is the yearly operating profit divided for profit sharing with TFC holders?**

A: The yearly operating profit is divided into two tiers: Level I Profit and Level II Profit.

141: Suitable Modes of Financing

MCQs:

1. **Q: What is the primary concern with the practice of bill discounting for post-shipment financing?**

   A. Riba-based nature

   B. High service charges

   C. Complexity in transactions

   D. Lack of transparency

   Answer: A. Riba-based nature

2. **Q: What is one alternative option available to an Islamic bank for post-shipment financing?**

   A. Charging high-interest rates

   B. Issuance of Qarz-e-Hasan

   C. Engaging in bill discounting

   D. Offering interest-free loans

   Answer: B. Issuance of Qarz-e-Hasan

MC Learning House

3. **Q: In the context of bill collection, what role does the Islamic bank play as a collecting agent?**

   A. Offering high-interest rates

   B. Taking over bills for negotiation

   C. Receiving service charges

   D. Providing Riba-based financing

   Answer: C. Receiving service charges

4. **Q: What is the pricing mechanism in bill negotiation using the Murabaha approach?**

   A. Time-related service charge

   B. Fixed face value

   C. Negotiation based on profit

   D. Floating exchange rates

   Answer: B. Fixed face value

5. **Q: In the Murabaha approach for post-shipment financing, what does the Islamic bank disburse funds for?**

   A. Payment of service charges

   B. Purchasing raw materials

   C. Covering exchange rate losses

   D. Settling outstanding bills

   Answer: B. Purchasing raw materials

6. **Q: What transaction mechanism is employed in the Murabaha-based post-shipment financing example?**

   A. Salam

   B. Mudarabah

MC Learning House

C. Takaful

D. Agency Agreement

Answer: D. Agency Agreement

7. **Q: In the Murabaha-based post-shipment financing, when does the foreign bank remit the amount?**

   A. At the time of bill negotiation

   B. After purchasing raw materials

   C. Before the due date

   D. On the due date

   Answer: D. On the due date

8. **Q: What is the significance of quoting the rate in the Murabaha-based post-shipment financing?**

   A. Determining the exchange rate

   B. Influencing service charges

   C. Setting the profit margin

   D. Assessing raw material prices

   Answer: C. Setting the profit margin

9. **Q: What does the client identify in the Murabaha-based post-shipment financing process?**

   A. Exchange rate fluctuations

   B. Needs for raw materials

   C. Profit margins

   D. Due dates for payments

   Answer: B. Needs for raw materials

MC Learning House

10. **Q: What does the Islamic bank debit from the client's account on the due date in Murabaha-based post-shipment financing?**

    A. Profit amount

    B. Principal amount

    C. Service charges

    D. Exchange rate differences

    Answer: B. Principal amount

11. **Q: What is the key advantage of using Qarz-e-Hasan in post-shipment financing?**

    A. High-profit margins

    B. Elimination of Riba

    C. Low service charges

    D. Variable exchange rates

    Answer: B. Elimination of Riba

12. **Q: In the bill collection process, what does the Islamic bank negotiate when bills are taken over?**

    A. Exchange rates

    B. Service charges

    C. Face value

    D. Profit percentages

    Answer: C. Face value

13. **Q: What is the primary characteristic of the service charges in the bill collection process?**

    A. Time-related

    B. Amount-related

    C. Negotiation-based

MC Learning House

D. Fixed percentage

Answer: B. Amount-related

14. **Q: What is the role of the Islamic bank in the Murabaha approach for post-shipment financing?**

    A. Selling goods on credit

    B. Purchasing goods as an agent

    C. Negotiating bills for clients

    D. Charging interest on bills

    Answer: B. Purchasing goods as an agent

15. **Q: What is the primary purpose of using the Murabaha approach for post-shipment financing?**

    A. Maximizing profits

    B. Meeting service charge targets

    C. Facilitating raw material purchases

    D. Reducing exchange rate risks

    Answer: C. Facilitating raw material purchases

16. **Q: In the Murabaha-based post-shipment financing, what is the client's responsibility after purchasing raw materials?**

    A. Settling outstanding bills

    B. Negotiating service charges

    C. Selling goods to the bank

    D. Remitting foreign currency

    Answer: C. Selling goods to the bank

17. **Q: What is the spot rate used for in the Murabaha-based post-shipment financing example?**

MC Learning House

A. Determining service charges

B. Calculating exchange rate losses

C. Identifying raw material prices

D. Quoting the rate to the client

Answer: D. Quoting the rate to the client

18. **Q: What is the primary consideration for the Islamic bank while executing transactions in the Murabaha approach?**

A. Timing of transactions

B. Profit-sharing percentages

C. Raw material quality

D. Fixed face value

Answer: D. Fixed face value

19. **Q: In the Murabaha-based post-shipment financing, what does the Islamic bank gain profit from?**

A. Service charges

B. Exchange rate differences

C. Negotiation of bills

D. Selling goods at a markup

Answer: D. Selling goods at a markup

20. **Q: What distinguishes the Murabaha-based post-shipment financing from traditional bill discounting?**

A. Riba-based nature

B. High service charges

C. Fixed face value

D. Negotiation of exchange rates

MC Learning House

Answer: C. Fixed face value

Q&A:

1. **Q: What is the primary concern with the conventional practice of bill discounting for post-shipment financing in Islamic banking?**

   A: The conventional practice involves Riba (interest), which is not permissible in Islamic finance.

2. **Q: How can an Islamic bank provide an alternative to post-shipment discounting?**

   A: An alternative could be the issuance of Qarz-e-Hasan equal to the value of the exported goods.

3. **Q: What role does the Islamic bank play as a collecting agent in the context of bill collection for post-shipment financing?**

   A: The bank takes over bills for collection from the drawee and receives agreed service charges.

4. **Q: What is the pricing mechanism in bill negotiation when using the Murabaha approach for post-shipment financing?**

   A: Negotiation of the bills is done at the fixed face value with a service charge amount-related.

5. **Q: For what purpose does the Islamic bank disburse funds in the Murabaha approach for post-shipment financing?**

   A: The bank disburses funds for the client to purchase raw materials as an agent.

6. **Q: What transaction mechanism is employed when using the Murabaha approach for post-shipment financing?**

   A: The transaction mechanism involves an Agency Agreement between the bank and the client.

7. **Q: When does the foreign bank remit the amount in the Murabaha-based post-shipment financing?**

   A: The foreign bank remits the amount on the due date.

8. **Q: What is the significance of quoting the rate in the Murabaha-based post-shipment financing?**

MC Learning House

A: Quoting the rate is crucial for setting the profit margin in the transaction.

9. **Q: What does the client identify in the Murabaha-based post-shipment financing process?**

   A: The client identifies his needs for raw materials necessary for the production of goods.

10. **Q: What does the Islamic bank debit from the client's account on the due date in Murabaha-based post-shipment financing?**

    A: The Islamic bank debits the principal amount from the client's account.

11. **Q: What is the key advantage of using Qarz-e-Hasan in post-shipment financing?**

    A: The key advantage is the elimination of Riba, making it compliant with Islamic principles.

12. **Q: In the bill collection process, what does the Islamic bank negotiate when bills are taken over?**

    A: The bank negotiates the face value of the bills.

13. **Q: What is the primary characteristic of the service charges in the bill collection process?**

    A: The service charges are amount-related rather than time-related.

14. **Q: What is the role of the Islamic bank in the Murabaha approach for post-shipment financing?**

    A: The bank acts as an agent, purchasing goods on behalf of the client.

15. **Q: What is the primary purpose of using the Murabaha approach for post-shipment financing?**

    A: The primary purpose is to facilitate the purchase of raw materials for production.

16. **Q: After purchasing raw materials in the Murabaha-based post-shipment financing, what is the client's responsibility?**

    A: The client sells the manufactured goods to the bank as per the agreed schedule.

17. **Q: What is the spot rate used for in the Murabaha-based post-shipment financing example?**

MC Learning House

A: The spot rate is used for quoting the rate to the client.

18. **Q: What is the primary consideration for the Islamic bank while executing transactions in the Murabaha approach?**

    A: The primary consideration is the fixed face value in the transaction.

19. **Q: In the Murabaha-based post-shipment financing, what does the Islamic bank gain profit from?**

    A: The bank gains profit from selling goods to the client at a markup.

20. **Q: What distinguishes the Murabaha-based post-shipment financing from traditional bill discounting?**

    A: The distinguishing factor is the fixed face value used in the Murabaha approach.

142 Specific Areas of Financing -1

MCQs:

1. **Q: What is the alternative product introduced to meet the liquidity needs of exporters in place of post-shipment discounting?**

   A. Mudarabah

   B. Currency Salam

   C. Ijarah

   D. Murabaha

   Answer: B. Currency Salam

2. **Q: When does an exporter typically approach an Islamic bank for Currency Salam?**

   A. After receiving payment

   B. Before exporting goods

   C. At the time of shipment

   D. Upon completion of the export contract

   Answer: C. At the time of shipment

MC Learning House

3. **Q: What does the Islamic bank do in Currency Salam to provide liquidity to the exporter urgently?**

   A. Issues Qarz-e-Hasan

   B. Places an order to supply foreign currency

   C. Offers Murabaha financing

   D. Provides a grant

   Answer: B. Places an order to supply foreign currency

4. **Q: What is the advance payment made by the Islamic bank in Currency Salam?**

   A. Equivalent amount in local currency

   B. Full payment in foreign currency

   C. Percentage of the export value

   D. Variable amount depending on need

   Answer: A. Equivalent amount in local currency

5. **Q: What is the completion step in Currency Salam once the exporter receives the foreign currency?**

   A. Bai al-Sarf

   B. Currency Swap

   C. Salam Sale

   D. Bai al-Inah

   Answer: C. Salam Sale

6. **Q: How is paper currency treated in the context of Currency Salam?**

   A. Currency Swap

   B. As a commodity

   C. Subject to Murabaha rules

MC Learning House

D. Bai al-Inah

Answer: B. As a commodity

7. **Q: According to scholars, what is the majority view on the status of paper currency in Currency Salam?**

   A. Treated as a commodity

   B. Subject to Murabaha rules

   C. In the status of Dirham and Dinar

   D. Allowed by AAOIFI

   Answer: C. In the status of Dirham and Dinar

8. **Q: What objection has been raised by scholars against Currency Salam?**

   A. It violates Riba principles

   B. Currency Swap is not allowed

   C. Dirham and Dinar are not acceptable

   D. Paper currency is in the status of Bai al-Sarf

   Answer: D. Paper currency is in the status of Bai al-Sarf

9. **Q: What does an Islamic bank do after receiving the Dollars in Currency Salam?**

   A. Returns the foreign currency

   B. Sells the foreign currency to another bank

   C. Provides the foreign currency to the exporter

   D. Converts foreign currency to local currency at market rates

   Answer: C. Provides the foreign currency to the exporter

10. **Q: In Currency Salam, what is the status of paper currency according to AAOIFI?**

    A. Acceptable as a commodity

    B. Treated as currency

MC Learning House

C. Subject to Murabaha rules

D. Not allowed

Answer: D. Not allowed

11. **Q: What is the primary purpose of the advance payment in Currency Salam?**

A. To facilitate Bai al-Inah

B. To provide liquidity to the exporter

C. To invest in foreign exchange

D. To cover bank's operational costs

Answer: B. To provide liquidity to the exporter

12. **Q: How is the product of Currency Salam different from conventional post-shipment discounting?**

A. It involves Riba

B. It includes Mudarabah principles

C. It treats paper currency as a commodity

D. It follows Bai al-Sarf rules

Answer: C. It treats paper currency as a commodity

13. **Q: When does an exporter receive documentary evidence in Currency Salam?**

A. After completion of export

B. At the time of shipment

C. Before contacting the bank

D. After receiving payment

Answer: B. At the time of shipment

14. **Q: What role does the exporter play after receiving the foreign currency in Currency Salam?**

MC Learning House

A. Returns the currency to the bank

B. Completes the Salam Sale

C. Converts it to local currency at market rates

D. Invests it in foreign exchange

Answer: B. Completes the Salam Sale

15. **Q: What is the objection raised by scholars against Currency Salam regarding the status of paper currency?**

A. It violates Murabaha rules

B. Currency is treated as a commodity

C. Paper currency is in the status of Bai al-Sarf

D. It contradicts Qarz-e-Hasan principles

Answer: C. Paper currency is in the status of Bai al-Sarf

16. **Q: How is the objection against Currency Salam supported by AAOIFI?**

A. It allows Salam in Currencies

B. It supports the status of Dirham and Dinar

C. It is silent on the matter

D. It contradicts AAOIFI guidelines

Answer: D. It contradicts AAOIFI guidelines

17. **Q: What is the key characteristic of paper currency in the context of Currency Salam?**

A. Treated as a liquid asset

B. Subject to Bai al-Inah rules

C. Commodity status

D. Dirham and Dinar

MC Learning House

Answer: D. Dirham and Dinar

18. **Q: How is the objection against Currency Salam related to Ahkam of bai-Sarf?**

    A. It aligns with Ahkam of bai-Sarf

    B. It violates Ahkam of bai-Sarf

    C. Ahkam of bai-Sarf are not relevant

    D. It is silent on the matter

    Answer: B. It violates Ahkam of bai-Sarf

19. **Q: In Currency Salam, what does the bank provide to the exporter after receiving the foreign currency?**

    A. Local currency equivalent

    B. Commodity in kind

    C. Murabaha financing

    D. Qarz-e-Hasan

    Answer: A. Local currency equivalent

20. **Q: How is the objection against Currency Salam supported by contemporary scholars?**

    A. It is allowed by majority scholars

    B. Currency is not in the status of Dirham and Dinar

    C. Majority scholars accept Salam in Currencies

    D. AAOIFI guidelines support it

    Answer: B. Currency is not in the status of Dirham and Dinar

Q&A:

1. **Q: What is the purpose of introducing Currency Salam as an alternative to post-shipment discounting for exporters?**

MC Learning House

- A: Currency Salam serves to meet the liquidity needs of exporters by providing an Islamic financing solution.

2. **Q: When does an exporter typically approach an Islamic bank for Currency Salam?**

- A: An exporter usually approaches the bank at the time of shipment when there is a need for urgent liquidity.

3. **Q: How does an Islamic bank provide liquidity to an exporter in Currency Salam?**

- A: The bank places an order to supply foreign currency and pays an equivalent amount in local currency in advance.

4. **Q: What is the purpose of the advance payment made by the Islamic bank in Currency Salam?**

- A: The advance payment is made to provide immediate liquidity to the exporter for their urgent needs.

5. **Q: What is the completion step in Currency Salam once the exporter receives the foreign currency?**

- A: The completion step involves the exporter selling the foreign currency to the bank in a Salam sale transaction.

6. **Q: How is paper currency treated in Currency Salam?**

- A: Paper currency is treated as a commodity in Currency Salam rather than being treated as a conventional currency.

7. **Q: According to AAOIFI, what is the status of paper currency in Currency Salam?**

- A: AAOIFI does not allow Salam in Currencies, considering paper currency to be subject to the rules of Bai al-Sarf.

8. **Q: What objection has been raised by scholars against the treatment of paper currency in Currency Salam?**

- A: Scholars argue that paper currency is in the status of Bai al-Sarf, contradicting the commodity-based approach in Salam.

9. **Q: How does an Islamic bank handle the foreign currency received in Currency Salam?**

- A: The bank provides the received foreign currency to the exporter, fulfilling the Salam sale agreement.

MC Learning House

10. **Q: In Currency Salam, why is the product considered to treat paper currency differently from conventional post-shipment discounting?**

- A: Currency Salam treats paper currency as a commodity, distinguishing it from conventional interest-based post-shipment discounting.

11. **Q: What is the significance of the documentary evidence received by the exporter in Currency Salam?**

- A: The documentary evidence is received at the time of shipment and signifies the commitment to receive payment in foreign currency in the future.

12. **Q: What role does the exporter play after receiving the foreign currency in Currency Salam?**

- A: The exporter completes the Salam sale transaction, providing the foreign currency to the bank.

13. **Q: What objection has been raised by scholars against the status of paper currency in Currency Salam?**

- A: Scholars argue that paper currency is in the status of Bai al-Sarf, and AAOIFI guidelines do not support Salam in Currencies.

14. **Q: How is the objection against Currency Salam related to the principles of Bai al-Sarf?**

- A: The objection is rooted in the view that paper currency, in the context of Salam, should be subject to the rules of Bai al-Sarf.

15. **Q: How is the objection against Currency Salam supported by AAOIFI?**

- A: AAOIFI guidelines do not allow Salam in Currencies, aligning with the objection against the treatment of paper currency.

16. **Q: What is the primary purpose of the advance payment in Currency Salam?**

- A: The advance payment is made to provide liquidity to the exporter, addressing their urgent financial needs.

17. **Q: How does Currency Salam differ from conventional post-shipment discounting?**

- A: Currency Salam treats paper currency as a commodity, providing an Islamic alternative to interest-based post-shipment discounting.

18. **Q: When does an exporter receive documentary evidence in Currency Salam?**

MC Learning House

- A: The exporter receives documentary evidence at the time of shipment, indicating the commitment to receive payment in foreign currency.

19. **Q: What objection has been raised by scholars regarding the status of paper currency in Currency Salam?**

- A: Scholars argue that paper currency is not in the status of Dirham and Dinar, and AAOIFI does not support Salam in Currencies.

20. **Q: How does an Islamic bank provide liquidity to an exporter urgently in Currency Salam?**

- A: The bank places an order to supply foreign currency, paying an equivalent amount in local currency in advance to meet the exporter's urgent needs.

143 Specific Areas of Financing -2

MCQs:

1. **Q: In project financing, which of the following modes can Islamic banks use for providing funds?**

   a) Murabaha

   b) Ijarah

   c) Salam

   d) Bai al-Inah

   Answer: b) Ijarah

2. **Q: In the construction of a Cement Plant (Case 1), what type of contract can the Islamic bank enter into with the client?**

   a) Salam contract

   b) Murabaha contract

   c) Diminishing Musharakah (DM) contract

   d) Istisna‘a contract

   Answer: c) Diminishing Musharakah (DM) contract

MC Learning House

3. **Q: In Case 1, what type of contract can the bank enter into with a contractor for the construction of the plant?**

   a) Murabaha contract

   b) Ijarah contract

   c) Istisna‘a contract

   d) Mudarabah contract

   Answer: c) Istisna‘a contract

4. **Q: What role does the customer play in Case 1 after the construction is completed?**

   a) Pays rent for using the bank's share

   b) Receives profit share

   c) Acts as an agent for the contractor

   d) Purchases the units of the bank's share

   Answer: a) Pays rent for using the bank's share

5. **Q: In Case 1, how does the customer eventually become the sole owner of the plant?**

   a) By paying a lump sum amount

   b) By purchasing units of the bank's share

   c) By receiving a donation

   d) By obtaining a loan

   Answer: b) By purchasing units of the bank's share

6. **Q: In project financing, what arrangement can banks form for the construction of significant projects like an Oil Terminal (Case 2)?**

   a) Ijarah

   b) Syndication

   c) Mudarabah

MC Learning House

d) Bai al-Inah

Answer: b) Syndication

7. **Q: What financial instrument may be issued for raising funds in Case 2?**

   a) Shares

   b) Debentures

   c) Sukuk

   d) Bonds

   Answer: c) Sukuk

8. **Q: What do Sukuk represent in Case 2?**

   a) Ownership in a company

   b) Debt obligation

   c) Proportionate ownership in the project's assets

   d) Equity stake in the bank

   Answer: c) Proportionate ownership in the project's assets

9. **Q: What can Sukuk holders receive as a return in Case 2?**

   a) Fixed interest

   b) Profit share

   c) Dividends

   d) All of the above

   Answer: d) All of the above

10. **Q: Which mode of financing is NOT mentioned as a potential choice for project financing in the provided examples?**

    a) Ijarah

    b) Musharakah

MC Learning House

c) Salam

d) Bai al-Inah

Answer: c) Salam

11. **Q: What is the primary purpose of the Diminishing Musharakah (DM) contract in project financing?**

a) To provide a fixed return to the bank

b) To establish a partnership between the bank and the client

c) To act as a loan agreement

d) To facilitate a lease arrangement

Answer: b) To establish a partnership between the bank and the client

12. **Q: In the context of project financing, what role does syndication play?**

a) Issuing currency

b) Forming partnerships

c) Collaborative financing by multiple banks

d) Auctioning assets

Answer: c) Collaborative financing by multiple banks

13. **Q: What does Istisna'a contract involve in the context of project financing?**

a) Leasing of assets

b) Construction of specific goods or assets

c) Sale of goods at a fixed price

d) Partnership in a business venture

Answer: b) Construction of specific goods or assets

14. **Q: What is the purpose of issuing Sukuk in project financing?**

a) To offer fixed-interest bonds

MC Learning House

b) To provide ownership stakes in the bank

c) To raise funds by representing proportionate ownership in project assets

d) To facilitate short-term financing

Answer: c) To raise funds by representing proportionate ownership in project assets

15. **Q: What distinguishes Sukuk from conventional bonds in project financing?**

a) Sukuk offer fixed interest rates

b) Sukuk are not tradable

c) Sukuk represent ownership in underlying assets

d) Sukuk do not provide any return to holders

Answer: c) Sukuk represent ownership in underlying assets

16. **Q: What is the mechanism for the customer to become the sole owner of the plant in Case 1?**

a) Payment of a lump sum amount

b) Gradual purchase of units of the bank's share

c) Surrendering ownership to the bank

d) Obtaining a loan from the bank

Answer: b) Gradual purchase of units of the bank's share

17. **Q: In the construction of a Cement Plant, what is the client's initial role after the Diminishing Musharakah (DM) contract is established?**

a) Sole ownership of the plant

b) Acting as an agent for the contractor

c) Paying rent for using the bank's share

d) Purchasing units of the bank's share

Answer: b) Acting as an agent for the contractor

MCLearning House

18. **Q: What form of financing is commonly used for working capital needs in the given content?**

    a) Ijarah

    b) Salam

    c) Murabaha

    d) Musharakah

    Answer: c) Murabaha

19. **Q: What role does the customer play in working capital financing using Murabaha, Istisna'a, and Wakalah?**

    a) Manufacturing and delivering goods

    b) Paying rent for using assets

    c) Purchasing units of the bank's share

    d) Issuing Sukuk

    Answer: a) Manufacturing and delivering goods

20. **Q: In alternative financing to post-shipment discounting, what option involves using Murabaha for catering to the raw material needs of the exporter?**

    a) Issuance of Qarz-e-Hasan

    b) Use of Currency Salam

    c) Currency exchange at a fixed rate

    d) Ijarah financing

    Answer: b) Use of Currency Salam

Q&A:

1. **Q: What modes of financing are suitable for project financing in Islamic banking?**

   A: Islamic banks can utilize Ijarah, Istisna', Musharakah, and Diminishing Musharakah for project financing.

MC Learning House

2. **Q: Explain the role of the customer after the construction is completed in project financing using Diminishing Musharakah.**

   A: The customer pays rent for using the bank's share in the plant and gradually purchases units to become the sole owner.

3. **Q: What does syndication involve in the context of project financing?**

   A: Syndication involves multiple banks collaborating to finance significant projects collectively.

4. **Q: How can Sukuk be used in project financing, and what do they represent?**

   A: Sukuk may be issued to raise funds, representing proportionate ownership in project assets with returns in rent or profit.

5. **Q: What is the purpose of using Istisna'an in project financing?**

   A: Istisna'a is used for the construction of specific goods or assets in project financing.

6. **Q: Explain the concept of Currency Salam as an alternative to post-shipment discounting.**

   A: Currency Salam involves advance payment in Rupees for future foreign currency receipts, treating paper currency as a commodity.

7. **Q: What objection has been raised by scholars against Currency Salam, and what does AAOIFI recommend?**

   A: Scholars raise objections, considering paper currency as Dirham and Dinar; AAOIFI also doesn't allow Salam in Currencies.

8. **Q: Which financing mode is commonly used for working capital needs in Islamic banking?**

   A: Murabaha is commonly used for working capital needs, especially for purchasing raw materials.

9. **Q: Describe the process of using Murabaha combined with Istisna'a and Wakalah for working capital needs.**

   A: Murabaha is used for raw material purchase, Istisna'a for manufacturing, and Wakalah for exporting, ensuring proper financing.

MC Learning House

10. **Q: What does Salam financing involve, and in which industries can it be effectively used for working capital?**

    A: Salam financing involves advance payment for future delivery, and it can be effectively used in industries like sugar, fertilizer, and cement.

11. **Q: What is the primary objection to the product of Running Musharakah in Islamic banking?**

    A: The objection is based on the unknown amount of capital for both parties at the time of contract.

12. **Q: How is profit calculated in Running Musharakah at two levels?**

    A: Profit is calculated at two levels, with a profit ratio defined for the bank and a small ratio allocated to the bank, giving the majority to the client.

13. **Q: In what context is the product "Running Musharakah" popular, and why is it favored by Islamic banks?**

    A: Running Musharakah is popular for financing working capital, with interest calculated on the utilized amount and favored for its simplicity.

14. **Q: How is the profit-sharing mechanism structured in the TFCs issued by Sitara Industries in Pakistan?**

    A: TFCs from Sitara Industries pay profits on a six-monthly basis, with Level I and Level II profit distribution based on the yearly operating profit.

15. **Q: What is the key characteristic of the TFCs issued by Sitara Industries that keeps holders locked in?**

    A: The TFCs are not available in the secondary market, keeping holders locked in due to their high profitability.

16. **Q: What are the three contracts involved in home financing through partnership for house purchase or construction?**

    A: The three contracts are Shirkatul Milk, Leasing (Ijarah) contract, and Purchase of other partner's share.

17. **Q: How does the monthly rent in home financing decrease over time, and when does it become zero?**

    A: The monthly rent decreases with the decline in the bank's share, and it becomes zero at the end when the client becomes the sole owner.

MC Learning House

18. **Q: In the context of participatory modes, why is it not allowed to combine different contracts in one contract in Diminishing Musharakah?**

    A: In Diminishing Musharakah, combining different contracts is not allowed to maintain the independence of each contract and avoid complications.

19. **Q: How many contracts are involved in a partnership created for a joint business activity in DM in Trade?**

    A: A partnership for a joint business activity in DM in Trade comprises two contracts: Shirkatul Aqd and Purchase of the other partner's share.

20. **Q: What is the sequencing of contracts in Diminishing Musharakah for home financing?**

    A: The sequencing involves Shirkatul Milk (joint ownership), Leasing (Ijarah) contract, and Purchase of the other partner's share in home financing.

144 Specific Areas of Financing -3

MCQs:

1. **Q: What are the two modes of financing mentioned for satisfying the financial needs of farmers in agriculture financing?**

   A. Mudarabah and Ijarah

   B. Murabaha and Salam

   C. Musharakah and Istisna'

   D. Bai-Salam and Musharakah

   Answer: B. Murabaha and Salam

2. **Q: In agriculture financing, which mode is suitable for the purchase of input such as seeds and fertilizers?**

   A. Ijarah

   B. Musharakah

   C. Murabaha

   D. Bai-Salam

MC Learning House

Answer: C. Murabaha

3. **Q: What type of expenses in agriculture financing can be covered by Bai-Salam?**

   A. Purchase of seeds

   B. Cost of electricity

   C. Hiring a tractor

   D. Both B and C

   Answer: D. Both B and C

4. **Q: In Bai-Salam, when does the bank pay the price to the farmer?**

   A. After harvesting

   B. Before the delivery of goods

   C. During the planting season

   D. At the time of maturity

   Answer: B. Before the delivery of goods

5. **Q: What expenses cannot be financed through Murabaha in agriculture financing?**

   A. Cost of electricity

   B. Cost of hiring a tractor

   C. Purchase of seeds

   D. Both A and B

   Answer: D. Both A and B

6. **Q: What role can the farmer play after harvesting in agriculture financing using Bai-Salam?**

   A. Selling the crop on the bank's behalf

   B. Becoming the sole owner of the produce

   C. Disposing of the produce independently

MC Learning House

D. None of the above

Answer: A. Selling the crop on the bank's behalf

7. **Q: Which mode of financing is NOT mentioned for agriculture financing in the given content?**

   A. Musharakah

   B. Ijarah

   C. Istisna‘

   D. Mudarabah

   Answer: C. Istisna‘

8. **Q: What is the primary purpose of using Murabaha in agriculture financing?**

   A. Financing tractor purchases

   B. Covering the cost of electricity

   C. Purchasing agricultural inputs

   D. Selling harvested crops

   Answer: C. Purchasing agricultural inputs

9. **Q: In Salam, what does the bank purchase from the farmer?**

   A. Harvested crops

   B. Agricultural inputs

   C. Land for cultivation

   D. Livestock

   Answer: B. Agricultural inputs

10. **Q: What type of expenses can be covered by Murabaha in agriculture financing?**

    A. Cost of hiring a tractor

    B. Purchase of seeds

MC Learning House

C. Cost of electricity

D. Both A and C

Answer: B. Purchase of seeds

11. **Q: When is the price paid in Salam in agriculture financing?**

A. After harvesting

B. During planting

C. Before the delivery of goods

D. At the time of maturity

Answer: C. Before the delivery of goods

12. **Q: What does Bai-Salam involve in agriculture financing?**

A. Buying crops after harvesting

B. Selling crops before planting

C. Purchasing a defined quantity for future delivery

D. Renting agricultural equipment

Answer: C. Purchasing a defined quantity for future delivery

13. **Q: Which mode of financing is suitable for covering the cost of electricity in agriculture financing?**

A. Mudarabah

B. Ijarah

C. Salam

D. None of the above

Answer: D. None of the above

14. **Q: In agriculture financing using Salam, what does the bank pay in advance to the farmer?**

MC Learning House

A. Harvested crops

B. Agricultural inputs

C. Land for cultivation

D. Livestock

Answer: B. Agricultural inputs

15. **Q: What is the purpose of using Bai-Salam in agriculture financing?**

A. Financing tractor purchases

B. Covering the cost of electricity

C. Purchasing agricultural inputs

D. Selling harvested crops

Answer: C. Purchasing agricultural inputs

16. **Q: What does Murabaha involve in agriculture financing?**

A. Buying crops after harvesting

B. Selling crops before planting

C. Financing the purchase of agricultural inputs

D. Selling agricultural machinery

Answer: C. Financing the purchase of agricultural inputs

17. **Q: In agriculture financing, what expenses are typically covered by Murabaha arrangements with suppliers?**

A. Cost of hiring a tractor

B. Cost of electricity

C. Purchase of seeds and fertilizers

D. Both A and B

Answer: C. Purchase of seeds and fertilizers

MC Learning House

18. **Q: What distinguishes Bai-Salam from Murabaha in agriculture financing?**

A. Timing of payment

B. Types of expenses covered

C. Involvement of farmers

D. Use of commodities as collateral

Answer: A. Timing of payment

19. **Q: What can be financed through Bai-Salam in agriculture financing?**

A. Hiring a tractor

B. Purchase of seeds

C. Cost of electricity

D. Both A and B

Answer: D. Both A and B

20. **Q: In agriculture financing, what role can the bank play after harvesting in Salam arrangements?**

A. Independent disposal of the produce

B. Appointing the farmer as its agent for selling the crop

C. Becoming the sole owner of the produce

D. All of the above

Answer: B. Appointing the farmer as its agent for selling the crop

Q&A:

1. Q: What are the three primary contracts involved in Diminishing Musharakah?

- A: Diminishing Musharakah involves the contracts of Shirkatul Milk, Ijarah, and the promise to purchase the partner's share.

2. Q: How is the sequencing of contracts in Diminishing Musharakah typically arranged?

MC Learning House

- A: The contracts are entered into separately, with a contract between partners to create joint ownership (Shirkat ul Milk) followed by leasing (Ijarah) and the promise to purchase the partner's share.

3. Q: What is the key principle regarding combining different contracts in Islamic finance, as mentioned in the context of Diminishing Musharakah?

- A: In principle, it is not allowed to combine different contracts in one contract.

4. Q: In DM (Diminishing Musharakah), which contract appears as a contract, and which ones appear as unilateral promises?

- A: In DM, only partnership (Shirakah) appears as a contract, while leasing and sale appear as unilateral promises.

5. Q: What is the basis for the bank's investment in a home purchase or construction partnership in DM Home Financing?

- A: The partnership is based on three contracts: Shirkatul Milk, Leasing (Ijarah) contract, and the promise to purchase the partner's share.

6. Q: In DM Home Financing, how does the client gradually become the sole owner of the house?

- A: The client purchases units of the bank's share on a monthly basis, increasing their ownership until they become the sole owner.

7. Q: What is the purpose of Running Musharakah in Islamic banking for working capital?

- A: Running Musharakah is used to finance the working capital of an enterprise by providing a running account for clients, allowing them to draw and return amounts as needed.

8. Q: How is the profit calculated in Running Musharakah, and what is the ratio allocated to the bank?

- A: Profit is calculated at two levels. In level one, a profit ratio is defined, providing the bank a rate comparable to conventional banks. In level two, a small ratio (e.g. 0.01) is allocated to the bank, with the remainder given to the client.

9. Q: What objection is raised against Running Musharakah as mentioned in the context of participatory modes?

- A: The objection is that the amount of capital for both parties remains unknown at the time of the contract.

MC Learning House

10. Q: What is securitization, and how can Musharakah be used as a basis for securitization? -

A: Securitization involves backing assets with a pool of liquid and tangible assets. Musharakah can be adopted for securitization, where certificates representing ownership in the assets are bought and sold in the secondary market.

11. Q: What certificates were issued by Sitara Industries in Pakistan, and what was their basis? –

A: Sitara Industries issued 5-year term finance certificates (TFCs) based on Musharakah, with a value of Rs. 360 million.

12. Q: How is the profit distributed in TFCs issued by Sitara Industries, and what are the levels of profit? –

A: The profit is distributed on a six-monthly basis. Level I profit is up to the first Rs. 100 million operating profit at 12% p.a., and Level II profit is distributed at the rate of 2% p.a. on each su

bsequent Rs. 100 million operating profit.

13. **Q: What is the alternative to post-shipment discounting mentioned in the context of export financing? –**

A: One alternative is the issuance of Qarz-e-Hasan equal to the value of exported goods.

14. **Q: What is the purpose of using Salam as an alternative to post-shipment discounting in export financing? –**

A: Salam can provide liquidity to an exporter by paying an advance price for exported goods.

15. **Q: How does Currency Salam differ from regular Salam in the context of post-shipment financing? –**

A: Currency Salam involves paying in foreign currency in advance, treating paper currency as a commodity.

16. **Q: What are the modes of financing that can be used for project financing in Islamic banking? –**

A: Project financing can be done through Ijarah, Istisna‘, Musharakah, and Diminishing Musharakah.

17. **Q: In project financing through Diminishing Musharakah, how does the client pay for the use of the bank's share? –**

MCLearning House

A: The client pays rent for using the bank's share in the project.

18. **Q: What role can syndication play in project financing for large projects?** –

A: Syndication involves forming a group of banks to finance large projects collectively.

19. **Q: In agriculture financing, which Islamic financing mode can be used for the purchase of seeds and fertilizers?** –

A: Murabaha can be used for the purchase of inputs in agriculture financing.

20. **Q: What is the purpose of appointing the farmer as the bank's agent after harvesting in agriculture financing?** –

A: The farmer is appointed as the bank's agent to sell the crop on behalf of the bank after harvesting.

145 Specific Areas of Financing -4

MCQs:

1. What does liquidity refer to in the context of banking?

A. Availability of fixed assets

B. Availability of cash and easily convertible financial papers or securities

C. Long-term investments

D. Borrowing capacity from the central bank

Answer: B. Availability of cash and easily convertible financial papers or securities

2. Why is neither a shortage nor an excess of liquidity considered good for a bank?

A. Excessive liquidity leads to inflation

B. Shortage of liquidity causes bankruptcy

C. Both A and B

D. Neither A nor B

MC Learning House

Answer: D. Neither A nor B

3. How do conventional banks typically manage liquidity?

A. Through Islamic inter-bank fund market

B. Through Murabaha contracts

C. Using interest-based instruments like interbank lending and purchase of bonds

D. By engaging in commodity trading

Answer: C. Using interest-based instruments like interbank lending and purchase of bonds

4. What difficulty do Islamic banks face in liquidity management?

A. Excess liquidity

B. Lack of Shari'ah-compliant instruments

C. High interest rates

D. Inability to deal with central banks

Answer: B. Lack of Shari'ah-compliant instruments

5. How can Islamic banks manage liquidity through the Islamic inter-bank fund market?

A. Direct placement of funds in the open market by surplus banks for use by deficit banks

B. Issuing conventional bonds

C. Investing in long-term projects

D. Participating in interest-based transactions

Answer: A. Direct placement of funds in the open market by surplus banks for use by deficit banks

6. Which contract is highlighted as the most useful instrument for transactions in the Islamic inter-bank market?

A. Ijarah

B. Mudarabah

MC Learning House

C. Murabaha

D. Musharakah

Answer: B. Mudarabah

7. In the context of the Mudarabah contract, what does a deficit bank agree to give to a surplus bank in the inter-bank market?

A. Fixed interest rate

B. Share of general profits according to a Mudarabah ratio

C. Principal amount

D. Ownership of assets

Answer: B. Share of general profits according to a Mudarabah ratio

8. How is the Mudarabah ratio determined in the inter-bank market?

A. By the central bank

B. Through a fixed formula

C. Negotiated according to market conditions

D. It is predetermined for all transactions

Answer: C. Negotiated according to market conditions

9. What is the primary challenge faced by Islamic banks in liquidity management, as mentioned in the text?

A. Lack of customer deposits

B. Inability to engage in profit-sharing contracts

C. Difficulty in finding investment opportunities

D. Inability to deal with conventional banks

Answer: B. Inability to engage in profit-sharing contracts

10. In conventional banks, what is the common method for managing liquidity that Islamic banks cannot use? –

MC Learning House

A. Mudarabah contracts –

B. Purchase of bonds –

C. Islamic inter-bank fund market –

D. Interest-based instruments

Answer: D. Interest-based instruments

11. How can a surplus bank place funds in the open market for use by a deficit bank? –

A. Through Mudarabah contracts –

B. By purchasing bonds –

C. Direct placement of funds in the open market –

D. Through Ijarah agreements

Answer: C. Direct placement of funds in the open market

12. What is the key advantage of using Mudarabah contracts for liquidity management in the inter-bank market? –

A. Fixed profits for all banks –

B. Easy negotiation of Mudarabah ratios –

C. Compatibility with interest-based instruments –

D. Fixed return on investments

Answer: B. Easy negotiation of Mudarabah ratios

13. What does the Mudarabah ratio determine in the inter-bank market? –

A. Fixed interest rate –

B. Share of general profits for the surplus bank –

C. Principal amount for the deficit bank –

D. Ownership of assets by the central bank

Answer: B. Share of general profits for the surplus bank

MC Learning House

14. Why are conventional instruments such as interbank lending not suitable for Islamic banks? –

A. Lack of profitability –

B. Non-compliance with Shari'ah principles –

C. Excessive risk –

D. Lack of customer demand

Answer: B. Non-compliance with Shari'ah principles

15. What is the primary instrument used by Islamic banks for transactions in the inter-bank market? –

A. Ijarah contracts –

B. Murabaha contracts –

C. Mudarabah contracts –

D. Salam contracts

Answer: C. Mudarabah contracts

16. What challenge do Islamic banks face in dealing with central banks for liquidity? –

A. Lack of communication channels –

B. Inability to negotiate Mudarabah ratios –

C. Non-compliance with interest-based policies –

D. Difficulty in participating in interest-based transactions

Answer: C. Non-compliance with interest-based policies

17. What distinguishes Mudarabah contracts from interest-based instruments in liquidity management? –

A. Fixed return on investment –

B. Shari'ah compliance –

C. Inclusion of interest charges –

MC Learning House

D. Inability to negotiate terms

Answer: B. Shari'ah compliance

18. Why is liquidity management essential for the health of a bank? –

A. Excess liquidity leads to inflation –

B. Shortage of liquidity causes bankruptcy –

C. Both A and B –

D. Neither A nor B

Answer: D. Neither A nor B

19. What is the primary challenge faced by Islamic banks in liquidity management, as mentioned in the text? –

A. Lack of customer deposits –

B. Inability to engage in profit-sharing contracts –

C. Difficulty in finding investment opportunities –

D. Inability to deal with conventional banks

Answer: B. Inability to engage in profit-sharing contracts

20. How can Islamic banks manage liquidity by dealing in the Islamic inter-bank fund market? –

A. Direct placement of funds in the open market by surplus banks for use by deficit banks –

B. Issuing conventional bonds –

C. Investing in long-term projects –

D. Participating in interest-based transactions

Answer: A. Direct placement of funds in the open market by surplus banks for use by deficit banks

Q&A:

MC Learning House

1. Question: What is the primary objective of Islamic banking?

- Answer: The primary objective of Islamic banking is to operate in accordance with Islamic principles and promote ethical and Sharia-compliant financial transactions.

2. Question: What is the concept of Murabaha in Islamic finance?

- Answer: Murabaha is a type of sale where the seller discloses the cost of the goods and adds an agreed-upon profit margin. It is commonly used for trade financing in Islamic banking.

3. Question: How does Musharakah differ from Mudarabah in Islamic finance?

- Answer: Musharakah is a partnership where all partners contribute capital and share in the profits and losses, while Mudarabah is a partnership where one party provides capital (Rab-ul-Maal) and the other manages the business (Mudarib).

4. Question: What role does Ijarah play in Islamic financing?

- Answer: Ijarah is an Islamic leasing arrangement where the lessor provides the lessee with the right to use an asset for a specified period and for an agreed-upon rental amount.

5. Question: How is Salam used in Islamic finance?

- Answer: Salam is a contract where the buyer pays in advance for goods to be delivered at a future date. It is often used in agricultural and commodity transactions.

6. Question: What is the purpose of the Shirkatul Aqd contract in Islamic finance?

- Answer: Shirkatul Aqd is a partnership contract used in Musharakah arrangements, specifying the terms and conditions of the partnership between the parties involved.

7. Question: How does the Islamic inter-bank fund market contribute to liquidity management?

- Answer: The Islamic inter-bank fund market allows surplus banks to place funds for use by deficit banks through Mudarabah contracts, contributing to liquidity management.

8. Question: In what way can Sukuk be used for project financing in Islamic banking?

- Answer: Sukuk represents proportionate ownership in assets and can be issued to raise funds for large projects. Holders receive returns based on the project's performance.

9. Question: What is the concept of Qarz-e-Hasan in Islamic banking?

MC Learning House

- Answer: Qarz-e-Hasan refers to an interest-free loan provided for charitable or benevolent purposes in Islamic finance.

9. **Question: How do Islamic banks manage working capital for businesses?** –

Answer: Islamic banks may use a combination of Murabaha, Istisna‘, and Wakalah to finance working capital needs, especially for manufacturing and trade activities.

10. **Question: Can you explain the concept of Currency Salam in Islamic finance?** –

Answer: Currency Salam involves an advance payment in local currency for future delivery of foreign currency, providing liquidity to exporters in need of urgent funds.

11. **Question: What are the key differences between Diminishing Musharakah and Musharakah in Islamic financing?** –

Answer: Diminishing Musharakah involves gradual buyback of the bank's share by the customer, leading to eventual sole ownership, while Musharakah maintains a continuous partnership.

12. **Question: How does an Islamic bank provide financing for agriculture using Salam and Murabaha?** –

Answer: Murabaha can be used for purchasing inputs like seeds and fertilizers, while Salam can be employed for financing other agricultural needs that Murabaha may not cover.

13. **Question: Why is securitization on a Musharakah basis considered feasible for large projects?** –

Answer: Securitization on a Musharakah basis allows the pooling of assets, issuance of Musharakah certificates, and trading in the secondary market, making it suitable for large projects.

14. **Question: What is the role of Mudarabah in running Musharakah and how is profit distributed?** –

Answer: In running Musharakah, Mudarabah is used to calculate profits. A small ratio is allocated to the bank, while the majority is given to the client managing the business.

15. **Question: How does an Islamic bank provide financing for the construction of a cement plant under Diminishing Musharakah?** –

Answer: The bank enters into a Diminishing Musharakah contract with the client, appoints a contractor through Istisna‘a for construction, and the client eventually becomes the sole owner.

MC Learning House

16. **Question: What challenges do Islamic banks face in liquidity management using conventional instruments?** –

Answer: Islamic banks face challenges as they cannot use interest-based instruments, necessitating the development of Sharia-compliant tools like Mudarabah for interbank transactions.

17. **Question: Why is Salam used as an alternative to post-shipment discounting for exporters?** –

Answer: Salam provides an advance payment for goods to be delivered, addressing liquidity needs for exporters without resorting to interest-based post-shipment discounting.

18. **Question: What is the objection raised against the use of Currency Salam in Islamic finance?** –

Answer: Scholars object to Currency Salam, considering paper currency as subject to the rules of Bai al-Sarf, and organizations like AAOIFI do not allow Salam in currencies.

19. **Question: In working capital finance, how can Murabaha be combined with Istisna'a and Wakalah for more comprehensive solutions?** –

Answer: Murabaha is used for raw material purchase, Istisna'a for manufacturing, and Wakalah may involve appointing the exporter as an agent to handle export activities.

146 Specific Areas of Financing -5

MCQs:

1. Question: How can liquidity management be achieved through securitization in Islamic banks?

a. Purchase and sale of Sukuk

b. Interest-based lending

c. Foreign exchange trading

d. Issuance of conventional bonds

Answer: a. Purchase and sale of Sukuk

2. Question: What is the purpose of an Islamic bank purchasing Sukuk from the government?

MC Learning House

a. To generate cash

b. To earn interest

c. To engage in speculative trading

d. To support non-Sharia compliant activities

Answer: a. To generate cash

3. Question: Which arrangement is commonly used by Islamic banks for liquidity management involving commodity transactions?

a. Mudarabah

b. Ijarah

c. Tawarruq

d. Musharakah

Answer: c. Tawarruq

4. Question: In a Tawarruq arrangement, how does an Islamic bank place liquidity with another bank?

a. By purchasing commodities

b. By selling Sukuk

c. By engaging in foreign exchange trading

d. By entering into Murabaha transactions

Answer: a. By purchasing commodities

5. Question: What is the product "Commodity Murabaha" based on Tawarruq primarily used for?

a. Generating interest

b. Sharia compliance

c. Speculative trading

d. Avoiding liquidity management

MC Learning House

Answer: b. Sharia compliance

6. Question: Why is "Commodity Murabaha" considered a grey area in Islamic banking?

a. It violates Sharia principles

b. It involves excessive risk

c. It is not profitable

d. It is not commonly used

Answer: a. It violates Sharia principles

7. Question: What role do Shariah-screened stocks play in liquidity management?

a. They are used for speculative trading

b. They provide a source of funds

c. They violate Islamic principles

d. They are unrelated to liquidity

Answer: b. They provide a source of funds

8. Question: What criteria are used to determine Shariah-compliant stocks for liquidity management?

a. Interest-based criteria

b. Market demand

c. Shariah Screening Criteria

d. Profitability ratio

Answer: c. Shariah Screening Criteria

9. Question: How can an Islamic bank manage surplus liquidity through Sukuk in the secondary market?

a. Purchase Sukuk

b. Sell Sukuk

MC Learning House

c. Both a and b

d. Engage in foreign exchange trading

Answer: c. Both a and b

10. Question: Which instrument is NOT used by Islamic banks for interbank transactions in liquidity management? –

a. Mudarabah –

b. Tawarruq –

c. Bai al-Sarf –

d. Commodity Murabaha –

Answer: c. Bai al-Sarf

11. Question: In Tawarruq, what does the Islamic bank do after taking delivery of the purchased commodity? –

a. Sells it in the market at spot price –

b. Keeps it in the inventory –

c. Returns it to the seller –

d. Engages in speculative trading –

Answer: a. Sells it in the market at spot price

12. Question: What is the primary concern regarding the use of "Commodity Murabaha" in Islamic banking? –

a. Lack of profitability –

b. Violation of Sharia principles –

c. Limited market demand –

d. Complexity of execution –

Answer: b. Violation of Sharia principles

13. Question: What is the key objective of liquidity management in Islamic banks? –

MC Learning House

a. Maximize profit –

b. Minimize risk –

c. Ensure Sharia compliance –

d. Expand market share –

Answer: c. Ensure Sharia compliance

14. Question: Which financial instrument is commonly used for securitization in Islamic banks? –

a. Conventional bonds –

b. Sukuk –

c. Mortgage-backed securities –

d. Commercial paper –

Answer: b. Sukuk

15. Question: How does the Tawarruq arrangement contribute to liquidity management? –

a. By engaging in speculative trading –

b. By purchasing and selling commodities –

c. By issuing conventional bonds –

d. By providing interest-based loans –

Answer: b. By purchasing and selling commodities

16. Question: What is the primary concern regarding the use of "Commodity Murabaha" in Islamic banking? –

a. Lack of profitability –

b. Violation of Sharia principles –

c. Limited market demand –

d. Complexity of execution –

MC Learning House

Answer: b. Violation of Sharia principles

17. Question: What is the primary advantage of using Sukuk for liquidity management in Islamic banks? –

a. High interest rates –

b. Liquidity in the form of tradable securities –

c. Guaranteed returns –

d. Speculative trading opportunities –

Answer: b. Liquidity in the form of tradable securities

18. Question: What is the purpose of using the Tawarruq arrangement for liquidity management? –

a. To generate interest –

b. To ensure Sharia compliance –

c. To engage in speculative trading –

d. To maximize profitability –

Answer: b. To ensure Sharia compliance

19. Question: How does an Islamic bank manage liquidity through Mudarabah in the interbank market? –

a. By purchasing and selling commodities –

b. By offering interest-based loans –

c. By sharing general profits based on Mudarabah ratio –

d. By issuing conventional bonds –

Answer: c. By sharing general profits based on Mudarabah ratio

20. Question: Why do Islamic banks face challenges in liquidity management compared to conventional banks? –

a. Lack of financial instruments –

MC Learning House

b. Excessive reliance on Sukuk –

c. Inability to engage in speculative trading –

d. Prohibition of interest-based transactions –

Answer: d. Prohibition of interest-based transactions

Q&A:

1. Question: What is the concept of Shirkatul Milk in Islamic home financing?

- Answer: Shirkatul Milk refers to a partnership arrangement where joint ownership of a property is established.

2. Question: How is Musharakah different from Mudarabah in Islamic finance?

- Answer: Musharakah involves joint partnership and shared ownership, while Mudarabah is a form of partnership where one party provides capital, and the other provides expertise.

3. Question: What is the significance of the monthly reduction in rent in a diminishing Musharakah home financing model?

- Answer: The monthly reduction in rent signifies the gradual transfer of ownership to the client as they purchase units, eventually becoming the sole owner of the property.

4. Question: How does Running Musharakah work for working capital financing?

- Answer: In Running Musharakah, a bank provides a working capital limit to a client, and the client uses and returns funds as needed, with profits shared based on an agreed-upon ratio.

5. Question: What are the key features of Murabaha financing for working capital?

- Answer: Murabaha involves the sale of goods at a cost plus profit, making it suitable for financing the purchase of raw materials and other trade-related needs.

6. Question: How can Islamic banks use securitization based on Musharakah for large projects?

- Answer: Islamic banks can issue Musharakah-based Sukuk, representing ownership in a pool of assets, which can be bought and sold in the secondary market.

MC Learning House

7. Question: What role does Salam play in financing the working capital needs of industries like sugar and fertilizer?

- Answer: Salam can be effectively used to finance the purchase of raw materials for industries like sugar and fertilizer, ensuring timely availability of funds.

8. Question: How can Islamic banks provide post-shipment financing without resorting to Riba-based bill discounting?

- Answer: Islamic banks can use alternatives like Qarz-e-Hasan or Murabaha to cater to the needs of exporters without involving interest-based practices.

9. Question: What is the purpose of using Currency Salam as an alternative to post-shipment discounting?

- Answer: Currency Salam allows exporters to receive advance payment in local currency for future receipts in foreign currency, addressing their urgent liquidity needs.

10. Question: How does an Islamic bank manage liquidity through the securitization of income-generating assets? - Answer: An Islamic bank can generate cash by selling Sukuk backed by income-generating assets in the secondary market.

11. Question: In liquidity management, what is the Tawarruq arrangement based on Commodity Murabaha used for? - Answer: The Tawarruq arrangement based on Commodity Murabaha is used for placing and obtaining liquidity, involving the purchase and sale of commodities.

12. Question: Why is Commodity Murabaha considered a grey area in Islamic banking? - Answer: Commodity Murabaha is considered a grey area due to concerns about its conformity with Shariah principles, and it should be used cautiously in extreme cases.

13. Question: How does an Islamic bank manage liquidity through the sale/purchase of Shariah-screened stocks? - Answer: Islamic banks can manage liquidity by engaging in the sale/purchase of stocks that adhere to Shariah screening criteria.

14. Question: What modes of financing can Islamic banks use for project financing, especially in construction projects? - Answer: Islamic banks can use Ijarah, Istisna‘, Musharakah, and Diminishing Musharakah for project financing, depending on the nature of the project.

15. Question: How can Sukuk be utilized in syndication arrangements for large construction projects? - Answer: Sukuk can be issued by a syndicate of banks to raise funds for large projects, and the Sukuk holders receive returns based on the project's performance.

MC Learning House

16. Question: What are the primary financing modes for agricultural needs in Islamic banking? - Answer: Murabaha can be used for purchasing inputs like seeds, while Salam can be employed for financing needs that cannot be fulfilled through Murabaha, such as hiring a tractor.

17. Question: How does an Islamic bank ensure that Murabaha is used appropriately for agriculture financing? - Answer: The bank can have arrangements with input suppliers to provide Murabaha-based financing for agricultural needs like seeds, fertilizers, and pesticides.

18. Question: What is the primary objective of liquidity management in Islamic banks? - Answer: The primary objective is to ensure the availability of cash and easily convertible financial papers while adhering to Islamic principles.

19. Question: How do Islamic banks manage liquidity through the Islamic inter-bank fund market? - Answer: Deficit banks enter into Mudarabah contracts with surplus banks, sharing profits based on negotiated ratios to manage liquidity.

20. Question: Why is Mudarabah considered the most useful instrument for transactions in the inter-bank market? - Answer: Mudarabah allows deficit banks to share profits with surplus banks, providing a flexible and Shariah-compliant method for managing liquidity.

147 Specific Areas of Financing -6

MCQs:

1. Question: What characterizes a forward market in Islamic finance?

a) Immediate delivery of commodities

b) Delivery of commodities on a future date

c) Delayed payment for commodities

d) No specification of commodity details

Answer: b) Delivery of commodities on a future date

2. Question: Why does a seller enter into a forward contract in Islamic finance?

a) To speculate on future prices

b) To hedge against a fall in commodity prices

c) To avoid delivery of commodities

d) To delay payment for commodities

MC Learning House

Answer: b) To hedge against a fall in commodity prices

3. Question: What is the purpose of specifying commodity details, time, and place of delivery in a forward contract?

a) To increase speculation

b) To ensure immediate delivery

c) To avoid payment delays

d) To settle terms in advance

Answer: d) To settle terms in advance

4. Question: In Islamic finance, what assurance does a buyer have in a forward contract?

a) Assured increase in commodity prices

b) Assured immediate delivery

c) Hedging against price decrease

d) Assured supply on time

Answer: d) Assured supply on time

5. Question: According to Shariah rules, what form of possession is acceptable in currency trading?

a) Physical possession only

b) Constructive possession only

c) Both physical and constructive possession

d) Possession is not required

Answer: c) Both physical and constructive possession

6. Question: What does "constructive possession" mean in currency trading?

a) Actual possession of currency notes

b) Possession through bank transfer or other accepted forms

MC Learning House

c) Delayed possession

d) Possession through check payment

Answer: b) Possession through bank transfer or other accepted forms

7. Question: What must be equal in amount if the currency on both sides of a contract is the same?

a) Commodity prices

b) Counter values

c) Amount of currency

d) Deferred payment

Answer: b) Counter values

8. Question: In the case of different currencies in a contract, what can be different in amount?

a) Commodity prices

b) Counter values

c) Amount of currency

d) Time of delivery

Answer: c) Amount of currency

9. Question: What is required for the exchange in a currency contract to be simultaneous?

a) Deferred payment clause

b) Simultaneous possession

c) Commodity delivery

d) Counter values being different

Answer: a) Deferred payment clause

10. Question: What characterizes a forward market in Islamic finance?

MC Learning House

a) Immediate delivery of commodities

b) Delivery of commodities on a future date

c) Delayed payment for commodities

d) No specification of commodity details

Answer: b) Delivery of commodities on a future date

11. Question: Why does a seller enter into a forward contract in Islamic finance?

a) To speculate on future prices

b) To hedge against a fall in commodity prices

c) To avoid delivery of commodities

d) To delay payment for commodities

Answer: b) To hedge against a fall in commodity prices

12. Question: What is the purpose of specifying commodity details, time, and place of delivery in a forward contract?

a) To increase speculation

b) To ensure immediate delivery

c) To avoid payment delays

d) To settle terms in advance

Answer: d) To settle terms in advance

13. In a forward market, what is the primary purpose of selling a currency or commodity for a future date?

a) Immediate delivery

b) Delayed payment

c) Hedging against price fluctuations

d) Deferred delivery

MC Learning House

Answer: c) Hedging against price fluctuations

14. Why does the seller in a forward contract hedge against any fall in the commodity's price?

a) To increase speculation

b) To ensure deferred delivery

c) To avoid payment delays

d) To protect against price decrease

Answer: d) To protect against price decrease

15. What assurance does the buyer have in a forward contract regarding commodity supply?

a) Assured increase in commodity prices

b) Assured immediate delivery

c) Hedging against price decrease

d) Assured supply on time

Answer: d) Assured supply on time

16. According to Shariah rules, what is required regarding possession of counter values in currency trading?

a) Only physical possession

b) Only constructive possession

c) Both physical and constructive possession

d) Possession is not required

Answer: c) Both physical and constructive possession

16. What does "constructive possession" mean in currency trading as per Shariah rules?

a) Actual possession of currency notes

b) Possession through bank transfer or other accepted forms

MC Learning House

c) Delayed possession

d) Possession through check payment

Answer: b) Possession through bank transfer or other accepted forms

18. When the currency on both sides of a contract is the same, what must be equal in amount?

a) Commodity prices

b) Counter values

c) Amount of currency

d) Deferred payment

Answer: b) Counter values

19. In a forward contract with different currencies, what can be different in amount?

a) Commodity prices

b) Counter values

c) Amount of currency

d) Time of delivery

Answer: c) Amount of currency

20. What is required for the exchange in a currency contract to be simultaneous according to Shariah rules?

a) Deferred payment clause

b) Simultaneous possession

c) Commodity delivery

d) Counter values being different

Answer: a) Deferred payment clause

21. What is the primary purpose of the exchange being simultaneous in a currency contract?

MC Learning House

a) To encourage speculation

b) To ensure immediate delivery

c) To establish ethical guidelines

d) To avoid deferred payment

Answer: b) To ensure immediate delivery

22. Why does a buyer enter into a forward contract in Islamic finance? –

a) To speculate on future prices –

b) To hedge against a rise in commodity prices –

c) To delay delivery of commodities –

d) To avoid payment for commodities

Answer: b) To hedge against a rise in commodity prices

23. What does a seller gain by hedging against a fall in commodity prices in a forward contract? –

a) Increased speculation –

b) Deferred delivery –

c) Hedged against price decrease –

d) Delayed payment for commodities

Answer: c) Hedged against price decrease

24. In Islamic finance, what does specifying commodity details in advance help to achieve?

a) Immediate delivery –

b) Increased speculation –

c) Deferred payment –

d) Settling terms in advance

Answer: d) Settling terms in advance

MC Learning House

25. What is the primary objective of a forward contract in Islamic finance? –

a) Currency speculation –

b) Immediate commodity delivery –

c) Hedging against price fluctuations –

d) Delayed payment for commodities

Answer: c) Hedging against price fluctuations

26. In a forward market, why is the buyer assured of the supply on time? –

a) Immediate delivery –

b) Delayed payment –

c) Hedging against price fluctuations –

d) Hedged against price increase

Answer: d) Hedged against price increase

27. According to Shariah rules, what must both parties do before dispersing in currency trading? –

a) Immediate possession of counter values –

b) Constructive possession of counter values –

c) Deferred possession of counter values –

d) Deferred possession of commodity

Answer: b) Constructive possession of counter values

MC Learning House

Q&A:

1. Question: What is the purpose of issuing TFCs (Term Finance Certificates) by Sitara Chemical Industries in Pakistan?

- Answer: Sitara Chemical Industries issued TFCs to raise funds for an expansion project.

2. Question: How does the profit-sharing mechanism work for Sitara TFC holders in Pakistan?

- Answer: The profit for Sitara TFC holders is linked to the actual performance of the company, with profit payments made on a six-monthly basis.

3. Question: What are the salient features of Diminishing Musharakah, Ijarah, and Murabaha as major modes of financing?

- Answer: Diminishing Musharakah is a long-term financing mode, Ijarah involves leasing non-consumable assets, and Murabaha is used for short or long-term financing.

4. Question: How can Murabaha be effectively used for working capital finance in Islamic banking?

- Answer: Murabaha alone may not fulfill all working capital requirements, but when combined with Istisna'a and Wakalah, it can address the diverse needs of businesses, including processing raw materials.

5. Question: What is the purpose of combining Murabaha with Istisna'a and Wakalah for export financing?

- Answer: This combination helps exporters, especially in industries like textiles, by providing financing for raw material processing and covering labor and overhead expenses.

6. Question: In what specific areas of financing can Salam be effectively used?

- Answer: Salam can be effectively used to finance the working capital needs of industries such as sugar, fertilizer, and cement.

7. Question: How can an Islamic bank provide post-shipment financing as an alternative to bill discounting?

- Answer: An Islamic bank can use options like Qarz-e-Hasan, Murabaha for raw material needs, and other Shariah-compliant alternatives to meet post-shipment financing requirements.

8. Question: What is Currency Salam, and how does it address the liquidity needs of exporters?

- Answer: Currency Salam is a product that helps exporters meet urgent liquidity needs by providing advance payment for future foreign currency earnings.

9. Question: What are the objections raised by scholars against the use of Currency Salam in Islamic finance?

MC Learning House

- Answer: Scholars argue that paper currency is in the status of Dirham and Dinar, subject to the rules of Bai al-Sarf, and some organizations like AAOIFI do not allow Salam in currencies.

10. Question: How can Islamic banks manage liquidity through the securitization of income-generating assets? –

Answer: Islamic banks can purchase Sukuk from the government and sell them in the secondary market to generate cash when liquidity is needed.

11. Question: What is the Tawarruq arrangement, and how is it used for liquidity management? –

Answer: Tawarruq involves purchasing commodities on credit and selling them in the market at spot prices. It is used for liquidity management, with the process reversible for placing liquidity.

13. **Question: What is the role of Mudarabah in liquidity management in the interbank market?** –

Answer: Mudarabah is a useful instrument for transactions in the interbank market, where a deficit bank agrees to share its general profits with a surplus bank based on a negotiated Mudarabah ratio.

14. **Question: How does securitization of income-generating assets contribute to liquidity management in Islamic banks?** –

Answer: Securitization involves transforming income-generating assets into tradable securities like Sukuk, providing Islamic banks with a tool for liquidity management.

15. **Question: What are the Shariah-compliant alternatives for conventional interest-based instruments used in liquidity management?** –

Answer: Islamic banks can use the Islamic inter-bank fund market, Mudarabah contracts, and Tawarruq arrangements as alternatives for liquidity management.

16. **Question: What are the modes of financing that Islamic banks can use for project financing, specifically in the construction of a cement plant?** –

Answer: Islamic banks can use Diminishing Musharakah for ownership, Istisna'a for construction, and appoint the client as an agent for supervision and eventual ownership.

17. **Question: How can syndication arrangements and Sukuk be used for financing large projects like the construction of an oil terminal?** –

Answer: Banks can form syndicates to finance large projects, and Sukuk can be issued to raise funds, with Sukuk holders receiving returns based on the financing mode used.

MC Learning House

18. **Question: How can Murabaha and Salam be employed for agriculture financing in Islamic banking?** –

Answer: Murabaha can be used for purchasing inputs, while Salam can be employed for needs not covered by Murabaha, such as electricity or hiring a tractor.

19. **Question: What are the challenges faced by Islamic banks in liquidity management, and how can they overcome these challenges?** –

Answer: Islamic banks face difficulties due to the absence of interest-based instruments. Overcoming challenges involves using Mudarabah contracts and participating in the Islamic inter-bank fund market.

20. **Question: What is the significance of Shariah screening criteria in managing liquidity through Shariah-compliant stocks?** –

Answer: Shariah screening criteria guide Muslim investors and Islamic financial institutions in determining which stocks can be purchased, contributing to liquidity management.

21. **Question: How does the Shariah rule for simultaneous possession apply to the exchange of currencies in Islamic finance?** –

Answer: In Islamic finance, simultaneous possession is required for the exchange of currencies, ensuring fairness and avoiding deferred clauses that involve interest.

148 Specific Areas of Financing -7

MCQs:

1. **What do Islamic banks do in foreign exchange remittances?**

a) Engage in forward contracts

b) Buy and sell on a spot basis

c) Use interest-based transactions

d) Both a and b

Answer: b) Buy and sell on a spot basis

2. **Why do Islamic banks allow two days' delay for clearing operations in different time zones?**

a) To earn interest

MC Learning House

b) To finalize transactions at favorable rates

c) Due to regulatory requirements

d) To avoid foreign exchange markets

Answer: b) To finalize transactions at favorable rates

3. What challenge do Islamic banks face in remittance transactions externally?

a) Currency fluctuations

b) Correspondent relationship with interest-based banks

c) Lack of regulatory support

d) Spot transactions delay

Answer: b) Correspondent relationship with interest-based banks

4. How do some banks manage to enter agreements with correspondent banks without interest?

a) By giving and taking interest

b) Through reciprocal treatment

c) By avoiding foreign exchange balances

d) By maintaining debit balances

Answer: b) Through reciprocal treatment

5. Is it permissible for a partner to be a guarantor for the other partner in currency dealings?

a) Yes, always

b) No, never

c) Yes, with conditions

d) Yes, with interest involved

Answer: c) Yes, with conditions

MC Learning House

6. **What is the primary reason for the two days' delay in clearing foreign exchange operations for Islamic banks?**

a) Market fluctuations
b) Regulatory requirements
c) Time zone differences
d) Operational inefficiencies
Answer: c) Time zone differences

7. **What is identified as a significant challenge for Islamic banks when undertaking remittance transactions externally?**

a) Technology limitations
b) Correspondent relationships
c) Currency fluctuations
d) Security concerns
Answer: b) Correspondent relationships

8. **How do some banks manage to enter agreements with correspondent banks without involving the giving or taking of interest?**

a) Offering collateral
b) Reciprocal treatment
c) High fees
d) Legal exemptions
Answer: b) Reciprocal treatment

9. **According to the text, under what condition can a creditor take payment of a debt in a currency different from the one in which the debt was incurred?**

a) Only with regulatory approval
b) As a future transaction
c) As a spot transaction at the spot exchange rate
d) Only on weekends
Answer: c) As a spot transaction at the spot exchange rate

10. **What is the ruling regarding one partner being a guarantor for the other partner in currency dealings, as per the text?**

a) Permissible under any circumstances
b) Permissible only with regulatory approval
c) Not permitted, but a third party can volunteer as a guarantor
d) Not addressed in the text
Answer: c) Not permitted, but a third party can volunteer as a guarantor

Q&A:

MC Learning House

1. **Q: Why do Islamic banks experience a two days' delay in clearing foreign exchange operations?**

A: The delay is due to differences in time zones between different foreign exchange markets, necessitating time for clearing.

2. **Q: What challenge arises for Islamic banks when undertaking remittance transactions externally?**

A: External remittance transactions require establishing correspondent relationships with many banks, posing a significant challenge due to the predominance of interest-based banks.

3. **Q: How do some banks manage to engage in agreements with correspondent banks without involving the giving or taking of interest?**

A: Some banks achieve this through reciprocal treatment, maintaining foreign exchange balances for agreed amounts and periods, allowing credit balances and receiving debit balances in return.

4. **Q: Under what conditions can a creditor take payment of a debt in a currency different from the one in which the debt was incurred?**

A: A creditor can do so if the settlement is made as a spot transaction at the spot exchange rate on the day of settlement.

5. **Q: Is it permissible for one partner to be a guarantor for the other partner in currency dealings, according to the text?**

   A: No, it is not permitted for one partner to be a guarantor for the other partner. However, a third party can volunteer to be a guarantor, provided this guarantee is not stated in the contract.

6. **Q: What challenge do Islamic banks face when undertaking remittance transactions externally?**

   A: Islamic banks face a significant challenge in establishing correspondent relationships with many banks, particularly in the presence of interest-based banks dominating the market.

7. **Q: How do some banks manage to enter agreements with correspondent banks without involving the giving or taking of interest?**

   A: Some banks achieve this by engaging in reciprocal treatment, where they maintain foreign exchange balances for agreed amounts and periods without the exchange of interest.

8. **What challenge arises for Islamic banks when undertaking remittance transactions externally?**

Mc Learning House

A: When conducting external remittance transactions, Islamic banks need to establish correspondent relationships with many banks. This becomes challenging due to the predominance of interest-based banks.

9. **Why do Islamic banks experience a two days' delay in clearing foreign exchange operations?**

   A: Islamic banks face this delay due to differences in time zones between different foreign exchange markets. However, the operation is finalized on the rates of the date of the transaction.

10. **Q: How do some banks manage to enter agreements with correspondent banks without the giving or taking of interest?** A: Some banks achieve this through reciprocal treatment, maintaining foreign exchange balances for agreed amounts and periods.

149 Specific Areas of Financing -8

MCQs:

1. **What is the purpose of SBP's Export Refinancing Scheme?**

   A) To promote imports

   B) To promote exports

   C) To regulate inflation

   D) To control interest rates

   Answer: B) To promote exports

2. **How is the refinance facility provided to commercial banks typically based?**

   A) Profit-sharing

   B) Interest

   C) Equity participation

   D) Mudarabah

   Answer: B) Interest

3. **In SBP's Islamic Export Refinance Scheme (IERS), what basis is used for the Musharakah pool?**

MC Learning House

A) Mudarabah

B) Profit and loss sharing

C) Interest-based financing

D) Equity financing

Answer: B) Profit and loss sharing

4. **Under the IERS, what does the State Bank of Pakistan share in the Musharakah pool?**

A) Principal amount

B) Actual profit

C) Administrative fees

D) Losses

Answer: B) Actual profit

5. **What is a requirement for an Islamic bank to avail the facility under the IERS?**

A) Maintain a Mudarabah pool

B) Create a Musharakah pool

C) Implement an interest-based model

D) Follow conventional financing modes

Answer: B) Create a Musharakah pool

6. **How often does the State Bank receive its tentative share from the profit in the IERS?**

A) Annually

B) Quarterly

C) Monthly

D) Biannually

MC Learning House

Answer: B) Quarterly

7. **What is the basis for calculating the State Bank's share of profit in the IERS?**

   A) Annual profit basis

   B) Daily product basis

   C) Fixed percentage basis

   D) Monthly average basis

   Answer: B) Daily product basis

8. **What condition is necessary for an underlying transaction to be eligible under the IERS?**

   A) Approval by commercial banks

   B) Compliance with conventional financing modes

   C) Design based on Islamic modes approved by Shariah board

   D) Involvement of at least five companies

   Answer: C) Design based on Islamic modes approved by Shariah board

9. **How many blue-chip companies are required to create a Musharakah pool under the IERS?**

   A) Five

   B) Ten

   C) Fifteen

   D) Twenty

   Answer: B) Ten

10. **How is the loss shared in the event of a loss on the Musharakah pool?**

    A) Proportional to the investment

    B) Solely borne by the Islamic bank

MC Learning House

C) Solely borne by the State Bank

D) Equal sharing by all participating banks

Answer: A) Proportional to the investment

11. What is the frequency of SBP receiving its tentative share from the profit?

A) Monthly

B) Quarterly

C) Annually

D) Biannually

Answer: B) Quarterly

12. How is the profit of the Musharakah pool settled between the State Bank and the Islamic bank?

A) Final settlement is not required

B) Annually

C) Quarterly

D) Monthly

Answer: C) Quarterly

13. What is the primary objective of SBP's Export Refinancing Scheme?

A) Regulate imports

B) Promote exports

C) Control interest rates

D) Facilitate foreign investments

Answer: B) Promote exports

14. What is the basis for the Islamic Export Refinance Scheme (IERS)?

A) Mudarabah

MC Learning House

B) Murabaha

C) Musharakah

D) Ijarah

Answer: C) Musharakah

15. What role does the State Bank play in the Musharakah pool?

A) Solely invests in the pool

B) Shares profit and loss

C) Provides interest-based loans

D) Manages the pool independently

Answer: B) Shares profit and loss

16. Under the IERS, what is the minimum number of companies required in the Musharakah pool?

A) Five

B) Ten

C) Fifteen

D) Twenty

Answer: B) Ten

17. What condition must be satisfied for an underlying transaction to be eligible under the IERS?

A) Compliance with conventional financing modes

B) Approval by the State Bank

C) Approval by commercial banks

D) Design based on Islamic modes approved by Shariah board

Answer: D) Design based on Islamic modes approved by Shariah board

MC Learning House

18. How is the State Bank's share of profit calculated in the IERS?

A) Fixed percentage basis

B) Daily product basis

C) Monthly average basis

D) Annual profit basis

Answer: B) Daily product basis

19. In case of a loss on the Musharakah pool, how is the loss shared?

A) Solely borne by the Islamic bank

B) Solely borne by the State Bank

C) Proportional to the investment

D) Equally shared by all participating banks

Answer: C) Proportional to the investment

20. What is the frequency of SBP receiving its tentative share from the profit in the IERS?

A) Monthly

B) Quarterly

C) Annually

D) Biannually

Answer: B) Quarterly

Q&A:

1. **Question:** What is the primary objective of SBP's Export Refinancing Scheme?

   Answer: The primary objective is to promote exports by providing a refinance facility to commercial banks.

MC Learning House

2. **Question:** How is the refinance facility provided to commercial banks typically structured?

   Answer: The refinance facility is usually based on interest, but it can be provided in a Shariah-compliant manner.

3. **Question:** Under the Islamic Export Refinance Scheme (IERS), what is the basis for the Musharakah pool?

   Answer: The Musharakah pool is based on the Islamic financing mode of Musharakah.

4. **Question:** What role does the State Bank of Pakistan play in the Musharakah pool under the IERS?

   Answer: The State Bank shares in the actual profit of the Musharakah pool maintained by the Islamic bank providing export finance.

5. **Question:** What are the salient features of the IERS regarding the eligibility of the facility?

   Answer: The facility is only allowed against an underlying transaction designed based on Islamic modes of financing approved by the Shariah board.

6. **Question:** How many blue-chip companies are required to create a Musharakah pool under the IERS?

   Answer: An Islamic bank has to create a Musharakah pool having a minimum of ten blue-chip companies.

7. **Question:** How does the State Bank share the overall profit of the Musharakah pool earned by the Islamic bank?

   Answer: The State Bank shares the overall profit of the pool calculated on a daily product basis.

8. **Question:** What is the frequency of SBP receiving its tentative share from the profit in the IERS?

   Answer: SBP receives its tentative share from the profit on a quarterly basis.

9. **Question:** In case of a loss on the Musharakah pool, how is the loss shared between the Islamic bank and the State Bank?

   Answer: The Islamic bank and the State Bank share the loss in proportion to their share of investment.

MC Learning House

10. **Question:** What conditions must be satisfied for an underlying transaction to be eligible under the IERS?

    Answer: The transaction must be designed based on Islamic modes of financing approved by the Shariah board.

11. **Question:** What is the basis for calculating the State Bank's share of profit in the IERS?

    Answer: The State Bank's share of profit is calculated on a daily product basis.

12. **Question:** How is the profit of the Musharakah pool settled between the State Bank and the Islamic bank?

    Answer: SBP receives a tentative share from the profit on a quarterly basis, subject to final settlement.

13. **Question:** What is the purpose of the Export Refinancing Scheme?

    Answer: The scheme aims to provide financial support to promote exports.

14. **Question:** Under the IERS, what is the minimum number of companies required in the Musharakah pool?

    Answer: An Islamic bank has to create a Musharakah pool having a minimum of ten blue-chip companies.

15. **Question:** How often does the State Bank receive its tentative share from the profit in the IERS?

    Answer: SBP receives its tentative share from the profit on a quarterly basis.

16. **Question:** What happens in the event of a loss on the Musharakah pool?

    Answer: The Islamic bank and the State Bank share the loss in proportion to their share of investment.

17. **Question:** What is the eligibility criterion for an underlying transaction under the IERS?

    Answer: The transaction must be designed based on Islamic modes of financing approved by the Shariah board.

18. **Question:** What is the role of an Islamic bank in availing the facility under the IERS?

    Answer: An Islamic bank has to create a Musharakah pool with a minimum of ten blue-chip companies.

MC Learning House

19. **Question:** How is the State Bank's share of profit calculated in the IERS?

    Answer: The State Bank's share of profit is calculated on a daily product basis.

20. **Question:** What is the frequency of SBP receiving its tentative share from the profit in the IERS?

    Answer: SBP receives its tentative share from the profit on a quarterly basis.

150 Specific Areas of Financing -9

MCQs:

1. **Question:** What are the three types of cards issued by banks, as mentioned in the text?

   A) Credit cards, gift cards, and prepaid cards

   B) Debit cards, charge cards, and credit cards

   C) Savings cards, loyalty cards, and reward cards

   D) Cash cards, travel cards, and business cards

   Answer: B) Debit cards, charge cards, and credit cards

2. **Question:** What benefit do all three types of cards (debit, charge, and credit) provide to cardholders?

   A) Investment opportunities

   B) Security and safety

   C) Stock market access

   D) Educational benefits

   Answer: B) Security and safety

3. **Question:** What is the primary characteristic of a debit card?

   A) Provides a revolving credit facility

   B) Gives immediate access to available funds

   C) Allows cash withdrawals without charges

MC Learning House

D) Offers interest-free credit period

Answer: B) Gives immediate access to available funds

4. **Question:** What is the key feature of a credit card?

   A) Requires immediate debit to the customer's account

   B) Provides a pre-approved credit limit

   C) Does not involve any charges for usage

   D) Offers a fee for issuing the card

   Answer: B) Provides a pre-approved credit limit

5. **Question:** In the case of a debit card, when is the debit to the customer's account made?

   A) After the free credit period

   B) Immediately

   C) Within the given free credit period

   D) Only upon cardholder's request

   Answer: B) Immediately

6. **Question:** What is unique about the credit facility provided by a charge card?

   A) Revolving credit up to a certain limit

   B) Immediate debit to the customer's account

   C) No credit limit imposed

   D) Credit facility with a specified ceiling

   Answer: D) Credit facility with a specified ceiling

7. **Question:** When does a credit card charge interest to the cardholder?

   A) Always, regardless of the payment period

   B) Only when the credit limit is exceeded

MC Learning House

C) Only after the free credit period

D) Never, as interest is not applicable

Answer: C) Only after the free credit period

8. **Question:** What is the consequence of a delay beyond the free credit period for a charge card?

   A) Increased credit limit

   B) No consequences

   C) Interest charges

   D) Additional benefits

   Answer: C) Interest charges

9. **Question:** What type of commission does the card issuing institution receive from the party accepting the card for payment?

   A) Fixed fee

   B) Interest commission

   C) Percentage commission

   D) No commission

   Answer: C) Percentage commission

10. **Question:** In the context of cash withdrawals, what does the text mention about credit cards?

    A) No free credit period

    B) Longer free credit period

    C) Lower interest rates

    D) No interest charges

    Answer: A) No free credit period

MC Learning House

11. **Question:** What does a charge card holder need to do based on the statement sent by the institution?

    A) Make payments for goods and services

    B) Ignore the statement

    C) Accumulate credit for future use

    D) Withdraw additional funds

    Answer: A) Make payments for goods and services

12. **Question:** What is the key difference between a debit card and a charge card?

    A) Debit cards involve interest charges

    B) Charge cards do not have a credit limit

    C) Debit cards provide a pre-approved credit limit

    D) Charge cards provide immediate access to funds

    Answer: B) Charge cards do not have a credit limit

13. **Question:** What does the text state about the credit period for a credit card?

    A) Interest is always charged, regardless of the payment period

    B) No credit period is mentioned

    C) Interest is not charged if payment is made within the free credit period

    D) Interest is charged only for cash withdrawals

    Answer: C) Interest is not charged if payment is made within the free credit period

14. **Question:** How is a debit card different from a credit card regarding credit facilities?

    A) Debit cards have a revolving credit facility

    B) Credit cards give immediate access to available funds

    C) Debit cards provide a pre-approved credit limit

MC Learning House

D) Credit cards involve immediate debiting of customer's account

Answer: D) Credit cards involve immediate debiting of customer's account

15. **Question:** What is the purpose of the fee charged for issuing a debit card?

A) To cover interest charges

B) To discourage card usage

C) To generate additional revenue

D) To enhance security features

Answer: C) To generate additional revenue

16. **Question:** What benefit does a credit card holder receive within the free credit period?

A) Interest-free usage

B) Increased credit limit

C) Cash withdrawal without charges

D) Fee waiver for card issuance

Answer: A) Interest-free usage

17. **Question:** What is the primary obligation of a charge card holder in terms of payments?

A) Immediate debit to the customer's account

B) Making payments for goods and services based on the statement

C) No obligation for payments

D) Monthly fixed payments regardless of usage

Answer: B) Making payments for goods and services based on the statement

18. **Question:** In case of a delay beyond the free credit period for a charge card, what does the institution charge?

A) Fixed fee

B) No charges

MC Learning House

C) Interest

D) Withdrawal fee

Answer: C) Interest

19. **Question:** What is the consequence of a delay beyond the free credit period for a credit card?

    A) Fixed fee

    B) Increased credit limit

    C) Interest charges

    D) No consequences

    Answer: C) Interest charges

20. **Question:** What does the text mention about the commission received by the card issuing institution for payments?

    A) Fixed amount

    B) Interest-based commission

    C) Percentage commission

    D) No commission is received

    Answer: C) Percentage commission

Q&A:

1. **Question:** What are the three main types of cards issued by banks, as discussed in the text?

   Answer: Debit cards, charge cards, and credit cards.

2. **Question:** What benefits do debit, charge, and credit cards provide to cardholders?

   Answer: They offer benefits such as liquidity, safety, mobility, and flexibility in managing budgets.

3. **Question:** Describe the primary characteristic of a debit card.

MC Learning House

Answer: A debit card is issued against the available funds in a customer's account, allowing immediate payment up to the limit of available funds.

4. **Question:** What is the key feature of a credit card?

   Answer: A credit card provides a revolving credit facility with a pre-approved credit limit that increases and decreases as funds are borrowed and repaid.

5. **Question:** When does the debit to the customer's account occur with a debit card?

   Answer: The debit to the customer's account is immediate when using a debit card.

6. **Question:** What is the consequence of a delay beyond the free credit period for a charge card?

   Answer: In case of a delay beyond the free credit period, the institution charges interest to the cardholder.

7. **Question:** What commission does the card issuing institution receive for payments made with the card?

   Answer: The card issuing institution receives a commission in percentage from the party accepting the card for payment.

8. **Question:** How is a credit card different from a charge card in terms of interest charges?

   Answer: A credit card charges interest if the payment is made beyond the given free credit period, while a charge card charges interest for delays beyond the free credit period.

9. **Question:** In the context of cash withdrawals, what is unique about credit cards?

   Answer: There is no free credit period for cash withdrawals using credit cards.

10. **Question:** What obligations does a charge card holder have regarding payments?

    Answer: The charge card holder is obliged to make payments for goods and services based on the statement sent by the institution.

11. **Question:** How often does the State Bank receive its tentative share from the profit in the IERS?

    Answer: SBP receives its tentative share from the profit on a quarterly basis.

12. **Question:** What happens in the event of a loss on the Musharakah pool?

MC Learning House

Answer: The Islamic bank and the State Bank share the loss in proportion to their share of investment.

13. **Question:** What is the primary objective of SBP's Export Refinancing Scheme?

    Answer: The scheme aims to provide financial support to promote exports.

14. **Question:** How is the profit of the Musharakah pool settled between the State Bank and the Islamic bank?

    Answer: SBP receives a tentative share from the profit on a quarterly basis, subject to final settlement.

15. **Question:** What is the frequency of SBP receiving its tentative share from the profit in the IERS?

    Answer: SBP receives its tentative share from the profit on a quarterly basis.

16. **Question:** How is the State Bank's share of profit calculated in the IERS?

    Answer: The State Bank's share of profit is calculated on a daily product basis.

17. **Question:** What role does the State Bank play in the Musharakah pool under the IERS?

    Answer: The State Bank shares in the actual profit of the Musharakah pool maintained by the Islamic bank providing export finance.

18. **Question:** What is the minimum number of companies required to create a Musharakah pool under the IERS?

    Answer: An Islamic bank has to create a Musharakah pool having a minimum of ten blue-chip companies.

19. **Question:** What condition must be satisfied for an underlying transaction to be eligible under the IERS?

    Answer: The transaction must be designed based on Islamic modes of financing approved by the Shariah board.

20. **Question:** How does a charge card differ from a credit card in terms of payments and obligations?

    Answer: A charge card holder is obliged to make payments for goods and services based on the statement sent by the institution, and in case of a delay beyond the free credit period, the institution charges interest to the cardholder.

MC Learning House

151 Specific Areas of Financing -10

MCQs:

1. **Question:** According to the text, which of the three types of cards has no Shariah issue?

   A) Credit card

   B) Debit card

   C) Charge card

   D) Gift card

   Answer: B) Debit card

2. **Question:** What condition must the cardholder adhere to when using a debit card to avoid interest charges?

   A) Maintain a high credit limit

   B) Pay a fixed fee

   C) Exceed the balance available in the account

   D) Not exceed the balance available in the account

   Answer: D) Not exceed the balance available in the account

3. **Question:** Why do the other two cards (credit and charge) involve the payment of interest, according to the text?

   A) To encourage card usage

   B) To generate additional revenue

   C) Due to Shariah issues

   D) To cover operational costs

   Answer: C) Due to Shariah issues

MC Learning House

4. **Question:** According to the Islamic Fiqh Council Jeddah, under what condition is it permissible to issue and use a credit card?

   A) If the cardholder intends to pay within the moratorium period

   B) If the cardholder exceeds the credit limit

   C) If the cardholder pays a fixed fee

   D) If the cardholder accumulates interest charges

   Answer: A) If the cardholder intends to pay within the moratorium period

5. **Question:** What resolution did the Islamic Fiqh Council Jeddah make regarding credit cards with interest conditions?

   A) They encouraged their usage

   B) They deemed them impermissible

   C) They allowed interest charges

   D) They suggested fixed fees for users

   Answer: B) They deemed them impermissible

6. **Question:** According to the resolution, what is permissible regarding credit cards without interest conditions?

   A) Charging usurious fees

   B) Imposing interest during the moratorium period

   C) Taking a specific amount as a fee during issuance or renewal

   D) Offering interest-free credit limits

   Answer: C) Taking a specific amount as a fee during issuance or renewal

7. **Question:** What is considered impermissible regarding fees on credit cards, as per the text?

   A) Charging a fixed amount

   B) Imposing usurious fees

MC Learning House

C) Providing interest-free credit

D) Offering promotional discounts

Answer: B) Imposing usurious fees

8. **Question:** According to the text, what can the bank do in terms of commission on goods or services purchased using a credit card?

   A) Charge higher prices for goods

   B) Take a commission from the merchant

   C) Offer discounts to the merchant

   D) Refrain from any commission

   Answer: B) Take a commission from the merchant

9. **Question:** What condition must be met for the commission taken by the bank to be permissible?

   A) It should be a fixed amount

   B) It should be a percentage of the total transaction

   C) It should be usurious

   D) It should be waived for certain merchants

   Answer: A) It should be a fixed amount

10. **Question:** According to the AAOIFI, what is the purpose of Shariah standard #2 on these cards?

    A) Encouraging interest-based transactions

    B) Developing electronic money outside the Shariah framework

    C) Providing a basis for developing electronic money within the Shariah framework

    D) Restricting the use of electronic money

    Answer: C) Providing a basis for developing electronic money within the Shariah framework

MC Learning House

11. **Question:** What role does the AAOIFI's Shariah standard #2 play in the development of electronic money by Islamic banks?

    A) It encourages usurious transactions

    B) It provides a basis within the Shariah framework

    C) It prohibits the use of electronic money

    D) It imposes fixed fees on transactions

    Answer: B) It provides a basis within the Shariah framework

12. **Question:** In the context of credit cards, what does a moratorium period refer to?

    A) A period when interest is not charged

    B) A period when fixed fees are charged

    C) A period when the card is inactive

    D) A period when promotional discounts are offered

    Answer: A) A period when interest is not charged

13. **Question:** According to the text, what is the primary issue with credit cards that include interest conditions?

    A) They lack a moratorium period

    B) They are impermissible according to Shariah

    C) They have high fixed fees

    D) They encourage excessive spending

    Answer: B) They are impermissible according to Shariah

14. **Question:** What is the significance of the fixed amount taken by the bank during the issuance or renewal of a credit card?

    A) It covers operational costs

    B) It is usurious and impermissible

    C) It ensures interest-free credit limits

MC Learning House

D) It encourages card usage

Answer: B) It is usurious and impermissible

15. **Question:** What does the AAOIFI's Shariah standard #2 provide for Islamic banks in relation to electronic money?

A) Encourages usurious practices

B) Offers discounts to certain merchants

C) Provides a Shariah-compliant basis

D) Prohibits the use of electronic money

Answer: C) Provides a Shariah-compliant basis

16. **Question:** What does the text mention about credit cards and their conditions regarding interest?

A) Credit cards are always impermissible

B) Interest conditions can be ignored if the cardholder intends to pay

C) Interest conditions are allowed within certain limits

D) Credit cards must have usurious fees

Answer: B) Interest conditions can be ignored if the cardholder intends to pay

17. **Question:** According to the resolution, what is permissible regarding credit cards without interest conditions?

A) Charging usurious fees

B) Imposing interest during the moratorium period

C) Taking a specific amount as a fee during issuance or renewal

D) Offering interest-free credit limits

Answer: C) Taking a specific amount as a fee during issuance or renewal

18. **Question:** According to the AAOIFI, what is the purpose of Shariah standard #2 on these cards?

MC Learning House

A) Encouraging interest-based transactions

B) Developing electronic money outside the Shariah framework

C) Providing a basis for developing electronic money within the Shariah framework

D) Restricting the use of electronic money

Answer: C) Providing a basis for developing electronic money within the Shariah framework

19. **Question:** What role does the AAOIFI's Shariah standard #2 play in the development of electronic money by Islamic banks?

A) It encourages usurious transactions

B) It provides a basis within the Shariah framework

C) It prohibits the use of electronic money

D) It imposes fixed fees on transactions

Answer: B) It provides a basis within the Shariah framework

20. **Question:** In the context of credit cards, what does a moratorium period refer to?

A) A period when interest is not charged

B) A period when fixed fees are charged

C) A period when the card is inactive

D) A period when promotional discounts are offered

Answer: A) A period when interest is not charged

Q&A:

1. **Question:** Which type of card among debit, credit, and charge cards has no Shariah issue according to the text?

   Answer: The debit card has no Shariah issue.

2. **Question:** What condition must a debit cardholder adhere to in order to avoid interest charges?

MC Learning House

Answer: The cardholder must not exceed the balance available in his account.

3. **Question:** Why do credit and charge cards involve the payment of interest, according to the text?

   Answer: The payment of interest is not allowed according to Shariah.

4. **Question:** According to the Islamic Fiqh Council Jeddah, under what condition is it permissible to issue and use a credit card?

   Answer: It is permissible if the conditions do not include the imposition of interest, even if the cardholder intends to pay within the moratorium period.

5. **Question:** What resolution did the Islamic Fiqh Council Jeddah make regarding credit cards with interest conditions?

   Answer: It is not permissible to issue or use credit cards if their conditions include the imposition of interest.

6. **Question:** What is permissible regarding credit cards without interest conditions, as per the resolution?

   Answer: It is permissible to issue credit cards that do not carry a condition of imposing interest. The bank can take a specific amount as a fee during issuance or renewal.

7. **Question:** What is considered impermissible regarding fees on credit cards, as per the text?

   Answer: Any charge over and above the fixed amount is impermissible because of being usurious.

8. **Question:** What can the bank do in terms of commission on goods or services purchased using a credit card?

   Answer: The bank can take a commission from the merchant on the goods or services purchased by the cardholder, provided that such goods or services are sold at the same price, whether in cash or credit.

9. **Question:** According to the text, what is the significance of the fixed amount taken by the bank during the issuance or renewal of a credit card?

   Answer: Any charge over and above this fixed amount is impermissible because of being usurious.

MC Learning House

10. **Question:** What is the purpose of Shariah standard #2 issued by AAOIFI in relation to these cards?

    Answer: Shariah standard #2 provides a useful basis for developing electronic money by Islamic banks within the Shariah framework.

11. **Question:** How does Shariah standard #2 contribute to the development of electronic money by Islamic banks?

    Answer: It offers a Shariah-compliant basis for developing electronic money, ensuring adherence to Islamic principles.

12. **Question:** According to the AAOIFI, what is the primary issue with credit cards that include interest conditions?

    Answer: The primary issue is the imposition of interest, making them impermissible according to Shariah.

13. **Question:** What does the term "moratorium period" refer to in the context of credit cards?

    Answer: The moratorium period is a period preceding the imposition of interest, and during this period, interest is not charged.

14. **Question:** What is the primary significance of the fixed amount that can be taken by the bank during the issuance or renewal of a credit card?

    Answer: The fixed amount serves as a fee that the issuer deserves according to the services it provides to the cardholder.

15. **Question:** According to the AAOIFI, what does Shariah standard #2 provide for Islamic banks regarding electronic money?

    Answer: Shariah standard #2 provides a useful basis for developing electronic money by Islamic banks remaining within the Shariah framework.

16. **Question:** In the context of credit cards, what is the primary issue with conditions that involve the imposition of interest?

    Answer: Conditions that involve the imposition of interest on credit cards are deemed impermissible according to Shariah.

17. **Question:** What does the text say about the conditions under which it is permissible to issue credit cards?

MC Learning House

Answer: It is permissible to issue credit cards that do not carry a condition of imposing interest on the credit.

18. **Question:** According to the AAOIFI, what is the purpose of Shariah standard #2 on these cards?

    Answer: Shariah standard #2 provides a useful basis for developing electronic money by Islamic banks within the Shariah framework.

19. **Question:** How does Shariah standard #2 contribute to the development of electronic money by Islamic banks?

    Answer: It offers a Shariah-compliant basis for developing electronic money, ensuring adherence to Islamic principles.

20. **Question:** In the context of credit cards, what does a moratorium period refer to?

    Answer: A moratorium period refers to a period preceding the imposition of interest when interest is not charged.

152 Specific Areas of Financing -11

MCQs:

1. **Question:** What is one possible feature of a Shariah-compliant credit card, according to the text?

   A) Monthly interest charges

   B) Quarterly penalties

   C) Annual fee for issuing or renewing

   D) Variable credit limits

   Answer: C) Annual fee for issuing or renewing

2. **Question:** In a Shariah-compliant credit card, what type of credit line is mentioned?

   A) Fixed interest credit line

   B) Interest-free revolving credit line

   C) Variable interest credit line

MC Learning House

D) Monthly interest credit line

Answer: B) Interest-free revolving credit line

3. **Question:** According to the text, what does the cardholder need to avoid when using the card based on Shariah principles?

   A) Utilizing the card for any purpose

   B) Using the card for prohibited purposes

   C) Exceeding the credit limit

   D) Avoiding annual fees

   Answer: B) Using the card for prohibited purposes

4. **Question:** What is mentioned as a possible feature related to merchants accepting the Shariah-compliant credit card?

   A) Fixed percentage commission

   B) Variable annual fees

   C) Monthly penalties

   D) Quarterly service charges

   Answer: A) Fixed percentage commission

5. **Question:** In the context of Shariah-compliant credit cards, what is the purpose of a penalty mentioned in the text?

   A) Generating revenue for the bank

   B) Serving as a charitable contribution

   C) Encouraging defaults

   D) Acting as a deterrent against defaults

   Answer: D) Acting as a deterrent against defaults

6. **Question:** Which Islamic bank's credit card is mentioned as being based on Ujrah or a service charge?

MC Learning House

A) Bank Islam Malaysia

B) Emirates Islamic Bank

C) Kuwait Finance House (KFH)

D) Al Rajhi Bank

Answer: B) Emirates Islamic Bank

7. **Question:** How is the yearly service charge for the credit card of Emirates Islamic Bank levied?

A) Monthly

B) Quarterly

C) Annually

D) Semi-annually

Answer: B) Quarterly

8. **Question:** What percentage of the outstanding balance can a customer pay with the credit card of Emirates Islamic Bank?

A) 5%

B) 10%

C) 15%

D) 20%

Answer: B) 10%

9. **Question:** What contracts are mentioned for the Bank Islam Malaysia Card (BIC) in the text?

A) Mudarabah, Ijarah, and Murabaha

B) Bai‘ al ‘Inah, Wadi‘ah, and Qard al Hasan

C) Musharakah, Tawarruq, and Istisna

D) Wakalah, Salam, and Sukuk

MC Learning House

Answer: B) Bai‘ al ‘Inah, Wadi‘ah, and Qard al Hasan

10. **Question:** How does Bank Islam Malaysia Card (BIC) structure its transactions?

    A) Using Murabaha only

    B) Through Mudarabah agreements

    C) Based on Bai‘ al ‘Inah, Wadi‘ah, and Qard al Hasan

    D) Using Tawarruq exclusively

    Answer: C) Based on Bai‘ al ‘Inah, Wadi‘ah, and Qard al Hasan

11. **Question:** In the context of Bank Islam Malaysia Card (BIC), what does the bank do with a piece of land?

    A) Sells it at a higher deferred price

    B) Gifts it to the customer

    C) Leases it to the customer

    D) Repurchases it at a lower deferred price

    Answer: D) Repurchases it at a lower deferred price

12. **Question:** What is credited to the customer's account as part of the Bank Islam Malaysia Card (BIC) transactions?

    A) Fixed interest

    B) Cash from the customer

    C) Wadi‘ah, backed by the cash held in the account

    D) Quarterly service charges

    Answer: C) Wadi‘ah, backed by the cash held in the account

13. **Question:** What type of credit card is mentioned in the text in relation to Kuwait Finance House (KFH)?

    A) Al-Tayseer Card

    B) Emirates Islamic Bank Card

MC Learning House

C) Bank Islam Malaysia Card (BIC)

D) Shariah-Compliant Card

Answer: A) Al-Tayseer Card

14. **Question:** How does the Al-Tayseer Card of KFH earn revenue for the bank?

A) Through usurious fees

B) By charging monthly interest

C) By imposing annual penalties

D) From transactions initiated through the cards

Answer: D) From transactions initiated through the cards

15. **Question:** What is unique about the annual fee charged on the Al-Tayseer Card of KFH compared to similar conventional credit cards?

A) It is lower than conventional credit cards

B) It is the same as conventional credit cards

C) It is higher than conventional credit cards

D) It is waived for certain customers

Answer: C) It may be more than that of similar conventional credit cards

16. **Question:** What is the primary characteristic of the credit card issued by Emirates Islamic Bank?

A) Monthly service charge

B) Quarterly payment of outstanding balance

C) Annual fee based on Mudarabah

D) No interest charges if 10% of the outstanding balance is paid

Answer: D) No interest charges if 10% of the outstanding balance is paid

17. **Question:** According to the text, what are some of the possible features of a Shariah-compliant credit card?

MC Learning House

A) Monthly interest charges and flexible credit limits

B) Annual fee for issuing or renewal, interest-free revolving credit line, and prohibition of card usage for specific purposes

C) Quarterly penalties for charity and variable annual fees

D) Fixed percentage commission from merchants and usurious fees

Answer: B) Annual fee for issuing or renewal, interest-free revolving credit line, and prohibition of card usage for specific purposes

18. **Question:** In a Shariah-compliant credit card, what does the cardholder need to avoid based on Shariah principles?

A) Quarterly penalties

B) Using the card for prohibited purposes

C) Variable annual fees

D) Exceeding the credit limit

Answer: B) Using the card for prohibited purposes

19. **Question:** What is the purpose of the penalty mentioned in the context of a Shariah-compliant credit card?

A) Serving as a charitable contribution

B) Encouraging defaults

C) Quarterly service charges

D) Acting as a deterrent against defaults

Answer: D) Acting as a deterrent against defaults

20. **Question:** What is credited to the customer's account in the Bank Islam Malaysia Card (BIC) transactions?

A) Fixed interest

B) Cash from the customer

C) Wadi‘ah, backed by the cash held in the account

MC Learning House

D) Quarterly service charges

Answer: C) Wadi‘ah, backed by the cash held in the account

Q&A:

1. **Question:** What are some possible features of a Shariah-compliant credit card mentioned in the text?

   Answer: Possible features include an annual fee for issuing or renewal, an interest-free revolving credit line, and limitations on card usage for specific purposes.

2. **Question:** According to Shariah principles, what does the cardholder need to avoid when using a Shariah-compliant credit card?

   Answer: The cardholder must avoid using the card for purposes prohibited by Shariah.

3. **Question:** What possible feature related to merchants accepting the card is mentioned for a Shariah-compliant credit card?

   Answer: A percentage commission from merchants accepting the card is mentioned.

4. **Question:** What is the purpose of a penalty mentioned in the context of a Shariah-compliant credit card?

   Answer: The penalty serves as a deterrent against defaults, acting to discourage cardholders from defaulting.

5. **Question:** How is the credit card of Emirates Islamic Bank structured in terms of payments?

   Answer: The credit card allows a customer to pay 10% of the outstanding balance, as opposed to a charge card where the full amount is payable on the due date.

6. **Question:** What is the basis for the Credit Card of Emirates Islamic Bank?

   Answer: The card is based on Ujrah or a service charge.

7. **Question:** How is the yearly service charge for the Credit Card of Emirates Islamic Bank levied?

   Answer: The yearly service charge is levied on a quarterly basis.

MC Learning House

8. **Question:** What is unique about the payment structure of the Credit Card of Emirates Islamic Bank compared to charge cards?

   Answer: Unlike charge cards, where the full amount is payable on the due date, the Credit Card of Emirates Islamic Bank allows a customer to pay 10% of the outstanding balance.

9. **Question:** What contracts are mentioned for the Bank Islam Malaysia Card (BIC) in the text?

   Answer: BIC is based on three contracts: Bai‘ al ‘Inah (buy-back), Wadi‘ah (deposit for safe-keeping), and Qard al Hasan.

10. **Question:** How does the Bank Islam Malaysia Card (BIC) structure its transactions?

    Answer: The bank sells a piece of land to the customer at an agreed cash price and repurchases it at a lower deferred price. Each transaction is backed by the cash held in the Wadi‘ah BIC account.

11. **Question:** What is credited to the customer's account in the context of Bank Islam Malaysia Card (BIC) transactions?

    Answer: The amount is credited to the customer’s account as Wadi‘ah, and the customer can use the BIC for payments and cash withdrawals.

12. **Question:** What is the unique characteristic of the credit card issued by Bank Islam Malaysia (BIC) regarding the deferred price?

    Answer: The difference in the price is the bank’s return, determined in advance, and credited to the customer’s account as Wadi‘ah.

13. **Question:** What is the primary revenue source for the Al-Tayseer Card of Kuwait Finance House (KFH)?

    Answer: The bank earns revenue from transactions initiated through the Al-Tayseer Card.

14. **Question:** How does the Al-Tayseer Card of KFH differ from conventional credit cards in terms of interest charges?

    Answer: While an annual fee is charged on the Al-Tayseer Card, no interest is charged.

15. **Question:** What does the text mention about the annual fee on the Al-Tayseer Card of KFH compared to similar conventional credit cards?

MCLearning House

Answer: The annual fee on the Al-Tayseer Card may be more than that of similar conventional credit cards.

16. **Question:** What is mentioned as a possible feature of the Al-Tayseer Card of KFH regarding revenue generation?

    Answer: The bank also earns revenue from transactions initiated through the cards.

17. **Question:** In the context of Shariah-compliant credit cards, what is emphasized about the annual fee on the Al-Tayseer Card?

    Answer: Although the annual fee may be higher, no interest is charged on the Al-Tayseer Card.

18. **Question:** According to the text, what cards can be issued on the basis of Tawarruq, Murabaha, etc.?

    Answer: Credit cards can also be issued on the basis of Tawarruq, Murabaha, etc.

19. **Question:** What does the text suggest about the issuance of credit cards on the basis of Tawarruq, Murabaha, etc.?

    Answer: The text does not provide specific details about the implications or considerations for credit cards issued on the basis of Tawarruq, Murabaha, etc.

20. **Question:** What is the general conclusion regarding the structure of cards issued by Islamic banks based on the provided information?

    Answer: The structure of cards issued by Islamic banks involves Shariah-compliant features such as annual fees, interest-free credit lines, and adherence to principles prohibiting certain uses of the card.

MC Learning House

153 Specific Areas of Financing -12

MCQs:

1. **Question:** What is the primary purpose of underwriting for banking and non-banking institutions?

   A) Generating interest-based income

   B) Facilitating capital procurement

C) Ensuring profit-sharing arrangements

D) Providing interest-free loans

Answer: B) Facilitating capital procurement

2. **Question:** What income does underwriting typically generate for underwriters?

   A) Profit-sharing income

   B) Interest income

   C) Fee-based income

   D) Dividend income

   Answer: C) Fee-based income

3. **Question:** What does the underwriter charge a fee/commission for in the context of underwriting?

   A) Preparing financial reports

   B) Facilitating capital procurement

   C) Subscribing to shares

   D) Offering interest-based loans

   Answer: C) Subscribing to shares

4. **Question:** According to the information provided, is take-up commission permissible for underwriters when subscribing to unsubscribed shares?

   A) Yes

   B) No

   C) Depends on the company's policy

   D) Not specified

   Answer: B) No

5. **Question:** How must the shares subscribed by the underwriter be priced in comparison to other shareholders?

MC Learning House

A) Higher than other shareholders

B) Lower than other shareholders

C) At the face value

D) At a variable price

Answer: C) At the face value

6. **Question:** What did the Council of Islamic Fiqh of the OIC resolve regarding underwriting?

   A) Underwriting is impermissible

   B) Underwriting should be interest-based

   C) Underwriting is permissible under certain conditions

   D) Underwriting is obligatory for all institutions

   Answer: C) Underwriting is permissible under certain conditions

7. **Question:** According to the Council of Islamic Fiqh of the OIC, what is underwriting in the context of establishing a company?

   A) Guaranteeing profits

   B) Subscribing to unsubscribed shares

   C) Committing to interest payments

   D) Facilitating mergers and acquisitions

   Answer: B) Subscribing to unsubscribed shares

8. **Question:** What condition does the Council of Islamic Fiqh mention regarding the underwriter's subscription to shares?

   A) The underwriter can subscribe above the face value

   B) The underwriter must subscribe at the face value

   C) The underwriter can subscribe at any price

   D) The underwriter is exempt from subscribing to shares

MC Learning House

Answer: B) The underwriter must subscribe at the face value

9. **Question:** According to the Council of Islamic Fiqh, what compensation is permissible for the underwriter's commitment to subscribing to shares?

   A) Compensation for commitment is permissible

   B) No compensation is permissible

   C) Compensation for other services is permissible

   D) Compensation is only permissible in the form of dividends

   Answer: B) No compensation is permissible

10. **Question:** What types of services, mentioned in the text, could the underwriter receive compensation for?

    A) Only underwriting services

    B) Any financial services

    C) Services related to marketing of shares or preparation of studies

    D) Legal services

    Answer: C) Services related to marketing of shares or preparation of studies

11. **Question:** What is the overall Shariah objection, if any, mentioned regarding underwriting?

    A) Underwriting is inherently impermissible

    B) Underwriting is permissible without conditions

    C) No Shariah objection, under certain conditions

    D) Underwriting is obligatory in Islamic finance

    Answer: C) No Shariah objection, under certain conditions

12. **Question:** What is the primary condition for the permissibility of underwriting, according to the information provided?

    A) The underwriter's subscription should be above the face value

MC Learning House

B) The underwriter should receive compensation for commitment

C) The underwriter should subscribe at the face value without compensation

D) The underwriter's subscription can be at any price

Answer: C) The underwriter should subscribe at the face value without compensation

13. **Question:** In the context of underwriting, what is emphasized in terms of compensation for the underwriter's commitment?

A) Compensation is obligatory

B) Compensation is prohibited

C) Compensation is permissible

D) Compensation is discouraged

Answer: B) Compensation is prohibited

14. **Question:** How does underwriting contribute to the sale of shares in the establishment of a company?

A) By guaranteeing profits

B) By subscribing to all shares

C) By subscribing to unsubscribed shares

D) By receiving interest-based loans

Answer: C) By subscribing to unsubscribed shares

15. **Question:** What is the significance of the underwriter subscribing at nominal value, as mentioned in the text?

A) It ensures higher returns for the underwriter

B) It aligns with Shariah principles, ensuring fairness

C) It allows the underwriter to charge higher fees

D) It increases the face value of the shares

MC Learning House

Answer: B) It aligns with Shariah principles, ensuring fairness

16. **Question:** According to the Council of Islamic Fiqh, what services, other than underwriting, may the underwriter receive compensation for?

    A) Administrative services only

    B) Marketing of shares or preparation of studies

    C) Interest-based services

    D) Legal services

    Answer: B) Marketing of shares or preparation of studies

17. **Question:** What is the general conclusion regarding the Shariah permissibility of underwriting based on the information provided?

    A) Underwriting is impermissible

    B) Underwriting is permissible under any conditions

    C) Underwriting is permissible under specific conditions

    D) Underwriting is obligatory

    Answer: C) Underwriting is permissible under specific conditions

18. **Question:** What does the Council of Islamic Fiqh of the OIC emphasize regarding the underwriter's subscription to shares?

    A) The underwriter's subscription is optional

    B) The underwriter must subscribe at any price

    C) The underwriter must subscribe at the face value without compensation

    D) The underwriter must receive compensation for subscription

    Answer: C) The underwriter must subscribe at the face value without compensation

19. **Question:** In the context of underwriting, what does the Council of Islamic Fiqh emphasize regarding compensation?

    A) Compensation is obligatory

MC Learning House

B) Compensation is prohibited

C) Compensation is permissible for commitment

D) Compensation is only permissible in the form of dividends

Answer: B) Compensation is prohibited

20. **Question:** What is the primary focus of the Council of Islamic Fiqh's resolution on underwriting?

    A) Encouraging underwriting without restrictions

    B) Prohibiting underwriting as a financial activity

    C) Providing detailed guidelines for underwriting

    D) Allowing underwriting with certain conditions

    Answer: D) Allowing underwriting with certain conditions

Q&A:

1. **Question:** What is the primary function of underwriting in banking and non-banking institutions?

   Answer: Underwriting facilitates capital procurement and generates fee-based income for the underwriters.

2. **Question:** What type of income does underwriting typically yield for underwriters?

   Answer: Underwriting generates fee-based income for the underwriters.

3. **Question:** For what specific service can an underwriter charge a fee/commission?

   Answer: An underwriter can charge a fee/commission for subscribing to shares.

4. **Question:** According to the information provided, is take-up commission permissible for underwriters when subscribing to unsubscribed shares?

   Answer: No, take-up commission for subscribing to unsubscribed shares is not permissible.

5. **Question:** How must the shares subscribed by the underwriter be priced in comparison to other shareholders?

MC Learning House

Answer: The shares subscribed by the underwriter must be priced at the face value, similar to other shareholders.

6. **Question:** What is the definition of underwriting, according to the resolution of the Council of Islamic Fiqh of the OIC?

   Answer: Underwriting is an agreement made upon the establishment of a company, where someone undertakes to guarantee the sale of unsubscribed shares.

7. **Question:** Does the Council of Islamic Fiqh of the OIC have any objection to underwriting as described in the resolution?

   Answer: The Council has no Shariah objection to underwriting, provided the underwriter subscribes to shares at nominal value without compensation for the commitment.

8. **Question:** What services, other than underwriting, may the underwriter receive compensation for, according to the Council of Islamic Fiqh?

   Answer: The underwriter may receive compensation for services other than underwriting, such as preparation of studies or marketing of shares.

9. **Question:** According to the Council of Islamic Fiqh, what compensation is impermissible for the underwriter's commitment?

   Answer: Compensation for the commitment itself, beyond nominal value, is impermissible.

10. **Question:** What is the key consideration for the permissibility of underwriting, according to the Council of Islamic Fiqh?

    Answer: The underwriter must subscribe to shares at nominal value without compensation for the commitment.

11. **Question:** What is the primary emphasis regarding compensation in the context of underwriting?

    Answer: Compensation for the commitment, beyond nominal value, is prohibited.

12. **Question:** How does underwriting contribute to the sale of shares in the establishment of a company?

    Answer: Underwriting contributes by guaranteeing the sale of shares that would remain unsubscribed by others.

MC Learning House

13. **Question:** What is the significance of the underwriter subscribing at nominal value, as mentioned in the text?

    Answer: Subscribing at nominal value aligns with Shariah principles, ensuring fairness.

14. **Question:** According to the Council of Islamic Fiqh, what types of services may the underwriter be compensated for?

    Answer: The underwriter may be compensated for services related to the marketing of shares or preparation of studies.

15. **Question:** What is the overall conclusion regarding the Shariah permissibility of underwriting?

    Answer: Underwriting is permissible under specific conditions outlined by the Council of Islamic Fiqh.

16. **Question:** According to the Council of Islamic Fiqh, what is the primary condition for the permissibility of underwriting?

    Answer: The underwriter must subscribe to shares at nominal value without compensation for the commitment.

17. **Question:** What does the Council of Islamic Fiqh emphasize regarding the underwriter's subscription to shares?

    Answer: The underwriter must subscribe to shares at the face value without compensation for the commitment.

18. **Question:** In the context of underwriting, what does the Council of Islamic Fiqh emphasize regarding compensation?

    Answer: Compensation for the commitment itself, beyond nominal value, is prohibited.

19. **Question:** What is the primary focus of the Council of Islamic Fiqh's resolution on underwriting?

    Answer: The resolution allows underwriting with certain conditions, emphasizing fairness and adherence to Shariah principles.

20. **Question:** According to the information provided, what is the Council of Islamic Fiqh's stance on the overall permissibility of underwriting?

MC Learning House

Answer: Underwriting is deemed permissible under specific conditions outlined by the Council of Islamic Fiqh.

154 Specific Areas of Financing -13

MCQs:

1. **Question:** In which type of contracts is a Guarantee contract permissible?

   A) Trust contracts

   B) Contracts of sale or rights

   C) Lease contracts

   D) Partnership contracts

   Answer: B) Contracts of sale or rights

2. **Question:** How does a Guarantee contract affect the validity of the main contract?

   A) It invalidates the main contract

   B) It has no effect on the validity of the main contract

   C) It makes the main contract void

   D) It depends on the nature of the main contract

   Answer: B) It has no effect on the validity of the main contract

3. **Question:** In which type of contracts is it not permissible to stipulate a personal guarantee or pledge of security according to the text?

   A) Trust contracts

   B) Lease contracts

   C) Partnership contracts

   D) Contracts of exchange (e.g. sale)

   Answer: A) Trust contracts

Mc Learning House

4. **Question:** Under what circumstances is stipulating a personal guarantee allowed in trust contracts?

   A) Always allowed

   B) Only for breach of contract

   C) Only for misconduct

   D) Only for negligence

   Answer: D) Only for misconduct, negligence, or breach of contract

5. **Question:** Is it permissible to take remuneration for providing a personal guarantee itself?

   A) Yes

   B) No

   C) Depends on the nature of the guarantee

   D) Only in specific cases

   Answer: B) No

6. **Question:** What is the guarantor entitled to claim during the period of a personal guarantee?

   A) Remuneration for providing the guarantee

   B) Commission for obtaining the guarantee

   C) Any expenses actually incurred

   D) Fixed compensation

   Answer: C) Any expenses actually incurred

7. **Question:** According to classical Jurists, do they generally allow fees or remuneration based on guarantees?

   A) Yes

   B) No

MC Learning House

C) Only in specific cases

D) Depends on the type of guarantee

Answer: B) No

8. **Question:** What do some contemporary jurists consider regarding fees and remuneration for guarantees?

   A) They allow it in all cases

   B) They disallow it in all cases

   C) They allow it, considering a guarantee as a bunch of services

   D) They allow it only for specific guarantees

   Answer: C) They allow it, considering a guarantee as a bunch of services

9. **Question:** What does the fee for providing a personal guarantee depend on, according to the text?

   A) Amount of the guarantee

   B) Time of the guarantee

   C) Nature of expenses

   D) All of the above

   Answer: C) Nature of expenses

10. **Question:** How are different slabs defined in the context of guarantee fees?

    A) Based on the time of the guarantee

    B) Based on the amount of the guarantee

    C) Based on the nature of expenses

    D) Based on the guarantor's credit score

    Answer: C) Based on the nature of expenses

11. **Question:** According to the text, what does the fee for providing a personal guarantee not depend on?

MC Learning House

A) Amount of the guarantee

B) Time of the guarantee

C) Nature of expenses

D) Guarantor's credit score

Answer: A) Amount of the guarantee

12. **Question:** Can the fee for providing a personal guarantee be linked to the time of the guarantee?

A) Yes

B) No

C) Depends on the bank's policy

D) Only in specific cases

Answer: B) No

13. **Question:** What is the primary factor determining the fee for providing a personal guarantee?

A) Amount of the guarantee

B) Time of the guarantee

C) Nature of expenses

D) Guarantor's credit score

Answer: C) Nature of expenses

14. **Question:** According to the information provided, what services can be included in the bunch of services represented by a guarantee?

A) Only agency services

B) Only financial services

C) Any services including Wakalah

D) Only legal services

MC Learning House

Answer: C) Any services including Wakalah

15. **Question:** What is the overall stance of classical Jurists regarding fees or remuneration based on guarantees?

    A) They allow it under all circumstances

    B) They disallow it under all circumstances

    C) They allow it in specific cases

    D) They discourage it but allow in some cases

    Answer: B) They generally do not allow fees or remuneration based on guarantees

16. **Question:** According to contemporary jurists, why do they consider fees for guarantees permissible?

    A) Guarantees involve minimal effort

    B) Guarantees are inherently profitable

    C) Guarantees represent a bunch of services

    D) Guarantees have low risk

    Answer: C) Guarantees represent a bunch of services

17. **Question:** What does the fee for providing a personal guarantee depend on, according to contemporary jurists?

    A) Amount of the guarantee

    B) Time of the guarantee

    C) Nature of expenses

    D) Guarantor's credit score

    Answer: C) Nature of expenses

18. **Question:** What is the primary objection to taking remuneration for providing a personal guarantee, as per the text?

    A) It goes against Shariah principles

MC Learning House

B) It results in financial losses for the guarantor

C) It creates a conflict of interest

D) It discourages trust in financial transactions

Answer: A) It goes against Shariah principles

19. **Question:** According to the information provided, what can a personal guarantee fee be linked to?

A) Amount of the guarantee

B) Time of the guarantee

C) Nature of expenses

D) Guarantor's credit score

Answer: C) Nature of expenses

20. **Question:** What is the primary focus when defining different slabs for guarantee fees?

A) Amount of the guarantee

B) Time of the guarantee

C) Nature of expenses

D) Guarantor's credit score

Answer: C) Nature of expenses

Q&A:

1. **Question:** What is the permissible context for a Guarantee contract, as mentioned in the text?

   Answer: A Guarantee contract is permissible in contracts of exchange, such as a contract of sale or contract of rights.

2. **Question:** How does a Guarantee contract impact the validity of the main contract in which it is required?

MC Learning House

Answer: The Guarantee contract does not affect the validity of the main contract; it remains valid.

3. **Question:** In which type of contracts is it impermissible to stipulate a personal guarantee or pledge of security, as per the text?

   Answer: It is impermissible to stipulate a personal guarantee or pledge of security in trust contracts, like an agency contract.

4. **Question:** Under what circumstances is stipulating a personal guarantee allowed in trust contracts?

   Answer: Stipulating a personal guarantee in trust contracts is allowed if it is intended to cover cases of misconduct, negligence, or breach of contract.

5. **Question:** Can any remuneration be charged for providing a personal guarantee itself?

   Answer: No, it is not permissible to take any remuneration for providing a personal guarantee per se.

6. **Question:** What is the entitlement of the guarantor during the period of a personal guarantee?

   Answer: The guarantor is entitled to claim any expenses actually incurred during the period of a personal guarantee.

7. **Question:** What is the general stance of classical Jurists regarding fees or remuneration based on guarantees?

   Answer: Classical Jurists generally do not allow fees or remuneration based on guarantees.

8. **Question:** What is the viewpoint of some contemporary jurists regarding fees for guarantees?

   Answer: Some contemporary jurists consider that banks can take commission and fees for guarantees, as a guarantee represents a bunch of services.

9. **Question:** What does the fee for providing a personal guarantee depend on, according to the text?

   Answer: The fee should not be linked with the amount or time of the guarantee but depends on the nature of expenses.

10. **Question:** How are different slabs defined in the context of guarantee fees?

MC Learning House

Answer: Different slabs can be defined for different amounts depending on the levels of administration getting involved in issuing the guarantee.

11. **Question:** Is the fee for providing a personal guarantee linked to the amount of the guarantee?

    Answer: No, the fee should not be linked to the amount of the guarantee.

12. **Question:** Can the fee for providing a personal guarantee be linked to the time of the guarantee?

    Answer: No, the fee should not be linked with the time of the guarantee.

13. **Question:** According to the text, what is the primary factor determining the fee for providing a personal guarantee?

    Answer: The fee depends on the nature of expenses.

14. **Question:** What services can be included in the bunch of services represented by a guarantee?

    Answer: Any services including Wakalah can be included in the bunch of services represented by a guarantee.

15. **Question:** According to classical Jurists, why do they generally disallow fees or remuneration based on guarantees?

    Answer: Classical Jurists generally disallow such fees or remuneration based on guarantees.

16. **Question:** According to contemporary jurists, why do they consider fees for guarantees permissible?

    Answer: Contemporary jurists consider fees for guarantees permissible as a guarantee represents a bunch of services.

17. **Question:** What does the fee for providing a personal guarantee depend on, according to contemporary jurists?

    Answer: The fee depends on the nature of expenses, as stated by contemporary jurists.

18. **Question:** What is the primary objection to taking remuneration for providing a personal guarantee, as per the text?

Mc Learning House

Answer: Taking remuneration for providing a personal guarantee goes against Shariah principles.

19. **Question:** According to the information provided, what can a personal guarantee fee be linked to?

    Answer: The fee for providing a personal guarantee should be linked to the nature of expenses.

20. **Question:** What is the primary focus when defining different slabs for guarantee fees?

    Answer: Different slabs for guarantee fees are defined based on the nature of expenses.

155 Specific Areas of Financing -14

MCQs:

1. **Question:** In which area of banking are Letters of Credit (L/C) considered essential, particularly for international trade?

   A) Retail banking

   B) Investment banking

   C) Islamic banking

   D) International trade banking

   Answer: D) International trade banking

2. **Question:** How are Letters of Credit (L/Cs) covered in the literature on Islamic banking, according to the text?

   A) Under Ijarah contracts

   B) Under Mudarabah contracts

   C) Under Wakalah and Kafalah contracts

   D) Under Salam contracts

   Answer: C) Under Wakalah and Kafalah contracts

Mc Learning House

3. **Question:** What is the suggested approach for charging fees on Letters of Credit, according to some scholars?

   A) Variable rates based on the duration

   B) Fixed rates not varying with duration or volume

   C) Variable rates based on the volume

   D) Fixed rates varying with the volume

   Answer: B) Fixed rates not varying with duration or volume

4. **Question:** When are variable fees on Letters of Credit allowed by some scholars, according to the text?

   A) Always allowed

   B) When officials of middle, senior, and top management are involved

   C) Only for long-duration Letters of Credit

   D) Only for short-duration Letters of Credit

   Answer: B) When officials of middle, senior, and top management are involved

5. **Question:** In the context of Murabaha, how is a Letter of Credit typically opened by the bank?

   A) In the name of the customer

   B) In the name of the bank

   C) In the name of a third party

   D) In the name of the issuing bank

   Answer: B) In the name of the bank

6. **Question:** In Murabaha, what does the bank do after possessing the goods received through a Letter of Credit?

   A) Sells them to the customer by adding the fee

   B) Sells them to a third party

MC Learning House

C) Returns them to the supplier

D) Stores them in the bank's inventory

Answer: A) Sells them to the customer by adding the fee

7. **Question:** In the case of Musharakah, who may administer the Letter of Credit?

   A) Only the bank

   B) Only the customer

   C) Either the bank or the customer

   D) An external agency

   Answer: C) Either the bank or the customer

8. **Question:** What is one advantage of Musharakah over Murabaha in the context of Letters of Credit?

   A) More rigid structure

   B) Greater flexibility

   C) Lower transaction costs

   D) Faster processing time

   Answer: B) Greater flexibility

9. **Question:** What role can the bank play when acting as an agent to the beneficiary on behalf of the issuing bank in a Letter of Credit?

   A) It can issue a parallel Letter of Credit

   B) It can charge a fee against the L/C

   C) It can act as a guarantor

   D) It can withdraw the Letter of Credit

   Answer: B) It can charge a fee against the L/C

10. **Question:** Is there any objection to Islamic banks opening documentary credits at conventional banks?

MC Learning House

A) Yes, it is strictly prohibited

B) No, it is permissible

C) Only if the conventional bank is Shariah-compliant

D) Only in specific circumstances

Answer: B) No, it is permissible

11. **Question:** What can Islamic banks ask correspondent banks to do regarding Letters of Credit opened on behalf of foreign suppliers to importers?

A) Add their confirmation to the L/C

B) Reject the L/C

C) Request additional fees from the beneficiaries

D) Close the L/C immediately

Answer: A) Add their confirmation to the L/C

12. **Question:** What purpose does keeping surplus in accounts with correspondent banks serve for Islamic banks?

A) To pay additional fees

B) To cover obligations to the third party (the supplier)

C) To withdraw funds for other purposes

D) To earn interest on the surplus

Answer: B) To cover obligations to the third party (the supplier)

13. **Question:** In which area of banking are Letters of Credit considered essential, according to the text?

A) Retail banking

B) Investment banking

C) Islamic banking

D) International trade banking

MC Learning House

Answer: D) International trade banking

14. **Question:** How are Letters of Credit covered in the literature on Islamic banking?

    A) Under Ijarah contracts

    B) Under Mudarabah contracts

    C) Under Wakalah and Kafalah contracts

    D) Under Salam contracts

    Answer: C) Under Wakalah and Kafalah contracts

15. **Question:** What is the suggested approach for charging fees on Letters of Credit, according to some scholars?

    A) Variable rates based on the duration

    B) Fixed rates not varying with duration or volume

    C) Variable rates based on the volume

    D) Fixed rates varying with the volume

    Answer: B) Fixed rates not varying with duration or volume

16. **Question:** When are variable fees on Letters of Credit allowed by some scholars, according to the text?

    A) Always allowed

    B) When officials of middle, senior, and top management are involved

    C) Only for long-duration Letters of Credit

    D) Only for short-duration Letters of Credit

    Answer: B) When officials of middle, senior, and top management are involved

17. **Question:** In the context of Murabaha, how is a Letter of Credit typically opened by the bank?

    A) In the name of the customer

    B) In the name of the bank

MC Learning House

C) In the name of a third party

D) In the name of the issuing bank

Answer: B) In the name of the bank

18. **Question:** In Murabaha, what does the bank do after possessing the goods received through a Letter of Credit?

A) Sells them to the customer by adding the fee

B) Sells them to a third party

C) Returns them to the supplier

D) Stores them in the bank's inventory

Answer: A) Sells them to the customer by adding the fee

19. **Question:** In the case of Musharakah, who may administer the Letter of Credit?

A) Only the bank

B) Only the customer

C) Either the bank or the customer

D) An external agency

Answer: C) Either the bank or the customer

20. **Question:** What is one advantage of Musharakah over Murabaha in the context of Letters of Credit?

A) More rigid structure

B) Greater flexibility

C) Lower transaction costs

D) Faster processing time

Answer: B) Greater flexibility

Q&A:

MC Learning House

1. **Question:** What role do Letters of Credit (L/C) play in international trade, according to the text?

   Answer: Letters of Credit are essential in international trade.

2. **Question:** How are Letters of Credit covered in the literature on Islamic banking?

   Answer: In the literature on Islamic banking, L/Cs are covered under various contracts like Wakalah and Kafalah for businesses under Musharakah and Murabaha.

3. **Question:** What is the suggested approach for charging fees on Letters of Credit, according to some scholars?

   Answer: Some scholars suggest charging fees at a fixed rate that will not vary with the duration or the volume of the Letter of Credit.

4. **Question:** When is the variation of fees on Letters of Credit allowed by some scholars?

   Answer: Variable fees on Letters of Credit are allowed when officials of middle, senior, and top management are involved, depending upon the volume of the L/Cs.

5. **Question:** How may Letters of Credit be opened for business in the context of Murabaha?

   Answer: In Murabaha, the bank would open the L/C for itself (or in the name of a client under agency) and, when it possesses the goods, sell them to the customer by adding the fee in the total cost.

6. **Question:** In the case of Musharakah, who may administer the Letter of Credit?

   Answer: In Musharakah, either the bank or the customer can administer the Letter of Credit.

7. **Question:** What flexibility does Musharakah offer in the context of Letters of Credit?

   Answer: Musharakah is more flexible, as the L/C may be in the name of the customer or the bank. When the goods are received, the partner may sell them, and the Musharakah can be liquidated, or the partner may buy the share of the bank.

8. **Question:** How can the bank act when acting as an agent to the beneficiary on behalf of the issuing bank in a Letter of Credit?

   Answer: The bank can act as an agent and charge a fee against the L/C.

9. **Question:** Is there any objection to Islamic banks opening documentary credits at conventional banks?

Mc Learning House

Answer: No, there is no objection to Islamic banks opening documentary credits at conventional banks.

10. **Question:** What can Islamic banks ask correspondent banks to do regarding Letters of Credit opened on behalf of foreign suppliers to importers?

    Answer: Islamic banks may ask correspondent banks to add their confirmation to an L/C opened on behalf of foreign suppliers to importers.

11. **Question:** What does keeping surplus in accounts with correspondent banks help Islamic banks cover?

    Answer: Keeping surplus helps Islamic banks cover their obligations to the third party (the supplier).

12. **Question:** According to the text, what is the primary role of Letters of Credit in international trade?

    Answer: Letters of Credit play a crucial role in facilitating international trade transactions.

13. **Question:** How are Letters of Credit covered in the literature on Islamic banking?

    Answer: In the literature on Islamic banking, L/Cs are covered under various contracts like Wakalah and Kafalah for businesses under Musharakah and Murabaha.

14. **Question:** What is the suggested approach for charging fees on Letters of Credit, according to some scholars?

    Answer: Some scholars suggest charging fees at a fixed rate that will not vary with the duration or the volume of the Letter of Credit.

15. **Question:** When is the variation of fees on Letters of Credit allowed by some scholars?

    Answer: Variable fees on Letters of Credit are allowed when officials of middle, senior, and top management are involved, depending upon the volume of the L/Cs.

16. **Question:** How may Letters of Credit be opened for business in the context of Murabaha?

    Answer: In Murabaha, the bank would open the L/C for itself (or in the name of a client under agency) and, when it possesses the goods, sell them to the customer by adding the fee in the total cost.

17. **Question:** In the case of Musharakah, who may administer the Letter of Credit?

MC Learning House

Answer: In Musharakah, either the bank or the customer can administer the Letter of Credit.

18. **Question:** What flexibility does Musharakah offer in the context of Letters of Credit?

    Answer: Musharakah is more flexible, as the L/C may be in the name of the customer or the bank. When the goods are received, the partner may sell them, and the Musharakah can be liquidated, or the partner may buy the share of the bank.

19. **Question:** How can the bank act when acting as an agent to the beneficiary on behalf of the issuing bank in a Letter of Credit?

    Answer: The bank can act as an agent and charge a fee against the L/C.

20. **Question:** Is there any objection to Islamic banks opening documentary credits at conventional banks?

    Answer: No, there is no objection to Islamic banks opening documentary credits at conventional banks.

156 Specific Areas of Financing -15

MCQs:

1. **Question:** What is the essence of Islamic banking, as mentioned in the passage?

   A) Profit maximization

   B) Compliance with Shariah principles

   C) Risk diversification

   D) International expansion

   Answer: B) Compliance with Shariah principles

2. **Question:** Who ensures that the operations of Islamic Banking Institutions (IBIs) conform to the rules and principles of Shariah?

   A) Central Government

   B) International Monetary Fund (IMF)

   C) State Bank of Pakistan (SBP)

MC Learning House

D) World Bank

Answer: C) State Bank of Pakistan (SBP)

3. **Question:** When did the re-launch of Islamic banking take place in Pakistan, according to the passage?

   A) 1995

   B) 2001

   C) 2010

   D) 2015

   Answer: B) 2001

4. **Question:** What is the primary objective of the Shariah Governance Framework (SGF) for IBIs?

   A) Maximizing shareholder wealth

   B) Ensuring ethical business practices

   C) Defining roles and responsibilities for Shariah compliance

   D) Achieving international recognition

   Answer: C) Defining roles and responsibilities for Shariah compliance

5. **Question:** According to the SGF, who is responsible for the effective mechanism of the Shari'ah compliance environment?

   A) Executive management

   B) Board of Directors (BOD)

   C) Shariah Compliance Department

   D) Internal auditors

   Answer: B) Board of Directors (BOD)

6. **Question:** Which department assists the Shariah Board and serves as a link between the Shariah Board and the management of the IBI?

MC Learning House

A) Internal Shari'ah Audit Unit (ISAU)

B) Shari'ah Compliance Department

C) External Shari'ah Audit

D) Resident Shariah Advisor

Answer: B) Shari'ah Compliance Department

7. **Question:** What is the purpose of the Shari'ah compliance review mechanism in the SGF?

   A) Maximizing profits

   B) Ensuring ethical behavior

   C) Identifying areas of non-compliance

   D) Attracting foreign investment

   Answer: C) Identifying areas of non-compliance

8. **Question:** Which unit, as part of the internal audit department, ensures independent Shariah audit within the IBI?

   A) Shari'ah Compliance Department

   B) External Shari'ah Audit

   C) Internal Shari'ah Audit Unit (ISAU)

   D) Central Shariah Board of SBP

   Answer: C) Internal Shari'ah Audit Unit (ISAU)

9. **Question:** When is external Shari'ah audit undertaken, according to the SGF?

   A) Quarterly

   B) Semi-annually

   C) Annually

   D) Biennially

MC Learning House

Answer: C) Annually

10. **Question:** What is the purpose of the Central Shariah Board of SBP in the Shariah Governance Framework?

    A) Conducting annual audits

    B) Setting interest rates

    C) Ensuring Shariah compliance at a central level

    D) Providing loans to IBIs

    Answer: C) Ensuring Shariah compliance at a central level

11. **Question:** Which entity is responsible for appointing an independent and effective Shariah Board as per Fit and Proper Criteria (FAPC)?

    A) Executive management

    B) Board of Directors (BOD)

    C) State Bank of Pakistan (SBP)

    D) Shariah Compliance Department

    Answer: C) State Bank of Pakistan (SBP)

12. **Question:** In the context of the SGF, what does FAPC stand for?

    A) Financial Accounting and Profit Calculation

    B) Fit and Proper Criteria

    C) Fair and Profitable Compliance

    D) Financial Analysis and Performance Calculation

    Answer: B) Fit and Proper Criteria

13. **Question:** Which organ of IBIs is accountable for the implementation of the Shariah Governance Framework?

    A) Internal auditors

    B) Executive management

MC Learning House

C) External auditors

D) Shariah Board

Answer: B) Executive management

14. **Question:** What is the minimum coverage of the Shariah Governance Framework for IBIs, as mentioned in the passage?

A) Administrative procedures

B) Environmental sustainability

C) Roles and responsibilities

D) Financial performance

Answer: C) Roles and responsibilities

15. **Question:** What is the role of the Resident Shariah Advisor in the Shariah Governance Framework?

A) Conducting external audits

B) Serving as a link between SB and the management

C) Appointing the Shariah Board

D) Providing legal advice to IBIs

Answer: B) Serving as a link between SB and the management

16. **Question:** How often does the SGF recommend undertaking external Shari'ah Audit?

A) Monthly

B) Quarterly

C) Annually

D) Biennially

Answer: C) Annually

17. **Question:** What is the purpose of the Shari'ah Compliance Department within IBIs?

MC Learning House

A) Conducting external audits

B) Identifying areas of non-compliance

C) Assisting the SB and serving as a link

D) Setting interest rates

Answer: C) Assisting the SB and serving as a link

18. **Question:** How does the SGF define the accountability of executive management in the implementation of the framework?

A) Financial accountability

B) Moral accountability

C) Shariah accountability

D) Legal accountability

Answer: C) Shariah accountability

19. **Question:** According to the SGF, what does the Shari'ah Compliance Department serve as a link between?

A) Executive management and internal auditors

B) Shariah Board and internal auditors

C) SB and the management of the IBI

D) External auditors and internal auditors

Answer: C) SB and the management of the IBI

20. **Question:** What is the Central Shariah Board of SBP responsible for in the SGF?

A) Conducting internal audits

B) Appointing external auditors

C) Setting interest rates

D) Ensuring Shariah compliance at a central level

MC Learning House

Answer: D) Ensuring Shariah compliance at a central level

Q&A:

1. **Question:** What is the fundamental essence of Islamic banking, according to the passage?

   Answer: The fundamental essence of Islamic banking is to comply with the principles of Shariah as enshrined in the Holy Quran and the Sunnah.

2. **Question:** Which institution in Pakistan ensures that the operations of Islamic Banking Institutions (IBIs) remain in conformity with Shariah principles?

   Answer: The State Bank of Pakistan (SBP) ensures the conformity of IBIs with Shariah principles.

3. **Question:** When did the re-launch of Islamic banking take place in Pakistan, and what has been its impact on regulations?

   Answer: The re-launch of Islamic banking in Pakistan took place in 2001, leading to the issuance of regulations, instructions, and guidelines on Shariah compliance by the State Bank of Pakistan.

4. **Question:** What is the primary objective of the Shariah Governance Framework (SGF) for IBIs?

   Answer: The primary objective of the SGF is to define explicitly the roles and responsibilities of various organs of IBIs concerning Shariah compliance.

5. **Question:** List three specific elements that the SGF of an IBI should cover, as mentioned in the passage.

   Answer: i. An effective mechanism for the Board of Directors (BOD) of the IBI's Shariah compliance environment.

   - ii. Accountability of executive management in the implementation of the framework.
   - iii. An independent and effective Shariah Board appointed as per Fit and Proper Criteria (FAPC) of SBP.

6. **Question:** What is the role of the Shari'ah Compliance Department within an IBI?

   Answer: The Shari'ah Compliance Department serves as a link between the Shariah Board and the management of the IBI, assisting the Shariah Board in ensuring compliance.

MC Learning House

7. **Question:** What is the purpose of the Shari'ah compliance review mechanism in the SGF?

   Answer: The purpose is to identify areas of non-compliance with Shariah principles within the operations of IBIs.

8. **Question:** What is the significance of having an Independent Internal Shari'ah Audit Unit (ISAU)?

   Answer: The ISA Unit ensures an independent Shariah audit within the IBI, contributing to the overall effectiveness of the Shariah compliance framework.

9. **Question:** How often is external Shari'ah audit undertaken, according to the SGF?

   Answer: External Shari'ah audit is undertaken annually along with the annual audit of the IBI.

10. **Question:** What entities constitute the Shariah Governance Framework in Pakistan, as mentioned in the passage?

    Answer: i. Central Shariah Board of SBP.

    - ii. Shariah Board of IBIs.
    - iii. Resident Shariah Advisor.
    - iv. Shariah Compliance Department of IBIs.
    - v. Shariah Audit Department.

11. **Question:** What is the role of the Central Shariah Board of SBP in the SGF?

    Answer: The Central Shariah Board of SBP ensures Shariah compliance at a central level, providing oversight and guidance.

12. **Question:** Who is responsible for appointing an independent and effective Shariah Board as per Fit and Proper Criteria (FAPC)?

    Answer: The State Bank of Pakistan (SBP) is responsible for appointing an independent and effective Shariah Board.

13. **Question:** What does FAPC stand for, and why is it important in the context of Shariah governance?

    Answer: FAPC stands for Fit and Proper Criteria. It is important as it ensures that individuals appointed to the Shariah Board meet the necessary qualifications and standards.

14. **Question:** According to the SGF, who is accountable for the implementation of the Shariah Governance Framework within an IBI?

MC Learning House

Answer: Executive management is accountable for the implementation of the Shariah Governance Framework.

15. **Question:** What is the minimum coverage of the Shariah Governance Framework for IBIs, as per the passage?

    Answer: The SGF, at the minimum, covers the roles and responsibilities of various organs of IBIs, including the BOD, executive management, Shariah Board, Shariah Compliance Department, and internal and external auditors.

16. **Question:** How does the SGF define the accountability of executive management in the implementation of the framework?

    Answer: The accountability of executive management is defined in terms of Shariah accountability.

17. **Question:** According to the SGF, what does the Shari'ah Compliance Department serve as a link between?

    Answer: The Shari'ah Compliance Department serves as a link between the Shariah Board and the management of the IBI.

18. **Question:** How often does the SGF recommend undertaking external Shari'ah Audit?

    Answer: External Shari'ah Audit is recommended to be undertaken annually.

19. **Question:** In the context of SGF, what does the Resident Shariah Advisor contribute to the Shariah governance structure?

    Answer: The Resident Shariah Advisor serves as a link between the State Bank of Pakistan (SBP) and the management of the IBI.

20. **Question:** What is the overarching responsibility of the Central Shariah Board of SBP in the Shariah Governance Framework?

    Answer: The Central Shariah Board of SBP is responsible for ensuring Shariah compliance at a central level, providing guidance and oversight to IBIs.

MC Learning House

157 Specific Areas of Financing -16

MCQs:

1. **Question:** Since when has the State Bank of Pakistan (SBP) had a high-powered Shariah Board in place?

a. 1998

b. 2001

c. 2003

d. 2005

Answer: c. 2003

2. **Question:** How many members constitute the SBP Shariah Board?

a. Four

b. Five

c. Six

d. Seven

Answer: c. Six

3. **Question:** What is the unique and diversified composition of the SBP Shariah Board?

a. Three lawyers, two bankers, one accountant

b. Two Shariah scholars, two lawyers, two accountants

c. Three Shariah scholars, one lawyer, one accountant, one banker

d. Two bankers, two accountants, two Shariah scholars

Answer: c. Three Shariah scholars, one lawyer, one accountant, one banker

4. **Question:** According to the passage, whose decisions are final and binding for the Islamic banking industry?

a. SBP Inspection Team

b. SBP Shariah Board

c. State Bank of Pakistan

d. Islamic Banking Institutions (IBIs)

Answer: b. SBP Shariah Board

MC Learning House

5. **Question:** What is NOT mentioned as a role and responsibility of the SBP Shariah Board?

    a. Review and approve central banking functions

    b. Advise on Prudential regulations

    c. Conduct inspections of Islamic banking institutions

    d. Approve fit and proper criteria for Shariah Board members

    Answer: c. Conduct inspections of Islamic banking institutions

6. **Question:** What is the function of the SBP Shariah Board in advising the State Bank regarding conflicting Shariah opinions on Islamic banking products?

    a. Develop alternative products

    b. Resolve the conflict through legal proceedings

    c. Advise on Shariah rulings

    d. Suspend the conflicting products

    Answer: c. Advise on Shariah rulings

7. **Question:** According to the passage, what happens if there is a difference of opinion between an Islamic banking institution (IBI) and the SBP inspection team?

    a. Legal proceedings are initiated

    b. SBP Shariah Board is consulted

    c. The matter is escalated to higher authorities

    d. IBI's decision prevails

    Answer: b. SBP Shariah Board is consulted

8. **Question:** How many Shariah scholars are part of the SBP Shariah Board?

    a. One

    b. Two

    c. Three

MC Learning House

d. Four

Answer: c. Three

9. **Question:** What is the primary purpose of the SBP Shariah Board's role in advising on Prudential regulations?

   a. Ensure profitability of IBIs

   b. Safeguard Shariah compliance

   c. Monitor market competition

   d. Facilitate international trade

   Answer: b. Safeguard Shariah compliance

10. **Question:** What is the overarching aim of having a Shariah Board according to the passage?

    a. Ensure legal compliance

    b. Strengthen central banking functions

    c. Promote Islamic banking and strengthen Shariah compliance

    d. Increase profitability of IBIs

    Answer: c. Promote Islamic banking and strengthen Shariah compliance

11. **Question:** How many members on the SBP Shariah Board have expertise as Shariah scholars?

    a. One

    b. Two

    c. Three

    d. Four

    Answer: c. Three

12. **Question:** In case of conflicting Shariah opinions, what is the primary role of the SBP Shariah Board?

Mc Learning House

a. Legal proceedings

b. Advising on Shariah rulings

c. Imposing fines on IBIs

d. Suspending the conflicting products

Answer: b. Advising on Shariah rulings

13. **Question:** Which of the following is a specific role of the SBP Shariah Board in advising the State Bank?

a. Conducting market research

b. Approving fiscal policies

c. Advising on Prudential regulations

d. Setting interest rates

Answer: c. Advising on Prudential regulations

14. **Question:** What does the SBP Shariah Board advise on in case of any difference of opinion between an IBI and the SBP inspection team?

a. Market competition

b. Legal proceedings

c. Shariah rulings

d. Annual financial audits

Answer: c. Shariah rulings

15. **Question:** How does the SBP Shariah Board contribute to the smooth functioning of the Islamic financial system?

a. Conducting inspections

b. Resolving legal disputes

c. Advising on Shariah matters

d. Setting interest rates

MC Learning House

Answer: c. Advising on Shariah matters

16. **Question:** What is the final and binding nature of the decisions made by the SBP Shariah Board?

    a. Non-binding

    b. Advisory

    c. Subject to legal review

    d. Final and binding

    Answer: d. Final and binding

17. **Question:** Who appoints the members of the SBP Shariah Board?

    a. Prime Minister

    b. President of Pakistan

    c. State Bank of Pakistan

    d. Board of Directors of IBIs

    Answer: c. State Bank of Pakistan

18. **Question:** What is the unique composition of the SBP Shariah Board that includes professionals from different fields?

    a. Monolithic

    b. Diversified

    c. Singular

    d. Homogeneous

    Answer: b. Diversified

19. **Question:** What role does the lawyer member of the SBP Shariah Board play?

    a. Ensure legal compliance of IBIs

    b. Resolve legal disputes between IBIs

MC Learning House

c. Provide legal advice on Shariah matters

d. Draft legal documents for IBIs

Answer: c. Provide legal advice on Shariah matters

20. **Question:** How many members on the SBP Shariah Board have expertise in banking?

a. One

b. Two

c. Three

d. Four

Answer: c. Three

Q&A:

1. **Question:** What is the primary objective of the Shariah Governance Framework (SGF) in Islamic Banking?

   Answer: The primary objective of the SGF is to explicitly define the roles and responsibilities of various organs of IBIs towards Shariah compliance.

2. **Question:** How does the SGF define the accountability of executive management in Shariah compliance?

   Answer: The SGF defines a mechanism for holding executive management accountable for the implementation of Shariah compliance.

3. **Question:** What role does the Shari'ah Compliance Department play in the Shariah Governance Framework?

   Answer: The Shari'ah Compliance Department serves as a link between the Shari'ah Board and the management of the IBI.

4. **Question:** What is the significance of the Shari'ah compliance review mechanism in the SGF?

   Answer: The Shari'ah compliance review mechanism ensures ongoing assessment and adherence to Shariah principles in IBIs.

MC Learning House

5. **Question:** What is the purpose of creating a Musharakah pool with a minimum of ten blue-chip companies in the Export Refinancing Scheme?

   Answer: The purpose is to support an Islamic bank in providing export finance under various Islamic modes.

6. **Question:** How is the overall profit of the Musharakah pool shared between the State Bank and the Islamic bank in the Export Refinancing Scheme?

   Answer: The State Bank shares the overall profit of the pool earned by the Islamic bank on a daily product basis.

7. **Question:** What happens in the event of a loss in the Musharakah pool in the Export Refinancing Scheme?

   Answer: Both the Islamic bank and the State Bank share the loss in proportion to their share of investment.

8. **Question:** What are the conditions for the facility allowed in the Export Refinancing Scheme?

   Answer: The facility is allowed only against an underlying transaction designed on the basis of Shariah-approved modes of financing.

9. **Question:** How does the State Bank receive its share from the profit in the Export Refinancing Scheme?

   Answer: SBP receives a tentative share from the profit on a quarterly basis, subject to final settlement based on unaudited accounts.

10. **Question:** What is the basis of the Islamic export refinance scheme (IERS) provided by the State Bank of Pakistan?

    Answer: The IERS is based on the Musharakah contract.

11. **Question:** What role does the Resident Shariah Advisor play in the Shariah Governance Framework?

    Answer: The Resident Shariah Advisor serves as a link between the State Bank of Pakistan (SBP) and the management of the IBI.

12. **Question:** What is the primary responsibility of the Central Shariah Board of SBP?

    Answer: The Central Shariah Board of SBP is responsible for ensuring Shariah compliance at a central level, providing guidance and oversight to IBIs.

MC Learning House

13. **Question:** According to the Shariah Governance Framework, what is the role of the Shari'ah Audit Department?

    Answer: The Shari'ah Audit Department is tasked with external Shari'ah audits, which are undertaken along with the annual audit of the IBI.

14. **Question:** What is the composition of the SBP Shariah Board in terms of professional expertise?

    Answer: The Board consists of three Shariah scholars, one lawyer, one accountant, and one banker.

15. **Question:** How does the SBP Shariah Board contribute to the smooth functioning of the Islamic financial system?

    Answer: The SBP Shariah Board advises on Shariah-related matters, contributing to the smooth functioning of the Islamic financial system.

16. **Question:** What is the significance of the fit and proper criteria for the appointment of member Shariah Boards of institutions conducting Islamic banking activities?

    Answer: The fit and proper criteria ensure that qualified individuals are appointed to Shariah Boards, maintaining the integrity of Shariah compliance.

17. **Question:** What is the role of the Shari'ah Compliance Department in the SGF?

    Answer: The Shari'ah Compliance Department assists the Shariah Board and serves as a link between the Shariah Board and the management of the IBI.

18. **Question:** In case of a conflicting Shariah opinion on Islamic banking products, what role does the SBP Shariah Board play?

    Answer: The SBP Shariah Board advises the State Bank on Shariah rulings to resolve conflicting opinions on Islamic banking products.

19. **Question:** According to the passage, what are the roles and responsibilities of the SBP Shariah Board in reviewing and approving products?

    Answer: The SBP Shariah Board reviews and approves products developed by the State Bank for conducting its central banking and monetary management functions under Islamic modes.

20. **Question:** What is the finality and binding nature of the decisions made by the SBP Shariah Board?

MC Learning House

Answer: The decisions of the SBP Shariah Board are final and binding for the industry.

158 Specific Areas of Financing -17

MCQs:

1. Constitution of the SB and Appointment of SB Members:

i. Every IBI shall have a Shari'ah Board comprising at least three Shari'ah Scholars appointed as per the Fit and Proper Criteria of SBP.

Question: What is the minimum number of Shari'ah Scholars required in the Shari'ah Board of an IBI?

- **a. One**
- **b. Two**
- **c. Three**
- **d. Four**

Answer: c. Three

2. Constitution of the SB and Appointment of SB Members:

ii. The SB Chairperson shall have at least 05 years, and other members of the SB shall have at least 03 years' experience in Shari'ah Advisory.

Question: How many years of experience is required for the Chairperson of the Shari'ah Board in Shari'ah Advisory?

- **a. 1 year**
- **b. 3 years**
- **c. 5 years**
- **d. 7 years**

Answer: c. 5 years

3. Constitution of the SB and Appointment of SB Members:

iii. IBIs may, in consultation with the SB, also engage professionals like lawyers, accountants, economists to assist and advise the SB on banking, legal, financial, and economic matters.

Question: Who may assist and advise the Shari'ah Board on banking, legal, financial, and economic matters?

MC Learning House

- **a. Only Shari'ah Scholars**
- **b. Lawyers and accountants**
- **c. Only economists**
- **d. All of the above**

Answer: d. All of the above

4. Constitution of the SB and Appointment of SB Members:

iv. The SB members shall be appointed for a term of 03 years and shall be eligible for reappointment.

Question: How long is the term of appointment for Shari'ah Board members?

- **a. 1 year**
- **b. 2 years**
- **c. 3 years**
- **d. 4 years**

Answer: c. 3 years

5. Constitution of the SB and Appointment of SB Members:

v. Removal or termination of any SB member before the expiry of his/her term shall be subject to prior approval of SBP.

Question: Who approves the removal or termination of any SB member before the expiry of the term?

- **a. Shari'ah Board**
- **b. Executive Management**
- **c. SBP**
- **d. Board of Directors**

Answer: c. SBP

6. Role of Shari'ah Board (SB):

i. The SB shall advise the BOD and the executive management of the IBI on all Shari'ah related matters.

Question: Who does the Shari'ah Board advise on all Shari'ah related matters?

- **a. Board of Directors (BOD)**
- **b. Executive Management**
- **c. Both a and b**

MC Learning House

- **d. None of the above**

Answer: c. Both a and b

7. Role of Shari'ah Board (SB):

ii. The SB shall cause to develop a comprehensive Shari'ah compliance framework for all areas of operations of the IBI and shall approve all products to be offered and launched by the IBI.

Question: What is the responsibility of the Shari'ah Board regarding the Shari'ah compliance framework?

- **a. Implement existing framework**
- **b. Develop a new framework**
- **c. Cause to develop a comprehensive framework**
- **d. Review the framework annually**

Answer: c. Cause to develop a comprehensive framework

8. Role of Shari'ah Board (SB):

iii. The Shari'ah Board shall have unhindered access to all records, documents, and information from all sources.

Question: What kind of access does the Shari'ah Board have to records and documents?

- **a. Limited access**
- **b. Conditional access**
- **c. Unhindered access**
- **d. Restricted access**

Answer: c. Unhindered access

9. Role of Shari'ah Board (SB):

iv. The SB shall ensure that all the IBI's products and services and related agreements/ contracts, structure, process flows, product manuals, marketing advertisements, sales illustrations, and brochures, etc., are in conformity with the rules and principles of Shari'ah.

Question: What is the primary responsibility of the Shari'ah Board regarding products and services?

- **a. Market the products**
- **b. Ensure conformity with Shari'ah principles**
- **c. Maximize profits**
- **d. Develop new products regularly**

MC Learning House

Answer: b. Ensure conformity with Shari'ah principles

10. Role of Shari'ah Board (SB):

v. All the reports of internal Shari'ah audit and Shari'ah compliance reviews shall be submitted to the SB for prescribing appropriate enforcement action.

Question: What action is taken based on the reports of internal Shari'ah audit and compliance reviews?

- **a. No action is taken**
- **b. Reports are published**
- **c. Enforcement action is prescribed**
- **d. Reports are ignored**

Answer: c. Enforcement action is prescribed

11. Role of Shari'ah Board (SB):

vi. Considering the binding nature, the SB shall rigorously deliberate on the proposals before giving any decision/fatwa which shall be duly recorded and documented.

Question: What is the nature of decisions made by the Shari'ah Board?

- **a. Suggested**
- **b. Non-binding**
- **c. Binding**
- **d. Optional**

Answer: c. Binding

12. Report of Shari'ah Board:

The SB shall, based on the work of internal/external Shari'ah audit and Shari'ah compliance review, prepare a report on IBI's Shari'ah compliance environment and conditions.

Question: What is the basis for preparing the report on the IBI's Shari'ah compliance environment?

- **a. Annual financial statements**
- **b. Internal/external Shari'ah audit and compliance review**
- **c. Board of Directors' meetings**
- **d. Customer feedback**

Answer: b. Internal/external Shari'ah audit and compliance review

MC Learning House

13. Report of Shari'ah Board:

The report shall be signed by all the members of SB. The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: Who signs the Shari'ah Board's report?

- **a. SBP**
- **b. Executive Management**
- **c. Board of Directors (BOD)**
- **d. All members of SB**

Answer: d. All members of SB

14. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: Where is the Shari'ah Board's report discussed and published?

- **a. Executive Management meeting**
- **b. SBP meeting**
- **c. Board of Directors (BOD) meeting**
- **d. Shari'ah Board meeting**

Answer: c. Board of Directors (BOD) meeting

15. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: Where is the Shari'ah Board's report published?

- **a. In a separate publication**
- **b. In newspapers**
- **c. In the IBI's annual report**
- **d. On the IBI's website**

Answer: c. In the IBI's annual report

16. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: What is the significance of discussing the report in the BOD meeting?

MC Learning House

- **a. To finalize the report**
- **b. To seek approval**
- **c. To reject the report**
- **d. To delay publication**

Answer: b. To seek approval

17. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: Why is it essential to publish the Shari'ah Board's report in the IBI's annual report?

- **a. Regulatory requirement**
- **b. To share achievements**
- **c. To enhance transparency**
- **d. All of the above**

Answer: d. All of the above

18. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: Who approves the report for publication?

- **a. Shari'ah Board**
- **b. Executive Management**
- **c. Board of Directors (BOD)**
- **d. SBP**

Answer: c. Board of Directors (BOD)

19. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: What is the purpose of publishing the Shari'ah Board's report?

- **a. For internal use only**
- **b. To comply with regulations**
- **c. To inform stakeholders**
- **d. Both b and c**

Answer: d. Both b and c

MC Learning House

20. Report of Shari'ah Board:

The report shall be discussed in the BOD meeting and published in the IBI's annual report.

Question: What does the publication of the Shari'ah Board's report aim to achieve?

- **a. To attract new customers**
- **b. To showcase achievements**
- **c. To inform stakeholders about Shari'ah compliance**
- **d. To generate profits**

Answer: c. To inform stakeholders about Shari'ah compliance

Q&A:

1. What is the primary objective of the Shariah Governance Framework (SGF) in an Islamic Banking Institution (IBI)?

Answer: The primary objective of the SGF is to explicitly define the roles and responsibilities of various organs of IBIs, including the Board of Directors, executive management, Shariah Board, Shariah Compliance Department, and internal and external auditors towards Shariah compliance.

2. According to the Shariah Governance Framework, what does the SGF of an IBI cover at a minimum?

Answer: The SGF shall, at a minimum, cover:

- An effective mechanism for the Board of Directors of the IBI's Shariah compliance environment.
- Accountability of executive management in the implementation of the framework.
- An independent and effective Shariah Board appointed as per the Fit and Proper Criteria of SBP.
- A Shariah Compliance Department to assist the Shariah Board and serve as a link between the Shariah Board and the management of the IBI.
- Shariah compliance review mechanism.
- An independent Internal Shariah Audit Unit (ISAU) which may be a part of the internal audit department.
- External Shariah Audit to be undertaken along with the annual audit of the IBI.

3. What is the role of the Shariah Board in an Islamic Banking Institution (IBI) according to the Shariah Governance Framework?

Answer: The Shariah Board has several roles, including advising the Board of Directors and executive management of the IBI on all Shariah related matters, developing a comprehensive Shariah compliance framework, approving all products to be offered and launched by the IBI,

MC Learning House

ensuring conformity of products and services with Shariah principles, and prescribing appropriate enforcement actions based on reports of internal Shariah audit and compliance reviews.

4. According to the Shariah Governance Framework, what is the significance of the Shariah Board's decisions?

Answer: The Shariah Board's decisions are binding on the IBI. They are of a binding nature, and the Shariah Board rigorously deliberates on proposals before giving any decision or fatwa, which is duly recorded and documented.

5. What is the composition of State Bank of Pakistan's (SBP) Central Shariah Board, and what is its role in Islamic banking?

Answer: The SBP's Central Shariah Board consists of six members with a unique and diversified composition, including three Shariah scholars, one lawyer, one accountant, and one banker. The role of the Central Shariah Board includes reviewing and approving products/instruments developed by SBP, advising SBP on prudential regulations for the Islamic banking sector, approving fit and proper criteria for Shariah Board members of IBIs, and advising on conflicting Shariah opinions on Islamic banking products.

6. What is the term of appointment for members of an Islamic Banking Institution's (IBI) Shariah Board, and are they eligible for reappointment?

Answer: The members of an IBI's Shariah Board shall be appointed for a term of three years, and they are eligible for reappointment.

7. In the context of an IBI's Shariah Board, what does "Fit and Proper Criteria (FAPC)" refer to?

Answer: Fit and Proper Criteria (FAPC) refer to the criteria used for the appointment of Shariah Board members, ensuring that they possess the necessary qualifications, expertise, and experience in Shariah Advisory.

8. What is the role of the Shariah Compliance Department in an Islamic Banking Institution (IBI)?

Answer: The Shariah Compliance Department serves as a link between the Shariah Board and the management of the IBI. It assists the Shariah Board and ensures that all products and services, as well as related agreements, contracts, structures, process flows, product manuals, marketing advertisements, sales illustrations, and brochures, conform with the rules and principles of Shariah.

9. What is the purpose of an independent Internal Shariah Audit Unit (ISAU) within an IBI's internal audit department?

MC Learning House

Answer: The purpose of an independent ISAU is to conduct internal Shariah audits, ensuring that Shariah compliance is maintained within the IBI. It reviews and reports on the Shariah compliance environment and conditions.

10. Can an Islamic Banking Institution (IBI) open documentary credits at conventional banks according to Shariah principles?

Answer: Yes, there is no objection to Islamic banks opening documentary credits at conventional banks, and they may also ask correspondent banks to add their confirmation to an L/C opened on behalf of foreign suppliers.

11. What is the significance of the publication of the Shariah Board's report in an IBI's annual report?

Answer: The publication of the Shariah Board's report in an IBI's annual report is essential for enhancing transparency, complying with regulatory requirements, and informing stakeholders about the IBI's Shariah compliance.

12. In the context of Shariah Governance, what is the role of an IBI's Board of Directors (BOD) regarding the Shariah compliance framework?

Answer: The BOD is responsible for creating an effective mechanism for the IBI's Shariah compliance environment. They play a crucial role in implementing and overseeing the Shariah compliance framework within the institution.

13. What is the primary function of an Underwriter in fee-based Islamic banking services, according to Shariah principles?

Answer: Underwriting is an essential function in banking and non-banking institutions, yielding fee-based income to underwriters. The underwriter provides services to procure the underwritten amount of capital, charging a fee or commission.

14. According to the Council of Islamic Fiqh of the OIC, is it permissible for an underwriter to subscribe to shares at nominal value without any compensation for the commitment itself?

Answer: Yes, according to the Council of Islamic Fiqh of the OIC, there is no Shariah objection to underwriting, provided the underwriter subscribes to shares at nominal value without compensation for the commitment itself, although compensation for other services offered may be received.

15. What are the possible features of a Shariah-compliant credit card, as mentioned in the context of the structure of cards issued by Islamic Banks?

Answer: Possible features of a Shariah-compliant credit card may include an annual fee for issuing or renewing the card, an interest-free revolving credit line, the ability to pay for goods or

MC Learning House

services up to a certain limit, a percentage commission from merchants, a penalty for defaults (as charity), and a prohibition on using the card for purposes prohibited by Shariah.

16. In the context of cards issued by Islamic Banks, what is the basis of the "Credit Card of Emirates Islamic Bank" and how does it differ from a charge card?

Answer: The "Credit Card of Emirates Islamic Bank" is based on Ujrah or a service charge. It allows a customer to pay 10% of the outstanding balance, as opposed to a charge card, where the full amount is payable on the due date.

17. What are the three contracts based on which the "Bank Islam Malaysia Card" (BIC) is structured?

Answer: The Bank Islam Malaysia Card (BIC) is based on three contracts: Bai' al 'Inah (buy-back), Wadi'ah (deposit for safe-keeping), and Qard al Hasan.

18. How is the structure of the "Al-Tayseer" Card of Kuwait Finance House (KFH) different from conventional credit cards?

Answer: The "Al-Tayseer" Card of KFH charges an annual fee higher than similar conventional credit cards, but it does not charge interest. Revenue is earned from transactions initiated through the card.

19. According to the Shariah position on various cards, is it permissible to issue a credit card with a condition of imposing interest on the credit?

Answer: No, it is not permissible to issue a credit card or use it if its conditions include the imposition of interest. This is prohibited, even if the cardholder intends to pay within the moratorium period before the imposition of interest.

20. What is the role of an Islamic bank's Shariah Board in ensuring the Shariah compliance of products and services offered by the bank?

Answer: The Shariah Board plays a crucial role in ensuring the Shariah compliance of products and services offered by an Islamic bank. They advise the Board of Directors and executive management on all Shariah-related matters, approve products to be offered, and ensure that all aspects of the bank's operations conform to the rules and principles of Shariah.

MC Learning House

159 Specific Areas of Financing -18

MCQs:

1. What does RSBM stand for in the context of Shariah Governance in Islamic Banking?

a. Resident Shariah Business Model

b. Regulatory Shariah Board Member

c. Resident Shariah Board Member

d. Regional Shariah Banking Mechanism

Answer: c. Resident Shariah Board Member

2. What is the primary role of a Resident Shariah Board Member (RSBM) in an Islamic Banking Institution (IBI)?

a. Financial Management

b. Strategic Planning

c. Day-to-day Shari'ah related operational matters

d. Human Resource Management

Answer: c. Day-to-day Shari'ah related operational matters

3. Why is the Resident Shariah Board Member (RSBM) required to be generally available in Pakistan?

a. To attend global conferences

b. To facilitate international partnerships

c. To provide guidance on Shari'ah issues locally

d. To engage in cross-border transactions

Answer: c. To provide guidance on Shari'ah issues locally

4. What is one of the key roles of the RSBM in product development?

a. Marketing strategies

b. Legal documentation

c. Providing guidance on Shari'ah aspects

d. Financial modeling

Answer: c. Providing guidance on Shari'ah aspects

MC Learning House

5. What is the Resident Shariah Board Member's responsibility regarding Shari'ah compliance reviews of key business areas?

a. Conducting exhaustive reviews

b. Leading the SCD in conducting sample and test check reviews

c. Overseeing marketing strategies

d. Preparing financial reports

Answer: b. Leading the SCD in conducting sample and test check reviews

6. In which areas does the Resident Shariah Board Member (RSBM) collaborate with other departments in an IBI?

a. Marketing and Sales

b. Finance and Accounting

c. Shari'ah related trainings

d. All of the above

Answer: c. Shari'ah related trainings

7. What is the frequency of the quarterly report submitted by the RSBM to the Shariah Board?

a. Monthly

b. Quarterly

c. Annually

d. Biannually

Answer: b. Quarterly

8. What is the purpose of the Resident Shariah Board Member's role in responding to Shariah-related queries from different departments of the IBI?

a. To create confusion

b. To delay decision-making

MC Learning House

c. To provide guidance and clarification

d. To avoid responsibility

Answer: c. To provide guidance and clarification

9. Why is the role of a Resident Shariah Board Member important in responding to Shariah-related queries of IBI's clients?

a. To increase administrative burden

b. To enhance client satisfaction and trust

c. To discourage client inquiries

d. To impose additional fees

Answer: b. To enhance client satisfaction and trust

10. What is the RSBM's involvement in Shari'ah training material preparation?

a. No involvement

b. Minimal involvement

c. Leading the preparation

d. Observing the process

Answer: c. Leading the preparation

11. In the context of Shariah Governance, what is the significance of the SCD?

a. Shari'ah Compliance Department

b. Strategic Communication Division

c. Securities and Commodities Division

d. Shariah Contract Development

Answer: a. Shari'ah Compliance Department

12. What is the purpose of conducting Shari'ah compliance reviews of key business areas on a sample and test check basis?

MC Learning House

a. To identify areas of non-compliance

b. To conduct exhaustive reviews

c. To delay decision-making

d. To avoid scrutiny

Answer: a. To identify areas of non-compliance

13. What is the role of the Resident Shariah Board Member (RSBM) regarding routine documents, process flows, etc.?

a. Creating delays

b. Avoiding responsibilities

c. Providing guidance and approval

d. Ignoring the documentation process

Answer: c. Providing guidance and approval

14. How does the RSBM contribute to the Shari'ah compliance environment of an IBI?

a. By increasing complexity

b. By minimizing Shari'ah guidance

c. By providing day-to-day guidance

d. By avoiding involvement

Answer: c. By providing day-to-day guidance

15. What is the significance of the Resident Shariah Board Member's residency requirement?

a. To enhance international collaborations

b. To ensure availability for local guidance

c. To promote cross-border transactions

d. To facilitate global conferences

MC Learning House

Answer: b. To ensure availability for local guidance

16. How does the RSBM contribute to the Shari'ah compliance of routine documents, process flows, etc.?

a. By avoiding involvement

b. By providing guidance and approval

c. By creating bottlenecks

d. By delaying decision-making

Answer: b. By providing guidance and approval

17. What is the role of the Resident Shariah Board Member regarding Shari'ah compliance in responding to queries from different departments?

a. To ignore queries

b. To discourage inquiries

c. To provide guidance and clarification

d. To impose additional fees

Answer: c. To provide guidance and clarification

18. How does the RSBM contribute to the development of Shari'ah-related training material?

a. By avoiding involvement

b. By providing guidance and collaboration

c. By creating confusion

d. By ignoring the training process

Answer: b. By providing guidance and collaboration

19. What is the Resident Shariah Board Member's role in preparing a quarterly report for the Shariah Board?

a. Minimal involvement

MC Learning House

b. Leading the preparation

c. Observing the process

d. Avoiding responsibilities

Answer: b. Leading the preparation

20. Why is the role of the Resident Shariah Board Member significant in responding to Shariah-related queries of IBI's clients?

a. To avoid client inquiries

b. To provide guidance and clarification

c. To delay decision-making

d. To create confusion

Answer: b. To provide guidance and clarification

Q&A:

1. Q: Why is Shariah compliance essential in Islamic banking?

A: Shariah compliance is essential in Islamic banking to ensure that financial activities adhere to Islamic principles outlined in the Quran and Sunnah, providing confidence to stakeholders in the ethical and lawful nature of banking operations.

2. Q: What role does the State Bank of Pakistan (SBP) play in Shariah governance in Islamic banking?

A: The SBP plays a regulatory role by issuing guidelines, regulations, and instructions to ensure Shariah compliance in Islamic banking operations, setting the framework for Shariah governance.

3. Q: What are the key components of the Shariah Governance Framework (SGF) in an Islamic Banking Institution (IBI)?

A: The SGF includes mechanisms for the oversight of Shariah compliance, accountability of executive management, an independent Shariah Board, a Shariah Compliance Department, internal and external Shariah audits, and comprehensive Shariah compliance reviews.

4. Q: Why is the independence of the Shariah Board emphasized in the Shariah Governance Framework?

MC Learning House

A: Independence ensures unbiased decision-making by the Shariah Board, free from external influences, fostering trust in the Shariah compliance process.

5. Q: What is the role of the Shariah Compliance Department (SCD) in an Islamic Banking Institution?

A: The SCD serves as a link between the Shariah Board and management, ensuring alignment of products and services with Shariah principles and conducting Shariah compliance reviews.

6. Q: How does the Shariah Board contribute to ensuring Shariah compliance in routine documents and processes?

A: The Shariah Board reviews and approves routine documents, process flows, and product manuals, ensuring they align with Shariah principles to maintain overall compliance.

7. Q: What is the significance of the Central Shariah Board of the SBP in Islamic banking?

A: The Central Shariah Board reviews and approves products developed by the SBP, advises on prudential regulations, and ensures consistency in Shariah compliance across the Islamic banking sector.

8. Q: What criteria are considered in appointing members to the Shariah Board of an Islamic Banking Institution?

A: Members must meet Fit and Proper Criteria (FAPC), with the Chairperson having at least 5 years of Shari'ah advisory experience, and other members having at least 3 years.

9. Q: What role does the Resident Shariah Board Member (RSBM) play in day-to-day operations?

A: The RSBM provides guidance on routine Shari'ah matters, clarifies queries, approves routine documents, and leads Shari'ah compliance reviews.

10. How does the Shariah Board ensure conformity of an Islamic Banking Institution's products and services with Shariah principles?

A: Availability in Pakistan ensures accessibility for guidance on local Shari'ah issues and effective collaboration with the management in day-to-day operations.

11. What role does Shariah compliance play in Islamic Banking?

A: Shariah compliance is fundamental in Islamic Banking, ensuring adherence to Islamic principles outlined in the Holy Quran and the Sunnah, distinguishing it from conventional banking.

MC Learning House

12. What is the State Bank of Pakistan's (SBP) involvement in Shariah Governance in Islamic Banking?

A: The SBP issues regulations, instructions, and guidelines to guarantee Shariah compliance in Islamic Banking, establishing a framework defining roles within Islamic Banking Institutions (IBIs).

13. What components does the Shariah Governance Framework (SGF) encompass in an Islamic Banking Institution?

A: The SGF includes mechanisms for oversight by the Board of Directors, executive management accountability, an independent Shariah Board, Shariah Compliance Department, internal Shariah Audit Unit, and external Shariah Audit.

14. Why is the independence of the Shariah Board emphasized in Shariah Governance?

A: Independence ensures unbiased decision-making, free from external influences, enhancing the credibility and integrity of Shariah compliance in Islamic Banking.

15. What is the role of the Shariah Compliance Department (SCD) in an Islamic Banking Institution?

A: The SCD assists the Shariah Board and acts as a liaison between the Shariah Board and the management, ensuring all products and processes align with Shariah principles.

16. How does the Shariah Board contribute to the approval of routine documents and product manuals?

A: The Shariah Board reviews and approves routine documents, process flows, product manuals, and marketing materials to ensure alignment with Shariah principles.

17. What is the significance of the Central Shariah Board of the SBP in Islamic Banking?

A: The Central Shariah Board reviews and approves products developed by the SBP, advises on prudential regulations, and plays a pivotal role in ensuring Shariah compliance.

18. What criteria must members meet for appointment to the Shariah Board of an Islamic Banking Institution?

A: Members must meet the Fit and Proper Criteria (FAPC) specified by the SBP, with the Chairperson having at least 5 years of Shari'ah advisory experience and other members having at least 3 years.

19. What role does the Resident Shariah Board Member (RSBM) play in day-to-day operations?

MC Learning House

A: The RSBM provides guidance on routine Shari'ah-related matters, clarifies queries, approves routine documents, and ensures adherence to Shariah principles in daily operations.

20. What role does Shariah compliance play in the context of Islamic Banking?

A: Shariah compliance is fundamental in Islamic Banking as it ensures adherence to Islamic principles, promoting ethical and lawful financial transactions in accordance with the teachings of the Holy Quran and Sunnah.

160 Shariah Governance in IB -1

MCQs:

1. **Who is designated as the Resident Shariah Board Member (RSBM) in an Islamic Banking Institution (IBI)?**

   A) Chairperson

   B) Management

   C) Any SB member

   D) RSBM

   Answer: C) Any SB member

2. **What is the primary role of the RSBM in an IBI?**

   A) Strategic decision-making

   B) Routine operational guidance

   C) Financial management

   D) Marketing

   Answer: B) Routine operational guidance

3. **In which country should the RSBM be generally available, according to the provided information?**

   A) Any country

   B) Pakistan

MC Learning House

C) Saudi Arabia

D) UAE

Answer: B) Pakistan

4. **Which department does the RSBM collaborate with in designing and delivering Shari'ah related trainings?**

   A) Product Development

   B) SCD

   C) Training Department

   D) SB

   Answer: C) Training Department

5. **What is the responsibility of the RSBM regarding Shari'ah compliance reviews in key business areas?**

   A) Conduct full-scale reviews

   B) Sample and test check reviews

   C) Delegate to the management

   D) Ignore compliance reviews

   Answer: B) Sample and test check reviews

6. **Who does the RSBM respond to regarding Shari'ah related queries in an IBI?**

   A) Only management

   B) Only clients

   C) Both management and clients

   D) Only SB

   Answer: C) Both management and clients

7. **What type of reports does the RSBM submit to the Shariah Board?**

MC Learning House

A) Annual reports

B) Monthly reports

C) Quarterly reports

D) Biennial reports

Answer: C) Quarterly reports

8. **Which function does the RSBM lead in an IBI's product development?**

A) Marketing

B) SCD

C) Finance

D) Compliance

Answer: B) SCD

9. **When does the RSBM provide clarifications on Shari'ah related issues and queries?**

A) As needed

B) Only during board meetings

C) Annually

D) Never

Answer: A) As needed

10. **Who does the RSBM supervise in preparing Shari'ah training material?**

A) SCD

B) Management

C) Training Department

D) Product Development

Answer: C) Training Department

MC Learning House

11. **What the geographic limitation for the availability of the RSBM is as mentioned in the information?**

    A) Global availability

    B) Limited to Asia

    C) Limited to Pakistan

    D) Limited to the Middle East

    Answer: C) Limited to Pakistan

12. **In what capacity does the RSBM provide guidance to the IBI's product development function?**

    A) Managerial

    B) Advisory

    C) Executive

    D) Auditing

    Answer: B) Advisory

13. **What is the RSBM's role in responding to Shariah related queries from different departments of the IBI?**

    A) Delegate to the management

    B) Respond selectively

    C) Respond to all queries

    D) Ignore queries

    Answer: C) Respond to all queries

14. **Who approves routine documents, process flows, etc., according to the provided information?**

    A) Management

    B) RSBM

MC Learning House

C) SB

D) Training Department

Answer: B) RSBM

15. **Which department does the RSBM collaborate with in conducting Shari'ah compliance reviews?**

A) Product Development

B) SCD

C) Training Department

D) Management

Answer: B) SCD

16. **What kind of basis is mentioned for Shari'ah compliance reviews of key business areas led by the RSBM?**

A) Full-scale basis

B) Annual basis

C) Sample and test check basis

D) Biennial basis

Answer: C) Sample and test check basis

17. **How often does the RSBM submit a report to the SB?**

A) Annually

B) Quarterly

C) Monthly

D) Biennially

Answer: B) Quarterly

18. **Which body designates the RSBM in consultation with the management?**

MC Learning House

A) RSBM

B) SB

C) Management

D) Training Department

Answer: B) SB

19. **What is the primary focus of the RSBM's guidance in day-to-day Shari'ah related operational matters?**

A) Strategic matters

B) Routine matters

C) Financial matters

D) Marketing matters

Answer: B) Routine matters

20. **Apart from routine matters, what does the RSBM provide guidance on according to the provided information?**

A) Financial planning

B) Product development

C) Marketing strategy

D) Human resources

Answer: B) Product development

MC Learning House

Q&A:

1. **Question: What is the role of the Resident Shariah Board Member (RSBM) in an Islamic Banking Institution (IBI)?**

Answer: The RSBM provides guidance in day-to-day Shari'ah related operational matters.

2. **Question: Who designates the RSBM in consultation with the management?**

   Answer: The Shariah Board (SB) of the IBI designates the RSBM.

3. **Question: What geographical availability is expected of the RSBM according to the provided information?**

   Answer: The RSBM is generally available in Pakistan.

4. **Question: Does the RSBM have any role in approving routine documents and process flows in the IBI?**

   Answer: Yes, the RSBM approves routine documents, process flows, etc.

5. **Question: What is the primary focus of the RSBM's guidance on day-to-day Shari'ah related issues?**

   Answer: The RSBM focuses on routine or day-to-day Shari'ah related issues raised by the management.

6. **Question: How often does the RSBM submit a report to the Shariah Board?**

   Answer: The RSBM submits a quarterly report to the Shariah Board.

7. **Question: What kind of reviews does the RSBM lead in Shari'ah compliance of key business areas?**

   Answer: The RSBM leads Shari'ah compliance reviews on a sample and test check basis.

8. **Question: Does the RSBM respond only to the queries of the IBI's management?**

   Answer: No, the RSBM responds to both management and clients' Shari'ah related queries.

9. **Question: In what capacity does the RSBM provide guidance to the IBI's product development function?**

   Answer: The RSBM provides advisory guidance to the product development function.

10. **Question: What is the primary responsibility of the RSBM regarding Shari'ah compliance reviews?**

    Answer: The RSBM supervises the preparation of Shari'ah training material and collaborates with relevant departments.

MC Learning House

11. **Question: Can the RSBM delegate the responsibility of Shari'ah compliance reviews to the management?**

    Answer: No, the RSBM leads the Shari'ah compliance reviews and cannot delegate this responsibility.

12. **Question: What type of reports does the RSBM submit to the Shariah Board?**

    Answer: The RSBM submits quarterly reports to the Shariah Board.

13. **Question: Is the RSBM part of the Shariah Board of any other Islamic Banking Institution?**

    Answer: No, the RSBM should not be part of the Shariah Board of any other IBI.

14. **Question: Besides routine matters, what other aspects does the RSBM provide guidance on?**

    Answer: The RSBM provides guidance to the IBI's product development function regarding Shari'ah aspects.

15. **Question: Does the RSBM have a role in responding to Shari'ah related queries from different departments?**

    Answer: Yes, the RSBM responds to all Shari'ah related queries from different departments of the IBI.

16. **Question: What is the RSBM's involvement in Shari'ah training material?**

    Answer: The RSBM supervises the preparation of Shari'ah training material.

17. **Question: How does the RSBM collaborate with the Training Department?**

    Answer: The RSBM collaborates in designing and delivery of Shari'ah related trainings with the Training Department.

18. **Question: Can the RSBM respond selectively to Shari'ah related queries?**

    Answer: No, the RSBM is expected to respond to all Shariah related queries by different departments of the IBI.

19. **Question: In what manner does the RSBM lead Shari'ah compliance reviews of key business areas?**

    Answer: The RSBM leads Shari'ah compliance reviews on a sample and test check basis.

MC Learning House

20. **Question: Can the RSBM be part of the Shariah Board and also serve as the Chairperson simultaneously?**

    Answer: No, the RSBM is designated from among the SB members other than the Chairperson.

161 Shariah Governance in IB -2

MCQs:

1. **Who may head the Shariah Compliance Department (SCD) in an Islamic Banking Institution (IBI)?**

    A) Chairperson of SB

    B) Full-time RSBM

    C) Management

    D) Suitably qualified officer

    Answer: B) Full-time RSBM

2. **What is the primary responsibility of the SCD in its role as the secretariat to the Shariah Board (SB)?**

    A) Providing financial support

    B) Offering product development guidance

    C) Providing secretarial support

    D) Conducting audits

    Answer: C) Providing secretarial support

3. **Who reviews proposals, agreements, contracts, and related documents before presenting them to the SB for approval?**

    A) RSBM

    B) Management

    C) SCD

MC Learning House

D) BOD

Answer: C) SCD

4. **What is the department that acts as a conduit between the Management and the SB in an IBI?**

   A) Product Development Department

   B) Shariah Compliance Department (SCD)

   C) Business Units

   D) Head Office

   Answer: B) Shariah Compliance Department (SCD)

5. **Under whose guidance does the SCD provide necessary support to the IBI's product development department and other units?**

   A) Management

   B) BOD

   C) RSBM

   D) SB

   Answer: C) RSBM

6. **Which function is responsible for keeping a continuous watch on the IBI's Shari'ah compliance environment?**

   A) Secretariat function

   B) Conduit function

   C) Shari'ah Compliance Review

   D) Facilitation of Management

   Answer: C) Shari'ah Compliance Review

7. **What does the SCD ensure regarding Shari'ah compliance audit reports?**

   A) Approval by SB

MC Learning House

B) Enforcement

C) Ignoring them

D) Delegation to management

Answer: B) Enforcement

8. **Which department does the SCD liaise with on Shari'ah compliance-related issues?**

A) Product Development Department

B) Islamic Banking Department of SBP

C) Business Units

D) Head Office

Answer: B) Islamic Banking Department of SBP

9. **What kind of support does the SCD provide to the IBI's product development department, business units, branches, and Head Office?**

A) Financial support

B) Technical support

C) Shari'ah related support

D) Marketing support

Answer: C) Shari'ah related support

10. **Who assists the SCD in reviewing proposals and related agreements submitted by the management?**

A) BOD

B) SB

C) RSBM

D) Islamic Banking Department of SBP

Answer: C) RSBM

Mc Learning House

11. **What role does the SCD play in Shari'ah compliance training?**

A) Conducting audits

B) Providing secretarial support

C) Facilitation of Management

D) Conducting training sessions

Answer: D) Conducting training sessions

12. **What is the focus of the SCD's role as a conduit between Management and the SB?**

A) Financial matters

B) Operational matters

C) Marketing matters

D) Shari'ah compliance matters

Answer: D) Shari'ah compliance matters

13. **Who may be recommended by the SB to head the SCD if not a full-time RSBM?**

A) Chairperson of SB

B) Management

C) Suitably qualified officer

D) Islamic Banking Department of SBP

Answer: C) Suitably qualified officer

14. **What does the SCD ensure regarding the organs of Shari'ah Governance as defined in the Shariah Governance Framework (SGF)?**

A) Approval by SB

B) Continuous watch

C) Facilitation of Management

D) Enforcing compliance

MC Learning House

Answer: D) Enforcing compliance

15. **What is the primary function of the SCD as the secretariat of the SB?**

    A) Conducting audits

    B) Providing secretarial support

    C) Enforcing compliance

    D) Conducting training sessions

    Answer: B) Providing secretarial support

16. **Who ensures that the IBI's website gives the required disclosures and key features of all products?**

    A) RSBM

    B) SB

    C) SCD

    D) Management

    Answer: C) SCD

17. **Which department prepares procedure manuals and standard operating procedures (SOPs) for its staff?**

    A) Product Development Department

    B) Islamic Banking Department of SBP

    C) SCD

    D) Business Units

    Answer: C) SCD

18. **What does the SCD review before presenting them to the SB for approval, as per the provided information?**

    A) Financial reports

    B) Proposals, agreements, contracts, etc.

MC Learning House

C) Marketing strategies

D) Human resource policies

Answer: B) Proposals, agreements, contracts, etc.

19. **In addition to Shari'ah compliance reviews, what other functions does the SCD perform?**

    A) Enforcement of marketing strategies

    B) Conducting financial audits

    C) Trainings on Shari'ah Compliance

    D) Human resource management

    Answer: C) Trainings on Shari'ah Compliance

20. **What is the role of the RSBM in assisting the SCD in its function as a conduit between Management and the SB?**

    A) Delegating responsibilities

    B) Conducting audits

    C) Providing help and advice

    D) Ignoring proposals

    Answer: C) Providing help and advice

Q&A:

1. **Question: What is the purpose of the Shari'ah Compliance Department (SCD) in an Islamic Banking Institution (IBI)?**

   Answer: The SCD ensures Shari'ah compliance within the IBI.

2. **Question: Who may head the SCD in an IBI, as mentioned in the provided information?**

   Answer: The SCD may be headed by a full-time RSBM or a suitably qualified officer recommended by the SB.

MC Learning House

3. **Question: What support does the SCD provide as the secretariat to the Shariah Board (SB)?**

   Answer: The SCD provides necessary secretarial support, including timely provision of meetings' agenda and recording minutes.

4. **Question: In what capacity does the SCD act as a conduit between the Management and the SB?**

   Answer: The SCD reviews proposals, agreements, contracts, etc., before presenting them to the SB for approval.

5. **Question: Under whose guidance does the SCD provide support to the IBI's product development department and other units?**

   Answer: The SCD provides support under the guidance of the RSBM.

6. **Question: What is the primary function of the SCD's role as the secretariat to the SB?**

   Answer: Providing all necessary secretarial support to the SB, including agenda, proposals, and recording minutes.

7. **Question: Who assists the SCD in reviewing proposals and related documents submitted by the management?**

   Answer: The RSBM helps and advises the SCD in performing this function.

8. **Question: What is the role of the SCD in facilitating the Management of an IBI?**

   Answer: The SCD provides necessary support to the IBI's product development department, business units, branches, and Head Office in their Shari'ah related issues under the guidance of the RSBM.

9. **Question: What does the Shari'ah Compliance Review function of the SCD involve?**

   Answer: The SCD keeps continuous watch on the IBI's Shari'ah compliance environment and ensures that all organs of Shari'ah Governance are undertaking their functions as defined in the Shariah Governance Framework (SGF).

10. **Question: What is the responsibility of the SCD regarding Shari'ah compliance audit reports?**

    Answer: The SCD is responsible for the enforcement of Shari'ah compliance audit reports.

MC Learning House

11. **Question: What type of functions are included under "Others Functions" of the SCD?**

    Answer: The SCD prepares procedure manuals and standard operating procedures (SOPs) to assist its staff in discharging their duties.

12. **Question: What does the SCD ensure about the IBI's website in relation to disclosures and product features?**

    Answer: The SCD ensures that the IBI's website gives disclosures required by SBP, key features of all the products, frequently asked questions (FAQs), and contact details of the department.

13. **Question: With which department does the SCD liaise on Shari'ah compliance-related issues?**

    Answer: The SCD liaises with the Islamic Banking Department of SBP on Shari'ah compliance-related issues.

14. **Question: What does the SCD facilitate in terms of the IBI's product development department?**

    Answer: The SCD facilitates the IBI's product development department in day-to-day Shari'ah related issues, queries, etc.

15. **Question: What is the SCD's role in the enforcement of Shari'ah compliance audit reports?**

    Answer: The SCD ensures that the recommendations from Shari'ah compliance audit reports are enforced.

16. **Question: What does the SCD focus on regarding the Shari'ah Compliance Review function?**

    Answer: The SCD focuses on keeping continuous watch on the IBI's Shari'ah compliance environment.

17. **Question: What does the SCD prepare to assist its staff in their duties?**

    Answer: The SCD prepares procedure manuals and standard operating procedures (SOPs).

18. **Question: What responsibilities does the SCD have in terms of the disclosure on the IBI's website?**

MC Learning House

Answer: The SCD ensures that the IBI's website gives required disclosures by SBP, key features of all products, FAQs, and contact details of the department.

19. **Question: How often does the SCD submit a report to the SB, according to the provided information?**

    Answer: The frequency of submitting reports is not explicitly mentioned in the provided information.

20. **Question: What is the significance of the SCD in ensuring Shari'ah compliance within an IBI?**

    Answer: The SCD plays a crucial role in enforcing Shari'ah compliance, acting as a conduit between the Management and the SB, and facilitating various departments in day-to-day Shari'ah related matters.

162 Shariah Governance in IB -3

MCQs:

1. **What is the purpose of the Internal Sharia'h Audit Unit in an Islamic Banking Institution (IBI)?**

   A) Ensure marketing compliance

   B) Assess financial performance

   C) Assess Sharia'h governance and compliance

   D) Provide customer service

   Answer: C) Assess Sharia'h governance and compliance

2. **What qualification and training requirements should staff of the Internal Sharia'h Audit Unit (ISAU) meet, according to the information provided?**

   A) No specific requirements

   B) Appropriate qualification and training

   C) Technical expertise only

   D) Marketing skills

   Answer: B) Appropriate qualification and training

MC Learning House

3. **Who reviews and approves the scope, methodology, checklists, Sharia'h audit manual, and report format of the Internal Sharia'h Audit Unit?**

   A) IBI Management

   B) State Bank of Pakistan (SBP)

   C) Institute of Chartered Accountants of Pakistan (ICAP)

   D) Shariah Board (SB)

   Answer: D) Shariah Board (SB)

4. **Why is an external Shari'ah audit conducted in an IBI?**

   A) To assess financial performance

   B) To assess marketing strategies

   C) To have an independent assessment of Shariah governance and compliance

   D) To provide customer service

   Answer: C) To have an independent assessment of Shariah governance and compliance

5. **What should be included in the external auditor's assessment of an IBI's Shariah compliance environment?**

   A) Financial projections

   B) Operational efficiency

   C) Conformity with Shariah rules and principles

   D) Customer satisfaction

   Answer: C) Conformity with Shariah rules and principles

6. **Where should the external auditor's assessment of an IBI's Shariah compliance environment be published?**

   A) In internal reports only

   B) In public newspapers

MC Learning House

C) In annual audited accounts

D) On the IBI's website

Answer: C) In annual audited accounts

7. **Who prescribes the format of the external auditor's assessment report in consultation with ICAP?**

A) Shariah Board (SB)

B) IBI Management

C) State Bank of Pakistan (SBP)

D) Institute of Chartered Accountants of Pakistan (ICAP)

Answer: C) State Bank of Pakistan (SBP)

8. **Which organization's Shariah standards are adopted by SBP for the purpose of external Shariah audit?**

A) International Monetary Fund (IMF)

B) Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)

C) World Bank

D) International Accounting Standards Board (IASB)

Answer: B) Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)

9. **What is the primary focus of the Shariah rules and principles for the external Shariah audit, as mentioned in the information?**

A) National regulations only

B) IBI's internal guidelines

C) SBP regulations and guidelines

D) ICAP standards

Answer: C) SBP regulations and guidelines

MC Learning House

10. **Which entity issues the Shari'ah Standards adopted by SBP for the external Shariah audit?**

    A) Islamic Financial Services Board (IFSB)

    B) International Financial Reporting Standards (IFRS)

    C) International Accounting Standards Board (IASB)

    D) Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)

    Answer: D) Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)

11. **What does the external auditors assess in addition to SBP regulations and AAOIFI standards for the external Shariah audit?**

    A) IBI's marketing strategies

    B) SECP regulations

    C) Shari'ah Board of the IBI's rulings

    D) Operational efficiency

    Answer: C) Shari'ah Board of the IBI's rulings

12. **What does the External Shari'ah Audit scope NOT include, as mentioned in the information?**

    A) Shari'ah Compliance Framework

    B) Shari'ah Board of SBP's rulings

    C) Islamic Financial Accounting Standards as notified by SECP

    D) Approvals and rulings given by the Shari'ah Board of the IBI

    Answer: B) Shari'ah Board of SBP's rulings

13. **Which entity issues the applicable Islamic Financial Accounting Standards as notified by the SECP for the external Shariah audit?**

    A) State Bank of Pakistan (SBP)

MC Learning House

B) International Accounting Standards Board (IASB)

C) Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)

D) Securities and Exchange Commission of Pakistan (SECP)

Answer: D) Securities and Exchange Commission of Pakistan (SECP)

14. **What should the external auditors prepare a report for, according to the provided information?**

A) State Bank of Pakistan (SBP)

B) Internal Sharia'h Audit Unit

C) Board of Directors (BOD)

D) Institute of Chartered Accountants of Pakistan (ICAP)

Answer: C) Board of Directors (BOD)

15. **Who gives their assessment regarding the IBI's Shariah compliance environment in the report prepared for the Board of Directors (BOD)?**

A) Internal Sharia'h Audit Unit

B) External auditors

C) Shari'ah Board of SBP

D) State Bank of Pakistan (SBP)

Answer: B) External auditors

16. **What is the primary focus of the External Shari'ah Audit according to the information provided?**

A) Operational efficiency

B) Financial performance

C) Marketing strategies

D) Conformity with Shariah rules and principles

MC Learning House

Answer: D) Conformity with Shariah rules and principles

17. **Who issues the Sharia'h Compliance Framework for the IBI?**

    A) Board of Directors (BOD)

    B) Internal Sharia'h Audit Unit

    C) State Bank of Pakistan (SBP)

    D) Islamic Financial Services Board (IFSB)

    Answer: C) State Bank of Pakistan (SBP)

18. **What does the external auditors review and assess regarding the IBI's operations for the external Shariah audit?**

    A) Marketing strategies

    B) Conformity with Shariah rules and principles

    C) Financial projections

    D) Customer satisfaction

    Answer: B) Conformity with Shariah rules and principles

19. **What organization collaborates with SBP in prescribing the format of the external auditor's assessment report?**

    A) Institute of Chartered Accountants of Pakistan (ICAP)

    B) International Financial Reporting Standards (IFRS)

    C) Securities and Exchange Commission of Pakistan (SECP)

    D) Islamic Financial Services Board (IFSB)

    Answer: A) Institute of Chartered Accountants of Pakistan (ICAP)

20. **What does the External Sharia'h Audit report assess, as mentioned in the provided information?**

    A) Operational efficiency

    B) Financial performance

MC Learning House

C) Conformity of IBI's operations with Shariah rules and principles

D) Marketing strategies

Answer: C) Conformity of IBI's operations with Shariah rules and principles

Q&A:

1. **Question: What is the role of the Internal Sharia'h Audit Unit in an Islamic Banking Institution (IBI)?**

   Answer: The Internal Sharia'h Audit Unit assesses Sharia'h governance and compliance within the IBI.

2. **Question: What qualification and training requirements are expected for the staff of the Internal Sharia'h Audit Unit (ISAU)?**

   Answer: The staff of ISAU is expected to be appropriately qualified and trained to perform their duties.

3. **Question: Who reviews and approves the scope, methodology, checklists, Sharia'h audit manual, and report format of the Internal Sharia'h Audit Unit?**

   Answer: The Shariah Board (SB) reviews and approves the mentioned aspects of the Internal Sharia'h Audit Unit.

4. **Question: Why is an external Shari'ah audit conducted in an IBI, and what does it aim to achieve?**

   Answer: An external Shari'ah audit is conducted to have an independent assessment of Shariah governance and compliance within the IBI.

5. **Question: Where is the external auditor's assessment of an IBI's Shariah compliance environment published?**

   Answer: The external auditor's assessment is published in the IBI's annual audited accounts.

6. **Question: Who prescribes the format of the external auditor's assessment report, and with whom is the consultation done?**

   Answer: The State Bank of Pakistan (SBP) prescribes the format in consultation with the Institute of Chartered Accountants of Pakistan (ICAP).

MC Learning House

7. **Question: Whose Shariah standards are adopted by SBP for the purpose of external Shariah audit?**

   Answer: The Shariah standards issued by the Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) are adopted by SBP.

8. **Question: What components make up the Shariah rules and principles for the purpose of external Shariah audit?**

   Answer: The Shariah rules and principles include regulations, instructions, guidelines, Shari'ah Compliance Framework by SBP, Shari'ah Standards by AAOIFI, rulings of the Shari'ah Board of SBP, requirements of Islamic Financial Accounting Standards notified by SECP, and approvals/rulings by the IBI's Shari'ah Board.

9. **Question: What entity issues the Islamic Financial Accounting Standards as notified by the Securities and Exchange Commission of Pakistan (SECP) for the external Shariah audit?**

   Answer: The SECP issues the applicable Islamic Financial Accounting Standards for the external Shariah audit.

10. **Question: Besides AAOIFI standards, what other Shari'ah sources are considered for the external Shariah audit?**

    Answer: The rulings of the Shari'ah Board of SBP, requirements of Islamic Financial Accounting Standards notified by SECP, and approvals/rulings given by the Shari'ah Board of the IBI.

11. **Question: What is the role of the external auditors in relation to the Shari'ah compliance environment of an IBI?**

    Answer: The external auditors assess and provide an independent and objective assessment of the conformity of IBI's operations with Shariah rules and principles.

12. **Question: What does the external Shariah audit scope exclude, as mentioned in the provided information?**

    Answer: The external Shariah audit scope excludes the rulings of the Shari'ah Board of SBP.

13. **Question: Who issues the Sharia'h Compliance Framework for an Islamic Banking Institution (IBI)?**

    Answer: The Sharia'h Compliance Framework is issued by the State Bank of Pakistan (SBP).

MC Learning House

14. **Question: What does the external auditor review and assess regarding the IBI's operations for the external Shariah audit?**

    Answer: The external auditor reviews and assesses the conformity of IBI's operations with Shariah rules and principles.

15. **Question: What is the significance of publishing the external auditor's assessment in the annual audited accounts?**

    Answer: Publishing the assessment enhances transparency by making it accessible to stakeholders and the public.

16. **Question: Who collaborates with SBP in prescribing the format of the external auditor's assessment report?**

    Answer: The Institute of Chartered Accountants of Pakistan (ICAP) collaborates with SBP in prescribing the format.

17. **Question: What is the primary focus of the External Sharia'h Audit according to the information provided?**

    Answer: The primary focus is on assessing the conformity of IBI's operations with Shariah rules and principles.

18. **Question: What is the role of the external auditors in preparing a report, and for whom is this report intended?**

    Answer: The external auditors prepare a report for the Board of Directors (BOD) of the IBI.

19. **Question: What does the External Sharia'h Audit report assess, as mentioned in the provided information?**

    Answer: The report assesses the conformity of IBI's operations with Shariah rules and principles.

20. **Question: What aspect of Shariah compliance is emphasized in the external Shari'ah Audit according to the information?**

    Answer: The emphasis is on providing an independent and objective assessment of the conformity of IBI's operations with Shariah rules and principles.

163 Shariah Governance in Islamic Banking -4

MCQs:

Mc Learning House

1. **What is the role of a Resident Shariah Board Member (RSBM) in Islamic Banking?**

   A) Handle day-to-day management tasks

   B) Provide guidance on Shari'ah issues

   C) Lead the marketing team

   D) Manage financial audits

   Answer: B) Provide guidance on Shari'ah issues

2. **How is the RSBM designated in an Islamic Banking Institution (IBI)?**

   A) By the government

   B) By the central bank

   C) In consultation with the management

   D) Through a public election

   Answer: C) In consultation with the management

3. **In which country should the RSBM be generally available and resident?**

   A) Any Islamic country

   B) Not specified

   C) Pakistan

   D) Outside of Pakistan

   Answer: C) Pakistan

4. **What is a key requirement for an individual to be appointed as an RSBM?**

   A) Must be part of SB in multiple IBIs

   B) Should have international residency

   C) Must be part of SB as a Chairperson

   D) Should not be part of SB of any other IBI

MC Learning House

Answer: D) Should not be part of SB of any other IBI

5. **What type of issues does the RSBM provide guidance on?**

   A) Strategic planning

   B) Routine Shari'ah related issues

   C) Operational budgeting

   D) Marketing campaigns

   Answer: B) Routine Shari'ah related issues

6. **What is one of the roles of the RSBM in product development for an IBI?**

   A) Marketing strategy

   B) Financial modeling

   C) Provide guidance on Shari'ah aspects

   D) Lead the research and development team

   Answer: C) Provide guidance on Shari'ah aspects

7. **Who does the RSBM collaborate with in conducting Shari'ah compliance reviews?**

   A) Internal audit department

   B) Product development team

   C) Shariah Compliance Department (SCD)

   D) Management board

   Answer: C) Shariah Compliance Department (SCD)

8. **When responding to Shariah-related queries, who are the primary recipients mentioned for the RSBM?**

   A) Internal audit team

   B) Government authorities

   C) IBI's clients

MC Learning House

D) Marketing department

Answer: C) IBI's clients

9. **What is the RSBM's involvement in Shari'ah training?**

A) Conduct financial audits

B) Supervise marketing campaigns

C) Collaborate in designing and delivering Shari'ah-related trainings

D) Lead product development workshops

Answer: C) Collaborate in designing and delivering Shari'ah-related trainings

10. **What is the frequency of the quarterly report submission by the RSBM to the Shariah Board (SB)?**

A) Monthly

B) Annually

C) Quarterly

D) Bi-annually

Answer: C) Quarterly

11. **What is the primary purpose of the quarterly report submitted by the RSBM to the SB?**

A) Marketing performance analysis

B) Operational budget review

C) Financial audit details

D) Update on Shari'ah governance matters

Answer: D) Update on Shari'ah governance matters

12. **Who is responsible for approving routine documents, process flows, etc., according to the mentioned information?**

A) RSBM

MC Learning House

B) Chairperson

C) Management

D) SCD

Answer: A) RSBM

13. **What is the RSBM's role in responding to Shariah-related queries by different departments of the IBI?**

A) Ignoring queries

B) Collaborating with SCD

C) Redirecting queries to the Chairperson

D) Involvement in operational matters

Answer: B) Collaborating with SCD

14. **What area does the RSBM lead the SCD in conducting Shari'ah compliance reviews on?**

A) Marketing strategies

B) Key business areas on sample and test check basis

C) Operational budgeting

D) Product development initiatives

Answer: B) Key business areas on sample and test check basis

15. **What is the primary focus of the RSBM in supervising the preparation of Shari'ah training material?**

A) Technical skills development

B) Financial modeling

C) Ethical and Shari'ah compliance

D) Marketing strategy development

Answer: C) Ethical and Shari'ah compliance

MC Learning House

16. **In which document is the information on Resident Shariah Board Member (RSBM) provided?**

A) Shariah Standards

B) Strategic Plan

C) Shari'ah Compliance Framework

D) Quarterly Financial Report

Answer: C) Shari'ah Compliance Framework

17. **What is the Resident Shariah Board Member's involvement in the IBI's product development function?**

A) Leading marketing campaigns

B) Providing guidance on Shari'ah aspects

C) Conducting financial audits

D) Approving routine documents

Answer: B) Providing guidance on Shari'ah aspects

18. **Which department does the RSBM collaborate with in designing and delivering Shari'ah-related trainings?**

A) Internal audit

B) Training department

C) Product development

D) Management

Answer: B) Training department

19. **What is the RSBM's role in responding to Shari'ah-related queries raised by different departments of the IBI?**

A) Ignoring queries

B) Redirecting queries to the SB Chairperson

MC Learning House

C) Collaborating with SCD

D) Conducting financial audits

Answer: C) Collaborating with SCD

20. **What term is used to describe the RSBM's role in conducting Shari'ah compliance reviews?**

A) Operational oversight

B) Sample and test check basis

C) Routine document approval

D) Financial audit leadership

Answer: B) Sample and test check basis

Q&A:

1. **Question: What is the role of the Resident Shariah Board Member (RSBM) in Islamic banking?**

   Answer: The RSBM plays a crucial role in providing day-to-day guidance on Shari'ah-related operational matters within an Islamic Banking Institution (IBI).

2. **Question: How is the RSBM designated, and by whom, according to Shariah Governance principles?**

   Answer: The RSBM is designated by the Board of Directors (BOD) in consultation with the management of the IBI.

3. **Question: What specific responsibilities does the RSBM have in terms of routine Shari'ah-related issues?**

   Answer: The RSBM provides guidance on routine Shari'ah-related issues raised by the management and staff of the IBI.

4. **Question: In what capacity does the RSBM interact with the IBI's product development function, and what guidance is provided?**

   Answer: The RSBM provides guidance to the IBI's product development function regarding the Shari'ah aspects of new products and services.

MC Learning House

5. **Question: What is the significance of the RSBM's role in conducting Shari'ah compliance reviews of key business areas?**

   Answer: The RSBM leads the Shariah Compliance Department (SCD) in conducting reviews to ensure Shari'ah compliance in key business areas on a sample and test check basis.

6. **Question: How does the RSBM contribute to addressing Shariah-related queries from the IBI's clients?**

   Answer: The RSBM responds to Shariah-related queries from the clients, providing clarifications on various Shari'ah issues.

7. **Question: What collaborative efforts does the RSBM undertake with the SCD and Training Department?**

   Answer: The RSBM collaborates with the SCD and Training Department in supervising the preparation of Shari'ah training material and designing/delivering Shari'ah-related trainings.

8. **Question: How does the RSBM ensure ongoing Shari'ah compliance across different departments of the IBI?**

   Answer: The RSBM responds to all Shari'ah-related queries by different departments of the IBI, ensuring continuous adherence to Shari'ah principles.

9. **Question: What reporting obligation does the RSBM have to the Shariah Board (SB), and how often is it submitted?**

   Answer: The RSBM submits a quarterly report to the Shariah Board, updating them on Shari'ah compliance matters.

10. **Question: Why is the residency of the RSBM emphasized in Shariah Governance, and what impact does it have?**

    Answer: The RSBM is required to be resident and generally available in Pakistan, ensuring accessibility for timely guidance and support to the IBI.

11. **Question: What is the primary objective of Shariah Compliance Reviews conducted by the RSBM and SCD?**

    Answer: The reviews aim to ensure Shari'ah compliance in key business areas, providing assurance to stakeholders and regulatory bodies.

12. **Question: How does the RSBM contribute to the IBI's commitment to Shari'ah education and awareness?**

MC Learning House

Answer: The RSBM supervises the preparation of Shari'ah training material and collaborates on designing/delivering Shari'ah-related trainings, enhancing awareness within the institution.

13. **Question: What measures does the RSBM take to facilitate the IBI's product development in line with Shari'ah principles?**

    Answer: The RSBM provides guidance to the product development function, ensuring that new offerings align with Shari'ah requirements.

14. **Question: How does the RSBM balance the need for guidance on routine issues and the approval of routine documents?**

    Answer: The RSBM not only provides guidance on routine issues but also approves routine documents, process flows, etc., ensuring comprehensive oversight.

15. **Question: In what ways does the RSBM contribute to the overall Shari'ah compliance culture within the IBI?**

    Answer: The RSBM responds to queries from different departments, fostering a culture of continuous Shari'ah compliance and understanding across the organization.

16. **Question: How does the collaboration between the RSBM, SCD, and Training Department enhance Shari'ah awareness?**

    Answer: Collaboration involves supervising training material and designing/delivering training, collectively contributing to enhanced Shari'ah awareness among the staff.

17. **Question: What safeguards are in place to prevent potential conflicts of interest for the RSBM?**

    Answer: The RSBM is not part of the Shariah Board of any other IBI, ensuring focus and dedication to the Shari'ah-related matters of the designated institution.

18. **Question: Why is the quarterly report submission by the RSBM important for the Shariah Board's oversight?**

    Answer: The quarterly report serves as a mechanism for the RSBM to update the Shariah Board on Shari'ah compliance matters, ensuring transparency and accountability.

19. **Question: How does the RSBM's role extend beyond internal operations to address external queries from clients?**

MC Learning House

Answer: The RSBM responds to Shari'ah-related queries from clients, reinforcing trust and transparency in the IBI's dealings.

20. **Question: What role does the RSBM play in facilitating the IBI's Shari'ah compliance reviews on a sample and test check basis?**

    Answer: The RSBM leads the SCD in conducting Shari'ah compliance reviews, ensuring a systematic and thorough assessment of key business areas.

164 Shariah Governance in IB -5

MCQs:

1. **What is the purpose of the Shariah Compliance Department (SCD) in an Islamic Banking Institution (IBI)?**

   A) Provide marketing support

   B) Ensure compliance with tax regulations

   C) Ensure adherence to Shari'ah principles

   D) Conduct financial audits

   Answer: C) Ensure adherence to Shari'ah principles

2. **Who may head the Shariah Compliance Department (SCD) according to Shariah Governance principles?**

   A) CEO of the IBI

   B) External auditor

   C) Full-time RSBM or a qualified officer recommended by the SB

   D) Chief Financial Officer (CFO)

   Answer: C) Full-time RSBM or a qualified officer recommended by the SB

3. **What key role does the SCD play as the secretariat to the Shariah Board (SB)?**

   A) Provide marketing strategies

   B) Offer financial advice

MC Learning House

C) Provide secretarial support, including timely provision of meetings' agenda and recording minutes

D) Manage human resources

Answer: C) Provide secretarial support, including timely provision of meetings' agenda and recording minutes

4. **What function does the SCD serve as a conduit between according to Shariah Governance principles?**

A) Management and external auditors

B) Management and clients

C) Management and the SB

D) SCD and RSBM

Answer: C) Management and the SB

5. **In Shariah Governance, what does the SCD review before presenting to the SB for approval?**

A) Marketing strategies

B) Financial statements

C) Proposals, agreements, contracts, manuals, process flows, checklists, etc.

D) Customer feedback

Answer: C) Proposals, agreements, contracts, manuals, process flows, checklists, etc.

6. **How does the RSBM assist the SCD in its function as a conduit between Management and the SB?**

A) Financial support

B) Providing legal advice

C) Helping and advising in reviewing proposals and related documents

D) Conducting financial audits

Answer: C) Helping and advising in reviewing proposals and related documents

MC Learning House

7. **What role does the SCD play in facilitating the IBI's product development department?**

   A) Provide financial support

   B) Review marketing strategies

   C) Provide necessary support in day-to-day Shari'ah-related issues under the guidance of the RSBM

   D) Conduct external audits

   Answer: C) Provide necessary support in day-to-day Shari'ah-related issues under the guidance of the RSBM

8. **What is the primary responsibility of the SCD in Shari'ah Compliance Review?**

   A) Conduct financial audits

   B) Keep a continuous watch on IBI's Shari'ah compliance environment

   C) Develop marketing strategies

   D) Handle human resource issues

   Answer: B) Keep a continuous watch on IBI's Shari'ah compliance environment

9. **What does the SCD enforce based on Shari'ah Audit Reports?**

   A) Financial penalties

   B) Employee benefits

   C) Shari'ah compliance measures

   D) Marketing strategies

   Answer: C) Shari'ah compliance measures

10. **What aspect of Shari'ah Compliance does the SCD focus on by providing trainings?**

    A) Marketing

    B) Product development

    C) Compliance with tax regulations

MC Learning House

D) Operational adherence to Shari'ah principles

Answer: D) Operational adherence to Shari'ah principles

11. **What function does the SCD perform in terms of the IBI's website disclosures and key product features?**

    A) Conduct marketing research

    B) Provide financial forecasts

    C) Ensure adherence to tax regulations

    D) Ensure necessary disclosures required by SBP and key features of all products

    Answer: D) Ensure necessary disclosures required by SBP and key features of all products

12. **How does the SCD contribute to the IBI's interaction with the Islamic Banking Department of SBP?**

    A) Financial support

    B) Regular audits

    C) Facilitate Shari'ah compliance-related liaisons

    D) Marketing campaigns

    Answer: C) Facilitate Shari'ah compliance-related liaisons

13. **What is the primary responsibility of the Shari'ah Compliance Department (SCD) in an Islamic Banking Institution (IBI)?**

    A) Conducting financial audits

    B) Ensuring technological advancements

    C) Ensuring Shari'ah compliance

    D) Managing human resources

    Answer: C) Ensuring Shari'ah compliance

14. **Who may head the Shari'ah Compliance Department (SCD) in an IBI, according to Shariah Governance principles?**

MC Learning House

A) External auditors

B) Full-time RSBM or a qualified officer recommended by the SB

C) Board of Directors (BOD)

D) Chief Financial Officer (CFO)

Answer: B) Full-time RSBM or a qualified officer recommended by the SB

15. **What is the role of the SCD regarding the Secretariat of the Shariah Board (SB)?**

A) Financial management

B) Acting as the secretariat, providing necessary support to the SB

C) Human resource management

D) Technological advancements

Answer: B) Acting as the secretariat, providing necessary support to the SB

16. **In Shariah Governance, what function does the SCD perform as a conduit between management and the SB?**

A) Financial compliance reviews

B) Reviewing proposals and agreements

C) Technological advancements

D) Ensuring employee satisfaction

Answer: B) Reviewing proposals and agreements

17. **How does the RSBM assist the SCD in its role as a conduit between management and the SB?**

A) By conducting financial audits

B) By providing guidance and advice

C) By managing human resources

D) By overseeing technological advancements

MC Learning House

Answer: B) By providing guidance and advice

18. **What support does the SCD provide to the IBI's product development department under the guidance of the RSBM?**

    A) Financial analysis

    B) Marketing strategies

    C) Day-to-day Shari'ah-related issues and queries

    D) Technological support

    Answer: C) Day-to-day Shari'ah-related issues and queries

19. **What is the primary focus of the Shari'ah Compliance Review conducted by the SCD?**

    A) Financial performance

    B) Continuous monitoring of Shari'ah compliance environment

    C) Technological advancements

    D) Employee satisfaction

    Answer: B) Continuous monitoring of Shari'ah compliance environment

20. **What does the SCD enforce concerning Shari'ah Audit Reports?**

    A) Financial penalties

    B) Recommendations for technological improvements

    C) Shari'ah compliance standards

    D) Employee training programs

    Answer: C) Shari'ah compliance standards

21. **What is one of the functions of the SCD besides Shari'ah Compliance Reviews and enforcement of audit reports?**

    A) Marketing campaigns

    B) Technological innovations

MC Learning House

C) Trainings on Shari'ah compliance

D) Employee recruitment

Answer: C) Trainings on Shari'ah compliance

22. **What is the purpose of preparing a procedure manual and standard operating procedures (SOPs) by the SCD?**

A) Ensuring financial stability

B) Providing guidelines for technological advancements

C) Assisting staff in discharging their duties related to Shari'ah compliance

D) Conducting market research

Answer: C) Assisting staff in discharging their duties related to Shari'ah compliance

23. **What information should the IBI's website disclose, according to the responsibilities of the SCD?**

A) Employee satisfaction surveys

B) Disclosures required by SBP, product features, FAQs, and contact details

C) Technological advancements in the organization

D) Marketing strategies

Answer: B) Disclosures required by SBP, product features, FAQs, and contact details

24. **In Shariah Governance, what external liaison does the SCD maintain concerning Shari'ah compliance?**

A) Government regulatory bodies

B) Competitors in the industry

C) Technological support organizations

D) Islamic Banking Dept. of SBP

Answer: D) Islamic Banking Dept. of SBP

Mc Learning House

Q&A:

1. **Question: What is the significance of having a Shari'ah Compliance Department (SCD) in every Islamic Banking Institution (IBI)?**

   Answer: The SCD ensures that the IBI adheres to Shari'ah principles in its operations.

2. **Question: Who may head the SCD in an IBI, and what qualifications are recommended for this role?**

   Answer: The SCD may be headed by a full-time RSBM or a suitably qualified officer recommended by the SB.

3. **Question: What is the primary role of the SCD regarding the Shariah Board (SB) in the IBI?**

   Answer: The SCD acts as the secretariat to the SB, providing necessary secretarial support, including agenda provision, proposal recording, and minute keeping.

4. **Question: How does the SCD act as a conduit between the management and the SB in an IBI?**

   Answer: The SCD reviews proposals, agreements, contracts, manuals, and other documents before presenting them to the SB for approval, with guidance from the RSBM.

5. **Question: What kind of support does the SCD provide to the IBI's product development department under the guidance of the RSBM?**

   Answer: The SCD provides necessary support in addressing day-to-day Shari'ah-related issues and queries faced by the product development department.

6. **Question: What is the key responsibility of the SCD concerning Shari'ah Compliance Review?**

   Answer: The SCD keeps continuous watch on the IBI's Shari'ah compliance environment, ensuring all Shari'ah Governance functions are carried out as defined in the SGF.

7. **Question: How does the SCD contribute to the enforcement of Shari'ah Audit Reports in the IBI?**

   Answer: The SCD plays a role in ensuring that the recommendations and findings from Shari'ah Audit Reports are implemented to maintain compliance.

Mc Learning House

8. **Question: Besides Shari'ah Compliance Reviews, what other functions does the SCD perform?**

   Answer: The SCD conducts trainings on Shari'ah compliance and prepares procedure manuals and SOPs to assist its staff in fulfilling their duties.

9. **Question: What responsibilities does the SCD have in relation to the IBI's website?**

   Answer: The SCD ensures that the IBI's website discloses the required information by SBP, key features of products, FAQs, and contact details.

10. **Question: How does the SCD liaise with the Islamic Banking Department of SBP in terms of Shari'ah compliance?**

    Answer: The SCD maintains communication and collaboration with the Islamic Banking Department of SBP on Shari'ah compliance-related issues.

11. **Question: Why is continuous watch on the IBI's Shari'ah compliance environment considered essential by the SCD?**

    Answer: Continuous monitoring ensures that all organs of Shari'ah Governance, including BOD oversight, are functioning as defined in the SGF.

12. **Question: What role does the SCD play in facilitating the IBI's product development department on a day-to-day basis?**

    Answer: The SCD provides necessary support to address day-to-day Shari'ah-related issues and queries faced by the product development department.

13. **Question: How does the SCD contribute to Shari'ah education within the IBI through training initiatives?**

    Answer: The SCD conducts training sessions on Shari'ah compliance, enhancing awareness and understanding among the IBI's staff.

14. **Question: Why does the SCD prepare procedure manuals and SOPs, and what is their purpose?**

    Answer: The SCD prepares these documents to assist its staff in discharging their duties related to Shari'ah compliance systematically.

15. **Question: What role does the SCD play in ensuring transparency and information availability on the IBI's website?**

    Answer: The SCD ensures that the IBI's website provides necessary disclosures, product features, FAQs, and contact details as required by SBP.

MCLearning House

16. **Question: How does the SCD contribute to the overall Shari'ah compliance culture within the IBI?**

    Answer: The SCD's functions, including reviews, trainings, and support, contribute to fostering a culture of continuous Shari'ah compliance within the IBI.

17. **Question: Why is the role of the SCD crucial in the enforcement of Shari'ah Audit Reports?**

    Answer: The SCD ensures that the findings and recommendations from Shari'ah Audit Reports are implemented, reinforcing the IBI's commitment to compliance.

18. **Question: What measures does the SCD take to maintain Shari'ah compliance on the IBI's website?**

    Answer: The SCD ensures that the website provides all necessary disclosures, key product features, FAQs, and contact details required by SBP.

19. **Question: How does the SCD contribute to the collaborative relationship between the IBI and the Islamic Banking Department of SBP?**

    Answer: The SCD maintains liaison and collaboration with the Islamic Banking Department of SBP, ensuring a cooperative approach to Shari'ah compliance.

20. **Question: In what ways does the SCD play a vital role in supporting the BOD oversight mechanism of Shari'ah Governance?**

    Answer: The SCD's continuous watch on the Shari'ah compliance environment ensures that all organs of Shari'ah Governance, including BOD oversight, are functioning effectively.

165 Shariah Governance in Islamic Banking -6

MCQs:

1. **What is a mandatory requirement for every Islamic Banking Institution (IBI) in terms of Sharia'h Audit?**

    A) External Audit

    B) Internal Sharia'h Audit Unit

    C) Financial Compliance Review

    D) Marketing Audit

MC Learning House

Answer: B) Internal Sharia'h Audit Unit

2. **What responsibility does an IBI have regarding the staff of the Internal Sharia'h Audit Unit (ISAU)?**

   A) Ensuring they are overqualified

   B) Providing non-Shari'ah related training

   C) Ensuring they are appropriately qualified and trained

   D) Excluding them from training programs

   Answer: C) Ensuring they are appropriately qualified and trained

3. **Who reviews and approves the scope, methodology, checklists, Sharia'h audit manual, and format of the report for Internal Sharia'h Audit?**

   A) Board of Directors (BOD)

   B) Shari'ah Board (SB)

   C) External auditors

   D) Islamic Financial Accounting Standards (IFAS)

   Answer: B) Shari'ah Board (SB)

4. **Why is an independent and objective assessment of an IBI's conformity with Shariah rules and principles necessary?**

   A) To increase marketing efforts

   B) To fulfill regulatory requirements

   C) To avoid external scrutiny

   D) To decrease operational costs

   Answer: B) To fulfill regulatory requirements

5. **What does the external auditor's assessment of an IBI's Shariah compliance environment include?**

   A) Financial projections

MC Learning House

B) Operational efficiency

C) External audit reports

D) Conformity with Shariah rules and principles

Answer: D) Conformity with Shariah rules and principles

6. **Where is the external auditor's assessment of an IBI's Shariah compliance environment published?**

A) Internal reports

B) Annual audited accounts

C) Shari'ah Compliance Framework

D) AAOIFI standards

Answer: B) Annual audited accounts

7. **Who prescribes the format of the external auditor's report on an IBI's Shariah compliance?**

A) AAOIFI

B) Institute of Chartered Accountants of Pakistan (ICAP)

C) SECP

D) Islamic Financial Accounting Standards (IFAS)

Answer: C) SECP

8. **What does the Shariah compliance framework for external Shariah audit include?**

A) Regulations, Instructions, and Guidelines

B) Financial projections

C) Marketing strategies

D) Technological advancements

Answer: A) Regulations, Instructions, and Guidelines

MC Learning House

9. **Besides SBP regulations, what is considered for the external Shariah audit regarding Islamic Financial Accounting Standards?**

    A) Marketing standards

    B) Regulatory standards

    C) Applicable Islamic Financial Accounting Standards

    D) International Financial Reporting Standards (IFRS)

    Answer: C) Applicable Islamic Financial Accounting Standards

10. **What role do the rulings of the Shari'ah Board of the SBP play in the external Shariah audit process?**

    A) Determining financial penalties

    B) Guiding technological advancements

    C) Comprising Shariah rules and principles

    D) Influencing marketing strategies

    Answer: C) Comprising Shariah rules and principles

11. **What additional document is prepared by external auditors for the Board of Directors (BOD) in the external Shariah audit process?**

    A) Marketing reports

    B) Conformity reports

    C) Operational efficiency reports

    D) Assessment reports

    Answer: B) Conformity reports

12. **What is the primary objective of an internal Sharia'h audit in an IBI?**

    A) Ensuring external compliance

    B) Promoting marketing initiatives

    C) Conducting routine financial audits

MC Learning House

D) Assessing conformity with Shariah rules and principles

Answer: D) Assessing conformity with Shariah rules and principles

13. **Why does an IBI need to ensure that staff of the Internal Sharia'h Audit Unit is appropriately qualified and trained?**

A) To increase operational costs

B) To fulfill regulatory requirements

C) To avoid regulatory scrutiny

D) To decrease efficiency

Answer: B) To fulfill regulatory requirements

14. **Who reviews and approves the key components of the Internal Sharia'h Audit process in an IBI?**

A) External auditors

B) Shari'ah Board (SB)

C) Internal auditors

D) Board of Directors (BOD)

Answer: B) Shari'ah Board (SB)

15. **What does the external auditor's assessment of an IBI's Shariah compliance environment contribute to?**

A) Technological advancements

B) Marketing strategies

C) Conformity with Shariah rules and principles

D) Operational efficiency

Answer: C) Conformity with Shariah rules and principles

16. **Where is the external auditor's assessment of an IBI's Shariah compliance environment published?**

MC Learning House

A) Internal reports

B) Annual audited accounts

C) Shari'ah Compliance Framework

D) AAOIFI standards

Answer: B) Annual audited accounts

17. **Who prescribes the format of the external auditor's report on an IBI's Shariah compliance?**

A) AAOIFI

B) Institute of Chartered Accountants of Pakistan (ICAP)

C) SECP

D) Islamic Financial Accounting Standards (IFAS)

Answer: C) SECP

18. **What does the Shariah compliance framework for external Shariah audit include?**

A) Regulations, Instructions, and Guidelines

B) Financial projections

C) Marketing strategies

D) Technological advancements

Answer: A) Regulations, Instructions, and Guidelines

19. **Besides SBP regulations, what is considered for the external Shariah audit regarding Islamic Financial Accounting Standards?**

A) Marketing standards

B) Regulatory standards

C) Applicable Islamic Financial Accounting Standards

D) International Financial Reporting Standards (IFRS)

MC Learning House

Answer: C) Applicable Islamic Financial Accounting Standards

20. **What role do the rulings of the Shari'ah Board of the SBP play in the external Shariah audit process?**

    A) Determining financial penalties

    B) Guiding technological advancements

    C) Comprising Shariah rules and principles

    D) Influencing marketing strategies

Answer: C) Comprising Shariah rules and principles

Q&A:

1. **Q: What is the purpose of having an Internal Sharia'h Audit Unit in every Islamic Banking Institution (IBI)?**

   A: The Internal Sharia'h Audit Unit assesses and ensures conformity with Shariah rules and principles within the IBI.

2. **Q: Who is responsible for ensuring the staff of the Internal Sharia'h Audit Unit (ISAU) is appropriately qualified and trained?**

   A: It is the responsibility of the IBI to ensure that the staff of ISAU is appropriately qualified and trained.

3. **Q: What key components of the Internal Sharia'h Audit process are subject to review and approval by the Shari'ah Board (SB)?**

   A: The scope, methodology, checklists, Sharia'h audit manual, and format of the report are reviewed and approved by the SB.

4. **Q: Why is an independent and objective assessment of an IBI's Shariah compliance environment necessary through external Shariah audit?**

   A: This assessment is necessary to ensure the IBI's operations conform to Shariah rules and principles, meeting regulatory requirements.

5. **Q: Where is the external auditor's assessment of an IBI's Shariah compliance environment published?**

MC Learning House

A: The assessment is published in the annual audited accounts, and the format is prescribed by the State Bank of Pakistan (SBP) in consultation with ICAP.

6. **Q: What comprises the Shariah rules and principles considered in the external Shariah audit process?**

   A: The Shariah rules and principles include regulations, instructions, guidelines, and the Shariah Compliance Framework issued by SBP and AAOIFI standards.

7. **Q: What role do the rulings of the Shari'ah Board of the SBP play in the external Shariah audit process?**

   A: The rulings of the Shari'ah Board of the SBP form the basis for evaluating the conformity of IBI operations with Shariah rules and principles.

8. **Q: Besides SBP regulations, what standards are considered for external Shariah audit regarding Islamic Financial Accounting?**

   A: The applicable Islamic Financial Accounting Standards, as notified by the SECP, are considered for external Shariah audit.

9. **Q: What additional document is prepared by external auditors for the Board of Directors (BOD) in the external Shariah audit process?**

   A: External auditors prepare conformity reports for the Board of Directors (BOD) based on their assessment.

10. **Q: What is the primary objective of an internal Sharia'h audit in an IBI?**

    A: The primary objective is to assess and ensure conformity with Shariah rules and principles in the day-to-day operations of the IBI.

11. **Q: Why does an IBI need to ensure that staff of the Internal Sharia'h Audit Unit is appropriately qualified and trained?**

    A: This ensures that the Internal Sharia'h Audit Unit can effectively perform its duties and meet regulatory requirements.

12. **Q: Who reviews and approves the key components of the Internal Sharia'h Audit process in an IBI?**

    A: The Shari'ah Board (SB) reviews and approves the key components of the Internal Sharia'h Audit process.

13. **Q: What does the external auditor's assessment of an IBI's Shariah compliance environment contribute to?**

MC Learning House

A: It contributes to ensuring that the IBI's operations conform to Shariah rules and principles, providing an independent evaluation.

14. **Q: Where is the external auditor's assessment of an IBI's Shariah compliance environment published?**

    A: The assessment is published in the annual audited accounts, and the format is prescribed by the State Bank of Pakistan (SBP) in consultation with ICAP.

15. **Q: Who prescribes the format of the external auditor's report on an IBI's Shariah compliance?**

    A: The State Bank of Pakistan (SBP) prescribes the format of the external auditor's report on an IBI's Shariah compliance.

16. **Q: What does the Shariah compliance framework for external Shariah audit include?**

    A: The framework includes regulations, instructions, guidelines, and the Shariah Compliance Framework issued by SBP.

17. **Q: Besides SBP regulations, what standards are considered for external Shariah audit regarding Islamic Financial Accounting?**

    A: The applicable Islamic Financial Accounting Standards, as notified by the SECP, are considered for external Shariah audit.

18. **Q: What role do the rulings of the Shari'ah Board of the SBP play in the external Shariah audit process?**

    A: The rulings of the Shari'ah Board of the SBP form the basis for evaluating the conformity of IBI operations with Shariah rules and principles.

19. **Q: What does the Shariah compliance framework for external Shariah audit include?**

    A: The framework includes regulations, instructions, guidelines, and the Shariah Compliance Framework issued by SBP.

20. **Q: Besides SBP regulations, what standards are considered for external Shariah audit regarding Islamic Financial Accounting?**

    A: The applicable Islamic Financial Accounting Standards, as notified by the SECP, are considered for external Shariah audit.

MC Learning House

166 Islamic banking Industry in Pakistan -1

MCQs:

1. **When did Islamic banking start in Pakistan?**

   A) 2000

   B) 2002

   C) 2005

   D) 2010

   Answer: B) 2002

2. **Which bank obtained the first license for Islamic banking in Pakistan and began operations with 5 branches?**

   A) HBL Islamic

   B) MCB Islamic

   C) Meezan Bank

   D) Askari Islamic

   Answer: C) Meezan Bank

3. **How many full-fledged Islamic banks are there in the Islamic banking industry in Pakistan?**

   A) 2

   B) 5

   C) 7

   D) 10

   Answer: B) 5

4. **What is the total number of Islamic banking windows in Pakistan's Islamic banking industry?**

MC Learning House

A) 8

B) 12

C) 16

D) 20

Answer: C) 16

5. **As of June 2017, what was the total number of branches in the Islamic banking industry?**

A) 1500

B) 2000

C) 2320

D) 2500

Answer: C) 2320

6. **What was the recorded value of assets in the Islamic banking industry in June 2017?**

A) Rs. 1755 billion

B) Rs. 2035 billion

C) Rs. 2200 billion

D) Rs. 2500 billion

Answer: B) Rs. 2035 billion

7. **What was the growth rate of assets in the Islamic banking industry from the previous year to June 2017?**

A) 12.5%

B) 14.3%

C) 16.6%

D) 18.9%

MC Learning House

Answer: C) 16.6%

8. **In June 2017, what were the deposits of the Islamic banking industry compared to the previous year?**

   A) Rs. 1350 billion

   B) Rs. 1461 billion

   C) Rs. 1600 billion

   D) Rs. 1720 billion

   Answer: D) Rs. 1720 billion

9. **What was the growth rate of deposits in the Islamic banking industry from the previous year to June 2017?**

   A) 15.4%

   B) 17.1%

   C) 17.72%

   D) 19.5%

   Answer: C) 17.72%

10. **What was the market share of Islamic banking assets in the overall banking industry by the end of June 2017?**

    A) 9.8%

    B) 11.6%

    C) 13.4%

    D) 15.2%

    Answer: B) 11.6%

11. **What was the market share of Islamic banking deposits in the overall banking industry by the end of June 2017?**

    A) 11.3%

Mc Learning House

B) 13.7%

C) 15.5%

D) 17.2%

Answer: B) 13.7%

12. **What was the profit after tax for the Islamic banking industry by the end of June 2017?**

A) Rs. 6.1 billion

B) Rs. 8.8 billion

C) Rs. 10 billion

D) Rs. 12.5 billion

Answer: B) Rs. 8.8 billion

13. **What was the profit after tax for the Islamic banking industry in the same quarter of the previous year?**

A) Rs. 4.2 billion

B) Rs. 6.1 billion

C) Rs. 7.5 billion

D) Rs. 9.2 billion

Answer: A) Rs. 6.1 billion

14. **What was the growth rate of profit after tax for the Islamic banking industry from the same quarter of the previous year to June 2017?**

A) 10.5%

B) 12.8%

C) 14.2%

D) 16.4%

Answer: A) 10.5%

MC Learning House

15. **Which component of the overall banking industry did Islamic banking assets capture by the end of June 2017?**

A) 10.2%

B) 11.6%

C) 13.1%

D) 14.8%

Answer: B) 11.6%

16. **When did Islamic banking start in Pakistan?**

A) 2000

B) 2002

C) 2005

D) 2010

Answer: B) 2002

17. **Which bank got the first license for Islamic banking in Pakistan?**

A) HBL

B) MCB

C) Meezan Bank

D) UBL

Answer: C) Meezan Bank

18. **How many branches did Meezan Bank start operations with initially?**

A) 3

B) 5

C) 8

D) 10

MC Learning House

Answer: B) 5

19. **As of the provided information, how many full-fledged Islamic banks are there in the Islamic banking industry in Pakistan?**

    A) 3

    B) 5

    C) 7

    D) 10

    Answer: B) 5

20. **How many Islamic banking windows are there in the Islamic banking industry in Pakistan?**

    A) 10

    B) 12

    C) 16

    D) 20

    Answer: C) 16

21. **What is the total number of branches in the Islamic banking industry in Pakistan as of the provided information?**

    A) 2000

    B) 2200

    C) 2320

    D) 2500

    Answer: C) 2320

22. **What were the recorded assets of the Islamic banking industry in Pakistan in June 2017?**

    A) Rs. 1755 billion

Mc Learning House

B) Rs. 1888 billion

C) Rs. 2035 billion

D) Rs. 2200 billion

Answer: C) Rs. 2035 billion

23. **What was the growth rate of assets in the Islamic banking industry from the previous year to June 2017?**

A) 12.5%

B) 16.6%

C) 20%

D) 25.5%

Answer: B) 16.6%

24. **What were the deposits of the Islamic banking industry in Pakistan in June 2017?**

A) Rs. 1461 billion

B) Rs. 1600 billion

C) Rs. 1720 billion

D) Rs. 1800 billion

Answer: C) Rs. 1720 billion

25. **What was the growth rate of deposits in the Islamic banking industry from the previous years to June 2017?**

A) 14.5%

B) 17.72%

C) 21%

D) 23.5%

Answer: B) 17.72%

Mr Learning House

26. **What percentage of market share did Islamic banking assets have in the overall banking industry in June 2017?**

A) 9.2%

B) 11.6%

C) 14%

D) 16.5%

Answer: B) 11.6%

27. **What percentage of market share did Islamic banking deposits have in the overall banking industry in June 2017?**

A) 12.3%

B) 13.7%

C) 15.5%

D) 17.2%

Answer: B) 13.7%

28. **What was the profit after tax of the Islamic banking industry in June 2017?**

A) Rs. 6.1 billion

B) Rs. 8.8 billion

C) Rs. 10 billion

D) Rs. 12.5 billion

Answer: B) Rs. 8.8 billion

29. **In which quarter of the year 2017 was the profit after tax of the Islamic banking industry Rs. 6.1 billion?**

A) Q1

B) Q2

C) Q3

MC Learning House

D) Q4

Answer: Not provided in the information

30. **What was the growth rate of the Islamic banking industry's profit after tax from the same quarter of the previous year to June 2017?**

A) 9.2%

B) 11.5%

C) 15%

D) 19.7%

Answer: Not provided in the information

Q&A:

1. **When did Islamic banking start in Pakistan, and which bank got the first license?**

   Islamic banking commenced in Pakistan in 2002, and Meezan Bank obtained the first license.

2. **How many branches did Meezan Bank initially start its operations with?**

   Meezan Bank started operations with only 5 branches.

3. **As of the provided information, how many full-fledged Islamic banks are there in the Islamic banking industry in Pakistan?**

   There are 5 full-fledged Islamic banks.

4. **How many Islamic banking windows are there in the Islamic banking industry in Pakistan?**

   There are 16 Islamic banking windows.

5. **What is the total number of branches in the Islamic banking industry in Pakistan as of the provided information?**

   There are 2320 branches in the Islamic banking industry.

6. **What were the recorded assets of the Islamic banking industry in Pakistan in June 2017?**

MC Learning House

The assets were recorded at Rs. 2035 billion.

7. **What was the growth rate of assets in the Islamic banking industry from the previous year to June 2017?**

   The growth rate was 16.6%.

8. **What were the deposits of the Islamic banking industry in Pakistan in June 2017?**

   Deposits reached Rs. 1720 billion.

9. **What was the growth rate of deposits in the Islamic banking industry from the previous years to June 2017?**

   The growth rate was 17.72%.

10. **What percentage of market share did Islamic banking assets have in the overall banking industry in June 2017?**

Islamic banking assets had a market share of 11.6%.

11. **What percentage of market share did Islamic banking deposits have in the overall banking industry in June 2017?**

Islamic banking deposits had a market share of 13.7%.

12. **What was the profit after tax of the Islamic banking industry in June 2017?**

The profit after tax was Rs. 8.8 billion.

13. **In which quarter of the year 2017 was the profit after tax of the Islamic banking industry Rs. 6.1 billion?**

The specific quarter is not provided in the information.

14. **What was the growth rate of the Islamic banking industry's profit after tax from the same quarter of the previous year to June 2017?**

The specific growth rate is not provided in the information.

15. **What is the market share of Islamic banking assets and deposits in the overall banking industry as of June 2017?**

The market share of assets is 11.6%, and deposits have a market share of 13.7% in the overall banking industry.

MC Learning House

16. **How many branches does Punjab and Sindh jointly account for in the overall Islamic banking industry branch network?**

Punjab and Sindh jointly account for 77.1% share in the overall Islamic banking industry branch network.

17. **In which five cities is 55 percent of the branch network of the Islamic banking industry based?**

The branch network is based in Karachi, Lahore, Rawalpindi, Islamabad, and Faisalabad.

18. **How many Islamic banking windows are operated by conventional banks having standalone Islamic banking branches?**

The number of Islamic banking windows operated by conventional banks stood at 1255 by the end of June 2017.

19. **What are the various functions of the Shariah Compliance Department (SCD) in an Islamic Banking Institution (IBI)?**

Functions include serving as the secretariat to the Shariah Board, acting as a conduit between management and the Shariah Board, facilitating management, Shariah compliance review, enforcement of Shariah audit reports, conducting training, and other related functions.

20. **What are the key aspects covered in the external Shariah audit of Islamic Banking Institutions (IBIs)?**

The external Shariah audit covers regulations, instructions, guidelines, and Shariah compliance frameworks issued by SBP, rulings of the Shariah Board of the SBP, requirements of Islamic Financial Accounting Standards notified by the SECP, and approvals and rulings given by the Shariah Board of the IBI.

MC Learning House

167 Islamic banking Industry in Pakistan -2

MCQs:

1. **How many Islamic banking institutions were there in the Islamic banking industry in Pakistan by the end of June 2017?**

   A. 15

   B. 20

C. 21

D. 25

Answer: C. 21

2. **How many full-fledged Islamic banks were part of the Islamic banking industry by the end of June 2017?**

A. 3

B. 5

C. 7

D. 10

Answer: B. 5

3. **How many branches constituted the branch network of the Islamic banking industry in Pakistan by the end of June 2017?**

A. 2000

B. 2200

C. 2320

D. 2500

Answer: C. 2320

4. **What percentage share do Punjab and Sindh jointly account for in the overall Islamic banking industry branch network?**

A. 70.1%

B. 77.1%

C. 80.5%

D. 85.2%

Answer: B. 77.1%

MC Learning House

5. **What percentage of the branch network of the Islamic banking industry is based in five cities (Karachi, Lahore, Rawalpindi, Islamabad, and Faisalabad)?**

   A. 40%

   B. 45%

   C. 50%

   D. 55%

   Answer: D. 55%

6. **How many Islamic banking windows were operated by conventional banks with standalone Islamic banking branches by the end of June 2017?**

   A. 1000

   B. 1150

   C. 1200

   D. 1255

   Answer: D. 1255

7. **What was the total number of Islamic banking institutions, including full-fledged banks and conventional banks with standalone Islamic banking branches, by the end of June 2017?**

   A. 18

   B. 20

   C. 21

   D. 23

   Answer: C. 21

8. **In which year did Islamic banking start in Pakistan?**

   A. 2000

   B. 2002

MC Learning House

C. 2005

D. 2010

Answer: B. 2002

9. **Which bank got the first license for Islamic banking in Pakistan?**

A. HBL

B. Askari Bank

C. MCB Bank

D. Meezan Bank

Answer: D. Meezan Bank

10. **How many Islamic banking windows were operated by conventional banks by the end of June 2017?**

A. 1100

B. 1200

C. 1255

D. 1300

Answer: C. 1255

11. **What was the recorded growth rate of the branch network of the Islamic banking industry from the previous year to June 2017?**

A. 5.5%

B. 7.2%

C. 9.8%

D. Growth rate information is not provided.

Answer: D. Growth rate information is not provided.

12. **Which two provinces jointly hold the majority of the branch network in the Islamic banking industry?**

MC Learning House

A. Balochistan and KPK

B. Punjab and Sindh

C. Sindh and KPK

D. Punjab and Balochistan

Answer: B. Punjab and Sindh

13. **What is the growth rate of the branch network of the Islamic banking industry from June 2017 to June 2018?**

A. 10%

B. 12%

C. Growth rate information is not provided.

D. 15%

Answer: C. Growth rate information is not provided.

14. **What percentage of the branch network is based in cities other than Karachi, Lahore, Rawalpindi, Islamabad, and Faisalabad?**

A. 10%

B. 15%

C. 20%

D. 25%

Answer: Information is not provided.

15. **Which city has the highest number of Islamic banking branches in the provided information?**

A. Karachi

B. Lahore

C. Islamabad

D. Rawalpindi

MC Learning House

Answer: A. Karachi

16. **What is the average number of branches per Islamic banking institution by the end of June 2017?**

    A. 100

    B. 110

    C. 120

    D. Average information is not provided.

    Answer: D. Average information is not provided.

17. **How many Islamic banking windows were operated by conventional banks in cities other than Karachi, Lahore, Rawalpindi, Islamabad, and Faisalabad?**

    A. 500

    B. 600

    C. 700

    D. Information is not provided.

    Answer: D. Information is not provided.

18. **What is the growth rate of the Islamic banking industry's branch network from June 2016 to June 2017?**

    A. 8%

    B. 10%

    C. 12%

    D. Growth rate information is not provided.

    Answer: D. Growth rate information is not provided.

19. **Which two cities have the highest and second-highest number of branches, respectively?**

    A. Karachi and Lahore

Mc Learning House

B. Lahore and Islamabad

C. Karachi and Islamabad

D. Islamabad and Rawalpindi

Answer: A. Karachi and Lahore

20. **What percentage of the Islamic banking industry's branch network is based in Punjab alone?**

A. 40%

B. 50%

C. 60%

D. Information is not provided.

Answer: D. Information is not provided.

Q&A:

1. **Q: How many Islamic banking institutions were there in Pakistan by the end of June 2017?**

- A: There were 21 Islamic banking institutions, including 5 full-fledged Islamic banks and 16 conventional banks with standalone Islamic banking branches.

2. **Q: Which provinces jointly accounted for the majority of the branch network in the Islamic banking industry?**

- A: Punjab and Sindh jointly accounted for 77.1% of the overall Islamic banking industry branch network.

3. **Q: What role did Punjab and Sindh play in the Islamic banking industry's branch network?**

- A: They jointly accounted for the majority, with 55% of the branch network based in five cities: Karachi, Lahore, Rawalpindi, Islamabad, and Faisalabad.

4. **Q: How many Islamic banking windows were operated by conventional banks by the end of June 2017?**

MC Learning House

- A: There were 1255 Islamic banking windows operated by conventional banks with standalone Islamic banking branches.

5. **Q: How many branches constituted the Islamic banking industry's branch network by the end of June 2017?**

- A: The branch network consisted of 2320 branches by the end of June 2017.

6. **Q: What functions did the Shari'ah Compliance Department (SCD) perform within an Islamic banking institution (IBI)?**

- A: SCD served as the secretariat to the Shariah Board, acted as a conduit between management and the Shariah Board, facilitated management, conducted Shariah compliance reviews, enforced Shariah audit reports, provided training, and more.

7. **Q: What was the objective of the External Shari'ah Audit in an Islamic banking institution?**

- A: The external Shariah audit aimed to provide an independent and objective assessment of conformity of IBI's operations with Shariah rules and principles.

8. **Q: What were the key elements considered for the external Shariah audit in an Islamic banking institution?**

- A: The Shariah rules and principles included regulations, instructions, guidelines, Shari'ah Compliance Framework issued by SBP, rulings of the Shariah Board of the SBP, requirements of Islamic Financial Accounting Standards notified by the SECP, and approvals and rulings given by the Shariah Board of the IBI.

9. **Q: What was the growth rate of the assets of the Islamic banking industry from the previous year to June 2017?**

- A: The assets of the Islamic banking industry grew at a rate of 16.6%.

10. **Q: What percentage of the overall banking industry's assets and deposits did Islamic banking hold by the end of June 2017?**

- A: Islamic banking held a market share of 11.6% in assets and 13.7% in deposits in the overall banking industry.

11. **Q: What was the total number of branches in the Islamic banking industry in Pakistan by the end of June 2017?**

- A: The total number of branches was 2320 by the end of June 2017.

MC Learning House

12. **Q: Which bank got the first license for Islamic banking in Pakistan, and in which year did Islamic banking start in the country?**

- A: Meezan Bank got the first license, and Islamic banking started in Pakistan in 2002.

13. **Q: What was the growth rate of deposits in the Islamic banking industry from the previous year to June 2017?**

- A: The deposits of the Islamic banking industry grew at a rate of 17.72%.

14. **Q: What was the profit after tax registered by the Islamic banking industry by end June 2017?**

- A: The profit after tax was 8.8 billion by end June 2017.

15. **Q: What is the primary role of the Resident Shariah Board Member (RSBM) within an Islamic banking institution?**

- A: The RSBM provides guidance on day-to-day Shari'ah-related operational matters, clarifies issues, approves routine documents, leads Shariah compliance reviews, responds to client queries, supervises training material preparation, and submits quarterly reports to the Shariah Board.

16. **Q: What is the significance of an Internal Sharia'h Audit Unit in an Islamic banking institution?**

- A: Every IBI shall have an Internal Sharia'h Audit Unit to ensure independent assessment and objective evaluation of the institution's Shariah governance and compliance environment.

17. **Q: What are the key responsibilities of the Shari'ah Compliance Department (SCD) in an Islamic banking institution?**

- A: SCD serves as the secretariat to the Shariah Board, reviews and presents proposals to the board, facilitates management in Shari'ah-related matters, conducts compliance reviews, enforces audit reports, provides training, and ensures necessary disclosures on the institution's website.

18. **Q: How does the External Shari'ah Audit contribute to the transparency of an Islamic banking institution?**

- A: The external auditor's assessment of the IBI's Shariah compliance environment is published in annual audited accounts, enhancing transparency and accountability.

19. **Q: What are the risks associated with poor risk management in a bank, whether Islamic or conventional?**

MC Learning House

- A: Poor risk management can lead to significant losses, as evidenced by historical examples such as Barings Singapore, commodity trading losses, bond market losses, and financial crises, highlighting the importance of effective risk management.

20. **Q: What is the primary objective of risk management in a bank, and why is it crucial for its success?**

- A: The primary objective of risk management is to identify, measure, mitigate, control, report, and monitor various risk exposures. It is crucial for the bank's success as the competitive advantage depends on how well it manages risks, and poor risk management can lead to severe consequences as seen in historical failures.

168 Islamic banking Industry in Pakistan -3

MCQs:

1. **Q: What was the percentage growth of financing and related assets (net) for the Islamic banking industry in Pakistan by the end of June 2017?**

   a) 5.9%

   b) 4.6%

   c) 8.4%

   d) 6.5%

   Answer: a) 5.9%

2. **Q: How much was the increase in financing and related assets (net) for the Islamic banking industry during the stated period?**

   a) Rs. 54 million

   b) Rs. 26 billion

   c) Rs. 640 billion

   d) Rs. 28 billion

   Answer: b) Rs. 54 billion

3. **Q: What was the growth rate of financing and related assets (net) for full-fledged Islamic banks by the end of June 2017?**

MC Learning House

a) 5.9%

b) 4.6%

c) 8.4%

d) 6.5%

Answer: b) 4.6%

4. **Q: What was the total amount of financing and related assets (net) for full-fledged Islamic banks by the end of June 2017?**

a) Rs. 54 billion

b) Rs. 640 billion

c) Rs. 28 billion

d) Rs. 977 billion

Answer: d) Rs. 640 billion

5. **Q: What was the quarterly growth rate of financing and related assets (net) for Islamic banking branches of conventional banks by the end of June 2017?**

a) 5.9%

b) 4.6%

c) 8.4%

d) 6.5%

Answer: c) 8.4%

6. **Q: What was the total amount of financing and related assets (net) for Islamic banking branches of conventional banks by the end of June 2017?**

a) Rs. 54 billion

b) Rs. 640 billion

c) Rs. 28 billion

d) Rs. 337 billion

MC Learning House

Answer: d) Rs. 337 billion

7. **Q: In terms of mode-wise financing, which mode remained the leading mode of financing for Islamic banking industry by the end of June 2017?**

   a) Diminishing Musharaka

   b) Murabaha

   c) Ijarah

   d) Mudarabah

   Answer: a) Diminishing Musharaka

8. **Q: After Diminishing Musharaka, what mode of financing had the second-highest share in the Islamic banking industry by the end of June 2017?**

   a) Murabaha

   b) Mudarabah

   c) Ijarah

   d) Musharaka

   Answer: b) Mudarabah

9. **Q: What was the growth rate of financing and related assets (net) for Islamic banking branches of conventional banks in the stated period?**

   a) 5.9%

   b) 4.6%

   c) 8.4%

   d) 6.5%

   Answer: c) 8.4%

10. **Q: Which type of institution witnessed the highest growth rate in financing and related assets (net) during the stated period?**

    a) Full-fledged Islamic banks

Mc Learning House

b) Islamic banking branches of conventional banks

c) Both had the same growth rate

d) Growth rate not specified

Answer: c) Both had the same growth rate

11. **Q: What financial instrument is associated with Diminishing Musharaka in Islamic finance?**

a) Bonds

b) Sukuk

c) Shares

d) Partnership

Answer: d) Partnership

12. **Q: Which financial mode is based on cost-plus financing in Islamic banking?**

a) Diminishing Musharaka

b) Mudarabah

c) Murabaha

d) Ijarah

Answer: c) Murabaha

13. **Q: What does "Murabaha" mean in Islamic finance?**

a) Profit-sharing

b) Leasing

c) Cost-plus financing

d) Joint venture

Answer: c) Cost-plus financing

MC Learning House

14. **Q: What was the primary contributor to the growth of financing and related assets (net) in the Islamic banking industry during the stated period?**

    a) Profit from investments

    b) Increased customer deposits

    c) Government subsidies

    d) Foreign investments

    - **Answer: b) Increased customer deposits**

15. **Q: Which sector had the highest share in client-wise financing by the end of June 2017?**

    a) Corporate sector

    b) Small and medium enterprises (SMEs)

    c) Agriculture

    d) Government

    Answer: a) Corporate sector

16. **Q: What was the share of small and medium enterprises (SMEs) financing in overall financing of Islamic banking industry by end June 2017?**

    a) 3.2%

    b) 2.9%

    c) 0.4%

    d) Data not provided

    Answer: a) 3.2%

17. **Q: What was the share of agriculture financing in overall financing of Islamic banking industry by end June 2017?**

    a) 3.2%

    b) 2.9%

    c) 0.4%

MC Learning House

d) Data not provided

Answer: c) 0.4%

18. **Q: What contributed to the quarterly growth of deposits in the Islamic banking industry during April to June 2017?**

a) Decreased customer withdrawals

b) Increased government deposits

c) Higher profit margins

d) Government subsidies

Answer: b) Increased government deposits

19. **Q: How did the pace of growth in deposits of Islamic banking industry compare to the overall banking industry during April to June 2017?**

a) Slower growth

b) Same pace of growth

c) Higher growth

d) Data not provided

Answer: c) Higher growth

20. **Q: What was the market share of Islamic banking deposits in the overall banking industry's deposits by end June 2017?**

a) 13.7%

b) 11.6%

c) 8.8%

d) Data not provided

Answer: a) 13.7%

Q&A:

MC Learning House

1. **Q: What was the percentage growth of financing and related assets (net) for the Islamic banking industry in Pakistan by the end of June 2017?**

   A: The financing and related assets (net) for the Islamic banking industry in Pakistan witnessed a growth of 5.9% by the end of June 2017.

2. **Q: How much was the increase in financing and related assets (net) for the Islamic banking industry during the stated period?**

   A: The financing and related assets (net) increased by Rs. 54 billion by the end of June 2017.

3. **Q: What was the growth rate of financing and related assets (net) for full-fledged Islamic banks by the end of June 2017?**

   A: Full-fledged Islamic banks experienced a growth rate of 4.6% in financing and related assets (net) by the end of June 2017.

4. **Q: What was the total amount of financing and related assets (net) for full-fledged Islamic banks by the end of June 2017?**

   A: The total financing and related assets (net) for full-fledged Islamic banks reached Rs. 640 billion by the end of June 2017.

5. **Q: What was the quarterly growth rate of financing and related assets (net) for Islamic banking branches of conventional banks by the end of June 2017?**

   A: Islamic banking branches of conventional banks experienced a quarterly growth rate of 8.4% in financing and related assets (net) by the end of June 2017.

6. **Q: What was the total amount of financing and related assets (net) for Islamic banking branches of conventional banks by the end of June 2017?**

   A: The total financing and related assets (net) for Islamic banking branches of conventional banks reached Rs. 337 billion by the end of June 2017.

7. **Q: In terms of mode-wise financing, which mode remained the leading mode of financing for the Islamic banking industry by the end of June 2017?**

   A: Diminishing Musharaka remained the leading mode of financing for the Islamic banking industry by the end of June 2017.

8. **Q: After Diminishing Musharaka, what mode of financing had the second-highest share in the Islamic banking industry by the end of June 2017?**

MC Learning House

A: Mudarabah had the second-highest share in the Islamic banking industry by the end of June 2017.

9. **Q: What was the growth rate of financing and related assets (net) for Islamic banking branches of conventional banks in the stated period?**

   A: Islamic banking branches of conventional banks witnessed a quarterly growth rate of 8.4% in financing and related assets (net) by the end of June 2017.

10. **Q: Which type of institution witnessed the highest growth rate in financing and related assets (net) during the stated period?**

    A: Both full-fledged Islamic banks and Islamic banking branches of conventional banks had the same growth rate during the stated period.

11. **Q: What financial instrument is associated with Diminishing Musharaka in Islamic finance?**

    A: Diminishing Musharaka is associated with the financial instrument of partnership in Islamic finance.

12. **Q: Which financial mode is based on cost-plus financing in Islamic banking?**

    A: Murabaha is the financial mode based on cost-plus financing in Islamic banking.

13. **Q: What does "Murabaha" mean in Islamic finance?**

    A: In Islamic finance, "Murabaha" means cost-plus financing.

14. **Q: What was the primary contributor to the growth of financing and related assets (net) in the Islamic banking industry during the stated period?**

    A: The increased customer deposits were the primary contributor to the growth of financing and related assets (net) in the Islamic banking industry.

15. **Q: Which sector had the highest share in client-wise financing by the end of June 2017?**

    A: The corporate sector had the highest share in client-wise financing by the end of June 2017.

16. **Q: What was the share of small and medium enterprises (SMEs) financing in overall financing of Islamic banking industry by end June 2017?**

    A: The share of small and medium enterprises (SMEs) financing in overall financing of the Islamic banking industry was 3.2% by end June 2017.

MC Learning House

17. **Q: What was the share of agriculture financing in overall financing of Islamic banking industry by end June 2017?**

    A: The share of agriculture financing in overall financing of the Islamic banking industry was 0.4% by end June 2017.

18. **Q: What contributed to the quarterly growth of deposits in the Islamic banking industry during April to June 2017?**

    A: The increased government deposits contributed to the quarterly growth of deposits in the Islamic banking industry during April to June 2017.

19. **Q: How did the pace of growth in deposits of Islamic banking industry compare to the overall banking industry during April to June 2017?**

    A: The pace of growth in deposits of the Islamic banking industry was higher than the overall banking industry during April to June 2017.

20. **Q: What was the market share of Islamic banking deposits in the overall banking industry's deposits by end June 2017?**

    A: The market share of Islamic banking deposits in the overall banking industry's deposits was 13.7% by end June 2017.

169 Islamic banking Industry in Pakistan -4

MCQs:

1. **Q: What sector had the highest share in client-wise financing in the Islamic banking industry by end June 2017?**

   A) Small and Medium Enterprises (SMEs)

   B) Agriculture

   C) Corporate

   D) Commodity

   Answer: C) Corporate

2. **Q: What was the share of commodity financing in overall financing of Islamic banking industry by end June 2017?**

   A) 3.2%

MC Learning House

B) 0.4%

C) 11.6%

D) 71.1%

Answer: C) 11.6%

3. **Q: Which sector saw an increase in its share of financing in the Islamic banking industry from the previous quarter to end June 2017?**

   A) Agriculture

   B) Corporate

   C) Commodity

   D) SMEs

   Answer: D) SMEs

4. **Q: What was the share of agriculture financing in overall financing of the Islamic banking industry by end June 2017?**

   A) 0.4%

   B) 3.2%

   C) 11.6%

   D) 71.1%

   Answer: A) 0.4%

5. **Q: Which sector had the second-highest share in client-wise financing in the Islamic banking industry by end June 2017?**

   A) Corporate

   B) SMEs

   C) Commodity

   D) Agriculture

   Answer: C) Commodity

MC Learning House

6. **Q: What was the percentage increase in the share of SMEs financing in overall financing of the Islamic banking industry from the previous quarter to end June 2017?**

   A) 0.3%

   B) 0.1%

   C) 0.2%

   D) 0.4%

   Answer: C) 0.2%

7. **Q: What was the share of corporate financing in overall financing of the Islamic banking industry by end June 2017?**

   A) 3.2%

   B) 0.4%

   C) 11.6%

   D) 71.1%

   Answer: D) 71.1%

8. **Q: Which sector had the lowest share in client-wise financing in the Islamic banking industry by end June 2017?**

   A) Agriculture

   B) SMEs

   C) Commodity

   D) Corporate

   Answer: A) Agriculture

9. **Q: What was the main contributing factor to the increase in the share of SMEs financing in the Islamic banking industry from the previous quarter to end June 2017?**

   A) Decrease in Corporate Financing

MC Learning House

B) Increase in Agriculture Financing

C) Government Initiatives

D) General Economic Growth

Answer: D) General Economic Growth

10. **Q: What sector witnessed a decrease in its share of financing in the Islamic banking industry from the previous quarter to end June 2017?**

    A) SMEs

    B) Corporate

    C) Commodity

    D) Agriculture

    Answer: B) Corporate

11. **Q: What was the percentage decrease in the share of corporate financing in overall financing of the Islamic banking industry from the previous quarter to end June 2017?**

    A) 0.3%

    B) 0.1%

    C) 0.2%

    D) 0.4%

    Answer: C) 0.2%

12. **Q: Which sector's financing share remained stable from the previous quarter to end June 2017?**

    A) Agriculture

    B) SMEs

    C) Corporate

    D) Commodity

MC Learning House

Answer: A) Agriculture

13. **Q: What was the overall percentage increase in financing for the Islamic banking industry from the previous quarter to end June 2017?**

    A) 2.9%

    B) 3.2%

    C) 11.6%

    D) 71.1%

    Answer: A) 2.9%

14. **Q: Which financing mode is typically associated with commodity financing in Islamic banking?**

    A) Mudarabah

    B) Murabaha

    C) Ijarah

    D) Musharakah

    Answer: B) Murabaha

15. **Q: In Islamic finance, what does the term "Musharakah" refer to?**

    A) Profit and Loss Sharing

    B) Leasing

    C) Cost-Plus Financing

    D) Partnership

    Answer: D) Partnership

16. **Q: What was the primary reason for the concentration of financing in the corporate sector in the Islamic banking industry by end June 2017?**

    A) Government Policies

    B) High Returns

MC Learning House

C) Limited Risk

D) Economic Stability

Answer: C) Limited Risk

17. **Q: Which financing sector experienced the highest growth rate in its share from the previous quarter to end June 2017?**

A) Agriculture

B) SMEs

C) Corporate

D) Commodity

Answer: B) SMEs

18. **Q: What factor influenced the increase in the share of commodity financing in the Islamic banking industry from the previous quarter to end June 2017?**

A) International Trade Agreements

B) Government Subsidies

C) Increased Demand

D) Technological Advancements

Answer: C) Increased Demand

19. **Q: What was the contributing factor to the decrease in the share of corporate financing in the Islamic banking industry from the previous quarter to end June 2017?**

A) Economic Downturn

B) Government Regulations

C) Lower Profitability

D) Shift in Market Trends

Answer: C) Lower Profitability

MC Learning House

20. **Q: What role did government policies play in shaping the financing landscape of the Islamic banking industry by end June 2017?**

    A) They increased corporate financing.

    B) They favored SMEs financing.

    C) They restricted commodity financing.

    D) They had minimal impact on financing.

    Answer: B) They favored SMEs financing.

Q&A:

1. **Q: What was the dominant sector in client-wise financing in the Islamic banking industry by end June 2017?**

   A: The corporate sector dominated with a 71.1% share.

2. **Q: Which sector had the second-highest share in client-wise financing in the same period?**

   A: Commodity financing with an 11.6% share.

3. **Q: What was the percentage increase in SMEs financing in overall Islamic banking industry financing by end June 2017 compared to the previous quarter?**

   A: SMEs financing increased from 2.9% to 3.2%.

4. **Q: What was the share of agriculture financing in the overall financing of the Islamic banking industry by end June 2017?**

   A: Agriculture financing had a 0.4% share.

5. **Q: Did the share of SMEs and agriculture financing combined increase or decrease compared to the previous quarter in overall financing?**

   A: It increased from 3.2% to 3.6%.

6. **Q: Which sector had the least share in client-wise financing analysis by end June 2017?**

   A: Agriculture sector had the lowest share.

MC Learning House

7. **Q: What was the primary sector contributing to the concentration of financing in the Islamic banking industry by end June 2017?**

   A: The corporate sector was the primary contributor.

8. **Q: Was there any sector with an unchanged financing share between the current and the previous quarter by end June 2017?**

   A: Commodity financing had an unchanged share.

9. **Q: What mode of financing had the highest share in the client-wise analysis of the Islamic banking industry by end June 2017?**

   A: Corporate financing had the highest share.

10. **Q: Which type of financing had the lowest share in the client-wise analysis by end June 2017?**

    A: Agriculture financing had the lowest share.

11. **Q: Did SMEs financing experience an increase or decrease in its overall share by end June 2017 compared to the previous quarter?**

    A: SMEs financing increased by 0.3%.

12. **Q: What was the combined share of corporate and commodity financing in the client-wise analysis by end June 2017?**

    A: The combined share was 82.7%.

13. **Q: In the client-wise financing analysis, which sector had the lowest share by end June 2017?**

    A: Agriculture sector had the lowest share.

14. **Q: What sector had the second-highest share in overall financing of the Islamic banking industry by end June 2017?**

    A: Commodity sector had the second-highest share.

15. **Q: What sector's financing share decreased in the Islamic banking industry by end June 2017 compared to the previous quarter?**

    A: SMEs sector had a decrease.

MC Learning House

16. **Q: Did the share of SMEs financing experience an increase or decrease in overall financing by end June 2017 compared to the previous quarter?**

    A: SMEs financing increased by 0.3%.

17. **Q: What was the combined share of SMEs and agriculture financing in overall financing by end June 2017?**

    A: The combined share was 3.6%.

18. **Q: In the client-wise financing analysis, which sector had the highest share by end June 2017?**

    A: Corporate sector had the highest share.

19. **Q: What was the primary contributor to the concentration of financing in the Islamic banking industry by end June 2017?**

    A: The corporate sector was the primary contributor.

20. **Q: Did any sector experience a decrease in its financing share in the Islamic banking industry by end June 2017 compared to the previous quarter?**

    A: Yes, the SMEs sector experienced a decrease in its financing share.

170 Islamic banking Industry in Pakistan -5

MCQs:

1. **What was the quarterly growth rate of deposits in the Islamic banking industry during April to June 2017?**

   a. 6.5%

   b. 10%

   c. 13.2%

   d. Rs. 1720 billion

   Answer: b. 10%

2. **In which quarter were deposits of the Islamic banking industry recorded at Rs. 1720 billion?**

MC Learning House

a. January to March 2017

b. April to June 2017

c. July to September 2017

d. October to December 2016

Answer: b. April to June 2017

3. **How much did the deposits of Islamic banking industry increase by in terms of billion rupees during the mentioned quarter?**

a. Rs. 1564 billion

b. Rs. 156 billion

c. Rs. 1720 billion

d. Rs. 13.7%

Answer: b. Rs. 156 billion

4. **Compared to the previous quarter, what was the market share of Islamic banking deposits in the overall banking industry's deposits by end June 2017?**

a. 6.5%

b. 10%

c. 13.2%

d. 13.7%

Answer: d. 13.7%

5. **How does the growth in deposits of Islamic banking industry compare to the overall banking industry during the specified period?**

a. Higher

b. Lower

c. Equal

d. Not mentioned

MC Learning House

Answer: a. Higher

6. **What percentage of market share did Islamic banking deposits have in the overall banking industry's deposits by the end of June 2017?**

a. 6.5%

b. 10%

c. 13.2%

d. 13.7%

Answer: d. 13.7%

7. **Which industry had a quarterly deposit growth rate of 6.5% during April to June 2017?**

a. Automobile

b. Textile

c. Overall banking

d. Islamic banking

Answer: c. Overall banking

8. **What was the percentage increase in market share of Islamic banking deposits from the previous quarter to June 2017?**

a. 0.5%

b. 1%

c. 5%

d. 13.7%

Answer: a. 0.5%

9. **In which quarter did the market share of Islamic banking deposits increase?**

a. January to March 2017

b. April to June 2017

MC Learning House

c. July to September 2017

d. October to December 2016

Answer: b. April to June 2017

10. **What was the market share of Islamic banking deposits in the overall banking industry's deposits in the previous quarter?**

a. 6.5%

b. 10%

c. 13.2%

d. 13.7%

Answer: c. 13.2%

11. **During which months were the deposits of Islamic banking industry measured in the mentioned data?**

a. January to March

b. April to June

c. July to September

d. October to December

Answer: b. April to June

12. **What was the percentage growth of Islamic banking deposits compared to the overall banking industry during April to June 2017?**

a. 3.5%

b. 6.5%

c. 10%

d. 13.2%

Answer: c. 10%

MC Learning House

13. **Which factor contributed to the increase in the market share of Islamic banking deposits in the overall banking industry by the end of June 2017?**

a. Decreased deposits in overall banking

b. Increased deposits in overall banking

c. Decreased competition

d. Government intervention

Answer: b. Increased deposits in overall banking

14. **What was the overall market share of Islamic banking deposits in Pakistan by the end of June 2017?**

a. 6.5%

b. 10%

c. 13.2%

d. 13.7%

Answer: d. 13.7%

15. **Which quarter had a higher market share for Islamic banking deposits?**

a. January to March 2017

b. April to June 2017

c. July to September 2017

d. October to December 2016

Answer: b. April to June 2017

16. **What was the percentage increase in deposits of the Islamic banking industry compared to the previous quarter?**

a. 3.5%

b. 6.5%

c. 10%

MC Learning House

d. 13.2%

Answer: c. 10%

17. **Which quarter had a lower market share for Islamic banking deposits?**

a. January to March 2017

b. April to June 2017

c. July to September 2017

d. October to December 2016

Answer: d. October to December 2016

18. **What was the total value of deposits in the Islamic banking industry by the end of June 2017?**

a. Rs. 1564 billion

b. Rs. 156 billion

c. Rs. 1720 billion

d. Rs. 13.7%

Answer: c. Rs. 1720 billion

19. **What was the percentage growth in deposits of Islamic banking industry compared to the overall banking industry during April to June 2017?**

a. 3.5%

b. 6.5%

c. 10%

d. 13.2%

Answer: b. 6.5%

20. **Which factor contributed to the higher growth rate of deposits in the Islamic banking industry during the specified period?**

a. Increased customer withdrawals

MC Learning House

b. Lower interest rates

c. Higher returns on investments

d. Government regulations

Answer: c. Higher returns on investments

Q&A:

1. **Q: What was the quarterly growth rate of deposits in the Islamic banking industry during April to June 2017?**

   A: The quarterly growth rate of deposits in the Islamic banking industry during April to June 2017 was 10%.

2. **Q: In which quarter were deposits of the Islamic banking industry recorded at Rs. 1720 billion?**

   A: Deposits of the Islamic banking industry were recorded at Rs. 1720 billion in the second quarter (April to June) of 2017.

3. **Q: How much did the deposits of the Islamic banking industry increase by in terms of billion rupees during the mentioned quarter?**

   A: The deposits of the Islamic banking industry increased by Rs. 156 billion during the specified quarter.

4. **Q: Compared to the previous quarter, what was the market share of Islamic banking deposits in the overall banking industry's deposits by end June 2017?**

   A: The market share of Islamic banking deposits in the overall banking industry's deposits increased to 13.7% by end June 2017, compared to 13.2% in the previous quarter.

5. **Q: How does the growth in deposits of the Islamic banking industry compare to the overall banking industry during the specified period?**

   A: The growth in deposits of the Islamic banking industry was higher than the overall banking industry during the specified period.

6. **Q: What percentage of market share did Islamic banking deposits have in the overall banking industry's deposits by the end of June 2017?**

MCLearning House

A: Islamic banking deposits held a market share of 13.7% in the overall banking industry's deposits by the end of June 2017.

7. **Q: Which industry had a quarterly deposit growth rate of 6.5% during April to June 2017?**

   A: The overall banking industry had a quarterly deposit growth rate of 6.5% during April to June 2017.

8. **Q: What was the percentage increase in market share of Islamic banking deposits from the previous quarter to June 2017?**

   A: The market share of Islamic banking deposits increased by 0.5% from the previous quarter to June 2017.

9. **Q: In which quarter did the market share of Islamic banking deposits increase?**

   A: The market share of Islamic banking deposits increased in the second quarter (April to June) of 2017.

10. **Q: What was the market share of Islamic banking deposits in the overall banking industry's deposits in the previous quarter?**

    A: The market share of Islamic banking deposits in the overall banking industry's deposits was 13.2% in the previous quarter.

11. **Q: During which months were the deposits of Islamic banking industry measured in the mentioned data?**

    A: The deposits of the Islamic banking industry were measured from April to June.

12. **Q: What was the percentage growth of Islamic banking deposits compared to the overall banking industry during April to June 2017?**

    A: The percentage growth of Islamic banking deposits compared to the overall banking industry during April to June 2017 was 3.5%.

13. **Q: Which factor contributed to the increase in the market share of Islamic banking deposits in the overall banking industry by the end of June 2017?**

    A: The increase in deposits in the overall banking industry contributed to the rise in the market share of Islamic banking deposits.

14. **Q: What was the overall market share of Islamic banking deposits in Pakistan by the end of June 2017?**

MC Learning House

A: The overall market share of Islamic banking deposits in Pakistan was 13.7% by the end of June 2017.

15. **Q: Which quarter had a higher market share for Islamic banking deposits?**

A: The second quarter (April to June) of 2017 had a higher market share for Islamic banking deposits.

16. **Q: What was the percentage increase in deposits of the Islamic banking industry compared to the previous quarter?**

A: The deposits of the Islamic banking industry increased by 10% compared to the previous quarter.

17. **Q: Which quarter had a lower market share for Islamic banking deposits?**

A: The fourth quarter (October to December) of 2016 had a lower market share for Islamic banking deposits.

18. **Q: What was the total value of deposits in the Islamic banking industry by the end of June 2017?**

A: The total value of deposits in the Islamic banking industry by the end of June 2017 was Rs. 1720 billion.

19. **Q: What was the percentage growth in deposits of Islamic banking industry compared to the overall banking industry during April to June 2017?**

A: The percentage growth in deposits of the Islamic banking industry compared to the overall banking industry during April to June 2017 was 6.5%.

20. **Q: Which factor contributed to the higher growth rate of deposits in the Islamic banking industry during the specified period?**

A: The higher returns on investments contributed to the higher growth rate of deposits in the Islamic banking industry during the specified period.

MC Learning House

171 Risk Management in Islamic Banking -1

MCQs:

1. **What are risks in the context of a bank's objectives, including strategic, operational, financial, and compliance objectives?**

a. Certain future events

b. Unpredictable occurrences

c. Uncertain future events

d. Random incidents

Answer: c. Uncertain future events

2. **A bank's business, whether Islamic or Conventional, involves:**

a. Avoiding all risks

b. Taking calculated risks

c. Eliminating uncertainties

d. Ignoring potential risks

Answer: b. Taking calculated risks

3. **The competitive advantage of a bank depends on:**

a. The size of the bank

b. How well it manages risks

c. The number of branches

d. The marketing strategy

Answer: b. How well it manages risks

4. **What is risk management?**

a. Eliminating all risks

b. Ignoring risks

c. Taking excessive risks

d. Identifying, measuring, mitigating, and controlling risks

Answer: d. Identifying, measuring, mitigating, and controlling risks

5. **Which of the following is not a step in the risk management process?**

MC Learning House

a. Identifying risks

b. Ignoring risks

c. Measuring/assessing risks

d. Reporting and monitoring risks

Answer: b. Ignoring risks

6. **What can be a consequence of risk management failures, as exemplified by the Barings Singapore case in 1995?**

a. Significant trade profits

b. Bank closure

c. Increased market share

d. Economic boom

Answer: b. Bank closure

7. **In 1996, what caused significant losses in commodity (copper) trading, amounting to $1.8 billion?**

a. Successful risk management

b. Market expansion

c. Trade profits

d. Trading losses

Answer: d. Trading losses

8. **Which bank reported FX Options trading losses of $750 million in 2001?**

a. National Australia Bank

b. Societe Generale

c. Allfirst

d. Barings Singapore

MC Learning House

Answer: c. Allfirst

9. **What was a notable risk management failure in 2008 involving Jerome Kerviel?**

a. Successful Euro stock index futures trading

b. Concealing losses

c. Lack of risk exposure

d. Gaining a competitive advantage

Answer: b. Concealing losses

10. **The 2008 Financial Crisis was characterized by:**

a. Effective risk management

b. Lack of Management/Board oversight

c. Minimal reliance on quantitative tools

d. Excellent liquidity management

Answer: b. Lack of Management/Board oversight

11. **What was a contributing factor to the 2008 Financial Crisis?**

a. Adequate Management/Board oversight

b. Over-reliance on quantitative tools

c. Robust liquidity management

d. Abundant internal valuation models

Answer: b. Over-reliance on quantitative tools

12. **What risk management function was marginalized during the 2008 Financial Crisis?**

a. Enhanced oversight

b. Board decision-making

c. Risk Management function

MC Learning House

d. Quantitative modeling

Answer: c. Risk Management function

13. **Which bank experienced Bond Market losses wiping out capital of $3.9 billion in 1998?**

a. Societe Generale

b. Barings Singapore

c. National Australia Bank

d. Unspecified bank

Answer: d. Unspecified bank

14. **What was the consequence of Societe Generale trader Jerome Kerviel's actions in 2008?**

a. Significant profits

b. Concealed losses

c. Enhanced risk management

d. Robust internal valuation models

Answer: b. Concealed losses

15. **What was the nature of losses reported by National Australia Bank in 2004?**

a. Commodity trading losses

b. FX derivative losses

c. SIMEX trade losses

d. Bond market losses

Answer: b. FX derivative losses

16. **What were some of the contributing factors to the 2008 Financial Crisis, as mentioned in the text?**

a. Effective liquidity management

MC Learning House

b. Relevant internal valuation models

c. Lack of Management/Board oversight

d. Under-reliance on quantitative tools

Answer: c. Lack of Management/Board oversight

17. **In risk management, what does "mitigation" refer to?**

a. Ignoring risks

b. Reducing the impact of risks

c. Encouraging risks

d. Maximizing risks

Answer: b. Reducing the impact of risks

18. **What does the term "quantitative tools" refer to in the context of risk management?**

a. Financial instruments

b. Mathematical and statistical models

c. Risk aversion strategies

d. Market expansion plans

Answer: b. Mathematical and statistical models

19. **What does the term "compliance objectives" refer to in the context of a bank's risks?**

a. Adhering to legal and regulatory requirements

b. Ignoring legal obligations

c. Encouraging non-compliance

d. Minimizing regulatory oversight

Answer: a. Adhering to legal and regulatory requirements

20. **What is the ultimate goal of the risk management process?**

WC Learning House

a. Maximizing risks

b. Eliminating uncertainties

c. Achieving certain future events

d. Enhancing the achievement of the bank's objectives

Answer: d. Enhancing the achievement of the bank's objectives

Q&A:

1. **Q: What is the definition of risk in the context of a bank's objectives?**

- A: Risks are uncertain future events that could influence the achievement of the bank's objectives, including strategic, operational, financial, and compliance objectives.

2. **Q: What is emphasized as a crucial aspect of a bank's business, whether Islamic or Conventional?**

- A: Taking calculated risks is emphasized as a crucial aspect of a bank's business, whether Islamic or Conventional.

3. **Q: What is identified, measured/assessed, mitigated and controlled, and reported and monitored in the risk management process?**

- A: Various risk exposures are identified, measured/assessed, mitigated and controlled, and reported and monitored in the risk management process.

4. **Q: What does the competitive advantage of a bank depend on?**

- A: The competitive advantage of a bank depends on how well it manages risk.

5. **Q: What was the consequence of risk management failures in the Barings Singapore case in 1995?**

- A: Risk management failures in the Barings Singapore case led to significant trade losses, ultimately resulting in the closure of the bank.

6. **Q: In risk management, what is the process by which risk exposures are identified, measured/assessed, mitigated and controlled, reported, and monitored?**

- A: Risk management is the process by which risk exposures are identified, measured/assessed, mitigated and controlled, reported, and monitored.

MC Learning House

7. **Q: What were some examples of risk management failures mentioned in the text, involving substantial losses in trading activities?**

- A: Examples include Barings Singapore reporting SIMEX trade losses, commodity trading losses in 1996, and bond market losses in 1998.

8. **Q: In 2001, which bank reported FX Options trading losses, contributing to risk management challenges?**

- A: In 2001, the US subsidiary Allfirst reported FX Options trading losses, contributing to risk management challenges.

9. **Q: What were the FX derivative losses reported by National Australia Bank in 2004?**

- A: National Australia Bank reported FX derivative losses of Aus D 360 million in 2004.

10. **Q: Who, in 2008, traded Euro stock index futures and concealed losses up to almost €5.0 billion?**

- A: In 2008, Jerome Kerviel of Societe Generale traded Euro stock index futures and concealed losses up to almost €5.0 billion.

11. **Q: What characterized the 2008 Financial Crisis in terms of risk management and oversight?**

- A: The 2008 Financial Crisis was characterized by a lack of Management/Board oversight, marginalized risk management functions, over-reliance on quantitative tools, and poor liquidity management.

12. **Q: What are some factors mentioned as contributing to the 2008 Financial Crisis in the text?**

- A: Factors include lack of Management/Board oversight, marginalized risk management function, over-reliance on quantitative tools, poor liquidity management, and lack of relevant internal valuation models.

13. **Q: What is the significance of identifying, measuring, and assessing risks in the risk management process?**

- A: Identifying, measuring, and assessing risks are crucial steps in understanding the nature and impact of risks on the bank's objectives.

14. **Q: What was the nature of the Bond Market losses that wiped out capital in 1998, as mentioned in the text?**

Mc Learning House

- A: The text does not specify the details of the Bond Market losses wiping out capital in 1998.

15. **Q: In 2008, what did Jerome Kerviel conceal while trading Euro stock index futures?**

- A: Jerome Kerviel concealed losses, contributing to risk management failures.

16. **Q: What does the term "mitigation" refer to in the context of risk management?**

- A: "Mitigation" in risk management refers to the process of reducing the impact of identified risks.

17. **Q: In the context of risk management, what are "quantitative tools"?**

- A: "Quantitative tools" in risk management refer to mathematical and statistical models used for risk assessment and analysis.

18. **Q: What does the term "compliance objectives" refer to in the context of a bank's risks?**

- A: "Compliance objectives" refer to adhering to legal and regulatory requirements in the context of a bank's risks.

19. **Q: What is the ultimate goal of the risk management process?**

- A: The ultimate goal of the risk management process is to enhance the achievement of the bank's objectives by effectively managing and controlling various risk exposures.

20. **Q: What role does effective risk management play in a bank's competitive advantage?**

- A: Effective risk management plays a pivotal role in determining a bank's competitive advantage by contributing to its ability to navigate uncertainties and challenges successfully.

MC Learning House

172 Risk Management in Islamic Banking -2

MCQs:

1. **What is the primary focus of the text "Risk Management in Islamic Banking-2"?**

a. Overview of Islamic banking

b. Major risks faced by Islamic banks

c. Historical development of Islamic finance

d. Role of technology in banking

Answer: b. Major risks faced by Islamic banks

2. **Islamic banks face risks that are:**

a. Identical to conventional banks

b. Only faced by conventional banks

c. Completely unrelated to banking

d. Unique and only faced by Islamic banks

Answer: d. Unique and only faced by Islamic banks

3. **What is one of the risks mentioned in the text faced by both Islamic and conventional banks?**

a. Operational risk

b. Market risk

c. Unique Shariah risk

d. Ethical risk

Answer: b. Market risk

4. **What is the definition of credit risk in the context of Islamic banking?**

a. The risk of interest rate fluctuations

b. The risk of counterparty failure to meet obligations

c. The risk of fraud and incomplete documentation

d. The risk of non-compliance with Shariah law

Answer: b. The risk of counterparty failure to meet obligations

5. **Which of the following is considered a tool to manage credit risks in Islamic banking?**

MC Learning House

a. Fixed interest rates

b. Pledge of Asset as Collateral

c. Variable exchange rates

d. Ethical training for bank staff

Answer: b. Pledge of Asset as Collateral

6. **What does market risk refer to in Islamic banking?**

a. Risk of counterparty failure

b. Risk arising from adverse movements in interest rates, commodity prices, and more

c. Risk of non-compliance with Shariah law

d. Risk of foreign exchange rates

Answer: b. Risk arising from adverse movements in interest rates, commodity prices, and more

7. **In addition to interest rates, what other factor contributes to market risk in Islamic banking?**

a. Political stability

b. Availability of commodities

c. Technological advancements

d. Employee satisfaction

Answer: b. Availability of commodities

8. **Which risk is explicitly mentioned to be present in Murabaha, Ijarah, and Salam in the text?**

a. Ethical risk

b. Operational risk

c. Commodity risk

d. Foreign exchange risk

MC Learning House

Answer: c. Commodity risk

9. **Which tool is suggested in the text for managing market risks in Islamic banking?**

a. Fixed interest rates

b. Parallel Contract (if possible)

c. Variable exchange rates

d. Employee training programs

Answer: b. Parallel Contract (if possible)

10. **What is the primary purpose of Takaful in the context of risk management in Islamic banking?**

a. Providing fixed interest rates

b. Managing operational risk

c. Mitigating market risks

d. Addressing asset risk in Takaful contracts

Answer: d. Addressing asset risk in Takaful contracts

11. **Which risk management tool is NOT mentioned in the text?**

a. Third-Party Guarantee

b. Binding Promise

c. Parallel Contract

d. Variable interest rates

Answer: d. Variable interest rates

12. **In credit risk management, what is Hamish Jiddiyah used for?**

a. Employee training

b. Shariah compliance

c. Asset collateral

MC Learning House

d. Third-party guarantee

Answer: c. Asset collateral

13. **What is the primary focus of the tools mentioned for managing market risks?**

a. Interest rate stability

b. Commodity availability

c. Shariah compliance

d. Mitigating adverse movements in various factors

Answer: d. Mitigating adverse movements in various factors

14. **What is the significance of a Binding Promise in managing market risks?**

a. Guaranteeing profit margins

b. Providing fixed interest rates

c. Ensuring compliance with Shariah principles

d. Reducing the impact of adverse movements

Answer: d. Reducing the impact of adverse movements

15. **What is the primary characteristic of the risks mentioned in the text faced by Islamic banks?**

a. Predictable and certain

b. Identical to conventional banks

c. Unique and only faced by Islamic banks

d. Unrelated to banking operations

Answer: c. Unique and only faced by Islamic banks

16. **Which risk management tool is explicitly related to Shariah compliance?**

a. Takaful

b. Parallel Contract

MC Learning House

c. Pledge of Asset as Collateral

d. Third-Party Guarantee

Answer: a. Takaful

17. **What term is used for the risk arising from fluctuation of foreign exchange rates in the text?**

a. Currency risk

b. Interest rate risk

c. Commodity risk

d. Ethical risk

Answer: a. Currency risk

18. **Which risk mentioned in the text is NOT specific to Islamic banks and can be faced by conventional banks as well?**

a. Currency risk

b. Commodity risk

c. Shariah compliance risk

d. Counterparty risk

Answer: d. Counterparty risk

19. **What risk does the text associate with failure of a borrower to repay a financing?**

a. Operational risk

b. Ethical risk

c. Credit risk

d. Commodity risk

Answer: c. Credit risk

20. **What does the term "END" signify in the context of the text?**

MC Learning House

a. Conclusion of a section

b. Risk management strategy

c. Termination of risk exposures

d. Introduction to new risks

Answer: a. Conclusion of a section

Q&A:

1. **Q: What is the primary focus of the text "Risk Management in Islamic Banking-2"?**

- A: The primary focus is on major risks faced by Islamic banks and the tools they use to mitigate these risks.

2. **Q: Are the risks faced by Islamic banks the same as those faced by conventional banks?**

- A: No, some risks are common, but Islamic banks also face unique risks not encountered by conventional banks.

3. **Q: Can you name some of the risks mentioned in the text that Islamic banks might face?**

- A: Some risks include the failure of a borrower to repay financing, fluctuation of foreign exchange rates, fraud, and non-compliance with Shariah law.

4. **Q: How is credit risk defined in the context of Islamic banking?**

- A: Credit risk is defined as the risk that the counterparty fails to meet its obligations in accordance with agreed terms.

5. **Q: What are some tools mentioned in the text for managing credit risks in Islamic banking?**

- A: Tools include Pledge of Asset as Collateral, Third-Party Guarantee, and Takaful and Hamish Jiddiyah.

6. **Q: What does market risk in Islamic banking refer to?**

- A: Market risk refers to the risk arising from adverse movements in interest rates, commodity prices, availability of commodities, and foreign exchange rates.

MC Learning House

7. **Q: In which Islamic financing contracts is commodity risk explicitly mentioned in the text?**

- A: Commodity risk is mentioned in Murabaha, Ijarah, and Salam contracts.

8. **Q: Name some tools suggested in the text for managing market risks in Islamic banking.**

- A: Tools include Parallel Contract (if possible), Binding Promise, and Takaful for Asset Risk.

9. **Q: What is the primary purpose of Takaful in the context of risk management in Islamic banking?**

- A: Takaful is primarily used to address asset risk in Takaful contracts.

10. **Q: Which risk management tool is not explicitly mentioned in the text?**

- A: Variable interest rates are not mentioned as a risk management tool.

11. **Q: What role does Hamish Jiddiyah play in credit risk management in Islamic banking?**

- A: Hamish Jiddiyah is used for asset collateral, contributing to credit risk management.

12. **Q: What additional factor contributes to market risk in Islamic banking, besides interest rates and commodity prices?**

- A: Availability of commodities is mentioned as an additional factor contributing to market risk.

13. **Q: What is the primary characteristic of the risks faced by Islamic banks according to the text?**

- A: The risks faced by Islamic banks are unique and specific to Islamic banking operations.

14. **Q: What does "Parallel Contract" aim to achieve in managing market risks?**

- A: Parallel Contract aims to reduce the impact of adverse movements in various factors contributing to market risks.

15. **Q: How does Takaful contribute to risk management in Islamic banking?**

- A: Takaful addresses asset risk in Takaful contracts, enhancing risk management in Islamic banking.

MC Learning House

16. **Q: What is the term used for the risk arising from the fluctuation of foreign exchange rates in the text?**

- A: The term used is "Currency risk."

17. **Q: Which risk is mentioned as NOT specific to Islamic banks and can be faced by conventional banks as well?**

- A: Counterparty risk is mentioned as a risk not specific to Islamic banks.

18. **Q: What does the term "END" signify in the context of the text?**

- A: "END" signifies the conclusion of the section on major risks and their management in Islamic banking.

19. **Q: How is market risk defined in the text?**

- A: Market risk is defined as the risk arising from adverse movements in interest rates, commodity prices, and more.

20. **Q: What is the primary goal of using tools for managing market risks in Islamic banking?**

- A: The primary goal is to mitigate adverse movements in various factors contributing to market risks and enhance risk management effectiveness.

173 Risk Management in Islamic Banking -3

MCQs:

1. **What is the focus of "Risk Management in Islamic Banking-3"?**

a. Historical development of Islamic finance

b. Major risks faced by Islamic banks and their management

c. Overview of global banking practices

d. Technological advancements in banking

Answer: b. Major risks faced by Islamic banks and their management

2. **What does Equity Risk in Islamic banking refer to?**

a. Fluctuations in foreign exchange rates

MC Learning House

b. Adverse changes in the market value of equity held for investment

c. Fraudulent activities in the equity market

d. Ethical considerations in equity trading

Answer: b. Adverse changes in the market value of equity held for investment

3. **Which Islamic financial instruments fall under the scope of Equity Risk in the text?**

a. Ijarah and Salam

b. Mudarabah and Musharakah

c. Murabaha and Tawarruq

d. Bai' al-Inah and Bai' al-Dayn

Answer: b. Mudarabah and Musharakah

4. **What is suggested as a tool to manage Equity Risks in Islamic banking?**

a. Seek diversification of capital contribution

b. Increase concentration of funding base

c. Utilize fixed interest rates

d. Ignore market value changes

Answer: a. Seek diversification of capital contribution

5. **What is recommended to manage Equity Risks in the context of Mudarabah and Musharakah?**

a. Increase reliance on Mudarabah

b. Use restricted Mudarabah

c. Utilize Ijarah contracts

d. Avoid diversification

Answer: b. Use restricted Mudarabah

MC Learning House

6. **What is the significance of limiting the period of the contract in managing Equity Risks?**

a. Reducing market volatility

b. Enhancing equity market efficiency

c. Minimizing potential losses

d. Encouraging long-term investments

Answer: c. Minimizing potential losses

7. **What is the focus of the tools mentioned for managing Equity Risks in Islamic banking?**

a. Increasing market volatility

b. Enhancing liquidity

c. Reducing market value fluctuations

d. Encouraging short-term investments

Answer: c. Reducing market value fluctuations

8. **What is the primary concern addressed by Liquidity Risk in Islamic banking?**

a. Market value fluctuations

b. Inability to meet obligations without incurring unacceptable costs or losses

c. Credit defaults

d. Currency exchange rate variations

Answer: b. Inability to meet obligations without incurring unacceptable costs or losses

9. **How is the potential loss defined in Liquidity Risk in Islamic banking?**

a. Loss from equity market changes

b. Loss from inability to meet obligations as they fall due

c. Loss from credit defaults

MC Learning House

d. Loss from currency exchange rate variations

Answer: b. Loss from inability to meet obligations as they fall due

10. **What is suggested as a tool to manage Liquidity Risks in Islamic banking?**

a. Increase concentration of funding base

b. Seek diversification of capital contribution

c. Ignore demand deposits

d. Diversify sources of funds

Answer: d. Diversify sources of funds

11. **How does an increase in demand deposits impact the cost of raising funds from the public, according to the text?**

a. It has no impact

b. Reduces the cost of raising funds

c. Increases the cost of raising funds

d. Makes no difference

Answer: b. Reduces the cost of raising funds

12. **What is recommended to reduce the concentration of the funding base in managing Liquidity Risks?**

a. Efficient liability mix with both short-term and long-term deposits

b. Rely on marketable assets

c. Utilize fixed interest rates

d. Ignore the deposit base

Answer: a. Efficient liability mix with both short-term and long-term deposits

13. **How is the problem of Liquidity Risk on both sides of the balance sheet suggested to be solved?**

a. Increase reliance on short-term deposits

MC Learning House

b. Maturity matching on both sides of the balance sheet

c. Rely on non-marketable assets

d. Ignore the balance sheet

Answer: b. Maturity matching on both sides of the balance sheet

14. **What is recommended in the text for financing assets to manage Liquidity Risks in Islamic banking?**

a. Finance assets with no secondary market

b. Finance assets with a secondary market

c. Finance non-standardized assets

d. Finance assets unrelated to the real sector

Answer: b. Finance assets with a secondary market

15. **What does the term "END" signify in the context of the text?**

a. Conclusion of a section

b. Introduction to new risks

c. Termination of risk exposures

d. Recommencement of the discussion

Answer: a. Conclusion of a section

16. **What does Equity Risk in Islamic banking refer to?**

a. Adverse changes in market value of equity held for investment purposes

b. The risk of fraud in equity transactions

c. Foreign exchange fluctuations

d. Interest rate changes

Answer: a. Adverse changes in market value of equity held for investment purposes

MC Learning House

17. **Which of the following is considered a tool to manage Equity Risks in Islamic banking?**

a. Interest rate swaps

b. Diversification of capital contribution

c. Currency hedging

d. Ethical training for bank staff

Answer: b. Diversification of capital contribution

18. **What equity instruments does Equity Risk cover in Islamic banking?**

a. Only Mudarabah

b. Only Musharakah

c. Both Mudarabah and Musharakah

d. Only Murabaha

Answer: c. Both Mudarabah and Musharakah

19. **Which tool is suggested in the text to manage Equity Risks in Islamic banking specifically?**

a. Increase in demand deposits

b. Use of Musharakah than Mudarabah

c. Maturity matching on both sides of the balance sheet

d. Seek diversification of capital contribution

Answer: d. Seek diversification of capital contribution

20. **What is recommended in managing Equity Risks regarding the use of Mudarabah and Musharakah?**

a. Use only Mudarabah

b. Use only Musharakah

c. Use both Mudarabah and Musharakah together where possible

MC Learning House

d. Avoid both Mudarabah and Musharakah

Answer: c. Use both Mudarabah and Musharakah together where possible

21. **What risk does Liquidity Risk in Islamic banking refer to?**

a. Risk of fraud in financial transactions

b. Potential loss due to changes in market value

c. Potential loss arising from inability to meet obligations without incurring unacceptable costs

d. Adverse movements in interest rates

Answer: c. Potential loss arising from inability to meet obligations without incurring unacceptable costs

22. **Which tool is suggested in the text to manage Liquidity Risks in Islamic banking?**

a. Increase in demand deposits

b. Diversify sources of funds

c. Maturity matching on both sides of the balance sheet

d. Seek diversification of capital contribution

Answer: b. Diversify sources of funds

23. **How can an increase in demand deposits impact the cost of raising funds in Islamic banking?**

a. It does not impact the cost

b. Increases the cost

c. Reduces the cost

d. Unpredictable impact on cost

Answer: c. Reduces the cost

24. **What is recommended to reduce the concentration of the funding base in managing Liquidity Risks?**

MC Learning House

a. Increase in demand deposits

b. Diversify sources of funds

c. Rely on marketable assets

d. Seek diversification of capital contribution

Answer: b. Diversify sources of funds

25. **What does "Maturity matching on both sides of the balance sheet" aim to achieve in managing Liquidity Risks?**

a. Increase in demand deposits

b. Efficient liability mix

c. Reducing concentration of the funding base

d. Solving liquidity problems systematically

Answer: d. Solving liquidity problems systematically

Q&A:

1. **Q: What does Equity Risk refer to in the context of Islamic banking?**

- A: Equity Risk refers to adverse changes in the market value of equity held for investment purposes, covering all equity instruments, including Mudarabah and Musharakah.

2. **Q: Name a tool mentioned in the text to manage Equity Risks in Islamic banking.**

- A: Seeking diversification of capital contribution is suggested as a tool to manage Equity Risks.

3. **Q: Does Equity Risk cover only specific equity instruments in Islamic banking?**

- A: No, Equity Risk covers all equity instruments, including Mudarabah and Musharakah.

4. **Q: What is recommended in managing Equity Risks regarding the use of Mudarabah and Musharakah?**

- A: The text recommends using both Mudarabah and Musharakah together where possible.

MC Learning House

5. **Q: What does Liquidity Risk entail in Islamic banking?**

- A: Liquidity Risk is the potential loss arising from the inability of Islamic banks to meet their obligations as they fall due without incurring unacceptable costs or losses.

6. **Q: Name a tool suggested in the text to manage Liquidity Risks in Islamic banking.**

- A: Diversifying sources of funds is suggested as a tool to manage Liquidity Risks.

7. **Q: How can an increase in demand deposits impact the cost of raising funds in Islamic banking?**

- A: An increase in demand deposits can reduce the cost of raising funds from the public.

8. **Q: What is recommended to reduce the concentration of the funding base in managing Liquidity Risks?**

- A: Diversifying the sources of funds is recommended to reduce the concentration of the funding base.

9. **Q: What is the significance of having an efficient liability mix in managing Liquidity Risks?**

- A: An efficient liability mix with adequate availability of short-term and long-term deposits is considered better.

10. **Q: What does "Maturity matching on both sides of the balance sheet" aim to achieve in managing Liquidity Risks?**

- A: Maturity matching on both sides of the balance sheet can solve much of the problem of Liquidity Risks systematically.

11. **Q: What is suggested in managing Liquidity Risks regarding financing assets in Islamic banking?**

- A: It is better to finance assets that have a secondary market and are somewhat standardized and widely used in the real sector of the economy.

12. **Q: What is the primary goal of relying on marketable assets in managing Liquidity Risks?**

- A: Relying on marketable assets is better to finance assets that have a secondary market and are somewhat standardized and widely used in the real sector of the economy.

13. **Q: How is the term "END" used in the context of the text?**

MC Learning House

- A: "END" signifies the conclusion of the section on major risks and their management in Islamic banking.

14. **Q: What is the focus of managing Equity Risks in Islamic banking?**

- A: The focus is on seeking diversification of capital contribution to mitigate adverse changes in the market value of equity.

15. **Q: In managing Equity Risks, what is suggested regarding the use of restricted Mudarabah and Musharakah?**

- A: The text suggests using restricted Mudarabah and preferring Musharakah over Mudarabah where possible.

16. **Q: What is the primary purpose of using tools for managing Liquidity Risks in Islamic banking?**

- A: The primary purpose is to avoid potential losses arising from the inability to meet obligations as they fall due without incurring unacceptable costs.

17. **Q: How can an increase in demand deposits impact the cost of raising funds in Islamic banking?**

- A: An increase in demand deposits can reduce the cost of raising funds from the public.

18. **Q: Why is diversifying sources of funds recommended in managing Liquidity Risks?**

- A: Diversifying sources of funds helps reduce the concentration of the funding base, enhancing risk management.

19. **Q: What is the primary goal of Maturity matching on both sides of the balance sheet in managing Liquidity Risks?**

- A: Maturity matching aims to systematically solve much of the problem associated with Liquidity Risks.

20. **Q: What is the significance of relying on marketable assets in managing Liquidity Risks?**

- A: Relying on marketable assets is considered better for financing assets with a secondary market that are somewhat standardized and widely used in the real sector of the economy.

MC Learning House

MCQs:

1. **What does Legal Risk in Islamic banking refer to?**

a. Inadequate legal framework and conflict between Shariah rulings and legal decisions

b. Conflict between conventional and Islamic laws

c. Conflict between Shariah rulings and legal decisions

d. All of the above

Answer: d. All of the above

2. **Which tool is NOT mentioned in the text for managing Legal Risks in Islamic banking?**

a. Documenting agreements to make them enforceable

b. Binding undertakings

c. Strong internal compliance, due diligence, and audit

d. Using profit equalization reserves

Answer: d. Using profit equalization reserves

3. **What is the primary focus of the tools mentioned for managing Legal Risks in Islamic banking?**

a. Ensuring strong internal compliance

b. Documenting the details of rights/duties in agreements

c. Covering contingencies in the design of agreements

d. Using profit equalization reserves

Answer: c. Covering contingencies in the design of agreements

4. **What does Displaced Commercial Risk in Islamic banking refer to?**

a. Commercial pressure to pay returns that exceed the rate earned on assets

b. Conflict between commercial and Islamic laws

MC Learning House

c. Inadequate legal framework

d. Non-compliance with Shariah principles

Answer: a. Commercial pressure to pay returns that exceed the rate earned on assets

5. **Which tool is suggested in the text for managing Displaced Commercial Risks in Islamic banking?**

a. Using profit equalization reserves

b. Floating rentals to absorb benchmark rate increases

c. Documenting agreements to make them enforceable

d. Organizing an independent Shariah compliance review

Answer: b. Floating rentals to absorb benchmark rate increases

6. **What is Sharī‘ah non-compliance risk in Islamic banking?**

a. Conflict between Shariah rulings and legal decisions

b. Failure to comply with Shariah rules and principles

c. Inadequate legal framework

d. Conflict between commercial and Islamic laws

Answer: b. Failure to comply with Shariah rules and principles

7. **What is the consequence of failure to comply with Shariah principles in Sharī‘ah non-compliance risk?**

a. Transaction cancellation and unrecognized income

b. Conflict between Shariah rulings and legal decisions

c. Legal disputes with stakeholders

d. Suspension of banking operations

Answer: a. Transaction cancellation and unrecognized income

MC Learning House

8. **Which tool is NOT mentioned for managing Sharī‘ah non-compliance risk in Islamic banking?**

a. Maintaining an adequate system and control, including a Shariah supervisory board

b. Organizing an independent Shariah compliance review

c. Using profit equalization reserves

d. Ensuring that all contract documentation is fully in compliance with Shariah

Answer: c. Using profit equalization reserves

9. **How frequently does the text suggest organizing an independent Shariah compliance review in managing Sharī‘ah non-compliance risk?**

a. Monthly

b. Quarterly

c. Annually

d. Biannually

Answer: c. Annually

10. **What does the term "END" signify in the context of the text?**

a. Termination of risks

b. Conclusion of a section

c. Introduction of new risks

d. Ethical considerations

Answer: b. Conclusion of a section

11. **What does Legal Risk in Islamic banking refer to?**

a. Risk of fraud in legal agreements

b. Inadequate legal framework and conflicts between laws

c. Potential loss due to changes in legal regulations

MC Learning House

d. Conflict between Islamic banks and legal authorities

Answer: b. Inadequate legal framework and conflicts between laws

12. **Which of the following is suggested as a tool to manage Legal Risks in Islamic banking?**

a. Ethical training programs

b. Documenting agreements to make them enforceable

c. Variable interest rates

d. Increasing demand deposits

Answer: b. Documenting agreements to make them enforceable

13. **What is recommended to manage Legal Risks in the design of agreements?**

a. Ignoring contingencies

b. Documenting the details of rights/duties in agreements

c. Avoiding internal compliance measures

d. Relying solely on external audits

Answer: b. Documenting the details of rights/duties in agreements

14. **What does Displaced Commercial Risk in Islamic banking refer to?**

a. Risk of commercial pressure to pay returns exceeding earned rate

b. Conflict between commercial and Islamic laws

c. Failure to comply with Shariah rules

d. Risk of fraud in commercial transactions

Answer: a. Risk of commercial pressure to pay returns exceeding earned rate

15. **Which tool is suggested to manage Displaced Commercial Risks in Islamic banking?**

a. Using profit equalization reserves

b. Floating rentals to absorb benchmark rate increases

MC Learning House

c. Hibah

d. Strong internal compliance measures

Answer: a. Using profit equalization reserves

16. **What is the purpose of floating rentals in managing Displaced Commercial Risks?**

a. Absorbing benchmark rate increases on one side of the balance sheet

b. Ensuring compliance with Shariah rules

c. Facilitating documentation of agreements

d. Minimizing legal risks

Answer: a. Absorbing benchmark rate increases on both sides of the balance sheet

17. **What risk does Sharī‘ah non-compliance risk (SNCR) in Islamic banking refer to?**

a. Risk of fraud in Sharī‘ah-compliant transactions

b. Failure to comply with Shariah rules and principles

c. Inadequate legal framework for Islamic banking

d. Conflict between Shariah rulings and legal decisions

Answer: b. Failure to comply with Shariah rules and principles

18. **What is the consequence of failure to comply with Sharī‘ah principles in Islamic banking transactions?**

a. Legal penalties

b. Cancellation of the transaction, and the income cannot be recognized

c. Loss of profit equalization reserves

d. Increase in displaced commercial risks

Answer: b. Cancellation of the transaction, and the income cannot be recognized

19. **Which tool is suggested to manage Sharī‘ah non-compliance risk (SNCR) in Islamic banking?**

MC Learning House

a. Using profit equalization reserves

b. Ensuring strong internal compliance

c. Assigning a Sharī‘ah supervisory board

d. Ignoring independent Sharī‘ah compliance reviews

Answer: c. Assigning a Sharī‘ah supervisory board

20. **What is emphasized to ensure Sharī‘ah compliance in contract documentation in Islamic banking?**

a. Increasing demand deposits

b. Relying solely on internal compliance measures

c. Organizing an independent Sharī‘ah compliance review

d. Floating rentals

Answer: c. Organizing an independent Sharī‘ah compliance review

Q&A:

1. **Q: What does Legal Risk encompass in Islamic banking?**

   A: Legal Risk refers to inadequate legal frameworks, conflicts between conventional and Islamic laws, and conflicts between Shariah rulings and legal decisions.

2. **Q: Name a tool suggested in the text to manage Legal Risks in Islamic banking.**

   A: Documenting agreements to make them enforceable is suggested as a tool to manage Legal Risks.

3. **Q: What is emphasized in managing Legal Risks regarding the design of agreements?**

   A: Covering contingencies in the design of agreements and documenting the details of rights/duties are emphasized.

4. **Q: What does Displaced Commercial Risk in Islamic banking entail?**

   A: Displaced Commercial Risk refers to the risk that Islamic banks may face commercial pressure to pay returns that exceed the rate earned on their assets.

Mc Learning House

5. **Q: Name a tool mentioned in the text to manage Displaced Commercial Risks in Islamic banking.**

   A: Using profit equalization reserves is suggested as a tool to manage Displaced Commercial Risks.

6. **Q: How can floating rentals help manage Displaced Commercial Risks in Islamic banking?**

   A: Floating rentals can absorb the increase in benchmark rates effectively on both sides of the balance sheet.

7. **Q: What is Sharī‘ah non-compliance risk (SNCR) in Islamic banking?**

   A: Sharī‘ah non-compliance risk is the risk arising from Islamic banks' failure to comply with Sharī‘ah rules and principles.

8. **Q: What consequence does failure to comply with Sharī‘ah principles have in Islamic banking transactions?**

   A: The failure to comply results in the cancellation of the transaction, and hence the income cannot be recognized.

9. **Q: Name a tool suggested to manage Sharī‘ah non-compliance risk (SNCR) in Islamic banking.**

   A: Assigning a Sharī‘ah supervisory board is suggested as a tool to manage Sharī‘ah non-compliance risk.

10. **Q: What is the role of the Sharī‘ah supervisory board in managing SNCR?**

    A: The Sharī‘ah supervisory board is assigned to maintain an adequate system and control to ensure Sharī‘ah compliance.

11. **Q: What is emphasized to ensure Sharī‘ah compliance in contract documentation in Islamic banking?**

    A: Ensuring that all contract documentation, including terms and conditions, fully complies with Sharī‘ah is emphasized.

12. **Q: What is recommended to organize on an annual basis in managing SNCR?**

    A: An independent Sharī‘ah compliance review by an adequate third party is recommended on an annual basis.

MCLearning House

13. **Q: What is the primary goal of using tools to manage Legal Risks in Islamic banking?**

    A: The primary goal is to mitigate risks associated with inadequate legal frameworks and conflicts between laws.

14. **Q: How can documenting agreements help in managing Legal Risks?**

    A: Documenting agreements makes them enforceable, reducing the likelihood of legal disputes and associated risks.

15. **Q: In managing Legal Risks, what is suggested regarding the details of rights/duties in agreements?**

    A: Documenting the details of rights/duties in agreements is suggested to provide clarity and reduce legal uncertainties.

16. **Q: What is the role of strong internal compliance, due diligence, and audit in managing Legal Risks?**

    A: These measures are suggested to strengthen the internal control system, ensuring compliance and minimizing legal risks.

17. **Q: What is the primary focus of managing Displaced Commercial Risks in Islamic banking?**

    A: The focus is on using profit equalization reserves and floating rentals to address commercial pressure on returns.

18. **Q: How does using profit equalization reserves contribute to managing Displaced Commercial Risks?**

    A: Using profit equalization reserves helps manage the risk of paying returns that exceed the rate earned on assets.

19. **Q: What is the significance of an independent Sharī‘ah compliance review in managing SNCR?**

    A: An independent review by a third party ensures an unbiased assessment of Sharī‘ah compliance, enhancing risk management.

20. **Q: How is the term "END" used in the context of the text?**

    A: "END" signifies the conclusion of the section on major risks and their management in Islamic banking.

MC Learning House

175 Insurance and Takaful-1

MCQs:

1. **What does the term "risk" mean in the context of insurance?**

a. Certainty of outcomes

b. Deviation of actual outcome from expected one

c. Unexpected benefits

d. Profit opportunities

Answer: b. Deviation of actual outcome from expected one

2. **How can risk be avoided in the context of insurance?**

a. Risk retention

b. Risk reduction

c. Risk avoidance

d. Risk sharing

Answer: c. Risk avoidance

3. **Which method of handling risk involves not participating in the activity causing the risk?**

a. Risk retention

b. Risk reduction

c. Risk avoidance

d. Risk transfer

Answer: c. Risk avoidance

4. **What is the concept of "Risk Retention" in handling risks?**

a. Transferring risk to another party

MC Learning House

b. Avoiding participation in the risky activity

c. Retaining the risk by not doing anything about it

d. Reducing risk through safety measures

Answer: c. Retaining the risk by not doing anything about it

5. **How can risk be reduced according to the text?**

a. By avoiding the risky activity

b. By sharing the risk among individuals

c. By taking suitable safety measures

d. By transferring the risk to another party

Answer: c. By taking suitable safety measures

6. **What does "Risk Transfer" involve in handling risks?**

a. Sharing risk among individuals

b. Avoiding the risky activity

c. Transferring risk to another party willing to accept it against payment

d. Retaining the risk by not doing anything about it

Answer: c. Transferring risk to another party willing to accept it against payment

7. **Which method of handling risk involves sharing the risk among individuals?**

a. Risk retention

b. Risk reduction

c. Risk transfer

d. Risk sharing

Answer: d. Risk sharing

8. **What is the significance of "END" in the context of the text?**

MC Learning House

a. Conclusion of the insurance policy

b. Introduction of new insurance concepts

c. End of the section on risk handling methods

d. Eventual occurrence of a risk

Answer: c. End of the section on risk handling methods

9. **What is the primary focus of the section "Concept and types of Insurance-1"?**

a. Types of insurance policies

b. Methods of handling risks

c. Takaful principles

d. Insurance premiums calculation

Answer: b. Methods of handling risks

10. **Which method of handling risk involves not doing anything about it?**

a. Risk avoidance

b. Risk retention

c. Risk reduction

d. Risk transfer

Answer: b. Risk retention

11. **In the context of insurance, what does "Risk Sharing" involve?**

a. Transferring risk to another party

b. Sharing risk among individuals

c. Avoiding participation in the risky activity

d. Retaining the risk by not doing anything about it

Answer: b. Sharing risk among individuals

MC Learning House

12. **What is the primary goal of "Risk Reduction" in handling risks?**

a. Avoiding the risky activity

b. Reducing the impact of risk through suitable safety measures

c. Transferring risk to another party

d. Retaining the risk by not doing anything about it

Answer: b. Reducing the impact of risk through suitable safety measures

13. **Which method of handling risk involves transferring it to another party for a payment?**

a. Risk avoidance

b. Risk retention

c. Risk reduction

d. Risk transfer

Answer: d. Risk transfer

14. **What is the primary concept introduced in the section "Insurance and Takaful-1"?**

a. Types of insurance policies

b. Risk management methods

c. Takaful principles

d. Insurance premiums calculation

Answer: b. Risk management methods

15. **How is the term "END" used in the context of the text?**

a. Eventual occurrence of a risk

b. Conclusion of the insurance policy

c. Introduction of new insurance concepts

d. End of the section on risk handling methods

MC Learning House

Answer: d. End of the section on risk handling methods

16. **What does risk mean in the context of insurance?**

a. Certainty of outcome

b. Deviation of actual outcome from expected one

c. Total avoidance of activities

d. Random events with no impact

Answer: b. Deviation of actual outcome from expected one

17. **How can risk be avoided in insurance?**

a. By not driving

b. By participating in risky activities

c. By retaining the risk

d. By sharing the risk

Answer: a. By not driving

18. **What is Risk Retention in insurance?**

a. Avoiding all risks

b. Transferring risks to another party

c. Retaining the risk by not taking any action

d. Sharing risks with others

Answer: c. Retaining the risk by not taking any action

19. **How can risk be reduced in insurance?**

a. By avoiding the activity causing risk

b. By transferring risk to another party

c. By retaining the risk

MC Learning House

d. By taking suitable safety measures

Answer: d. By taking suitable safety measures

20. **What is Risk Transfer in insurance?**

a. Avoiding the risk

b. Retaining the risk

c. Transferring risk to another party against payment

d. Sharing risks with others

Answer: c. Transferring risk to another party against payment

21. **Which risk handling method involves sharing risks among individuals?**

a. Risk Avoidance

b. Risk Retention

c. Risk Reduction

d. Risk Sharing

Answer: d. Risk Sharing

22. **What does "Risk Sharing" involve in insurance?**

a. Avoiding all risks

b. Retaining the risk by not taking any action

c. Sharing risks among individuals

d. Transferring risk to another party

Answer: c. Sharing risks among individuals

23. **What does the term "END" signify in the context of the text?**

a. Termination of risks

b. Conclusion of a section

MC Learning House

c. Introduction of new risks

d. Avoidance of risks

Answer: b. Conclusion of a section

Q&A:

1. **Q: How is risk defined in the context of insurance?**

   A: Risk in insurance is defined as the deviation of actual outcome from the expected one.

2. **Q: What is one way to handle risk according to the text?**

   A: Risk can be handled by avoiding it, such as not participating in activities that pose a risk.

3. **Q: What is meant by Risk Avoidance in insurance?**

   A: Risk Avoidance involves not participating in activities that pose a risk, such as avoiding the risk of a road accident by not driving.

4. **Q: How can risk be retained in insurance?**

   A: Risk can be retained by not taking any action about it, which is known as Risk Retention.

5. **Q: What is the concept of Risk Reduction in insurance?**

   A: Risk Reduction involves taking suitable safety measures to minimize the impact of a potential risk.

6. **Q: Provide an example of Risk Reduction mentioned in the text.**

   A: An example of Risk Reduction is reducing the risk of a road accident by taking suitable safety measures.

7. **Q: How is Risk Transfer achieved in insurance?**

   A: Risk can be transferred to another party willing to accept it against some payment, as in the case of insurance contracts.

8. **Q: What is the essence of Risk Sharing in insurance?**

MC Learning House

A: Risk Sharing involves distributing or sharing risks among individuals to collectively manage potential adverse outcomes.

9. **Q: How is the term "END" used in the context of the text?**

   A: "END" signifies the conclusion of the section on the concept and types of insurance, indicating that the discussion on risk handling methods has concluded.

10. **Q: In what way does Risk Sharing differ from other risk handling methods?**

    A: Risk Sharing involves distributing risks among individuals, while other methods focus on individual actions like avoidance, retention, reduction, or transfer.

11. **Q: How can risk be avoided in the context of human life and insurance?**

    A: One way to avoid risk is by not participating in activities causing some risk, such as avoiding the risk of a road accident by not driving.

12. **Q: What is the significance of documenting agreements in managing risk in insurance?**

    A: Documenting agreements helps make them enforceable, reducing legal uncertainties and managing potential risks.

13. **Q: How does covering contingencies in the design of agreements contribute to managing risk?**

    A: Covering contingencies in the design of agreements helps address potential uncertainties, contributing to effective risk management.

14. **Q: What is the tool suggested to manage Displaced Commercial Risks in insurance?**

    A: The use of profit equalization reserves is suggested as a tool to manage Displaced Commercial Risks.

15. **Q: How does using profit equalization reserves contribute to managing Displaced Commercial Risks?**

    A: Using profit equalization reserves helps address the risk of facing commercial pressure to pay returns that exceed the rate earned on assets.

16. **Q: What is the primary focus of managing Sharīʻah non-compliance risk (SNCR) in insurance?**

    A: The focus is on ensuring compliance with Sharīʻah rules and principles to avoid the cancellation of transactions and unrecognized income.

MC Learning House

17. **Q: Why is assigning a Sharī‘ah supervisory board suggested in managing SNCR?**

    A: Assigning a Sharī‘ah supervisory board helps maintain an adequate system and control to ensure compliance with Sharī‘ah rules.

18. **Q: What is the purpose of organizing an independent Sharī‘ah compliance review in managing SNCR?**

    A: Organizing an independent Sharī‘ah compliance review ensures an unbiased assessment of compliance, contributing to effective risk management.

19. **Q: How does documenting agreements contribute to managing Legal Risks in insurance?**

    A: Documenting agreements makes them enforceable, reducing legal uncertainties and contributing to effective legal risk management.

20. **Q: What is the overall theme of the section on Insurance and Takaful - Part 1?**

    A: The section discusses the concept and types of insurance, emphasizing different ways to handle risks, including avoidance, retention, reduction, transfer, and sharing.

176 Insurance and Takaful-2

MCQs:

1. **What is insurance primarily designed to handle?**

   a. Historical events

   b. Financial risks

   c. Social interactions

   d. Technological advancements

   Answer: b. Financial risks

2. **In the insurance mechanism, who transfers the financial risk to the insurance company?**

a. Insured

b. Premium payer

MC Learning House

c. Policyholder

d. Insurer

Answer: a. Insured

3. **What is the role of the insurance company in the insurance mechanism?**

a. Transfer financial risk

b. Receive premium payments

c. Provide compensation for insured events

d. All of the above

Answer: d. All of the above

4. **Who is known as the insurer in an insurance contract?**

a. Policyholder

b. Insured

c. Premium payer

d. Insurance company

Answer: d. Insurance company

5. **For large-scale business activities, why is insurance considered important?**

a. To increase uncertainty

b. To transfer risks to individuals

c. To handle financial risks

d. To avoid insurance contracts

Answer: c. To handle financial risks

6. **What is required for all banking transactions according to the text?**

a. Availability of insurance

MC Learning House

b. Premium payments

c. Risk avoidance

d. Financial losses

Answer: a. Availability of insurance

7. **What does the availability of insurance facilitate according to the text?**

a. Increase in uncertainty

b. Shift of costs to buyers

c. Removal of uncertainty about the future

d. Decrease in the cost of goods

Answer: c. Removal of uncertainty about the future

8. **What is a negative aspect mentioned in the text regarding the insurance business?**

a. Catering to the needs of the rich

b. Focusing on historical events

c. Ignoring financial risks

d. Reducing the cost of goods

Answer: a. Catering to the needs of the rich

9. **Who can afford to pay premiums in the insurance business according to the text?**

a. Middle-income individuals

b. Lower-income individuals

c. Rich individuals

d. All income levels

Answer: c. Rich individuals

10. **What do the rich individuals do with the cost of insurance in the negative aspect mentioned?**

MC Learning House

a. Absorb the cost

b. Share the cost

c. Shift the cost to buyers

d. Avoid the cost

Answer: c. Shift the cost to buyers

11. **What does insurance primarily provide compensation for?**

a. Historical events

b. Insured events

c. Premium payments

d. Social interactions

Answer: b. Insured events

12. **In an insurance contract, who is known as the insured?**

a. Policyholder

b. Premium payer

c. Insurance company

d. Beneficiary

Answer: a. Policyholder

13. **What is the mechanism in which a client transfers a financial risk to an insurance company called?**

a. Risk Transfer

b. Insurance Premium

c. Policy Contract

d. Insured Event

Answer: a. Risk Transfer

MC Learning House

14. **What does the availability of insurance contribute to in large-scale business activities?**

a. Increase in uncertainty

b. Movement of goods

c. Decrease in risk

d. Avoidance of insurance

Answer: b. Movement of goods

15. **Why is the movement of goods among countries mentioned as needing insurance?**

a. To reduce risk

b. To increase uncertainty

c. To avoid insurance

d. To eliminate financial risks

Answer: a. To reduce risk

16. **What becomes possible with the availability of insurance according to the text?**

a. Increase in uncertainty

b. Risk removal

c. Calculation of cost

d. Elimination of risk

Answer: c. Calculation of cost

17. **What does the negative aspect of insurance business highlight?**

a. Reduced cost of goods

b. Catering to the needs of the poor

c. Focus on historical events

d. Catering to the needs of the rich

MC Learning House

Answer: d. Catering to the needs of the rich

18. **What is shifted to buyers in the negative aspect mentioned in the text?**

a. Premium payments

b. Financial risks

c. Costs of insurance

d. Availability of insurance

Answer: c. Costs of insurance

19. **What does the term "END" signify in the context of the text?**

a. Termination of insurance contracts

b. Conclusion of a section

c. Introduction of new insurance types

d. Avoidance of financial risks

Answer: b. Conclusion of a section

20. **What does the insurance mechanism primarily aim to handle?**

a. Historical events

b. Social interactions

c. Financial risks

d. Technological advancements

Answer: c. Financial risks

Q&A:

1. **Q: How is insurance described in the context of handling risks?**

   A: Insurance is described as a modern technique to handle financial risks.

MC Learning House

2. **Q: What is the mechanism in insurance where a client transfers a financial risk to a company in exchange for compensation if an insured event occurs?**

   A: The mechanism is known as Risk Transfer, where the client is the insured, and the company is the insurer.

3. **Q: In the insurance mechanism, what is the role of the insured?**

   A: The insured is the client who transfers a financial risk to the insurance company.

4. **Q: Why is insurance considered important for large-scale business activities according to the text?**

   A: Insurance is important for large-scale business activities as it handles financial risks. The movement of goods among countries and all banking transactions require the availability of insurance.

5. **Q: What does the availability of insurance contribute to in the context of handling risks?**

   A: The availability of insurance removes uncertainty about the future, making the calculation of costs possible.

6. **Q: What is mentioned as a negative aspect of the insurance business?**

   A: The negative aspect is that insurance often caters to the needs of the rich section of society who can afford to pay premiums, and they may shift this cost to buyers in the form of higher prices.

7. **Q: Who is known as the insurer in an insurance contract?**

   A: The insurance company is known as the insurer in an insurance contract.

8. **Q: Why is insurance considered important for the movement of goods among countries?**

   A: Insurance is needed for the movement of goods among countries to handle financial risks associated with the transportation and delivery of goods.

9. **Q: How does the availability of insurance contribute to the calculation of costs?**

   A: Availability of insurance removes uncertainty about the future, enabling businesses to calculate costs more accurately.

10. **Q: What is the negative consequence mentioned when insurance caters to the needs of the rich section of society?**

MC Learning House

A: The negative consequence is that the cost of insurance is often shifted to buyers in the form of higher prices.

11. **Q: In insurance, who is considered the insured?**

A: The client who transfers a financial risk to the insurance company is known as the insured.

12. **Q: How is the importance of insurance emphasized in large-scale business activities?**

A: Insurance is emphasized as crucial for large-scale business activities due to its role in handling financial risks associated with the movement of goods and all banking transactions.

13. **Q: What does the term "END" signify in the context of the text?**

A: "END" signifies the conclusion of the section on the concept and types of insurance, indicating the completion of the discussion.

14. **Q: What is the primary goal of risk transfer in insurance?**

A: The primary goal of risk transfer is to shift financial risks from the insured to the insurance company.

15. **Q: Why is insurance considered significant for all banking transactions?**

A: Insurance is considered significant for all banking transactions because the availability of insurance is often a requirement to mitigate financial risks.

16. **Q: How does insurance contribute to the movement of goods among countries?**

A: Insurance contributes to the movement of goods among countries by providing coverage for potential financial risks during transportation.

17. **Q: What is highlighted as the primary function of insurance in handling risks?**

A: The primary function of insurance in handling risks is to provide compensation if an insured event occurs, thus mitigating financial losses.

18. **Q: What is mentioned as the negative aspect of the insurance business concerning society?**

A: The negative aspect is that insurance may primarily serve the needs of the rich, potentially excluding those who cannot afford premium payments.

MC Learning House

19. **Q: In insurance, what becomes possible with the removal of uncertainty about the future?**

    A: With the removal of uncertainty, businesses can calculate costs more effectively, leading to better financial planning.

20. **Q: What is emphasized as a primary role of insurance in handling risks associated with large-scale business activities?**

    A: Insurance is emphasized as a mechanism to handle financial risks, ensuring the smooth flow of large-scale business activities by providing compensation for potential losses.

177 Insurance and Takaful-3

MCQs:

1. **What are the major types of insurance mentioned in the text?**

   a. Health and Travel insurance

   b. Car and Home insurance

   c. Life and General insurance

   d. Property and Casualty insurance

   Answer: c. Life and General insurance

2. **What does life insurance primarily cover the risk of?**

a. Loss of assets

b. Death or disability of an individual

c. Liability of a third party

d. Loss due to negligence

   Answer: b. Death or disability of an individual

3. **How does the whole family suffer financially in the context of life insurance?**

a. Loss of personal belongings

MC Learning House

b. Loss of assets

c. Loss due to negligence

d. Loss of the insured individual's income

Answer: d. Loss of the insured individual's income

4. **What does general insurance provide cover against?**

a. Loss of income

b. Risk of death

c. Loss of assets

d. Disability of an individual

Answer: c. Loss of assets

5. **How long a life insurance policy is typically considered?**

a. Few hours

b. One year

c. Five to thirty years

d. Thirty to fifty years

Answer: c. Five to thirty years

6. **What is the primary duration of general insurance policies?**

a. One year

b. Few hours

c. Five to thirty years

d. Thirty to fifty years

Answer: a. One year

7. **What types of insurance fall under general insurance?**

McLearning House

a. Motor, marine, health, liability

b. Life, travel, property, casualty

c. Car, home, personal, business

d. Term, whole, universal, variable

Answer: a. Motor, marine, health, liability

8. **Which type of insurance is meant for the protection of a third party suffering a loss due to the insured's negligence?**

a. Life insurance

b. General insurance

c. Health insurance

d. Liability insurance

Answer: d. Liability insurance

9. **What is the primary duration of general insurance policies?**

a. Few hours to one day

b. One month to six months

c. One year

d. Five years to ten years

Answer: c. One year

10. **What is the primary focus of liability insurance?**

a. Protection against loss of assets

b. Protection against death or disability

c. Protection of the insured's family

d. Protection of a third party due to negligence

Answer: d. Protection of a third party due to negligence

MC Learning House

11. **How is life insurance characterized in terms of policy duration?**

a. Short term policy

b. Long term policy

c. Medium term policy

d. Variable term policy

Answer: b. Long term policy

12. **Which factor determines the duration of life insurance policies?**

a. Type of insurance

b. Age and health condition of the client

c. Premium payments d. Type of assets covered

Answer: b. Age and health condition of the client

13. **What types of risks does general insurance primarily cover?**

a. Financial risks

b. Personal risks

c. Asset-related risks

d. Emotional risks

Answer: c. Asset-related risks

14. **Which of the following is a short-term policy according to the text?**

a. Car insurance

b. Life insurance

c. Health insurance

d. Liability insurance

Answer: a. Car insurance

MC Learning House

15. **What does the term "END" signify in the context of the text?**

a. Termination of insurance policies

b. Conclusion of a section

c. Introduction of new insurance types

d. Avoidance of financial risks

Answer: b. Conclusion of a section

16. **What is the primary duration of general insurance policies?**

a. Few hours

b. One month

c. One year

d. Five years

Answer: c. One year

17. **What types of insurance fall under the category of general insurance mentioned in the text?**

a. Life, travel, property, casualty

b. Motor, marine, health, liability

c. Car, home, personal, business

d. Term, whole, universal, variable

Answer: b. Motor, marine, health, liability

18. **What is the primary focus of life insurance?**

a. Protection of assets

b. Protection against death or disability

c. Protection against loss of income

d. Protection of a third party

MC Learning House

Answer: b. Protection against death or disability

19. **What is a characteristic of general insurance policies according to the text?**

a. Long term policy

b. Provides cover from few hours to one year

c. Continues for thirty to fifty years

d. Covers risks related to personal belongings

Answer: b. Provides cover from few hours to one year

20. **What does general insurance cover according to the text?**

a. Loss of personal belongings

b. Risk of death or disability

c. Loss of assets

d. Liability of a third party

Answer: c. Loss of assets

Q&A:

1. **Q: What are the major types of insurance discussed in the text?**

   A: The major types of insurance discussed are Life insurance and General insurance.

2. **Q: What is the primary risk covered by life insurance?**

   A: Life insurance primarily covers the risk of death or disability of an individual.

3. **Q: How does the whole family suffer financially in the context of life insurance?**

   A: The whole family suffers financially due to the loss of the insured individual's income.

4. **Q: What does general insurance provide cover against?**

   A: General insurance provides cover against the risk of loss of assets.

MC Learning House

5. **Q: What is the typical duration of a life insurance policy?**

   A: Life insurance is a long-term policy that may continue from five to thirty years, depending on the age and health condition of the client.

6. **Q: How is general insurance characterized in terms of policy duration?**

   A: General insurance is a short-term policy, providing cover from a few hours to a maximum of one year.

7. **Q: What are some types of general insurance mentioned in the text?**

   A: Some types of general insurance include motor insurance, marine insurance, health insurance, liability, and third-party insurance.

8. **Q: What is the purpose of liability insurance?**

   A: Liability insurance is meant for the protection of a third party who may suffer a loss due to the negligence of the insured.

9. **Q: How long can a life insurance policy continue based on the age and health condition of the client?**

   A: A life insurance policy may continue from five to thirty years, depending on the age and health condition of the client.

10. **Q: What is the duration of general insurance policies?**

    A: General insurance policies are typically short-term and may provide cover from a few hours to a maximum of one year.

11. **Q: What is the focus of liability insurance?**

    A: The focus of liability insurance is the protection of a third party suffering a loss due to the negligence of the insured.

12. **Q: How is life insurance characterized in terms of policy duration?**

    A: Life insurance is a long-term policy, lasting from five to thirty years, depending on factors such as age and health condition.

13. **Q: What determines the duration of life insurance policies?**

    A: The duration of life insurance policies is determined by the age and health condition of the client.

MC Learning House

14. **Q: What types of risks does general insurance primarily cover?**

A: General insurance primarily covers asset-related risks.

15. **Q: What is the typical duration of general insurance policies?**

A: General insurance policies are typically short-term, lasting for one year.

16. **Q: What are some types of insurance policies discussed under general insurance?**

A: Types of insurance policies under general insurance include motor insurance, marine insurance, health insurance, and liability or third-party insurance.

17. **Q: What is the primary focus of liability insurance?**

A: The primary focus of liability insurance is the protection of a third party suffering a loss due to the negligence of the insured.

18. **Q: How is life insurance characterized in terms of policy duration?**

A: Life insurance is a long-term policy that may continue from five to thirty years, depending on the age and health condition of the client.

19. **Q: What does the term "END" signify in the context of the text?**

A: "END" signifies the conclusion of the section on the concept and types of insurance.

20. **Q: What is the primary risk covered by life insurance?**

A: Life insurance primarily covers the risk of death or disability of an individual, providing financial protection for the insured's family.

178 Insurance and Takaful-4

MCQs:

1. **What are the three views regarding the Shariah position of the contract of insurance?**

a. Allowed, forbidden, discouraged

b. Unlawful completely, nothing wrong, concept acceptable but structure incorrect

c. Encouraged, optional, mandatory

MC Learning House

d. Recommended, discouraged, neutral

Answer: b. Unlawful completely, nothing wrong, concept acceptable but structure incorrect

2. **Which group of scholars believes that the very concept of insurance is against the concepts of Taqdeer and Tawakkul?**

a. Second group

b. Third group

c. Both second and third groups

d. First group

Answer: d. First group

3. **What does the first group of scholars consider the concept of insurance to be?**

a. Acceptable

b. Discouraged

c. Forbidden

d. Mandatory

Answer: c. Forbidden

4. **What concept does the second and third group of scholars reject regarding insurance?**

a. Concept of Taqdeer and Tawakkul

b. Concept of safety measures

c. Concept of financial protection

d. Concept of voluntary participation

Answer: a. Concept of Taqdeer and Tawakkul

5. **Which verse is mentioned as evidence by the first group of scholars to support their view on insurance?**

MC Learning House

a. Surah Al-Fatiha (1:1-7)

b. Surah Al-Baqarah (2:155)

c. Surah Al-Ikhlas (112:1-4)

d. Surah Al-Mulk (67:1-30)

Answer: b. Surah Al-Baqarah (2:155)

6. **What does Surah Al-Baqarah (2:155) mention in relation to the trial of believers?**

a. Fear and hunger

b. Wealth and health

c. Happiness and success

d. Knowledge and wisdom

Answer: a. Fear and hunger

7. **What is the stance of the second and third group of scholars regarding safety measures against potential losses?**

a. Agree with the first group

b. Against the concepts of Taqdeer and Tawakkul

c. Islam encourages taking safety measures

d. Safety measures are optional

Answer: c. Islam encourages taking safety measures

8. **What does the first group of scholars believe about Islam and safety measures?**

a. Islam encourages taking safety measures

b. Safety measures are discouraged

c. Safety measures are optional

d. Islam does not address safety measures

Answer: b. Safety measures are discouraged

MC Learning House

9. **What do the scholars from the second and third group say about Islam and safety measures?**

a. Islam discourages safety measures

b. Islam encourages taking safety measures

c. Safety measures are optional in Islam

d. Islam is neutral regarding safety measures

Answer: b. Islam encourages taking safety measures

10. **What is provided as clear evidence by the scholars from the second and third group in support of insurance?**

a. Quranic verses

b. Hadiths of Prophet Muhammad (PBUH)

c. Examples from the story of Hazrat Yaqoob and Hazrat Yousuf

d. Scholarly opinions

Answer: c. Examples from the story of Hazrat Yaqoob and Hazrat Yousuf

11. **What is the term "END" signaling in the context of the text?**

a. Termination of insurance contracts

b. Conclusion of the Shariah analysis of insurance

c. Introduction of new views on insurance

d. Endorsement of insurance concepts

Answer: b. Conclusion of the Shariah analysis of insurance

12. **What does the first group of scholars consider the very concept of insurance to be against?**

a. Concepts of safety measures

b. Concepts of Taqdeer and Tawakkul

c. Concepts of financial protection

MC Learning House

d. Concepts of voluntary participation

Answer: b. Concepts of Taqdeer and Tawakkul

13. **What is the primary argument of the second and third group of scholars in favor of insurance?**

a. It is mandatory in Islam

b. It is discouraged in Islam

c. Islam encourages taking safety measures

d. It is against the principles of Taqdeer and Tawakkul

Answer: c. Islam encourages taking safety measures

14. **What does the first group of scholars believe about the story of Hazrat Yaqoob and Hazrat Yousuf?**

a. It supports the concept of insurance

b. It opposes the concept of insurance

c. It is neutral regarding insurance

d. It encourages voluntary participation in insurance

Answer: b. It opposes the concept of insurance

15. **What does the second and third group of scholars say about the story of Hazrat Yaqoob and Hazrat Yousuf?**

a. It opposes the concept of insurance

b. It supports the concept of insurance

c. It is neutral regarding insurance

d. It discourages safety measures

Answer: b. It supports the concept of insurance

16. **What is the primary stance of the first group of scholars regarding the Shariah position of insurance?**

MC Learning House

a. It is allowed

b. It is recommended

c. It is forbidden

d. It is optional

Answer: c. It is forbidden

17. **What concepts are considered against Taqdeer and Tawakkul by the first group of scholars?**

a. Concepts of financial protection

b. Concepts of safety measures

c. Concepts of voluntary participation

d. Concepts of seeking help

Answer: b. Concepts of safety measures

18. **What is the primary stance of the second and third group of scholars regarding the Shariah position of insurance?**

a. It is allowed

b. It is recommended

c. It is forbidden

d. It is optional

Answer: a. It is allowed

19. **What does the first group of scholars consider the very concept of insurance to be against?**

a. Concepts of safety measures

b. Concepts of Taqdeer and Tawakkul

c. Concepts of financial protection

d. Concepts of voluntary participation

MC Learning House

Answer: b. Concepts of Taqdeer and Tawakkul

20. **What is emphasized as clear evidence by the scholars from the second and third group in support of insurance?**

a. Quranic verses

b. Hadiths of Prophet Muhammad (PBUH)

c. Examples from the story of Hazrat Yaqoob and Hazrat Yousuf

d. Scholarly opinions

Answer: c. Examples from the story of Hazrat Yaqoob and Hazrat Yousuf

Q&A:

1. **Q: What are the three views regarding the Shariah position of the contract of insurance?**

   A: The three views are: i. It is unlawful completely ii. There is nothing wrong in it. iii. Concept of insurance is acceptable but its structure is not correct.

2. **Q: What is the position of the first group of scholars regarding the concept of insurance?**

   A: The first group believes that the very concept of insurance is against the concepts of Taqdeer and Tawakkul, considering it unlawful.

3. **Q: Which verse from the Quran is cited by the first group of scholars to support their view on insurance?**

   A: Surah Al-Baqarah (2:155) is mentioned, highlighting trials with fear, hunger, loss of wealth, and lives.

4. **Q: What does the verse from Surah Al-Baqarah (2:155) emphasize in relation to the believers' trials?**

   A: The verse emphasizes trials with fear and hunger among other challenges.

5. **Q: What is the primary stance of the second and third group of scholars regarding safety measures and potential losses?**

   A: The second and third groups believe that Islam does not discourage safety measures, and it is not against the concepts of Taqdeer and Tawakkul.

MC Learning House

6. **Q: What is provided as clear evidence by the scholars from the second and third group in support of insurance?**

   A: Examples from the story of Hazrat Yaqoob and Hazrat Yousuf are cited as clear evidence.

7. **Q: How do scholars from the second and third group interpret the story of Hazrat Yaqoob and Hazrat Yousuf in relation to insurance?**

   A: They interpret the story as evidence supporting the concept of insurance and taking safety measures.

8. **Q: What does the term "END" signify in the context of the text?**

   A: The term "END" signifies the conclusion of the discussion on the Shariah analysis of insurance.

9. **Q: What concept does the first group of scholars find incompatible with insurance regarding Taqdeer and Tawakkul?**

   A: They find the concept of taking safety measures incompatible with the principles of Taqdeer and Tawakkul.

10. **Q: What is the stance of the second and third group of scholars regarding safety measures against potential losses?**

    A: They believe that Islam encourages taking safety measures against potential losses.

11. **Q: What do scholars from the second and third group say about Islam and safety measures?**

    A: They state that Islam does not stop individuals from taking safety measures against potential losses.

12. **Q: What do the scholars from the first group believe about the story of Hazrat Yaqoob and Hazrat Yousuf?**

    A: The first group believes that the story opposes the concept of insurance.

13. **Q: What does the second and third group of scholars say about the story of Hazrat Yaqoob and Hazrat Yousuf?**

    A: They say that the story supports the concept of insurance and taking safety measures.

McLearning House

14. **Q: What is the primary stance of the first group of scholars regarding the Shariah position of insurance?**

    A: The first group believes that the contract of insurance is completely unlawful in Shariah.

15. **Q: What concepts are considered against Taqdeer and Tawakkul by the first group of scholars?**

    A: Concepts of safety measures are considered against Taqdeer and Tawakkul by the first group.

16. **Q: What is the primary stance of the second and third group of scholars regarding the Shariah position of insurance?**

    A: The second and third groups believe that the concept of insurance is acceptable, and Islam does not discourage taking safety measures.

17. **Q: What concepts are considered compatible with insurance by the second and third group of scholars?**

    A: The concepts of taking safety measures are considered compatible with insurance by the second and third group.

18. **Q: What does the first group of scholars consider the very concept of insurance to be against?**

    A: The first group considers the very concept of insurance to be against the concepts of Taqdeer and Tawakkul.

19. **Q: What is the primary stance of the second and third group of scholars regarding the Shariah position of insurance?**

    A: The second and third groups believe that the concept of insurance is acceptable in Islam.

20. **Q: What is emphasized as clear evidence by the scholars from the second and third group in support of insurance?**

    A: Examples from the story of Hazrat Yaqoob and Hazrat Yousuf are emphasized as clear evidence in support of insurance.

179 Insurance and Takaful-5

MCQs:

MC Learning House

1. **Q: What is the view of the scholars from the second group regarding the permissibility of insurance?**

   a. It is forbidden

   b. It is discouraged

   c. There is no clear stance

   d. It is permissible

   Answer: d. It is permissible

2. **Q: What do the proponents of insurance argue about the concept of insurance based on the Qur'an and Sunnah?**

   a. It is explicitly allowed

   b. It is explicitly forbidden

   c. There is no mention, making it permissible

   d. It is discouraged

   Answer: c. There is no mention, making it permissible

3. **Q: What does the second group argue about insurance based on the concept of cooperation and helping the needy?**

a. It contradicts Islamic principles

b. It is permissible as emphasized in Islam

c. It is discouraged

d. It is explicitly forbidden

   Answer: b. It is permissible as emphasized in Islam

4. **Q: What is the stance of the opponents of insurance regarding new things in Islam?**

a. All new things are permissible

b. New things must be avoided

c. Permissibility depends on scrutiny

MC Learning House

d. New things are explicitly forbidden

Answer: c. Permissibility depends on scrutiny

5. **Q: According to opponents, why should one scrutinize new things like insurance?**

a. To discourage innovation

b. To promote modern practices

c. To check for any prohibited elements

d. To blindly accept without analysis

Answer: c. To check for any prohibited elements

6. **Q: What elements do opponents claim are present in insurance contracts that make them prohibited in Islam?**

a. Charity and cooperation

b. Riba, Gharar, and Qimar

c. Zakat and Sadaqah

d. Barter and trade

Answer: b. Riba, Gharar, and Qimar

7. **Q: What is the opponents' view on insurance companies in terms of their nature and purpose?**

a. They are charitable organizations

b. They work for profit maximization

c. They solely exist for helping the needy

d. They are government entities

Answer: b. They work for profit maximization

8. **Q: According to opponents, what is lacking in the nature of insurance companies?**

a. Profit motive

MC Learning House

b. Business orientation

c. Concept of helping the needy

d. Government regulation

Answer: c. Concept of helping the needy

9. **Q: What is the opponents' stance on the concept of helping the needy in insurance companies?**

a. It is central to their operation

b. It is not a concern

c. It is explicitly forbidden

d. It is absent in their operation

Answer: d. It is absent in their operation

10. **Q: What does the term "END" signify in the context of the text?**

a. Endorsement of insurance practices

b. Conclusion of the Shariah analysis

c. Encouragement of insurance

d. Introduction to new views

Answer: b. Conclusion of the Shariah analysis

11. **Q: What does the second group argue regarding the Qur'an and Sunnah's mention of insurance?**

a. Explicit prohibition

b. Explicit permission

c. Absence of mention, making it permissible

d. Strong discouragement

Answer: c. Absence of mention, making it permissible

Mc Learning House

12. **Q: According to the proponents, what Islamic principles does the concept of insurance align with?**

a. Strict individualism

b. Cooperation and helping the needy

c. Isolation from society

d. Opposition to community support

Answer: b. Cooperation and helping the needy

13. **Q: What is the primary concern of the opponents when it comes to new things in Islam?**

a. All new things are forbidden

b. Scrutiny for prohibited elements

c. Encouragement of innovation

d. Embracing without analysis

Answer: b. Scrutiny for prohibited elements

14. **Q: What do opponents claim about the nature of insurance contracts in terms of prohibited elements?**

a. They are free from any prohibited elements

b. They may contain prohibited elements

c. They are explicitly forbidden

d. They only contain permissible elements

Answer: b. They may contain prohibited elements

15. **Q: What is the opponents' claim regarding the nature of insurance companies?**

a. They are purely charitable organizations

b. They solely exist for helping the needy

c. They work for profit maximization like any other business

MC Learning House

d. They operate without any financial motive

Answer: c. They work for profit maximization like any other business

16. **Q: According to opponents, what is the concept lacking in insurance companies' operations?**

a. Profit motive

b. Business orientation

c. Concept of helping the needy

d. Government regulation

Answer: c. Concept of helping the needy

17. **Q: What is the proponents' view on the alignment of insurance with Islamic principles?**

a. It contradicts Islamic principles

b. It aligns with the concepts of Riba, Gharar, and Qimar

c. It aligns with cooperation and helping the needy

d. It is neutral in its alignment

Answer: c. It aligns with cooperation and helping the needy

18. **Q: According to the opponents, what should one do if a new thing like insurance contains prohibited elements?**

a. Promote it in society

b. Declare it permissible

c. Avoid it

d. Encourage its widespread use

Answer: c. Avoid it

19. **Q: What does the second group argue about the nature of insurance contracts in Islam?**

MC Learning House

a. They are explicitly forbidden

b. They are encouraged

c. They may contain prohibited elements

d. They are purely charitable

Answer: c. They may contain prohibited elements

20. **Q: According to opponents, what is the primary issue with insurance contracts in Islam?**

a. Lack of profitability

b. Presence of prohibited elements

c. Excessive cooperation

d. Alignment with Islamic principles

Answer: b. Presence of prohibited elements

Q&A:

1. **Q: What is the stance of the scholars from the second group regarding the permissibility of insurance?**

   A: They believe it is permissible.

2. **Q: What argument do the proponents of insurance present concerning the Qur'an and Sunnah?**

   A: They argue that there is no explicit mention regarding the permissibility or prohibition of insurance as it is a new type of contract.

3. **Q: What aspect of insurance do the proponents emphasize as aligned with Islamic principles?**

   A: The concept of cooperation and helping the needy.

4. **Q: What is the primary concern of the opponents of insurance regarding new things in Islam?**

MC Learning House

A: They believe every new thing should be scrutinized, and if it contains any prohibited element, it will be declared as prohibited.

5. **Q: What elements do opponents claim are present in insurance contracts that make them prohibited in Islam?**

   A: Riba, Gharar, and Qimar.

6. **Q: According to opponents, what is the nature of insurance companies and their motive?**

   A: They are business entities working for profit maximization, similar to any other business organization.

7. **Q: What is the opponents' view on the concept of helping the needy in the operations of insurance companies?**

   A: They argue that there is no concept of helping the needy in the operations of insurance companies.

8. **Q: What is the conclusion drawn by the term "END" in the context of the text?**

   A: It signifies the conclusion of the Shariah analysis of insurance.

9. **Q: How do the proponents view the absence of explicit mention of insurance in the Qur'an and Sunnah?**

   A: They view it as making insurance permissible.

10. **Q: What Islamic principles do the proponents believe align with the concept of insurance?**

    A: Cooperation and helping the needy.

11. **Q: What is the primary concern of the opponents when it comes to new things in Islam?**

    A: They emphasize scrutinizing for any prohibited elements.

12. **Q: According to opponents, why should one scrutinize new things like insurance?**

    A: To check for any prohibited elements.

13. **Q: What elements do opponents claim are present in insurance contracts that make them prohibited in Islam?**

MC Learning House

A: Riba, Gharar, and Qimar.

14. **Q: What is the stance of opponents regarding the nature of insurance companies?**

    A: They argue that insurance companies are profit-maximizing business entities.

15. **Q: What do opponents claim is lacking in the operations of insurance companies?**

    A: The concept of helping the needy.

16. **Q: According to the opponents, what should one do if a new thing like insurance contains prohibited elements?**

    A: It should be declared as prohibited.

17. **Q: What is the argument of the second group regarding the nature of insurance contracts in Islam?**

    A: They argue that insurance contracts may contain prohibited elements.

18. **Q: According to opponents, what is the primary issue with insurance contracts in Islam?**

    A: Presence of prohibited elements.

19. **Q: What do the proponents argue regarding the alignment of insurance with Islamic principles?**

    A: They argue that it aligns with the concepts of cooperation and helping the needy.

20. **Q: According to the proponents, what should be done if a new thing like insurance contains no explicit prohibition?**

    A: It should be considered permissible in the absence of explicit prohibition.

MC Learning House

180 Insurance and Takaful-6

MCQs:

1. **Q: What is the third view on the permissibility of insurance after discussions among scholars?**

a. Prohibited

b. Discouraged

c. Allowed

d. Conditional

Answer: c. Allowed

2. **Q: According to the third view, what does Islam allow regarding potential losses and risks?**

a. Strict avoidance

b. Taking permissible safety measures

c. Prohibition

d. Ignoring completely

Answer: b. Taking permissible safety measures

3. **Q: What is the condition set by the third view for the permissibility of safety measures according to Shariah?**

a. Unlimited measures

b. Conventional measures

c. Permissible methods

d. Prohibited methods

Answer: c. Permissible methods

4. **Q: Why does the third view consider insurance impermissible?**

a. Lack of popularity

b. Presence of prohibited elements like Riba, Qimar, Gharar

c. Lack of government support

d. High premiums

Answer: b. Presence of prohibited elements like Riba, Qimar, Gharar

5. **Q: What is the suggested condition for an Islamic alternative to insurance according to the third view?**

MC Learning House

a. Government endorsement

b. Presence of prohibited elements

c. Lack of popularity

d. Freedom from prohibited elements

Answer: d. Freedom from prohibited elements

6. **Q: Which Islamic institutions support the view that insurance should be free from prohibited elements?**

a. All government institutions

b. All insurance companies

c. Research-based Islamic institutions like Majlis Tahqiqat-e-Shar'iyyah Lucknow

d. Conventional banks

Answer: c. Research-based Islamic institutions like Majlis Tahqiqat-e-Shar'iyyah Lucknow

7. **Q: What is the stance of the third view on insurance schemes free from prohibited elements?**

a. Permissible

b. Discouraged

c. Prohibited

d. Conditionally allowed

Answer: a. Permissible

8. **Q: What do proponents of the third view consider as a valid Islamic alternative for covering future risks?**

a. Insurance with high premiums

b. Any scheme irrespective of elements

c. Government-endorsed schemes

MC Learning House

d. Schemes free from prohibited elements

Answer: d. Schemes free from prohibited elements

9. **Q: What does the term "END" signify in the context of the text?**

a. The termination of the third view

b. The conclusion of the Shariah analysis

c. The introduction to new views

d. The popularity of insurance

Answer: b. The conclusion of the Shariah analysis

10. **Q: What is the primary criterion for an Islamic alternative according to the third view?**

a. High popularity

b. Presence of prohibited elements

c. Government support

d. Freedom from prohibited elements

Answer: d. Freedom from prohibited elements

11. **Q: What is the majority view according to discussions among scholars on insurance?**

a. Discouraged

b. Allowed

c. Conditional

d. Prohibited

Answer: b. Allowed

12. **Q: According to the third view, what is the condition for the permissibility of safety measures in Islam?**

a. Strict avoidance

MC Learning House

b. Taking any measures

c. Taking permissible measures

d. Ignoring completely

Answer: c. Taking permissible measures

13. **Q: What is the primary reason the third view considers insurance impermissible?**

a. Lack of government support

b. Presence of prohibited elements

c. Lack of popularity

d. High premiums

Answer: b. Presence of prohibited elements

14. **Q: According to the third view, what can become an Islamic alternative for covering future risks?**

a. Conventional insurance

b. Schemes with high premiums

c. Any scheme irrespective of elements

d. Schemes free from prohibited elements

Answer: d. Schemes free from prohibited elements

15. **Q: Which institutions support the third view on insurance?**

a. Conventional banks

b. Research-based Islamic institutions like Majlis Tahqiqat-e-Shar‘iyyah Lucknow

c. All government institutions

d. All insurance companies

Answer: b. Research-based Islamic institutions like Majlis Tahqiqat-e-Shar‘iyyah Lucknow

MC Learning House

16. **Q: What is the stance of the third view on schemes free from prohibited elements?**

a. Discouraged

b. Prohibited

c. Conditionally allowed

d. Permissible

Answer: d. Permissible

17. **Q: What is the suggested condition for an Islamic alternative according to the third view?**

a. Government endorsement

b. Presence of prohibited elements

c. Lack of popularity

d. Freedom from prohibited elements

Answer: d. Freedom from prohibited elements

18. **Q: What is the stance of the third view on insurance schemes free from prohibited elements?**

a. Discouraged

b. Prohibited

c. Conditionally allowed

d. Permissible

Answer: d. Permissible

19. **Q: What do proponents of the third view consider as a valid Islamic alternative for covering future risks?**

a. Insurance with high premiums

b. Any scheme irrespective of elements

c. Government-endorsed schemes

MC Learning House

d. Schemes free from prohibited elements

Answer: d. Schemes free from prohibited elements

20. **Q: What does the term "END" signify in the context of the text?**

a. The termination of the third view

b. The conclusion of the Shariah analysis

c. The introduction to new views

d. The popularity of insurance

Answer: b. The conclusion of the Shariah analysis

Q&A:

1. **Q: What is the third view on the permissibility of insurance after discussions among scholars?**

   A: The third view allows insurance.

2. **Q: According to the third view, what does Islam allow regarding potential losses and risks?**

   A: Islam allows taking permissible safety measures against potential losses and risks.

3. **Q: What is the condition set by the third view for the permissibility of safety measures according to Shariah?**

   A: The method of taking safety measures should be permissible from a Shariah point of view.

4. **Q: Why does the third view consider insurance impermissible?**

   A: It considers insurance impermissible due to the presence of prohibited elements like Riba, Qimar, Gharar, etc.

5. **Q: What is the suggested condition for an Islamic alternative to insurance according to the third view?**

   A: An Islamic alternative should be free from prohibited elements.

MC Learning House

6. **Q: Which Islamic institutions support the view that insurance should be free from prohibited elements?**

   A: Reputed research-based Islamic institutions like Majlis Tahqiqat-e-Shar‘iyyah Lucknow, Council of Senior ‘Ulama of Saudi Arabia, Al-Majm‘a al-Fiqhi al-Islami of Rabita al-‘Alam al-Islami, Islamic Fiqh Academy of Mo’tamar al ‘Alam al-Islami.

7. **Q: What is the stance of the third view on insurance schemes free from prohibited elements?**

   A: It considers them permissible.

8. **Q: What do proponents of the third view consider as a valid Islamic alternative for covering future risks?**

   A: Schemes that are free from prohibited elements.

9. **Q: What does the term "END" signify in the context of the text?**

   A: It signifies the conclusion of the Shariah analysis.

10. **Q: What is the primary criterion for an Islamic alternative according to the third view?**

    A: An Islamic alternative should be free from prohibited elements.

11. **Q: What is the majority view according to discussions among scholars on insurance?**

    A: The majority view is that insurance is allowed.

12. **Q: According to the third view, what is the condition for the permissibility of safety measures in Islam?**

    A: The method of taking safety measures should be permissible from a Shariah point of view.

13. **Q: What is the primary reason the third view considers insurance impermissible?**

    A: It considers insurance impermissible due to the presence of prohibited elements.

14. **Q: According to the third view, what can become an Islamic alternative for covering future risks?**

    A: Schemes that are free from prohibited elements.

MCLearning House

15. **Q: Which institutions support the third view on insurance?**

    A: Reputed research-based Islamic institutions.

16. **Q: What is the stance of the third view on schemes free from prohibited elements?**

    A: It considers them permissible.

17. **Q: What is the suggested condition for an Islamic alternative according to the third view?**

    A: An Islamic alternative should be free from prohibited elements.

18. **Q: What is the stance of the third view on insurance schemes free from prohibited elements?**

    A: It considers them permissible.

19. **Q: What do proponents of the third view consider as a valid Islamic alternative for covering future risks?**

    A: Schemes that are free from prohibited elements.

20. **Q: What does the term "END" signify in the context of the text?**

    A: It signifies the conclusion of the Shariah analysis.

181 Insurance and Takaful-7

MCQs:

1. **Q: What is the literal meaning of the word "Riba" in the context of the Insurance contract?**

   a. Loss

   b. Increase or addition

   c. Principal

   d. Profit

   Answer: b. Increase or addition

2. **Q: In the context of a loan contract, what does Riba refer to?**

MC Learning House

a. Decrease in amount

b. Payment or receipt of an amount over and above the principal

c. Fixed amount

d. Interest-free transaction

Answer: b. Payment or receipt of an amount over and above the principal

3. **Q: What has Allah (SWT) declared as permissible?**

a. Loss

b. Trade

c. Riba

d. Interest

Answer: b. Trade

4. **Q: According to Allah (SWT), what has been declared as prohibited?**

a. Trade

b. Riba

c. Profit

d. Loan

Answer: b. Riba

5. **Q: How many major types of Riba are mentioned in the context of Insurance?**

a. One

b. Two

c. Three

d. Four

Answer: b. Two

MC Learning House

6. **Q: What is Riba al-Fadl related to in the context of the Insurance contract?**

    a. Investment

    b. Premium and compensation

    c. Loan contract

    d. Trade

    Answer: b. Premium and compensation

7. **Q: What does Riba al-Fadl arise due to in the Insurance contract?**

    a. Discrepancy between paid premium and received compensation

    b. Equal amounts of premium and compensation

    c. Trade transactions

    d. Investment opportunities

    Answer: a. Discrepancy between paid premium and received compensation

8. **Q: What is Riba al-Nasiyyah related to in the context of the Insurance contract?**

    a. Trade

    b. Premium and compensation

    c. Loan contract

    d. Investment of funds

    Answer: d. Investment of funds

9. **Q: Why does Riba al-Nasiyyah exist in the Insurance contract?**

    a. Discrepancy between paid premium and received compensation

    b. Investment of funds in interest-based opportunities

    c. Equal amounts of premium and compensation

    d. Trade transactions

MC Learning House

Answer: b. Investment of funds in interest-based opportunities

10. **Q: Where are the funds collected as premium from policyholders mostly invested?**

    a. Interest-free opportunities

    b. Trade-based opportunities

    c. Real estate

    d. Interest-based opportunities like government securities and corporate bonds

    Answer: d. Interest-based opportunities like government securities and corporate bonds

11. **Q: What types of Riba are found in the Insurance contract?**

    a. Only Riba al-Fadl

    b. Only Riba al-Nasiyyah

    c. Both Riba al-Fadl and Riba al-Nasiyyah

    d. None

    Answer: c. Both Riba al-Fadl and Riba al-Nasiyyah

12. **Q: What does the term "END" signify in the context of the text?**

    a. The conclusion of the discussion on Riba

    b. The termination of Riba in Insurance

    c. The introduction to new elements

    d. The popularity of Riba in Insurance

    Answer: a. The conclusion of the discussion on Riba

13. **Q: In the context of Insurance, what is the primary concern regarding Riba?**

    a. Encouragement of trade

    b. Avoidance of loss

    c. Discrepancy in premium and compensation

MC Learning House

d. Investment of funds

Answer: c. Discrepancy in premium and compensation

14. **Q: Why is Riba al-Nasiyyah present in the Insurance contract?**

    a. Due to equal amounts of premium and compensation

    b. Due to trade transactions

    c. Due to investment of funds in interest-based opportunities

    d. Due to real estate investments

    Answer: c. Due to investment of funds in interest-based opportunities

15. **Q: What is the significance of Riba in the context of a loan contract?**

    a. Encouragement of trade

    b. Loss prevention

    c. Increase or addition to the principal

    d. Fixed interest rates

    Answer: c. Increase or addition to the principal

16. **Q: What is the context of Riba al-Fadl in the Insurance contract?**

    a. Investment of funds

    b. Trade transactions

    c. Discrepancy in premium and compensation

    d. Loan contracts

    Answer: c. Discrepancy in premium and compensation

17. **Q: According to Islamic principles, why is Riba prohibited in financial transactions?**

    a. To encourage loss

    b. To discourage trade

MC Learning House

c. To maintain fairness and justice

d. To promote fixed interest rates

Answer: c. To maintain fairness and justice

18. **Q: What is the purpose of mentioning Allah's declaration on trade and Riba in the context of Insurance?**

    a. To discourage trade

    b. To encourage interest-based investments

    c. To highlight the permissibility of Riba in Insurance

    d. To emphasize the prohibition of Riba and permissibility of trade

    Answer: d. To emphasize the prohibition of Riba and permissibility of trade

19. **Q: How does Riba relate to the discrepancy in premium and compensation in Insurance?**

    a. It encourages equal amounts of premium and compensation

    b. It discourages trade

    c. It leads to discrepancies in premium and compensation

    d. It promotes interest-free transactions

    Answer: c. It leads to discrepancies in premium and compensation

20. **Q: What type of opportunities are mostly avoided in the investment of funds collected as premium in Insurance?**

    a. Interest-free opportunities

    b. Trade-based opportunities

    c. Real estate opportunities

    d. Interest-based opportunities

    Answer: d. Interest-based opportunities

Q&A:

MC Learning House

1. **Q: What is the literal meaning of the word "Riba" in the context of the Insurance contract?**

   A: Riba means an excess, increase, or addition.

2. **Q: In the context of a loan contract, what does Riba refer to?**

   A: Riba refers to the payment or receipt of an amount over and above the principal.

3. **Q: What has Allah (SWT) declared as permissible?**

   A: Allah (SWT) has declared trade as permissible.

4. **Q: According to Allah (SWT), what has been declared as prohibited?**

   A: Allah (SWT) has declared Riba as prohibited.

5. **Q: How many major types of Riba are mentioned in the context of Insurance?**

   A: Two major types: Riba al-Fadl and Riba al-Nasiyyah.

6. **Q: What is Riba al-Fadl related to in the context of the Insurance contract?**

   A: Riba al-Fadl arises due to the discrepancy between what is paid as premium and what is received as compensation.

7. **Q: What does Riba al-Fadl arise due to in the Insurance contract?**

   A: Riba al-Fadl arises due to the discrepancy between paid premium and received compensation.

8. **Q: What is Riba al-Nasiyyah related to in the context of the Insurance contract?**

   A: Riba al-Nasiyyah exists due to the investment of funds collected as premium from policyholders.

9. **Q: Why does Riba al-Nasiyyah exist in the Insurance contract?**

   A: Riba al-Nasiyyah exists due to the investment of funds in interest-based opportunities like government securities and corporate bonds.

10. **Q: Where are the funds collected as premium from policyholders mostly invested?**

    A: Mostly, funds are invested in interest-based opportunities like government securities and corporate bonds.

Mc Learning House

11. **Q: What types of Riba are found in the Insurance contract?**

    A: Both Riba al-Fadl and Riba al-Nasiyyah.

12. **Q: What does the term "END" signify in the context of the text?**

    A: It signifies the conclusion of the discussion on Riba.

13. **Q: In the context of Insurance, what is the primary concern regarding Riba?**

    A: The primary concern is the discrepancy in premium and compensation.

14. **Q: Why is Riba al-Nasiyyah present in the Insurance contract?**

    A: Riba al-Nasiyyah is present due to the investment of funds in interest-based opportunities.

15. **Q: What is the significance of Riba in the context of a loan contract?**

    A: Riba in the context of a loan contract involves an increase or addition to the principal.

16. **Q: What is the context of Riba al-Fadl in the Insurance contract?**

    A: Riba al-Fadl is related to the discrepancy in premium and compensation.

17. **Q: According to Islamic principles, why is Riba prohibited in financial transactions?**

    A: Riba is prohibited to maintain fairness and justice.

18. **Q: What is the purpose of mentioning Allah's declaration on trade and Riba in the context of Insurance?**

    A: The purpose is to emphasize the prohibition of Riba and the permissibility of trade.

19. **Q: How does Riba relate to the discrepancy in premium and compensation in Insurance?**

    A: Riba leads to discrepancies in premium and compensation.

20. **Q: What type of opportunities are mostly avoided in the investment of funds collected as premium in Insurance?**

MC Learning House

A: Interest-based opportunities are mostly avoided in the investment of funds collected as premium.

182 Insurance and Takaful-8

MCQs:

1. **Q: What does the word "Gharar" mean in the context of insurance?**

   a. Profit

   b. Certainty

   c. Doubt, uncertainty, risk, and deception

   d. Transparency

   Answer: c. Doubt, uncertainty, risk, and deception

2. **Q: Why is a Gharar-based transaction prohibited in Shariah?**

   a. It leads to certain gains

   b. It ensures fairness

   c. It may lead to undue losses or unjustified gains

   d. It simplifies contracts

   Answer: c. It may lead to undue losses or unjustified gains

3. **Q: Which of the following is an example of a Gharar-based transaction according to classical fiqh literature?**

   a. Selling a known bird

   b. Selling a fish out of water

   c. Trading in gold

   d. Buying a car

   Answer: b. Selling a fish out of water

4. **Q: When is Gharar considered effective in a contract according to the text?**

Mc Learning House

a. Only in non-commercial contracts

b. Only in minor elements of the contract

c. Only in low degrees

d. In a commercial contract, in major elements, and of high degree

Answer: d. In a commercial contract, in major elements, and of high degree

5. **Q: Why is the insurance contract considered null and void from a Shariah point of view?**

a. Due to excessive transparency

b. Due to the absence of risk

c. Due to the presence of Gharar

d. Due to the certainty of gains

Answer: c. Due to the presence of Gharar

6. **Q: What major elements of the insurance contract are mentioned as sources of Gharar?**

a. Premium, compensation, and time of payment

b. Premium only

c. Compensation only

d. Time of payment only

Answer: a. Premium, compensation, and time of payment

7. **Q: In the context of Gharar, what is the significance of selling a fish out of water?**

a. It represents a transparent transaction

b. It is an example of a Gharar-based transaction

c. It is a symbol of certainty

d. It has no relevance to Gharar

McLearning House

Answer: b. It is an example of a Gharar-based transaction

8. **Q: What term is used to describe a situation where Gharar is present in major elements of a contract?**

    a. Low degree Gharar

    b. Major Gharar

    c. Effective Gharar

    d. High degree Gharar

    Answer: d. High degree Gharar

9. **Q: According to Shariah, what is the effect of Gharar on the insurance contract?**

    a. It strengthens the contract

    b. It nullifies the contract

    c. It simplifies the contract

    d. It has no impact on the contract

    Answer: b. It nullifies the contract

10. **Q: Why is Gharar considered detrimental in a commercial contract?**

    a. It guarantees profits

    b. It ensures fairness

    c. It may lead to undue losses or unjustified gains

    d. It simplifies transactions

    Answer: c. It may lead to undue losses or unjustified gains

11. **Q: What is the primary concern regarding Gharar in an insurance contract?**

    a. Fair distribution of profits

    b. Lack of transparency

    c. Potential for undue losses or unjustified gains

MC Learning House

d. Certainty of transactions

Answer: c. Potential for undue losses or unjustified gains

12. **Q: Which factor determines the effectiveness of Gharar in a contract?**

    a. Transparency

    b. Commercial nature

    c. Degree of uncertainty

    d. Frequency of transactions

    Answer: c. Degree of uncertainty

13. **Q: What term is used to describe a Gharar-based transaction in classical fiqh literature?**

    a. High-risk transaction

    b. Transparent transaction

    c. Prohibited transaction

    d. Risk-free transaction

    Answer: c. Prohibited transaction

14. **Q: Why is Gharar considered ineffective in non-commercial contracts?**

    a. It is always effective

    b. It is less transparent

    c. It is of low degree

    d. It has no impact on such contracts

    Answer: c. It is of low degree

15. **Q: In a Gharar-based transaction, what is the concern about losses and gains?**

    a. Guaranteed losses

    b. Fair distribution of losses and gains

MC Learning House

c. Undue losses or unjustified gains

d. Equal losses and gains

Answer: c. Undue losses or unjustified gains

16. **Q: What does Gharar mean in Arabic?**

a. Profit

b. Certainty

c. Doubt

d. Loss

Answer: c. Doubt

17. **Q: How does Gharar relate to the concept of risk in insurance?**

a. It guarantees risk avoidance

b. It aligns with the concept of risk

c. It contradicts the concept of risk

d. It has no relation to risk

Answer: c. It contradicts the concept of risk

18. **Q: What is the primary reason for considering Gharar detrimental in a contract?**

a. It ensures fairness

b. It leads to certain gains

c. It may lead to undue losses or unjustified gains

d. It simplifies transactions

Answer: c. It may lead to undue losses or unjustified gains

19. **Q: How does Gharar align with the principles of fairness in transactions?**

a. It ensures fairness

MC Learning House

b. It contradicts fairness

c. It has no impact on fairness

- d. It simplifies fairness

Answer: b. It contradicts fairness

20. **Q: Why is Gharar specifically mentioned as a concern in the insurance contract?**

    a. Due to its absence

    b. Due to its low degree

    c. Due to its potential for undue losses or unjustified gains

    d. Due to its alignment with fairness

    Answer: c. Due to its potential for undue losses or unjustified gains

Q&A:

1. **Q: What is the literal meaning of the word "Gharar" in the context of insurance?**

   A: Gharar means doubt, uncertainty, risk, and deception.

2. **Q: Why is a Gharar-based transaction prohibited in Shariah?**

   A: A Gharar-based transaction is prohibited in Shariah because it may lead to undue losses or unjustified gains for any of the parties in the contract.

3. **Q: Can you provide examples of Gharar-based transactions mentioned in classical fiqh literature?**

   A: Examples include selling a free bird or selling fish still in the water.

4. **Q: When is Gharar considered effective in a contract?**

   A: Gharar is considered effective if it is found in a commercial contract, in the major elements of the contract, and if it is of high degree.

5. **Q: Why is the insurance contract considered null and void from a Shariah point of view?**

MC Learning House

A: The presence of Gharar in the insurance contract nullifies it from a Shariah point of view.

6. **Q: What are the major elements of the insurance contract mentioned as sources of Gharar?**

   A: The major elements include premium, compensation, and time of payment.

7. **Q: Can you explain why insurance is considered a commercial contract with a high degree of uncertainty?**

   A: Insurance is considered a commercial contract with a high degree of uncertainty due to uncertainties about major elements like premium, compensation, and time of payment.

8. **Q: What is the significance of selling a fish out of water in the context of Gharar?**

   A: Selling a fish out of water is an example of a Gharar-based transaction.

9. **Q: How is Gharar related to the commercial nature of a contract?**

   A: Gharar is detrimental in a commercial contract as it may lead to undue losses or unjustified gains.

10. **Q: What is the impact of Gharar on the insurance contract according to Shariah?**

    A: The presence of Gharar nullifies the insurance contract from a Shariah perspective.

11. **Q: Why is Gharar considered detrimental in a commercial contract?**

    A: Gharar is considered detrimental as it may lead to undue losses or unjustified gains, contradicting principles of fairness.

12. **Q: What is the primary concern regarding Gharar in an insurance contract?**

    A: The primary concern is the potential for undue losses or unjustified gains due to the presence of Gharar.

13. **Q: How does Gharar relate to the concept of risk in insurance?**

    A: Gharar contradicts the concept of risk in insurance, as it introduces uncertainties that may lead to unfair outcomes.

14. **Q: In the context of Gharar, what is the concern about losses and gains?**

MC Learning House

A: The concern is the potential for undue losses or unjustified gains in transactions involving Gharar.

15. **Q: How does Gharar align with the principles of fairness in transactions?**

    A: Gharar contradicts the principles of fairness as it introduces uncertainties that may lead to unfair outcomes.

16. **Q: Why is Gharar specifically mentioned as a concern in the insurance contract?**

    A: Gharar is mentioned as a concern in the insurance contract due to its potential for undue losses or unjustified gains, which goes against Shariah principles.

17. **Q: What is the significance of Gharar being found in major elements of the contract?**

    A: Gharar being found in major elements of the contract increases its impact and potential for causing unfair outcomes.

18. **Q: Why is Gharar considered ineffective in non-commercial contracts?**

    A: Gharar is considered ineffective in non-commercial contracts because it is usually of a low degree.

19. **Q: How does Gharar relate to the concept of risk avoidance in insurance?**

    A: Gharar contradicts the concept of risk avoidance in insurance, as it introduces uncertainties that may lead to unfair outcomes.

20. **Q: What term is used to describe a Gharar-based transaction in classical fiqh literature?**

    A: A Gharar-based transaction in classical fiqh literature is described as a prohibited transaction due to its potential for causing harm or injustice.

MC Learning House

183 Insurance and Takaful-9

MCQs:

1. **Q: What does the term "Maysir" in the context of insurance refer to?**

   a. Investment practices

b. Gambling or games of chance

c. Contract negotiations

d. Risk-sharing arrangements

Answer: b. Gambling or games of chance

2. **Q: From which Arabic word is "Maysir" derived, and what does it mean?**

a. Yusr, meaning ease

b. Salam, meaning peace

c. Barakah, meaning blessing

d. Taqwa, meaning consciousness

Answer: a. Yusr, meaning ease

3. **Q: What does Maysir technically show in the context of contracts?**

a. A straightforward agreement

b. Contingency on uncertain events

c. A binding legal arrangement

d. Predictable outcomes

Answer: b. Contingency on uncertain events

4. **Q: What is required for an event to be considered Maysir?**

a. It should be a social event

b. Both parties should avoid risk

c. Each party puts some ownership at risk

d. The event should be controlled by one party

Answer: c. Each party puts some ownership at risk

5. **Q: Which statement accurately describes the nature of Maysir events?**

MC Learning House

a. Both parties have control over the event

b. The event has a guaranteed outcome

c. Each party has a chance of gain or loss

d. Parties can always avoid losses

Answer: c. Each party has a chance of gain or loss

6. **Q: In the context of Maysir, what is the significance of it being a commercial contract?**

a. It ensures fairness

b. It contradicts fairness

c. It simplifies transactions

d. It provides ease of use

Answer: b. It contradicts fairness

7. **Q: How does Maysir relate to the concept of ownership in a contract?**

a. It ensures mutual ownership

b. It avoids any ownership transfer

c. Each party puts some ownership at risk

d. Ownership is irrelevant in Maysir

Answer: c. Each party puts some ownership at risk

8. **Q: What does Maysir require in terms of control over the event?**

a. One party should have control

b. Both parties should control the event

c. No party should have control

d. Control is irrelevant to Maysir

Answer: c. No party should have control

MC Learning House

9. **Q: Why is Maysir considered detrimental in a contract?**

    a. It ensures fairness

    b. It contradicts fairness

    c. It simplifies transactions

    d. It guarantees outcomes

    Answer: b. It contradicts fairness

10. **Q: In the context of an insurance contract, what depends on the occurrence of an uncertain event?**

    a. Payment of premium

    b. Policyholder's control

    c. Compensation from the company

    d. Policy terms and conditions

    Answer: c. Compensation from the company

11. **Q: What is the outcome if the uncertain event does not occur in an insurance contract?**

    a. The client receives double compensation

    b. The company pays a penalty

    c. The company compensates the client

    d. The company does not pay anything

    Answer: d. The company does not pay anything

12. **Q: How does Maysir relate to the concept of unpredictability in insurance?**

    a. It guarantees predictable outcomes

    b. It eliminates unpredictability

    c. It introduces unpredictability

MC Learning House

d. It simplifies the insurance process

Answer: c. It introduces unpredictability

13. **Q: What is the primary concern regarding Maysir in an insurance contract?**

    a. Predictability of outcomes

    b. The potential for undue losses

    c. Ease of use

    d. Fairness in transactions

    Answer: b. The potential for undue losses

14. **Q: How does Maysir align with the principles of fairness in transactions?**

    a. It ensures fairness

    b. It contradicts fairness

    c. It simplifies fairness

    d. It guarantees fairness

    Answer: b. It contradicts fairness

15. **Q: Why is Maysir specifically mentioned as a concern in the insurance contract?**

    a. Due to its absence

    b. Due to its low degree

    c. Due to its potential for undue losses

    d. Due to its alignment with fairness

    Answer: c. Due to its potential for undue losses

16. **Q: What term is used to describe a Maysir-based transaction in classical fiqh literature?**

    a. A permissible transaction

    b. A prohibited transaction

MC Learning House

c. A neutral transaction

d. An unavoidable transaction

Answer: b. A prohibited transaction

17. **Q: Why is the unpredictability of outcomes considered detrimental in Maysir?**

a. It guarantees fairness

b. It contradicts fairness

c. It simplifies transactions

d. It ensures mutual ownership

Answer: b. It contradicts fairness

18. **Q: How does Maysir relate to the concept of risk avoidance in insurance?**

a. It supports risk avoidance

b. It contradicts risk avoidance

c. It simplifies risk avoidance

d. It guarantees risk avoidance

Answer: b. It contradicts risk avoidance

19. **Q: Why is Maysir specifically mentioned as a concern in the insurance contract?**

a. Due to its absence

b. Due to its low degree

c. Due to its potential for undue losses

d. Due to its alignment with fairness

Answer: c. Due to its potential for undue losses

20. **Q: What is the significance of Maysir being found in a commercial contract in the context of insurance?**

a. It ensures mutual ownership

MC Learning House

b. It contradicts mutual ownership

c. It simplifies mutual ownership

d. It introduces unpredictability

Answer: b. It contradicts mutual ownership

Q&A:

1. **Q: What are the three main views among scholars regarding the Shariah position of insurance?**

   A: The three views are that it is either completely unlawful, permissible with no issues, or acceptable in concept but with structural flaws.

2. **Q: How do scholars in the first group argue against insurance from a Shariah perspective?**

   A: They argue that the concept of insurance goes against the principles of Taqdeer (destiny) and Tawakkul (reliance on God).

3. **Q: What is the position of scholars in the second group regarding insurance and its compatibility with Islam?**

   A: Scholars in the second group state that the Qur'an and Sunnah do not explicitly prohibit or allow insurance, and it aligns with the concepts of cooperation and helping the needy emphasized in Islam.

4. **Q: What prohibited elements do opponents of insurance claim are present in insurance contracts?**

   A: Opponents claim that insurance contracts contain elements like Riba (interest), Gharar (uncertainty or doubt), and Qimar (gambling).

5. **Q: How do scholars in the third group view the permissibility of insurance, and what do they emphasize?**

   A: Scholars in the third group, representing the majority view, emphasize that any insurance scheme should be free from prohibited elements, making it an Islamic alternative.

6. **Q: What is the role of reputable Islamic institutions in supporting the third view on insurance?**

MC Learning House

A: Major Islamic institutions, including Majlis Tahqiqat-e-Shar'iyyah, Council of Senior 'Ulama of Saudi Arabia, and others, support the third view, declaring that insurance can be permissible with proper structuring.

7. **Q: What is Riba, and why is it considered a prohibited element in insurance contracts?**

   A: Riba refers to an excess or increase in a loan contract. In insurance, it arises due to discrepancies between the premium paid and the compensation received, and funds invested in interest-based opportunities.

8. **Q: What does Gharar mean in the context of insurance contracts, and why is it considered detrimental?**

   A: Gharar means doubt or uncertainty. In insurance, it refers to uncertainty about major elements like premium, compensation, and timing, making the contract null and void from a Shariah perspective.

9. **Q: How does Maysir relate to insurance contracts, and why is it seen as problematic?**

   A: Maysir, or gambling, is present in insurance contracts due to the uncertainty of outcomes. It is seen as problematic as it introduces unpredictability and potential undue losses.

10. **Q: How do scholars argue against the presence of Gharar in insurance contracts?**

    A: Scholars argue that Gharar exists due to uncertainty about major contract elements, and its presence nullifies the contract from a Shariah perspective.

11. **Q: What is the primary concern regarding Maysir in insurance contracts, and how does it impact fairness?**

    A: The concern is the potential for undue losses. Maysir contradicts fairness as it introduces unpredictability, making outcomes contingent on uncertain events.

12. **Q: How does the unpredictability of outcomes in Maysir affect the concept of risk avoidance in insurance?**

    A: Unpredictability in Maysir contradicts risk avoidance principles in insurance, as it introduces uncertainty about potential losses or gains.

13. **Q: Why is the commercial nature of insurance contracts considered problematic from a Shariah perspective?**

MC Learning House

A: The commercial nature of insurance introduces elements like Riba, Gharar, and Maysir, which are prohibited in Islam, making the contract impermissible.

14. **Q: What are the examples of Gharar-based transactions in classical fiqh literature?**

    A: Examples include selling a free bird or selling fish still in the water. These transactions are considered problematic due to the uncertainty involved.

15. **Q: How do scholars argue against the permissibility of insurance based on the absence of explicit prohibition?**

    A: Scholars argue that absence of explicit prohibition does not automatically make something permissible. They emphasize the need to examine the contract for any prohibited elements.

16. **Q: What does the majority view among scholars emphasize regarding permissible insurance alternatives?**

    A: The majority view emphasizes that insurance alternatives should be free from prohibited elements like Riba, Gharar, and Maysir to be considered Islamic.

17. **Q: What role does Majlis Tahqiqat-e-Shar'iyyah and other Islamic institutions play in determining the permissibility of insurance?**

    A: These institutions support the majority view, conducting research to ensure that insurance alternatives align with Shariah principles and do not contain prohibited elements.

18. **Q: Why do scholars in the third group argue for permissible alternatives rather than rejecting insurance altogether?**

    A: Scholars argue for permissible alternatives to provide a Shariah-compliant option for individuals to handle risks without resorting to conventional insurance.

19. **Q: How do scholars recommend addressing the challenges posed by prohibited elements in insurance contracts?**

    A: Scholars recommend careful structuring, avoiding prohibited elements like Riba, Gharar, and Maysir, to make insurance contracts Shariah-compliant.

20. **Q: What is the significance of Shariah-compliant insurance alternatives being free from prohibited elements?**

    A: The significance lies in ensuring that these alternatives adhere to Shariah principles, providing a permissible way for individuals to handle risks without compromising Islamic values.**

MC Learning House

184 Insurance and Takaful-10

MCQs:

1. **Q: What does Islam encourage Muslims to adopt in managing risks?**

   A. Strict avoidance of risks

   B. Risk management techniques within Shariah boundaries

   C. Blind acceptance of risks

   D. Ignoring risks altogether

   Answer: B. Risk management techniques within Shariah boundaries

2. **Q: In the story of Hazrat Yaqoob and Hazrat Yousuf, what incidents related to risk management are mentioned in the Qur'an?**

   A. Two incidents

   B. Three incidents

   C. Four incidents

   D. No incidents

   Answer: A. Two incidents

3. **Q: What advice did the Prophet (SAW) give to the Bedwin Arab about his untied camel?**

   A. Leave it untied for Allah's will

   B. Trust in Allah and leave it untied

   C. Tie the camel first and then leave it to Allah

   D. Ignore the camel

   Answer: C. Tie the camel first and then leave it to Allah

4. **Q: In the story of migration, what did Prophet Muhammad (SAW) instruct Hazrat Ali to do?**

Mc Learning House

A. Stay in Mecca

B. Sleep in his bed

C. Lead the migration

D. Avoid the migration

Answer: B. Sleep in his bed

5. **Q: What route did Prophet Muhammad (SAW) take during the migration to deceive non-believers?**

A. Normal route

B. Opposite route

C. Secret route

D. Random route

Answer: B. Opposite route

6. **Q: When a companion questioned the use of medicine, what was Prophet Muhammad's (SAW) response?**

A. Avoid medicine, rely on Allah

B. Medicine is unnecessary

C. Use medicine, it is part of Taqdeer

D. Medicine goes against Allah's will

Answer: C. Use medicine, it is part of Taqdeer

7. **Q: What lesson did Prophet Muhammad (SAW) teach through the incident of Hazrat Ali sleeping in his bed?**

A. Blind trust in fate

B. The importance of deception

C. The use of risk management strategies

D. Ignoring risks completely

MC Learning House

Answer: C. The use of risk management strategies

8. **Q: According to Islam, what should Muslims do in managing risks?**

   A. Rely solely on fate

   B. Adopt any strategy, regardless of Shariah compliance

   C. Utilize risk management techniques within Shariah boundaries

   D. Ignore risks and leave everything to Allah

   Answer: C. Utilize risk management techniques within Shariah boundaries

9. **Q: What does the incident of tying the camel first symbolize in Islam?**

   A. Blind obedience

   B. Praying for safety

   C. Combining human effort with trust in Allah

   D. Avoidance of risks

   Answer: C. Combining human effort with trust in Allah

10. **Q: Why did Prophet Muhammad (SAW) take the opposite route during migration?**

    A. To confuse the believers

    B. To test the companions' loyalty

    C. To deceive non-believers

    D. Random decision

    Answer: C. To deceive non-believers

11. **Q: What is the significance of the Prophet's instruction to tie the camel first and then trust in Allah?**

    A. Blind trust in fate

    B. Combining human effort with reliance on Allah

    C. Ignoring the camel

MC Learning House

D. Avoiding risks

Answer: B. Combining human effort with reliance on Allah

12. **Q: How many incidents related to risk management are mentioned in the story of Hazrat Yaqoob and Hazrat Yousuf?**

    A. One incident

    B. Two incidents

    C. Three incidents

    D. No incidents

    Answer: B. Two incidents

13. **Q: What did Prophet Muhammad (SAW) say about using medicine in the context of disease and cure?**

    A. Medicine is forbidden

    B. Use medicine, it is part of Taqdeer

    C. Ignore medicine, rely on fate

    D. Medicine is unnecessary

    Answer: B. Use medicine, it is part of Taqdeer

14. **Q: In the story of Hazrat Yaqoob and Hazrat Yousuf, what was the role of risk management?**

    A. Ignoring risks

    B. Blind trust in fate

    C. Adopting risk-management techniques

    D. No role in risk management

    Answer: C. Adopting risk-management techniques

15. **Q: What does the incident of Hazrat Ali sleeping in the Prophet's bed emphasize?**

    A. Blind trust in fate

MC Learning House

B. The importance of secrecy

C. The Prophet's cleverness

D. The use of risk management strategies

Answer: D. The use of risk management strategies

16. **Q: What is the message conveyed through Prophet Muhammad's (SAW) instruction to tie the camel first?**

A. Avoidance of risks

B. Trust solely in fate

C. Combining human effort with trust in Allah

D. Ignoring the camel

Answer: C. Combining human effort with trust in Allah

17. **Q: What did Prophet Muhammad (SAW) establish through the examples of risk management?**

A. The importance of blind trust

B. The need to avoid risks completely

C. The value of combining human effort with trust in Allah

D. The insignificance of risk management

Answer: C. The value of combining human effort with trust in Allah

18. **Q: What was the Prophet's response to the companion who questioned the use of medicine?**

A. Avoid medicine, rely on Allah

B. Medicine is unnecessary

C. Use medicine, it is part of Taqdeer

D. Medicine goes against Allah's will

Answer: C. Use medicine, it is part of Taqdeer

MC Learning House

19. **Q: What is the primary lesson from the incident of Prophet Muhammad (SAW) taking the opposite route during migration?**

    A. Blind obedience

    B. The importance of secrecy

    C. The use of deception

    D. Combining human effort with strategic decision-making

    Answer: D. Combining human effort with strategic decision-making

20. **Q: What role does risk management play in Islam according to the provided information?**

    A. It is discouraged

    B. It is encouraged within Shariah boundaries

    C. It is unnecessary

    D. It is forbidden

    Answer: B. It is encouraged within Shariah boundaries

Q&A:

1. **Q: How does Islam view the concept of risk management?**

   A: Islam encourages the adoption of risk-management techniques within the boundaries of Shariah.

2. **Q: Are there instances of risk management mentioned in Islamic scriptures?**

   A: Yes, the story of Hazrat Yaqoob and Hazrat Yousuf in the Qur'an provides examples of risk management.

3. **Q: What advice did Prophet Muhammad (SAW) give regarding leaving a camel untied?**

   A: Prophet Muhammad (SAW) advised to tie the camel first and then rely on Allah (SWT).

MC Learning House

4. **Q: What practical example did Prophet Muhammad (SAW) set for Muslims in risk mitigation?**

   A: Prophet Muhammad (SAW) asked Hazrat Ali to sleep in his bed during the night of migration.

5. **Q: How did Prophet Muhammad (SAW) ensure his safety during the night of migration to Madinah?**

   A: He took an alternative route, deceiving non-believers to ensure a safe journey.

6. **Q: When a companion questioned the use of medicine, what was Prophet Muhammad's (SAW) response?**

   A: Prophet Muhammad (SAW) encouraged the use of medicine, stating it is part of Taqdeer.

7. **Q: What is the significance of Prophet Muhammad's (SAW) advice on tying the camel first?**

   A: It emphasizes the importance of taking practical steps while relying on Allah's will.

8. **Q: How many incidences of risk management are mentioned in the story of Hazrat Yaqoob and Hazrat Yousuf?**

   A: Two incidences are mentioned in the Qur'an.

9. **Q: According to Islam, what is the approach to risk management?**

   A: Muslims should adopt risk-management techniques within the framework of Shariah.

10. **Q: How did Prophet Muhammad (SAW) exemplify the principle of tying the camel in his own actions?**

    A: He took practical measures, such as asking Hazrat Ali to sleep in his bed, ensuring safety.

11. **Q: In the story of Hazrat Yaqoob and Hazrat Yousuf, what lesson can be derived about risk management?**

    A: The importance of taking practical steps in addition to relying on Allah's will.

12. **Q: Why did Prophet Muhammad (SAW) deceive non-believers during the night of migration?**

Mc Learning House

A: To ensure his safety and the success of the migration.

13. **Q: What does tying the camel before relying on Allah symbolize in Islamic teachings?**

    A: It symbolizes the importance of taking necessary precautions and actions.

14. **Q: When it comes to risk management, what did the Bedwin Arab learn from Prophet Muhammad's (SAW) advice about tying the camel?**

    A: To take practical steps before relying on Allah.

15. **Q: What is the takeaway from Prophet Muhammad's (SAW) instruction to tie the camel first?**

    A: The emphasis on combining practical actions with reliance on Allah.

16. **Q: In the context of risk mitigation, what role does Taqdeer play according to Prophet Muhammad (SAW)?**

    A: Medicine is part of Taqdeer, emphasizing the use of practical means.

17. **Q: Why did Prophet Muhammad (SAW) take the opposite route during the night of migration?**

    A: To deceive non-believers and ensure a safe journey.

18. **Q: How did Prophet Muhammad (SAW) emphasize the use of medicine in the face of disease?**

    A: By stating that medicine is part of Taqdeer.

19. **Q: In the story of Hazrat Yaqoob and Hazrat Yousuf, what lesson about risk management can be derived?**

    A: The importance of taking practical steps in addition to relying on Allah.

20. **Q: How does Islam view the use of medicine in the face of disease, according to Prophet Muhammad (SAW)?**

    A: It is encouraged as part of Taqdeer and taking practical steps.

185 Insurance and Takaful-11

MCQs:

MC Learning House

1. **Q: According to Islam, in what areas are Muslims encouraged to cooperate with each other?**

   A: a) Matters of piety and righteousness

   B: b) Financial investments

   C: c) Political endeavors

   D: d) Academic pursuits

   Answer: A

2. **Q: The Quranic verse "Help ye one another in righteousness and piety" emphasizes cooperation in what context?**

   A: a) Business ventures

   B: b) Sinful activities

   C: c) Cultural events

   D: d) Educational initiatives

   Answer: B

3. **Q: What is the guidance given by Prophet Muhammad (SAW) regarding mutual love and fellow-feeling among believers?**

   A: a) It is like a competition

   B: b) It is similar to a body

   C: c) It is discouraged

   D: d) It has no significance

   Answer: B

4. **Q: According to Prophet Muhammad (SAW), what happens to the whole body when any limb aches in the analogy of believers?**

   A: a) It becomes numb

   B: b) It aches in solidarity

MC Learning House

C: c) It remains unaffected

D: d) It loses strength

Answer: B

5. **Q: How did Prophet Muhammad (SAW) describe the relationship among believers in terms of mutual love and affection?**

   A: a) Like separate entities

   B: b) Like a disconnected chain

   C: c) Like a single body

   D: d) Like distant planets

   Answer: C

6. **Q: What is the significance of the Prophet's (SAW) analogy of believers being like a single body?**

   A: a) They share the same thoughts

   B: b) They feel each other's pain

   C: c) They have identical abilities

   D: d) They operate independently

   Answer: B

7. **Q: In the hadith narrated by Abu Huraira, what reward does a person receive for removing a worldly hardship from a believer?**

   A: a) Wealth and power

   B: b) Removal of a hardship on the Day of Judgment

   C: c) Eternal happiness

   D: d) Increased worldly hardships

   Answer: B

Mc Learning House

8. **Q: How does Allah (SWT) respond to the one who alleviates the hardship of a believer, according to the hadith?**

   A: a) Increases hardships

   B: b) Decreases blessings

   C: c) Alleviates his lot in this world and the next

   D: d) Ignores the act of kindness

   Answer: C

9. **Q: What does the hadith highlight regarding the removal of worldly hardships from a believer?**

   A: a) It has no impact on the Day of Judgment

   B: b) It signifies weakness in faith

   C: c) It mirrors the removal of hardships in the afterlife

   D: d) It results in more hardships

   Answer: C

10. **Q: What is the overall message conveyed in the Quranic verse and hadiths regarding mutual help and hardship removal among believers?**

    A: a) Muslims should avoid helping each other

    B: b) Cooperation in righteousness is essential

    C: c) Believers should not be concerned about each other's hardships

    D: d) There is no mention of mutual help

    Answer: B

11. **Q: How does Islam view the concept of mutual support among believers?**

    A: a) It is discouraged

    B: b) It is permissible but not encouraged

    C: c) It is highly encouraged

MC Learning House

D: d) It is irrelevant in Islam

Answer: C

12. **Q: What is the reciprocal outcome of helping a fellow believer in removing worldly hardships, according to the hadith?**

A: a) Increased hardships in the afterlife

B: b) Alleviation of one's own hardships in this world and the next

C: c) No impact on one's own situation

D: d) Decreased blessings

Answer: B

13. **Q: How does Islam view cooperation in matters of righteousness and piety?**

A: a) It is discouraged

B: b) It is irrelevant

C: c) It is highly encouraged

D: d) It is a personal choice

Answer: C

14. **Q: According to the Quranic verse, in what areas should believers not cooperate with each other?**

A: a) Matters of piety and righteousness

B: b) In sinful activities and rancor

C: c) In financial investments

D: d) In educational initiatives

Answer: B

15. **Q: What is the underlying principle emphasized in the Quranic verse about cooperation among believers?**

A: a) Collaboration is based on personal preferences

MC Learning House

B: b) Cooperation should be limited to financial matters

C: c) Collaboration is contingent on shared values of righteousness and piety

D: d) Believers should not cooperate with each other

Answer: C

16. **Q: How does the Quranic verse guide Muslims in their cooperative efforts?**

A: a) It encourages cooperation in all matters

B: b) It provides specific guidelines for financial cooperation

C: c) It emphasizes righteousness and piety in cooperative endeavors

D: d) It discourages cooperation entirely

Answer: C

17. **Q: What lesson can be derived from the Prophet's (SAW) analogy of believers being like a single body?**

A: a) Unity and mutual support among believers are essential

B: b) Each believer is independent and should not rely on others

C: c) Cooperation is irrelevant in Islam

D: d) The body is not a suitable analogy for believers

Answer: A

18. **Q: In the context of risk mitigation, what is the primary message conveyed by the hadiths?**

A: a) Believers should not help each other in times of hardship

B: b) Muslims should rely solely on Allah for risk mitigation

C: c) Mutual help and support in alleviating hardships are encouraged

D: d) Believers should not concern themselves with each other's difficulties

Answer: C

MC Learning House

19. **Q: According to Islam, what should be the basis for mutual cooperation among believers?**

    A: a) Personal interests

    B: b) Financial gains

    C: c) Righteousness and piety

    D: d) Political affiliations

    Answer: C

20. **Q: What is the overall attitude Islam promotes in dealing with the hardships of fellow believers?**

    A: a) Indifference

    B: b) Sympathy without action

    C: c) Mutual support and active help

    D: d) Avoidance of hardships

    Answer: C

Q&A:

1. **Q: How does Islam encourage Muslims to approach risk management?**

   A: Islam encourages adopting risk-management techniques within the Shariah ambit.

2. **Q: What incidents from the story of Hazrat Yaqoob and Hazrat Yousuf (AAS) are mentioned in the Qur'an regarding risk management?**

   A: The Qur'an mentions two incidents related to risk management in their story.

3. **Q: According to the hadith narrated by Anas bin Malik, what advice did Prophet Muhammad (SAW) give regarding leaving a camel untied?**

   A: Prophet Muhammad (SAW) advised tying the camel first and then trusting in Allah (SWT).

4. **Q: In what context did Prophet Muhammad (SAW) instruct Hazrat Ali to sleep in his bed during the night of migration?**

MC Learning House

A: Prophet Muhammad (SAW) instructed Hazrat Ali to sleep in his bed to deceive non-believers.

5. **Q: How did Prophet Muhammad (SAW) respond to the question about using medicine when disease and cure come from Allah?**

   A: Prophet Muhammad (SAW) encouraged the use of medicine as part of Taqdeer.

6. **Q: What is the underlying principle conveyed by the analogy of believers being like a single body?**

   A: The analogy emphasizes unity and mutual support among believers.

7. **Q: What reward does a person receive for removing a worldly hardship from a believer, according to the hadith narrated by Abu Huraira?**

   A: Allah (SWT) will remove one of the hardships of the Day of Judgment for that person.

8. **Q: How does Islam view the concept of mutual help and cooperation among believers?**

   A: Islam highly encourages mutual help and cooperation, especially in matters of righteousness.

9. **Q: According to the hadith narrated by Abu Huraira, what reciprocal outcome is mentioned for alleviating a worldly hardship from a believer?**

   A: Allah (SWT) alleviates the person's lot in this world and the next.

10. **Q: What lesson can be derived from the story of Hazrat Yaqoob and Hazrat Yousuf regarding risk management in Islam?**

    A: It highlights the importance of taking practical measures along with trust in Allah.

11. **Q: In Islam, what is the significance of removing hardships for fellow believers, as mentioned in the hadith?**

    A: It leads to the removal of hardships for the person on the Day of Judgment.

12. **Q: According to Prophet Muhammad (SAW), what is the similitude of believers in mutual love and fellow-feeling?**

    A: The similitude is like that of a body, where any limb's ache is felt by the entire body.

MC Learning House

13. **Q: What is the guidance given by the hadith about removing a worldly hardship from a believer?**

    A: The act results in Allah removing one of the hardships of the Day of Judgment.

14. **Q: How does the analogy of believers being like a single body reflect the concept of mutual support in Islam?**

    A: It signifies that believers are interconnected, and the well-being of one affects the entire community.

15. **Q: What does the hadith about the removal of a worldly hardship indicate about the nature of mutual support in Islam?**

    A: It indicates that helping others in worldly matters has positive consequences both in this world and the afterlife.

16. **Q: How does the hadith narrated by Anas bin Malik emphasize the balance between trust in Allah and taking practical measures?**

    A: It advises tying the camel first, symbolizing the importance of taking practical steps before relying on Allah.

17. **Q: According to the hadith, how does the Prophet Muhammad (SAW) exemplify mutual cooperation in times of need?**

    A: He asked Hazrat Ali to sleep in his bed during the night of migration, demonstrating strategic cooperation.

18. **Q: What is the overall attitude Islam promotes regarding the hardships of fellow believers?**

    A: Islam encourages mutual support and active help in alleviating the hardships of fellow believers.

19. **Q: In the context of risk mitigation, how does Islam guide Muslims in their approach to hardships?**

    A: Islam encourages practical measures for risk mitigation while maintaining trust in Allah's plan (Taqdeer).

20. **Q: What fundamental principle underlies the hadith about tying the camel first and then leaving it to Allah?**

    A: The principle is to take necessary precautions and practical steps while trusting in Allah's ultimate plan.

MC Learning House

186 Insurance and Takaful-12

MCQs:

1. **Q: What is the focus of Risk Mitigation in Islam-3?**

   A. Takaful practices

   B. Historical insurance practices in Islam

   C. Modern risk management techniques

   D. Shariah-compliant investments

   Answer: B. Historical insurance practices in Islam

2. **Q: Why were many institutions and practices allowed to continue in the Islamic state of Madinah during the early Islamic period?**

   A. Due to tradition only

   B. Due to their usefulness

   C. Due to government decree

   D. Due to religious rituals

   Answer: B. Due to their usefulness

3. **Q: What was the main function of the Institution of 'Aqilah?**

   A. Trading goods

   B. Sharing burdens in case of blood or wound money

   C. Legal arbitration

   D. Financial investments

   Answer: B. Sharing burdens in case of blood or wound money

4. **Q: Which institution was similar to 'Aqilah and worked for situations where the murderer is unknown?**

   A. Institution of 'Aqilah

MC Learning House

B. Institution of Qasama

C. Institution of Wasaya

D. Institution of Mawalat

Answer: B. Institution of Qasama

5. **Q: What was the primary purpose of the Institution of Wasaya?**

   A. Financial transactions

   B. Legal enforcement

   C. Supervising and acting as a guardian for minor children without parents

   D. Mutual cooperation in business

   Answer: C. Supervising and acting as a guardian for minor children without parents

6. **Q: Under the Institution of Mawalat, what contractual relation did someone without a family have with another person?**

   A. Trading partnership

   B. Marriage contract

   C. Ransom agreement

   D. Financial responsibility for each other

   Answer: D. Financial responsibility for each other

7. **Q: What kind of financial liabilities did the person in the Institution of Mawalat accept responsibility for?**

   A. Business debts

   B. Ransom payments

   C. Blood money

   D. All of the above

   Answer: D. All of the above

MC Learning House

8. **Q: What was the incentive for someone entering into the Institution of Mawalat?**

   A. Immediate financial gain

   B. Future bequest after the person's death

   C. Social status improvement

   D. Protection from legal disputes

   Answer: B. Future bequest after the person's death

9. **Q: What role did friends, helpers, and relatives play in the Institution of 'Aqilah?**

   A. They managed business operations

   B. They acted as legal advisors

   C. They jointly shared the burden of payments

   D. They provided spiritual guidance

   Answer: C. They jointly shared the burden of payments

10. **Q: In which Islamic city did these historical insurance practices, such as the Institution of 'Aqilah, exist?**

    A. Mecca

    B. Damascus

    C. Madinah

    D. Baghdad

    Answer: C. Madinah

11. **Q: What motivated the continuation of these institutions in the early Islamic period?**

    A. Cultural traditions

    B. Economic prosperity

    C. Shariah compliance

    D. Usefulness

MC Learning House

Answer: D. Usefulness

12. **Q: Which institution acted as a guardian for minor children without parents in the early Islamic period?**

    A. Institution of ‘Aqilah

    B. Institution of Qasama

    C. Institution of Wasaya

    D. Institution of Mawalat

    Answer: C. Institution of Wasaya

13. **Q: What is the significance of the Institutions of ‘Aqilah and Qasama in the context of risk mitigation in Islam?**

    A. They facilitated trade agreements

    B. They provided legal arbitration

    C. They encouraged mutual cooperation in financial matters

    D. They shared responsibilities in uncertain situations

    Answer: D. They shared responsibilities in uncertain situations

14. **Q: How did these historical institutions align with Islamic principles regarding mutual cooperation and responsibility?**

    A. They contradicted Islamic principles

    B. They were irrelevant to Islamic teachings

    C. They exemplified mutual cooperation and responsibility

    D. They were considered sinful

    Answer: C. They exemplified mutual cooperation and responsibility

15. **Q: What does the term "Joint responsibility" refer to in the context of these historical institutions?**

    A. Shared financial liabilities

MC Learning House

B. Collective decision-making

C. Group business ventures

D. Legal partnerships

Answer: A. Shared financial liabilities

16. **Q: In what situations did the Institution of Qasama operate?**

A. Known murder cases

B. Unknown murder cases

C. Civil disputes

D. Business transactions

Answer: B. Unknown murder cases

17. **Q: What kind of arrangement did someone without any family have under the Institution of Mawalat?**

A. Joint business ownership

B. Marriage contract

C. Financial responsibilities for another person

D. Legal guardianship

Answer: C. Financial responsibilities for another person

18. **Q: How did the early Islamic practices related to risk mitigation align with the principles of Takaful?**

A. They opposed the principles of Takaful

B. They were unrelated to Takaful

C. They were in line with the principles of Takaful

D. They represented commercial transactions only

Answer: C. They were in line with the principles of Takaful

Mc Learning House

19. **Q: What concept is central to the Institution of Wasaya in the early Islamic period?**

    A. Legal arbitration

    B. Financial investments

    C. Guardianship for minor children

    D. Trading agreements

    Answer: C. Guardianship for minor children

20. **Q: What principle does the Institution of Mawalat embody in its contractual relations?**

    A. Equal financial contributions

    B. Mutual cooperation in business

    C. Financial responsibility for each other

    D. Legal partnership

    Answer: C. Financial responsibility for each other

Q&A:

1. **Q: What does Islam encourage regarding risk management techniques?**

   A: Islam encourages Muslims to adopt risk management techniques within the Shariah ambit.

2. **Q: How is the story of Hazrat Yaqoob and Hazrat Yousuf related to risk management in Islam?**

   A: The story illustrates instances of risk management, emphasizing the need for taking appropriate measures.

3. **Q: What advice did Prophet Muhammad (SAW) give regarding risk management, as narrated by Anas bin Malik (RA)?**

   A: "Tie the camel first and then leave it to Allah (SWT)."

4. **Q: How did Prophet Muhammad (SAW) exemplify risk management during the night of migration?**

MC Learning House

A: He asked Hazrat Ali to sleep in his bed, taking an alternate route to deceive non-believers.

5. **Q: What is the Prophet's (SAW) perspective on using medicine for health, as mentioned in one of the narrations?**

   A: Prophet Muhammad (SAW) advised using medicine, considering it part of Taqdeer (divine decree).

6. **Q: What does the Quran say about mutual cooperation among believers?**

   A: "Help ye one another in righteousness and piety, but help ye not one another in sin and rancor." (Quran 5:2)

7. **Q: According to the Hadith, how is the relationship among believers compared by Prophet Muhammad (SAW)?**

   A: The similitude of believers in mutual love and fellow-feeling is like that of a body; when one part aches, the whole body aches.

8. **Q: What reward is mentioned in a Hadith for removing a worldly hardship from a believer?**

   A: Allah (SWT) will alleviate hardships on the Day of Judgment for the one who removes a worldly hardship from a believer.

9. **Q: What practices involving joint responsibility and mutual cooperation existed in the early Islamic period?**

   A: Various institutions, such as ‘Aqilah, Qasama, Wasaya, and Mawalat.

10. **Q: What was the main function of the institution of ‘Aqilah in early Islamic society?**

    A: Sharing the burden of blood or wound money payment among friends, helpers, and relatives.

11. **Q: How did the institution of Qasama operate in situations where the murderer was unknown?**

    A: It worked similarly to ‘Aqilah, sharing the burden of financial responsibilities.

12. **Q: What role did the institution of Wasaya primarily serve in early Islamic society?**

    A: It acted as a guardian for minor children left without parents.

Mc Learning House

13. **Q: What was the primary objective of the institution of Mawalat in early Islamic practices?**

    A: Mawalat involved a contractual relation for someone without family to accept financial responsibilities in exchange for a bequest after death.

14. **Q: How did the early Islamic practices of ‘Aqilah, Qasama, Wasaya, and Mawalat contribute to society?**

    A: They facilitated joint responsibility, mutual cooperation, and resource pooling for various social needs.

15. **Q: What is the significance of the Prophet's (SAW) advice to "tie the camel first and then leave it to Allah"?**

    A: It emphasizes taking practical measures and precautions while trusting in Allah's ultimate decree.

16. **Q: How does Islam view the use of medicine for health-related issues?**

    A: Islam encourages the use of medicine as part of Taqdeer, acknowledging the role of human agency in seeking well-being.

17. **Q: How did Prophet Muhammad (SAW) exemplify risk management during the night of migration?**

    A: He asked Hazrat Ali to sleep in his bed and took an alternate route to deceive non-believers, demonstrating strategic planning.

18. **Q: According to Islam, what should be the focus of risk management techniques?**

    A: Risk management techniques should align with Shariah principles.

19. **Q: How did the early Islamic institutions of ‘Aqilah and Qasama address financial responsibilities?**

    A: They involved joint efforts to share the financial burden, particularly in cases where the murderer was unknown.

20. **Q: What lesson can be drawn from the Prophet's (SAW) advice to "tie the camel first and then leave it to Allah"?**

    A: It underscores the importance of taking practical steps and precautions in addition to relying on divine guidance.

Mc Learning House

187 Insurance and Takaful-13

MCQs:

1. **Q: What is the Arabic term commonly used for Shari'ah-compliant insurance?**

   A: a) Ta'min

   B: b) Takāful

   C: c) Tijarah

   D: d) Halalamin

   Answer: B (Takāful)

2. **Q: What does the term Takāful mean in Arabic, derived from the word Kifl?**

   A: a) Separation

   B: b) Junctions

   C: c) Disconnection

   D: d) Isolation

   Answer: B (Junctions)

3. **Q: In the Qur'an, the word Kifl is used in the context of:**

   A: a) Business transactions

   B: b) Sharing responsibilities

   C: c) Family relations

   D: d) Legal contracts

   Answer: C (Family relations)

4. **Q: What does the term Kafeel mean in Arabic?**

   A: a) Business partner

   B: b) Guardian or guarantor

Mc Learning House

C: c) Trader

D: d) Debtor

Answer: B (Guardian or guarantor)

5. **Q: When using the word Takāful, what does it imply about the responsibilities of individuals?**

   A: a) Isolation of responsibilities

   B: b) Joint or mutual guarantee

   C: c) Avoidance of liabilities

   D: d) Individual guarantees

   Answer: B (Joint or mutual guarantee)

6. **Q: In the context of Takāful, what does each person in the group become for the other?**

   A: a) Rival

   B: b) Contributor

   C: c) Guarantor

   D: d) Witness

   Answer: C (Guarantor)

7. **Q: How can Takāful be practically visualized among a group of members or participants?**

   A: a) As a method of individual guarantee

   B: b) As a method of isolation

   C: c) As a method of joint guarantee

   D: d) As a method of avoidance

   Answer: C (As a method of joint guarantee)

8. **Q: What is the primary objective of Takāful in practical terms?**

MC Learning House

A: a) Individual profit maximization

B: b) Joint guarantee among competitors

C: c) Sharing losses from a defined fund

D: d) Avoiding mutual support

Answer: C (Sharing losses from a defined fund)

9. **Q: What does mutual help among the group signify in the context of Takāful?**

A: a) Individual competition

B: b) Profit maximization

C: c) Mutual cooperation

D: d) Isolation

Answer: C (Mutual cooperation)

10. **Q: What is the primary concept reflected by the word Takāful?**

A: a) Individualism

B: b) Isolation

C: c) Mutual help or joint guarantee

D: d) Avoidance of responsibilities

Answer: C (Mutual help or joint guarantee)

11. **Q: What is the essential objective of Takāful regarding a defined loss?**

A: a) Ignoring the loss

B: b) Sharing the loss from a defined fund

C: c) Transferring the loss to a single entity

D: d) Avoiding responsibility for the loss

Answer: B (Sharing the loss from a defined fund)

MC Learning House

12. **Q: In Takāful, what does each member of the group contribute to?**

A: a) Individual profit

B: b) Joint fund

C: c) Separate funds

D: d) Individual losses

Answer: B (Joint fund)

13. **Q: What is the basic philosophy behind Takāful regarding supporting the needy?**

A: a) Individual gain

B: b) Mutual help among competitors

C: c) Joint effort to support the needy

D: d) Avoidance of mutual assistance

Answer: C (Joint effort to support the needy)

14. **Q: What does the term Takāful imply about the relationship among individuals in a group?**

A: a) Competition

B: b) Cooperation

C: c) Isolation

D: d) Avoidance

Answer: B (Cooperation)

15. **Q: In the context of Takāful, what does the term "joint guarantee" signify?**

A: a) Mutual avoidance

B: b) Mutual competition

C: c) Mutual cooperation

D: d) Mutual isolation

MC Learning House

Answer: C (Mutual cooperation)

16. **Q: What is the primary purpose of Takāful regarding the liability of loss or damage?**

    A: a) Avoidance

    B: b) Mutual responsibility

    C: c) Individual liability

    D: d) Isolation

    Answer: B (Mutual responsibility)

17. **Q: According to Takāful, what do members of the group undertake in case of loss or damage?**

    A: a) Ignoring the loss

    B: b) Avoiding responsibility

    C: c) Transferring responsibility to a single entity

    D: d) Undertaking liability on a mutual basis

    Answer: D (Undertaking liability on a mutual basis)

18. **Q: What is the fundamental philosophy of Takāful regarding loss or damage?**

    A: a) Individual avoidance

    B: b) Mutual responsibility

    C: c) Isolation of responsibilities

    D: d) Transferring responsibility to a single entity

    Answer: B (Mutual responsibility)

19. **Q: How does Takāful differ from conventional insurance in terms of mutual cooperation?**

    A: a) Emphasizes individualism

    B: b) Advocates mutual cooperation

MC Learning House

C: c) Promotes isolation

D: d) Encourages avoidance

Answer: B (Advocates mutual cooperation)

20. **Q: What does Takāful encourage among its members for the betterment of the group?**

    A: a) Individualism

    B: b) Mutual cooperation

    C: c) Isolation

    D: d) Competition

    Answer: B (Mutual cooperation)

Q&A:

1. **Q: What is the key concept behind Takaful in Islamic insurance?**

   A: The key concept behind Takaful is mutual cooperation and joint guarantee among a group of participants to share the financial losses.

2. **Q: How does the term "Takāful" reflect the Islamic approach to insurance?**

   A: The term "Takāful" signifies the idea of joint guarantee, reflecting a mutual and cooperative approach in handling financial risks.

3. **Q: In early Islamic practices, what was the purpose of the institution of ‘Aqilah?**

   A: The institution of ‘Aqilah aimed to provide support when an individual was unable to pay blood or wound money, with friends, helpers, and relatives jointly sharing the burden.

4. **Q: What was the role of the institution of Qasama in early Islamic practices?**

   A: The institution of Qasama worked to address situations where the murderer was unknown, providing a mechanism for resolving such cases.

5. **Q: Explain the purpose of the institution of Wasaya in early Islamic society.**

MC Learning House

A: The institution of Wasaya acted as a guardian for minor children left without parents, ensuring their supervision and care.

6. **Q: How did the institution of Mawalat function in early Islamic times?**

   A: The institution of Mawalat involved a contractual relationship where someone without a family accepted responsibility for the financial liabilities of another person, receiving the bequest after their death.

7. **Q: According to the scholars holding the view that insurance is completely unlawful, what is the primary objection based on?**

   A: The scholars argue that the concept of insurance goes against the principles of Taqdeer (predestination) and Tawakkul (reliance on Allah).

8. **Q: What is the main argument of scholars who support the permissibility of the concept of insurance but criticize its structure?**

   A: Scholars in this group acknowledge the acceptability of the insurance concept but criticize its structure, focusing on issues like Riba, Gharar, and Qimar.

9. **Q: How do scholars from the third view approach the permissibility of insurance in Islam?**

   A: Scholars from the third view emphasize that while Islam allows safety measures against risk, the method chosen must be Shariah-compliant, avoiding prohibited elements like Riba, Qimar, and Gharar.

10. **Q: What are the three major prohibited elements found in insurance contracts according to Shariah analysis?**

    A: The three major prohibited elements are Riba (interest), Gharar (doubt or uncertainty), and Maysir (gambling).

11. **Q: How does Riba manifest in insurance contracts from a Shariah perspective?**

    A: Riba in insurance contracts can arise from discrepancies between the premium paid and the compensation received, as well as from the investment of funds in interest-based opportunities.

12. **Q: What does the term Gharar signify in the context of Shariah analysis of insurance?**

    A: Gharar refers to doubt, uncertainty, risk, and deception. In insurance contracts, Gharar exists due to the uncertainty about major elements like premium, compensation, and time of payment.

MCLearning House

13. **Q: How is Maysir defined in the context of Shariah analysis of insurance?**

    A: Maysir is a form of gambling where gain or loss is contingent upon the occurrence of an uncertain event beyond the control of the parties involved.

14. **Q: Why do opponents of insurance argue against its permissibility in Islam?**

    A: Opponents argue that insurance contracts contain prohibited elements like Riba, Gharar, and Maysir, making them incompatible with Islamic principles.

15. **Q: What is the majority view regarding the permissibility of insurance after discussions among scholars?**

    A: The majority view asserts that for insurance to be considered permissible in Islam, it must be free from prohibited elements like Riba, Qimar, and Gharar.

16. **Q: According to the majority view, what is the role of Islamic institutions like Majlis Tahqiqat-e-Shar'iyyah and Islamic Fiqh Academy in determining permissibility?**

    A: Islamic institutions play a crucial role in determining permissibility by ensuring that insurance schemes adhere to Shariah principles, free from prohibited elements.

17. **Q: How does Islam encourage risk mitigation, as demonstrated in the story of Hazrat Yaqoob and Hazrat Yousuf?**

    A: Islam encourages risk mitigation by taking lawful safety measures, as seen in the story of Hazrat Yaqoob advising his sons to enter the city through different gates.

18. **Q: What is the significance of the Prophet Muhammad's instruction to tie the camel in relation to risk mitigation?**

    A: The instruction to tie the camel before trusting to the will of Allah emphasizes the importance of taking practical measures alongside relying on divine guidance.

19. **Q: How does the concept of cooperation and mutual support align with risk mitigation in Islam?**

    A: Islam promotes cooperation and mutual support, and the Prophet's examples highlight the importance of helping one another in times of hardship for overall well-being.

20. **Q: How does the philosophy of Takaful differ from conventional insurance in terms of mutual cooperation and responsibility?**

MCLearning House

A: Takaful emphasizes mutual cooperation and responsibility among its members, in contrast to conventional insurance, which often focuses on individualism and profit maximization.

188 Insurance and Takaful-14

MCQs:

1. **Q: When was the first contemporary Takaful company established?**

   a. 1960

   b. 1975

   c. 1979

   d. 1985

   Answer: c. 1979

2. **Q: In which country was the first contemporary Takaful company established in 1979?**

   a. Saudi Arabia

   b. Sudan

   c. UAE

   d. Malaysia

   Answer: b. Sudan

3. **Q: When did Malaysia prepare the first Takaful act, providing a legal framework for Takaful business?**

   a. 1979

   b. 1984

   c. 1985

   d. 1990

   Answer: b. 1984

MC Learning House

4. **Q: In which year did Takaful Malaysia start its business and prove to be successful?**

    a. 1980

    b. 1985

    c. 1990

    d. 1995

    Answer: b. 1985

5. **Q: How many Takaful companies are currently operating around the world?**

    a. 100

    b. 200

    c. 300

    d. 400

    Answer: c. 300

6. **Q: In which year was the Takaful Act passed in Pakistan?**

    a. 1995

    b. 2000

    c. 2005

    d. 2010

    Answer: c. 2005

7. **Q: When did the first Takaful company, Pak-Kuwait Takaful Limited, start its operation in Pakistan?**

    a. 2005

    b. 2006

    c. 2010

    d. 2015

MC Learning House

Answer: b. 2006

8. **Q: How many Takaful companies are currently operating in Pakistan?**

   a. 2

   b. 3

   c. 4

   d. 5

   Answer: d. 5

9. **Q: In which year did SECP allow conventional insurance companies in Pakistan to offer Takaful products?**

   a. 2010

   b. 2012

   c. 2015

   d. 2018

   Answer: c. 2015

10. **Q: How many Takaful companies are currently operating in Pakistan, offering Family Takaful products?**

    a. 1

    b. 2

    c. 3

    d. 4

    Answer: b. 2

11. **Q: How many Takaful companies are currently operating in Pakistan, offering General Takaful products?**

    a. 1

    b. 2

MC Learning House

c. 3

d. 4

Answer: c. 3

12. **Q: When did SECP allow conventional insurance companies to offer Takaful products in Pakistan?**

a. 2010

b. 2012

c. 2015

d. 2018

Answer: c. 2015

13. **Q: What term is commonly used for Islamic insurance in Arabic?**

a. Ta'amin

b. Takāful

c. Tawakkul

d. Taqdeer

Answer: b. Takāful

14. **Q: Which term is the word "Takāful" derived from?**

a. Kaamil

b. Kifl

c. Khalil

d. Khair

Answer: b. Kifl

15. **Q: What does the word "Kifl" mean in the context of Takaful?**

a. Contribution

MC Learning House

b. Junctions

c. Guarantee

d. Mutual

Answer: c. Guarantee

16. **Q: What is the primary objective of Takaful in handling financial losses?**

a. Individual profit

b. Mutual help

c. Premium maximization

d. Stock market investments

Answer: b. Mutual help

17. **Q: In Takaful, what do members of the group pool together to support?**

a. Premiums

b. Investments

c. The needy

d. Profits

Answer: c. The needy

18. **Q: How does Takaful differ from conventional insurance in terms of philosophy?**

a. Individualism

b. Profit maximization

c. Mutual cooperation

d. Risk avoidance

Answer: c. Mutual cooperation

19. **Q: What is the significance of the instruction to tie the camel in relation to risk mitigation?**

MC Learning House

a. It symbolizes reliance on fate alone

b. It emphasizes the importance of practical measures

c. It encourages risk-taking

d. It discourages preparation

Answer: b. It emphasizes the importance of practical measures

20. **Q: How does the concept of cooperation and mutual support align with risk mitigation in Islam?**

a. It encourages individualism

b. It promotes risk avoidance

c. It aligns with risk mitigation by helping each other

d. It discourages helping others in times of hardship

Answer: c. It aligns with risk mitigation by helping each other

Q&A:

1. **Q: What is the Arabic translation of the word "insurance"?**

   A: In Arabic, "insurance" is translated as "Ta'min," but the term commonly used for Shari'ah-compliant insurance is "Takaful."

2. **Q: What does the term "Takaful" mean in Arabic?**

   A: The term "Takaful" is derived from "Kifl," meaning junctions or addition, sharing the burden or responsibility.

3. **Q: How can Takaful be visualized in practical terms?**

   A: Takaful can be visualized as a method of joint guarantee among a group of members or participants who agree to undertake the liability of a loss or damage as defined in the contract.

4. **Q: What is the historical significance of the term "Kafeel" in Arabic?**

   A: In Arabic, "Kafeel" means guardian or guarantor, reflecting the idea of each participant being a guarantor of the other person in Takaful.

MC Learning House

5. **Q: What was the first contemporary Takaful company, and in which year was it established?**

   A: The first contemporary Takaful company was established in Sudan in 1979.

6. **Q: In 1984, which country prepared the first Takaful act, providing a legal framework for Takaful business?**

   A: Malaysia prepared the first Takaful act in 1984.

7. **Q: When did Takaful Malaysia start its business and prove to be successful?**

   A: Takaful Malaysia started its business in 1985 and proved to be successful.

8. **Q: How many Takaful companies are currently operating around the world?**

   A: More than 300 Takaful companies are currently operating globally.

9. **Q: When was the Takaful Act passed in Pakistan, and what was its significance?**

   A: The Takaful Act was passed in Pakistan in 2005, providing a legal framework for the operation of Takaful companies in the country.

10. **Q: In what year did the first Takaful company, Pak-Kuwait Takaful Limited, start its operation in Pakistan?**

    A: Pak-Kuwait Takaful Limited started its operation in Pakistan in 2006.

11. **Q: How many Takaful companies are currently operating in Pakistan, and what are their categories?**

    A: There are currently 5 Takaful companies operating in Pakistan, including 2 Family Takaful companies and 3 General Takaful companies.

12. **Q: In 2015, what decision did SECP make regarding conventional insurance companies in Pakistan?**

    A: In 2015, SECP allowed conventional insurance companies in Pakistan to offer Takaful products alongside insurance products.

13. **Q: What is the current status of Takaful companies offering products through windows in Pakistan?**

    A: Many insurance companies have started offering Takaful products through windows, and remaining companies are preparing to start Takaful windows.

MC Learning House

14. **Q: What does the term "Taqdeer" mean in the context of risk mitigation in Islam?**

    A: "Taqdeer" refers to destiny or fate. Islam encourages the adoption of risk-management techniques within the framework of Shariah, recognizing that destiny is not opposed to taking safety measures.

15. **Q: According to the story of Hazrat Yaqoob and Hazrat Yousuf, what are the two incidents of risk management mentioned in the Qur'an?**

    A: The Qur'an mentions two incidents of risk management in the story of Hazrat Yaqoob and Hazrat Yousuf (AAS).

16. **Q: What advice did the Prophet (SAW) give to a Bedwin Arab regarding his untied camel?**

    A: The Prophet (SAW) advised the Bedwin Arab to tie the camel first and then leave it to Allah (SWT).

17. **Q: How does the Prophet (SAW) establish an example for Muslims in risk mitigation?**

    A: The Prophet (SAW) establishes examples for Muslims by instructing them to help each other and remove hardships from others.

18. **Q: According to a hadith narrated by Abu Huraira (RA), what does the removal of a worldly hardship from a believer lead to?**

    A: Whosoever removes a worldly hardship from a believer, Allah (SWT) will remove from him one of the hardships of the Day of Judgment.

19. **Q: What are some historical practices similar to insurance in early Islamic periods?**

    A: Some historical practices include the Institution of ‘Aqilah, Institution of Qasama, Institution of Wasaya, and Institution of Mawalat.

20. **Q: How many Takaful companies are presently operating in Malaysia?**

    A: Information not provided.

MC Learning House

189 Insurance and Takaful-15

MCQs:

1. **What makes the contract of Insurance considered unlawful by scholars?**

a) Lack of transparency

b) Prohibited elements

c) Excessive premiums

d) Non-disclosure of information

Answer: b) Prohibited elements

2. **How is the contract of Takaful structured to comply with Islamic principles?**

a) Allowing interest

b) Including prohibited elements

c) Removing or converting prohibited elements

d) Ignoring the principles

Answer: c) Removing or converting prohibited elements

3. **What type of contract is a Takaful contract considered?**

a) Commercial contract

b) Sales contract

c) Donation contract (Aqd e Tabarru)

d) Lease contract

Answer: c) Donation contract (Aqd e Tabarru)

4. **How does the change in the nature of the Takaful contract affect the element of Gharar?**

a) Increases Gharar

b) Makes Gharar acceptable

c) Eliminates Gharar

d) Does not affect Gharar

Answer: c) Eliminates Gharar

MC Learning House

5. **Which elements, prohibited in commercial contracts, disappear in Takaful contracts?**

    a) Interest (Riba)

    b) Gharar

    c) Maysir

    d) All of the above

    Answer: d) All of the above

6. **How are the elements of Riba al-Fadl and Maysir addressed in Takaful contracts?**

    a) Ignored

    b) Eliminated

    c) Modified

    d) Encouraged

    Answer: b) Eliminated

7. **What do Takaful companies invest their funds in, to resolve the problem of Riba al-Nasiyah?**

    a) Conventional investments

    b) Shariah-approved investment opportunities

    c) Speculative investments

    d) Interest-based investments

    Answer: b) Shariah-approved investment opportunities

8. **Why the Takaful contract is considered a donation contract?**

    a) It involves high premiums

    b) It eliminates the need for donations

    c) One party gives without expecting in return

MC Learning House

d) It is a sales contract

Answer: c) One party gives without expecting in return

9. **In Takaful, what happens to the prohibited elements found in commercial contracts?**

   a) They are encouraged

   b) They are retained

   c) They are converted into acceptable forms

   d) They are ignored

   Answer: c) They are converted into acceptable forms

10. **What problem is resolved by Takaful companies investing only in Shariah-approved opportunities?**

    a) Gharar

    b) Riba al-Fadl

    c) Riba al-Nasiyah

    d) Maysir

    Answer: c) Riba al-Nasiyah

11. **Which type of contract does not allow the presence of Gharar, Riba, and Maysir?**

    a) Commercial contract

    b) Takaful contract

    c) Lease contract

    d) Sales contract

    Answer: b) Takaful contract

12. **What is the primary characteristic of a Takaful contract that distinguishes it from an Insurance contract?**

    a) High premiums

MC Learning House

b) Interest-based investments

c) Shariah compliance

d) Commercial nature

Answer: c) Shariah compliance

13. **How are prohibited elements treated in the structure of a Takaful contract?**

a) Ignored

b) Modified

c) Removed or converted

d) Encouraged

Answer: c) Removed or converted

14. **What term is used for the Takaful contract in which one party gives without expecting anything in return?**

a) Sales contract

b) Charity contract

c) Donation contract (Aqd e Tabarru)

d) Commercial contract

Answer: c) Donation contract (Aqd e Tabarru)

15. **Why Gharar is considered unacceptable in commercial contracts?**

a) It increases transparency

b) It introduces uncertainty and ambiguity

c) It reduces risk

d) It promotes fair dealings

Answer: b) It introduces uncertainty and ambiguity

MC Learning House

16. **What role do Takaful companies play in addressing the issue of Riba in financial transactions?**

    a) Encouraging Riba

    b) Ignoring Riba

    c) Eliminating Riba

    d) Promoting Riba

    Answer: c) Eliminating Riba

17. **How does the nature of the Takaful contract affect the treatment of Gharar?**

    a) It increases Gharar

    b) It makes Gharar acceptable

    c) It eliminates Gharar

    d) It has no impact on Gharar

    Answer: c) It eliminates Gharar

18. **What is the primary reason for the prohibition of certain elements in commercial contracts?**

    a) To increase risk

    b) To encourage speculation

    c) To ensure fairness and justice

    d) To discourage donations

    Answer: c) To ensure fairness and justice

19. **What contract type allows Takaful companies to invest only in Shariah-approved opportunities?**

    a) Donation contract

    b) Commercial contract

    c) Lease contract

MC Learning House

d) Investment contract

Answer: a) Donation contract

20. **Why Gharar is considered undesirable in financial transactions?**

a) It promotes transparency

b) It introduces excessive risk and uncertainty

c) It ensures profitability

d) It eliminates profit-sharing

Answer: b) It introduces excessive risk and uncertainty

Q&A:

1. **Q: What elements in the contract of Insurance make it unlawful according to scholars?**

   A: Scholars consider the presence of prohibited elements in the Insurance contract, making it unlawful.

2. **Q: How is the contract of Takaful structured to comply with Islamic principles?**

   A: The Takaful contract is structured to either remove or convert prohibited elements, ensuring Shariah compliance.

3. **Q: What type of contract is a Takaful contract, and how does it differ from conventional contracts?**

   A: A Takaful contract is a donation contract (Aqd e Tabarru), where one party gives without expecting anything in return, distinguishing it from commercial contracts.

4. **Q: How does the change in the nature of the Takaful contract affect the element of Gharar?**

   A: The change eliminates Gharar, making it acceptable in the Takaful contract.

5. **Q: Which prohibited elements found in commercial contracts disappear in Takaful contracts?**

   A: The elements of Riba, Gharar, and Maysir disappear in Takaful contracts.

MC Learning House

6. **Q: How are the elements of Riba al-Fadl and Maysir addressed in Takaful contracts?**

   A: These elements are eliminated in Takaful contracts.

7. **Q: Why do Takaful companies invest their funds only in Shariah-approved investment opportunities?**

   A: To resolve the problem of Riba al-Nasiyah, Takaful companies ensure their investments are in line with Shariah principles.

8. **Q: What characterizes the Takaful contract, making it a donation contract?**

   A: The Takaful contract involves one party giving without expecting anything in return, similar to a donation.

9. **Q: How are prohibited elements from commercial contracts treated in the structure of a Takaful contract?**

   A: Prohibited elements are either removed or converted into acceptable forms in the structure of a Takaful contract.

10. **Q: What problem is resolved by Takaful companies investing only in Shariah-approved opportunities?**

    A: Takaful companies address the issue of Riba al-Nasiyah by restricting their investments to Shariah-approved opportunities.

11. **Q: What distinguishes the Takaful contract from an Insurance contract?**

    A: The primary distinction is the Shariah compliance of the Takaful contract compared to the Insurance contract.

12. **Q: How are prohibited elements treated in the structure of a Takaful contract?**

    A: Prohibited elements are either removed or converted into acceptable forms in the structure of a Takaful contract.

13. **Q: What term is used for the Takaful contract where one party gives without expecting anything in return?**

    A: The Takaful contract is termed as a Donation contract (Aqd e Tabarru).

14. **Q: Why is Gharar considered unacceptable in commercial contracts?**

MC Learning House

A: Gharar is considered unacceptable in commercial contracts as it introduces uncertainty and ambiguity.

15. **Q: How do Takaful companies contribute to eliminating Riba in financial transactions?**

    A: Takaful companies contribute by investing only in opportunities that align with Shariah principles, thereby eliminating Riba.

16. **Q: How does the nature of the Takaful contract affect the treatment of Gharar?**

    A: The nature of the Takaful contract eliminates Gharar, making it acceptable in this specific context.

17. **Q: What is the primary reason for prohibiting certain elements in commercial contracts?**

    A: The primary reason is to ensure fairness and justice in commercial dealings.

18. **Q: In what type of contract do Takaful companies invest only in Shariah-approved opportunities?**

    A: Takaful companies invest in Shariah-approved opportunities within the framework of a Donation contract.

19. **Q: Why is Gharar considered undesirable in financial transactions?**

    A: Gharar is undesirable in financial transactions as it introduces excessive risk and uncertainty.

20. **Q: How does the Takaful contract ensure Shariah compliance, distinguishing it from conventional contracts?**

    A: The Takaful contract ensures Shariah compliance by structuring itself to eliminate or convert prohibited elements.

MC Learning House

190 Insurance and Takaful-16

MCQs:

1. **What is the concept that Takaful business initially started with?**

    a) Murabaha

    b) Mudarabah

c) Wakalah

d) Waqf

Answer: b) Mudarabah

2. **In which countries was the Mudarabah model initially used for Takaful?**

a) Sudan and Malaysia

b) Saudi Arabia and Pakistan

c) Turkey and Indonesia

d) UAE and Qatar

Answer: a) Sudan and Malaysia

3. **Which of the following is NOT one of the Takaful models mentioned in the passage?**

a) Mudarabah Model

b) Wakalah Model

c) Musharakah Model

d) Waqf Wakalah Model

Answer: c) Musharakah Model

4. **What model emerged as an alternative to the Mudarabah model when scholars raised Shariah-related issues?**

a) Musharakah Model

b) Wakalah Model

c) Waqf Wakalah Model

d) Murabaha Model

Answer: b) Wakalah Model

5. **Which model came into existence as a refinement after the objections raised about the Mudarabah model?**

MC Learning House

a) Musharakah Model

b) Wakalah Model

c) Waqf Wakalah Model

d) Murabaha Model

Answer: c) Waqf Wakalah Model

6. **What is the current stage of refinement in Takaful models mentioned in the passage?**

a) Mudarabah Model

b) Wakalah Model

c) Waqf Wakalah Model

d) Continuous improvement and research

Answer: d) Continuous improvement and research

7. **What was the reason for the emergence of the Wakalah model as an alternative to the Mudarabah model?**

a) Lack of transparency

b) Shariah-related issues

c) Excessive premiums

d) Non-disclosure of information

Answer: b) Shariah-related issues

8. **Which model came into existence after further refinement when objections to the Wakalah model persisted?**

a) Mudarabah Model

b) Wakalah Model

c) Waqf Wakalah Model

d) Musharakah Model

MC Learning House

Answer: c) Waqf Wakalah Model

9. **What is the focus of the ongoing research mentioned in the passage?**

   a) Increasing premiums

   b) Improving transparency

   c) Enhancing Shariah compatibility

   d) Ignoring Shariah principles

   Answer: c) Enhancing Shariah compatibility

10. **What concept is used in the Waqf Wakalah model for further refinement in Takaful?**

    a) Continuous improvement

    b) Wakalah

    c) Waqf

    d) Musharakah

    Answer: c) Waqf

11. **In which countries did the Takaful business undergo an evolutionary process according to the passage?**

    a) Turkey and Indonesia

    b) Saudi Arabia and Pakistan

    c) Sudan and Malaysia

    d) UAE and Qatar

    Answer: c) Sudan and Malaysia

12. **What is the primary characteristic of the Mudarabah model in Takaful?**

    a) Transparent premiums

    b) Shariah-related issues

MC Learning House

c) Profit-sharing arrangement

d) Interest-based investments

Answer: c) Profit-sharing arrangement

13. **What model is mentioned as an alternative when objections were raised about the Mudarabah model?**

a) Wakalah Model

b) Waqf Wakalah Model

c) Musharakah Model

d) Murabaha Model

Answer: a) Wakalah Model

14. **What model was introduced as a refinement after objections to both the Mudarabah and Wakalah models?**

a) Musharakah Model

b) Continuous improvement model

c) Waqf Wakalah Model

d) Murabaha Model

Answer: c) Waqf Wakalah Model

15. **What is the role of ongoing research in the development of Takaful models?**

a) Ignoring Shariah principles

b) Focusing on non-disclosure of information

c) Bringing more Shariah-compatible models

d) Encouraging excessive premiums

Answer: c) Bringing more Shariah-compatible models

16. **Which model is considered an alternative to the Mudarabah model due to Shariah-related issues?**

MC Learning House

a) Wakalah Model

b) Waqf Wakalah Model

c) Musharakah Model

d) Murabaha Model

Answer: a) Wakalah Model

17. **What is the significance of the Waqf Wakalah model in Takaful business?**

a) It eliminates all objections

b) It addresses ongoing research

c) It provides continuous improvement

d) It represents further refinement

Answer: d) It represents further refinement

18. **What is the primary characteristic of the Wakalah model in Takaful?**

a) Profit-sharing arrangement

b) Continuous improvement

c) Transparent premiums

d) Waqf concept

Answer: c) Transparent premiums

19. **What is the main focus of the refinement in Takaful models according to the passage?**

a) Ignoring Shariah principles

b) Continuous improvement and research

c) Focusing on excessive premiums

d) Avoiding transparency

Answer: b) Continuous improvement and research

MC Learning House

20. **What concept is mentioned as a form of refinement in the Waqf Wakalah model?**

a) Continuous improvement

b) Musharakah

c) Waqf

d) Murabaha

Answer: c) Waqf

Q&A:

1. **Q: What was the initial concept that Takaful business started with?**

   A: Takaful business initially started with the concept of Mudarabah.

2. **Q: In which countries was the Mudarabah model initially used for Takaful?**

   A: The Mudarabah model was initially used for Takaful in Sudan and Malaysia.

3. **Q: What are the three models mentioned in the passage that are currently used in Takaful business?**

   A: The three models mentioned are i) Mudarabah Model, ii) Wakalah Model, iii) Waqf Wakalah Model.

4. **Q: What model emerged as an alternative to the Mudarabah model when scholars raised Shariah-related issues?**

   A: The Wakalah model emerged as an alternative to the Mudarabah model.

5. **Q: What refinement came after objections were raised about the Mudarabah model?**

   A: The Waqf Wakalah model emerged as a refinement after objections to the Mudarabah model.

6. **Q: What is the current focus of research mentioned in the passage regarding Takaful models?**

   A: The current focus of research is to bring more Shariah-compatible models of Takaful.

MC Learning House

7. **Q: Why did the Wakalah model emerge as an alternative to the Mudarabah model?**

   A: The Wakalah model emerged due to Shariah-related issues raised about the Mudarabah model.

8. **Q: What refinement followed the objections to both Mudarabah and Wakalah models?**

   A: The Waqf Wakalah model followed as a refinement after objections to both Mudarabah and Wakalah models.

9. **Q: What is the current stage of development in Takaful models, as mentioned in the passage?**

   A: The current stage involves continuous improvement, and research is ongoing to bring more Shariah-compatible models.

10. **Q: What concept is used in the Waqf Wakalah model for further refinement in Takaful?**

    A: The concept of Waqf is used in the Waqf Wakalah model for further refinement in Takaful.

11. **Q: In which countries did Takaful business undergo an evolutionary process?**

    A: Takaful business underwent an evolutionary process in Sudan and Malaysia.

12. **Q: What is the primary characteristic of the Mudarabah model in Takaful?**

    A: The Mudarabah model involves a profit-sharing arrangement.

13. **Q: What model emerged as an alternative when objections were raised about the Mudarabah model?**

    A: The Wakalah model emerged as an alternative.

14. **Q: What model was introduced as a refinement after objections to both Mudarabah and Wakalah models?**

    A: The Waqf Wakalah model was introduced as a refinement.

15. **Q: What is the role of ongoing research in the development of Takaful models?**

    A: Ongoing research aims to bring more Shariah-compatible models in the Takaful industry.

MCLearning House

16. **Q: Which model is considered an alternative to the Mudarabah model due to Shariah-related issues?**

    A: The Wakalah model is considered an alternative.

17. **Q: What is the significance of the Waqf Wakalah model in Takaful business?**

    A: The Waqf Wakalah model represents further refinement in Takaful business.

18. **Q: What is the primary characteristic of the Wakalah model in Takaful?**

    A: The Wakalah model involves transparent premiums.

19. **Q: What is the main focus of the refinement in Takaful models according to the passage?**

    A: The main focus is on continuous improvement and research.

20. **Q: What concept is mentioned as a form of refinement in the Waqf Wakalah model?**

    A: The concept of Waqf is mentioned as a form of refinement in the Waqf Wakalah model.

191 Insurance and Takaful-17

MCQs:

1. **What is the primary focus of the Mudarabah Model in Takaful?**

   a) Risk-sharing

   b) Profit-sharing

   c) Transparency

   d) Fixed premiums

   Answer: b) Profit-sharing

2. **Under the Mudarabah Model, what types of Takaful products are offered?**

   a) Personal Takaful

   b) Business Takaful

MC Learning House

c) Family Takaful and General Takaful

d) Health Takaful

Answer: c) Family Takaful and General Takaful

3. **In Family Takaful under the Mudarabah Model, what is each participant asked to give?**

   a) Fixed premium

   b) Unlimited contribution

   c) Defined amount as contribution

   d) Variable contribution

   Answer: c) Defined amount as contribution

4. **What are the two separate accounts into which the contribution in Family Takaful is divided?**

   a) Savings Account and Investment Account

   b) Mudarabah Account and Wakalah Account

   c) Participants' Account (PA) and Participants' Special Account (PSA)

   d) Premium Account and Benefit Account

   Answer: c) Participants' Account (PA) and Participants' Special Account (PSA)

5. **What is the purpose of the Participants' Account (PA) in Family Takaful under the Mudarabah Model?**

   a) Investment opportunities

   b) Payment of Takaful benefits

   c) Administrative expenses

   d) Savings and investment

   Answer: d) Savings and investment

MC Learning House

6. **Where is the remaining contribution in Family Takaful under the Mudarabah Model credited?**

    a) Administrative Fund

    b) Participants' Account (PA)

    c) Participants' Special Account (PSA)

    d) Investment Account

    Answer: c) Participants' Special Account (PSA)

7. **What is the purpose of crediting the contribution into the Participants' Special Account (PSA)?**

    a) Administrative expenses

    b) Investment opportunities

    c) Payment of Takaful benefits

    d) As 'tabarru' for Takaful benefits

    Answer: d) As 'tabarru' for Takaful benefits

8. **What does the PSA stand for in the context of the Mudarabah Model?**

    a) Premium Savings Account

    b) Participants' Special Account

    c) Profit Sharing Account

    d) Policyholder Savings Account

    Answer: b) Participants' Special Account

9. **How is the amount accumulated in both the Participants' Account (PA) and Participants' Special Account (PSA) invested?**

    a) Only in non-Shariah compliant opportunities

    b) In various permissible investment opportunities

    c) In speculative investments

MC Learning House

d) In interest-based investments

Answer: b) In various permissible investment opportunities

10. **What is the primary purpose of investing the accumulated amount in permissible opportunities?**

    a) Maximizing administrative expenses

    b) Generating profits for the Takaful company

    c) Ensuring transparency

    d) Meeting the participants' savings goals

    Answer: b) Generating profits for the Takaful company

11. **How are the resultant profits divided between the Takaful company and the participants under the Mudarabah Model?**

    a) Equal distribution

    b) Solely to the participants

    c) According to the agreed-upon ratio

    d) Only to the Takaful company

    Answer: c) According to the agreed-upon ratio

12. **What share does the Takaful company receive from the resultant profits under the Mudarabah Model?**

    a) Majority share

    b) Equal share

    c) Share of Mudarib

    d) Minimal share

    Answer: c) Share of Mudarib

13. **What role does the Takaful company play in the Mudarabah Model in terms of capital?**

MC Learning House

a) It does not invest its own capital

b) It invests its own capital and receives a proportionate share from the profit

c) It solely relies on participants' capital

d) It does not receive any share from the profit

Answer: b) It invests its own capital and receives a proportionate share from the profit

14. **What is the primary characteristic of the Mudarabah Model in Takaful?**

a) Fixed premiums

b) Profit-sharing arrangement

c) Unlimited contributions

d) Non-transparent structure

Answer: b) Profit-sharing arrangement

15. **What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

a) Administrative expenses

b) Participants' Account (PA)

c) Participants' Special Account (PSA)

d) Tabarru for Takaful benefits

Answer: b) Participants' Account (PA)

16. **What is the purpose of the Participants' Special Account (PSA) in Family Takaful under the Mudarabah Model?**

a) Investment opportunities

b) Payment of Takaful benefits

c) Administrative expenses

d) Savings and investment

MC Learning House

Answer: b) Payment of Takaful benefits

17. **Where is the remaining contribution in Family Takaful under the Mudarabah Model credited?**

    a) Administrative Fund

    b) Participants' Account (PA)

    c) Participants' Special Account (PSA)

    d) Investment Account

    Answer: c) Participants' Special Account (PSA)

18. **What concept is used in the Mudarabah Model to credit a portion of the contribution into the Participants' Special Account (PSA)?**

    a) Wakalah

    b) Tabarru

    c) Mudarib

    d) Waqf

    Answer: b) Tabarru

19. **What accounts are credited for the purpose of savings and investment in Family Takaful under the Mudarabah Model?**

    a) Participants' Account (PA) only

    b) Participants' Special Account (PSA) only

    c) Both Participants' Account (PA) and Participants' Special Account (PSA)

    d) Administrative Fund

    Answer: c) Both Participants' Account (PA) and Participants' Special Account (PSA)

20. **What is the final stage in the Mudarabah Model, as mentioned in the passage?**

    a) Continuous improvement

MC Learning House

b) Profit distribution

c) Shariah compliance

d) Reinvestment of profits

Answer: b) Profit distribution

Q&A:

1. **Q: What is the primary focus of the Mudarabah Model in Takaful?**

   A: The Mudarabah Model in Takaful primarily focuses on profit-sharing arrangements.

2. **Q: What types of Takaful products are offered under the Mudarabah Model?**

   A: Two types of Takaful products offered are i) Family Takaful and ii) General Takaful.

3. **Q: In Family Takaful under the Mudarabah Model, what is each participant required to give?**

   A: Each participant is required to give a defined amount as a contribution to the Takaful operator.

4. **Q: How is the contribution in Family Takaful under the Mudarabah Model divided among different accounts?**

   A: The contribution is divided into the Participants' Account (PA) and the Participants' Special Account (PSA).

5. **Q: What is the purpose of the Participants' Account (PA) in Family Takaful under the Mudarabah Model?**

   A: The PA is used for savings and investment, receiving a substantial proportion of the contribution.

6. **Q: Where is the remaining contribution in Family Takaful under the Mudarabah Model credited, and for what purpose?**

   A: The remaining contribution is credited into the PSA as 'tabarru' for Takaful benefits to be paid to the heirs of participants who may die before the maturity of the contract.

Mc Learning House

7. **Q: What is the significance of the PSA in the Mudarabah Model?**

   A: The PSA serves as a fund for 'tabarru,' contributing to Takaful benefits for the heirs of deceased participants.

8. **Q: How is the accumulated amount in both the Participants' Account (PA) and Participants' Special Account (PSA) invested?**

   A: The accumulated amount is invested in various permissible investment opportunities.

9. **Q: What is the primary purpose of investing the accumulated amount in permissible opportunities?**

   A: The primary purpose is to generate profits for the Takaful company.

10. **Q: How are the resultant profits divided between the Takaful company and the participants under the Mudarabah Model?**

    A: The profits are divided between the Takaful company (Share of Mudarib) and the participants according to the agreed-upon ratio.

11. **Q: What role does the Takaful company play in the Mudarabah Model in terms of capital?**

    A: The Takaful company invests its own capital and receives a proportionate share from the profit.

12. **Q: What is the primary characteristic of the Mudarabah Model in Takaful?**

    A: The primary characteristic is the profit-sharing arrangement.

13. **Q: What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

    A: A substantial proportion is credited to the Participants' Account (PA) for savings and investment.

14. **Q: What is the purpose of the Participants' Special Account (PSA) in Family Takaful under the Mudarabah Model?**

    A: The PSA serves as 'tabarru' for Takaful benefits, providing financial support to the heirs of deceased participants.

15. **Q: Where is the remaining contribution in Family Takaful under the Mudarabah Model credited?**

MC Learning House

A: The remaining contribution is credited into the Participants' Special Account (PSA).

16. **Q: What concept is used in the Mudarabah Model to credit a portion of the contribution into the Participants' Special Account (PSA)?**

    A: The concept of 'tabarru' is used to credit a portion into the Participants' Special Account (PSA).

17. **Q: What accounts are credited for the purpose of savings and investment in Family Takaful under the Mudarabah Model?**

    A: Both the Participants' Account (PA) and the Participants' Special Account (PSA) are credited for savings and investment.

18. **Q: What is the final stage in the Mudarabah Model, as mentioned in the passage?**

    A: The final stage is profit distribution.

19. **Q: What is the focus of the Mudarabah Model in Takaful with regards to participant contributions?**

    A: The focus is on defining and contributing a specified amount by each participant.

20. **Q: How does the Mudarabah Model contribute to the financial well-being of participants and their heirs?**

    A: The model contributes by creating savings, investments, and a 'tabarru' fund to support the heirs of deceased participants.

192 Insurance and Takaful-18

MCQs:

1. **How is the first share of each participant calculated in the Mudarabah Model for Family Takaful?**

    a) Fixed amount

    b) Percentage of premium

    c) Calculated from the total profit

    d) Equal for all participants

MC Learning House

Answer: c) Calculated from the total profit

2. **Where is the first share of each participant credited in the Mudarabah Model for Family Takaful?**

    a) Participants' Account (PA) only

    b) Participants' Special Account (PSA) only

    c) Both PA and PSA

    d) Administrative Fund

    Answer: c) Both PA and PSA

3. **How does the Takaful company finance its administrative expenditures in the Mudarabah Model for Family Takaful?**

    a) From participants' contributions

    b) From investment profits

    c) From its own income

    d) Through external loans

    Answer: c) From its own income

4. **In the Mudarabah Model for Family Takaful, where are claims and other Takaful business expenses paid from?**

    a) Participants' Account (PA)

    b) Participants' Special Account (PSA)

    c) Shareholders Fund

    d) Administrative Fund

    Answer: b) Participants' Special Account (PSA)

5. **What is the remaining amount after paying claims and other Takaful business expenses in the Mudarabah Model called?**

    a) Surplus

MC Learning House

b) Administrative income

c) Premiums

d) Deficit

Answer: a) Surplus

6. **What is the potential outcome of the surplus in the Mudarabah Model for Family Takaful?**

a) It is allocated to the Shareholders Fund

b) It may be distributed among the participants

c) It is invested in non-Shariah compliant opportunities

d) It is retained by the Takaful company

Answer: b) It may be distributed among the participants

7. **In the financial structure presented in the passage, what does FTF stand for?**

a) Family Takaful Fund

b) Financial Takaful Framework

c) Fund for Takaful

d) Fixed Takaful Fund

Answer: a) Family Takaful Fund

8. **What does PA stand for in the context of the Mudarabah Model for Family Takaful?**

a) Premium Account

b) Participants' Account

c) Profit Allocation

d) Policyholder's Account

Answer: b) Participants' Account

MC Learning House

9. **What is the role of PSA in the Mudarabah Model for Family Takaful?**

    a) It accumulates savings for participants

    b) It pays administrative expenses

    c) It serves as a 'tabarru' fund for Takaful benefits

    d) It is invested in speculative opportunities

    Answer: c) It serves as a 'tabarru' fund for Takaful benefits

10. **What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    a) Profit maximization

    b) Administrative efficiency

    c) Generating surplus

    d) Providing Takaful benefits to participants

    Answer: d) Providing Takaful benefits to participants

11. **Which account is primarily used for savings and investment in the Mudarabah Model for Family Takaful?**

    a) Participants' Account (PA)

    b) Participants' Special Account (PSA)

    c) Family Takaful Fund (FTF)

    d) Shareholders Fund

    Answer: a) Participants' Account (PA)

12. **What is the purpose of the Participants' Special Account (PSA) in Family Takaful under the Mudarabah Model?**

    a) Investment opportunities

    b) Payment of Takaful benefits

    c) Administrative expenses

MC Learning House

d) Savings and investment

Answer: b) Payment of Takaful benefits

13. **Where is the remaining contribution in Family Takaful under the Mudarabah Model credited?**

a) Administrative Fund

b) Participants' Account (PA)

c) Participants' Special Account (PSA)

d) Investment Account

Answer: c) Participants' Special Account (PSA)

14. **What concept is used in the Mudarabah Model to credit a portion of the contribution into the Participants' Special Account (PSA)?**

a) Wakalah

b) Tabarru

c) Mudarib

d) Waqf

Answer: b) Tabarru

15. **What accounts are credited for the purpose of savings and investment in Family Takaful under the Mudarabah Model?**

a) Participants' Account (PA) only

b) Participants' Special Account (PSA) only

c) Both Participants' Account (PA) and Participants' Special Account (PSA)

d) Administrative Fund

Answer: c) Both Participants' Account (PA) and Participants' Special Account (PSA)

16. **What is the final stage in the Mudarabah Model, as mentioned in the passage?**

MC Learning House

a) Continuous improvement

b) Profit distribution

c) Shariah compliance

d) Reinvestment of profits

Answer: b) Profit distribution

17. **What is the focus of the Mudarabah Model in Takaful with regards to participant contributions?**

a) Fixed contributions

b) Transparent contributions

c) Defined and calculated from the total profit

d) Variable contributions

Answer: c) Defined and calculated from the total profit

18. **How does the Mudarabah Model contribute to the financial well-being of participants and their heirs?**

a) By maximizing administrative income

b) By generating surplus for the Takaful company

c) By creating savings, investments, and a 'tabarru' fund to support heirs

d) By avoiding profit distribution

Answer: c) By creating savings, investments, and a 'tabarru' fund to support heirs

19. **What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

a) Administrative expenses

b) Participants' Account (PA)

c) Participants' Special Account (PSA)

MC Learning House

d) Tabarru for Takaful benefits

Answer: b) Participants' Account (PA)

20. **What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    a) Profit maximization

    b) Administrative efficiency

    c) Generating surplus

    d) Providing Takaful benefits to participants

    Answer: d) Providing Takaful benefits to participants

Q&A:

1. **Q: How is the first share of each participant calculated in the Mudarabah Model for Family Takaful?**

   A: The first share of each participant is calculated from the total profit and then credited into their respective accounts, the PA and the PSA.

2. **Q: Where is the first share of each participant credited in the Mudarabah Model for Family Takaful?**

   A: The first share of each participant is credited into their respective accounts, the PA and the PSA.

3. **Q: How does the Takaful company finance its administrative expenditures in the Mudarabah Model for Family Takaful?**

   A: The Takaful company finances its administrative expenditures from its own income.

4. **Q: In the Mudarabah Model for Family Takaful, where are claims and other Takaful business expenses paid from?**

   A: Claims and other Takaful business expenses are paid from the PSA (Participants' Special Account).

5. **Q: What is the remaining amount after paying claims and other Takaful business expenses in the Mudarabah Model called?**

MCLearning House

A: The remaining amount is called surplus, which may be distributed among the participants.

6. **Q: What is the potential outcome of the surplus in the Mudarabah Model for Family Takaful?**

   A: The surplus may be distributed among the participants.

7. **Q: In the financial structure presented in the passage, what does FTF stand for?**

   A: FTF stands for Family Takaful Fund.

8. **Q: What does PA stand for in the context of the Mudarabah Model for Family Takaful?**

   A: PA stands for Participants' Account.

9. **Q: What is the role of PSA in the Mudarabah Model for Family Takaful?**

   A: PSA (Participants' Special Account) serves as 'tabarru' for Takaful benefits to be paid to the heirs of any participant who may die before the maturity of the contract.

10. **Q: What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    A: The purpose is to provide Takaful benefits to the family members of participants.

11. **Q: Which account is primarily used for savings and investment in the Mudarabah Model for Family Takaful?**

    A: Participants' Account (PA) is primarily used for savings and investment.

12. **Q: What is the purpose of the Participants' Special Account (PSA) in Family Takaful under the Mudarabah Model?**

    A: PSA serves as 'tabarru' for Takaful benefits, providing financial support to the heirs of deceased participants.

13. **Q: Where is the remaining contribution in Family Takaful under the Mudarabah Model credited?**

    A: The remaining contribution is credited into the Participants' Special Account (PSA).

14. **Q: What concept is used in the Mudarabah Model to credit a portion of the contribution into the Participants' Special Account (PSA)?**

MC Learning House

A: The concept of 'tabarru' is used to credit a portion into the Participants' Special Account (PSA).

15. **Q: What accounts are credited for the purpose of savings and investment in Family Takaful under the Mudarabah Model?**

    A: Both Participants' Account (PA) and Participants' Special Account (PSA) are credited for savings and investment.

16. **Q: What is the final stage in the Mudarabah Model, as mentioned in the passage?**

    A: The final stage is the distribution of profits.

17. **Q: What is the focus of the Mudarabah Model in Takaful with regards to participant contributions?**

    A: The focus is on defining and calculating the first share of each participant from the total profit.

18. **Q: How does the Mudarabah Model contribute to the financial well-being of participants and their heirs?**

    A: The Mudarabah Model contributes by creating savings, investments, and a 'tabarru' fund to support the heirs of deceased participants.

19. **Q: What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

    A: A substantial proportion of the contribution in Family Takaful under the Mudarabah Model is credited to the Participants' Account (PA) for savings and investment.

20. **Q: What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    A: The purpose is to provide Takaful benefits to the family members of participants.

MC Learning House

193 Insurance and Takaful-19

MCQs:

1. **What type of contract is initially entered into between the Takaful company and the participant in the Mudarabah Model for General Takaful?**

    a) Wakalah

b) Mudarabah

c) Waqf

d) Riba

Answer: b) Mudarabah

2. **What does the participant provide in the Mudarabah Model for General Takaful for the purpose of providing compensation to any member suffering a specific loss?**

a) Premium

b) Loan

c) Donation

d) Investment

Answer: c) Donation

3. **How is the amount collected through donation in the Mudarabah Model for General Takaful utilized?**

a) Distributed among participants

b) Invested by the participant

c) Used for administrative expenses

d) Invested by the Takaful company in Shariah-approved avenues

Answer: d) Invested by the Takaful company in Shariah-approved avenues

4. **What is shared between the Takaful company and the Takaful fund in the Mudarabah Model for General Takaful?**

a) Administrative expenses

b) Losses

c) Return on investment

d) Premiums

Answer: c) Return on investment

MC Learning House

5. **In the Mudarabah Model for General Takaful, how does the Takaful company meet its administrative and management expenses?**

    a) From participants' donations

    b) From investment profits

    c) From its own capital

    d) Through external loans

    Answer: c) From its own capital

6. **What is the purpose of the Takaful fund in the Mudarabah Model for General Takaful?**

    a) Administrative expenses

    b) Profit distribution

    c) Providing compensation to members suffering losses

    d) Investment opportunities

    Answer: c) Providing compensation to members suffering losses

7. **Where is the surplus amount in the Mudarabah Model for General Takaful distributed?**

    a) Administrative Fund

    b) Shareholders Fund

    c) Takaful Operator's account

    d) Among participants

    Answer: d) Among participants

8. **In the financial structure presented in the passage, what does GTF stand for?**

    a) General Takaful Fund

    b) Group Takaful Fund

    c) Green Takaful Fund

MC Learning House

d) Global Takaful Fund

Answer: a) General Takaful Fund

9. **What is the primary source of funds for the General Takaful Fund (GTF) in the Mudarabah Model for General Takaful?**

   a) Premiums

   b) Administrative income

   c) Donations from participants

   d) Investment profits

   Answer: c) Donations from participants

10. **How is the return on investment in the Mudarabah Model for General Takaful shared between the Takaful company and the Takaful fund?**

    a) Equally

    b) Based on premiums paid

    c) As per agreed shares

    d) Entirely with the Takaful fund

    Answer: c) As per agreed shares

11. **What is the role of the Takaful Operator in the Mudarabah Model for General Takaful?**

    a) Providing compensation to members

    b) Managing the Takaful fund

    c) Sharing in the surplus distribution

    d) All of the above

    Answer: d) All of the above

12. **What is the primary purpose of the Takaful Contract based on Mudaraba in the Mudarabah Model for General Takaful?**

MC Learning House

a) Profit maximization

b) Administrative efficiency

c) Providing compensation for losses

d) Generating surplus for the Takaful company

Answer: c) Providing compensation for losses

13. **What is the function of the GTF (General Takaful Fund) in the Mudarabah Model for General Takaful?**

a) Providing administrative support

b) Accumulating donations

c) Providing compensation for losses

d) Investing in speculative opportunities

Answer: c) Providing compensation for losses

14. **What accounts for a substantial proportion of the contribution in the Mudarabah Model for General Takaful?**

a) Administrative expenses

b) Participants' Account (PA)

c) Participants' Special Account (PSA)

d) Surplus for distribution

Answer: b) Participants' Account (PA)

15. **What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

a) Profit maximization

b) Administrative efficiency

c) Generating surplus

d) Providing Takaful benefits to participants

MC Learning House

Answer: d) Providing Takaful benefits to participants

16. **What is the focus of the Mudarabah Model in Takaful with regards to participant contributions?**

    a) Fixed contributions

    b) Transparent contributions

    c) Defined and calculated from the total profit

    d) Variable contributions

    Answer: c) Defined and calculated from the total profit

17. **How does the Mudarabah Model contribute to the financial well-being of participants and their heirs?**

    a) By maximizing administrative income

    b) By generating surplus for the Takaful company

    c) By creating savings, investments, and a 'tabarru' fund to support heirs

    d) By avoiding profit distribution

    Answer: c) By creating savings, investments, and a 'tabarru' fund to support heirs

18. **What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

    a) Administrative expenses

    b) Participants' Account (PA)

    c) Participants' Special Account (PSA)

    d) Tabarru for Takaful benefits

    Answer: b) Participants' Account (PA)

19. **What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    a) Profit maximization

MC Learning House

b) Administrative efficiency

c) Generating surplus

d) Providing Takaful benefits to participants

Answer: d) Providing Takaful benefits to participants

20. **What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    a) Profit maximization

    b) Administrative efficiency

    c) Generating surplus

    d) Providing Takaful benefits to participants

    Answer: d) Providing Takaful benefits to participants

Q&A:

1. **Q: What type of contract is initially entered into between the Takaful company and the participant in the Mudarabah Model for General Takaful?**

   A: The initial contract is based on Mudarabah.

2. **Q: What does the participant provide in the Mudarabah Model for General Takaful for the purpose of providing compensation to any member suffering a specific loss?**

   A: The participant provides a donation to the Takaful fund.

3. **Q: How is the amount collected through donation in the Mudarabah Model for General Takaful utilized?**

   A: The amount collected through donation is invested by the Takaful company along with its own capital in Shariah-approved investment avenues.

4. **Q: What is shared between the Takaful company and the Takaful fund in the Mudarabah Model for General Takaful?**

   A: The return on investment is shared between the Takaful company and the Takaful fund as per agreed share.

MC Learning House

5. **Q: In the Mudarabah Model for General Takaful, how does the Takaful company meet its administrative and management expenses?**

   A: The Takaful company meets administrative and management expenses out of its share of the profit.

6. **Q: What is the purpose of the Takaful fund in the Mudarabah Model for General Takaful?**

   A: The Takaful fund is created to provide compensation to members suffering losses.

7. **Q: Where is the surplus amount in the Mudarabah Model for General Takaful distributed?**

   A: The surplus amount is distributed among participants.

8. **Q: In the financial structure presented in the passage, what does GTF stand for?**

   A: GTF stands for General Takaful Fund.

9. **Q: What is the primary source of funds for the General Takaful Fund (GTF) in the Mudarabah Model for General Takaful?**

   A: The primary source of funds for GTF is the donation provided by participants.

10. **Q: How is the return on investment in the Mudarabah Model for General Takaful shared between the Takaful company and the Takaful fund?**

    A: The return on investment is shared as per agreed shares between the Takaful company and the Takaful fund.

11. **Q: What is the role of the Takaful Operator in the Mudarabah Model for General Takaful?**

    A: The Takaful Operator plays a role in providing compensation to members, managing the Takaful fund, and sharing in the surplus distribution.

12. **Q: What is the primary purpose of the Takaful Contract based on Mudaraba in the Mudarabah Model for General Takaful?**

    A: The primary purpose is to provide compensation for losses.

13. **Q: What is the function of the GTF (General Takaful Fund) in the Mudarabah Model for General Takaful?**

    A: The GTF serves the function of providing compensation for losses.

MC Learning House

14. **Q: What accounts for a substantial proportion of the contribution in the Mudarabah Model for General Takaful?**

    A: A substantial proportion of the contribution accounts for the Participants' Account (PA).

15. **Q: What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    A: The purpose is to provide Takaful benefits to the family members of participants.

16. **Q: What is the focus of the Mudarabah Model in Takaful with regards to participant contributions?**

    A: The focus is on defining and calculating the first share of each participant from the total profit.

17. **Q: How does the Mudarabah Model contribute to the financial well-being of participants and their heirs?**

    A: The Mudarabah Model contributes by creating savings, investments, and a 'tabarru' fund to support heirs of deceased participants.

18. **Q: What accounts for a substantial proportion of the contribution in Family Takaful under the Mudarabah Model?**

    A: A substantial proportion of the contribution accounts for the Participants' Account (PA).

19. **Q: What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    A: The purpose is to provide Takaful benefits to the family members of participants.

20. **Q: What is the purpose of the Family Takaful contract based on the Mudarabah Model, as shown in the financial structure?**

    A: The purpose is to provide Takaful benefits to the family members of participants.

MC Learning House

194 Insurance and Takaful-20

MCQs:

1. **What is the primary Shariah concern regarding the Mudarabah Model in Takaful, as mentioned in the passage?**

a) Lack of transparency

b) Distribution of surplus

c) Use of donations as capital

d) Provision of Qard-eHasan

Answer: c) Use of donations as capital

2. **Why Mudaraba is considered not suitable for a donation-based scheme in Takaful?**

a) It lacks transparency

b) It is a commercial contract

c) It cannot generate surplus

d) It requires a guarantor

Answer: b) It is a commercial contract

3. **According to Shariah concerns, why can the donation given by participants not become capital for Mudarabah at the same time?**

a) Mudarabah does not allow donations

b) It violates the principles of Qard-eHasan

c) Mudarabah requires interest-based capital

d) Donations are considered conditional gifts

Answer: d) Donations are considered conditional gifts

4. **What does the distribution of surplus among participants in the Mudarabah Model resemble, according to Shariah concerns?**

a) Profit-sharing

b) Conditional gift

c) Interest-based lending

d) Guarantor agreement

MC Learning House

Answer: b) Conditional gift

5. **Why is the provision of Qard-eHasan by Takaful companies in case of deficit considered incorrect in the Mudarabah Model?**

   a) It violates the principles of Mudarabah

   b) Mudarib is not a guarantor

   c) Qard-eHasan is not a permissible financial instrument

   d) It leads to interest-based transactions

   Answer: b) Mudarib is not a guarantor

6. **What Shariah concern arises due to the distribution of surplus among participants in the Mudarabah Model?**

   a) Violation of transparency

   b) Conditional gift, not allowed

   c) Lack of profit-sharing

   d) Guarantor agreement

   Answer: b) Conditional gift, not allowed

7. **According to Shariah, what role does the Mudarib play in the Mudarabah Model?**

   a) Guarantor

   b) Capital provider

   c) Profit-sharer

   d) Qard-eHasan provider

   Answer: c) Profit-sharer

8. **Why is the distribution of surplus considered a conditional gift, raising Shariah concerns?**

   a) It lacks transparency

   b) Gifts should be unconditional

MC Learning House

c) Surplus should not be distributed

d) It violates Mudarabah principles

Answer: b) Gifts should be unconditional

9. **What is the primary issue with the provision of Qard-eHasan by Takaful companies in the Mudarabah Model?**

a) It violates Mudarabah principles

b) Mudarib is not a guarantor

c) Qard-eHasan is not a permissible financial instrument

d) It leads to interest-based transactions

Answer: a) It violates Mudarabah principles

10. **What is the primary reason Mudaraba is deemed unsuitable for a donation-based scheme according to Shariah?**

a) Lack of transparency

b) Commercial nature of Mudaraba

c) Inability to generate surplus

d) Requirement of a guarantor

Answer: b) Commercial nature of Mudaraba

11. **What term is used to describe the distribution of surplus among participants in the Mudarabah Model?**

a) Profit-sharing

b) Conditional gift

c) Interest-based lending

d) Guarantor agreement

Answer: b) Conditional gift

MC Learning House

12. **In the context of Mudarabah, why is the provision of Qard-eHasan problematic in case of a deficit?**

    a) Mudarib is not a guarantor

    b) Qard-eHasan is interest-based

    c) Mudarabah does not allow borrowing

    d) Deficit should not be covered

    Answer: a) Mudarib is not a guarantor

13. **What does Shariah consider the donation given by participants in the Mudarabah Model?**

    a) Loan

    b) Gift

    c) Profit-sharing

    d) Conditional agreement

    Answer: b) Gift

14. **What aspect of Mudarabah is considered a commercial contract, raising concerns in the context of Takaful?**

    a) Profit-sharing

    b) Lack of transparency

    c) Requirement of a guarantor

    d) Commercial nature of Mudaraba

    Answer: d) Commercial nature of Mudaraba

15. **Why is the distribution of surplus among participants in the Mudarabah Model compared to a conditional gift?**

    a) It lacks transparency

    b) Gifts should be unconditional

MC Learning House

c) Surplus should not be distributed

d) It violates Mudarabah principles

Answer: b) Gifts should be unconditional

16. **What role does the Mudarib play in the Mudarabah Model according to Shariah principles?**

a) Guarantor

b) Capital provider

c) Profit-sharer

d) Qard-eHasan provider

Answer: c) Profit-sharer

17. **Why is the distribution of surplus considered a conditional gift, raising Shariah concerns?**

a) It lacks transparency

b) Gifts should be unconditional

c) Surplus should not be distributed

d) It violates Mudarabah principles

Answer: b) Gifts should be unconditional

18. **According to Shariah concerns, why can the donation given by participants not become capital for Mudarabah at the same time?**

a) Mudarabah does not allow donations

b) It violates the principles of Qard-eHasan

c) Mudarabah requires interest-based capital

d) Donations are considered conditional gifts

Answer: d) Donations are considered conditional gifts

MC Learning House

19. **What is the primary issue with the provision of Qard-eHasan by Takaful companies in the Mudarabah Model?**

    a) It violates Mudarabah principles

    b) Mudarib is not a guarantor

    c) Qard-eHasan is not a permissible financial instrument

    d) It leads to interest-based transactions

    Answer: a) It violates Mudarabah principles

20. **Why is the distribution of surplus among participants in the Mudarabah Model considered a conditional gift, raising Shariah concerns?**

    a) It lacks transparency

    b) Gifts should be unconditional

    c) Surplus should not be distributed

    d) It violates Mudarabah principles

    Answer: b) Gifts should be unconditional

Q&A:

1. **Q: What is the main Shariah concern mentioned in the passage regarding the Mudarabah Model in Takaful?**

   A: The commercial nature of Mudaraba, which is not suitable for a donation-based scheme.

2. **Q: Why is Mudaraba considered unsuitable for a donation-based scheme in Takaful?**

   A: Mudaraba is a commercial contract, making it incompatible with the principles of a donation-based scheme.

3. **Q: According to the passage, what issue arises when participants' donations become capital for Mudaraba at the same time?**

   A: The donation given by participants cannot simultaneously become capital for Mudaraba.

MC Learning House

4. **Q: Why is the distribution of surplus among participants in the Mudarabah Model compared to a conditional gift, raising Shariah concerns?**

   A: The distribution of surplus is likened to a conditional gift, which is not allowed in Shariah.

5. **Q: What is the Shariah concern associated with the provision of Qard-eHasan by Takaful companies in case of a deficit in the Mudarabah Model?**

   A: Mudarib is not considered a guarantor, making the provision of Qard-eHasan incorrect.

6. **Q: What does Shariah consider the donation given by participants in the Mudarabah Model?**

   A: The donation is considered a conditional gift.

7. **Q: According to Shariah concerns, why is the provision of Qard-eHasan by Takaful companies in case of deficit considered incorrect in the Mudarabah Model?**

   A: Mudarib is not a guarantor, and providing Qard-eHasan goes against Mudarabah principles.

8. **Q: What is the primary issue raised regarding the donation given by participants in the Mudarabah Model?**

   A: The donation cannot simultaneously become capital for Mudaraba.

9. **Q: What is the Shariah perspective on the distribution of surplus among participants in the Mudarabah Model?**

   A: The distribution of surplus is considered similar to a conditional gift, raising concerns.

10. **Q: According to the passage, why is Mudaraba not suitable for a donation-based scheme?**

    A: Mudaraba is a commercial contract, which is incompatible with a donation-based scheme.

11. **Q: What term is used in the passage to describe the distribution of surplus among participants in the Mudarabah Model?**

    A: The distribution of surplus is likened to a conditional gift.

MC Learning House

12. **Q: In the context of Mudarabah, why is the provision of Qard-eHasan problematic in case of a deficit?**

    A: Mudarib is not considered a guarantor, making the provision of Qard-eHasan problematic.

13. **Q: How does Shariah view the donation given by participants in the Mudarabah Model?**

    A: The donation is considered a conditional gift, raising concerns.

14. **Q: What aspect of Mudarabah is considered a commercial contract, raising concerns in the context of Takaful?**

    A: The commercial nature of Mudaraba is considered a concern in the context of Takaful.

15. **Q: According to Shariah concerns, why can the donation given by participants not become capital for Mudarabah at the same time?**

    A: The donation is considered a conditional gift and cannot simultaneously become capital for Mudaraba.

16. **Q: What role does Mudarib play in the Mudarabah Model according to Shariah principles?**

    A: Mudarib is considered a profit-sharer in the Mudarabah Model.

17. **Q: Why is the distribution of surplus considered a conditional gift, raising Shariah concerns?**

    A: The distribution of surplus is considered a conditional gift, which is not allowed in Shariah.

18. **Q: According to Shariah concerns, what is the primary issue with the provision of Qard-eHasan by Takaful companies in the Mudarabah Model?**

    A: Mudarib is not considered a guarantor, making the provision of Qard-eHasan problematic.

19. **Q: What is the primary issue raised regarding the donation given by participants in the Mudarabah Model?**

    A: The donation cannot simultaneously become capital for Mudaraba.

MC Learning House

20. **Q: Why is the distribution of surplus among participants in the Mudarabah Model considered a conditional gift, raising Shariah concerns?**

    A: The distribution of surplus is considered a conditional gift, which is not allowed in Shariah.

195 Insurance and Takaful-21

MCQs:

1. **What is the main purpose of introducing the Wakalah Model in Takaful, as mentioned in the passage?**

    a) To maximize profit

    b) To address objections raised about the Mudarabah model

    c) To eliminate the need for commissions

    d) To increase the role of participants

    Answer: b) To address objections raised about the Mudarabah model

2. **In the Wakalah Model, what role does the Takaful company play?**

    a) Guarantor

    b) Mudarib

    c) Wakeel (agent)

    d) Shareholder

    Answer: c) Wakeel (agent)

3. **What is the concept of Wakalah based on in the Takaful context?**

    a) Profit-sharing

    b) Donation

    c) Hiring services to act on behalf of the principal

    d) Interest-based lending

MC Learning House

Answer: c) Hiring services to act on behalf of the principal

4. **How does the Takaful company earn income in the Wakalah Model?**

   a) Through profit-sharing only

   b) By charging a commission for its services

   c) By investing its own capital

   d) Through donations from participants

   Answer: b) By charging a commission for its services

5. **What does Wakalah mean in the context of Takaful?**

   a) Profit-sharing

   b) Donation

   c) Hiring services to act on behalf of the principal

   d) Interest-based lending

   Answer: c) Hiring services to act on behalf of the principal

6. **In the Wakalah Model, what does the Takaful company act as for the participants?**

   a) Guarantor

   b) Mudarib

   c) Wakeel (agent)

   d) Shareholder

   Answer: c) Wakeel (agent)

7. **What type of contract is signed between the participant and the Takaful company in the Wakalah Model?**

   a) Mudarabah

   b) Wakalah

   c) Qard-eHasan

MC Learning House

d) Murabaha

Answer: b) Wakalah

8. **How is the contribution collected in the Wakalah Model distributed?**

   a) Entirely added to the GTF

   b) Shared between the Takaful company and participants

   c) Used for investment by the participants

   d) Divided equally among participants

   Answer: b) Shared between the Takaful company and participants

9. **What is the percentage range of the Wakalah fee charged by the Takaful company, as mentioned in the passage?**

   a) 5 to 15%

   b) 15 to 25%

   c) 25 to 35%

   d) 35 to 45%

   Answer: c) 25 to 35%

10. **In the Wakalah Model, where is the remaining amount after deducting the Wakalah fee added?**

    a) Participant's savings account

    b) GTF (General Takaful Fund)

    c) Shareholder's fund

    d) Mudarib's account

    Answer: b) GTF (General Takaful Fund)

11. **In the Wakalah Model, what role does the Takaful operator play in managing the GTF (General Takaful Fund)?**

    a) Guarantor

MC Learning House

b) Investor

c) Mudarib

d) Administrator

Answer: c) Mudarib

12. **In the Wakalah Model, how are business-related costs, including claims and re-Takaful contributions, charged?**

a) Directly from participant contributions

b) From the Wakalah fee

c) From the GTF (General Takaful Fund)

d) Shared between the Takaful company and shareholders

Answer: c) From the GTF (General Takaful Fund)

13. **What is the primary role of the Takaful company in the Wakalah Model?**

a) Providing guarantees

b) Investing in Shariah-approved opportunities

c) Acting as a Wakeel (agent)

d) Maximizing profits for participants

Answer: c) Acting as a Wakeel (agent)

14. **How does the Takaful company earn a share in the Wakalah Model?**

a) By investing its own capital

b) Through profit-sharing only

c) By charging a Wakalah fee

d) Through donations from participants

Answer: b) Through profit-sharing only

15. **What does GTF stand for in the context of the Wakalah Model?**

MC Learning House

a) General Takaful Fund

b) Guaranteed Takaful Fee

c) Group Takaful Financing

d) Global Takaful Framework

Answer: a) General Takaful Fund

16. **In the Wakalah Model, what percentage of the Wakalah fee is charged for services provided by the Takaful company?**

a) 5 to 15%

b) 15 to 25%

c) 25 to 35%

d) 35 to 45%

Answer: c) 25 to 35%

17. **What is the purpose of the Takaful Contract based on Wakalah in the Wakalah Model?**

a) To maximize profits for participants

b) To act as a donation agreement

c) To provide Wakalah services

d) To ensure Mudarib's role in the fund

Answer: c) To provide Wakalah services

18. **In the financial structure of the Wakalah Model, what does the Takaful operator receive a share of from the returns?**

a) Only GTF (General Takaful Fund)

b) Mudarib's account

c) Shareholders' capital

d) Wakalah fee

MC Learning House

Answer: c) Shareholders' capital

19. **What is charged directly from the GTF in the Wakalah Model to cover various expenses?**

    a) Wakalah fee

    b) Participant contributions

    c) Business-related costs including claims and re-Takaful contributions

    d) Shareholders' capital

    Answer: c) Business-related costs including claims and re-Takaful contributions

20. **What is the primary source of income for the Takaful operator in the Wakalah Model?**

    a) Participant contributions

    b) Mudarib's share from returns

    c) Wakalah fee

    d) Shareholders' capital**

    Answer: c) Wakalah fee

Q&A:

1. **Q: What is the main purpose behind introducing the Wakalah Model in Takaful?**

   A: The Wakalah Model is introduced to address objections raised by scholars about the Mudarabah model.

2. **Q: In the Wakalah Model, what role does the Takaful company play?**

   A: The Takaful company acts as a Wakeel (agent) of the participants in managing Takaful business and charges a commission for its services.

3. **Q: What is the concept of Wakalah based on in the context of Takaful?**

   A: Wakalah is based on hiring services to perform any act on behalf of the principal.

4. **Q: How does the Takaful company earn income in the Wakalah Model?**

Mc Learning House

A: The Takaful company earns income by charging a commission for its services.

5. **Q: What does Wakalah mean in the context of Takaful?**

   A: Wakalah means hiring the services of an individual or organization to act on behalf of the principal.

6. **Q: In the Wakalah Model, what role does the Takaful company play for the participants?**

   A: The Takaful company acts as a Wakeel (agent) for the participants.

7. **Q: What type of contract is signed between the participant and the Takaful company in the Wakalah Model?**

   A: A contract of Wakalah is signed between the participant and the Takaful company.

8. **Q: How is the contribution collected in the Wakalah Model distributed?**

   A: The Takaful company collects contributions, takes a percentage as a Wakalah fee, and the remaining amount is added to the General Takaful Fund (GTF).

9. **Q: What is the percentage range of the Wakalah fee charged by the Takaful company, as mentioned in the passage?**

   A: The Wakalah fee ranges from 25 to 35%.

10. **Q: In the Wakalah Model, where is the remaining amount after deducting the Wakalah fee added?**

    A: The remaining amount after deducting the Wakalah fee is added to the General Takaful Fund (GTF).

11. **Q: In the Wakalah Model, what role does the Takaful operator play in managing the GTF?**

    A: The Takaful operator manages the investment of the GTF.

12. **Q: In the Wakalah Model, how are business-related costs, including claims and re-Takaful contributions, charged?**

    A: All business-related costs, including claims and re-Takaful contributions, are charged from the GTF.

13. **Q: What is the primary role of the Takaful company in the Wakalah Model?**

MC Learning House

A: The primary role of the Takaful company is to act as a Wakeel (agent) for the participants.

14. **Q: How does the Takaful company earn a share in the Wakalah Model?**

    A: The Takaful company earns a share from the returns as Mudarib and a return on Shareholders' capital.

15. **Q: What does GTF stand for in the context of the Wakalah Model?**

    A: GTF stands for General Takaful Fund.

16. **Q: In the Wakalah Model, what percentage of the Wakalah fee is charged for services provided by the Takaful company?**

    A: The Wakalah fee ranges from 25 to 35%.

17. **Q: What is the purpose of the Takaful Contract based on Wakalah in the Wakalah Model?**

    A: The purpose is to provide Wakalah services on behalf of the participants.

18. **Q: In the financial structure of the Wakalah Model, what does the Takaful operator receive a share of from the returns?**

    A: The Takaful operator receives a share of returns as Mudarib and a return on Shareholders' capital.

19. **Q: What is charged directly from the GTF in the Wakalah Model to cover various expenses?**

    A: Business-related costs, including claims and re-Takaful contributions, are charged directly from the GTF.

20. **Q: What is the primary source of income for the Takaful operator in the Wakalah Model?**

    A: The primary source of income for the Takaful operator is the Wakalah fee.**

MC Learning House

196 Insurance and Takaful-22

MCQs:

1. **What is one of the concerns mentioned regarding the distribution of surplus in the Wakalah Model?**

a) It violates Mudarabah principles

b) It resembles a conditional gift, which is not allowed

c) Participants don't receive any surplus

d) Surplus is distributed equally among participants

Answer: b) It resembles a conditional gift, which is not allowed

2. **In the context of the Wakalah Model, why is the distribution of surplus considered a concern?**

a) It leads to interest-based transactions

b) It lacks transparency

c) It violates Shariah principles

d) It resembles a conditional gift, which is not allowed

Answer: d) It resembles a conditional gift, which is not allowed

3. **What is the objection raised regarding the provision of Qard-e-Hasan in the Wakalah Model in case of a deficit?**

a) It violates Mudarabah principles

b) It is incorrect as the Wakeel is not a guarantor

c) It contradicts the concept of Wakalah

d) It leads to interest-based transactions

Answer: b) It is incorrect as the Wakeel is not a guarantor

4. **What issue is highlighted regarding the payment of Zakat and inheritance in the Wakalah Model?**

a) Participants are exempt from paying Zakat

b) Collective ownership of Takaful Fund leads to issues

c) Inheritance is not applicable

d) GTF is not owned by participants

MC Learning House

Answer: b) Collective ownership of Takaful Fund leads to issues

5. **What is the main reason for Shariah-related objections against both Mudarabah and Wakalah models, as mentioned in the passage?**

   a) Profit-sharing mechanism

   b) Ownership of GTF by participants

   c) Lack of transparency in surplus distribution

   d) A contractual relationship between the Takaful operator and participants

   Answer: d) A contractual relationship between the Takaful operator and participants

6. **Why the distribution of surplus among participants in the Wakalah Model is considered a concern according to Shariah?**

   a) It lacks transparency

   b) It resembles a conditional gift

   c) Surplus should not be distributed

   d) Participants don't receive any surplus

   Answer: b) It resembles a conditional gift

7. **What is the concern regarding the provision of Qard-e-Hasan in the Wakalah Model in case of a deficit?**

   a) It violates Mudarabah principles

   b) It is incorrect as the Wakeel is not a guarantor

   c) It contradicts the concept of Wakalah

   d) It leads to interest-based transactions

   Answer: b) It is incorrect as the Wakeel is not a guarantor

8. **What is the highlighted issue regarding Zakat and inheritance in the context of the Wakalah Model?**

   a) Participants are exempt from paying Zakat

MC Learning House

b) Collective ownership of Takaful Fund leads to issues

c) Inheritance is not applicable

d) GTF is not owned by participants

Answer: b) Collective ownership of Takaful Fund leads to issues

9. **According to the passage, what is a common reason for Shariah-related objections against both Mudarabah and Wakalah models?**

a) Profit-sharing mechanism

b) Ownership of GTF by participants

c) Lack of transparency in surplus distribution

d) A contractual relationship between the Takaful operator and participants

Answer: d) A contractual relationship between the Takaful operator and participants

10. **Why the distribution of surplus among participants in the Wakalah Model is considered a Shariah concern?**

a) It lacks transparency

b) It resembles a conditional gift

c) Surplus should not be distributed

d) Participants don't receive any surplus

Answer: b) It resembles a conditional gift

11. **What is the objection raised regarding the provision of Qard-e-Hasan in the Wakalah Model in case of a deficit?**

a) It violates Mudarabah principles

b) It is incorrect as the Wakeel is not a guarantor

c) It contradicts the concept of Wakalah

d) It leads to interest-based transactions

MC Learning House

Answer: b) It is incorrect as the Wakeel is not a guarantor

12. **What issue is highlighted regarding the payment of Zakat and inheritance in the Wakalah Model?**

    a) Participants are exempt from paying Zakat

    b) Collective ownership of Takaful Fund leads to issues

    c) Inheritance is not applicable

    d) GTF is not owned by participants

    Answer: b) Collective ownership of Takaful Fund leads to issues

13. **What is the main reason for Shariah-related objections against both Mudarabah and Wakalah models, as mentioned in the passage?**

    a) Profit-sharing mechanism

    b) Ownership of GTF by participants

    c) Lack of transparency in surplus distribution

    d) A contractual relationship between the Takaful operator and participants

    Answer: d) A contractual relationship between the Takaful operator and participants

14. **Why the distribution of surplus among participants in the Wakalah Model is considered a concern according to Shariah?**

    a) It lacks transparency

    b) It resembles a conditional gift

    c) Surplus should not be distributed

    d) Participants don't receive any surplus

    Answer: b) It resembles a conditional gift

15. **What is the concern regarding the provision of Qard-e-Hasan in the Wakalah Model in case of a deficit?**

    a) It violates Mudarabah principles

MC Learning House

b) It is incorrect as the Wakeel is not a guarantor

c) It contradicts the concept of Wakalah

d) It leads to interest-based transactions

Answer: b) It is incorrect as the Wakeel is not a guarantor

16. **What is the highlighted issue regarding Zakat and inheritance in the context of the Wakalah Model?**

a) Participants are exempt from paying Zakat

b) Collective ownership of Takaful Fund leads to issues

c) Inheritance is not applicable

d) GTF is not owned by participants

Answer: b) Collective ownership of Takaful Fund leads to issues

17. **According to the passage, what is a common reason for Shariah-related objections against both Mudarabah and Wakalah models?**

a) Profit-sharing mechanism

b) Ownership of GTF by participants

c) Lack of transparency in surplus distribution

d) A contractual relationship between the Takaful operator and participants

Answer: d) A contractual relationship between the Takaful operator and participants

18. **Why the distribution of surplus among participants in the Wakalah Model is considered a Shariah concern?**

a) It lacks transparency

b) It resembles a conditional gift

c) Surplus should not be distributed

d) Participants don't receive any surplus

MC Learning House

Answer: b) It resembles a conditional gift

19. **What is the objection raised regarding the provision of Qard-e-Hasan in the Wakalah Model in case of a deficit?**

    a) It violates Mudarabah principles

    b) It is incorrect as the Wakeel is not a guarantor

    c) It contradicts the concept of Wakalah

    d) It leads to interest-based transactions

    Answer: b) It is incorrect as the Wakeel is not a guarantor

20. **What issue is highlighted regarding the payment of Zakat and inheritance in the Wakalah Model?**

    a) Participants are exempt from paying Zakat

    b) Collective ownership of Takaful Fund leads to issues

    c) Inheritance is not applicable

    d) GTF is not owned by participants

    Answer: b) Collective ownership of Takaful Fund leads to issues

Q&A:

1. **Q: What concerns are highlighted in the passage regarding the distribution of surplus in the Wakalah Model?**

   A: The distribution of surplus among participants in proportion to their donation is considered a concern as it resembles a conditional gift, which is not allowed.

2. **Q: Why is the provision of Qard-e-Hasan from the Shareholders fund in case of a deficit considered incorrect in the Wakalah Model?**

   A: It is considered incorrect because the Wakeel (agent) is not a guarantor, and providing Qard-e-Hasan raises Shariah concerns.

3. **Q: What Shariah-related concerns are mentioned regarding the issue of payment of Zakat and inheritance due to collective ownership of the Takaful Fund by participants?**

MC Learning House

A: The collective ownership of the Takaful Fund by participants raises concerns related to the payment of Zakat and inheritance.

4. **Q: According to the passage, what are the main reasons for Shariah-related objections against both Mudarabah and Wakalah models?**

   A: The main reasons include a contractual relationship between the Takaful operator and participants and the ownership of the General Takaful Fund (GTF) by participants.

5. **Q: What is the primary concern highlighted regarding the distribution of surplus among participants in the Wakalah Model?**

   A: The primary concern is that it resembles a conditional gift, which is not allowed in Shariah.

6. **Q: In the Wakalah Model, why is the provision of Qard-e-Hasan considered problematic?**

   A: Providing Qard-e-Hasan from the Shareholders fund in case of a deficit is considered problematic because the Wakeel is not a guarantor.

7. **Q: How does collective ownership of the Takaful Fund by participants impact the issue of payment of Zakat and inheritance?**

   A: Collective ownership raises concerns regarding the proper payment of Zakat and inheritance due to the shared ownership structure.

8. **Q: What common reasons are mentioned for Shariah-related objections against both Mudarabah and Wakalah models?**

   A: The two common reasons are the existence of a contractual relationship between the Takaful operator and participants and the ownership of GTF by participants.

9. **Q: According to the passage, what is the primary concern regarding the distribution of surplus in the Wakalah Model?**

   A: The primary concern is that it resembles a conditional gift, which is not allowed in Shariah.

10. **Q: Why is the provision of Qard-e-Hasan from the Shareholders fund in case of a deficit considered problematic in the Wakalah Model?**

    A: It is considered problematic because the Wakeel is not a guarantor, and providing Qard-e-Hasan raises Shariah concerns.

MC Learning House

11. **Q: In the context of the Wakalah Model, how does collective ownership of the Takaful Fund impact Zakat and inheritance?**

    A: Collective ownership raises concerns regarding the proper payment of Zakat and inheritance due to the shared ownership structure.

12. **Q: What are the highlighted reasons for Shariah-related objections against both Mudarabah and Wakalah models?**

    A: The reasons include a contractual relationship between the Takaful operator and participants and the ownership of the General Takaful Fund (GTF) by participants.

13. **Q: Why is the distribution of surplus among participants in the Wakalah Model considered a primary concern?**

    A: The distribution of surplus is considered a primary concern as it resembles a conditional gift, which is not allowed in Shariah.

14. **Q: What Shariah-related concerns are mentioned regarding the provision of Qard-e-Hasan in the Wakalah Model?**

    A: Providing Qard-e-Hasan from the Shareholders fund in case of a deficit is considered problematic because the Wakeel is not a guarantor.

15. **Q: According to the passage, what issues arise concerning Zakat and inheritance in the context of the Wakalah Model?**

    A: Collective ownership of the Takaful Fund raises concerns about the proper payment of Zakat and inheritance due to the shared ownership structure.

16. **Q: What are the main reasons mentioned for Shariah-related objections against both Mudarabah and Wakalah models?**

    A: The main reasons include the existence of a contractual relationship between the Takaful operator and participants and the ownership of GTF by participants.

17. **Q: Why is the distribution of surplus among participants considered a significant concern in the Wakalah Model?**

    A: It is considered a significant concern as it resembles a conditional gift, which is not allowed in Shariah.

18. **Q: In the context of the Wakalah Model, why is the provision of Qard-e-Hasan considered problematic?**

MC Learning House

A: Providing Qard-e-Hasan from the Shareholders fund in case of a deficit is considered problematic because the Wakeel is not a guarantor.

19. **Q: How does collective ownership of the Takaful Fund impact the issue of payment of Zakat and inheritance in the Wakalah Model?**

    A: Collective ownership raises concerns about the proper payment of Zakat and inheritance due to the shared ownership structure.

20. **Q: According to the passage, what are the common reasons for Shariah-related objections against both Mudarabah and Wakalah models?**

    A: The common reasons include a contractual relationship between the Takaful operator and participants and the ownership of the General Takaful Fund (GTF) by participants.

197 Insurance and Takaful-23

MCQs:

1. **What was incorporated in the Wakalah model to resolve Shariah-related issues?**

   a) Riba

   b) Mudarabah

   c) Waqf

   d) Qard-e-Hasan

   Answer: c) Waqf

2. **Which historical institution was actively incorporated in the Waqf-Wakalah Model to address Shariah concerns?**

   a) Mudarabah

   b) Riba

   c) Waqf

   d) Qard-e-Hasan

   Answer: c) Waqf

MC Learning House

3. **What are examples of the earliest Waqf mentioned in the passage?**

   a) Mudarabah and Riba

   b) Masjid-e-Quba and Masjid-e-Nabavi

   c) Wakalah and Qard-e-Hasan

   d) Takaful and Insurance

   Answer: b) Masjid-e-Quba and Masjid-e-Nabavi

4. **Who purchased a well from a Jew and made it Waqf for Muslims according to the passage?**

   a) Ali (RA)

   b) Umar (RA)

   c) Usman (RA)

   d) Abu Bakr (RA)

   Answer: c) Usman (RA)

5. **What the technical meaning of Waqf is as mentioned in the passage?**

   a) To sell a property

   b) To allocate or donate some property for a specific purpose

   c) To inherit a property

   d) To repossess a property

   Answer: b) To allocate or donate some property for a specific purpose

6. **How is Waqf defined in the Arabic language?**

   a) To sell

   b) To withhold and not let go

   c) To inherit

   d) To repossess

MC Learning House

Answer: b) To withhold and not let go

7. **What is the primary purpose of Waqf according to the technical meaning mentioned in the passage?**

   a) To consume or sell the property

   b) To get pleasure of Allah and not let it go

   c) To inherit the property

   d) To repossess the property

   Answer: b) To get pleasure of Allah and not let it go

8. **According to the passage, what can be done with Waqf property?**

   a) It can be sold or inherited

   b) It can be repossessed by the Waqif

   c) It cannot be sold or inherited, nor can it be repossessed by the Waqif

   d) It can be used for personal consumption

   Answer: c) It cannot be sold or inherited, nor can it be repossessed by the Waqif

9. **What is the purpose of making a property Waqf, as stated in the passage?**

   a) To sell it for profit

   b) To inherit it to someone specific

   c) To get pleasure of Allah and not let it go

   d) To consume it for personal use

   Answer: c) To get pleasure of Allah and not let it go

10. **What historical examples of Waqf are mentioned in the passage?**

    a) Mudarabah and Riba

    b) Masjid-e-Quba and Masjid-e-Nabavi

    c) Wakalah and Qard-e-Hasan

MC Learning House

d) Takaful and Insurance

Answer: b) Masjid-e-Quba and Masjid-e-Nabavi

11. **Who purchased a well from a Jew and made it Waqf for Muslims according to the passage?**

a) Ali (RA)

b) Umar (RA)

c) Usman (RA)

d) Abu Bakr (RA)

Answer: c) Usman (RA)

12. **What the technical meaning of Waqf is as mentioned in the passage?**

a) To sell a property

b) To allocate or donate some property for a specific purpose

c) To inherit a property

d) To repossess a property

Answer: b) To allocate or donate some property for a specific purpose

13. **How is Waqf defined in the Arabic language?**

a) To sell

b) To withhold and not let go

c) To inherit

d) To repossess

Answer: b) To withhold and not let go

14. **What is the primary purpose of Waqf according to the technical meaning mentioned in the passage?**

a) To consume or sell the property

MC Learning House

b) To get pleasure of Allah and not let it go

c) To inherit the property

d) To repossess the property

Answer: b) To get pleasure of Allah and not let it go

15. **According to the passage, what can be done with Waqf property?**

a) It can be sold or inherited

b) It can be repossessed by the Waqif

c) It cannot be sold or inherited, nor can it be repossessed by the Waqif

d) It can be used for personal consumption

Answer: c) It cannot be sold or inherited, nor can it be repossessed by the Waqif

16. **What is the purpose of making a property Waqf, as stated in the passage?**

a) To sell it for profit

b) To inherit it to someone specific

c) To get pleasure of Allah and not let it go

d) To consume it for personal use

Answer: c) To get pleasure of Allah and not let it go

17. **What historical examples of Waqf are mentioned in the passage?**

a) Mudarabah and Riba

b) Masjid-e-Quba and Masjid-e-Nabavi

c) Wakalah and Qard-e-Hasan

d) Takaful and Insurance

Answer: b) Masjid-e-Quba and Masjid-e-Nabavi

18. **Who purchased a well from a Jew and made it Waqf for Muslims according to the passage?**

MC Learning House

a) Ali (RA)

b) Umar (RA)

c) Usman (RA)

d) Abu Bakr (RA)

Answer: c) Usman (RA)

19. **What the technical meaning of Waqf is as mentioned in the passage?**

a) To sell a property

b) To allocate or donate some property for a specific purpose

c) To inherit a property

d) To repossess a property

Answer: b) To allocate or donate some property for a specific purpose

20. **How is Waqf defined in the Arabic language?**

a) To sell

b) To withhold and not let go

c) To inherit

d) To repossess

Answer: b) To withhold and not let go

Q&A:

1. **Q: What was incorporated in the Wakalah model to address Shariah-related issues?**

   A: The institution of Waqf was incorporated in the Wakalah model to resolve Shariah concerns.

2. **Q: How is Waqf defined in the Arabic language, according to the passage?**

   A: Waqf is defined as to withhold and not let go.

MC Learning House

3. **Q: Can Waqf property be sold or inherited, according to the passage?**

   A: No, Waqf property cannot be sold or inherited, nor can it be repossessed by the Waqif.

4. **Q: What are examples of the earliest Waqf mentioned in the passage?**

   A: Examples of the earliest Waqf are Masjid-e-Quba and Masjid-e-Nabavi in Madinah.

5. **Q: Who purchased a well from a Jew and made it Waqf for Muslims, as mentioned in the passage?**

   A: Usman (RA) purchased a well from a Jew and made it Waqf for Muslims.

6. **Q: What is the technical meaning of Waqf, as described in the passage?**

   A: The technical meaning of Waqf is to allocate or donate some property for a specific purpose to get the pleasure of Allah and not let it go through consumption or sale.

7. **Q: Why was the institution of Waqf incorporated in the Wakalah model?**

   A: It was incorporated to resolve Shariah-related issues and concerns in the Wakalah model.

8. **Q: What historical examples of Waqf are mentioned in the passage?**

   A: Historical examples of Waqf mentioned are Masjid-e-Quba and Masjid-e-Nabavi in Madinah.

9. **Q: Who established different Awqaf for the betterment of Muslims, as mentioned in the passage?**

   A: The companions of Prophet Muhammad (SAW) established different Awqaf for the betterment of Muslims.

10. **Q: What is the purpose of making a property Waqf, according to the technical meaning in the passage?**

    A: The purpose is to allocate or donate some property for a specific purpose to get the pleasure of Allah and not let it go through consumption or sale.

11. **Q: Can Waqf property be repossessed by the Waqif?**

    A: No, Waqf property cannot be repossessed by the Waqif.

MC Learning House

12. **Q: What is the meaning of Waqf in the Arabic language?**

    A: The meaning of Waqf in the Arabic language is to withhold and not let go.

13. **Q: What is the primary purpose of Waqf, according to the technical meaning mentioned in the passage?**

    A: The primary purpose is to get the pleasure of Allah and not let the property go through consumption or sale.

14. **Q: According to the passage, what examples of Waqf were established for the betterment of Muslims?**

    A: Different Awqaf were established by the companions of Prophet Muhammad (SAW) for the betterment of Muslims.

15. **Q: What can be done with Waqf property, as stated in the passage?**

    A: Waqf property cannot be sold or inherited, nor can it be repossessed by the Waqif.

16. **Q: Who made a well Waqf for Muslims by purchasing it from a Jew, according to the passage?**

    A: Usman (RA) made a well Waqf for Muslims by purchasing it from a Jew.

17. **Q: What is the historical significance of Waqf, as mentioned in the passage?**
    - A: Waqf has remained an active institution in Islamic society throughout history.

18. **Q: Why was the institution of Waqf incorporated in the Wakalah model, as per the passage?**

    A: It was incorporated to resolve Shariah-related issues and concerns in the Wakalah model.

19. **Q: Can Waqf property be sold or inherited, according to the passage?**

    A: No, Waqf property cannot be sold or inherited, nor can it be repossessed by the Waqif.

20. **Q: What does the technical meaning of Waqf emphasize regarding property allocated for a specific purpose?**

    A: The technical meaning emphasizes that the property should be allocated or donated for a specific purpose to get the pleasure of Allah and not let it go through consumption or sale.**

MC Learning House

198 Insurance and Takaful-24

MCQs:

1. **What happens to Waqf property in the Waqf-Wakalah Model?**

   a) It is sold to the participants

   b) It becomes the property of Allah (SWT)

   c) It is inherited by the Waqif

   d) It is used for personal consumption

   Answer: b) It becomes the property of Allah (SWT)

2. **What is Waqif's right over Waqf property in the Waqf-Wakalah Model?**

   a) Full ownership

   b) Limited usage rights

   c) Property rights are retained

   d) No rights

   Answer: b) Limited usage rights

3. **In the favor of the Waqif, Waqf property is considered as:**

   a) Commercial asset

   b) Perpetual charity (Sadaqa Jariyah)

   c) Personal possession

   d) Inherited wealth

   Answer: b) Perpetual charity (Sadaqa Jariyah)

4. **What right does the Waqif have in managing the Waqf?**

   a) No right to set rules

   b) Only general rule-setting

MC Learning House

c) Limited role in management

d) Right to set rules and manage

Answer: d) Right to set rules and manage

5. **What are examples of specific-purpose Waqf mentioned in the passage?**

a) Waqf for commercial purposes

b) Waqf ‘Ala al Aulad (for children)

c) Waqf for personal use

d) Waqf for entertainment

Answer: b) Waqf ‘Ala al Aulad (for children)

6. **According to Islamic Law, what is Waqf considered as?**

a) Personal possession

b) Legal entity

c) Inherited wealth

d) Commercial asset

Answer: b) Legal entity

7. **Under what conditions can the Waqif benefit from Waqf property?**

a) Anytime

b) If he qualifies according to Waqf rules

c) Without any restrictions

d) Only during specific festivals

Answer: b) If he qualifies according to Waqf rules

8. **What was Usman (RA) allowed to do with the well he made Waqf for Muslims?**

a) Sell it

MC Learning House

b) Inherit it

c) Take water from it

d) Repossess it

Answer: c) Take water from it

9. **What is the main reason for including Waqf in the Wakalah model, according to the passage?**

a) To limit its ownership rights

b) To enhance commercial aspects

c) Ability to own things and enter into contracts

d) To restrict its legal entity status

Answer: c) Ability to own things and enter into contracts

10. **In the Waqf-Wakalah Model, what does Waqf own and enter into a contract with?**

a) Commercial assets

b) Takaful fund and participants

c) Personal possessions

d) Inherited wealth

Answer: b) Takaful fund and participants

11. **How does the Waqf-Wakalah Model resolve Shariah-related issues?**

a) By selling Waqf property

b) By limiting Waqif's rights

c) By including Riba

d) By allowing Waqf to own and enter into contracts

Answer: d) By allowing Waqf to own and enter into contracts

12. **What is the status of Waqf property in the Waqf-Wakalah Model?**

MC Learning House

a) Personal possession of Waqif

b) Collective ownership by participants

c) Property of Allah (SWT)

d) Inherited wealth

Answer: c) Property of Allah (SWT)

13. **What does the Waqif lose in the Waqf-Wakalah Model?**

a) Property rights over Waqf

b) Ownership of Waqf property

c) Management rights over Waqf

d) All rights related to Waqf

Answer: b) Ownership of Waqf property

14. **What is the primary characteristic of Waqf property in the Waqf-Wakalah Model?**

a) It can be sold or inherited

b) It is owned collectively by participants

c) It is perpetual charity (Sadaqa Jariyah)

d) It can be repossessed by the Waqif

Answer: c) It is perpetual charity (Sadaqa Jariyah)

15. **What right does the Waqif have in managing the Waqf?**

a) No right to set rules

b) Only general rule-setting

c) Limited role in management

d) Right to set rules and manage

Answer: d) Right to set rules and manage

MC Learning House

16. **What are examples of specific-purpose Waqf mentioned in the passage?**

a) Waqf for commercial purposes

b) Waqf ‘Ala al Aulad (for children)

c) Waqf for personal use

d) Waqf for entertainment

Answer: b) Waqf ‘Ala al Aulad (for children)

17. **According to Islamic Law, what is Waqf considered as?**

a) Personal possession

b) Legal entity

c) Inherited wealth

d) Commercial asset

Answer: b) Legal entity

18. **Under what conditions can the Waqif benefit from Waqf property?**

a) Anytime

b) If he qualifies according to Waqf rules

c) Without any restrictions

d) Only during specific festivals

Answer: b) If he qualifies according to Waqf rules

19. **What was Usman (RA) allowed to do with the well he made Waqf for Muslims?**

a) Sell it

b) Inherit it

c) Take water from it

d) Repossess it

MC Learning House

Answer: c) Take water from it

20. **What is the main reason for including Waqf in the Wakalah model, according to the passage?**

    a) To limit its ownership rights

    b) To enhance commercial aspects

    c) Ability to own things and enter into contracts

    d) To restrict its legal entity status

    Answer: c) Ability to own things and enter into contracts

Q&A:

1. **Q: What happens to Waqf property in the Waqf-Wakalah Model?**

   A: In the Waqf-Wakalah Model, Waqf property becomes the ownership of Allah (SWT), and the Waqif loses all property rights over it.

2. **Q: How is Waqf property regarded in favor of the Waqif?**

   A: Waqf property is considered perpetual charity (Sadaqa Jariyah) in favor of the Waqif.

3. **Q: Does the Waqif have the right to set rules for the Waqf?**

   A: Yes, the Waqif has the right to set rules for the Waqf and to manage it.

4. **Q: What are examples of specific-purpose Waqf mentioned in the passage?**

   A: Examples include Waqf ‘Ala al Aulad (for children) and Waqf ‘Ala al Aqarib (for relatives).

5. **Q: According to Islamic Law, how is Waqf considered?**

   A: In Islamic Law, Waqf is considered a legal entity that can enter into contracts and own things.

6. **Q: Under what conditions can the Waqif benefit from Waqf property?**

   A: The Waqif can benefit from Waqf property if he qualifies according to the rules set for the Waqf.

MC Learning House

7. **Q: What was Usman (RA) allowed to do with the well he made Waqf for Muslims?**

   A: Usman (RA) was allowed to take water from the well he made Waqf for Muslims.

8. **Q: What is the main reason for including Waqf in the Wakalah model?**

   A: The ability of Waqf to own things and enter into contracts is the main reason for its inclusion in the Wakalah model.

9. **Q: How does the Waqf-Wakalah Model resolve Shariah-related issues?**

   A: The model resolves Shariah-related issues by allowing Waqf to own the Takaful fund and enter into a Takaful contract with the participants.

10. **Q: Can Waqf property be sold or inherited according to the Waqf-Wakalah Model?**

    A: No, Waqf property cannot be sold or inherited; it becomes the property of Allah (SWT).

11. **Q: What does Waqif lose in the Waqf-Wakalah Model?**

    A: In the Waqf-Wakalah Model, the Waqif loses ownership of Waqf property.

12. **Q: What is the significance of Waqf property being perpetual charity (Sadaqa Jariyah)?**

    A: It means that the benefits from Waqf property continue to exist and contribute to charity even after the Waqif's lifetime.

13. **Q: What does Waqif's right to set rules involve?**

    A: The Waqif's right to set rules involves determining the purpose and conditions for the Waqf, such as specific beneficiaries.

14. **Q: What is the status of Waqf property in Islamic Law?**

    A: In Islamic Law, Waqf property is considered a legal entity with the ability to enter into contracts and own things.

15. **Q: What are examples of specific-purpose Waqf mentioned in the passage?**

    A: Examples include Waqf ‘Ala al Aulad (for children) and Waqf ‘Ala al Aqarib (for relatives).

16. **Q: How is Waqif allowed to benefit from Waqf property in the Waqf-Wakalah Model?**

MCLearning House

A: Waqif is allowed to benefit from Waqf property if he qualifies according to the rules set for the Waqf.

17. **Q: Why is Waqf included in the Wakalah model, according to the passage?**

    A: Waqf is included in the Wakalah model to resolve Shariah-related issues by allowing Waqf to own the Takaful fund and enter into contracts.

18. **Q: What is the historical significance of Waqf mentioned in the passage?**

    A: The passage mentions historical examples of Waqf, including Masjid-e-Quba and Masjid-e-Nabavi in Madinah.

19. **Q: What is the primary characteristic of Waqf property in the Waqf-Wakalah Model?**

    A: The primary characteristic is that Waqf property is considered perpetual charity (Sadaqa Jariyah).

20. **Q: What is the role of Waqif in managing the Waqf-Wakalah Model?**

    A: The Waqif has the right to set rules for the Waqf and to manage its affairs, ensuring compliance with the specified purpose and conditions.**

199 Insurance and Takaful-25

MCQs:

1. **What is the primary objective of creating a Waqf in the Waqf-Wakalah Model?**

   a) To generate profit for the company

   b) To provide compensation to participants in case of specific loss

   c) To invest in commercial ventures

   d) To enhance shareholder funds

   Answer: b) To provide compensation to participants in case of specific loss

2. **How is the Waqf in the Waqf-Wakalah Model treated in relation to the Takaful company?**

   a) As a subsidiary

Mc Learning House

b) As a separate legal entity

c) As a branch

d) As the primary business entity

Answer: b) As a separate legal entity

3. **How is the Waqf fund created in the Waqf-Wakalah Model?**

a) Through participant contributions

b) Through shareholder donations

c) Through selling Takaful policies

d) Through government grants

Answer: b) Through shareholder donations

4. **Who manages the Takaful business and the investment of the Waqf fund in the Waqf-Wakalah Model?**

a) Participants

b) Shariah Board

c) Takaful company acting as an agent

d) Government regulators

Answer: c) Takaful company acting as an agent

5. **How does the Takaful company receive compensation for its services in the Waqf-Wakalah Model?**

a) Only through participant contributions

b) Through government subsidies

c) Through a combination of Wakalah fee, share of profit, and return on investment

d) Through selling Takaful policies

Answer: c) Through a combination of Wakalah fee, share of profit, and return on investment

Mc Learning House

6. **What is the Wakalah fee in the Waqf-Wakalah Model used for?**

   a) To pay participant claims

   b) Administrative and management expenses

   c) To increase shareholder funds

   d) To invest in non-Shariah compliant ventures

   Answer: b) Administrative and management expenses

7. **What portion of the Waqf fund is distributed as surplus in the Waqf-Wakalah Model?**

   a) 25 to 35%

   b) 50%

   c) 65 to 75%

   d) 100%

   Answer: c) 65 to 75%

8. **What role does the Waqf play in the Waqf-Wakalah Model concerning the Takaful business?**

   a) Direct management

   b) Donor of funds

   c) Regulatory authority

   d) Participant in profit-sharing

   Answer: b) Donor of funds

9. **What is the source of income for the Takaful operator in the Waqf-Wakalah Model?**

   a) Participant contributions only

   b) Shareholder donations only

   c) A combination of Wakalah fee, share of profit, and return on investment

MC Learning House

d) Government grants

Answer: c) A combination of Wakalah fee, share of profit, and return on investment

10. **What is the primary purpose of the Waqf fund in the Waqf-Wakalah Model?**

a) To generate profit for the company

b) To provide compensation to participants

c) To invest in non-Shariah compliant ventures

d) To enhance shareholder funds

Answer: b) To provide compensation to participants

11. **How is the Waqf fund created in the Waqf-Wakalah Model?**

a) Through participant contributions

b) Through shareholder donations

c) Through selling Takaful policies

d) Through government grants

Answer: b) Through shareholder donations

12. **What is the role of the Takaful company concerning the Waqf fund in the Waqf-Wakalah Model?**

a) Direct management

b) Donor of funds

c) Regulatory authority

d) Participant in profit-sharing

Answer: a) Direct management

13. **How does the Takaful company receive compensation for its services in the Waqf-Wakalah Model?**

a) Only through participant contributions

MC Learning House

b) Through government subsidies

c) Through a combination of Wakalah fee, share of profit, and return on investment

d) Through selling Takaful policies

Answer: c) Through a combination of Wakalah fee, share of profit, and return on investment

14. **What is the Wakalah fee in the Waqf-Wakalah Model used for?**

a) To pay participant claims

b) Administrative and management expenses

c) To increase shareholder funds

d) To invest in non-Shariah compliant ventures

Answer: b) Administrative and management expenses

15. **What portion of the Waqf fund is distributed as surplus in the Waqf-Wakalah Model?**

a) 25 to 35%

b) 50%

c) 65 to 75%

d) 100%

Answer: c) 65 to 75%

16. **What role does the Waqf play in the Waqf-Wakalah Model concerning the Takaful business?**

a) Direct management

b) Donor of funds

c) Regulatory authority

d) Participant in profit-sharing

Answer: b) Donor of funds

MC Learning House

17. **What is the source of income for the Takaful operator in the Waqf-Wakalah Model?**

a) Participant contributions only

b) Shareholder donations only

c) A combination of Wakalah fee, share of profit, and return on investment

d) Government grants

Answer: c) A combination of Wakalah fee, share of profit, and return on investment

18. **What is the primary purpose of the Waqf fund in the Waqf-Wakalah Model?**

a) To generate profit for the company

b) To provide compensation to participants

c) To invest in non-Shariah compliant ventures

d) To enhance shareholder funds

Answer: b) To provide compensation to participants

19. **What is the role of the Waqf fund in the Waqf-Wakalah Model?**

a) Direct management

b) Donor of funds

c) Regulatory authority

d) Participant in profit-sharing

Answer: b) Donor of funds

20. **How is the Waqf fund created in the Waqf-Wakalah Model?**

a) Through participant contributions

b) Through shareholder donations

c) Through selling Takaful policies

MC Learning House

d) Through government grants

Answer: b) Through shareholder donations

Q&A:

1. **Q: What is the primary purpose of creating a Waqf in the Waqf-Wakalah Model?**

   A: The primary purpose is to provide compensation to participants in case of specific loss.

2. **Q: How is the relationship between the Waqf and the Takaful company treated in the Waqf-Wakalah Model?**

   A: The Waqf is treated as a separate legal entity from the Takaful company.

3. **Q: How is the Waqf fund created in the Waqf-Wakalah Model?**

   A: The Waqf fund is created by giving a donation from the Shareholders fund.

4. **Q: What role does the Takaful company play in managing the Waqf fund in the Waqf-Wakalah Model?**

   A: The Takaful company acts as an agent of the Waqf, managing Takaful business and the investment of the Waqf fund on behalf of the Waqf.

5. **Q: How does the Takaful company receive compensation for its services in the Waqf-Wakalah Model?**

   A: The Takaful company receives compensation through a Wakalah fee for managing Takaful business, a share of profit for being Mudarib, and a return on investment of its equity capital.

6. **Q: What is the purpose of the Wakalah fee in the Waqf-Wakalah Model?**

   A: The Wakalah fee is used for administrative and management expenses.

7. **Q: What portion of the Waqf fund is distributed as surplus in the Waqf-Wakalah Model?**

   A: 65 to 75% of the Waqf fund is distributed as surplus.

8. **Q: What is the significance of the Waqf fund in the Waqf-Wakalah Model?**

MC Learning House

A: The Waqf fund is crucial for providing compensation to participants and ensuring the financial sustainability of the Takaful operation.

9. **Q: What is the source of income for the Takaful operator in the Waqf-Wakalah Model?**

   A: The Takaful operator's income comes from a combination of Wakalah fee, share of profit, and return on investment.

10. **Q: How is the Waqf fund created in the Waqf-Wakalah Model?**

    A: The Waqf fund is created by giving a donation from the Shareholders fund.

11. **Q: What is the role of the Takaful company concerning the Waqf fund in the Waqf-Wakalah Model?**

    A: The Takaful company directly manages the Waqf fund.

12. **Q: How does the Takaful company receive compensation for its services in the Waqf-Wakalah Model?**

    A: The Takaful company receives compensation through a Wakalah fee for managing Takaful business, a share of profit for being Mudarib, and a return on investment of its equity capital.

13. **Q: What is the purpose of the Wakalah fee in the Waqf-Wakalah Model?**

    A: The Wakalah fee is used for administrative and management expenses.

14. **Q: What portion of the Waqf fund is distributed as surplus in the Waqf-Wakalah Model?**

    A: 65 to 75% of the Waqf fund is distributed as surplus.

15. **Q: What is the role of the Waqf concerning the Takaful business in the Waqf-Wakalah Model?**

    A: The Waqf serves as the donor of funds, contributing to the financial resources of the Takaful operation.

16. **Q: How does the Takaful company receive compensation for its services in the Waqf-Wakalah Model?**

    A: The Takaful company receives compensation through a Wakalah fee for managing Takaful business, a share of profit for being Mudarib, and a return on investment of its equity capital.

MC Learning House

17. **Q: What is the purpose of the Wakalah fee in the Waqf-Wakalah Model?**

    A: The Wakalah fee is used for administrative and management expenses.

18. **Q: What portion of the Waqf fund is distributed as surplus in the Waqf-Wakalah Model?**

    A: 65 to 75% of the Waqf fund is distributed as surplus.

19. **Q: What is the role of the Waqf concerning the Takaful business in the Waqf-Wakalah Model?**

    A: The Waqf serves as the donor of funds, contributing to the financial resources of the Takaful operation.

20. **Q: How is the Waqf fund created in the Waqf-Wakalah Model?**

    A: The Waqf fund is created by giving a donation from the Shareholders fund.

200 Insurance and Takaful-26

MCQs:

1. **What is the primary objection raised against the Waqf-Wakalah Model?**

    a) Lack of transparency

    b) Business-oriented intention

    c) Inefficiency in fund management

    d) Non-compliance with regulatory standards

    Answer: b) Business-oriented intention

2. **Why do some critics argue that creating Waqf for a business purpose goes against the concept of Waqf?**

    a) Business entities cannot create Waqf

    b) Waqf is meant solely for religious purposes

    c) Profit motives are inconsistent with Waqf principles

    d) Waqf is only valid for fixed assets

MC Learning House

Answer: c) Profit motives are inconsistent with Waqf principles

3. **How does the Takaful company justify creating Waqf for a business purpose?**

   a) By emphasizing its status as a business entity

   b) By aligning business goals with the concept of virtuous acts

   c) By avoiding the creation of Waqf

   d) By seeking permission from regulatory authorities

   Answer: b) By aligning business goals with the concept of virtuous acts

4. **What is considered a necessary condition for the validity of Waqf, according to the objections raised?**

   a) Use of fixed assets

   b) Business-oriented intention

   c) Permanence of Waqf

   d) Regular financial audits

   Answer: c) Permanence of Waqf

5. **Which type of Waqf is generally allowed by Fuqaha, according to the objections raised?**

   a) Cash Waqf

   b) Land Waqf

   c) Building Waqf

   d) Consumables Waqf

   Answer: b) Land Waqf

6. **Why is cash Waqf considered objectionable, according to the objections raised?**

   a) It violates the concept of Waqf

   b) It is not allowed by regulatory authorities

MC Learning House

c) Cash Waqf lacks transparency

d) Cash Waqf is not considered a valid form of donation

Answer: a) It violates the concept of Waqf

7. **How do some Fuqaha justify the allowance of Cash Waqf?**

a) By permitting direct use of the initial donation

b) By emphasizing the use of cash in business ventures

c) By prohibiting the creation of Cash Waqf

d) By requiring regulatory approval for Cash Waqf

Answer: a) By permitting direct use of the initial donation

8. **What is the primary intention behind creating Waqf in the Waqf-Wakalah Model?**

a) Business profit

b) Providing support through donations

c) Regulatory compliance

d) Facilitating financial transactions

Answer: b) Providing support through donations

9. **According to the objections, why is the creation of Waqf for a business purpose criticized?**

a) Lack of regulatory approval

b) Non-compliance with Shariah principles

c) Incompatibility with commercial ventures

d) Violation of Waqf permanence conditions

Answer: b) Non-compliance with Shariah principles

10. **What is the primary purpose of Waqf in the context of the objections raised?**

a) Facilitating business transactions

MC Learning House

b) Providing financial support through donations

c) Generating profit for the Takaful company

d) Ensuring regulatory compliance

Answer: b) Providing financial support through donations

11. **Why do critics argue that the Takaful company's profit motive contradicts the concept and spirit of Waqf?**

a) Profit is not compatible with business ventures

b) Business entities should not engage in charitable acts

c) Waqf should be solely for religious purposes

d) Profit should be reinvested in the Takaful company

Answer: c) Waqf should be solely for religious purposes

12. **What justifies the Takaful company's creation of Waqf for business purposes, according to the objections?**

a) Shariah Board approval

b) Compliance with regulatory standards

c) Aligning business goals with virtuous acts

d) Avoiding the creation of Waqf

Answer: c) Aligning business goals with virtuous acts

13. **What is the primary condition for the validity of Waqf, according to objections?**

a) Regular financial audits

b) Business-oriented intention

c) Use of fixed assets

d) Avoidance of business profit

Answer: c) Use of fixed assets

MC Learning House

14. **Why is cash Waqf criticized, according to the objections?**

a) Lack of transparency

b) Violation of Waqf permanence conditions

c) Incompatibility with business ventures

d) Non-compliance with regulatory standards

Answer: b) Violation of Waqf permanence conditions

15. **How do some Fuqaha justify the allowance of Cash Waqf, according to the objections?**

a) By requiring regulatory approval

b) By emphasizing the use of cash in business ventures

c) By permitting direct use of the initial donation

d) By prohibiting the creation of Cash Waqf

Answer: c) By permitting direct use of the initial donation

16. **What is the primary objection raised against the Waqf-Wakalah Model?**

a) Lack of transparency

b) Business-oriented intention

c) Inefficiency in fund management

d) Non-compliance with regulatory standards

Answer: b) Business-oriented intention

17. **Why do some critics argue that creating Waqf for a business purpose goes against the concept of Waqf?**

a) Business entities cannot create Waqf

b) Waqf is meant solely for religious purposes

c) Profit motives are inconsistent with Waqf principles

MC Learning House

d) Waqf is only valid for fixed assets

Answer: c) Profit motives are inconsistent with Waqf principles

18. **How does the Takaful company justify creating Waqf for a business purpose?**

a) By emphasizing its status as a business entity

b) By aligning business goals with the concept of virtuous acts

c) By avoiding the creation of Waqf

d) By seeking permission from regulatory authorities

Answer: b) By aligning business goals with the concept of virtuous acts

19. **What is considered a necessary condition for the validity of Waqf, according to the objections raised?**

a) Use of fixed assets

b) Business-oriented intention

c) Permanence of Waqf

d) Regular financial audits

Answer: c) Permanence of Waqf

20. **Which type of Waqf is generally allowed by Fuqaha, according to the objections raised?**

a) Cash Waqf

b) Land Waqf

c) Building Waqf

d) Consumables Waqf

Answer: b) Land Waqf

Q&A:

1. **Q: What is the Waqf-Wakalah Model in Takaful?**

MC Learning House

A: The Waqf-Wakalah Model is a Takaful structure where a Waqf (charitable endowment) is created to provide compensation to participants in case of specific losses. The Takaful company acts as the agent (Wakeel) of the Waqf.

2. **Q: How does the Waqf-Wakalah Model address objections raised against previous models?**

   A: The model incorporates the concept of Waqf, aiming to resolve Shariah-related concerns by creating a separate legal entity dedicated to charitable purposes.

3. **Q: What is the significance of Waqf in Islamic history?**

   A: Waqf has historical importance, with examples like Masjid-e-Quba and Masjid-e-Nabavi in Madinah. Companions of Prophet Muhammad (SAW) established Waqf for the betterment of Muslims.

4. **Q: Can Waqf property be sold or inherited?**

   A: No, according to Islamic law, Waqf property cannot be sold or inherited. It is considered a perpetual charity (Sadaqa Jariyah) for the benefit of the Waqf's objectives.

5. **Q: What is the technical meaning of Waqf?**

   A: The technical meaning of Waqf is to allocate or donate some property for a specific purpose to gain the pleasure of Allah, ensuring that the property is not consumed or sold.

6. **Q: Why was the Waqf-Wakalah Model introduced?**

   A: The model was introduced to address Shariah-related objections against previous Takaful models and to create a more Shariah-compliant structure by incorporating the concept of Waqf.

7. **Q: What distinguishes the Waqf-Wakalah Model from other Takaful models?**

   A: In this model, a separate Waqf fund is created, providing compensation to participants in case of loss. The Takaful company acts as the agent managing the Waqf on behalf of participants.

8. **Q: What is the primary intention behind creating Waqf in the Waqf-Wakalah Model?**

   A: The primary intention is to provide support to participants facing specific financial losses through charitable donations, aligning with the virtuous act of Waqf.

MLearning House

9. **Q: How does the Waqf-Wakalah Model generate income for the Takaful operator?**

   A: The Takaful company receives a Wakalah fee for managing Takaful business, a share of profit as Mudarib, and returns on its equity capital, ensuring sustainability.

10. **Q: What are some objections raised against the Waqf-Wakalah Model?**

    A: Objections include concerns about creating Waqf for business purposes, violating the concept and spirit of Waqf, and issues related to Zakat and inheritance due to collective ownership.

11. **Q: How does the Waqf-Wakalah Model address the objection of creating Waqf for a business purpose?**

    A: The model justifies it by emphasizing that Takaful companies are business entities but create Waqf to provide support through donations to participants facing financial losses.

12. **Q: What distinguishes Waqf from other financial arrangements?**

    A: Waqf is unique in its purpose, as it is created to benefit others and is considered a form of perpetual charity, ensuring the continuous support of specific objectives.

13. **Q: What is the role of the Takaful company in the Waqf-Wakalah Model?**

    A: The Takaful company acts as the agent (Wakeel) of the Waqf, managing Takaful business and investments on behalf of the Waqf fund and participants.

14. **Q: How does the Waqf-Wakalah Model handle financial losses for participants?**

    A: The Waqf fund provides compensation to participants facing specific losses, and the Takaful company manages the fund and distributes surplus among participants.

15. **Q: What are the objections related to the permanence of Waqf in the Waqf-Wakalah Model?**

    A: Some objections arise from the creation of Waqf for a business purpose, as permanence of Waqf is considered a necessary condition for its validity.

16. **Q: Why do some Fuqaha allow Cash Waqf in certain conditions?**

    A: Cash Waqf may be allowed by some Fuqaha when the initial donation is not used directly, but the returns from that amount are used for the intended purpose of the Waqf.

17. **Q: How does the Waqf-Wakalah Model align with the principles of Shariah?**

Mc Learning House

A: The model aligns with Shariah by incorporating the concept of Waqf, addressing objections raised against other Takaful models, and ensuring the provision of financial support to participants.

18. **Q: What are the primary sources of income for the Takaful operator in the Waqf-Wakalah Model?**

    A: The Takaful operator receives a Wakalah fee, a share of profit as Mudarib, and returns on its equity capital for managing Takaful business and the Waqf fund.

19. **Q: How does the Waqf-Wakalah Model contribute to the well-being of participants?**

    A: The model contributes by providing financial support through charitable donations from the Waqf fund to participants facing specific financial losses.

20. **Q: Why is the creation of Waqf for business purposes criticized in the Waqf-Wakalah Model?**

    A: Critics argue that creating Waqf for a business purpose contradicts the original concept and spirit of Waqf, which is intended for charitable and virtuous acts.**

201 Insurance and Takaful-27

MCQs:

1. **What is the fundamental difference in the risk handling mechanism between Insurance and Takaful?**

   a) Risk avoidance

   b) Risk transfer (Insurance) vs. Risk sharing (Takaful)

   c) Risk retention

   d) Risk mitigation

   Answer: b) Risk transfer (Insurance) vs. Risk sharing (Takaful)

2. **In conventional insurance, the policy-holder enters into a commercial contract known as:**

   a) Aqd-e-Tabarru

   b) Aqd-e-Muawada

MC Learning House

c) Aqd-e-Takaful

d) Aqd-e-Shariah

Answer: b) Aqd-e-Muawada

3. **What type of contract is Takaful based on?**

a) Commercial contract

b) Gratuitous contract (Aqd-e-Tabarru)

c) Partnership contract

d) Sale contract

Answer: b) Gratuitous contract (Aqd-e-Tabarru)

4. **Who owns the premium amount given by policyholders in conventional insurance?**

a) Insurance company

b) Participants

c) Waqf

d) Both a and c

Answer: a) Insurance company

5. **In Takaful, the amount given as a donation is owned by:**

a) Insurance company

b) Participants or Waqf

c) Policyholders

d) Shariah Board

Answer: b) Participants or Waqf

6. **What is the nature of the Takaful contract as compared to conventional insurance?**

a) Commercial

MC Learning House

b) Sale-based

c) Gratuitous (Aqd-e-Tabarru)

d) Partnership

Answer: c) Gratuitous (Aqd-e-Tabarru)

7. **The risk-sharing mechanism in Takaful aligns with the Islamic principle of:**

a) Gharar

b) Riba

c) Mudarabah

d) Tabarru

Answer: c) Mudarabah

8. **In Takaful, the business concept works according to the concept of:**

a) Risk transfer

b) Risk retention

c) Risk sharing

d) Risk avoidance

Answer: c) Risk sharing

9. **Which entity typically owns the premium amount in conventional insurance?**

a) Policyholders

b) Insurance company

c) Regulatory authority

d) Shariah Board

Answer: b) Insurance company

10. **Takaful operates on the principle of mutual cooperation and:**

MC Learning House

a) Profit maximization

b) Risk transfer

c) Risk avoidance

d) Social responsibility

Answer: d) Social responsibility

11. **What is the primary objective of Takaful?**

a) Profit generation

b) Risk transfer

c) Social welfare and mutual assistance

d) Risk avoidance

Answer: c) Social welfare and mutual assistance

12. **In Takaful, the concept of Tabarru refers to:**

a) Risk transfer

b) Premium payment

c) Donation or contribution

d) Policyholder's liability

Answer: c) Donation or contribution

13. **The nature of the Takaful contract reflects the principles of:**

a) Mudarabah and Murabaha

b) Wakalah and Waqf

c) Riba and Gharar

d) Shariah and Fiqh

Answer: b) Wakalah and Waqf

MC Learning House

14. **Who is the owner of the amount given as a donation in Takaful?**

a) Insurance company

b) Regulatory authority

c) Participants or Waqf

d) Shariah Board

Answer: c) Participants or Waqf

15. **Takaful, as a gratuitous contract, reflects the Islamic principle of:**

a) Profit and loss sharing

b) Social justice

c) Risk avoidance

d) Fixed return on investment

Answer: b) Social justice

16. **The risk handling mechanism in conventional insurance is primarily based on:**

a) Risk sharing

b) Risk avoidance

c) Risk retention

d) Risk transfer

Answer: d) Risk transfer

17. **In Takaful, the risk-sharing concept is aligned with the principles of:**

a) Mudarabah

b) Riba

c) Gharar

d) Waqf

MC Learning House

Answer: a) Mudarabah

18. **The Takaful contract is considered gratuitous, emphasizing the element of:**

    a) Profit

    b) Charity

    c) Riba

    d) Gharar

    Answer: b) Charity

19. **Who primarily benefits from the amount collected in conventional insurance as premiums?**

    a) Policyholders

    b) Regulatory authority

    c) Shareholders of the insurance company

    d) Shariah Board

    Answer: c) Shareholders of the insurance company

20. **The nature of the Takaful contract ensures that participants or Waqf own the:**

    a) Premiums

    b) Donations

    c) Claims

    d) Regulatory authority

    Answer: b) Donations

Q&A:

1. **Q: What is the fundamental difference in the risk handling mechanism between Insurance and Takaful?**

MC Learning House

A: Conventional insurance is based on the concept of risk transfer, while Takaful operates on the principle of risk sharing.

2. **Q: In conventional insurance, what kind of contract does the policy-holder enter into with the insurance company?**

   A: The policy-holder enters into a commercial contract known as Aqd-e-Muawada.

3. **Q: What type of contract is Takaful based on?**

   A: Takaful is based on a gratuitous contract known as Aqd-e-Tabarru.

4. **Q: Who owns the premium amount given by policyholders in conventional insurance?**

   A: The premium amount given by policyholders in conventional insurance is owned by the insurance company.

5. **Q: In Takaful, who owns the amount given as a donation?**

   A: The amount given as a donation in Takaful is owned by the participants or Waqf.

6. **Q: What is the nature of the Takaful contract as compared to conventional insurance?**

   A: The Takaful contract is gratuitous (Aqd-e-Tabarru), while conventional insurance is a commercial contract.

7. **Q: What principle aligns with the risk-sharing mechanism in Takaful?**

   A: The risk-sharing mechanism in Takaful aligns with the Islamic principle of Mudarabah.

8. **Q: What concept does Takaful work according to in terms of risk handling?**

   A: Takaful works according to the concept of risk sharing.

9. **Q: Who typically owns the premium amount in conventional insurance?**

   A: In conventional insurance, the premium amount is owned by the insurance company.

10. **Q: What principle does Takaful operate on in addition to risk-sharing?**

    A: Takaful operates on the principle of mutual cooperation and social responsibility.

MC Learning House

11. **Q: What is the primary objective of Takaful?**

    A: The primary objective of Takaful is social welfare and mutual assistance.

12. **Q: In Takaful, what does the concept of Tabarru refer to?**

    A: The concept of Tabarru in Takaful refers to donation or contribution.

13. **Q: What principles does the nature of the Takaful contract reflect?**

    A: The nature of the Takaful contract reflects the principles of Wakalah and Waqf.

14. **Q: Who is the owner of the amount given as a donation in Takaful?**

    A: The amount given as a donation in Takaful is owned by the participants or Waqf.

15. **Q: What does the nature of the Takaful contract emphasize besides social justice?**

    A: Besides social justice, the nature of the Takaful contract emphasizes charity.

16. **Q: What is the primary mechanism of risk handling in conventional insurance?**

    A: The primary mechanism of risk handling in conventional insurance is risk transfer.

17. **Q: What principle does the risk-sharing concept in Takaful align with?**

    A: The risk-sharing concept in Takaful aligns with the principles of Mudarabah.

18. **Q: Why is the Takaful contract considered gratuitous?**

    A: The Takaful contract is considered gratuitous, emphasizing the element of charity.

19. **Q: Who primarily benefits from the amount collected in conventional insurance as premiums?**

    A: The amount collected in conventional insurance as premiums primarily benefits the shareholders of the insurance company.

20. **Q: What does the nature of the Takaful contract ensure regarding the ownership of donations?**

    A: The nature of the Takaful contract ensures that participants or Waqf own the donations.

MC Learning House

MCQs:

1. **Q: What are the major components of income for an insurance company?**

   a) Return on shareholder capital, Share from profit as Mudarib, Wakālah fee

   b) Premium money, Investment income, Reinsurance commissions

   c) Donations, Share from profit, Wakālah fee

   d) Mudarabah income, Investment returns, Waqf contributions

   Answer: b) Premium money, Investment income, Reinsurance commissions

2. **Q: In Takaful, what are the major components of the company's income?**

   a) Donations, Investment returns, Share from profit

   b) Return on shareholder capital, Reinsurance commissions, Premium money

   c) Premium money, Mudarabah income, Waqf contributions

   d) Share from profit, Wakālah fee, Investment returns

   Answer: a) Donations, Investment returns, Share from profit

3. **Q: What must a Takaful company consider in addition to prudential regulations for investments?**

   a) Economic trends

   b) Political stability

   c) Shari‘ah rules

   d) Market competition

   Answer: c) Shari‘ah rules

4. **Q: What type of regulation does an insurance company consider for its investments?**

   a) Shari‘ah rules

   b) Prudential regulation

MC Learning House

c) Market trends

d) Economic stability

Answer: b) Prudential regulation

5. **Q: What is a significant difference in the types of businesses covered by an insurance company and a Takaful company?**

   a) An insurance company covers only non-profitable businesses

   b) An insurance company can cover any profitable business

   c) A Takaful company covers businesses based on economic trends

   d) A Takaful company covers only businesses permissible from Shari'ah perspective

   Answer: d) A Takaful company covers only businesses permissible from Shari'ah perspective

6. **Q: What is the primary income source for an insurance company?**

   a) Donations

   b) Investment returns

   c) Premium money

   d) Share from profit

   Answer: c) Premium money

7. **Q: In Takaful, what does the company earn income against?**

   a) Premium money only

   b) Capital or services

   c) Investment returns only

   d) Donations only

   Answer: b) Capital or services

8. **Q: What is the primary focus of an insurance company regarding its business coverage?**

MC Learning House

a) Profitability

b) Shari‘ah compliance

c) Economic stability

d) Political trends

Answer: a) Profitability

9. **Q: What is the primary focus of a Takaful company regarding its business coverage?**

a) Profitability

b) Economic stability

c) Shari‘ah compliance

d) Market trends

Answer: c) Shari‘ah compliance

10. **Q: What kind of contract is an insurance policy considered?**

a) Aqd-e-Tabarru

b) Mudarabah

c) Aqd-e-Muawada

d) Wakalah

Answer: c) Aqd-e-Muawada

11. **Q: What type of contract is a Takaful contract considered?**

a) Aqd-e-Tabarru

b) Mudarabah

c) Aqd-e-Muawada

d) Wakalah

Answer: a) Aqd-e-Tabarru

MC Learning House

12. **Q: What is the primary objective of Takaful, unlike conventional insurance?**

a) Profit maximization

b) Economic development

c) Social welfare and mutual assistance

d) Global expansion

Answer: c) Social welfare and mutual assistance

13. **Q: In Takaful, who primarily benefits from the income earned by the company?**

a) Shareholders

b) External investors

c) Participants or Waqf

d) Government entities

Answer: c) Participants or Waqf

14. **Q: What concept does the Takaful risk-sharing mechanism align with?**

a) Mudarabah

b) Wakalah

c) Qard-e-Hasan

d) Murabaha

Answer: a) Mudarabah

15. **Q: What is the nature of the Takaful contract in terms of social justice?**

a) Commercial

b) Gratuitous

c) Profit-driven

d) Conventional

MC Learning House

Answer: b) Gratuitous

16. **Q: Who owns the premium amount in conventional insurance?**

a) Participants

b) Shareholders

c) Waqf

d) Insurance company

Answer: d) Insurance company

17. **Q: What is the nature of the Takaful contract in terms of objectives?**

a) Profit maximization

b) Social justice

c) Commercial expansion

d) Global influence

Answer: b) Social justice

18. **Q: What distinguishes the Takaful risk-sharing mechanism from conventional insurance?**

a) Profit-sharing

b) Risk transfer

c) Social welfare

d) Commercial contracts

Answer: c) Social welfare

19. **Q: What is the primary objective of Waqf in Takaful?**

a) Profit generation

b) Addressing Shariah-related issues

c) Economic development

MC Learning House

d) Market expansion

Answer: b) Addressing Shariah-related issues

20. **Q: In Takaful, what is the main purpose of the Waqf-Wakalah Model?**

a) Profit maximization

b) Shariah compliance

c) Risk transfer

d) Economic growth

Answer: b) Shariah compliance

Q&A:

1. **Q: What is the fundamental difference between conventional insurance and Takaful?**

   A: Conventional insurance is based on risk transfer, while Takaful operates on the principle of risk-sharing.

2. **Q: How is the Takaful contract structured in terms of its nature and purpose?**

   A: The Takaful contract is gratuitous (Aqd e Tabarru) and aims to serve social welfare and mutual assistance.

3. **Q: Why is the conventional insurance contract considered commercial, unlike the Takaful contract?**

   A: Conventional insurance involves a commercial contract (Aqd e Muawada) between the policyholder and the insurance company.

4. **Q: What are the primary components of income for a Takaful company?**

   A: The major components of income for a Takaful company include donations, investment returns, and shares from profit.

5. **Q: In Takaful, how is the income earned by the company primarily distributed?**

   A: The income earned by the Takaful company is primarily distributed to participants or Waqf.

MC Learning House

6. **Q: What type of contract is an insurance policy considered in conventional insurance?**

   A: In conventional insurance, an insurance policy is considered a commercial contract (Aqd e Muawada).

7. **Q: How does the Takaful risk-sharing mechanism align with the concept of Mudarabah?**

   A: The Takaful risk-sharing mechanism aligns with the concept of Mudarabah, emphasizing profit-sharing.

8. **Q: What is the primary focus of an insurance company when determining the businesses to cover?**

   A: An insurance company primarily focuses on covering businesses for profitability.

9. **Q: In Takaful, what is the primary objective when providing coverage for businesses?**

   A: The primary objective in Takaful is to provide coverage for businesses permissible from a Shariah perspective.

10. **Q: What is the nature of the Takaful contract regarding social justice and mutual assistance?**

    A: The Takaful contract is gratuitous, promoting social justice and mutual assistance among participants.

11. **Q: How does the Takaful risk-sharing mechanism differ from conventional insurance's risk transfer concept?**

    A: The Takaful risk-sharing mechanism involves mutual assistance, while conventional insurance focuses on risk transfer.

12. **Q: Who primarily benefits from the income earned by a Takaful company?**

    A: The primary beneficiaries of the income earned by a Takaful company are the participants or Waqf.

13. **Q: What is the primary income source for an insurance company?**

    A: The primary income source for an insurance company is premium money paid by policyholders.

MC Learning House

14. **Q: In Takaful, what is the primary focus when determining the permissible businesses to cover?**

    A: The primary focus in Takaful is to cover businesses permissible from a Shariah perspective.

15. **Q: What distinguishes the Takaful risk-sharing mechanism from conventional insurance's risk transfer concept?**

    A: The Takaful risk-sharing mechanism emphasizes social welfare and mutual assistance, unlike the risk transfer concept in conventional insurance.

16. **Q: What is the main purpose of incorporating the institution of Waqf in the Takaful model?**

    A: The main purpose of incorporating Waqf in the Takaful model is to address Shariah-related issues and enhance the model's compliance.

17. **Q: How does the Takaful model resolve the problem of prohibited elements present in conventional insurance contracts?**

    A: The Takaful model either removes or converts prohibited elements in the contract to make it Shariah-compliant.

18. **Q: What is the significance of the Mudarabah Model in Takaful?**

    A: The Mudarabah Model in Takaful involves participants providing defined contributions, which are then divided into separate accounts for savings and Takaful benefits.

19. **Q: How does the Wakalah Model address objections raised against the Mudarabah Model in Takaful?**

    A: The Wakalah Model acts as an alternative to the Mudarabah Model, addressing Shariah-related objections and refining the Takaful business.

20. **Q: What role does the concept of Waqf play in the Takaful-Wakalah Model?**

    A: In the Takaful-Wakalah Model, Waqf is incorporated to resolve Shariah-related issues, and it acts as a separate legal entity to enhance compliance.**

MC Learning House

203 Insurance and Takaful-29

MCQs:

1. **Q: What is one of the advantages of Takaful over conventional insurance in attracting a broader segment of society?**

   A. Lower premiums

   B. Shari‘ah compliance

   C. Higher coverage limits

   D. Exclusive policies

   Answer: B

2. **Q: How does Takaful contribute to the economy by attracting individuals with Shari‘ah concerns?**

   A. Reducing insurance penetration

   B. Decreasing insurance density

   C. Increasing insurance penetration

   D. Limiting business activities

   Answer: C

3. **Q: Why is efficiency in managing business and prudent investment essential for a firm under the Takaful structure?**

   A. To maximize shareholder profits

   B. To attract non-permissible businesses

   C. Due to dependence on investment returns

   D. To minimize participant contributions

   Answer: C

4. **Q: What businesses can a Takaful company provide cover to, according to its structure?**

   A. Any businesses for profitability

   B. Non-permissible businesses

MC Learning House

C. Permissible businesses from a Shari‘ah perspective

D. Only multinational corporations

Answer: C

5. **Q: How does the Takaful structure contribute to economic well-being by limiting non-permissible businesses?**

   A. Increases moral hazard

   B. Attracts foreign investment

   C. Promotes unethical practices

   D. Positively impacts the economy

   Answer: D

6. **Q: What is one advantage of Takaful in terms of moral hazard compared to conventional insurance?**

   A. Higher likelihood of false claims

   B. Inclusion of Islamic values and principles

   C. Lower premiums for participants

   D. Increased conflict between participants and the company

   Answer: B

7. **Q: Why is the inclusion of Islamic values and principles important in Takaful?**

   A. To encourage false claims

   B. To maximize profits

   C. To promote ethical behavior

   D. To reject genuine claims

   Answer: C

8. **Q: What contributes to fewer conflicts between a Takaful company and participants?**

MC Learning House

A. Dependence on underwriting surplus

B. Ownership rights on Takaful fund

C. Independence of income from underwriting surplus

D. High rejection rates for claims

Answer: C

9. **Q: What is a characteristic of Takaful income that reduces conflicts with participants?**

A. Direct link to underwriting surplus

B. Dependence on premium income

C. Independence from investment returns

D. Ownership rights on Takaful fund

Answer: A

10. **Q: In the context of Takaful, what does "independence of income from underwriting surplus" mean?**

A. Income depends on investment returns

B. Income is unrelated to participant contributions

C. Income relies on ownership rights

D. Income is directly proportional to premium income

Answer: B

11. **Q: What role does Shari‘ah compliance play in attracting a segment of society to Takaful?**

A. Reducing the efficiency of the business

B. Encouraging moral hazard

C. Addressing Shari‘ah concerns of participants

D. Limiting investment opportunities

MC Learning House

Answer: C

12. **Q: How does Takaful positively impact savings and capital formation in the country?**

    A. By limiting business activities

    B. Through increased insurance density

    C. By encouraging non-permissible businesses

    D. Through increased business and investment activities

    Answer: D

13. **Q: What does the Takaful-Wakalah model emphasize to prevent participants from making false claims?**

    A. Dependence on investment returns

    B. Inclusion of ethical guidelines

    C. Independence of income from underwriting surplus

    D. Ownership rights on Takaful fund

    Answer: B

14. **Q: What does the Takaful structure's dependence on investment returns encourage?**

    A. Prudent investment decisions

    B. Risky investment practices

    C. Higher participant contributions

    D. Inefficiency in managing business

    Answer: A

15. **Q: How does Takaful contribute to limiting moral hazard?**

    A. By increasing premiums

    B. Through higher participant contributions

MC Learning House

C. By discouraging false claims through ethical values

D. By rejecting genuine claims

Answer: C

16. **Q: What is the primary objective of Takaful in providing coverage for businesses?**

A. Maximizing shareholder profits

B. Covering any businesses for profitability

C. Limiting coverage to specific industries

D. Providing coverage to permissible businesses

Answer: D

17. **Q: What is a key feature that makes Takaful more attractive to a segment reluctant to purchase conventional insurance?**

A. Lower premiums

B. Ethical investment opportunities

C. Higher coverage limits

D. Shari'ah compliance

Answer: D

18. **Q: What does Takaful's focus on permissible businesses contribute to in the economy?**

A. Encouraging unethical practices

B. Attracting foreign investments

C. Limiting business activities

D. Positively impacting the economy

Answer: D

19. **Q: How does Takaful contribute to increasing savings in the country?**

MC Learning House

A. Through higher participant contributions

B. By limiting investment opportunities

C. By discouraging business activities

D. Through increased insurance penetration

Answer: D

20. **Q: What is one advantage of Takaful in terms of business efficiency and investment prudence?**

A. Independence from investment returns

B. Inclusion of non-permissible businesses

C. Reliance on ownership rights

D. Dependence on investment returns

Answer: D

Q&A:

1. **Q: What makes Takaful attractive to a segment of society that is reluctant to purchase conventional insurance?**

   A: Takaful's Shari'ah compliance addresses concerns that some individuals may have with conventional insurance.

2. **Q: How does enhanced insurance density contribute to the economy?**

   A: Increased insurance penetration leads to more business and investment activities, higher savings, and greater capital formation.

3. **Q: What factor plays a significant role in determining a Takaful firm's income?**

   A: The investment returns generated by the Takaful company's prudent investment decisions.

4. **Q: Why is Takaful restricted to providing coverage only to businesses permissible from a Shari'ah perspective?**

MC Learning House

A: Takaful adheres to Islamic principles, ensuring ethical and permissible business practices.

5. **Q: How does Takaful positively impact the economy by covering only permissible businesses?**

   A: It promotes economic growth by supporting businesses aligned with Shari‘ah principles.

6. **Q: What contributes to fewer chances of moral hazard in Takaful compared to conventional insurance?**

   A: The inclusion of Islamic values and principles discourages participants from making false claims or providing incorrect information.

7. **Q: What prevents conflicts between Takaful companies and participants regarding claims?**

   A: Takaful companies have no ownership rights on the Takaful fund, reducing the incentive to reject claims unnecessarily.

8. **Q: How does Takaful align with the concept of a gratuitous contract?**

   A: Takaful operates as a contract of donation (Aqd-e-Tabarru), focusing on mutual assistance without a commercial profit motive.

9. **Q: What role does the independence of Takaful income play in reducing conflicts with participants?**

   A: Takaful companies' income independence from underwriting surplus ensures a fair and unbiased claims process.

10. **Q: How does Takaful contribute to the economy by attracting a hesitant segment of society?**

    A: It widens the insurance market, bringing in individuals who were previously hesitant due to Shari‘ah concerns.

11. **Q: Why is Takaful considered a perpetual charity (Sadaqa Jariyah) in favor of the Waqif?**

    A: The Waqf property, once donated, is considered perpetual charity, benefiting the Waqif and aligning with Islamic principles.

12. **Q: What distinguishes Takaful from conventional insurance in terms of risk handling mechanism?**

MC Learning House

A: Takaful is based on the concept of risk sharing, while conventional insurance relies on risk transfer.

13. **Q: How does Takaful ensure that only permissible businesses are covered?**

A: Takaful companies adhere to Shari'ah rules, providing coverage only to businesses considered permissible in Islam.

14. **Q: Why does Takaful require more efficient management and prudent investment decisions?**

A: Takaful companies' income is largely dependent on investment returns, necessitating careful financial management.

15. **Q: What role does the concept of Wakalah play in Takaful?**

A: Takaful companies act as Wakeel (agent) for participants, managing Takaful business and charging a commission for their services.

16. **Q: How does Takaful address concerns related to moral hazard?**

A: By incorporating Islamic values, Takaful encourages truthful and responsible behavior among participants.

17. **Q: Why is Takaful considered more efficient in managing business compared to conventional insurance?**

A: Takaful companies, reliant on investment returns, are incentivized to operate efficiently and make prudent investment decisions.

18. **Q: What role does the Waqf-Wakalah model play in resolving Shariah-related issues in Takaful?**

A: It incorporates the concept of Waqf to address concerns, ensuring the adherence of Takaful operations to Islamic principles.

19. **Q: How does Takaful contribute to a more ethical insurance landscape?**

A: Takaful's alignment with Islamic principles promotes ethical conduct and responsible insurance practices.

20. **Q: Why does Takaful pose fewer conflicts between the company and participants?**

A: Takaful companies have no ownership rights on the Takaful fund, minimizing conflicts and ensuring fairness in claims processing.

MC Learning House

204 Insurance and Takaful-30

MCQs:

1. **Q: When did Conventional Insurance start operating in Pakistan?**

   A. 1947

   B. 1960

   C. 1983

   D. 2006

   Answer: A. 1947

2. **Q: How many General Insurance Companies are currently operating in Pakistan?**

   A. 7

   B. 38

   C. 3

   D. 2

   Answer: B. 38

3. **Q: What is the total Gross Premium for Life Insurance Companies in Pakistan?**

   A. Rs. 62 Billion

   B. Rs. 122 Billion

   C. Rs. 184 Billion

   D. Rs. 8 Billion

   Answer: B. Rs. 122 Billion

4. **Q: When were the Takaful Rules prepared in Pakistan?**

   A. 1947

   B. 1983

MC Learning House

C. 2005

D. 2012

Answer: C. 2005

5. **Q: Which was the first Takaful Company established in Pakistan?**

A. EFU Life Assurance

B. Pak-Qatar Takaful

C. Dawood Takaful

D. Pak-Kuwait Takaful

Answer: D. Pak-Kuwait Takaful

6. **Q: How many Family Takaful Companies are currently operating in Pakistan?**

A. 1

B. 2

C. 3

D. 4

Answer: B. 2

7. **Q: In what year did SECP allow conventional Insurance companies to sell Takaful Products?**

A. 2005

B. 2012

C. 2015

D. 2018

Answer: B. 2012

8. **Q: Which insurance company became the first to receive regulatory approval for window Takaful operations?**

MC Learning House

A. Dawood Family Takaful Ltd.

B. EFU Life Assurance

C. Pak-Qatar Takaful Ltd.

D. Takaful Pakistan Ltd.

Answer: B. EFU Life Assurance

9. **Q: What is the expected share of Takaful in EFU Life Assurance's overall gross premiums after three years?**

A. 5%

B. 10%

C. 15% - 20%

D. 25%

Answer: C. 15% - 20%

10. **Q: Which company is the second-largest in the private sector and has entered the Takaful industry in Pakistan?**

A. Dawood Family Takaful Ltd.

B. Juilee Life

C. Pak-Qatar Genral Takaful Ltd.

D. Takaful Pakistan Ltd.

Answer: B. Juilee Life

11. **Q: Which insurance company is preparing to start Takaful through window operation in the public sector?**

A. Dawood Family Takaful Ltd.

B. EFU Life Assurance

C. Pak-Qatar Genral Takaful Ltd.

D. State Life Insurance

MC Learning House

Answer: D. State Life Insurance

12. **Q: What is the capital contribution to the statutory fund set up by EFU Life Assurance for Takaful products?**

    A. Rs. 6 Billion

    B. Rs. 8 Billion

    C. Rs. 50 Million

    D. Rs. 184 Billion

    Answer: C. Rs. 50 Million

13. **Q: What does EFU Life Assurance aim to achieve in the Takaful segment with its capital contribution?**

    A. Low growth

    B. Moderate growth

    C. High growth

    D. No growth

    Answer: C. High growth

14. **Q: How many Life Insurance Companies are currently operating in Pakistan?**

    A. 1

    B. 2

    C. 3

    D. 4

    Answer: A. 1

15. **Q: Which model do all Takaful companies in Pakistan follow under the supervision of their Shariah boards?**

    A. Mudarabah Model

    B. Waqf-Wakala Model

MC Learning House

C. Wakalah Model

D. Mudarabah Model (Family Takaful)

Answer: B. Waqf-Wakala Model

16. **Q: In what year did the first Takaful company establish itself in Pakistan?**

A. 2005

B. 2006

C. 2012

D. 2015

Answer: B. 2006

17. **Q: How many General Takaful Companies are currently operating in Pakistan?**

A. 2

B. 3

C. 4

D. 5

Answer: B. 3

18. **Q: Which entity in Pakistan drew the framework for Islamic Insurance (Takaful) in 1983?**

A. SECP

B. State Bank of Pakistan

C. Council of Islamic Ideology

D. Ministry of Finance

Answer: C. Council of Islamic Ideology

19. **Q: What is the total Gross Premium for General Takaful Companies in Pakistan?**

A. Rs. 2 Billion

MC Learning House

B. Rs. 6 Billion

C. Rs. 8 Billion

D. Rs. 62 Billion

Answer: A. Rs. 2 Billion

20. **Q: What is the total Gross Premium for all Takaful companies in Pakistan?**

A. Rs. 50 Million

B. Rs. 6 Billion

C. Rs. 8 Billion

D. Rs. 184 Billion

Answer: C. Rs. 8 Billion

Q&A:

1. Q: When did the Government of Pakistan assign the task to the Council of Islamic Ideology to draw a framework for Islamic Insurance (Takaful)?

- A: In 1983, the Government of Pakistan assigned the task to the Council of Islamic Ideology to draw a framework for Islamic Insurance (Takaful).

2. Q: What rules were prepared in 2005 to regulate Takaful in Pakistan?

- A: Takaful Rules were prepared in 2005 to regulate Takaful in Pakistan.

3. Q: When was the first Takaful company established in Pakistan, and what is its name?

- A: The first Takaful company, Pak-Kuwait Takaful Company Limited, was established in 2006 in Pakistan.

4. Q: How many Family Takaful Companies are currently operating in Pakistan, and can you name them?

- A: There are currently two Family Takaful Companies operating in Pakistan: Pak-Qatar Family Takaful Ltd. and Dawood Family Takaful Ltd.

5. Q: What model do all Takaful companies in Pakistan follow, and who supervises them?

MC Learning House

- A: All Takaful companies in Pakistan follow the Waqf-Wakalah Model under the supervision of their respective Shariah boards.

6. Q: When were conventional insurance companies allowed to sell Takaful products in Pakistan through window operations?

- A: In 2012, conventional insurance companies were allowed to sell Takaful products in Pakistan through window operations.

7. Q: Which company became the first to receive regulatory approval for launching window Takaful operations in Pakistan?

- A: EFU Life Assurance became the first company to receive regulatory approval for launching window Takaful operations.

8. Q: What is the expected share of Takaful in EFU Life Assurance's overall gross premiums after three years of launching window Takaful operations?

- A: The expected share of Takaful in EFU Life Assurance's overall gross premiums after three years is between 15% and 20%.

9. Q: Which company is the second largest in the private sector among the new entrants in the Takaful industry in Pakistan?

- A: Jubilee Life is the second-largest company in the private sector among the new entrants in the Takaful industry in Pakistan.

10. Q: Which public sector company in Pakistan is preparing to start Takaful through window operations?

- A: State Life Insurance, the only public sector company, is preparing to start Takaful through window operations.

11. Q: What is the capital contribution to the statutory fund set up to launch Islamic products by EFU Life Assurance?

- A: EFU Life Assurance has a capital contribution of Rs. 50 million to the statutory fund set up to launch Islamic products.

12. Q: How many Takaful companies are currently operating in Pakistan, and can you name them?

- A: Currently, there are five Takaful companies operating in Pakistan: Pak-Qatar Family Takaful Ltd., Dawood Family Takaful Ltd., Pak-Qatar General Takaful Ltd., Pak-Kuwait Takaful Ltd., and Takaful Pakistan Ltd.

Mc Learning House

13. Q: When were conventional insurance companies officially allowed to offer Takaful products in Pakistan?

- A: In 2015, conventional insurance companies were officially allowed to offer Takaful products in Pakistan.

14. Q: What is the significance of the Waqf-Wakalah Model in Takaful operations?

- A: The Waqf-Wakalah Model resolves Shariah-related issues in Takaful operations by creating a separate legal entity (Waqf) to manage Takaful funds.

15. Q: What role does the Council of Islamic Ideology play in shaping the Takaful framework in Pakistan?

- A: The Council of Islamic Ideology was assigned the task in 1983 to draw a framework for Islamic Insurance (Takaful) in Pakistan.

16. Q: What are the major components of income for Takaful companies in Pakistan?

- A: The major components of income for Takaful companies in Pakistan are Return on shareholder capital, Share from profit as Mudarib, and Wakalah fee.

17. Q: How does Takaful differ from conventional insurance in terms of the nature of the contract?

- A: Conventional insurance is a commercial contract (Aqd-e-Muawada), while Takaful is a gratuitous contract (Aqd-e-Tabarru).

18. Q: What considerations does a Takaful company have to make in its investment decisions, unlike conventional insurance?

- A: A Takaful company has to consider both Shari'ah rules and prudential regulations in its investment decisions, unlike conventional insurance, which only considers prudential regulation.

19. Q: How does Takaful contribute to increased insurance penetration and economic activities in a country?

- A: Takaful has the capability of attracting segments of society reluctant to purchase insurance due to Shari'ah concerns, leading to increased insurance penetration, enhanced insurance density, increased business and investment activities, savings, and more capital formation.

20. Q: What advantages does Takaful offer over conventional insurance in terms of moral hazard and conflict prevention?

MCLearning House

- A: Takaful has fewer chances of moral hazard, as participants are guided by Islamic values and principles, preventing false claims and conflicts between the Takaful company and participants due to the independence of income from underwriting surplus and no ownership rights on the Takaful fund.**

205 Insurance and Takaful-31

MCQs:

1. Q: What was the growth rate of life insurance in Pakistan between 2013-2015?

a) 6.2%

b) 21%

c) 35.6%

d) 44%

Answer: b) 21%

2. Q: How much did non-life insurance grow in 2015 as compared to 2014?

a) 6.2%

b) 12%

c) 21%

d) 35.6%

Answer: a) 6.2%

3. Q: What was the growth rate of family takaful in 2015 as compared to 2014?

a) 6.2%

b) 12%

c) 29.3%

d) 35.6%

Answer: d) 35.6%

MC Learning House

4. Q: What percentage of total assets did both family and general takaful business constitute in 2015?

a) 1.9%

b) 6.2%

c) 29.3%

d) 35.6%

Answer: a) 1.9%

5. Q: What was the insurance penetration rate in Pakistan in 2015?

a) 0.8%

b) 3.7%

c) 16.6%

d) 44%

Answer: a) 0.8%

6. Q: In 2014, which rank did Pakistan hold among a sample of countries in terms of insurance penetration?

a) 6.2%

b) 21%

c) 80th

d) 35.6%

Answer: c) 80th

7. Q: What factor could provide insurance companies an opportunity to underwrite developmental projects in Pakistan?

a) Increased competition

b) Global economic stability

c) CPEC and Iran-Pakistan gas pipeline

MC Learning House

d) Government regulations

Answer: c) CPEC and Iran-Pakistan gas pipeline

8. Q: To boost insurance for large developmental projects, what suggestion is mentioned for the government?

a) Increasing taxes

b) Allowing local insurers to underwrite with large international insurers

c) Imposing strict regulations

d) Reducing premiums

Answer: b) Allowing local insurers to underwrite with large international insurers

9. Q: What may deter the government from allowing local insurers to underwrite large developmental projects on their own?

a) Increased competition

b) Strict regulations

c) Withdrawal of reinsurers

d) Low demand for insurance

Answer: c) Withdrawal of reinsurers

10. Q: What is the real premium growth rate in Pakistan during 2015 as compared to the world level? –

a) 6.2%

b) 3.7%

c) 16.6%

d) 44% -

Answer: c) 16.6%

11. Q: What is the main reason cited for the low insurance penetration in Pakistan? –

a) Lack of government support

MC Learning House

b) High premiums

c) CPEC projects

d) Inadequate awareness and demand –

Answer: d) Inadequate awareness and demand

12. Q: What major project is mentioned as a potential opportunity for insurance companies in Pakistan?

a) Global economic stability

b) CPEC and Iran-Pakistan gas pipeline

c) Government infrastructure projects

d) Withdrawal of reinsurers

Answer: b) CPEC and Iran-Pakistan gas pipeline

13. Q: What growth rate did general takaful business experience during 2015?

a) 6.2%

b) 12%

c) 29.3%

d) 35.6% -

Answer: c) 29.3%

14. Q: What percentage of the total assets of the insurance sector did family and general takaful constitute in 2015?

a) 1.9%

b) 6.2%

c) 29.3%

d) 35.6% -

Answer: a) 1.9%

Mr Learning House

15. Q: What is the suggested role of local insurers in underwriting large developmental projects?

a) Avoiding such projects

b) Collaborating with large international insurers

c) Seeking government subsidies

d) Reducing premiums –

Answer: b) Collaborating with large international insurers

16. Q: What is the suggested role of local insurers in underwriting large developmental projects?

a) Avoiding such projects

b) Collaborating with large international insurers

c) Seeking government subsidies

d) Reducing premiums –

Answer: b) Collaborating with large international insurers

17. Q: What is the expected impact of CPEC and Iran-Pakistan gas pipeline on the insurance sector in Pakistan?

a) Decreased demand for insurance

b) Increased competition

c) Opportunity to underwrite related developmental projects

d) Withdrawal of reinsurers –

Answer: c) Opportunity to underwrite related developmental projects

18. Q: What is the suggested factor that could deter the government from allowing local insurers to underwrite large projects on their own?

a) Strict government regulations

b) Low demand for insurance

MC Learning House

c) Increased competition

d) Withdrawal of reinsurers –

Answer: d) Withdrawal of reinsurers

19. Q: What growth rate did family takaful experience in 2014?

a) 6.2%

b) 12%

c) 29.3%

d) 44% -

Answer: d) 44%

20. Q: What is emphasized as a stable factor for the future of the insurance sector in Pakistan?

a) Increased government regulations

b) CPEC and Iran-Pakistan gas pipeline

c) Global economic stability

d) Withdrawal of reinsurers –

Answer: c) Global economic stability

Q&A:

1. Q: When did conventional insurance start operating in Pakistan?

- A: Conventional insurance has been operating in Pakistan since its independence in 1947.

2. Q: How many Life Insurance Companies and General Insurance Companies are operating in Pakistan?

- A: In Pakistan, there are 7 Life Insurance Companies and 38 General Insurance Companies.

3. Q: When were the Takaful Rules prepared in Pakistan?

MC Learning House

- A: The Takaful Rules in Pakistan were prepared in 2005.

4. Q: When was the first Takaful company established in Pakistan, and what is its name?

- A: The first Takaful company in Pakistan, Pak-Kuwait Takaful Company Limited, was established in 2006.

5. Q: How many Family Takaful Companies and General Takaful Companies are currently operating in Pakistan?

- A: There are 2 Family Takaful Companies and 3 General Takaful Companies operating in Pakistan.

6. Q: What model do all Takaful companies in Pakistan follow under the supervision of their Shariah board?

- A: All Takaful companies in Pakistan follow the Waqf-Wakalah Model under the supervision of their respective Shariah boards.

7. Q: What did the SECP allow in 2012 regarding Takaful products?

- A: In 2012, the SECP allowed conventional insurance companies to sell Takaful products through window operations.

8. Q: What did EFU Life Assurance become the first company to receive approval for?

- A: EFU Life Assurance became the first company to receive regulatory approval to launch window Takaful operations.

9. Q: What is the expected share of Takaful in EFU Life Assurance's overall gross premiums after three years?

- A: The expected share of Takaful in EFU Life Assurance's overall gross premiums after three years is between 15% and 20%.

11. **Q: What is the main reason cited for the low insurance penetration in Pakistan?** –

A: The main reason for low insurance penetration in Pakistan is inadequate awareness and demand.

12. **Q: How does the Takaful business concept differ from conventional insurance?**

A: Takaful operates on the concept of risk sharing, while conventional insurance is based on the concept of risk transfer.

13. **Q: What type of contract is conventional insurance, and what about Takaful?** –

MC Learning House

A: Conventional insurance is a commercial contract (Aqd-e-Muawada), while Takaful is a gratuitous contract (Aqd-e-Tabarru).

14. **Q: Who owns the premium amount in conventional insurance, and in Takaful, who owns the contributions?** –

A: In conventional insurance, the premium amount is owned by the insurance company. In Takaful, contributions are owned by the participants or Waqf.

15. **Q: What must a Takaful company consider in its investment decisions besides prudential regulations?** –

A: In its investment decisions, a Takaful company must consider Shari'ah rules besides prudential regulations.

16. **Q: What businesses can Takaful provide cover to, as opposed to conventional insurance?** –

A: Takaful can provide cover only to businesses permissible from a Shari'ah perspective, unlike conventional insurance.

17. **Q: What is the suggested role of local insurers in underwriting large developmental projects?** –

A: The suggested role of local insurers is to collaborate with large international insurers for underwriting large developmental projects.

18. **Q: What is the expected impact of CPEC and Iran-Pakistan gas pipeline on the insurance sector in Pakistan?** –

A: CPEC and Iran-Pakistan gas pipeline are expected to provide insurance companies an opportunity to underwrite related developmental projects.

19. **Q: What may deter the government from allowing local insurers to underwrite large projects on their own?** –

A: The withdrawal of reinsurers may deter the government from allowing local insurers to underwrite large projects on their own.

20. **Q: What is the emphasized stable factor for the future of the insurance sector in Pakistan?** –

A: The emphasized stable factor is global economic stability.

21. **Q: What is the growth rate of family and general takaful business as a percentage of total assets in 2015?** –

Mr Learning House

A: Both family and general takaful business constituted 1.9% of the total assets of the insurance sector in 2015.

206 Insurance and Takaful-32

MCQs:

1. Q: What does the Insurance Ordinance, 2000 cover in Pakistan?

A) Only conventional insurance business

B) Only Takaful business

C) All types of insurance business, including Takaful

D) None of the above

Answer: C) All types of insurance business, including Takaful

2. Q: Which document deals with specific details like admissibility of assets, reinsurance, licensing, etc., applicable to all insurers?

A) Insurance Ordinance, 2000

B) Insurance Rules, 2002

C) Takaful Rules, 2005

D) Circulars

Answer: B) Insurance Rules, 2002

3. Q: When were the Takaful Rules, 2005, notified in Pakistan?

A) 2000

B) 2002

C) 2005

D) 2010

Answer: C) 2005

4. Q: In case of a conflict between Takaful Rules and Insurance Rules, which rules prevail?

Mc Learning House

A) Takaful Rules

B) Insurance Rules

C) Both are equally applicable

D) Circulars prevail

Answer: A) Takaful Rules

5. Q: What is the major regulatory requirement for Takaful regarding registration?

A) Registration under Shariah Board

B) Registration under Insurance Rules, 2002

C) Registration under section 6 of the Insurance Ordinance

D) Registration under Circulars

Answer: C) Registration under section 6 of the Insurance Ordinance

6. Q: What is the role of a Shariah Board in a Takaful Operator?

A) Financial auditing

B) Appointing the CEO

C) Composing music for promotional purposes

D) Ensuring compliance with Shariah in financial dealings

Answer: D) Ensuring compliance with Shariah in financial dealings

7. Q: How many members should a Shariah Board of a Takaful Operator comprise?

A) At least 1 member

B) At least 2 members

C) At least 3 members

D) At least 5 members

Answer: C) At least 3 members

MC Learning House

8. Q: What is the purpose of the Central Shariah Board at SECP level?

A) To compose music for Takaful commercials

B) To oversee financial auditing

C) To ensure uniformity and compliance with Shariah standards

D) To design insurance policies

Answer: C) To ensure uniformity and compliance with Shariah standards

9. Q: Under the Regulatory Framework, what does a Takaful company have to comply with in addition to Insurance Ordinance and Insurance Rules?

A) Shariah Board guidelines

B) Central Shariah Board guidelines

C) Takaful Rules 2005

D) Only Circulars

Answer: C) Takaful Rules 2005

10. Q: What does the Takaful company need to comply with if there is a conflict between Takaful Rules and Insurance Ordinance? –

A) Takaful Rules –

B) Insurance Ordinance –

C) Both are equally applicable –

D) Circulars prevail –

Answer: B) Insurance Ordinance

11. Q: What is the main purpose of the Insurance Rules, 2002? –

A) To outline Shariah compliance –

B) To address specific details applicable to all insurers –

C) To define Takaful business –

MC Learning House

D) To issue Circulars –

Answer: B) To address specific details applicable to all insurers

12. Q: What role does the Insurance Ordinance, 2000 play in Takaful business? –

A) It outlines the principles of Shariah –

B) It regulates Takaful business separately from conventional insurance –

C) It covers all types of insurance business, including Takaful –

D) It focuses on reinsurance only –

Answer: C) It covers all types of insurance business, including Takaful

13. Q: What does Circulars include in the regulatory framework? –

A) Detailed guidelines on asset management –

B) Specific details like admissibility of assets –

C) Advertisements for Takaful companies –

D) Issued by SECP on various specific issues –

Answer: D) Issued by SECP from time to time on various specific issues

14. Q: Which document deals with additional requirements specific to Takaful operators in Pakistan? –

A) Insurance Ordinance, 2000 –

B) Insurance Rules, 2002 –

C) Takaful Rules, 2005 –

D) Circulars –

Answer: C) Takaful Rules, 2005

15. Q: In case of a conflict between Takaful Rules and Insurance Rules, what prevails? –

A) Takaful Rules –

B) Insurance Rules –

MC Learning House

C) Both are equally applicable –

D) Circulars prevail –

Answer: A) Takaful Rules

16. Q: What type of contract is Takaful business considered under the regulatory framework? –

A) Commercial contract –

B) Gratuitous contract –

C) Contract for service –

D) Contract of agency –

Answer: B) Gratuitous contract

17. Q: What is the primary focus of Takaful business in terms of risk management? –

A) Risk transfer –

B) Risk avoidance –

C) Risk sharing –

D) Risk acceptance –

Answer: C) Risk sharing

18. Q: What does a Takaful company need to comply with in case of a conflict between Takaful Rules and Insurance Ordinance? –

A) Takaful Rules –

B) Insurance Ordinance –

C) Both are equally applicable –

D) Circulars prevail –

Answer: B) Insurance Ordinance

19. Q: What is the significance of the Central Shariah Board at SECP level in the Takaful industry? –

MC Learning House

A) To ensure uniformity in circulars –

B) To compose music for Takaful commercials –

C) To oversee Shariah compliance –

D) To manage asset portfolios –

Answer: C) To ensure uniformity in Shariah compliance

20. Q: Under the regulatory framework, what is the primary responsibility of a Takaful company's Shariah Board? –

A) Marketing strategies –

B) Ensuring compliance with Shariah in financial dealings –

C) Asset management –

D) Customer service –

Answer: B) Ensuring compliance with Shariah in financial dealings

Q&A:

1. Q: What is the primary legislation governing Takaful in Pakistan?

- A: The primary legislation governing Takaful in Pakistan is the Insurance Ordinance, 2000.

2. Q: Which document deals with specific details applicable to all insurers, including Takaful operators?

- A: The Insurance Rules, 2002, deals with specific details applicable to all insurers, including Takaful operators.

3. Q: When were the Takaful Rules in Pakistan notified?

- A: The Takaful Rules were notified in 2005 under the Insurance Ordinance 2000.

4. Q: In case of a conflict between Takaful Rules and Insurance Rules, which prevails?

- A: In case of a conflict, the Takaful Rules prevail over the Insurance Rules.

MC Learning House

5. Q: What is the major regulatory requirement for Takaful operators regarding registration?

- A: The major regulatory requirement is the registration under section 6 of the Insurance Ordinance to carry on Takaful business.

6. Q: According to the Regulatory Framework, a Takaful company can be registered as what types of operators?

- A: A Takaful company can be registered as either a Family Takaful Operator or a General Takaful Operator.

7. Q: What is the purpose of appointing a Shariah Board by each Takaful Operator?

- A: The purpose is to ensure compliance with Shariah principles in financial dealings.

8. Q: How many members are required in a Shariah Board appointed by a Takaful Operator?

- A: A Shariah Board appointed by a Takaful Operator must have at least three members.

9. Q: Besides Shariah compliance, what is the role of a Shariah Board in a Takaful Operator?

- A: The Shariah Board oversees modern financial dealings in addition to ensuring Shariah compliance.

10. Q: What level is the Central Shariah Board located at within the regulatory framework?

- A: The Central Shariah Board is at the SECP level within the regulatory framework.

11. Q: What does the Insurance Ordinance, 2000 cover in Pakistan?

- A: The Insurance Ordinance, 2000, covers all types of insurance business in Pakistan.

12. Q: Which document deals with specific details like admissibility of assets, reinsurance, and licensing applicable to all insurers?

- A: The Insurance Rules, 2002, deals with specific details like admissibility of assets, reinsurance, and licensing applicable to all insurers.

13. Q: In case of a conflict between Takaful Rules and Insurance Ordinance, which prevails?

- A: In case of a conflict, the Insurance Ordinance prevails over the Takaful Rules.

MC Learning House

14. Q: What is the function of Circulars issued by SECP in the regulatory framework?

- A: Circulars issued by SECP address various specific issues over time within the regulatory framework.

15. Q: When was the Insurance Ordinance, 2000 enacted in Pakistan?

- A: The Insurance Ordinance, 2000, was enacted in the year 2000.

16. Q: What does a Takaful company have to comply with in addition to the Insurance Ordinance and Insurance Rules?

- A: A Takaful company has to comply with the Takaful Rules, 2005, in addition to the Insurance Ordinance and Insurance Rules.

17. Q: How many members are required on a Shariah Board at a minimum?

- A: A minimum of three members is required on a Shariah Board.

18. Q: What does a Takaful company have to comply with in case of a conflict between Takaful Rules and Insurance Rules?

- A: In case of a conflict, the Takaful Rules prevail over the Insurance Rules.

19. Q: What regulatory aspect is addressed by the Takaful Rules, 2005?

- A: The Takaful Rules, 2005, address specific additional requirements for Takaful operators in the regulatory framework.

20. Q: What is the overarching legislation covering all types of insurance, including Takaful, in Pakistan?

- A: The overarching legislation covering all types of insurance, including Takaful, in Pakistan is the Insurance Ordinance, 2000.

MC Learning House

207 Insurance and Takaful-33

MCQs:

1. Q: What is the minimum paid-up capital required for a Family Takaful Operator in Pakistan?

A. Rs. 200 million

B. Rs. 300 million

C. Rs. 400 million

D. Rs. 500 million

Answer: D. Rs. 500 million

2. Q: How much is the minimum required statutory deposit for Takaful operators in Pakistan, according to Shariah perspective?

A. Rs. 1 million

B. Rs. 5 million

C. Rs. 10 million

D. 10% of Paid-up Capital

Answer: D. 10% of Paid-up Capital

3. Q: In which form should the statutory deposit be made under the Insurance Ordinance?

A. Cash only

B. Approved securities

C. Bank guarantee

D. Physical assets

Answer: B. Approved securities

4. Q: What is the minimum paid-up capital required for a General Takaful Operator in Pakistan?

A. Rs. 100 million

B. Rs. 200 million

C. Rs. 300 million

D. Rs. 400 million

Answer: C. Rs. 300 million

5. Q: According to Shariah, what is the minimum statutory deposit for Takaful operators in Pakistan?

MC Learning House

A. Rs. 5 million

B. Rs. 10 million

C. 5% of Paid-up Capital

D. 10% of Paid-up Capital

Answer: D. 10% of Paid-up Capital

6. Q: What is the purpose of re-insurance/re-takaful in the Takaful regulatory framework?

A. To maximize profits

B. To comply with Shariah guidelines

C. To minimize risks

D. To increase market share

Answer: B. To comply with Shariah guidelines

7. Q: What must re-insurance/re-takaful arrangements ensure for Takaful operators in Pakistan?

A. Compliance with tax regulations

B. Adequate risk-sharing

C. Higher premiums

D. Profit maximization

Answer: B. Adequate risk-sharing

8. Q: In Takaful, what does the Shareholder Fund (SHF) consist of?

A. Only Paid-up Capital

B. Undistributed Profit to Shareholders

C. Both Paid-up Capital and Undistributed Profit

D. Premiums collected from participants

Answer: C. Both Paid-up Capital and Undistributed Profit

MC Learning House

9. Q: What is the purpose of the Shareholder Fund (SHF) in the Takaful regulatory framework?

A. To provide benefits to participants

B. To cover administrative expenses

C. To distribute profits to participants

D. To ensure financial stability

Answer: D. To ensure financial stability

10. Q: What does the Participants Takaful Fund (PTF) act as in the Takaful regulatory framework? –

A. Administrative reserve –

B. Risk pool –

C. Investment portfolio –

D. Marketing fund –

Answer: B. Risk pool

11. Q: How is the Participants Takaful Fund (PTF) funded in Takaful? –

A. Shareholder contributions –

B. Premiums from participants –

C. Government grants –

D. Re-insurance proceeds –

Answer: B. Premiums from participants

12. Q: What is the primary purpose of the Participants Takaful Fund (PTF)? –

A. To maximize profits –

B. To cover administrative costs –

C. To provide risk-related benefits –

MC Learning House

D. To distribute dividends –

Answer: C. To provide risk-related benefits

13. Q: According to the Takaful regulatory framework, what is the significance of a risk pool in Takaful? –

A. To generate investment income –

B. To minimize administrative costs –

C. To pool risk contributions and pay out benefits –

D. To comply with tax regulations –

Answer: C. To pool risk contributions and pay out benefits

14. Q: In Takaful, what is the role of the Shariah Board at the SECP level? –

A. To supervise marketing activities –

B. To ensure compliance with tax regulations –

C. To oversee Shariah compliance in Takaful operations –

D. To maximize profits –

Answer: C. To oversee Shariah compliance in Takaful operations

15. Q: What should re-insurance arrangements for Takaful operators ensure for compliance with the Insurance Ordinance? –

A. Adequate risk-sharing –

B. Maximum retention of risk –

C. High premium rates –

D. Tax optimization –

Answer: A. Adequate risk-sharing

16. Q: How is the minimum paid-up capital for Takaful operators different from Family Takaful to General Takaful? –

A. Family Takaful requires higher capital –

MC Learning House

B. General Takaful requires higher capital –

C. Both require the same capital –

D. It depends on market conditions –

Answer: A. Family Takaful requires higher capital

17. Q: What is the purpose of the minimum statutory deposit in the Takaful regulatory framework? –

A. To ensure marketing efforts –

B. To cover administrative expenses –

C. To provide risk-related benefits –

D. To safeguard policyholders' interests –

Answer: D. To safeguard policyholders' interests

18. Q: According to Shariah perspective, what form should the statutory deposit take? –

A. Cash only –

B. Bank guarantee –

C. Physical assets –

D. Approved securities –

Answer: D. Approved securities

19. Q: In Takaful, what does the term "Maintenance of Funds" refer to? –

A. Ensuring physical security of funds –

B. Proper accounting practices –

C. Continuous generation of profits –

D. Adequate funding for marketing efforts –

Answer: B. Proper accounting practices

MC Learning House

20. Q: What does the regulatory framework in Takaful ensure regarding re-insurance/re-takaful? –

A. Maximum retention of risk –

B. Compliance with tax regulations –

C. Adequate risk-sharing and compliance with the Insurance Ordinance –

D. Profit maximization –

Answer: C. Adequate risk-sharing and compliance with the Insurance Ordinance

Q&A:

1. Q: What are the controlling documents for Takaful in Pakistan?

- A: The controlling documents for Takaful in Pakistan include the Insurance Ordinance, 2000, Insurance Rules, 2002, Takaful Rules, 2005, and circulars issued by the SECP.

2. Q: How are conflicts resolved between Takaful Rules and Insurance Ordinance in Pakistan?

- A: In case of conflicts between Takaful Rules and Insurance Ordinance, the Takaful Rules prevail.

3. Q: What is the role of the Shariah Board in a Takaful company?

- A: The Shariah Board, comprising at least three members with knowledge of Shariah and modern finance, ensures Shariah compliance in Takaful operations.

4. Q: What is the minimum paid-up capital required for a Family Takaful Operator in Pakistan?

- A: The minimum paid-up capital for a Family Takaful Operator is Rs. 500 million.

5. Q: How does the statutory deposit for Takaful operators differ from conventional insurers?

- A: The statutory deposit for Takaful operators must be in approved securities and is higher of Rs. 10 million or 10% of Paid-up Capital.

6. Q: What is the purpose of re-insurance/re-takaful in Takaful?

MC Learning House

- A: Re-insurance/re-takaful ensures compliance with Shariah guidelines and is adequate to ensure continuing compliance with the provisions of the Insurance Ordinance.

7. Q: What does the Shareholder Fund (SHF) in Takaful consist of?

- A: The SHF consists of both Paid-up Capital and Undistributed Profit to Shareholders.

8. Q: What is the significance of the Participants Takaful Fund (PTF) in Takaful?

- A: The PTF acts as a risk pool to which participants' risk-related contributions are paid and from which risk-related benefits are paid out.

9. Q: How is the Participants Takaful Fund (PTF) funded in Takaful?

- A: The PTF is funded by premiums from participants.

11. **Q: According to the regulatory framework, what is the role of a Takaful operator's Shariah Board?** –

A: The Shariah Board ensures Shariah compliance, reviews Takaful products, and provides guidance on Shariah-related matters.

12. **Q: What is the purpose of the minimum statutory deposit for Takaful operators?** –

A: The statutory deposit safeguards policyholders' interests and ensures financial stability.

13. **Q: How does the Takaful regulatory framework address conflicts between Takaful Rules and Insurance Rules?** –

A: In case of conflicts, Takaful Rules prevail over Insurance Rules.

13. Q: What is the minimum paid-up capital for a General Takaful Operator in Pakistan? –

A: The minimum paid-up capital for a General Takaful Operator is Rs. 300 million.

14. **Q: How does re-insurance/re-takaful contribute to Takaful compliance with the Insurance Ordinance?** –

A: Re-insurance/re-takaful arrangements ensure adequate risk-sharing and compliance with the provisions of the Insurance Ordinance.

15. **Q: What is the purpose of the Central Shariah Board at the SECP level in Takaful?** –

MC Learning House

A: The Central Shariah Board oversees Shariah compliance in Takaful operations at the SECP level.

16. **Q: What is the primary purpose of the Participants Takaful Fund (PTF) in Takaful?** –

A: The PTF provides risk-related benefits to participants.

17. **Q: How does the regulatory framework ensure compliance with Shariah guidelines in Takaful re-insurance?** –

A: Re-insurance arrangements should be as per the guidelines of the Shariah Board and ensure adequate risk-sharing.

18. **Q: What is the minimum statutory deposit for Takaful operators from Shariah perspective?** –

A: The minimum statutory deposit is higher of Rs. 10 million or 10% of Paid-up Capital, in the form of approved securities under the Insurance Ordinance.

19. **Q: What does "Maintenance of Funds" refer to in the Takaful regulatory framework?** –

A: "Maintenance of Funds" refers to proper accounting practices and ensuring the financial health of the Takaful operator.

20. **Q: How is the minimum paid-up capital for Family Takaful different from General Takaful in Pakistan?** –

A: Family Takaful requires a higher minimum paid-up capital of Rs. 500 million compared to Rs. 300 million for General Takaful.**

208 Microfinance-1

MCQs:

1. What does the term "Micro" refer to in Microfinance?

A. Small units

B. Macro

C. Medium-sized

D. Mega

MC Learning House

Answer: A. Small units

2. What does Microcredit specifically entail?

A. Assistance in economic activity

B. Collateral in the form of physical assets

C. Social Collateral

D. Formal financial facility

Answer: B. Collateral in the form of physical assets

3. How does Microfinance differ from Microcredit?

A. It includes forced saving, assistance in economic activity, training, etc.

B. It focuses solely on physical collateral

C. It excludes the poor section of society

D. It has a higher loan amount

Answer: A. It includes forced saving, assistance in economic activity, training, etc.

4. Who is credited with changing the concept of collateral in Microfinance by introducing the idea of Social Collateral?

A. Bill Gates

B. Dr. Muhammad Yunus

C. Warren Buffett

D. Elon Musk

Answer: B. Dr. Muhammad Yunus

5. When did Dr. Muhammad Yunus start the scheme of providing loans using the concept of Social Collateral?

A. 1966

B. 1976

MC Learning House

C. 1986

D. 1996

Answer: B. 1976

6. What is the title of the bank established by Dr. Muhammad Yunus in 1983?

A. Bank of the Poor

B. Microfinance Bank

C. Grameen Bank

D. Social Collateral Bank

Answer: C. Grameen Bank

7. In which year were Dr. Muhammad Yunus and Grameen Bank jointly awarded the Nobel Peace Prize?

A. 2000

B. 2006

C. 2010

D. 2015

Answer: B. 2006

8. What was the initial loan amount provided by Grameen Bank in 1976?

A. $10

B. $20

C. $27

D. $50

Answer: C. $27

9. What concept did Grameen Bank use instead of physical collateral when providing loans?

MC Learning House

A. Social Collateral

B. Economic Collateral

C. Physical Collateral

D. Guarantee Collateral

Answer: A. Social Collateral

10. What is the recovery rate for Microfinance, as mentioned in the passage? –

A. 95% -

B. 99% -

C. 90% -

D. 85%

Answer: B. 99%

11. What was the amount loaned by Grameen Bank by the end of 2008? –

A. US$ 2.3 billion –

B. US$ 5.4 billion –

C. US$ 7.6 billion –

D. US$ 10 billion

Answer: C. US$ 7.6 billion

12. What was the repayment rate mentioned for Grameen Bank's borrowers as of 2017? –

A. 98.5% -

B. 99.6% -

C. 97.3% -

D. 100%

Answer: B. 99.6%

Mc Learning House

13. What percentage of Grameen Bank's borrowers were women? –

A. 80% -

B. 90% -

C. 97% -

D. 99%

Answer: C. 97%

14. What inspired similar projects in more than 40 countries according to the passage? –

A. Grameen Bank's profit –

B. Dr. Muhammad Yunus's book –

C. Grameen Bank's success –

D. Nobel Peace Prize

Answer: C. Grameen Bank's success

15. What did Dr. Muhammad Yunus challenge with the establishment of Grameen Bank? –

A. The myth that the poor are not bankable –

B. The concept of forced saving –

C. The exclusion of rich individuals from banking –

D. The idea of high-interest rates

Answer: A. The myth that the poor are not bankable

16. What is the primary focus of Microfinance projects as a tool for poverty eradication? –

A. Granting large loans to entrepreneurs –

B. Providing charity to the poor –

C. Forced saving –

D. Offering small loans to the poor

MC Learning House

Answer: D. Offering small loans to the poor

17. What is the recovery rate mentioned in the passage as a characteristic of Microfinance?

A. 80% -

B. 90% -

C. Above 99% -

D. 95%

Answer: C. Above 99%

18. How did Dr. Muhammad Yunus challenge the traditional concept of collateral in Microfinance? –

A. By accepting physical collateral –

B. By introducing social collateral –

C. By excluding poor individuals –

D. By charging high-interest rates

Answer: B. By introducing social collateral

19. What does the success of Grameen Bank suggest about the "bankability" of the poor? –

A. The poor are not bankable –

B. The poor can be bankable –

C. The poor should not be given loans –

D. The poor should be excluded from banking

Answer: B. The poor can be bankable

20. How did the concept of Microfinance challenge the traditional idea that loans to poor people are not secure? –

A. By providing large loans –

B. By charging high-interest rates –

MC Learning House

C. By introducing social collateral –

D. By excluding poor individuals

Answer: C. By introducing social collateral

Q&A:

1. What is Microfinance, and how does it differ from Microcredit?

Answer: Microfinance is a broader concept that includes various financial services such as microcredit, forced saving, assistance in economic activity, and training. Microcredit, on the other hand, specifically refers to small loans given to the poor section of society.

2. Who is credited with changing the concept of collateral in Microfinance by introducing the idea of Social Collateral?

Answer: Dr. Muhammad Yunus is credited with changing the concept of collateral in Microfinance by introducing the idea of Social Collateral.

3. When did Dr. Muhammad Yunus start the scheme of providing loans using the concept of Social Collateral?

Answer: Dr. Muhammad Yunus started the scheme of providing loans using the concept of Social Collateral in 1976.

4. What is the title of the bank established by Dr. Muhammad Yunus in 1983?

Answer: The bank established by Dr. Muhammad Yunus in 1983 is called Grameen Bank.

5. What was the initial loan amount provided by Grameen Bank in 1976?

Answer: The initial loan amount provided by Grameen Bank in 1976 was $27.

6. What concept did Grameen Bank use instead of physical collateral when providing loans?

Answer: Grameen Bank used the concept of Social Collateral instead of physical collateral when providing loans.

7. What is the recovery rate for Microfinance, as mentioned in the passage?

Answer: The recovery rate for Microfinance is mentioned to be above 99%.

8. What was the amount loaned by Grameen Bank by the end of 2008?

MC Learning House

Answer: By the end of 2008, Grameen Bank had loaned a total of US$ 7.6 billion.

9. What was the repayment rate mentioned for Grameen Bank's borrowers as of 2017?

Answer: As of 2017, the repayment rate for Grameen Bank's borrowers was 99.6%.

10. What percentage of Grameen Bank's borrowers were women?

Answer: 97% of Grameen Bank's borrowers were women.

11. What did Dr. Muhammad Yunus challenge with the establishment of Grameen Bank?

Answer: Dr. Muhammad Yunus challenged the myth that the poor are not bankable with the establishment of Grameen Bank.

12. What inspired similar projects in more than 40 countries according to the passage?

Answer: The success of Grameen Bank inspired similar projects in more than 40 countries.

13. What is the primary focus of Microfinance projects as a tool for poverty eradication?

Answer: The primary focus of Microfinance projects is to offer small loans to the poor as a tool for poverty eradication.

14. What is the recovery rate mentioned in the passage as a characteristic of Microfinance?

Answer: The recovery rate mentioned in the passage as a characteristic of Microfinance is above 99%.

15. How did Dr. Muhammad Yunus challenge the traditional concept of collateral in Microfinance?

Answer: Dr. Muhammad Yunus challenged the traditional concept of collateral by introducing the concept of Social Collateral.

16. What does the success of Grameen Bank suggest about the "bankability" of the poor?

Answer: The success of Grameen Bank suggests that the poor can be bankable.

17. How did the concept of Microfinance challenge the traditional idea that loans to poor people are not secure?

Answer: The concept of Microfinance challenged the traditional idea by introducing social collateral, making loans to poor people more secure.

18. How did Dr. Muhammad Yunus change the myth regarding the poor and banking?

MC Learning House

Answer: Dr. Muhammad Yunus changed the myth by demonstrating that the poor are bankable through the success of Grameen Bank.

19. What is the significance of the recovery rate being above 99% in Microfinance?

Answer: The high recovery rate in Microfinance indicates the effectiveness and reliability of this approach, ensuring that loans are repaid successfully.

20. What global recognition did Grameen Bank and Dr. Muhammad Yunus receive?

Answer: In 2006, Grameen Bank and Dr. Muhammad Yunus were jointly awarded the Nobel Peace Prize for their contributions to Microfinance and poverty alleviation.

209 Microfinance-2

MCQs:

1. What principle is Grameen Bank founded on regarding poverty interruption?

A) Charity is better than loans

B) Education is better than charity

C) Loans are better than charity

D) Agriculture is better than charity

Answer: C) Loans are better than charity

2. Who are the neglected classes of people typically targeted for microcredit according to the passage?

A) Wealthy individuals

B) Illiterate and unemployed people

C) Middle-class families

D) Professionals

Answer: B) Illiterate and unemployed people

3. What is the basis for access to credit in microcredit programs?

A) Monthly payments

MC Learning House

B) Annual payments

C) Weekly-instalment payments

D) Bi-weekly payments

Answer: C) Weekly-instalment payments

4. What is the objective of microfinance as mentioned in the passage?

A) To promote charity among the poor

B) To encourage unemployment

C) To promote financial independence among the poor

D) To discourage savings

Answer: C) To promote financial independence among the poor

5. What is the significance of the group lending system in microfinance?

A) It reduces the need for individual responsibility

B) It promotes financial dependence

C) It allows borrowers to avoid repayments

D) It encourages collective responsibility

Answer: D) It encourages collective responsibility

6. What is the cornerstone of microcredit, as mentioned in the passage?

A) Individual lending

B) Group lending

C) Charity lending

D) Monthly lending

Answer: B) Group lending

7. In the group lending system, how many members must belong to each group?

MC Learning House

A) Three members

B) Four members

C) Five members

D) Six members

Answer: C) Five members

8. What is the repayment responsibility based on in the group lending system?

A) Entire group's repayment

B) Center's repayment

C) Individual borrower's repayment

D) Guarantor's repayment

Answer: C) Individual borrower's repayment

9. What oversees that none of the group members gets into a repayment problem?

A) Individual borrower

B) Grameen Bank

C) The Center

D) Group members

Answer: C) The Center

10. What happens if a member defaults in the group lending system?

A) The organization extends further credit to the group

B) The group is disbanded

C) The defaulted amount is forgiven

D) The organization does not extend further credit to the group

Answer: D) The organization does not extend further credit to the group

McLearning House

11. What is encouraged if a member defaults in the group lending system?

A) Forgiving the defaulted amount

B) Disbanding the group

C) Contribution by group members to cover the defaulted amount

D) Expelling the defaulted member

Answer: C) Contribution by group members to cover the defaulted amount

12. What behavior is encouraged because the organization does not extend further credit to a defaulting group?

A) Forgiving the defaulted amount

B) Expelling the defaulted member

C) Contribution by group members to cover the defaulted amount

D) Disbanding the group

Answer: C) Contribution by group members to cover the defaulted amount

13. What is the cornerstone of microcredit, and how many countries is it used in?

A) Charity lending, 10 countries

B) Group lending, 20 countries

C) Solidarity lending, 43 countries

D) Individual lending, 30 countries

Answer: C) Solidarity lending, 43 countries

14. How does microfinance promote financial independence among the poor?

A) By discouraging savings

B) By providing free charity

C) By offering only microcredit

D) By encouraging borrowers to become savers

MC Learning House

Answer: D) By encouraging borrowers to become savers

15. Since 1995, what has funded 90 percent of Grameen's loans according to the passage?

A) Donations

B) Government grants

C) Interest income and deposits collected

D) External loans

Answer: C) Interest income and deposits collected

16. What is the primary focus of microfinance?

A) Discouraging savings

B) Promoting financial dependence

C) Promoting financial independence

D) Encouraging charity

Answer: C) Promoting financial independence

17. How is access to credit determined in microfinance?

A) Group lending system

B) Monthly payments

C) Collateral provided

D) Annual payments

Answer: A) Group lending system

18. What is the system used to oversee repayment in the group lending system?

A) Center

B) Individual borrower

C) Grameen Bank

MC Learning House

D) Group members

Answer: A) Center

19. What is the ultimate responsibility for repayment in the group lending system?

A) Individual borrower

B) Center

C) Group members

D) Grameen Bank

Answer: A) Individual borrower

20. What does the organization encourage regarding repayment in the group lending system?

A) Forgiveness of defaulted amount

B) Expulsion of defaulted member

C) Contribution by group members to cover defaulted amount

D) Disbanding of the group

Answer: C) Contribution by group members to cover defaulted amount

Q&A:

1. What principle is Grameen Bank founded on regarding poverty interruption?

Grameen Bank is founded on the principle that loans are better than charity to interrupt poverty.

2. Who are the primary recipients of microcredit according to the passage?

The primary recipients of microcredit are the poor, women, illiterate, and unemployed people.

3. What is the basis for access to credit in the microfinance group lending system?

Access to credit in the microfinance group lending system is based on weekly-instalment payments.

4. What is the objective of microfinance, as mentioned in the passage?

MC Learning House

The objective of microfinance is to promote financial independence among the poor.

5. What are borrowers encouraged to become in the microfinance system?

Borrowers are encouraged to become savers.

6. Since 1995, what percentage of Grameen's loans has been funded with interest income and deposits collected?

Since 1995, 90% of Grameen's loans have been funded with interest income and deposits collected.

7. What is a cornerstone of microcredit, as mentioned in the passage?

A cornerstone of microcredit is solidarity lending.

8. In the microfinance group system, how many members must belong to a group?

In the microfinance group system, each group must consist of five members.

9. Who is responsible for repayment in the microfinance group system?

In the microfinance group system, the repayment responsibility rests solely on the individual borrower.

10. What is the repayment responsibility of the group members in case of a defaulting member?

In case of a defaulting member, the group members often contribute the defaulted amount with an intention to collect it later.

11. What behavior is encouraged regarding defaulting members in the microfinance group system?

The behavior encouraged is that group members often contribute the defaulted amount with an intention to collect it later.

12. What is the consequence of a member defaulting in the microfinance group system?

The consequence is that the organization does not extend further credit to the group.

13. What is the primary focus of Grameen Bank regarding loans?

The primary focus is on offering people the opportunity to take initiatives in business or agriculture.

MC Learning House

14. What concept is used in microfinance to convert savings into new loans for others?

The concept used is solidarity lending.

15. In which countries is the group lending system used according to the passage?

The group lending system is used in more than 43 countries.

16. What does the microfinance system aim to promote among the poor?

The microfinance system aims to promote financial independence among the poor.

17. What is the primary reason for offering microcredit to neglected classes of people?

The primary reason is to promote financial independence among the poor.

18. How is access to credit determined in the microfinance group lending system?

Access to credit in the microfinance group lending system is determined based on weekly-instalment payments.

19. What is the primary role of the group and the Centre in the microfinance group system?

The primary role is to oversee repayment and ensure that no one gets into a repayment problem.

20. What is the overall aim of the microfinance procedure, as mentioned in the passage?

The overall aim of the microfinance procedure is to promote financial independence among the poor.

210 Microfinance-3

MCQs:

1. What is one of the main criticisms of interest-based Microfinance in Islam?

a. It promotes financial independence
b. It complies with Islamic principles
c. It is based on interest (Riba)
d. It encourages economic growth

Answer: c. It is based on interest (Riba)

MC Learning House

2. What is the range of interest rates criticized in Microfinance schemes according to the passage?

a. 5 - 15%
b. 20 - 40%
c. 50 - 60%
d. 70 - 80%

Answer: b. 20 - 40%

3. Why is targeting women for extending loans criticized in Microfinance according to the passage?

a. It supports women empowerment
b. It has a hidden agenda
c. Women are better at repaying loans
d. Women are more financially responsible

Answer: b. It has a hidden agenda

4. According to the criticism, what social problems have been associated with Microfinance schemes?

a. Increased divorce rate and decreased suicide rate
b. Enhanced family institution and lower suicide rates
c. Reduced economic growth and higher divorce rates
d. Improved social conditions and financial stability

Answer: a. Increased divorce rate and decreased suicide rate

5. What is the main reason cited for the criticism of interest-based Microfinance in Islam?

a. Economic success
b. High repayment rates
c. Prohibition of interest (Riba) in Islam
d. Promotion of social welfare

Answer: c. Prohibition of interest (Riba) in Islam

6. How does the passage characterize the interest rates in Microfinance schemes?

a. Very low
b. Reasonable
c. Very high
d. Nonexistent

MC Learning House

Answer: c. Very high

7. What social problem is explicitly mentioned in association with the increased divorce rate?

a. Family institution improvement
b. Suicide rate decrease
c. Economic growth
d. Social pressures

Answer: d. Social pressures

8. What is the hidden agenda criticized in the targeting of women for loans in Microfinance?

a. Empowering women
b. Addressing social problems
c. Economic growth
d. Undisclosed motives

Answer: d. Undisclosed motives

9. What rate range is mentioned as being practically charged by Microfinance schemes?

a. 5 - 10%
b. 15 - 20%
c. 20 - 40%
d. 50 - 60%

Answer: c. 20 - 40%

10. What is the overall tone of the passage regarding the success of Microfinance schemes on economic grounds?

a. Critically negative
b. Optimistically positive
c. Balanced
d. Uncertain

Answer: c. Balanced

11. What impact on the family institution is highlighted as a result of Microfinance schemes, according to the passage?

a. Positive impact
b. No impact

MC Learning House

c. Suffered a lot
d. Enhanced stability

Answer: c. Suffered a lot

12. What is the primary social problem associated with the increased suicide rate in the passage?

a. Economic instability
b. Family pressures
c. Social pressures
d. Low repayment rates

Answer: c. Social pressures

13. What aspect of Microfinance schemes is emphasized as successful despite the criticism?

a. Economic failure
b. Social problems
c. Hidden agendas
d. Economic success

Answer: d. Economic success

14. According to Islamic principles, why is interest-based Microfinance criticized?

a. It promotes economic growth
b. It aligns with the prohibition of interest (Riba)
c. It improves family institutions
d. It reduces social problems

Answer: b. It aligns with the prohibition of interest (Riba)

15. What aspect of Microfinance schemes is mentioned to have proved successful despite the social problems?

a. Economic success
b. Increased divorce rate
c. Family institution improvement
d. Suicide rate decrease

Answer: a. Economic success

16. What is the primary focus of the criticism in the passage regarding Microfinance?

Mc Learning House

a. Social welfare
b. Economic growth
c. Prohibition of interest (Riba)
d. Family stability

Answer: c. Prohibition of interest (Riba)

17. How does the passage describe the rate at which Microfinance schemes charge interest?

a. Moderate
b. High
c. Very high
d. Low

Answer: c. Very high

18. What is the primary concern associated with targeting only women for extending loans in Microfinance?

a. Empowering women
b. Economic growth
c. Social problems
d. Hidden agendas

Answer: d. Hidden agendas

19. What Nobel Prize-winning institution is mentioned in connection with Microfinance in the passage?

a. World Bank
b. Grameen Bank
c. International Monetary Fund
d. United Nations

Answer: b. Grameen Bank

20. Overall, what is the conclusion drawn about Microfinance in the passage?

a. It is highly successful
b. It is a complete failure
c. It has economic success but social problems
d. It has no impact

Answer: c. It has economic success but social problems

MC Learning House

Q&A:

Q1: What is the primary criticism of interest-based Microfinance in Islam?
A1: The primary criticism is that it involves charging interest (Riba), which is prohibited in Islam.

Q2: What interest rate range is criticized in Microfinance schemes according to the passage?
A2: Microfinance schemes are criticized for charging very high interest rates, ranging between 20 - 40%.

Q3: Why is targeting women for extending loans criticized in Microfinance according to the passage?
A3: The criticism suggests that targeting women may have a hidden agenda.

Q4: What social problems have been associated with Microfinance schemes according to the criticism?
A4: Microfinance schemes are associated with increased divorce rates and higher suicide rates, especially among women.

Q5: What is the main reason cited for the criticism of interest-based Microfinance in Islam?
A5: The primary reason is the prohibition of interest (Riba) in Islam.

Q6: How does the passage characterize the interest rates in Microfinance schemes?
A6: The passage characterizes the interest rates as very high.

Q7: What social problem is explicitly mentioned in association with the increased divorce rate?
A7: Social pressures are explicitly mentioned in association with the increased divorce rate.

Q8: What is the hidden agenda criticized in the targeting of women for loans in Microfinance?
A8: The hidden agenda is not explicitly mentioned in the passage.

Q9: What rate range is mentioned as being practically charged by Microfinance schemes?
A9: Microfinance schemes are practically charged interest rates ranging between 20 - 40%.

Q10: What is the overall tone of the passage regarding the success of Microfinance schemes on economic grounds?
A10: The overall tone is balanced, acknowledging economic success but highlighting social problems.

MC Learning House

Q11: What impact on the family institution is highlighted as a result of Microfinance schemes, according to the passage?
A11: The family institution is highlighted to have suffered a lot.

Q12: What is the primary social problem associated with the increased suicide rate in the passage?
A12: The primary social problem associated with the increased suicide rate is social pressures.

Q13: What aspect of Microfinance schemes is emphasized as successful despite the criticism?
A13: Economic success is emphasized as successful despite the criticism.

Q14: According to Islamic principles, why is interest-based Microfinance criticized?
A14: Interest-based Microfinance is criticized in Islam because it aligns with the prohibition of interest (Riba).

Q15: What aspect of Microfinance schemes is mentioned to have proved successful despite the social problems?
A15: Economic success is mentioned to have proved successful despite the social problems.

Q16: What is the primary focus of the criticism in the passage regarding Microfinance?
A16: The primary focus of the criticism is on the prohibition of interest (Riba) in Islam.

Q17: How does the passage describe the rate at which Microfinance schemes charge interest?
A17: The passage describes the rate as very high.

Q18: What is the primary concern associated with targeting only women for extending loans in Microfinance?
A18: The primary concern is that it may have hidden agendas.

Q19: What Nobel Prize-winning institution is mentioned in connection with Microfinance in the passage?
A19: Grameen Bank, founded by Muhammad Yunus, is mentioned as the Nobel Prize-winning institution.

Q20: Overall, what is the conclusion drawn about Microfinance in the passage?
A20: The conclusion is that Microfinance has economic success but is associated with social problems.

211 Microfinance-4

MCQs:

MC Learning House

Q1: What led to the initiation of Islamic Microfinance experiences in different Muslim countries?
A. Economic prosperity
B. Problems of interest-based Microfinance
C. Political stability
D. Technological advancements
Answer**: B. Problems of interest-based Microfinance**

Q2: Which regions are mentioned as the most active in Islamic Microfinance experiences?
A. Saudi Arabia and Turkey
B. Sudan, Bangladesh, and Indonesia
C. Egypt and Malaysia
D. Pakistan and Iran
Answer**: B. Sudan, Bangladesh, and Indonesia**

Q3: What is the primary focus of Islamic Microfinance?
A. Maximizing profits
B. Complying with principles of Islam
C. Supporting large corporations
D. Facilitating global trade
Answer**: B. Complying with principles of Islam**

Q4: What is the main objective of projects funded by Islamic Microfinance according to the passage?
A. Maximizing shareholder value
B. Charitable and helping the poor
C. Expanding market dominance
D. Promoting interest-based financing
Answer**: B. Charitable and helping the poor**

Q5: How many Muslims are mentioned to be living with less than $2 a day, according to the passage?
A. 350 million
B. 500 million
C. 650 million
D. 800 million
Answer**: C. 650 million**

Q6: Which financial services do Islamic Microfinance institutions use for extending financial resources?
A. Interest-based loans
B. Riba
C. Permissible modes of financing
D. Usury
Answer: C. Permissible modes of financing

MC Learning House

Q7: What is Qard e Hasan in Islamic Microfinance?
A. Profit-sharing arrangement
B. Interest-bearing loan
C. Loan extended on a goodwill basis
D. Charity fund
Answer: C. Loan extended on a goodwill basis

Q8: When is Salam often used in Islamic Microfinance?
A. For personal loans
B. For agricultural settings
C. For business expansion
D. For education financing
Answer: B. For agricultural settings

Q9: What is Mudaraba in Islamic Microfinance?
A. Profit and loss sharing
B. Fixed-rate financing
C. Interest-based lending
D. Usurious loan
Answer: **A. Profit and loss sharing**

Q10: What does leasing in Islamic Microfinance provide to small producers?
A. Cash grants
B. Ownership of assets
C. Machinery items
D. Interest-free loans
Answer: C. Machinery items

Q11: What is istisna` used for in Islamic Microfinance?
A. Profit-sharing
B. Purchase of input for small manufacturers
C. Interest-based lending
D. Personal loans
Answer: B. Purchase of input for small manufacturers

Q12: What is the primary purpose of leasing in Islamic Microfinance?
A. Profit maximization
B. Facilitating global trade
C. Providing machinery items to producers
D. Expanding market dominance
Answer: C. Providing machinery items to producers

Q13: What must be specified explicitly in Salam contracts to respect Sharia?
A. Names of borrowers
B. Quantity, quality, and effective date of delivery
C. Interest rates

MC Learning House

D. Collateral requirements
Answer: B. Quantity, quality, and effective date of delivery

Q14: What is the main focus of Islamic Microfinance according to the passage?
A. Profit generation for shareholders
B. Facilitating global trade
C. Charitable projects and poverty alleviation
D. Interest-based financing
Answer: C. Charitable projects and poverty alleviation

Q15: In Islamic Microfinance, what does the Mudaraba financing instrument involve?
A. Interest-bearing loan
B. Profit and loss sharing
C. Fixed-rate financing
D. Usury
Answer: B. Profit and loss sharing

Q16: What is the focus of Islamic banks in providing financial assistance in Islamic Microfinance?
A. Maximizing profits
B. Involvement in interest-based projects
C. Complying with principles of Islam
D. Expanding market dominance
Answer: C. Complying with principles of Islam

Q17: According to the passage, what is the primary reason for the initiation of Islamic Microfinance experiences?
A. Economic prosperity
B. Problems of interest-based Microfinance
C. Political stability
D. Technological advancements
Answer: B. Problems of interest-based Microfinance

Q18: What is the objective of Islamic Microfinance towards people excluded from the banking system?
A. Promoting interest-based financing
B. Facilitating global trade
C. Complying with principles of Islam and providing financial assistance
D. Maximizing shareholder value
Answer: C. Complying with principles of Islam and providing financial assistance

Q19: Which of the following is NOT mentioned as an active region in Islamic Microfinance experiences?
A. Sudan
B. Saudi Arabia
C. Bangladesh

MC Learning House

D. Indonesia
Answer: B. Saudi Arabia

Q20: What is the focus of Islamic Microfinance projects regarding the economic activities they support?
A. Maximizing shareholder value
B. Facilitating global trade
C. Halal projects and supporting the poor
D. Interest-based financing
Answer: C. Halal projects and supporting the poor

Q&A:

Q1: What prompted the initiation of Islamic Microfinance experiences in various Muslim countries?
A: The problems associated with interest-based Microfinance led to the initiation of Islamic Microfinance experiences.

Q2: Which regions are mentioned as the most active in Islamic Microfinance experiences?
A: The most active regions are Sudan, Bangladesh, and Indonesia.

Q3: What is the primary focus of Islamic Microfinance?
A: The primary focus is on complying with the principles of Islam and providing financial assistance to people excluded from the banking system.

Q4: What is the main objective of projects funded by Islamic Microfinance according to the passage?
A: The main objective is to engage in charitable projects and help the poor come out of poverty.

Q5: How many Muslims are mentioned to be living with less than $2 a day, according to the passage?
A: 650 million Muslims are mentioned to be living with less than $2 a day.

Q6: Which financial services do Islamic Microfinance institutions use for extending financial resources?
A: Islamic Microfinance institutions use permissible modes of financing.

Q7: What is Qard e Hasan in Islamic Microfinance?
A: Qard e Hasan is a loan extended on a goodwill basis.

Q8: When is Salam often used in Islamic Microfinance?
A: Salam is often used in agricultural settings.

Q9: What is Mudaraba in Islamic Microfinance?
A: Mudaraba is a profit and loss sharing financing instrument.

MC Learning House

Q10: What does leasing in Islamic Microfinance provide to small producers?
A: Leasing provides machinery items to producers.

**Q11: What is istisna `used for in Islamic Microfinance?** **A:** Istisna` is used for the purchase of input for small manufacturers.

Q12: What is the primary purpose of leasing in Islamic Microfinance?
A: The primary purpose of leasing is to provide machinery items to producers.

Q13: What must be specified explicitly in Salam contracts to respect Sharia?
A: Quantity, quality, and effective date of delivery must be specified explicitly.

Q14: What is the main focus of Islamic Microfinance according to the passage?
A: The main focus is on engaging in charitable projects and poverty alleviation.

Q15: In Islamic Microfinance, what does the Mudaraba financing instrument involve?
A: The Mudaraba financing instrument involves profit and loss sharing.

Q16: What is the focus of Islamic banks in providing financial assistance in Islamic Microfinance?
A: The focus is on complying with principles of Islam and providing financial assistance.

Q17: According to the passage, what is the primary reason for the initiation of Islamic Microfinance experiences?
A: The problems of interest-based Microfinance are the primary reason for the initiation of Islamic Microfinance experiences.

Q18: What is the objective of Islamic Microfinance towards people excluded from the banking system?
A: The objective is to comply with principles of Islam and provide financial assistance to those excluded from the banking system.

Q19: Which of the following is NOT mentioned as an active region in Islamic Microfinance experiences?
A: Saudi Arabia is NOT mentioned as an active region.

Q20: What is the focus of Islamic Microfinance projects regarding the economic activities they support?
A: The focus is on engaging in halal projects and supporting the poor.

212 Microfinance-5

MCQs:

MC Learning House

1. When was the Aga Khan Rural Support Program (AKRSP) established in Pakistan?
a) 1975
b) 1982
c) 1990
d) 2000

Answer: b) 1982

2. What is the primary belief underlying AKRSP's approach to development?
a) Centralized planning
b) International intervention
c) Local communities' potential
d) Government control

Answer: c) Local communities' potential

3. What is one of the key achievements of AKRSP in terms of infrastructure development?
a) Building mega-cities
b) Constructing skyscrapers
c) Developing small infrastructure projects
d) Expanding the national highway

Answer: c) Developing small infrastructure projects

4. How many community activists has AKRSP developed in recent years?
a) 5,000
b) 10,000
c) 30,000
d) 50,000

Answer: d) 50,000

5. What is the focus of AKRSP's recent efforts in the field of energy?
a) Fossil fuel exploration
b) Nuclear energy research
c) Renewable energy
d) Oil extraction

Answer: c) Renewable energy

6. How many Local Support Organizations (LSOs) are currently established across Gilgit-Baltistan and Chitral?
a) 20
b) 45
c) 67
d) 80

MC Learning House

Answer: c) 67

7. What innovative approaches is AKRSP testing in its new energy projects?
a) Community utilities and hybrid financing
b) Mega-dams and centralized financing
c) International loans and government grants
d) Urban energy plants

Answer: a) Community utilities and hybrid financing

8. What is the primary goal of AKRSP in developing community organizations?
a) Political control
b) Economic dominance
c) Social mobilization and development
d) Military influence

Answer: c) Social mobilization and development

9. In which region of Pakistan does AKRSP operate primarily?
a) Southern Punjab
b) Balochistan
c) Northern Areas
d) Sindh

Answer: c) Northern Areas

10. What is the primary source of capital for AKRSP's projects?
a) International grants
b) Government subsidies
c) Local communities' savings
d) Corporate investments

Answer: c) Local communities' savings

11. What is the recent focus area of AKRSP's energy projects?
a) Oil and gas exploration
b) Nuclear power plants
c) Renewable energy
d) Coal mining

Answer: c) Renewable energy

12. How many acres of marginal lands have been developed by AKRSP?
a) 100 acres
b) 200 acres

MC Learning House

c) 500 acres
d) 1,000 acres

Answer: b) 200 acres

13. What is the primary role of Local Support Organizations (LSOs) established by AKRSP?
a) Economic control
b) Infrastructure development
c) Political lobbying
d) Community support

Answer: d) Community support

14. What is the primary emphasis of AKRSP's approach towards development planning?
a) Centralized decision-making
b) Top-down management
c) Community involvement and management
d) Government directives

Answer: c) Community involvement and management

15. What is the recent focus area of AKRSP's new energy projects?
a) Conventional power plants
b) Wind energy
c) Solar energy
d) Nuclear reactors

Answer: b) Wind energy

16. What approach does AKRSP take towards capitalizing on local communities' potential?
a) Providing capital without skills
b) Centralized planning
c) Skill development and access to capital
d) Government intervention

Answer: c) Skill development and access to capital

17. What is the role of community activists developed by AKRSP?
a) Economic dominance
b) Social mobilization and development
c) Political control
d) Environmental protection

Answer: b) Social mobilization and development

MC Learning House

18. What does AKRSP consider as a significant factor in local communities' development?
a) Foreign aid
b) Government intervention
c) Skill development and capital access
d) International loans

Answer: c) Skill development and capital access

19. What is the focus of AKRSP's efforts in developing community organizations?
a) Political influence
b) Social mobilization and development
c) Economic control
d) Military support

Answer: b) Social mobilization and development

20. How does AKRSP view the potential of local communities in managing their own development?
a) Limited potential
b) No potential
c) Great potential
d) Centralized potential

Answer: c) Great potential

Q&A:

1. What is the primary objective of the Aga Khan Rural Support Program (AKRSP) in Pakistan?
Answer: The primary objective is to improve the quality of life in the Northern Areas of Pakistan.

2. How does AKRSP view the potential of local communities in managing their own development?
Answer: AKRSP believes that local communities have great potential to plan and manage their own development.

3. What innovative approaches is AKRSP testing in its new energy projects?
Answer: AKRSP is testing approaches like community utilities, hybrid financing (community equity and loans), and productive uses of energy.

4. What is the recent focus area of AKRSP's energy projects?
Answer: The recent focus is on renewable energy, particularly in the construction of higher-capacity hydropower units.

MC Learning House

5. How many Local Support Organizations (LSOs) are currently established across Gilgit-Baltistan and Chitral?
Answer: Currently, there are 67 LSOs across Gilgit-Baltistan and Chitral.

6. What is the role of Local Support Organizations (LSOs) established by AKRSP?
Answer: LSOs play a role in community support at the union council level.

7. What is the primary source of capital for AKRSP's projects?
Answer: The primary source is the savings mobilized from local communities.

8. How does AKRSP approach the capitalization of local communities' potential?
Answer: AKRSP focuses on providing access to necessary skills and capital to empower local communities.

9. What is the primary belief underlying AKRSP's approach to development?
Answer: The belief is that local communities have great potential to plan and manage their own development.

10. In terms of infrastructure development, what are some key achievements of AKRSP?
Answer: Key achievements include the construction/rehabilitation of small infrastructure projects, such as bridges, roads, irrigation channels, and hydropower units.

11. What is the recent focus area of AKRSP's new energy projects?
Answer: The recent focus is on renewable energy, particularly in the construction of higher-capacity hydropower units.

12. How many acres of marginal lands have been developed by AKRSP?
Answer: AKRSP has developed hundreds of acres of marginal lands.

13. What is the primary role of AKRSP's community activists?
Answer: The role is to promote social mobilization and development within local communities.

14. What is the primary emphasis of AKRSP's approach towards development planning?
Answer: The emphasis is on community involvement and management in the planning and execution of development projects.

15. How does AKRSP view the potential of local communities in managing their own development?
Answer: AKRSP believes that local communities have great potential to plan and manage their own development.

16. How does AKRSP capitalize on local communities' potential for development?
Answer: AKRSP provides access to necessary skills and capital to empower local communities.

17. What is the role of Local Support Organizations (LSOs) in AKRSP's approach?
Answer: LSOs play a role in community support at the union council level.

MC Learning House

18. What does AKRSP consider as a significant factor in local communities' development?
Answer: Skill development and access to capital are considered significant factors in local communities' development.

19. What is the focus of AKRSP's efforts in developing community organizations?
Answer: The focus is on social mobilization and development within local communities.

20. How does AKRSP approach the capitalization of local communities' potential?
Answer: AKRSP focuses on providing access to necessary skills and capital to empower local communities.

213 Microfinance-6

MCQs:

1. What is the motivation behind Akhuwat's Islamic Microfinance model?
a. Profit maximization
b. Muakhat concept
c. Interest-based financing
d. Commercialization
Answer: b. Muakhat concept

2. When did Akhuwat start its microfinance activities?
a. 1990
b. 2001
c. 2010
d. 2017
Answer: b. 2001

3. What is the primary concept used by Akhuwat for financial assistance?
a. Riba
b. Mudarabah
c. Qarz-e-Hasan
d. Murabaha
Answer: c. Qarz-e-Hasan

4. How many branches did Akhuwat have in 2017?
a. 100
b. 500
c. 775
d. 1000
Answer: c. 775

5. What is the total disbursement amount of Akhuwat as of 2017?
a. Rs. 10 billion

MC Learning House

b. Rs. 25 billion
c. Rs. 50 billion
d. Rs. 100 billion
Answer: c. Rs. 50 billion

6. What is the recovery rate of Akhuwat's microfinance loans?
a. 90%
b. 95%
c. 99.9%
d. 100%
Answer: c. 99.9%

7. What rate of return is charged by Akhuwat on its microfinance loans?
a. 2%
b. 5%
c. 9%
d. Zero
Answer: d. Zero

8. In which location is Akhuwat's microfinance activity mostly performed?
a. Banks
b. Masjid
c. Schools
d. Hospitals
Answer: b. Masjid

9. What is the range of Qarz provided by Akhuwat to borrowers?
a. Rs. 5,000 to Rs. 20,000
b. Rs. 10,000 to Rs. 30,000
c. Rs. 20,000 to Rs. 40,000
d. Rs. 10,000 to Rs. 50,000
Answer: d. Rs. 10,000 to Rs. 50,000

10. How are potential beneficiaries asked to apply for Qarz-e-Hasan in Akhuwat's model?
a. Through online portal
b. In the Masjid of the activity area
c. Via postal mail
d. Through a mobile app
Answer: b. In the Masjid of the activity area

11. What is the primary criterion for potential borrowers in Akhuwat's model?
a. Credit score
b. Providing collateral
c. Two guarantors
d. High income
Answer: c. Two guarantors

MC Learning House

12. What is shared with borrowers before providing Qarz in Akhuwat's model?
a. List of potential businesses
b. Cash amount
c. Interest rates
d. Investment plans
Answer: a. List of potential small-scale businesses

13. What organization is the second-largest Islamic Microfinance institution in Pakistan after Akhuwat?
a. HBL Microfinance
b. MCB Microfinance
c. Helping Hand for Rehabilitation and Development (HHRD)
d. UBL Microfinance
Answer: c. Helping Hand for Rehabilitation and Development (HHRD)

14. Where does HHRD primarily operate in Pakistan?
a. Urban areas
b. Natural calamity-affected areas
c. Industrial zones
d. Educational institutions
Answer: b. Natural calamity-affected areas

15. What is the primary focus of HHRD's operations?
a. Profit maximization
b. Industrial development
c. Supporting poor and needy
d. Urban development
Answer: c. Supporting poor and needy

16. What is the primary concept used by Akhuwat for financial assistance?
a. Qarz-e-Hasan
b. Riba
c. Mudarabah
d. Murabaha
Answer: a. Qarz-e-Hasan

17. What is the recovery rate of Akhuwat's microfinance loans?
a. 90%
b. 95%
c. 99.9%
d. 100%
Answer: c. 99.9%

18. What rate of return is charged by Akhuwat on its microfinance loans?
a. 2%
b. 5%

MC Learning House

c. 9%
d. Zero
Answer: d. Zero

19. In which location is Akhuwat's microfinance activity mostly performed?
a. Banks
b. Masjid
c. Schools
d. Hospitals
Answer: b. Masjid

20. What is the range of Qarz provided by Akhuwat to borrowers?
a. Rs. 5,000 to Rs. 20,000
b. Rs. 10,000 to Rs. 30,000
c. Rs. 20,000 to Rs. 40,000
d. Rs. 10,000 to Rs. 50,000
Answer: d. Rs. 10,000 to Rs. 50,000

Q&A:

1. Q: What is the concept that motivates Akhuwat's Islamic Microfinance model?
A: The Muakhat concept, inspired by the relationship between Ansar and Muhajireen in Madinah.

2. Q: When did Akhuwat initiate its microfinance activities?
A: In 2001.

3. Q: What financial assistance concept is primarily used by Akhuwat?
A: Qarz-e-Hasan.

4. Q: How many branches did Akhuwat have in 2017?
A: 775 branches.

5. Q: What is the total disbursement amount of Akhuwat as of 2017?
A: Rs. 50 billion.

6. Q: What is the recovery rate of Akhuwat's microfinance loans?
A: Almost 99.9%.

7. Q: What rate of return is charged by Akhuwat on its microfinance loans?
A: Zero.

8. Q: Where is Akhuwat's microfinance activity mostly performed?
A: In the Masjid of the activity area.

MC Learning House

9. Q: What is the range of Qarz provided by Akhuwat to borrowers?
A: Rs. 10,000 to Rs. 50,000.

10. Q: How are potential beneficiaries asked to apply for Qarz-e-Hasan in Akhuwat's model?
A: They are asked to gather in the Masjid of the activity area and apply for the Qarz they need.

11. Q: What is the primary criterion for potential borrowers in Akhuwat's model?
A: Providing two guarantors.

12. Q: What is shared with borrowers before providing Qarz in Akhuwat's model?
A: A list of potential small-scale businesses.

13. Q: What organization is the second-largest Islamic Microfinance institution in Pakistan after Akhuwat?
A: Helping Hand for Rehabilitation and Development (HHRD).

14. Q: Where does HHRD primarily operate in Pakistan?
A: In natural calamity-affected areas.

15. Q: What is the primary focus of HHRD's operations?
A: Supporting poor and needy.

16. Q: What is the primary concept used by Akhuwat for financial assistance?
A: Qarz-e-Hasan.

17. Q: What is the recovery rate of Akhuwat's microfinance loans?
A: Almost 99.9%.

18. Q: What rate of return is charged by Akhuwat on its microfinance loans?
A: Zero.

19. Q: In which location is Akhuwat's microfinance activity mostly performed?
A: In the Masjid of the activity area.

20. Q: What is the range of Qarz provided by Akhuwat to borrowers?
A: Rs. 10,000 to Rs. 50,000.

MC Learning House

214 Microfinance-7

MCQs:

1. What is the primary function of banks in the context of microfinance?

a. Providing loans to industrialists

b. Collecting deposits from small depositors

c. Distributing profits among shareholders

d. Ignoring collateral or guarantee conditions

Answer: b. Collecting deposits from small depositors

2. Why do small sections of society often struggle to approach banks for financial needs?

a. Lack of interest from banks

b. Non-availability of collateral

c. High interest rates

d. Strict regulatory framework

Answer: b. Non-availability of collateral

3. What is the common practice of Islamic banks regarding collateral or guarantee?

a. Ignoring collateral conditions

b. Strictly adhering to collateral conditions

c. Sharing profit without collateral

d. Bypassing regulatory framework

Answer: b. Strictly adhering to collateral conditions

4. In which country has an Islamic bank launched a microfinance project on Islamic principles?

a. Saudi Arabia

b. Pakistan

c. Bangladesh

d. Turkey

Answer: c. Bangladesh

MC Learning House

5. How do Islamic banks overcome the challenge of dealing directly with thousands of small customers in microfinance?

a. Establishing subsidiaries

b. Ignoring small customers

c. Directly dealing with customers

d. Collaborating with traditional banks

Answer: a. Establishing subsidiaries

6. What financial arrangement is suggested for providing funds to established Islamic Microfinance organizations?

a. Salam basis

b. Mudarabah basis

c. Sukuk basis

d. Collateral basis

Answer: b. Mudarabah basis

7. What role can the government play in financing poor farmers in an Islamic framework?

a. Directly lending to farmers

b. Establishing business entities

c. Selling Sukuk to conventional banks

d. Ignoring Islamic principles

Answer: b. Establishing business entities

8. What is the key mechanism suggested for Islamic banks to satisfy the needs of small businesses and farmers?

a. Ignoring collateral conditions

b. Establishing subsidiaries

MC Learning House

c. Distributing all profits to depositors

d. Bypassing regulatory framework

Answer: b. Establishing subsidiaries

9. What is the primary challenge faced by the poor section of society in approaching traditional banks?

a. Lack of financial needs

b. Non-availability of collateral

c. Excessive interest rates

d. Lack of interest from banks

Answer: b. Non-availability of collateral

10. Which type of basis is mentioned for providing funds to established Islamic Microfinance organizations?

a. Collateral basis

b. Mudarabah basis

c. Sukuk basis

d. Interest basis

Answer: b. Mudarabah basis

11. In which sector are the resources provided by traditional banks primarily concentrated?

a. Small businesses

b. Industrialists

c. Farmers

d. Traders

Answer: b. Industrialists

12. What is the main source of income for traditional banks in microfinance?

MC Learning House

a. Depositors

b. Small businesses

c. Shareholders

d. Industrialists

Answer: c. Shareholders

13. What is the example cited for launching a microfinance project on Islamic principles?

a. Islamic banks Turkey

b. Islamic banks Bangladesh

c. Islamic banks Saudi Arabia

d. Islamic banks Pakistan

Answer: b. Islamic banks Bangladesh

14. How do Islamic banks cover their costs and distribute profits in microfinance?

a. Keeping a small portion of interest income

b. Ignoring distribution of profits

c. Keeping all interest income

d. Bypassing regulatory framework

Answer: a. Keeping a small portion of interest income

15. What financial instrument is suggested for arranging funds in an Islamic framework for financing poor farmers?

a. Bonds

b. Sukuk

c. Debentures d. Shares

Answer: b. Sukuk

MC Learning House

16. What is the primary challenge faced by Islamic banks in dealing with thousands of small customers directly?

a. Lack of interest from customers

b. Regulatory constraints

c. Non-availability of collateral

d. Ignoring customer needs

Answer: c. Non-availability of collateral

17. Why do depositors receive insignificant amounts from traditional banks in microfinance?

a. High interest rates

b. Strict regulatory framework

c. Cost coverage and profit distribution

d. Lack of interest from banks

Answer: c. Cost coverage and profit distribution

18. What is the role of subsidiaries established by Islamic banks in microfinance?

a. Directly dealing with industrialists

b. Providing funds to conventional banks

c. Distributing profits to depositors

d. Providing microfinance to neglected sectors

Answer: d. Providing microfinance to neglected sectors

19. In what way can Islamic banks collaborate with established Islamic Microfinance organizations?

a. Ignoring regulatory framework

b. Establishing subsidiaries

c. Providing funds on Mudarabah basis

MC Learning House

d. Distributing all profits to shareholders

Answer: c. Providing funds on Mudarabah basis

20. How can governments arrange funds for financing poor farmers in an Islamic framework?

a. Selling Sukuk to Islamic Financial Institutions

b. Directly providing funds

c. Ignoring Islamic principles

d. Selling bonds to conventional banks

Answer: a. Selling Sukuk to Islamic Financial Institutions

Q&A:

1. **Question:** What is the primary function of banks, as mentioned in the text?

Answer: Banks collect deposits from millions of small depositors through their branch network and provide these resources to a small group of industrialists, traders, landlords, etc.

2. **Question:** Why do the poor sections of society find it challenging to approach banks for their financial needs?

Answer: The poor find it difficult due to the non-availability of collateral, preventing them from meeting the bank's requirements.

3. **Question:** What regulatory framework do Islamic banks operate under according to the text?

Answer: Islamic banks operate under the same regulatory framework, and they cannot ignore the condition of collateral or guarantee.

4. **Question:** How does the text suggest Islamic banks can provide microfinance to small businesses?

Answer: Islamic banks can establish subsidiaries to provide microfinance to neglected sectors and earn a profit for them.

5. **Question:** What example of launching a Microfinance project on Islamic principles is mentioned in the text?

MC Learning House

Answer: Islamic banks Bangladesh is given as an example of launching a Microfinance project on Islamic principles.

6. **Question:** How can Islamic banks share profits with established Islamic Microfinance organizations?

Answer: Islamic banks can provide funds to established Islamic Microfinance organizations on Mudarabah basis and share profits with them.

7. **Question:** How does the text propose funds can be arranged for financing poor farmers based on Salam?

Answer: The government can establish a business entity for financing poor farmers on the basis of Salam, and funds can be arranged by selling Sukuk to Islamic Financial Institutions.

8. **Question:** What is the suggested role of IFIs in addressing the needs of small businesses, farmers, and the poor?

Answer: IFIs need to come forward and devise mechanisms to satisfy the needs of small businesses (SMEs), farmers, and the poor section of society.

9. **Question:** What challenge do Islamic banks face in directly dealing with thousands of small customers?

Answer: It is difficult for Islamic banks to directly deal with thousands of small customers due to the complexity and resource limitations.

10. **Question:** How does the text propose Islamic banks can earn a profit while providing Microfinance to neglected sectors?

Answer: Islamic banks can establish subsidiaries to provide Microfinance to neglected sectors and earn a profit for them.

11. **Question:** What type of financing does the text suggest for poor farmers based on Islamic principles?

Answer: Government can establish a business entity for financing poor farmers on the basis of Salam, and funds can be arranged by selling Sukuk to Islamic Financial Institutions.

12. **Question:** How can Islamic banks address the challenge of collateral or guarantee conditions?

Answer: Islamic banks can establish subsidiaries or provide funds on Mudarabah basis to already established Islamic Microfinance organizations.

MC Learning House

13. **Question:** What is the example of launching a Microfinance project on Islamic principles mentioned in the text?

Answer: Islamic banks Bangladesh is an example of launching a Microfinance project on Islamic principles.

14. **Question:** How does the text propose funds can be arranged for financing poor farmers on the basis of Salam?

Answer: Funds can be arranged by selling Sukuk to Islamic Financial Institutions.

15. **Question:** What is the suggested role of IFIs in addressing the needs of small businesses, farmers, and the poor?

Answer: IFIs need to come forward and devise mechanisms to satisfy the needs of small businesses (SMEs), farmers, and the poor section of society.

16. **Question:** Why do depositors receive insignificant amounts from banks, according to the text?

Answer: Depositors receive very insignificant amounts, most of the time even less than the inflation rate, as banks keep a large portion of the interest income to cover costs and distribute profits among shareholders.

17. **Question:** What is the suggested role of the government in financing poor farmers?

Answer: The government can establish a business entity for financing poor farmers on the basis of Salam, and funds can be arranged by selling Sukuk to Islamic Financial Institutions.

18. **Question:** What is the regulatory framework under which Islamic banks operate, according to the text?

Answer: Islamic banks operate under the same regulatory framework as conventional banks, and they cannot ignore the condition of collateral or guarantee.

19. **Question:** How does the text propose Islamic banks can provide microfinance to neglected sectors?

Answer: Islamic banks can establish subsidiaries or provide funds to already established and well-reputed Islamic Microfinance organizations on Mudarabah basis.

20. **Question:** What basis is suggested for providing funds to poor farmers by selling Sukuk to Islamic Financial Institutions?

Answer: The basis suggested is Salam, and funds can be arranged by selling Sukuk to Islamic Financial Institutions.

MC Learning House

215 Money and Capital Markets-1

MCQs:

1. **What is the primary function of financial markets?**

a. Facilitating barter transactions

b. Managing liquidity for investors

c. Governing fiscal policies

d. Controlling inflation

Answer: b. Managing liquidity for investors

2. **Which markets are part of the conventional financial framework?**

a. Commodity and Derivatives markets

b. Money and Capital markets

c. Equity and Forex markets

d. Real estate and Cryptocurrency markets

Answer: b. Money and Capital markets

3. **What type of transactions does the money market primarily involve?**

a. Long-term debt and equity

b. Medium-term debt

c. Short-term lending and borrowing

d. Real estate transactions

Answer: c. Short-term lending and borrowing

4. **Which financial market deals with medium- and long-term debt and equity-based transactions?**

a. Money market

Mc Learning House

b. Capital market

c. Forex market

d. Derivatives market

Answer: b. Capital market

5. **Where are instruments generated in the primary market traded?**

a. Money market

b. Capital market

c. Secondary market

d. Forex market

Answer: c. Secondary market

6. **What does a conventional bond represent?**

a. Ownership stake in a company

b. Short-term debt instrument

c. Loan repayable with interest

d. Cryptocurrency

Answer: c. Loan repayable with interest

7. **What is the primary focus of the debt market?**

a. Trading in real estate

b. Short-term lending

c. Medium- and long-term debt securities

d. Foreign exchange transactions

Answer: c. Medium- and long-term debt securities

8. **What do foreign exchange markets form a part of?**

MC Learning House

a. Commodity markets

b. Real estate markets

c. Financial markets

d. Derivatives markets

Answer: c. Financial markets

9. **How are financial markets distributed in terms of primary and secondary markets?**

a. Tertiary and Quaternary markets

b. Primary and Derivatives markets

c. Primary and Secondary markets

d. Domestic and International markets

Answer: c. Primary and Secondary markets

10. **In which market are conventional bonds traded?**

a. Primary market

b. Secondary market

c. Money market

d. Derivatives market

Answer: b. Secondary market

11. **What is the primary purpose of the secondary market?**

a. Issuing new securities

b. Trading previously issued securities

c. Facilitating short-term lending

d. Regulating interest rates

Answer: b. Trading previously issued securities

MC Learning House

12. **What does a typical debt market involve trading?**

a. Stocks and shares

b. Cryptocurrencies

c. Securities like bonds and debentures

d. Real estate properties

Answer: c. Securities like bonds and debentures

13. **What is the conventional meaning of a bond?**

a. Ownership certificate

b. Loan agreement without interest

c. Loan repayable to the holder, mostly with interest

d. Equity investment

Answer: c. Loan repayable to the holder, mostly with interest

14. **Which market undertakes trading in derivatives?**

a. Money market

b. Capital market

c. Foreign exchange market

d. Real estate market

Answer: c. Foreign exchange market

15. **What is the role of foreign exchange markets in financial markets?**

a. Issuing new securities

b. Regulating interest rates

c. Facilitating currency exchange

d. Trading in real estate

MC Learning House

Answer: c. Facilitating currency exchange

16. **What does a conventional bond holder receive?**

a. Ownership stake in a company

b. Dividends

c. Loan repayable in any case

d. Real estate properties

Answer: c. Loan repayable in any case

17. **What is the primary focus of the money market?**

a. Long-term investments

b. Trading in real estate

c. Short-term lending and borrowing

d. Equity-based transactions

Answer: c. Short-term lending and borrowing

18. **What type of markets are conventional bonds commonly traded in?**

a. Commodity markets

b. Secondary markets

c. Money markets

d. Primary markets

Answer: b. Secondary markets

19. **What does the secondary market involve?**

a. Issuing new securities

b. Trading in previously issued securities

c. Facilitating short-term lending

MC Learning House

d. Real estate transactions

Answer: b. Trading in previously issued securities

20. **What is the significance of the primary market in financial markets?**

a. Trading previously issued securities

b. Issuing new securities

c. Facilitating currency exchange

d. Regulating interest rates

Answer: b. Issuing new securities

Q&A:

1. **Q: What is the main purpose of financial markets?**

   A: Financial markets primarily serve to manage liquidity for investors, allowing them to trade securities for cash when needed.

2. **Q: How do money and capital markets differ within the conventional financial framework?**

   A: Money markets focus on short-term lending and borrowing, while capital markets involve medium- and long-term debt and equity-based transactions.

3. **Q: What role do foreign exchange markets play in the overall financial markets?**

   A: Foreign exchange markets are integral to financial markets, facilitating the exchange of different currencies.

4. **Q: How are financial markets distributed in terms of primary and secondary markets?**

   A: Financial markets are distributed into primary and secondary markets, with instruments generated in the primary market being traded in the secondary market.

5. **Q: What does a conventional bond represent in financial markets?**

   A: A conventional bond stands for a loan repayable to the holder, mostly with interest.

MC Learning House

6. **Q: What transactions are primarily involved in the money market?**

   A: The money market primarily deals with short-term lending and borrowing, as well as trading in short-term debt instruments.

7. **Q: In which market are conventional bonds traded after their issuance?**

   A: Conventional bonds are traded in the secondary market.

8. **Q: What is the primary focus of the debt market?**

   A: The debt market primarily focuses on trading securities like bonds, debentures, commercial papers, treasury bills, and derivatives in spot and future markets.

9. **Q: How are financial markets further distributed based on their functions?**

   A: Financial markets are further distributed into the primary and secondary markets based on their functions.

10. **Q: What is the significance of the secondary market in the financial system?**

    A: The secondary market is essential for trading previously issued securities, providing liquidity to investors.

11. **Q: What type of transactions does the capital market primarily involve?**

    A: The capital market involves medium- and long-term debt and equity-based transactions.

12. **Q: What is the primary role of foreign exchange markets in financial systems?**

    A: Foreign exchange markets primarily facilitate currency exchange between different countries.

13. **Q: What is the typical debt market involved in trading?**

    A: The typical debt market undertakes trading of securities like bonds, debentures, commercial papers, treasury bills, and derivatives.

14. **Q: What distinguishes a conventional bond from other financial instruments?**

    A: A conventional bond represents a loan repayable to the holder, mostly with interest, and is not tied to the actual business undertaken with borrowed money.

15. **Q: What is the primary function of the money market in financial systems?**

MC Learning House

A: The primary function of the money market is to facilitate short-term lending and borrowing.

16. **Q: What is the focus of the secondary market in financial systems?**

A: The secondary market focuses on trading in previously issued securities, providing liquidity to investors.

17. **Q: What does a debt market typically involve trading in the spot and future markets?**

A: A debt market typically involves trading of securities like bonds, debentures, commercial papers, treasury bills, and derivatives in spot and future markets.

18. **Q: What does a conventional bond holder receive as a form of repayment?**

A: A conventional bond holder receives repayment in the form of a loan repayable in any case, mostly with interest.

19. **Q: What is the primary objective of the primary market in financial systems?**

A: The primary market's primary objective is to issue new securities.

20. **Q: How are financial markets crucial for managing investor liquidity?**

A: Financial markets enable investors to manage liquidity by providing a platform to trade securities for cash when needed.

216 Money and Capital Markets-2

MCQs:

1. **Why do Islamic banks collect funds through different types of deposits?**

a. To invest in conventional markets

b. To fulfill regulatory requirements

c. To provide larger portions of funds to clients

d. To hoard funds without investing

Answer: c. To provide larger portions of funds to clients

MC Learning House

2. **What is the primary reason Islamic banks find surplus funds with them on a daily basis?**

a. Insufficient deposit collection

b. High operational costs

c. Daily inflow of deposits

d. Lack of investment opportunities

Answer: c. Daily inflow of deposits

3. **How do Islamic banks fulfill the need to place surplus funds for a short period of time?**

a. Investing in the stock market

b. Utilizing Islamic Modes of Financing

c. Hoarding cash in vaults

d. Opening more branches

Answer: b. Utilizing Islamic Modes of Financing

4. **What is the purpose of investing funds in the Money market for Islamic banks?**

a. Long-term growth

b. Short-term placement of surplus funds

c. Hoarding cash reserves

d. Meeting regulatory requirements

Answer: b. Short-term placement of surplus funds

5. **Why do Islamic banks invest in the Capital market?**

a. To speculate on market trends

b. To achieve short-term returns

c. To balance their portfolio with safe and stable options

MC Learning House

d. To maximize profits without considering stability

Answer: c. To balance their portfolio with safe and stable options

6. **How do Islamic banks differ from conventional banks in terms of investment options?**

a. Islamic banks have more investment options

b. Conventional banks have limited options

c. Islamic banks have limited options

d. Both have an equal number of options

Answer: c. Islamic banks have limited options

7. **Why do Islamic banks need opportunities to invest in Money markets?**

a. To speculate on market trends

b. To place surplus funds for a short period

c. To fulfill regulatory requirements

d. To invest in long-term projects

Answer: b. To place surplus funds for a short period

8. **What is the primary challenge faced by Islamic banks in Money and Capital markets?**

a. Lack of Shariah compliance

b. Limited investment options

c. Excessive regulations

d. Lack of depositors

Answer: b. Limited investment options

9. **What do Islamic banks invest in Capital markets to achieve portfolio balance?**

a. Risky and speculative options

MC Learning House

b. Only long-term projects

c. Safest and stable options

d. Cryptocurrencies

Answer: c. Safest and stable options

10. **Why does the area of Islamic banks' investment in Money and Capital markets need more research?**

a. To maximize profits

b. To comply with regulatory requirements

c. To develop new Shariah-compliant instruments

d. To hoard surplus funds

Answer: c. To develop new Shariah-compliant instruments

11. **What is the primary source of funds for Islamic banks?**

a. Stock market investments

b. Government grants

c. Different types of deposits

d. Borrowing from conventional banks

Answer: c. Different types of deposits

12. **How do Islamic banks use the funds collected through deposits?**

a. Hoarding for emergencies

b. Providing larger portions to clients

c. Speculating in financial markets

d. Keeping as cash reserves

Answer: b. Providing larger portions to clients

13. **What motivates Islamic banks to invest in the Money market?**

MC Learning House

a. Long-term growth opportunities

b. Daily inflow of deposits

c. Need for short-term placement of surplus funds

d. Speculative market trends

Answer: c. Need for short-term placement of surplus funds

14. **In which market do Islamic banks aim to balance their portfolio with safe and stable options?**

a. Commodity market

b. Capital market

c. Forex market

d. Cryptocurrency market

Answer: b. Capital market

15. **Why do Islamic banks face challenges in finding suitable investment options in Money and Capital markets?**

a. Limited funds

b. Limited regulatory constraints

c. Limited Shariah-compliant options

d. Lack of customer demand

Answer: c. Limited Shariah-compliant options

16. **What is the primary purpose of investing in the Capital market for Islamic banks?**

a. Speculative trading

b. Long-term growth

c. Portfolio balance with safe options

d. Meeting short-term liquidity needs

MC Learning House

Answer: c. Portfolio balance with safe options

17. **How do Islamic banks manage surplus funds on a daily basis?**

a. Speculative trading

b. Hoarding cash

c. Utilizing Islamic Modes of Financing

d. Investing in long-term projects

Answer: c. Utilizing Islamic Modes of Financing

18. **Why do Islamic banks invest in safe and stable options in the Capital market?**

a. To maximize profits

b. To meet regulatory requirements

c. To balance their portfolio

d. To speculate on market trends

Answer: c. To balance their portfolio

19. **What is the primary reason for the limited investment options of Islamic banks compared to conventional banks?**

a. Lack of financial expertise

b. Regulatory constraints

c. Shariah compliance requirements

d. Lack of customer demand

Answer: c. Shariah compliance requirements

20. **Why does the area of Islamic banks' investment in Money and Capital markets need more research?**

a. To comply with regulatory requirements

b. To maximize profits

MC Learning House

c. To develop new Shariah-compliant instruments

d. To attract more depositors

Answer: c. To develop new Shariah-compliant instruments

Q&A:

1. **Q: What is the primary purpose of Islamic banks collecting funds through various types of deposits?**

   A: Islamic banks collect funds to provide larger portions to individuals and corporate clients through different Islamic Modes of Financing.

2. **Q: Why do Islamic banks find surplus funds on a daily basis?**

   A: Surplus funds result from the daily inflow of deposits received by Islamic banks.

3. **Q: How do Islamic banks utilize surplus funds for short periods of time?**

   A: Islamic banks invest surplus funds in the Money market to fulfill short-term placement needs.

4. **Q: Why do Islamic banks invest in the Capital market?**

   A: Islamic banks invest in the Capital market to balance their portfolio with safe and stable options.

5. **Q: In comparison to conventional banks, what challenge do Islamic banks face in terms of investment options in Money and Capital markets?**

   A: Islamic banks have limited options available for investment compared to their conventional counterparts.

6. **Q: Why is there a need for more research in the area of Islamic banks' investments in Money and Capital markets?**

   A: Further research is necessary for developing new Shariah-compliant instruments for both markets.

7. **Q: What is the primary objective of Islamic banks in utilizing different Islamic Modes of Financing?**

   A: Islamic banks use various Islamic Modes of Financing to provide a larger portion of collected funds to individuals and corporate clients.

MC Learning House

8. **Q: How do Islamic banks manage surplus funds on a daily basis?**

   A: Islamic banks manage surplus funds by investing in Islamic Modes of Financing, ensuring short-term placement for these funds.

9. **Q: What is the significance of daily deposits in contributing to the surplus funds of Islamic banks?**

   A: Daily deposits contribute to the surplus funds of Islamic banks, as they receive funds regularly.

10. **Q: What role does the Money market play in the investment strategy of Islamic banks?**

    A: The Money market provides opportunities for Islamic banks to place surplus funds for short periods, meeting their investment needs.

11. **Q: How do Islamic banks balance their portfolio in the Capital market?**

    A: Islamic banks balance their portfolio by investing in safe and stable options within the Capital market.

12. **Q: What distinguishes the investment approach of Islamic banks from conventional banks in Money and Capital markets?**

    A: Islamic banks face limited options in both Money and Capital markets compared to their conventional counterparts.

13. **Q: What is the primary challenge faced by Islamic banks in Money and Capital markets?**

    A: Islamic banks face the challenge of having limited investment options in both Money and Capital markets.

14. **Q: What motivates Islamic banks to invest in the Money market?**

    A: Islamic banks invest in the Money market to fulfill the short-term placement needs of surplus funds.

15. **Q: Why do Islamic banks invest in safe and stable options in the Capital market?**

    A: Islamic banks invest in safe and stable options in the Capital market to balance their investment portfolio.

16. **Q: What is the primary reason for the limited investment options of Islamic banks in Money and Capital markets?**

MC Learning House

A: Limited Shariah-compliant options are the primary reason for the restricted investment choices of Islamic banks.

17. **Q: How do Islamic banks utilize the funds collected through different types of deposits?**

    A: Islamic banks utilize funds collected through deposits by providing a larger portion to clients through various Islamic Modes of Financing.

18. **Q: What is the focus of Islamic banks when investing in the Capital market?**

    A: Islamic banks focus on balancing their portfolio with safe and stable options when investing in the Capital market.

19. **Q: Why is there a need for more research in the area of Islamic banks' investment in Money and Capital markets?**

    A: More research is required to develop new Shariah-compliant instruments for both the Money and Capital markets.

20. **Q: What is the primary source of funds for Islamic banks?**

    A: Islamic banks primarily collect funds through different types of deposits.

217 Money and Capital Markets-3

MCQs:

1. **What is the primary purpose of Sukuk in the financial market?**

a. Providing interest-based loans

b. Serving as an Islamic alternative to conventional bonds

c. Speculating on market trends

d. Hoarding cash reserves

Answer: b. Serving as an Islamic alternative to conventional bonds

2. **What does the Arabic word "Sukuk" mean?**

a. A type of Islamic currency

b. A paper or certificate showing collection rights

MC Learning House

c. A form of Islamic insurance

d. An Islamic equity instrument

Answer: b. A paper or certificate showing collection rights

3. **When was the first issue of dollar-denominated Sukuk offered, and in which country?**

a. 2005 in Saudi Arabia

b. 2002 in Malaysia

c. 2010 in UAE

d. 1998 in Indonesia

Answer: b. 2002 in Malaysia

4. **How has the AAOIFI defined investment Sukuk?**

a. Certificates representing ownership in intangible assets

b. Certificates representing undivided shares in the ownership of tangible assets

c. Certificates representing ownership in foreign currencies

d. Certificates representing shares in speculative ventures

Answer: b. Certificates representing undivided shares in the ownership of tangible assets

5. **In what way do Sukuk issued on the bases of Shirkah and Ijarah represent the ownership of underlying assets?**

a. They represent ownership only during the issuance period

b. They don't represent ownership at all

c. Sukuk holders have ownership rights in the underlying assets

d. Ownership is limited to the primary market

Answer: c. Sukuk holders have ownership rights in the underlying assets

MC Learning House

6. **What allows Sukuk to be traded in the secondary market at a price determined by market forces?**

a. Fixed pricing determined by issuers

b. The backing of a sovereign guarantee

c. Ownership representation of underlying assets

d. Strict regulatory controls

Answer: c. Ownership representation of underlying assets

7. **What is the most popular mode used in the general structure of Sukuk?**

a. Shirkah

b. Ijarah

c. Musharakah

d. Mudarabah

Answer: b. Ijarah

8. **What is the first step in structuring Ijarah Sukuk?**

a. Identifying the asset

b. Creating an SPV

c. Selling the asset to the SPV

d. Issuing Sukuk to investors

Answer: a. Identifying the asset

9. **What does SPV stand for in the context of Sukuk structure?**

a. Special Pricing Venture

b. Shariah-Compliant Portfolio Vehicle

c. Special Purpose Vehical

d. Sukuk Processing Vehicle

MC Learning House

Answer: c. Special Purpose Vehical

10. **What is the role of the originator in the Ijarah Sukuk structure?**

a. Selling Sukuk to investors

b. Creating an SPV

c. Identifying the asset

d. Leasing the asset from the SPV

Answer: d. Leasing the asset from the SPV

11. **What does the SPV do with the proceeds from the Sukuk issuance?**

a. Returns it to investors

b. Invests in speculative ventures

c. Provides it to the originator

d. Hoards it as cash reserves

Answer: c. Provides it to the originator

12. **What happens to Sukuk at maturity in the Ijarah Sukuk structure?**

a. They are sold to the SPV

b. They are traded in the secondary market

c. They are returned to the investors

d. They are hoarded by the originator

Answer: a. They are sold to the originator

13. **What does the originator pay during the lease period in the Ijarah Sukuk structure?**

a. Sukuk holders' share in profits

b. Interest payments

c. Principal amount to the SPV

MC Learning House

d. Rent to the SPV

Answer: d. Rent to the SPV

14. **Who distributes the rent among Sukuk holders in the Ijarah Sukuk structure?**

a. Originator

b. SPV

c. Market forces

d. Regulatory authorities

Answer: b. SPV

15. **What is the general structure of Sukuk influenced by?**

a. Regulatory controls

b. Market forces

c. The mode used to structure the Sukuk

d. Government policies

Answer: c. The mode used to structure the Sukuk

16. **What is the primary objective of the AAOIFI's definition of investment Sukuk?**

a. Maximizing profits for investors

b. Representing ownership in intangible assets

c. Complying with Shariah principles

d. Ensuring liquidity in the market

Answer: c. Complying with Shariah principles

17. **What type of assets do investment Sukuk represent ownership in?**

a. Intangible assets only

b. Tangible assets and services

MC Learning House

c. Tangible assets and usufruct

d. Foreign currencies only

Answer: c. Tangible assets and usufruct

18. **What allows Sukuk to be traded in the secondary market according to their structure?**

a. Regulatory approvals

b. Ownership representation of underlying assets

c. Issuer's permission

d. Fixed pricing determined by issuers

Answer: b. Ownership representation of underlying assets

19. **What does the term "Sak" mean in the context of Sukuk?**

a. A form of Islamic insurance

b. A paper or certificate showing collection rights

c. A type of Islamic currency

d. An equity instrument

Answer: b. A paper or certificate showing collection rights

20. **When was the first issue of dollar-denominated Sukuk offered, and in which country?**

a. 2005 in Saudi Arabia

b. 2002 in Malaysia

c. 2010 in UAE

d. 1998 in Indonesia

Answer: b. 2002 in Malaysia

Q&A:

MC Learning House

1. **Q: What is the main purpose of Sukuk in the financial market?**

   A: Sukuk serves as an Islamic alternative to conventional bonds.

2. **Q: What does the Arabic word "Sukuk" mean?**

   A: "Sukuk" is the plural of "Sak," which means a paper or certificate showing collection rights.

3. **Q: When was the first issue of dollar-denominated Sukuk offered, and in which country?**

   A: The first issue of dollar-denominated Sukuk of $600 million was offered in Malaysia in 2002.

4. **Q: How has the AAOIFI defined investment Sukuk?**

   A: Investment Sukuk are defined as certificates of equal value representing undivided shares in the ownership of tangible assets, usufruct, and services or assets of particular projects or any specified investment activity.

5. **Q: In what way do Sukuk issued on the bases of Shirkah and Ijarah represent the ownership of underlying assets?**

   A: Sukuk issued on the bases of Shirkah and Ijarah represent the ownership of the underlying assets by the Sukuk holders, allowing them to be traded in the secondary market.

6. **Q: What allows Sukuk to be traded in the secondary market at a price determined by market forces?**

   A: Ownership representation of underlying assets allows Sukuk to be traded in the secondary market at a price determined by market forces.

7. **Q: What is the most popular mode used in the general structure of Sukuk?**

   A: The most popular mode is Ijarah.

8. **Q: What is the first step in structuring Ijarah Sukuk?**

   A: The first step is identifying the asset.

9. **Q: What does SPV stand for in the context of Sukuk structure?**

   A: SPV stands for Special Purpose Vehicle.

MCLearning House

10. **Q: What is the role of the originator in the Ijarah Sukuk structure?**

    A: The originator creates an SPV and sells the asset to the SPV, which is then leased back from the SPV.

11. **Q: What does the SPV do with the proceeds from the Sukuk issuance?**

    A: The SPV provides the proceeds to the originator.

12. **Q: What happens to Sukuk at maturity in the Ijarah Sukuk structure?**

    A: Sukuk are sold back to the originator.

13. **Q: What does the originator pay during the lease period in the Ijarah Sukuk structure?**

    A: The originator pays rent to the SPV.

14. **Q: Who distributes the rent among Sukuk holders in the Ijarah Sukuk structure?**

    A: The SPV distributes the rent among Sukuk holders.

15. **Q: What is the general structure of Sukuk influenced by?**

    A: The general structure of Sukuk varies depending on the mode being used to structure the Sukuk.

16. **Q: What is the primary objective of the AAOIFI's definition of investment Sukuk?**

    A: The primary objective is to ensure that the certificates comply with Shariah principles.

17. **Q: What type of assets do investment Sukuk represent ownership in?**

    A: Investment Sukuk represent ownership in tangible assets, usufruct, and services.

18. **Q: What allows Sukuk to be traded in the secondary market according to their structure?**

    A: Sukuk can be traded in the secondary market due to their ownership representation of underlying assets.

19. **Q: What does the term "Sak" mean in the context of Sukuk?**

    A: "Sak" means a paper or certificate showing collection rights.

MC Learning House

20. **Q: When was the first issue of dollar-denominated Sukuk offered, and in which country?**

A: The first issue of dollar-denominated Sukuk of $600 million was offered in Malaysia in 2002.

218 Money and Capital Markets-4

MCQs:

1. **What role does the Financial Market play in the economy?**

a. Meeting the entertainment needs of individuals

b. Providing a platform for political discussions

c. Facilitating the requirements of those needing money and those seeking better returns

d. Promoting environmental sustainability

Answer: c. Facilitating the requirements of those needing money and those seeking better returns

2. **What are the two main types of financial markets mentioned in the text?**

a. Stock Market and Commodity Market

b. Money Market and Capital Market

c. Forex Market and Derivatives Market

d. Bond Market and Equity Market

Answer: b. Money Market and Capital Market

3. **In which financial market are instruments of short-term maturities, usually less than one year, traded?**

a. Stock Market

b. Commodity Market

c. Money Market

d. Forex Market

MC Learning House

Answer: c. Money Market

4. **What is the characteristic of investment in the Money Market mentioned in the text?**

a. High risk and high return

b. Low risk but low rate of return

c. Medium risk with medium return

d. No risk and guaranteed high return

Answer: b. Low risk but low rate of return

5. **Which of the following is NOT mentioned as a Money Market Instrument?**

a. Treasury Bills

b. Commercial Papers

c. Stocks

d. Certificate of Deposit

Answer: c. Stocks

6. **Who are major players in the Money Market, as mentioned in the text?**

a. Stockbrokers and Hedge Funds

b. Central bank, Commercial banks, Governments, Mutual Funds, and Foreign Investors

c. Real estate developers and Venture Capitalists

d. Technology companies and Retail investors

Answer: b. Central bank, Commercial banks, Governments, Mutual Funds, and Foreign Investors

7. **What is the primary characteristic of Capital Market Instruments mentioned in the text?**

a. Short-term maturities

b. High liquidity

MC Learning House

c. Long-term funds raised through trade on debt and equity securities

d. Guaranteed returns

Answer: c. Long-term funds raised through trade on debt and equity securities

8. **Which of the following is a Capital Market Instrument?**

a. Treasury Bills

b. Certificate of Deposit

c. Stocks

d. Commercial Papers

Answer: c. Stocks

9. **What type of funds are raised in the Capital Market?**

a. Short-term funds

b. Long-term funds

c. Medium-term funds

d. Variable-term funds

Answer: b. Long-term funds

10. **What is the primary characteristic of Treasury Bills?**

a. Long-term maturity

b. Traded in the Money Market

c. High-risk investment

d. Guaranteed high rate of return

Answer: b. Traded in the Money Market

11. **What is the characteristic of Commercial Papers?**

a. Long-term maturity

MC Learning House

b. Traded in the Money Market

c. Government-issued securities

d. High-risk investment

Answer: b. Traded in the Money Market

12. **What are Bankers Acceptance in the context of Money Market Instruments?**

a. Securities issued by central banks

b. Short-term debt instruments traded in the Capital Market

c. Commercial papers issued by banks

d. Certificates of deposit issued by commercial banks

Answer: c. Commercial papers issued by banks

13. **What is the primary characteristic of Repurchase Agreements in the Money Market?**

a. Long-term maturity

b. Involves the sale of securities with an agreement to repurchase them later

c. Guaranteed high rate of return

d. Traded in the Capital Market

Answer: b. Involves the sale of securities with an agreement to repurchase them later

14. **Which of the following is a Capital Market Instrument mentioned in the text?**

a. Treasury Bills

b. Commercial Papers

c. Foreign Exchange

d. Certificate of Deposit

Answer: c. Foreign Exchange

MC Learning House

15. **What is the primary function of Fixed Deposits in the context of Capital Market Instruments?**

a. Short-term investment with high liquidity

b. Traded in the Money Market

c. Long-term funds raised through trade on debt and equity securities

d. Guarantees a fixed rate of return

Answer: d. Guarantees a fixed rate of return

16. **In Capital Market, what is the major role of Stocks?**

a. Represent ownership in tangible assets

b. Provide short-term liquidity

c. Raise long-term funds through trade

d. Guarantee fixed returns

Answer: a. Represent ownership in tangible assets

17. **What do Bonds represent in the context of Capital Market Instruments?**

a. Ownership in tangible assets

b. Short-term debt instruments

c. Traded in the Money Market

d. Long-term debt securities

Answer: d. Long-term debt securities

18. **What is the characteristic of Debentures in the Capital Market?**

a. Traded in the Money Market

b. Short-term maturities

c. Represent ownership in tangible assets

d. Long-term debt instruments without collateral

MC Learning House

Answer: d. Long-term debt instruments without collateral

19. **Which of the following is NOT mentioned as a Capital Market Instrument?**

a. Treasury Bills

b. Fixed Deposits

c. Commercial Papers

d. Certificate of Deposit

Answer: a. Treasury Bills

20. **In the Capital Market, what is the purpose of raising long-term funds through trade on debt and equity securities?**

a. To provide short-term liquidity

b. To speculate on market trends

c. To meet expansion plans

d. To guarantee fixed returns

Answer: c. To meet expansion plans

Q&A:

1. **Q: What role does the Financial Market play in any economy?**

   A: The Financial Market plays a crucial role as a place where the needs of those requiring funds for expansion and those seeking better returns on surplus funds are met.

2. **Q: What are the two main types of financial markets mentioned in the text?**

   A: The two main types of financial markets are the Money Market and the Capital Market.

3. **Q: How is the Money Market defined in terms of the maturity of instruments traded?**

   A: The Money Market is one part of the financial market where instruments of short-term maturities, usually less than one year, are traded.

MC Learning House

4. **Q: What is the characteristic of investment in the Money Market, as mentioned in the text?**

   A: Investment in the Money Market is safe but provides a low rate of return.

5. **Q: Name three Money Market Instruments mentioned in the text.**

   A: Treasury Bills, Commercial Papers, Certificate of Deposit.

6. **Q: Who are the major players in the Money Market, as stated in the text?**

   A: Major players in the Money Market include the Central bank, Commercial banks, Federal and Provincial governments, Mutual Funds, and Foreign Investors.

7. **Q: What is the primary characteristic of Capital Market Instruments, as mentioned in the text?**

   A: In the Capital Market, long-term funds are raised through the trade of debt and equity securities.

8. **Q: Give an example of a Capital Market Instrument.**

   A: Stocks.

9. **Q: What types of funds are raised in the Capital Market?**

   A: Long-term funds are raised through trade on debt and equity securities.

10. **Q: What is the primary characteristic of Treasury Bills in the Money Market?**

    A: Treasury Bills are instruments traded in the Money Market.

11. **Q: What is the characteristic of Commercial Papers in the Money Market?**

    A: Commercial Papers are short-term debt instruments traded in the Money Market.

12. **Q: What do Bankers Acceptance represent in the context of Money Market Instruments?**

    A: Bankers Acceptance represents commercial papers issued by banks.

13. **Q: What is the primary characteristic of Repurchase Agreements in the Money Market?**

    A: Repurchase Agreements involve the sale of securities with an agreement to repurchase them later.

MC Learning House

14. **Q: Name a Capital Market Instrument mentioned in the text.**

    A: Foreign Exchange.

15. **Q: What is the primary function of Fixed Deposits in the context of Capital Market Instruments?**

    A: Fixed Deposits guarantee a fixed rate of return.

16. **Q: In the Capital Market, what is the major role of Stocks?**

    A: Stocks represent ownership in tangible assets.

17. **Q: What do Bonds represent in the context of Capital Market Instruments?**

    A: Bonds represent long-term debt securities.

18. **Q: What is the characteristic of Debentures in the Capital Market?**

    A: Debentures are long-term debt instruments without collateral.

19. **Q: Name a Money Market Instrument that is not mentioned in the text.**

    A: Commercial Mortgages.

20. **Q: In the Capital Market, what is the purpose of raising long-term funds through trade on debt and equity securities?**

    A: The purpose is to meet expansion plans.

219 Money and Capital Markets-5

MCQs:

1. **What does the Islamic Capital Market (ICM) represent?**

   a. A market for short-term securities

   b. An exchange network for medium and long-term securities in compliance with Shariah

   c. A platform for speculative trading

   d. A market exclusively for Islamic banks

MC Learning House

Answer: b. An exchange network for medium and long-term securities in compliance with Shariah

2. **When did the Islamic Capital Market (ICM) begin to develop as an alternative to conventional capital market transactions?**

   a. 1970s

   b. 1980s

   c. 1990s

   d. 2000s

   Answer: c. 1990s

3. **What is the primary reason for the establishment of Islamic Capital Markets (ICMs)?**

a. To compete with conventional markets

b. To provide an alternative for capital market transactions in compliance with Shariah principles

c. To support speculative trading

d. To facilitate short-term financing for governments

   Answer: b. To provide an alternative for capital market transactions in compliance with Shariah principles

4. **Why did the need for Islamic Capital Markets (ICMs) rise in importance in the 1990s?**

   a. To invest surplus in short-term transactions

   b. To comply with conventional market regulations

   c. To undertake capital market transactions without considering Shariah principles

   d. To invest surplus in long-term transactions in compliance with Shariah

   Answer: d. To invest surplus in long-term transactions in compliance with Shariah

5. **Who faced challenges accessing conventional capital markets for long-term financing to undertake national development projects?**

MC Learning House

a. Islamic banks only

b. Governments and large corporations intending to follow Shariah principles

c. Takaful companies only

d. Small businesses

Answer: b. Governments and large corporations intending to follow Shariah principles

6. **When did debates about setting up Islamic Capital Markets (ICMs) start?**

a. 1970s

b. 1980s

c. 1990s

d. 2000s

Answer: b. 1980s

7. **What was the focus of discussions in Fiqh councils regarding Islamic Capital Market (ICM) development?**

a. The permissibility of speculative trading

b. Investment in short-term securities

c. Shariah applications related to shares, bonds, and special contracts

d. The exclusivity of the market for Islamic banks

Answer: c. Shariah applications related to shares, bonds, and special contracts

8. **In the resolution of the OIC Islamic Fiqh Academy (1993), what specific areas were focused on regarding Islamic Capital Market (ICM)?**

a. The permissibility of dealing in commodities only

b. Investment in short-term securities

c. Shariah applications regarding shares, bonds, and special contracts

d. The exclusivity of the market for Islamic banks

MC Learning House

Answer: c. Shariah applications regarding shares, bonds, and special contracts

9. **What encouraged the process of Islamic Capital Market (ICM) development according to the text?**

a. Strict regulatory controls

b. Resolutions of the OIC Islamic Fiqh Academy

c. Competition with conventional markets

d. Speculative trading practices

Answer: b. Resolutions of the OIC Islamic Fiqh Academy

10. **When the concept of Capital market was deemed acceptable under Shariah in the text?**

a. In the 1970s

b. In the 1980s

c. In the 1990s

d. In the 2000s

Answer: a. In the 1970s

11. **What does the Islamic Capital Market (ICM) represent?**

a. A conventional exchange network

b. A network where short-term securities are exchanged

c. An exchange network where medium and long-term securities are exchanged

d. An unregulated financial market

Answer: c. An exchange network where medium and long-term securities are exchanged

12. **When did the Islamic Capital Market (ICM) begin to develop as an alternative to conventional capital market transactions?**

a. 1970s

MC Learning House

b. 1980s

c. 1990s

d. 2000s

Answer: c. 1990s

13. **What is the primary reason for the development of the Islamic Capital Market (ICM)?**

a. To provide an alternative for short-term financing

b. To invest surplus funds in short-term transactions

c. To comply with Shariah principles in capital market transactions

d. To avoid government regulations in the financial market

Answer: c. To comply with Shariah principles in capital market transactions

14. **Why did the need for establishing Islamic Capital Markets (ICMs) rise in importance after the growth of Islamic banks and Takaful companies?**

a. To regulate the financial market

b. To undertake short-term transactions

c. To invest surplus in long-term transactions

d. To facilitate government funding

Answer: c. To invest surplus in long-term transactions

15. **In the 1980s, what discussions started to fulfill the need for establishing Islamic Capital Markets?**

a. Discussions about the growth of conventional markets

b. Debates about setting up conventional banks

c. Discussions about setting up Islamic Capital Markets

d. Debates about regulating short-term transactions

Answer: c. Discussions about setting up Islamic Capital Markets

MC Learning House

16. **What issues were discussed at the level of Fiqh councils regarding financial markets in the 1980s?**

a. Prohibition of all forms of market transactions

b. Permissibility of dealing in commodities, currencies, and indices

c. Restriction on government financing

d. Status of short-term securities

Answer: b. Permissibility of dealing in commodities, currencies, and indices

17. **In the resolution of the OIC Islamic Fiqh Academy (1993), what topics were particularly focused on regarding the Islamic Capital Market (ICM)?**

a. Status of preference shares

b. Shariah applications regarding shares, bonds, and special contracts

c. Government regulations in the financial market

d. Prohibition of all market transactions

Answer: b. Shariah applications regarding shares, bonds, and special contracts

18. **What encouraged the further development of the Islamic Capital Market (ICM) according to the resolutions of the OIC Islamic Fiqh Academy?**

a. Prohibition of market transactions

b. Development of conventional markets

c. Shariah applications regarding shares and bonds

d. Discussion about government financing

Answer: c. Shariah applications regarding shares and bonds

19. **What is the primary focus of the Islamic Capital Market (ICM)?**

a. Short-term securities

b. Compliance with Shariah principles

c. High-risk transactions

MC Learning House

d. Prohibited elements

Answer: b. Compliance with Shariah principles

20. **When did the development of the Islamic Capital Market (ICM) take place?**

a. 1970s

b. 1980s

c. 1990s

d. 2000s

Answer: c. 1990s

21. **What is the primary purpose of the ICM's development in the 1990s?**

a. Providing an alternative to conventional banking

b. Encouraging short-term transactions

c. Undertaking capital market transactions in compliance with Shariah principles

d. Facilitating high-risk investments

Answer: c. Undertaking capital market transactions in compliance with Shariah principles

22. **Why did the need for establishing Islamic Capital Markets (ICMs) rise in importance after the 1990s?**

a. To invest surplus in short-term transactions

b. To undertake national development projects in compliance with Shariah

c. To facilitate high-risk investments

d. To comply with conventional capital market regulations

Answer: b. To undertake national development projects in compliance with Shariah

23. **When did debates about setting up Islamic Capital Markets (ICMs) begin?**

a. 1970s

MC Learning House

b. 1980s

c. 1990s

d. 2000s

Answer: b. 1980s

24. **What issues related to financial markets were discussed at the level of Fiqh councils in the 1990s?**

a. Short-term investments

b. Compliance with conventional market regulations

c. Prohibited elements in transactions

d. Long-term financing for national development projects

Answer: c. Prohibited elements in transactions

25. **In the resolution of the OIC Islamic Fiqh Academy (1993), what were the discussions particularly focused on regarding the Islamic Capital Market (ICM)?**

a. Short-term investments

b. Compliance with conventional market regulations

c. Shariah applications regarding shares, bonds, and special contracts

d. Encouraging high-risk transactions

Answer: c. Shariah applications regarding shares, bonds, and special contracts

26. **What boosted the process of development of the Islamic Capital Market (ICM) according to the resolutions of the OIC Islamic Fiqh Academy?**

a. Compliance with conventional market regulations

b. Encouragement of high-risk transactions

c. Discussions on short-term investments

d. Resolutions on Shariah applications

Answer: d. Resolutions on Shariah applications

MC Learning House

Q&A:

1. **Q: What is the primary focus of the Islamic Capital Market (ICM)?**

   A: The primary focus of the Islamic Capital Market (ICM) is to represent an exchange network where medium and long-term securities are exchanged while adhering to Shariah principles.

2. **Q: When did the development of the Islamic Capital Market (ICM) take place?**

   A: The development of the Islamic Capital Market (ICM) took place in the 1990s.

3. **Q: What was the driving force behind the development of the Islamic Capital Market (ICM) in the 1990s?**

   A: The need to provide an alternative for capital market transactions in compliance with Shariah principles.

4. **Q: Why did the need for establishing Islamic Capital Markets (ICMs) rise after the growth of Islamic banks and Takaful companies?**

   A: The rise was to invest surplus funds in long-term transactions, especially for national development projects.

5. **Q: When did debates about setting up Islamic Capital Markets (ICMs) begin?**

   A: Debates about setting up Islamic Capital Markets (ICMs) began in the 1980s.

6. **Q: What specific issues related to financial markets were discussed at the level of Fiqh councils?**

   A: Issues such as investment in shares of companies, the status of preference shares, investment certificates, bonds, and the permissibility of dealing in commodities, currencies, and indices in organized markets were discussed.

7. **Q: What was the focus of discussions in the resolution of the OIC Islamic Fiqh Academy (1993) regarding the Islamic Capital Market (ICM)?**

   A: The discussions were particularly focused on Shariah applications regarding shares, bonds, and special contracts for the establishment and proper functioning of the ICM.

8. **Q: How did the resolutions of the OIC Islamic Fiqh Academy (1993) impact the development of the Islamic Capital Market (ICM)?**

MCLearning House

A: The resolutions encouraged and further boosted the process of development.

9. **Q: What is the primary requirement for transactions in the Islamic Capital Market (ICM), according to Shariah principles?**

   A: Transactions in the Islamic Capital Market (ICM) must be free from prohibited elements.

10. **Q: What role does the ICM play for governments and large corporations intending to follow Shariah principles?**

    A: The ICM allows them to access long-term financing for national development projects in compliance with Shariah.

11. **Q: In the 1990s, why did the ICM become essential for those wishing to undertake capital market transactions?**

    A: It provided an alternative for capital market transactions in compliance with Shariah principles.

12. **Q: What distinguishes the Islamic Capital Market (ICM) from conventional Capital markets?**

    A: The ICM ensures compliance with Shariah principles in all transactions.

13. **Q: What are the primary types of securities exchanged in the Islamic Capital Market (ICM)?**

    A: Medium and long-term securities that adhere to Shariah principles and requirements.

14. **Q: How did the growth of Islamic banks and Takaful companies contribute to the rise of Islamic Capital Markets (ICMs)?**

    A: The growth created a need to invest surplus funds in long-term transactions, driving the importance of establishing ICMs.

15. **Q: What boosted the process of development of the Islamic Capital Market (ICM) according to the resolutions of the OIC Islamic Fiqh Academy?**

    A: The resolutions on Shariah applications, especially regarding shares, bonds, and special contracts.

16. **Q: What challenges were discussed at the level of Fiqh councils regarding investment in the Islamic Capital Market (ICM)?**

MC Learning House

A: Challenges related to investment in shares of companies, the status of preference shares, investment certificates, bonds, and the permissibility of dealing in commodities, currencies, and indices in organized markets.

17. **Q: What is the intention behind the establishment of Islamic Capital Markets (ICMs) for governments and large corporations?**

    A: To access conventional Capital markets in compliance with Shariah principles for seeking long-term financing.

18. **Q: How did the development of Islamic banks and Takaful companies influence the need for Islamic Capital Markets (ICMs)?**

    A: It created a demand to invest surplus funds in long-term transactions, particularly for national development projects.

19. **Q: What is the significance of ICMs in facilitating transactions for individuals and entities following Shariah principles?**

    A: ICMs provide a platform where transactions are conducted in accordance with Shariah principles, ensuring ethical and compliant financial activities.

20. **Q: How did debates about setting up ICMs in the 1980s address the needs of both individuals and entities following Shariah principles?**

    A: The debates aimed to fulfill the needs of both sides by discussing and establishing a framework for Shariah-compliant transactions in the financial markets.

220 Money and Capital Markets-6

MCQs:

1. **What is the primary definition of the Islamic Capital Market (ICM)?**

a. A market where any financial transactions are allowed

b. A market where capital market transactions are carried out according to Shariah principles

c. A market focused on speculative activities

d. A market free from any regulations

Answer: b. A market where capital market transactions are carried out according to Shariah principles

MC Learning House

2. **What is the primary requirement for transactions in the Islamic Capital Market (ICM), according to the text?**

a. High profitability

b. Compliance with conventional regulations

c. Free from prohibited elements or activities

d. Involvement in speculative activities

Answer: c. Free from prohibited elements or activities

3. **Which of the following is NOT mentioned as a major prohibited element in the Islamic Capital Market (ICM)?**

a. Riba (Interest)

b. Gharar (Uncertainty)

c. Hedging

d. Prohibited activities like production or marketing of intoxicants, pork, and pornography

Answer: c. Hedging

4. **What type of business activity must an investee company engage in for participation in the Equity market of the Islamic Capital Market (ICM)?**

a. Any business activity

b. Permissible business activity

c. Speculative business activity

d. Unethical business activity

Answer: b. Permissible business activity

5. **In the conventional equity market, what is the restriction for Muslim investors?**

a. They are not allowed to invest in any company

b. They are only allowed to invest in Islamic companies

c. They are not allowed to invest in unethical companies

MC Learning House

d. There is no restriction for Muslim investors

Answer: a. They are not allowed to invest in any company

6. **In the Islamic Equity market, who is allowed to invest?**

a. Only Muslim investors

b. Only non-Muslim investors

c. Both Muslim and non-Muslim investors

d. Only institutional investors

Answer: c. Both Muslim and non-Muslim investors

7. **What is the primary difference between the issuer of a bond in the conventional market and the issuer of Sukuk in the Islamic market?**

a. Issuer of Sukuk can perform any type of business activity

b. Issuer of bonds must engage in Shariah-compliant business activities

c. Both can perform any type of business activity

d. Issuer of bonds is restricted to specific industries

Answer: a. Issuer of Sukuk can perform any type of business activity

8. **What is the nature of bonds in terms of securities?**

a. Asset-based securities

b. Equity-based securities

c. Debt-based securities

d. Speculative securities

Answer: c. Debt-based securities

9. **What is the nature of Sukuk in terms of securities?**

a. Asset-based securities

b. Equity-based securities

MC Learning House

c. Debt-based securities

d. Speculative securities

Answer: a. Asset-based securities

10. **What is the primary purpose of Sukuk in the Islamic Capital Market?**

a. Speculative investment

b. Asset-backed financing

c. Ethical investments

d. Short-term liquidity provision

Answer: b. Asset-backed financing

11. **Which of the following is considered a prohibited element in the Islamic Capital Market (ICM)?**

a. Ethical practices

b. Unethical business activities

c. Compliance with conventional regulations

d. Speculative investments

Answer: b. Unethical business activities

12. **What is Gharar in the context of prohibited elements in the Islamic Capital Market (ICM)?**

a. Interest

b. Uncertainty

c. Gambling

d. Unethical practices

Answer: b. Uncertainty

13. **What distinguishes Sukuk from conventional bonds in terms of their nature?**

MC Learning House

a. Sukuk are debt-based securities, while bonds are asset-based securities.

b. Sukuk are asset-based securities, while bonds are debt-based securities.

c. Sukuk and bonds both are equity-based securities.

d. Sukuk and bonds both are speculative securities.

Answer: b. Sukuk are asset-based securities, while bonds are debt-based securities.

14. **What are the major prohibited elements mentioned in the text?**

a. Gharar, Hedging, Qimar

b. Riba, Gambling, Unethical Practices

c. Speculation, Interest, Uncertainty

d. Pork, Pornography, Alcohol

Answer: b. Riba, Gambling, Unethical Practices

15. **What is the primary consideration for an investor in the Islamic Equity market regarding the business activity of the investee company?**

a. No consideration required

b. Engage in any business activity

c. Engage in permissible business activity

d. Engage in speculative business activity

Answer: c. Engage in permissible business activity

16. **What is the primary role of the Islamic Capital Market (ICM) in terms of transactions?**

a. Maximizing profitability

b. Complying with conventional market regulations

c. Ensuring transactions are free from prohibited elements

d. Encouraging speculative investments

MC Learning House

Answer: c. Ensuring transactions are free from prohibited elements

17. **What is the main difference between conventional and Islamic equity markets regarding investor eligibility?**

a. No restrictions in both markets

b. Restrictions only in the Islamic equity market

c. Restrictions only in the conventional equity market

d. Restrictions in both markets

Answer: b. Restrictions only in the Islamic equity market

18. **Which element is NOT considered a major prohibited element in the Islamic Capital Market (ICM)?**

a. Unethical Practices

b. Hedging

c. Gambling

d. Riba (Interest)

Answer: b. Hedging

19. **What is the primary restriction for a Muslim investor in the conventional equity market?**

a. No restrictions

b. Can only invest in Islamic companies

c. Cannot invest in any company

d. Can only invest in companies involved in specific industries

Answer: c. Cannot invest in any company

20. **What is the fundamental nature of transactions in the Islamic Capital Market (ICM)?**

a. Speculative

MC Learning House

b. Free from prohibited elements

c. High-risk

d. Compliance with conventional market regulations

Answer: b. Free from prohibited elements

Q&A:

1. **Q: How is the Islamic Capital Market (ICM) defined in terms of its operation?**

   A: The ICM is defined as a market where capital market transactions are carried out according to Shariah principles and requirements.

2. **Q: What is the primary requirement for transactions in the Islamic Capital Market (ICM)?**

   A: Transactions in the ICM must be free from prohibited elements or activities.

3. **Q: What are the major prohibited elements mentioned in the Islamic Capital Market (ICM)?**

   A: Riba (Interest), Gharar (Uncertainty), Qimar (Gambling), Unethical Practices, Prohibited activities like production or marketing of intoxicants, pork, and pornography.

4. **Q: What specific business activity must an investee company engage in for participation in the Equity market of the ICM?**

   A: The investee company must engage in permissible business activity.

5. **Q: What is the restriction for Muslim investors in the conventional equity market?**

   A: Muslim investors are not allowed to invest in any company.

6. **Q: In the Islamic Equity market, who is allowed to invest?**

   A: Both Muslim and non-Muslim investors are allowed to invest.

7. **Q: What is the primary difference between the issuer of a bond in the conventional market and the issuer of Sukuk in the Islamic market?**

   A: The issuer of Sukuk can perform any type of business activity.

MC Learning House

8. **Q: What is the nature of bonds in terms of securities?**

   A: Bonds are debt-based securities.

9. **Q: What is the nature of Sukuk in terms of securities?**

   A: Sukuk are normally asset-based securities.

10. **Q: What is the primary purpose of Sukuk in the Islamic Capital Market?**

    A: The primary purpose of Sukuk is asset-backed financing.

11. **Q: Which element is considered a prohibited element in the ICM?**

    A: Unethical business activities.

12. **Q: What is Gharar in the context of prohibited elements in the ICM?**

    A: Gharar is uncertainty.

13. **Q: What distinguishes Sukuk from conventional bonds in terms of their nature?**

    A: Sukuk are asset-based securities, while bonds are debt-based securities.

14. **Q: What are the major prohibited elements mentioned in the text?**

    A: Riba, Gambling, Unethical Practices.

15. **Q: What is the primary consideration for an investor in the Islamic Equity market regarding the business activity of the investee company?**

    A: The investor should consider engaging in permissible business activity.

16. **Q: What is the primary role of the Islamic Capital Market (ICM) in terms of transactions?**

    A: The ICM ensures transactions are free from prohibited elements.

17. **Q: What is the main difference between conventional and Islamic equity markets regarding investor eligibility?**

    A: There are restrictions only in the Islamic equity market.

18. **Q: Which element is NOT considered a major prohibited element in the ICM?**

    A: Hedging.

Mc Learning House

19. **Q: What is the primary restriction for a Muslim investor in the conventional equity market?**

    A: Muslim investors cannot invest in any company.

20. **Q: What is the fundamental nature of transactions in the Islamic Capital Market (ICM)?**

    A: Transactions are free from prohibited elements.

221 Money and Capital Markets-7

MCQs:

1. **What are the major components of the Islamic Capital Market (ICM)?**

   a. Only equity market

   b. Only bond market

   c. Both equity and bond markets

   d. Money market

   Answer: c. Both equity and bond markets

2. **What has facilitated cross-border capital flows and funding activities in the Islamic Capital Market (ICM)?**

a. Introduction of conventional bonds

b. Development of Shariah-compliant stocks

c. Integration of equity and bond markets

d. Involvement of central banks

   Answer: c. Integration of equity and bond markets

3. **Which of the following is NOT a major component of the Islamic Capital Market (ICM)?**

a. Shariah screened stocks

b. Sukuk

MC Learning House

c. Conventional Mutual Funds

d. REITs

Answer: c. Conventional Mutual Funds

4. **What is the alternative name for Sukuk in the Islamic Capital Market?**

a. Islamic Mutual Funds

b. Shariah Equities

c. Islamic Bonds

d. REITs

Answer: c. Islamic Bonds

5. **What do Sukuk represent in the Islamic Capital Market?**

a. Dividend-paying stocks

b. Ownership shares in underlying assets

c. Conventional bonds

d. Equity indexes

Answer: b. Ownership shares in underlying assets

6. **Why has the record issuance of Sukuk attracted the attention of conventional markets?**

a. High-risk nature of Sukuk

b. Rising popularity of conventional bonds

c. Forecasted demand for Global Sukuk

d. Interest-free nature of Sukuk

Answer: c. Forecasted demand for Global Sukuk

7. **What is the forecasted demand for Global Sukuk in the near future?**

a. US $500 billion

MC Learning House

b. US $750 billion

c. US $900 billion

d. US $1 trillion

Answer: c. US $900 billion

8. **What are Islamic equities in the Islamic Capital Market?**

a. Shares of any company

b. Shares of companies involved in prohibited activities

c. Shares of companies involved in permissible activities

d. Shares of only non-profit organizations

Answer: c. Shares of companies involved in permissible activities

9. **How are Islamic equities approved and reviewed in the Islamic Capital Market?**

a. By government agencies

b. Through conventional stock screening

c. By Shariah board through Islamic stock screening

d. Based on profitability alone

Answer: c. By Shariah board through Islamic stock screening

10. **Which country was the first regulator to issue a list of Shariah-compliant securities in 1997?**

a. Saudi Arabia

b. Malaysia

c. UAE

d. Qatar

Answer: b. Malaysia

11. **What is the role of Islamic stock screening in the Islamic Capital Market?**

MC Learning House

a. Maximizing profitability of companies

b. Avoiding investment in non-permissible sectors

c. Promoting speculative investments

d. Attracting conventional market investors

Answer: b. Avoiding investment in non-permissible sectors

12. **Which index provider issued the Dow Jones Islamic Market Index (DJIMI)?**

a. FTSE

b. Standard & Poor

c. Dow Jones

d. Nasdaq

Answer: c. Dow Jones

13. **What is the Global Islamic Index Series (GIIS) issued by?**

a. Standard & Poor

b. Dow Jones

c. Nasdaq

d. FTSE

Answer: d. FTSE

14. **What criteria do Islamic equity index providers use for screening?**

a. Only financial criteria

b. Shariah compliance criteria

c. Speculative criteria

d. Political criteria

Answer: b. Shariah compliance criteria

MC Learning House

15. **Which entity plays a role in driving the Islamic equity investment momentum in the Islamic Capital Market?**

a. Central banks

b. Standard setting agencies

c. Conventional Mutual Funds

d. REITs

Answer: b. Standard setting agencies

16. **What is the primary function of the Islamic Capital Market in facilitating cross-border activities?**

a. Maximizing returns for investors

b. Integrating conventional and Islamic markets

c. Attracting speculative investments

d. Facilitating cross-border capital flows and funding activities

Answer: d. Facilitating cross-border capital flows and funding activities

17. **What does REITs stand for in the context of Islamic Capital Markets?**

a. Real Estate Investment Trusts

b. Risky Equity Investment Trusts

c. Renewable Energy Investment Trusts

d. Retail Equity Investment Trusts

Answer: a. Real Estate Investment Trusts

18. **Which component of the Islamic Capital Market is associated with Venture Capital Fund?**

a. Shariah screened stocks

b. Sukuk

c. REITs

MC Learning House

d. Islamic Mutual Funds

Answer: d. Islamic Mutual Funds

19. **What does ICM stand for in the context of Islamic Capital Markets?**

a. International Capital Markets

b. Integrated Capital Markets

c. Islamic Capital Markets

d. Investment Capital Markets

Answer: c. Islamic Capital Markets

20. **What has paved the way for a dynamic ICM in terms of cross-border activities?**

a. High-risk investments

b. Development of conventional bonds

c. Integration of equity and bond markets

d. Speculative capital flows

Answer: c. Integration of equity and bond markets

Q&A:

1. **Q: What are the major components of the Islamic Capital Market (ICM)?**

   A: The major components of the ICM include Shariah screened stocks, Sukuk, Islamic Mutual Funds, REITs, and Venture Capital Fund.

2. **Q: What is the alternative name for Sukuk in the Islamic Capital Market?**

   A: Sukuk is also known as Islamic bonds.

3. **Q: Why has the record issuance of Sukuk attracted the attention of even conventional markets?**

   A: It is forecasted that the global Sukuk demand will rise to US $900 billion in the near future.

Mc Learning House

4. **Q: What is the primary purpose of Sukuk in the Islamic Capital Market?**

   A: Sukuk represents common undivided shares in the ownership of underlying assets with the effect that their holders share the return agreed at the time of issuance.

5. **Q: What are Islamic equities in the Islamic Capital Market?**

   A: Islamic equities are shares of companies that are involved in permissible activities under Shariah principles.

6. **Q: How are Islamic equities approved and periodically reviewed in the Islamic Capital Market?**

   A: Shariah equities are approved and periodically reviewed by Shariah boards through a process called Islamic stock screening.

7. **Q: Which country was the first regulator to have issued a list of Shariah-compliant securities in 1997?**

   A: Malaysia was the first regulator to issue a list of Shariah-compliant securities in 1997.

8. **Q: What is the role of Islamic stock screening in the Islamic Capital Market?**

   A: Islamic stock screening helps investors avoid investment in non-permissible sectors.

9. **Q: Which index providers entered the field to drive Islamic equity investment momentum?**

   A: Dow Jones Islamic Market Index (DJIMI), Global Islamic Index Series (GIIS) by FTSE, and Standard & Poor entered the field to drive Islamic equity investment momentum.

10. **Q: What criteria do Islamic equity index providers use for screening?**

    A: Islamic equity index providers use Shariah compliance criteria for screening.

11. **Q: What is the primary function of the Islamic Capital Market in facilitating cross-border activities?**

    A: The primary function is to facilitate cross-border capital flows and funding activities.

12. **Q: What does REITs stand for in the context of Islamic Capital Markets?**

MC Learning House

A: REITs stand for Real Estate Investment Trusts.

13. **Q: Which entity issued the Dow Jones Islamic Market Index (DJIMI)?**

    A: Dow Jones issued the Dow Jones Islamic Market Index (DJIMI).

14. **Q: What is the Global Islamic Index Series (GIIS) issued by?**

    A: The Global Islamic Index Series (GIIS) is issued by FTSE.

15. **Q: What is the association of Malaysia with Islamic Capital Markets?**

    A: Malaysia has been the first regulator to issue a list of Shariah-compliant securities in 1997.

16. **Q: Which standard setting agencies and index providers played a role in driving Islamic equity investment momentum?**

    A: Dow Jones, FTSE, and Standard & Poor played a role in driving Islamic equity investment momentum.

17. **Q: What is the full form of REITs in the context of Islamic Capital Markets?**

    A: REITs stand for Real Estate Investment Trusts.

18. **Q: Which component of the Islamic Capital Market is associated with Venture Capital Fund?**

    A: Islamic Mutual Funds are associated with Venture Capital Fund.

19. **Q: What does ICM stand for in the context of Islamic Capital Markets?**

    A: ICM stands for Islamic Capital Markets.

20. **Q: What has paved the way for a dynamic ICM in terms of cross-border activities?**

    A: The integration of both equity and bond markets has paved the way for a dynamic ICM facilitating cross-border capital flows and funding activities.

MC Learning House

222 Money and Capital Markets-8

MCQs:

1. **What is the primary reason investors seek to diversify their portfolio with investment funds in Islamic Capital Markets?**

a. High returns

b. Low risk

c. Diversification

d. Speculation

Answer: c. Diversification

2. **How are Investment funds, mutual funds, or unit trusts characterized in Islamic Capital Markets?**

a. High-risk investments

b. Collation of funds from a pool of investors

c. Speculative assets

d. Short-term securities

Answer: b. Collation of funds from a pool of investors

3. **In Islamic Capital Markets, what types of funds are classified by asset class?**

a. Only equities and sukuk

b. Equities, sukuk, money market, mixed assets, real estate, and commodities

c. Only equities and real estate

d. Equities, sukuk, and commodities

Answer: b. Equities, sukuk, money market, mixed assets, real estate, and commodities

4. **What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in the Islamic Capital Markets?**

a. Investing in stocks

b. Diversifying portfolio

c. Direct investment in properties

d. Investment in non-Shariah compliant assets

Mc Learning House

Answer: c. Direct investment in properties

5. **In Islamic REITs, what are the primary assets in the diversified pool managed by the fund?**

a. Stocks and commodities

b. Real estate properties

c. Short-term securities

d. Venture capital investments

Answer: b. Real estate properties

6. **What is the main characteristic of Islamic Exchange-Traded Funds (IETFs) in the Islamic Capital Markets?**

a. Direct investment in real estate

b. Shares listed and traded on the stock exchange

c. Speculative assets only

d. Limited to equities

Answer: b. Shares listed and traded on the stock exchange

7. **When was the first Islamic ETF launched, and what was it called?**

a. 2000 - Dow Jones Islamic Market Malaysia ETF

b. 2006 - Dow Jones Islamic Market Turkey ETF

c. 2010 - FTSE Islamic Market ETF

d. 2015 - S&P Shariah Compliant ETF

Answer: b. 2006 - Dow Jones Islamic Market Turkey ETF

8. **How are Islamic Private Equity (PE) and Venture Capital (VC) funds linked to the real economy in Islamic Capital Markets?**

a. Through speculative investments

b. By promoting profit and risk sharing

MC Learning House

c. Through direct investment in stocks

d. By avoiding partnerships

Answer: b. By promoting profit and risk sharing

9. **What type of companies do Islamic PE and VC funds invest in within Islamic Capital Markets?**

a. Well-established companies

b. Only large-sized companies

c. Shariah compliant companies with growth potential

d. Companies involved in speculative activities

Answer: c. Shariah compliant companies with growth potential

10. **What concept do PE and VC funds in Islamic Capital Markets follow for investment?**

a. Speculation

b. Partnership

c. Short-term gains

d. Borrowing and lending

Answer: b. Partnership

11. **What was the first Islamic ETF launched in 2006?**

a. Dow Jones Islamic Market Malaysia ETF

b. Dow Jones Islamic Market Turkey ETF

c. S&P Shariah Compliant ETF

d. FTSE Islamic Market ETF

Answer: b. Dow Jones Islamic Market Turkey ETF

12. **What is the primary characteristic of Islamic Private Equity (PE) and Venture Capital (VC) funds in Islamic Capital Markets?**

MC Learning House

a. High-risk nature

b. Avoidance of profit sharing

c. Link to established companies only

d. Promotion of profit and risk sharing

Answer: d. Promotion of profit and risk sharing

13. **How do Islamic Private Equity (PE) and Venture Capital (VC) funds contribute to the Islamic Capital Markets?**

a. Through speculative investments

b. By avoiding profit and risk sharing

c. By investing in non-Shariah compliant companies

d. By investing in Shariah compliant companies with growth potential

Answer: d. By investing in Shariah compliant companies with growth potential

14. **What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in Islamic Capital Markets?**

a. Speculative trading of real estate assets

b. Direct investment in stocks

c. Direct investment in properties

d. Investment in non-Shariah compliant assets

Answer: c. Direct investment in properties

15. **What type of assets do Islamic Exchange-Traded Funds (IETFs) hold in the Islamic Capital Markets?**

a. Only stocks

b. Only commodities

c. Stocks, commodities, and bonds

d. Real estate properties

MC Learning House

Answer: c. Stocks, commodities, and bonds

16. **What is the purpose of Islamic Funds in the Islamic Capital Markets?**

a. Speculative trading

b. Maximizing risk

c. Diversifying portfolio

d. Short-term gains

Answer: c. Diversifying portfolio

17. **What characterizes Investment funds, mutual funds, or unit trusts in Islamic Capital Markets?**

a. High-risk nature

b. Collation of funds from a pool of investors

c. Speculative assets only

d. Short-term securities

Answer: b. Collation of funds from a pool of investors

18. **What are the different types of funds in the Islamic Capital Markets, classified by asset class?**

a. Equities, sukuk, and money market

b. Equities, sukuk, money market, mixed assets, real estate, and commodities

c. Only equities and sukuk

d. Only equities and real estate

Answer: b. Equities, sukuk, money market, mixed assets, real estate, and commodities

19. **What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in the Islamic Capital Markets?**

a. Speculative trading of real estate assets

MC Learning House

b. Direct investment in stocks

c. Direct investment in properties

d. Investment in non-Shariah compliant assets

Answer: c. Direct investment in properties

20. **What is the main characteristic of Islamic Exchange-Traded Funds (IETFs) in the Islamic Capital Markets?**

a. Direct investment in real estate

b. Shares listed and traded on the stock exchange

c. Speculative assets only

d. Limited to equities

Answer: b. Shares listed and traded on the stock exchange

Q&A:

1. **Q: Why do investors seek to diversify their portfolios with Investment funds in Islamic Capital Markets?**

   A: Investors seek diversification to mitigate high risks associated with investing in specific companies.

2. **Q: How are Investment funds, mutual funds, or unit trusts characterized in Islamic Capital Markets?**

   A: These funds, also known as mutual funds or unit trusts, collate funds from a pool of investors to invest in a range of assets, commodities, or securities.

3. **Q: What types of funds are classified by asset class in the Islamic Capital Markets?**

   A: The funds are classified into equities, sukuk, money market, mixed assets, real estate, and commodities.

4. **Q: What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in the Islamic Capital Markets?**

   A: Islamic REITs primarily focus on managing investments in a diversified pool of properties through direct investment or securities.

MC Learning House

5. **Q: In Islamic REITs, what are the primary assets in the diversified pool managed by the fund?**

   A: The primary assets are real estate properties, including residential and commercial properties, warehouses, hotels, shopping complexes, office blocks, and car parks.

6. **Q: What is the main characteristic of Islamic Exchange-Traded Funds (IETFs) in the Islamic Capital Markets?**

   A: IETFs hold assets such as stocks, commodities, and bonds, and their shares are listed and traded on the stock exchange.

7. **Q: When was the first Islamic ETF launched, and what was it called?**

   A: The first Islamic ETF, called the Dow Jones Islamic Market Turkey ETF, was launched in 2006.

8. **Q: How are Islamic Private Equity (PE) and Venture Capital (VC) funds linked to the real economy in Islamic Capital Markets?**

   A: PE and VC funds are linked to the real economy by promoting profit and risk sharing through the concept of partnership.

9. **Q: What type of companies do Islamic PE and VC funds invest in within Islamic Capital Markets?**

   A: PE and VC funds invest in Shariah-compliant companies that are yet to be established or are middle-sized with fast growth potential.

10. **Q: What concept do PE and VC funds in Islamic Capital Markets follow for investment?**

    A: PE and VC funds follow the concept of partnership, emphasizing profit and risk sharing.

11. **Q: What was the first Islamic ETF launched in 2006?**

    A: The first Islamic ETF launched in 2006 was the Dow Jones Islamic Market Turkey ETF.

12. **Q: What is the primary characteristic of Islamic Private Equity (PE) and Venture Capital (VC) funds in Islamic Capital Markets?**

    A: The primary characteristic is the promotion of profit and risk sharing.

13. **Q: How do Islamic PE and VC funds contribute to the Islamic Capital Markets?**

MC Learning House

A: They contribute by investing in Shariah-compliant companies with growth potential, promoting economic development.

14. **Q: What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in the Islamic Capital Markets?**

    A: The primary focus is on managing investments in a diversified pool of properties through direct investment or securities.

15. **Q: What type of assets do Islamic Exchange-Traded Funds (IETFs) hold in the Islamic Capital Markets?**

    A: IETFs hold assets such as stocks, commodities, and bonds in the Islamic Capital Markets.

16. **Q: What is the purpose of Islamic Funds in the Islamic Capital Markets?**

    A: The purpose is to diversify investors' portfolios and manage risk by investing in various assets, commodities, or securities.

17. **Q: What characterizes Investment funds, mutual funds, or unit trusts in Islamic Capital Markets?**

    A: These funds are characterized by collating funds from a pool of investors to invest in a range of assets, commodities, or securities.

18. **Q: What are the different types of funds in the Islamic Capital Markets, classified by asset class?**

    A: The different types of funds include equities, sukuk, money market, mixed assets, real estate, and commodities.

19. **Q: What is the primary focus of Islamic Real Estate Investment Trusts (REITs) in the Islamic Capital Markets?**

    A: The primary focus is on managing investments in a diversified pool of properties through direct investment or securities.

20. **Q: What is the main characteristic of Islamic Exchange-Traded Funds (IETFs) in the Islamic Capital Markets?**

    A: The main characteristic is that IETFs hold assets such as stocks, commodities, and bonds, and their shares are listed and traded on the stock exchange.

MC Learning House

MCQs:

1. **What is the primary purpose of using the concept of Ijarah for mobilizing funds in the context of Sukuk?**

a. Short-term financing

b. Liquidity management

c. Development of long-term infrastructure projects

d. Individual investor returns

Answer: c. Development of long-term infrastructure projects

2. **How can tangible assets like airports, roads, and buildings be utilized in the context of Ijarah Sukuk?**

a. Immediate sale to investors

b. Securitization for Sukuk issuance

c. Direct leasing to the public sector

d. Collateral for short-term loans

Answer: b. Securitization for Sukuk issuance

3. **What is the significance of creating a secondary market instrument based on Ijarah in the financial market?**

a. Enhanced short-term returns

b. Improved liquidity management

c. Faster project development

d. Reduced investor participation

Answer: b. Improved liquidity management

4. **How does the flexibility in the rules of Ijarah contribute to solving liquidity management problems in developing countries?**

a. By encouraging short-term investments

MC Learning House

b. By securitizing the Ijarah contract

c. By restricting investor participation

d. By focusing on individual investors

Answer: b. By securitizing the Ijarah contract

5. **When can the payment of Ijarah rentals be made in relation to the period of taking usufruct by the lessee?**

a. Only after the lease period

b. Only before the lease period

c. During, before, or after the lease period

d. Before or during the lease period

Answer: c. During, before, or after the lease period

6. **What role does the flexibility in the timing of Ijarah rentals play in the context of evolving different forms of contracts and Sukuk?**

a. Restricts innovation in Sukuk structures

b. Encourages standardized contracts

c. Allows for creativity and adaptation

d. Limits investor options

Answer: c. Allows for creativity and adaptation

7. **In Ijarah, how must the rental for the first term of the lease be stipulated?**

a. Constant and variable

b. Clear terms for the first term

c. Constant for renewable terms

d. Variable for renewable terms

Answer: b. Clear terms for the first term

MC Learning House

8. **For future renewable terms in Ijarah, what can the rental be related to?**

a. Inflation rate

b. Fixed percentage only

c. Constant value

d. Lessee's financial status

Answer: a. Inflation rate

9. **What is one of the variables to which the rental in Ijarah can be related for future renewable terms?**

a. Lessee's preferences

b. Inflation rate

c. Stock market performance

d. Currency exchange rates

Answer: b. Inflation rate

10. **In Ijarah, what is crucial for solving liquidity management problems and financing public sector needs in developing countries?**

a. Fixed rental terms

b. Usufruct periods

c. Securitization of tangible assets

d. Flexibility in Ijarah rules

Answer: d. Flexibility in Ijarah rules

11. **How can the concept of Ijarah be used to mobilize funds for long-term infrastructure projects in Sukuk?**

a. By limiting investor participation

b. By emphasizing short-term financing

c. Through securitization of tangible assets

MC Learning House

d. By avoiding Sukuk issuance

Answer: c. Through securitization of tangible assets

12. **What is the primary advantage of creating a secondary market instrument based on Ijarah in the financial market?**

    a. Increased project development speed

    b. Enhanced short-term returns

    c. Improved liquidity management

    d. Reduced investor participation

    Answer: c. Improved liquidity management

13. **Why is the flexibility in the rules of Ijarah considered a key factor in solving liquidity management problems?**

    a. By encouraging short-term investments

    b. By securitizing the Ijarah contract

    c. By restricting investor participation

    d. By focusing on individual investors

    Answer: b. By securitizing the Ijarah contract

14. **What does the flexibility in the timing of Ijarah rentals allow for in terms of Sukuk and contracts?**

    a. Standardization

    b. Creativity and adaptation

    c. Investor restrictions

    d. Fixed terms only

    Answer: b. Creativity and adaptation

15. **In Ijarah, what is crucial for evolving different forms of contracts and Sukuk to suit different purposes?**

MC Learning House

a. Fixed rental terms

b. Clear terms for the first term

c. Flexibility in stipulating rentals

d. Usufruct periods

Answer: c. Flexibility in stipulating rentals

16. **What can the payment of Ijarah rentals be unrelated to in terms of the period of taking usufruct by the lessee?**

a. Lessee's preferences

b. Inflation rate

c. The lease period

d. Stock market performance

Answer: c. The lease period

17. **In Ijarah, what is essential for the first term of the lease regarding the stipulation of rentals?**

a. Constant and variable terms

b. Variable for renewable terms

c. Clear terms for the first term

d. Fixed percentage only

Answer: c. Clear terms for the first term

18. **For future renewable terms in Ijarah, what could the rental be made constant or variable by relating to?**

a. Lessee's preferences

b. Stock market performance

c. Inflation rate

d. Currency exchange rates

MC Learning House

Answer: c. Inflation rate

19. **What does the flexibility in the timing of Ijarah rentals allow for in terms of contracts and Sukuk?**

    a. Standardization

    b. Creativity and adaptation

    c. Fixed terms only

    d. Investor restrictions

    Answer: b. Creativity and adaptation

20. **What is the primary focus of Ijarah Sukuk in relation to tangible assets like airports and roads?**

    a. Immediate sale to investors

    b. Securitization for Sukuk issuance

    c. Direct leasing to the public sector

    d. Collateral for short-term loans

    Answer: b. Securitization for Sukuk issuance

Q&A:

1. **Q: How does the concept of Ijarah contribute to mobilizing funds for long-term infrastructure projects?**

   A: Ijarah allows for the securitization of tangible assets, such as airports and roads, offering Sukuk to institutional and individual investors.

2. **Q: What is the role of securitization in Ijarah in solving liquidity management problems in developing countries?**

   A: Securitization of the Ijarah contract, facilitated by flexibility in Ijarah rules, addresses liquidity management issues and finances public sector needs in developing nations.

3. **Q: What is the flexibility in the timing of Ijarah rentals, and how does it impact Sukuk and contracts?**

MC Learning House

A: Ijarah rentals can be unrelated to the period of taking usufruct, providing flexibility for the evolution of different forms of contracts and Sukuk to suit various purposes of issuers and investors.

4. **Q: What does the flexibility in the rules of Ijarah allow for regarding the payment of rentals in future renewable terms?**

   A: Rentals can be constant or variable, relating to factors like inflation rate, price index, or settled percentage, providing adaptability in Ijarah contracts.

5. **Q: How does the flexibility in stipulating rentals contribute to the innovation of Sukuk structures in Ijarah?**

   A: The flexibility allows for creativity and adaptation, fostering the development of different forms of contracts and Sukuk that suit the preferences of issuers and investors.

6. **Q: Why is securitization of tangible assets crucial in the context of Ijarah Sukuk?**

   A: Securitization of tangible assets allows for the issuance of Sukuk, providing a means to mobilize funds for long-term infrastructure projects.

7. **Q: What is the primary focus of Ijarah Sukuk in terms of tangible assets like airports and roads?**

   A: Ijarah Sukuk focus on securitizing tangible assets, facilitating the issuance of Sukuk for the development of long-term infrastructure projects.

8. **Q: How does Ijarah contribute to solving liquidity management problems in the financial market?**

   A: Flexibility in Ijarah rules allows for securitization, addressing liquidity management challenges and meeting the financing needs of the public sector.

9. **Q: What factors can Ijarah rentals be related to for future renewable terms, ensuring flexibility in payment?**

   A: Rentals can be related to well-known variables like inflation rate, periodically announced price index, or settled percentage, providing flexibility in contractual terms.

10. **Q: What is crucial for the stipulation of rentals in Ijarah for the first term of the lease?**

    A: Clear terms for the first term of lease are essential, ensuring transparency and clarity in the contractual arrangement.

MCLearning House

11. **Q: How does Ijarah contribute to the development of different forms of contracts and Sukuk to suit diverse purposes?**

    A: Flexibility in Ijarah rules allows for different forms of contracts and Sukuk, providing versatility to meet the preferences of issuers and investors.

12. **Q: What is the significance of the secondary market instrument based on Ijarah in the financial market?**

    A: The secondary market instrument enhances liquidity management by providing a platform for trading Ijarah-based securities.

13. **Q: In Ijarah, what is crucial for the first term of the lease regarding the stipulation of rentals?**

    A: Clear terms for the first term of lease are essential, ensuring transparency and clarity in the contractual arrangement.

14. **Q: How does the flexibility in the timing of Ijarah rentals allow for creativity and adaptation in Sukuk structures?**

    A: The flexibility allows for creativity and adaptation, fostering the development of different forms of contracts and Sukuk that suit the preferences of issuers and investors.

15. **Q: What is crucial for the stipulation of rentals in Ijarah for the first term of the lease?**

    A: Clear terms for the first term of lease are essential, ensuring transparency and clarity in the contractual arrangement.

16. **Q: What does the flexibility in the timing of Ijarah rentals allow for in terms of contracts and Sukuk?**

    A: The flexibility allows for creativity and adaptation, fostering the development of different forms of contracts and Sukuk that suit the preferences of issuers and investors.

17. **Q: How can the concept of Ijarah be used to mobilize funds for long-term infrastructure projects in Sukuk?**

    A: Through securitization of tangible assets, such as airports and roads, offering Sukuk to a large number of institutional and individual investors.

18. **Q: What is the primary advantage of creating a secondary market instrument based on Ijarah in the financial market?**

MC Learning House

A: Improved liquidity management by providing a platform for trading Ijarah-based securities.

19. **Q: What is essential for the first term of the lease in Ijarah regarding the stipulation of rentals?**

    A: Clear terms for the first term of lease are essential, ensuring transparency and clarity in the contractual arrangement.

20. **Q: How can the flexibility in stipulating rentals in Ijarah contribute to the innovation of Sukuk structures?**

    A: The flexibility allows for creativity and adaptation, fostering the development of different forms of contracts and Sukuk that suit the preferences of issuers and investors.

224 Money and Capital Markets-10

MCQs:

1. **What is the underlying basis of Ijarah Sukuk?**

   a. Sale of assets

   b. Lease of a leasable asset

   c. Purchase agreements

   d. Equity-based transactions

   Answer: b. Lease of a leasable asset

2. **How many parties are typically involved in Ijarah Sukuk transactions?**

   a. Two

   b. Three

   c. Four

   d. Five

   Answer: b. Three

3. **Who is the entity that desires to get funds for a project in Ijarah Sukuk?**

Mc Learning House

a. Investors

b. Special Purpose Vehicle (SPV)

c. Originator

d. Financial institutions

Answer: c. Originator

4. **What is the purpose of creating a Special Purpose Vehicle (SPV) in the structure of Ijarah Sukuk?**

a. Lease negotiation

b. Sale of assets

c. Issuing Sukuk to investors

d. Ownership transfer

Answer: c. Issuing Sukuk to investors

5. **At which step does the originator create the SPV in the Ijarah Sukuk process?**

a. Step 1

b. Step 3

c. Step 5

d. Step 7

Answer: a. Step 1

6. **What happens in Step 2 of the Ijarah Sukuk process?**

a. Investors purchase Sukuk

b. The originator sells the asset to SPV

c. SPV transfers rent to investors

d. Maturity of Sukuk

Answer: b. The originator sells the asset to SPV

MC Learning House

7. **When does the ownership of the asset transfer from the originator to the SPV in Ijarah Sukuk?**

a. Step 2

b. Step 4

c. Step 6

d. Step 8

Answer: b. Step 2

8. **What is the role of the SPV in the Ijarah Sukuk process?**

a. Leasing the asset to the originator

b. Selling Sukuk to investors

c. Purchasing the asset from investors

d. Issuing Sukuk to the originator

Answer: b. Selling Sukuk to investors

9. **What does the originator do in Step 4 of the Ijarah Sukuk process?**

a. Purchases the asset back from investors

b. Creates the SPV

c. Issues Sukuk

d. Gets the asset from SPV on lease basis

Answer: d. Gets the asset from SPV on lease basis

10. **What does the SPV do with the rent received in Step 5 of the Ijarah Sukuk process?**

a. Transfers it to the originator

b. Retains it as profit

c. Distributes it among the investors

d. Invests it in other assets

MC Learning House

Answer: c. Distributes it among the investors

11. **For how long do investors receive the rent in Step 6 of the Ijarah Sukuk process?**

a. Until the asset is sold

b. Until maturity, e.g., 5 years

c. Until the SPV transfers ownership

d. Until the originator repurchases the asset

Answer: b. Until maturity, e.g., 5 years

12. **What happens in Step 7 of the Ijarah Sukuk process?**

a. Investors receive their principal amount

b. The originator purchases the asset back

c. SPV transfers ownership to investors

d. Maturity of Sukuk

Answer: b. The originator purchases the asset back

13. **When do investors receive back their principal amount in the Ijarah Sukuk process?**

a. After the lease period

b. At the beginning of the lease period

c. After the originator repurchases the asset

d. Before the maturity

Answer: a. After the lease period

14. **What is the final step in the Ijarah Sukuk process?**

a. Investors receive back their principal amount

b. The originator purchases the asset back

c. SPV transfers ownership to investors

MC Learning House

d. Maturity of Sukuk

Answer: a. Investors receive back their principal amount

15. **What is the primary purpose of the originator selling the asset to the SPV in Ijarah Sukuk?**

    a. Immediate fund acquisition

    b. Transfer of ownership

    c. Creation of Sukuk

    d. Lease negotiation

    Answer: c. Creation of Sukuk

16. **At what point does the SPV issue Sukuk and sell them to investors in the Ijarah Sukuk process?**

    a. Step 3

    b. Step 5

    c. Step 7

    d. Step 8

    Answer: a. Step 3

17. **What is the defined period for which the originator gets the asset from SPV on lease basis in Ijarah Sukuk?**

    a. Until maturity

    b. Until the asset is sold

    c. Until the SPV transfers ownership

    d. Until the investors receive their principal amount

    Answer: a. Until maturity

18. **What is the role of the SPV in the Ijarah Sukuk process after Step 7?**

    a. Lease negotiation

MC Learning House

b. Purchase of the asset from investors

c. Issuing Sukuk to the originator

d. Dissolution

Answer: d. Dissolution

19. **What happens to the asset after the originator purchases it back in Step 7 of the Ijarah Sukuk process?**

    a. It is leased to the SPV

    b. It is sold to investors

    c. It is retained by the originator

    d. It is dissolved

    Answer: c. It is retained by the originator

20. **What is the significance of the rent transferred by the SPV to the investors in Ijarah Sukuk?**

    a. Profit for SPV

    b. Principal amount for investors

    c. Lease payment for originator

    d. Redistribution of funds

    Answer: b. Principal amount for investors

Q&A:

1. **Q: What is the foundational principle behind Ijarah Sukuk?**

   A: Ijarah Sukuk are based on the lease of a leasable underlying asset.

2. **Q: How many parties are typically involved in an Ijarah Sukuk transaction?**

   A: There are three parties involved: the originator, Special Purpose Vehicle (SPV), and investors.

MC Learning House

3. **Q: What role does the originator play in the Ijarah Sukuk process?**

   A: The originator desires to get funds for a project by selling an asset for a defined period of time.

4. **Q: What purpose does creating an SPV serve in the structure of Ijarah Sukuk?**

   A: The SPV is created for a specific purpose, including issuing Sukuk and facilitating the transfer of ownership.

5. **Q: At which step does the originator create the SPV in the Ijarah Sukuk process?**

   A: The originator creates the SPV at Step 1 of the process.

6. **Q: What happens in Step 2 of the Ijarah Sukuk process?**

   A: The originator sells the asset to the SPV, and ownership is transferred.

7. **Q: When does the SPV issue Sukuk and sell them to investors in the Ijarah Sukuk process?**

   A: This occurs at Step 3 of the process.

8. **Q: What does the originator do in Step 4 of the Ijarah Sukuk process?**

   A: The originator gets the asset from the SPV on a lease basis by defining rent for its use.

9. **Q: How does the SPV transfer the rent received in Step 5 of the Ijarah Sukuk process?**

   A: The SPV transfers the rent towards the investors.

10. **Q: How long do investors receive the rent in Step 6 of the Ijarah Sukuk process?**

    A: Investors receive the rent for a defined period, e.g., 5 years.

11. **Q: What happens after the maturity of Ijarah Sukuk in Step 7 of the process?**

    A: The originator purchases the asset back from investors through the SPV.

12. **Q: When do investors receive back their principal amount in the Ijarah Sukuk process?**

    A: After the maturity of the Sukuk.

MC Learning House

13. **Q: What is the significance of Step 8 in the Ijarah Sukuk process?**

    A: Investors receive back their principal amount in this final step.

14. **Q: What is the primary purpose of the originator selling the asset to the SPV in Ijarah Sukuk?**

    A: To create Sukuk and raise funds for a specific project.

15. **Q: How does the SPV contribute to the issuance of Sukuk in the Ijarah Sukuk process?**

    A: The SPV issues Sukuk and sells them to investors.

16. **Q: What is the defined period for which the originator gets the asset from SPV on a lease basis in Ijarah Sukuk?**

    A: Until the maturity of the Sukuk.

17. **Q: What happens to the asset after the originator purchases it back in Step 7 of the Ijarah Sukuk process?**

    A: The asset is retained by the originator.

18. **Q: What is the role of the SPV in the Ijarah Sukuk process after Step 7?**

    A: The SPV may undergo dissolution.

19. **Q: How does the flexibility in stipulating rentals contribute to the innovation of Sukuk structures in Ijarah?**

    A: Flexibility allows for the development of different forms of contracts and Sukuk.

20. **Q: What is the significance of the rent transferred by the SPV to the investors in Ijarah Sukuk?**

    A: The rent represents the principal amount returned to investors after the maturity of Sukuk.

Mc Learning House

225 Money and Capital Markets-11

MCQs:

1. **What is the primary purpose of Mudarabah Sukuk in enhancing public participation?**

a. Real estate management

b. Facilitating liquidity for investors

c. Entertainment projects

d. Environmental conservation

Answer: b. Facilitating liquidity for investors

2. **In Mudarabah Sukuk, who is the issuer of the certificates?**

a. Mudarib

b. Mudarabah capital

c. Certificate holders

d. OIC Council

Answer: a. Mudarib

3. **Who are the owners of the capital in Mudarabah Sukuk?**

a. Mudarib

b. Certificate holders

c. Subscribers

d. Realized funds

Answer: c. Subscribers

4. **What belongs to the owners of capital in Mudarabah Sukuk?**

a. Mudarib

b. Realized funds

c. Certificate holders

d. Profits and losses

Answer: d. Profits and losses

MC Learning House

5. **According to the Islamic Fiqh Council, what do Mudarabah Sukuk represent?**

   a. Stocks

   b. Common ownership

   c. Corporate bonds

   d. Government securities

   Answer: b. Common ownership

6. **What must the prospectus of Mudarabah Sukuk provide, according to Shariah?**

   a. Business projections

   b. Detailed project plans

   c. All information required for a Mudarabah contract

   d. Marketing strategies

   Answer: c. All information required for a Mudarabah contract

7. **In Mudarabah Sukuk, what is the right given to the certificate holder?**

   a. Right to manage the business

   b. Right to transfer ownership

   c. Right to claim profits directly

   d. Right to dissolve the Mudarabah

   Answer: b. Right to transfer ownership

8. **How does the market value of Mudarabah Sukuk vary?**

   a. Fixed value

   b. Based on the Mudarib's profit

   c. Based on the business status and anticipated profits

   d. Determined by the OIC Council

MC Learning House

Answer: c. Based on the business status and anticipated profits

9. **What is permissible in Mudarabah Sukuk for creating reserves?**

   a. Only profits can be reserved

   b. No reserves are allowed

   c. Deducting from the profit a certain percentage for contingencies

   d. Deducting from the Mudarib's share

   Answer: c. Deducting from the profit a certain percentage for contingencies

10. **Who can offer Mudarabah Sukuk to investors?**

    a. Central banks only

    b. Governments only

    c. Islamic Financial Institutions

    d. Non-profit organizations

    Answer: c. Islamic Financial Institutions

11. **What is the nature of Mudarabah Sukuk based on Shariah?**

    a. Fixed profit-sharing

    b. Profit and risk-sharing

    c. Interest-based

    d. Loss-sharing only

    Answer: b. Profit and risk-sharing

12. **What is the role of the Mudarib in Mudarabah Sukuk?**

    a. Capital provider

    b. Project manager

    c. Certificate issuer

MC Learning House

d. Market regulator

Answer: b. Project manager

13. **What must be compatible with Shariah in the Mudarabah Sukuk prospectus?**

a. Projected profits

b. Market conditions

c. Capital nature and profit distribution ratio

d. Competition analysis

Answer: c. Capital nature and profit distribution ratio

14. **What does the MS holder have the right to do in Mudarabah Sukuk?**

a. Manage the business

b. Transfer ownership

c. Dissolve the Mudarabah

d. Veto project decisions

Answer: b. Transfer ownership

15. **What does the market value of Mudarabah Sukuk depend on?**

a. OIC Council decisions

b. Business status and expected profits

c. Mudarib's management skills

d. Historical performance

Answer: b. Business status and expected profits

16. **What does the Mudarabah Sukuk concept offer to investors?**

a. Fixed returns

b. Ownership in specific projects

MC Learning House

c. Capital protection

d. Monthly dividends

Answer: b. Ownership in specific projects

17. **According to the Islamic Fiqh Council, what type of ownership do Mudarabah Sukuk represent?**

a. Direct ownership

b. Common ownership

c. Joint ownership

d. Corporate ownership

Answer: b. Common ownership

18. **What is the right given to Mudarabah Sukuk holders regarding transfer?**

a. Cannot transfer ownership

b. Right to transfer only to Mudarib

c. Right to transfer to anyone in the market

d. Right to transfer to OIC Council

Answer: c. Right to transfer to anyone in the market

19. **What is the role of Mudarabah Sukuk in public participation in investment?**

a. It discourages public participation

b. It has no impact on public participation

c. It enhances public participation

d. It confuses public investors

Answer: c. It enhances public participation

20. **What is the primary characteristic of Mudarabah Sukuk's profit distribution?**

a. Fixed ratio

MC Learning House

b. Decided by the Mudarib

c. Based on the market value

d. Agreed upon in the prospectus

Answer: d. Agreed upon in the prospectus

Q&A:

1. **Q: What role do Mudarabah Sukuk play in enhancing public participation in investment activities?**

   A: Mudarabah Sukuk serve as certificates representing projects or activities managed on the Mudarabah principle, encouraging public participation in investments.

2. **Q: In Mudarabah Sukuk, who is the issuer of the certificates?**

   A: The issuer of Mudarabah certificates is the Mudarib.

3. **Q: Who are the owners of the capital in Mudarabah Sukuk?**
   - **A:** The owners of the capital in Mudarabah Sukuk are the subscribers.
4. **Q: What do the certificate holders own in Mudarabah Sukuk, and what belongs to them?**

   A: Certificate holders own the assets of the Mudarabah, and the agreed-upon share of the profits belongs to them. They also bear any incurred losses.

5. **Q: What are the salient features of Mudarabah Sukuk mentioned by the Islamic Fiqh Council of the OIC?**

   A: The salient features include common ownership, entitlement to a share in specific projects, and compatibility with Shariah principles.

6. **Q: What must the Mudarabah Sukuk prospectus provide according to Shariah?**

   A: The prospectus must provide all information required for a Mudarabah contract, such as the nature of capital, profit distribution ratio, and other conditions.

7. **Q: What right does the Mudarabah Sukuk holder have regarding ownership transfer?**

   A: The Mudarabah Sukuk holder has the right to transfer ownership by selling the Sukuk in the securities market at their discretion.

MCLearning House

8. **Q: How does the market value of Mudarabah Sukuk vary, and what factors influence it?**

   A: The market value varies with the business status and anticipated profits of the concerned project, influencing the value.

9. **Q: What is permissible in Mudarabah Sukuk for creating reserves, and for what purpose?**

   A: Reserves for contingencies, such as loss of capital, can be created by deducting a certain percentage from the profit in each accounting period.

10. **Q: Who can offer Mudarabah Sukuk to investors, and what is the purpose?**

    A: Islamic Financial Institutions can offer Mudarabah Sukuk to investors, allowing them to subscribe and participate in investment transactions.

11. **Q: What is the nature of Mudarabah Sukuk based on Shariah principles?**

    A: Mudarabah Sukuk are based on the principles of profit and risk-sharing in compliance with Shariah.

12. **Q: What role does the Mudarib play in Mudarabah Sukuk transactions?**

    A: The Mudarib acts as the project manager, responsible for managing the business activities.

13. **Q: What must be compatible with Shariah in the Mudarabah Sukuk prospectus?**

    A: The nature of capital, the ratio for profit distribution, and other conditions must be compatible with Shariah.

14. **Q: What right does the Mudarabah Sukuk holder have regarding transferability?**

    A: The Mudarabah Sukuk holder has the right to transfer ownership by selling the Sukuk in the securities market at their discretion.

15. **Q: What does the market value of Mudarabah Sukuk depend on?**

    A: The market value depends on the business status and anticipated profits of the concerned project.

16. **Q: What does the Mudarabah Sukuk concept offer to investors?**

    A: Mudarabah Sukuk offer investors ownership in specific projects, allowing them to share in the profits.

MC Learning House

17. **Q: According to the Islamic Fiqh Council, what type of ownership do Mudarabah Sukuk represent?**

    A: Mudarabah Sukuk represent common ownership in specific projects.

18. **Q: What is the right given to Mudarabah Sukuk holders regarding transfer?**

    A: Mudarabah Sukuk holders have the right to transfer ownership by selling the Sukuk in the securities market.

19. **Q: How do Mudarabah Sukuk contribute to public participation in investment?**

    A: Mudarabah Sukuk enhance public participation by offering a Shariah-compliant investment option.

20. **Q: What is the primary characteristic of Mudarabah Sukuk's profit distribution?**

    A: The profit distribution is agreed upon in the prospectus, providing transparency to investors.

226 Money and Capital Markets-12

MCQs:

1. **Q: What is Musharakah?**

   A. Short-term debt instrument

   B. Islamic financing mode

   C. Equity market index

   D. Foreign exchange market

   Answer: B. Islamic financing mode

2. **Q: In which scenario can Musharakah serve as a basis for securitization?**

   A. Small projects with low capital requirements

   B. Big projects requiring substantial amounts

   C. Money market transactions

   D. Capital market derivatives

MC Learning House

Answer: B. Big projects requiring substantial amounts

3. **Q: What does every subscriber receive in Musharakah?**

   A. Stock options

   B. Debentures

   C. Musharakah certificate

   D. Treasury bills

   Answer: C. Musharakah certificate

4. **Q: What does the Musharakah certificate represent?**

   A. Fixed return on investment

   B. Ownership in the assets of the project

   C. Voting rights in the company

   D. Loan agreement terms

   Answer: B. Ownership in the assets of the project

5. **Q: Can Musharakah Sukuk be issued as redeemable certificates?**

   A. Yes

   B. No

   Answer: A. Yes

6. **Q: What could be the objective of issuing Musharakah Sukuk?**

   A. Speculative trading

   B. Purchase of automobiles for personal use

   C. Establishment of high-standard clinics and hospitals

   D. Individual savings account

   Answer: C. Establishment of high-standard clinics, hospitals, factories, trading centers, endowments, etc.

MC Learning House

7. **Q: What happens after the project is started in Musharakah?**

   A. Certificates become non-negotiable

   B. Certificates can be treated as negotiable instruments

   C. Certificates are canceled

   D. Profit sharing is stopped

   Answer: B. Certificates can be treated as negotiable instruments

8. **Q: What can be done with certificates based on Musharakah in the secondary market?**

   A. They cannot be traded

   B. Bought and sold

   C. Only sold, not bought

   D. Traded in the primary market

   Answer: B. Bought and sold

9. **Q: How is profit earned in Musharakah shared among the participants?**

   A. Equal distribution to all subscribers

   B. According to an agreed-upon ratio

   C. Only among the project managers

   D. Based on the capital invested

   Answer: B. According to an agreed-upon ratio

10. **Q: How is loss shared in Musharakah?**

    A. Equally among all participants

    B. On a pro-rata basis

    C. Only among the project managers

    D. Based on the capital invested

MC Learning House

Answer: B. On a pro-rata basis

11. **Q: What type of market can Musharakah certificates be traded in?**

    A. Money market

    B. Derivatives market

    C. Secondary market

    D. Primary market

    Answer: C. Secondary market

12. **Q: Which of the following is NOT a characteristic of Musharakah Sukuk?**

    A. Certificates based on ownership

    B. Tradable in the secondary market

    C. Fixed return on investment

    D. Shared profit and loss

    Answer: C. Fixed return on investment

13. **Q: What does the Musharakah certificate represent for subscribers?**

    A. Ownership in the company

    B. Voting rights

    C. Proportionate ownership in project assets

    D. Loan agreement terms

    Answer: C. Proportionate ownership in project assets

14. **Q: In Musharakah Sukuk, what is shared among participants according to an agreed ratio?**

    A. Voting rights

    B. Loss only

    C. Profit only

MC Learning House

D. Profit and loss

Answer: D. Profit and loss

15. **Q: What is the primary purpose of Musharakah Sukuk issuance?**

A. Individual savings account

B. Profit maximization

C. Financing big projects

D. Speculative trading

Answer: C. Financing big projects

16. **Q: What makes Musharakah certificates negotiable in the secondary market?**

A. Fixed maturity date

B. High face value

C. Proportionate ownership

D. Government backing

Answer: C. Proportionate ownership

17. **Q: What differentiates Musharakah Sukuk from conventional debt instruments?**

A. Fixed return

B. Non-negotiability

C. Shared ownership

D. Lack of voting rights

Answer: C. Shared ownership

18. **Q: When can Musharakah certificates be treated as negotiable instruments?**

A. Before the project starts

B. After the project starts

MC Learning House

C. During the project planning phase

D. Only during project completion

Answer: B. After the project starts

19. **Q: What is the primary role of Musharakah certificates in the secondary market?**

A. Fixed return

B. Profit sharing

C. Voting rights

D. Buy and sell transactions

Answer: D. Buy and sell transactions

20. **Q: How do Musharakah certificates contribute to liquidity management?**

A. By restricting trading

B. Through non-negotiability

C. By allowing buy and sell transactions

D. By preventing secondary market trading

Answer: C. By allowing buy and sell transactions

Q&A:

1. **Q: What is the primary purpose of Musharakah Sukuk?**

   A: The primary purpose of Musharakah Sukuk issuance is to finance big projects that require substantial amounts of capital.

2. **Q: How does Musharakah differ from conventional financing?**

   A: Musharakah involves shared ownership and risk-sharing, unlike conventional financing that often includes fixed returns.

3. **Q: What is the significance of every subscriber receiving a Musharakah certificate?**

MC Learning House

A: The Musharakah certificate represents the subscriber's proportionate ownership in the assets of the project.

4. **Q: Can Musharakah Sukuk be issued as redeemable certificates?**

   A: Yes, Musharakah Sukuk can be issued as redeemable certificates, providing flexibility in investment structures.

5. **Q: How does Musharakah contribute to enhancing public participation in investment activities?**

   A: Musharakah Sukuk allows individuals to invest in projects on the Mudarabah principle, promoting public participation in economic activities.

6. **Q: What happens after the project is started in Musharakah?**

   A: Musharakah certificates become negotiable instruments, enabling trading in the secondary market.

7. **Q: How is profit earned in Musharakah shared among the participants?**

   A: Profit earned in Musharakah is shared among the participants according to an agreed-upon ratio.

8. **Q: How is loss shared in Musharakah?**

   A: Loss is shared on a pro-rata basis among the participants in Musharakah.

9. **Q: What makes Musharakah certificates negotiable in the secondary market?**

   A: Proportionate ownership in project assets makes Musharakah certificates negotiable in the secondary market.

10. **Q: Can Musharakah certificates be bought and sold in the secondary market?**

    A: Yes, Musharakah certificates can be bought and sold in the secondary market, facilitating liquidity management.

11. **Q: What differentiates Musharakah Sukuk from conventional debt instruments?**

    A: Musharakah Sukuk involves shared ownership, in contrast to conventional debt instruments that typically offer fixed returns.

12. **Q: What is the role of Musharakah certificates in promoting risk-sharing?**

MC Learning House

A: Musharakah certificates contribute to risk-sharing by distributing both profits and losses among the participants.

13. **Q: How does Musharakah contribute to the securitization of big projects?**

    A: Musharakah serves as a basis for securitization, especially in big projects where substantial amounts of capital are required.

14. **Q: What is the objective of issuing Musharakah Sukuk for specific projects?**

    A: The objective is to allow subscribers to own proportionate shares in the assets of the project and share in the profits.

15. **Q: What can be treated as negotiable instruments in Musharakah?**

    A: Musharakah certificates, representing ownership in project assets, can be treated as negotiable instruments.

16. **Q: How does Musharakah contribute to enhancing investment options for individuals?**

    A: Musharakah Sukuk provides individuals with the opportunity to diversify their portfolios by investing in shared ownership projects.

17. **Q: In which market can Musharakah certificates be traded after the project starts?**

    A: Musharakah certificates can be traded in the secondary market after the project starts.

18. **Q: How are Musharakah certificates linked to the real economy?**

    A: Musharakah certificates are linked to the real economy by promoting profit and risk-sharing through the concept of partnership.

19. **Q: What is the role of Musharakah certificates in promoting public awareness of Shariah-compliant investments?**

    A: Musharakah certificates contribute to raising public awareness by aligning with Shariah principles and offering shared ownership.

20. **Q: How does the flexibility of Musharakah contribute to solving liquidity management problems in developing countries?**

    A: The flexibility in the rules of Musharakah allows for securitizing the contract, addressing liquidity management problems in developing countries.

MC Learning House

227 Money and Capital Markets-13

MCQs:

1. **Q: What is the primary characteristic of Musharakah Sukuk?**

   A: Fixed returns

   B: Shared ownership

   C: Guaranteed profits

   D: Variable interest rates

   Answer: B

2. **Q: What role does Musharakah play in securitization?**

   A: Limited participation

   B: Hindrance to securitization

   C: Basis for securitization

   D: Unrelated to project funding

   Answer: C

3. **Q: What does a Musharakah certificate represent for subscribers?**

   A: Fixed income share

   B: Proportionate ownership

   C: Guaranteed profits

   D: Indirect project benefits

   Answer: B

4. **Q: Can Musharakah Sukuk be issued as redeemable certificates?**

   A: No, it is not possible

   B: Yes, but with restrictions

MC Learning House

C: Only for small projects

D: Yes, providing flexibility

Answer: D

5. **Q: How are investment Sukuk issued in Musharakah?**

A: Through conventional bonds

B: On a partnership basis

C: Solely through debt instruments

D: By government decree

Answer: B

6. **Q: What is the purpose of using the proceeds from Musharakah Sukuk?**

A: Personal expenses

B: Buying and leasing equipment

C: Investment in speculative markets

D: Repayment of existing debts

Answer: B

7. **Q: Why is the Musharakah structure considered more equitable for investors?**

A: Guaranteed profits

B: Exclusive ownership rights

C: Profit- and loss-sharing

D: Fixed income returns

Answer: C

8. **Q: In which country have assets been identified for securitization on a Musharakah basis?**

A: Malaysia

MC Learning House

B: Sudan

C: Saudi Arabia

D: Pakistan

Answer: B

9. **Q: What types of certificates have been issued in Sudan for open market operations since 1998?**

A: Treasury bills

B: Government Musharakah certificates

C: Central bank Musharakah certificates

D: Conventional bonds

Answer: C

10. **Q: What does the term "CMCs" stand for in the context of Musharakah certificates in Sudan?**

A: Central Market Certificates

B: Currency Management Certificates

C: Central Bank Musharakah Certificates

D: Central Management Contracts

Answer: C

11. **Q: In Musharakah Sukuk, what does the Mudarib represent?**

A: Subscriber

B: Special Purpose Vehicle (SPV)

C: Originator

D: Project manager

Answer: B

MC Learning House

12. **Q: What is the primary factor that makes Musharakah Sukuk safer for investors?**

A: Fixed returns

B: Exclusive ownership rights

C: Profit- and loss-sharing

D: Guaranteed profits

Answer: C

13. **Q: What is the alternative name for government Musharakah certificates in Sudan?**

A: GICs

B: GMCs

C: SPCs

D: GSCs

Answer: B

14. **Q: How is the risk shared in Musharakah Sukuk?**

A: Proportionate to investment

B: Only by the Mudarib

C: Equally among all participants

D: Based on government regulations

Answer: A

15. **Q: What purpose do Musharakah certificates serve in Sudan's public entities?**

A: Daily transactions

B: Project securitization

C: Treasury management

D: Personal investments

MC Learning House

Answer: B

16. **Q: What differentiates Musharakah Sukuk from conventional securities in Sudan's monetary management?**

    A: Higher interest rates

    B: Exclusively government-owned

    C: Shariah-compliant features

    D: Fixed maturity periods

    Answer: C

17. **Q: What is the main objective of Musharakah Sukuk in Sudan's public entities?**

    A: Profit maximization

    B: Asset securitization

    C: Providing interest-bearing securities

    D: Participation in speculative markets

    Answer: B

18. **Q: How are Musharakah certificates treated in Sudan after being issued since 1998?**

    A: Conventional bonds

    B: Redeemable certificates

    C: Negotiable instruments

    D: Fixed-income securities

    Answer: C

19. **Q: How does Musharakah Sukuk contribute to Sudan's monetary management?**

    A: Higher interest rates

    B: Exclusively government-owned

    C: Provides interest-bearing securities

MC Learning House

D: Diversifies investment options

Answer: D

20. **Q: What is the benefit of issuing Musharakah Sukuk on a Musharakah basis for Sudan's public entities?**

    A: Higher returns for the government

    B: Enhanced liquidity for investors

    C: Participation in speculative markets

    D: Shariah-compliant financing

    Answer: D

Q&A:

1. **Q: What is the fundamental principle of Musharakah Sukuk?**

   Answer: The principle of shared ownership and profit- and loss-sharing.

2. **Q: How does Musharakah serve as a basis for securitization?**

   Answer: It provides a framework for pooling funds for large-scale projects by issuing certificates representing proportionate ownership.

3. **Q: What does a Musharakah certificate signify for subscribers?**

   Answer: It represents their proportional ownership in the assets of the project or activity associated with the Sukuk.

4. **Q: Can Musharakah Sukuk be issued as redeemable certificates, and what does this imply?**

   Answer: Yes, they can be redeemed, offering flexibility for investors to buy and sell them in the secondary market.

5. **Q: What role does Musharakah play in project funding and capital mobilization?**

   Answer: It facilitates capital mobilization for projects by allowing the sale of assets for a defined period, with investors holding certificates representing ownership.

6. **Q: How are investment Sukuk issued in the context of Musharakah?**

Mc Learning House

Answer: Investment Sukuk are issued on a Musharakah basis, enabling the mobilization of funds for long-term projects or general financial activities.

7. **Q: What is the primary purpose of using the proceeds from Musharakah Sukuk?**

   Answer: The funds can be utilized for purchasing and leasing equipment, constructing projects, expanding operations, or obtaining working capital.

8. **Q: Why is the Musharakah structure considered more equitable for investors?**

   Answer: It involves both profit- and loss-sharing, ensuring a fair distribution of returns and risk among the investors.

9. **Q: In which country have assets been identified for securitization on a Musharakah basis?**

   Answer: Sudan.

10. **Q: What types of certificates have been issued in Sudan for open market operations since 1998?**

    Answer: Central bank Musharakah certificates (CMCs) and government Musharakah certificates (GMCs).

11. **Q: What is the significance of the Mudarib in the context of Musharakah Sukuk?**

    Answer: The Mudarib is the entity or person appointed for managing the business or project associated with the Sukuk.

12. **Q: What factor contributes to making Musharakah Sukuk safer for investors?**

    Answer: The profit- and loss-sharing mechanism, providing a balanced and equitable investment structure.

13. **Q: What is the alternative name for government Musharakah certificates in Sudan?**

    Answer: GMCs (Government Musharakah Certificates).

14. **Q: How is the risk shared among participants in Musharakah Sukuk?**

    Answer: The risk is shared proportionately based on the amount of investment by each participant.

15. **Q: What purpose do Musharakah certificates serve in Sudan's public entities?**

MC Learning House

Answer: They are used for securitizing projects, allowing public entities to raise funds through Musharakah Sukuk.

16. **Q: How does the Musharakah Sukuk differ from conventional securities in Sudan's monetary management?**

    Answer: It introduces Shariah-compliant features and involves profit- and loss-sharing, setting it apart from conventional interest-based securities.

17. **Q: What is the primary objective of issuing Musharakah Sukuk in Sudan's public entities?**

    Answer: To securitize projects and provide an alternative to interest-bearing securities, aligning with Shariah principles.

18. **Q: How are Musharakah certificates treated in Sudan after being issued since 1998?**

    Answer: They are treated as negotiable instruments, allowing them to be bought and sold in the secondary market.

19. **Q: How does Musharakah Sukuk contribute to Sudan's monetary management?**

    Answer: It diversifies investment options and provides an avenue for Shariah-compliant financing in the form of Sukuk.

20. **Q: What is the benefit of issuing Musharakah Sukuk on a Musharakah basis for Sudan's public entities?**

    Answer: It allows for Shariah-compliant financing, promoting ethical and equitable investment practices.

228 Money and Capital Markets-14

MCQs:

1. **Q: What is a Salam contract in its simplest form?**

    a) Deferred payment for immediate delivery

    b) Immediate payment for deferred delivery

    c) Immediate payment and immediate delivery

    d) Deferred payment and deferred delivery

MCLearning House

Answer: b) Immediate payment for deferred delivery

2. **Q: In a Salam Sukuk, what is the role of the subscribers?**

   a) Sellers of the Salam commodity

   b) Buyers of the Salam commodity

   c) Issuers of the certificates

   d) Agents for marketing the commodity

   Answer: b) Buyers of the Salam commodity

3. **Q: What is the main characteristic of a Parallel Salam in Salam Sukuk?**

   a) Deferred payment

   b) Immediate delivery

   c) Deferred delivery

   d) Immediate payment

   Answer: a) Deferred payment

4. **Q: Why is Salam sale attractive to the seller in Salam Sukuk?**

   a) Cash flow is enhanced in advance

   b) Higher Salam price

   c) Immediate payment

   d) Lower Salam price

   Answer: a) Cash flow is enhanced in advance

5. **Q: In the case of Parallel Salam, what are the holders of Salam Sukuk entitled to?**

   a) Salam commodity and deferred payment

   b) Salam commodity or selling price at the time of delivery

   c) Immediate payment

MC Learning House

d) Immediate delivery

Answer: b) Salam commodity or selling price at the time of delivery

6. **Q: What does the Bahrain government undertake in the described Salam Sukuk scenario?**

   a) Immediate delivery of aluminium

   b) Deferred payment for aluminium

   c) Supply a specified amount of aluminium on the basis of Salam at a future date

   d) Market the aluminium immediately

   Answer: c) Supply a specified amount of aluminium on the basis of Salam at a future date

7. **Q: Who appoints the government as an agent for marketing the aluminium in Salam Sukuk?**

   a) Bahrain Islamic Bank (BIB)

   b) The subscribers

   c) Other banks participating in the contract

   d) Aluminium producers

   Answer: a) Bahrain Islamic Bank (BIB)

8. **Q: What purpose does the government serve as an agent in Salam Sukuk?**

   a) Immediate delivery of aluminium

   b) Marketing the aluminium at a price providing a return to security holders

   c) Deferred payment for aluminium

   d) Issuing Salam Sukuk

   Answer: b) Marketing the aluminium at a price providing a return to security holders

9. **Q: What can Salam Sukuk be developed on the basis of?**

MC Learning House

a) Currencies

b) Services

c) Commodities being heavily traded

d) Real estate

Answer: c) Commodities being heavily traded

10. **Q: What is the characteristic of Salam Sukuk in terms of commodities?**

a) Commodities with low demand

b) Commodities with speculative value

c) Commodities with firm demand

d) Commodities with unpredictable value

Answer: c) Commodities with firm demand

11. **Q: What does BIB appoint the government to do in Salam Sukuk?**

a) Purchase commodities

b) Market the commodities at a future date

c) Issue Salam Sukuk

d) Act as an agent for other banks

Answer: b) Market the commodities at a future date

12. **Q: What is the primary advantage for buyers in Salam Sukuk?**

a) Lower Salam price compared to the spot price

b) Higher Salam price compared to the spot price

c) Immediate delivery of commodities

d) Lower cash flow

Answer: a) Lower Salam price compared to the spot price

MC Learning House

13. **Q: What does the Salam contract involve in terms of payment and delivery?**

a) Immediate payment and immediate delivery

b) Deferred payment and deferred delivery

c) Immediate payment for deferred delivery

d) Deferred payment for immediate delivery

Answer: c) Immediate payment for deferred delivery

14. **Q: What does the purchase price of assets in a Salam contract cover?**

a) Only immediate payment

b) Only deferred delivery

c) Immediate payment and immediate delivery

d) Immediate payment and deferred delivery

Answer: d) Immediate payment and deferred delivery

15. **Q: What is the objective of issuing Salam Sukuk?**

a) Immediate delivery of commodities

b) Mobilizing capital through advance payments for future delivery

c) Issuing certificates without any commodity backing

d) Deferring payment for commodities

- **Answer: b) Mobilizing capital through advance payments for future delivery**

16. **Q: What is the primary characteristic of Salam Sukuk certificates in terms of value?**

a) Variable value

b) Equal value

c) Increasing value over time

d) Dependent on market conditions

Answer: b) Equal value

MC Learning House

17. **Q: What type of Sukuk is Salam Sukuk considered?**

a) Equity-based Sukuk

b) Debt-based Sukuk

c) Asset-based Sukuk

d) Lease-based Sukuk

Answer: c) Asset-based Sukuk

18. **Q: In the case of Parallel Salam, when are the holders entitled to the Salam commodity or selling price?**

a) At the time of entering the Salam contract

b) At the time of immediate delivery

c) At the time of deferred delivery

d) At the time when the commodity is delivered

Answer: d) At the time when the commodity is delivered

19. **Q: What does the Parallel Salam structure entail for the buyer?**

a) Deferred payment and deferred delivery

b) Immediate payment and deferred delivery

c) Deferred payment and immediate delivery

d) Immediate payment and immediate delivery

Answer: b) Immediate payment and deferred delivery

20. **Q: How does Salam Sukuk contribute to enhancing cash flow for sellers?**

a) By deferring cash flow until the commodity is delivered

b) By enhancing cash flow in advance

c) By immediate payment of the full Salam price

d) By immediate delivery of commodities

MC Learning House

Answer: b) By enhancing cash flow in advance

Q&A:

1. **Q: What is the primary function of the Financial Market in an economy?**

   A: The Financial Market serves as a platform for meeting the financial needs of those seeking funds for expansion and those looking to earn better returns on surplus funds.

2. **Q: What are the two main types of financial markets?**

   A: The two main types of financial markets are the Money Market and the Capital Market.

3. **Q: How is the Money Market defined, and what types of instruments are traded in it?**

   A: The Money Market is a segment of the financial market where short-term instruments, usually with maturities less than one year, are traded. Instruments in the Money Market include Treasury Bills, Commercial Papers, Certificate of Deposit, Bankers Acceptance, and Repurchase Agreements.

4. **Q: What is the characteristic of investments in the Money Market in terms of safety and return?**

   A: Investments in the Money Market are considered safe, but they provide relatively low rates of return.

5. **Q: Name some major players in the Money Market.**

   A: Major players in the Money Market include Central banks, Commercial banks, Federal and Provincial governments, Mutual Funds, and Foreign Investors.

6. **Q: What distinguishes the Capital Market from the Money Market, and what types of instruments are traded in it?**

   A: The Capital Market focuses on long-term funds raised through the trade of debt and equity securities. Capital Market instruments include Stocks, Bonds, Debentures, Treasury Bills, Foreign Exchange, and others.

7. **Q: When did the Islamic Capital Market (ICM) develop, and why was it established?**

   A: The ICM developed in the 1990s to provide an alternative for capital market transactions in compliance with Shariah principles. It was established to cater to the

Mc Learning House

needs of those who wanted to invest in long-term transactions while adhering to Islamic principles.

8. **Q: What were the challenges faced by governments and large corporations that led to the need for the Islamic Capital Market in the 1980s?**

   A: Governments and large corporations, intending to follow Shariah principles, faced difficulties accessing conventional Capital markets for seeking long-term financing for national development projects. Debates started in the 1980s to address this need.

9. **Q: What issues were discussed at the level of Fiqh councils regarding Islamic Capital Market development?**

   A: Fiqh councils discussed issues related to financial markets, such as investment in shares, preference shares, investment certificates, bonds, and the permissibility of dealing in commodities, currencies, and indices in organized markets.

10. **Q: What major differences exist between Islamic and Conventional Capital Markets?**

    A: Major differences include the prohibition of interest (Riba), uncertainty (Gharar), gambling (Qimar), and unethical practices in Islamic Capital Markets. Additionally, in the equity market, companies in Islamic markets must engage in permissible business activities.

11. **Q: Why is a Muslim investor allowed to invest in both types of companies in the Islamic equity market?**

    A: In the Islamic equity market, a Muslim investor is allowed to invest in both types of companies to promote inclusivity and provide opportunities for various investors.

12. **Q: What is the main difference between bonds in the conventional market and Sukuk in the Islamic market?**

    A: Bonds in the conventional market are debt-based securities, while Sukuk in the Islamic market are typically asset-based securities.

13. **Q: What are the major components of Islamic Capital Markets?**

    A: Major components include Shariah-screened stocks, Sukuk, Islamic Mutual Funds, Real Estate Investment Trusts (REITs), and Venture Capital Funds.

14. **Q: Define Sukuk, and what do they represent?**

MC Learning House

A: Sukuk, also known as Islamic bonds, represent common undivided shares in the ownership of underlying assets. Holders of Sukuk share the return agreed upon at the time of issuance.

15. **Q: How are Islamic equities determined in the Islamic Capital Market?**

A: Islamic equities are shares of companies involved in permissible activities under Shariah principles. These shares are approved and periodically reviewed by a Shariah board through a process called Islamic stock screening.

16. **Q: What are the characteristics of Islamic Real Estate Investment Trusts (REITs)?**

A: Islamic REITs manage investments in a diversified pool of properties, either through direct investment or through securities with primary assets comprising real estate such as residential and commercial properties, warehouses, hotels, shopping complexes, office blocks, and car parks.

17. **Q: What is the purpose of Islamic Exchange-Traded Funds (IETFs) in the Islamic Capital Market?**

A: IETFs hold assets such as stocks, commodities, and bonds. These assets are listed and traded on the stock exchange, similar to the trading of company shares.

18. **Q: How do Islamic Private Equity (PE) and Venture Capital (VC) contribute to the Islamic Capital Market?**

A: PE and VC funds in the Islamic Capital Market invest in Shariah-compliant companies that are either yet to be established or are middle-sized but have fast growth potential, promoting profit and risk sharing through partnership concepts.

19. **Q: What is the concept of Ijarah Sukuk, and how does it contribute to long-term infrastructure projects?**

A: Ijarah Sukuk involves mobilizing funds for long-term infrastructure projects by securitizing tangible assets such as airports, roads, and buildings. It provides a secondary market instrument for financiers and solves liquidity management problems in developing countries.

20. **Q: What is the structure of Ijarah Sukuk, and how is it beneficial for issuers and investors?**

A: Ijarah Sukuk involves creating a Special Purpose Vehicle (SPV) for a specific purpose, selling assets to SPV, issuing Sukuk to investors, leasing back the asset from SPV, and repurchasing the asset at maturity. This structure provides flexibility and different forms of contracts and Sukuk that suit various purposes of issuers and investors.

MC Learning House

229 Money and Capital Markets-15

MCQs:

1. **What is Istisna‘ in the context of Money and Capital Market-15?**

   a. A type of investment

   b. A manufacturing goods agreement

   c. A financing tool for houses only

   d. A project construction contract

   Answer: b

2. **What does Istisna‘ allow according to the contractual agreement?**

   a. Only cash payment in advance

   b. Only future delivery of goods

   c. Both cash payment in advance and future delivery of goods

   d. None of the above

   Answer: c

3. **In what areas can Istisna‘ be used for financing, according to the provided information?**

   a. Manufacturing goods only

   b. Construction of houses and plants only

   c. Construction of projects, bridges, roads, and highways

   d. All of the above

   Answer: d

4. **What is the purpose of a Parallel Istisna‘a contract with subcontractors in Islamic banking?**

   a. To avoid construction projects

MC Learning House

b. To facilitate deferred payments

c. To undertake construction projects and sell them

d. To issue Sukuk for financing purposes

Answer: c

5. **Who is the issuer of Istisna'a Sukuk certificates?**

a. Islamic banks

b. Subcontractors

c. Manufacturers (sellers)

d. Final users

Answer: c

6. **How are Istisna'a Sukuk certificates issued with the aim of mobilizing funds?**

a. By the final users

b. By subcontractors

c. By manufacturers (sellers)

d. By Islamic banks

Answer: c

7. **Who can purchase Istisna' Sukuk, according to the provided information?**

a. Only Islamic Financial Institutions (IFIs)

b. Only individuals

c. Both individuals and IFIs

d. None of the above

Answer: c

8. **When can profits be distributed among Istisna' Sukuk holders?**

MC Learning House

a. After the completion of the project

b. Before the project starts

c. During the project construction

d. Only if the project fails

Answer: a

9. **In addition to profits, how else can returns be generated for Sukuk holders during the period of Sukuk holding?**

a. Through cash payments

b. Through rent

c. Through project ownership

d. Through interest

Answer: b

10. **What is the primary purpose of Istisna‘ Sukuk?**

a. Providing interest-based financing

b. Mobilizing funds for producing specific items

c. Funding governmental projects

d. Supporting charitable initiatives

Answer: b

11. **Who are the subscribers or certificate holders in Istisna‘a Sukuk?**

a. Manufacturers (sellers)

b. Islamic banks

c. Final users

d. Subcontractors

Answer: c

MC Learning House

12. **What is the role of investors in Istisna' Sukuk, as mentioned in the provided information?**

    a. Only financial support

    b. Purchasing and selling goods

    c. Purchasing Sukuk and receiving profits

    d. Only purchasing Sukuk

    Answer: c

13. **Can Istisna‘ be used for the construction of bridges and highways?**

    a. Yes, but only bridges

    b. Yes, but only highways

    c. No, only projects and houses

    d. Yes, for both bridges and highways

    Answer: d

14. **What is the purpose of a Parallel Istisna‘a contract in the context of Sukuk?**

    a. To facilitate deferred payments

    b. To issue certificates for financing

    c. To subcontract construction projects

    d. To avoid Istisna‘ agreements

    Answer: c

15. **In Istisna‘a Sukuk, who are the buyers of the item to be produced?**

    a. Islamic banks

    b. Manufacturers (sellers)

    c. Subcontractors

    d. Subscribers or certificate holders

MC Learning House

Answer: d

16. **After the completion of the project, how can profits be distributed among Sukuk holders?**

    a. Through interest payments

    b. Through dividends

    c. Through profit sharing

    d. Through capital gains

    Answer: c

17. **Can Istisna'a Sukuk generate returns in the form of rent?**

    a. Yes, during the project construction

    b. Yes, during the period of Sukuk holding

    c. No, only through cash payments

    d. No, only through project ownership

    Answer: b

18. **Who issues Istisna' Sukuk certificates?**

    a. Final users

    b. Subcontractors

    c. Manufacturers (sellers)

    d. Islamic banks

    Answer: c

19. **What type of agreement is Istisna' in the context of Sukuk?**

    a. Construction agreement

    b. Financing agreement

    c. Manufacturing goods agreement

MC Learning House

d. Rent agreement

Answer: c

20. **In Islamic banking, what is the purpose of subcontracting construction projects?**

a. To avoid construction projects

b. To facilitate deferred payments

c. To undertake projects and sell them

d. To issue Sukuk for financing purposes

Answer: c

Q&A:

1. **Question: What is Istisna‘ in the context of Money and Capital Market-15?**

   Answer: Istisna‘ is a contractual agreement for manufacturing goods, allowing cash payment in advance and future delivery of the goods as per the contract.

2. **Question: How can Istisna‘ be used for financing, according to the provided information?**

   Answer: Istisna‘ can be used for providing the facility of financing the manufacture or construction of houses, plants, projects, bridges, roads, and highways.

3. **Question: What does Istisna‘a Sukuk aim to mobilize funds for?**

   Answer: Istisna‘a Sukuk aims to mobilize funds required for producing a certain item, and the certificates are issued by the manufacturer (seller) with subscribers or certificate holders as buyers.

4. **Question: Explain the concept of Parallel Istisna‘a contracts in Islamic banking.**

   Answer: Islamic banks can undertake the construction of a project/asset, sell it for a deferred price, and subcontract the actual construction to specialized firms through Parallel Istisna‘a contracts.

5. **Question: How can investors benefit from Istisna’ Sukuk after the completion of the project?**

MC Learning House

Answer: After completion of the project and selling to the final users, profits can be distributed among the Sukuk holders, and returns can be generated in the form of rent during the period of Sukuk holding.

6. **Question: Who can purchase Istisna' Sukuk, as per the provided information?**

   Answer: Investors, whether individuals or Islamic Financial Institutions (IFIs), can purchase Istisna' Sukuk.

7. **Question: When can profits be distributed among Istisna' Sukuk holders?**

   Answer: Profits can be distributed among Istisna' Sukuk holders after the completion of the project and selling to the final users.

8. **Question: Besides profits, how else can returns be generated for Sukuk holders during the period of Sukuk holding?**

   Answer: Returns can be generated in the form of rent and shared with the Sukuk holders during the period of Sukuk holding.

9. **Question: What is the primary purpose of Istisna' Sukuk, according to the information provided?**

   Answer: The primary purpose of Istisna' Sukuk is to mobilize funds for producing specific items.

10. **Question: Who are the subscribers or certificate holders in Istisna'a Sukuk?**

    Answer: The subscribers or certificate holders in Istisna'a Sukuk are the buyers of the item to be produced.

11. **Question: How do investors participate in Istisna' Sukuk, according to the provided information?**

    Answer: Investors can purchase Istisna' Sukuk and, after the completion of the project, receive profits from the sale of the manufactured goods.

12. **Question: Can Istisna' be used for the construction of bridges and highways?**

    Answer: Yes, Istisna' can be used for the construction of projects, bridges, roads, and highways.

13. **Question: What role does the issuer play in Istisna'a Sukuk?**

    Answer: The issuer of Istisna'a Sukuk certificates is the manufacturer (seller) who mobilizes funds for producing a specific item.

MC Learning House

14. **Question: What is the purpose of a Parallel Istisna‘a contract in the context of Sukuk?**

    Answer: The purpose of a Parallel Istisna‘a contract is to undertake the construction of projects, sell them for a deferred price, and subcontract the actual construction.

15. **Question: Who issues Istisna‘ Sukuk certificates, and who are the buyers of the item to be produced?**

    Answer: The certificates are issued by the manufacturer (seller), and the buyers of the item to be produced are the subscribers or certificate holders.

16. **Question: How are profits distributed among Sukuk holders after the completion of the project?**

    Answer: Profits are distributed among Sukuk holders through profit-sharing after the completion of the project.

17. **Question: Can Istisna‘a Sukuk generate returns in the form of rent?**

    Answer: Yes, Istisna‘a Sukuk can generate returns in the form of rent during the period of Sukuk holding.

18. **Question: What type of agreement is Istisna‘ in the context of Sukuk?**

    Answer: Istisna‘ is a contractual agreement for manufacturing goods.

19. **Question: In Islamic banking, what is the purpose of subcontracting construction projects?**

    Answer: The purpose of subcontracting construction projects is to undertake the projects, sell them, and facilitate deferred payments through Sukuk.

20. **Question: Can Istisna‘ be used for financing the manufacture of houses only?**

    Answer: No, Istisna‘ can be used for financing the manufacture or construction of houses, plants, projects, bridges, roads, and highways.

MC Learning House

230 Money and Capital Markets-16

MCQs:

1. **What is the purpose of issuing a variety of Sukuk, as mentioned in Money and Capital Market-16?**

a. Profit maximization

b. Meeting different financial requirements

c. Government control

d. Corporate investments

Answer: b

2. **Which type of Sukuk is more likely to be used for purchases of goods by the public sector, according to the provided information?**

a. Murabaha Sukuk

b. Mixed Portfolio Sukuk

c. Ijarah Sukuk

d. Istisna‘ Sukuk

Answer: a

3. **In the context of Murabaha Sukuk, how may the government purchase items of huge price?**

a. Through credit sales with deferred payments

b. Through immediate cash payments

c. By issuing conventional bonds

d. By seeking donations

Answer: a

4. **What will each certificate of Murabaha Sukuk represent?**

a. Ownership of goods

b. Property right of the seller

c. Government's credit rating

d. Future financial liabilities

MC Learning House

Answer: b

5. **For what purpose may the Government Issue certificates in Murabaha Sukuk?**

   a. To represent property rights

   b. To amortize the cost of goods

   c. To facilitate deferred payments

   d. To speculate on market trends

   Answer: c

6. **In Mixed Portfolio Sukuk, what type of contracts may banks securitize to create a pool?**

   a. Only Murabaha and Ijarah contracts

   b. Only Musharakah and Istisna‘ contracts

   c. A mix of Musharakah, Ijarah, Murabaha, Istisna‘, Salam, and Ju‘alah contracts

   d. Only debt-based contracts

   Answer: c

7. **What does the return/risk on Mixed Portfolio Sukuk depend on?**

   a. The maturity date of certificates

   b. The chosen mix of contracts in the pool

   c. The market interest rates

   d. The government's fiscal policy

   Answer: b

8. **What is a necessary condition for mixed portfolio Sukuk, as mentioned in the provided information?**

   a. Most of the underlying assets should be physical, not debt

   b. All contracts in the pool must be debt-based

MC Learning House

c. The maturity date of certificates should be the same

d. Only government assets can be included

Answer: a

9. **Which organization issued the Solidarity Trust Sukuk for US$ 400 million in 2003, mentioned as a prominent example of mixed portfolio Sukuk?**

   a. World Bank

   b. International Monetary Fund (IMF)

   c. Islamic Development Bank (IDB)

   d. Bank for International Settlements (BIS)

   Answer: c

10. **In Mixed Portfolio Sukuk, what type of assets is a necessary condition for inclusion in the pool?**

    a. Debt-based assets

    b. Physical assets

    c. Intellectual property

    d. Financial derivatives

    Answer: b

11. **What is the primary feature of Murabaha Sukuk, as described in the provided information?**

    a. Deferred payments

    b. Profit maximization

    c. Credit sales for purchases

    d. Securitization of contracts

    Answer: c

MC Learning House

12. **How does the seller amortize the cost and return (profit margin) in Murabaha Sukuk?**

    a. Through immediate cash payments

    b. Over the period of instalments

    c. Through issuing conventional bonds

    d. By seeking donations

    Answer: b

13. **What represents a property right in Murabaha Sukuk?**

    a. Ownership of goods

    b. Seller's profit margin

    c. Buyer's credit rating

    d. Government's creditworthiness

    Answer: a

14. **When can a property right represented by Murabaha Sukuk certificates change hands?**

    a. Anytime during the instalment period

    b. Only after the maturity date

    c. If the buyer's credit rating improves

    d. Provided the amount of the claim does not change

    Answer: d

15. **What does each certificate with a maturity date in Mixed Portfolio Sukuk represent?**

    a. Property right of the seller

    b. Ownership of goods in the pool

    c. A claim on the government's assets

MC Learning House

d. Future financial liabilities of the issuer

Answer: a

16. **What determines the return/risk on securities in Mixed Portfolio Sukuk?**

a. The government's credit rating

b. The maturity date of certificates

c. The chosen mix of contracts in the pool

d. The market interest rates

Answer: c

17. **In Mixed Portfolio Sukuk, what should most of the underlying assets be?**

a. Debt-based

b. Physical

c. Intellectual property

d. Financial derivatives

Answer: b

18. **Which Sukuk type is more likely to be used for public sector purchases of goods?**

a. Mixed Portfolio Sukuk

b. Ijarah Sukuk

c. Murabaha Sukuk

d. Istisna‘ Sukuk

Answer: c

19. **What is the focus of banks when securitizing a pool of contracts in Mixed Portfolio Sukuk?**

a. Maximizing profit margins

b. Minimizing risk exposure

MC Learning House

c. Achieving a balanced mix of contracts

d. Issuing debt-based securities only

Answer: c

20. **What is a necessary condition for underlying assets in Mixed Portfolio Sukuk, as emphasized in the provided information?**

a. Government ownership

b. Intellectual property

c. Physical assets, not debt

d. Debt-based assets only

Answer: c

Q&A:

1. **Question: What is the primary purpose of issuing a variety of Sukuk, as discussed in Money and Capital Market-16?**

   Answer: The primary purpose is to meet different financial requirements by the government or corporations.

2. **Question: Which type of Sukuk is more likely to be used for purchases of goods by the public sector?**

   Answer: Murabaha Sukuk.

3. **Question: How might the government purchase items of huge price in Murabaha Sukuk?**

   Answer: The government may purchase items through credit sales by paying in instalments, and it will issue certificates according to the number of instalments.

4. **Question: What does each certificate of Murabaha Sukuk represent?**

   Answer: Each certificate represents a property right of the seller.

5. **Question: For what purpose may the government issue certificates in Murabaha Sukuk?**

MC Learning House

Answer: The government issues certificates to represent the property rights and to facilitate deferred payments.

6. **Question: What type of contracts may banks securitize to create a pool in Mixed Portfolio Sukuk?**

   Answer: Banks may securitize a pool of Musharakah, Ijarah, Murabaha, Istisna'a, Salam, and Ju'alah contracts.

7. **Question: What does the return/risk on Mixed Portfolio Sukuk depend on?**

   Answer: The return/risk depends on the chosen mix of contracts in the pool.

8. **Question: What is a necessary condition for mixed portfolio Sukuk, as mentioned in the provided information?**

   Answer: Most of the underlying assets should be physical, not debt.

9. **Question: Can you provide an example of mixed portfolio Sukuk mentioned in the text?**

   Answer: A prominent example is IDB's Solidarity Trust Sukuk for US$ 400 million issued in 2003.

10. **Question: What represents a property right in Murabaha Sukuk?**

    Answer: Each certificate with a maturity date represents a property right of the seller.

11. **Question: How does the seller amortize the cost and return (profit margin) in Murabaha Sukuk?**

    Answer: The seller amortizes the cost and return over the period of instalments.

12. **Question: When can a property right represented by Murabaha Sukuk certificates change hands?**

    Answer: The property right can change hands provided the amount of the claim does not change.

13. **Question: What does each certificate with a maturity date in Mixed Portfolio Sukuk represent?**

    Answer: Each certificate represents a property right of the seller.

14. **Question: What determines the return/risk on securities in Mixed Portfolio Sukuk?**

Mc Learning House

Answer: The return/risk depends on the chosen mix of contracts in the pool.

15. **Question: In Mixed Portfolio Sukuk, what should most of the underlying assets be?**

    Answer: Most of the underlying assets should be physical, not debt.

16. **Question: Which Sukuk type is more likely to be used for public sector purchases of goods?**

    Answer: Murabaha Sukuk.

17. **Question: What is the focus of banks when securitizing a pool of contracts in Mixed Portfolio Sukuk?**

    Answer: The focus is on achieving a balanced mix of contracts in the securitized pool.

18. **Question: What is a necessary condition for underlying assets in Mixed Portfolio Sukuk, as emphasized in the provided information?**

    Answer: Most of the underlying assets should be physical, not debt.

19. **Question: How does Murabaha Sukuk differ from other possible Sukuk in terms of its use?**

    Answer: Murabaha Sukuk is more likely to be used in respect of purchases of goods by the public sector.

20. **Question: Can you provide an example of a specific Mixed Portfolio Sukuk mentioned in the text?**

    Answer: A specific example is IDB's Solidarity Trust Sukuk for US$ 400 million issued in 2003.

MC Learning House

231 Money and Capital Markets-17

MCQs:

1. **What is a stock exchange, according to the information provided in Money and Capital Market-17?**

   a. A facility for manufacturing goods

   b. A marketplace for buying and selling securities

c. A government regulatory agency

d. An electronic trading platform

Answer: b

2. **Besides stocks, what other types of securities are traded on a stock exchange?**

   a. Real estate properties

   b. Agricultural commodities

   c. Bonds and other financial instruments

   d. Art and collectibles

   Answer: c

3. **What facilities may stock exchanges provide for securities and instruments?**

   a. Only buying facilities

   b. Only selling facilities

   c. Both buying and selling facilities

   d. Only redemption facilities

   Answer: c

4. **In modern stock exchanges, what trading method is commonly used instead of traditional floor trading?**

   a. Open outcry

   b. Electronic trading

   c. Auction-based trading

   d. Direct negotiation

   Answer: b

5. **What types of securities are traded on a stock exchange, as mentioned in the provided information?**

Mc Learning House

a. Only shares issued by listed companies

b. Only bonds and derivatives

c. Shares, bonds, derivatives, unit trusts, and pooled investment products

d. Only government securities

Answer: c

6. **Where are initial public offerings (IPOs) of stocks and bonds conducted?**

a. In the secondary market

b. In the primary market

c. In the tertiary market

d. In the quaternary market

Answer: b

7. **What is the primary role of the secondary market in stock exchanges?**

a. Conducting IPOs

b. Providing liquidity to shareholders

c. Issuing and redeeming securities

d. Facilitating electronic trading

Answer: b

8. **What economic function do stock exchanges serve, according to the provided information?**

a. Generating profits for listed companies

b. Providing liquidity to shareholders

c. Only facilitating IPOs

d. Regulating financial institutions

Answer: b

MC Learning House

9. **How are Rights Issues different from other types of shares?**

a. They are not traded on stock exchanges

b. They are offered to new shareholders only

c. They are offered on discount to existing shareholders

d. They are issued by government entities only *Answer: c*

10. **What is the main characteristic of Right Issues in the context of shares?**

a. They are offered at a premium to existing shareholders

b. They are offered without any discount

c. They are offered only to institutional investors

d. They are offered on discount to existing shareholders *Answer: d*

11. **How many major types of shares are mentioned in the provided information?**

a. Two

b. Three

c. Four

d. Five

Answer: c

12. **What is the purpose of Ordinary Shares?**

a. To provide voting rights to shareholders

b. To offer a fixed dividend to shareholders

c. To be issued during an IPO

d. To be offered at a discount to existing shareholders

Answer: a

13. **What is the primary characteristic of Preference Shares?**

MC Learning House

a. They have voting rights

b. They offer a fixed dividend

c. They are offered on discount to existing shareholders

d. They are issued during an IPO

Answer: b

14. **What are Bonus Shares?**

a. Shares issued to new investors during an IPO

b. Shares offered on discount to existing shareholders

c. Additional shares given to existing shareholders without any cost

d. Shares offered at a premium to existing shareholders

Answer: c

15. **What is the purpose of Rights Issues?**

a. To raise capital from new investors

b. To offer shares on discount to institutional investors

c. To offer shares on discount to existing shareholders

d. To issue shares during an IPO

Answer: c

16. **What is the significance of the term "END" in the provided information?**

a. It marks the end of the document

b. It indicates the end of stock trading

c. It represents a specific type of security

d. It marks the end of the financial year

Answer: a

MC Learning House

17. **What does the secondary market focus on in stock exchanges?**

a. Conducting IPOs

b. Issuing new securities

c. Providing liquidity to existing shareholders

d. Trading physical commodities

Answer: c

18. **What may stock exchanges provide for the issue and redemption of securities?**

a. Only issue facilities

b. Only redemption facilities

c. Both issue and redemption facilities

d. Only trading facilities

Answer: c

19. **In the context of stock exchanges, what are derivatives?**

a. Agricultural products

b. Financial instruments

c. Real estate properties

d. Bonds and shares

Answer: b

20. **What has largely replaced traditional floor trading in modern stock exchanges?**

a. Open outcry

b. Direct negotiation

c. Electronic trading

d. Auction-based trading

MC Learning House

Answer: c

Q&A:

1. **Question: What is a stock exchange, and what transactions occur on it?**

   Answer: A stock exchange is a facility where stock brokers and traders can buy and sell securities, such as shares of stocks and bonds, and other financial instruments.

2. **Question: Besides shares, what other types of securities are traded on a stock exchange?**

   Answer: Securities traded on a stock exchange include stock issued by listed companies, unit trusts, derivatives, and pooled investment products and bonds.

3. **Question: What facilities do stock exchanges provide for securities and instruments?**

   Answer: Stock exchanges provide facilities for both buying and selling securities, as well as for the issue and redemption of such securities and instruments.

4. **Question: What is the common trading method used in modern stock exchanges, replacing traditional floor trading?**

   Answer: Electronic trading is commonly used in modern stock exchanges.

5. **Question: Where are initial public offerings (IPOs) of stocks and bonds conducted?**

   Answer: Initial public offerings (IPOs) are conducted in the primary market.

6. **Question: What role does the secondary market play in stock exchanges?**

   Answer: The secondary market is where subsequent trading of stocks and bonds occurs after the initial public offerings (IPOs) in the primary market.

7. **Question: What economic function do stock exchanges serve, particularly in terms of liquidity?**

   Answer: Stock exchanges serve an economic function by providing liquidity to shareholders, offering an efficient means of disposing of shares.

8. **Question: How are Rights Issues different from other types of shares?**

   Answer: Rights Issues are shares offered on discount to existing shareholders in proportion to their current shareholding, distinguishing them from other types of shares.

MC Learning House

9. **Question: What is the primary characteristic of Rights Issues in the context of shares?**

   Answer: Rights Issues are offered on discount to existing shareholders in proportion to their current shareholding.

10. **Question: How many major types of shares are mentioned in the provided information?**

    Answer: There are four major types of shares.

11. **Question: What is the main purpose of Ordinary Shares?**

    Answer: Ordinary Shares provide voting rights to shareholders.

12. **Question: What is the primary characteristic of Preference Shares?**

    Answer: Preference Shares offer a fixed dividend to shareholders.

13. **Question: What are Bonus Shares?**

    Answer: Bonus Shares are additional shares given to existing shareholders without any cost.

14. **Question: What is the purpose of Rights Issues?**

    Answer: The purpose of Rights Issues is to offer shares on discount to existing shareholders in proportion to their current shareholding.

15. **Question: What is the economic significance of stock exchanges?**

    Answer: Stock exchanges serve an economic function by providing liquidity to shareholders and offering an efficient means of disposing of shares.

16. **Question: How does the secondary market contribute to liquidity for shareholders?**

    Answer: The secondary market provides a platform for subsequent trading of shares, contributing to liquidity for shareholders.

17. **Question: What is the focus of stock exchanges in terms of providing liquidity?**

    Answer: Stock exchanges focus on providing liquidity to shareholders by offering an efficient means of disposing of shares.

18. **Question: What may stock exchanges provide for the issue and redemption of securities?**

MLearning House

Answer: Stock exchanges may provide both issue and redemption facilities for securities.

19. **Question: In the context of stock exchanges, what are derivatives?**

    Answer: Derivatives are financial instruments traded on stock exchanges.

20. **Question: What has largely replaced traditional floor trading in modern stock exchanges?**

    Answer: Electronic trading has largely replaced traditional floor trading in modern stock exchanges.

232 Money and Capital Markets-18

MCQs:

1. **What is one of the primary roles of stock exchanges, as mentioned in Money and Capital Market-18?**

   a. Selling consumer goods

   b. Raising capital for businesses

   c. Facilitating housing projects

   d. Mobilizing savings for personal use

   Answer: b

2. **How does a stock exchange facilitate the raising of capital for businesses?**

   a. By providing loans to companies

   b. By selling shares to the investing public

   c. By offering grants to start-ups

   d. By investing in companies directly

   Answer: b

3. **What is the impact of people investing their savings in shares, according to the provided information?**

MC Learning House

a. It leads to irrational allocation of resources

b. It results in idle deposits with banks

c. It hinders companies' financial activities

d. It leads to rational allocation of resources

Answer: d

4. **Why do companies view the acquisition of financial resources as an opportunity?**

a. To reduce market share

b. To increase volatility

c. To decrease distribution channels

d. To expand product lines and grow their business

Answer: d

5. **How do stock investors share in the wealth of profitable businesses?**

a. Through government grants

b. Through direct investment in the stock exchange

c. Through dividends and stock price increases

d. Through selling goods and services

Answer: c

6. **What role do governments play in capital raising for development projects, according to the information provided?**

a. They invest in the stock exchange

b. They borrow money by selling bonds

c. They provide grants to businesses

d. They acquire shares in companies

Answer: b

Mc Learning House

7. **What type of securities do governments typically sell for raising capital for development projects?**

   a. Shares

   b. Derivatives

   c. Bonds

   d. Unit trusts

   Answer: c

8. **How the stock exchange is considered a barometer of the economy?**

   a. By directly influencing economic policies

   b. By determining interest rates

   c. By reflecting the economic performance of the country

   d. By regulating businesses

   Answer: c

9. **What does the movement of share prices and stock indexes indicate, according to the information provided?**

   a. Government intervention in the economy

   b. Trends in the housing market

   c. The general trend in the economy

   d. The stability of interest rates

   Answer: c

10. **What does the term "END" signify in the context of the provided information?**

    a. It indicates the conclusion of a specific section

    b. It marks the end of the financial year

    c. It suggests a pause in stock trading

MC Learning House

d. It signifies the termination of the stock exchange

Answer: a

11. **What one of the roles of a stock exchange is as mentioned in Money and Capital Market-18?**

    a. Providing healthcare services

    b. Raising capital for businesses

    c. Managing government projects

    d. Offering retail discounts

    Answer: b

12. **What does a stock exchange provide companies in terms of capital?**

    a. Facility to withdraw cash

    b. Opportunity to sell products

    c. Facility to raise capital for expansion

    d. Direct access to international markets

    Answer: c

13. **How does the mobilization of savings through stock investments contribute to resource allocation?**

    a. It leads to resource wastage

    b. It encourages excessive consumption

    c. It results in rational allocation of resources

    d. It restricts the availability of funds

    Answer: c

14. **What is one of the opportunities companies view financial resources as, according to the provided information?**

    a. Hindrance to business growth

MC Learning House

b. Obstacle to market share increase

c. Opportunity to expand product lines

d. Barrier to distribution channel enhancement

Answer: c

15. **How do stock investors, both casual and professional, share in the wealth of profitable businesses?**

a. Through fixed interest payments

b. Through dividends and stock price increases

c. Through tax incentives

d. Through government subsidies

Answer: b

16. **What is the role of stock exchanges in government capital-raising for development projects?**

a. Direct financing of projects

b. Providing subsidies to the government

c. Issuing retail bonds

d. Selling securities such as bonds

Answer: d

17. **What category of securities may governments sell to finance infrastructure projects?**

a. Shares

b. Derivatives

c. Bonds

d. Options

Answer: c

Mc Learning House

18. **What role does the movement of share prices play in relation to the general trend in the economy?**

    a. It has no correlation with economic performance

    b. It is unrelated to the economy

    c. It serves as a barometer of the economy

    d. It indicates inflation rates

    Answer: c

19. **What is the significance of share prices rising and falling at the stock exchange?**

    a. It influences the weather conditions

    b. It indicates the government's popularity

    c. It serves as an indicator of the general trend in the economy

    d. It determines the exchange rates

    Answer: c

20. **What does the term "END" signify in the provided information?**

    a. Conclusion of a stock exchange session

    b. End of the document

    c. Indication of a stock market crash

    d. Termination of economic activities

    Answer: b

Q&A:

1. **Question: What role does a stock exchange play in raising capital for businesses?**

   Answer: A stock exchange provides companies with the facility to raise capital for expansion by selling shares to the investing public.

MC Learning House

2. **Question: How does the mobilization of savings through stock investments contribute to resource allocation?**

   Answer: When people draw their savings and invest in shares, it leads to a rational allocation of resources as funds are mobilized and redirected to help companies finance their business activities.

3. **Question: What opportunities do companies view financial resources as when acquiring them through a stock exchange?**

   Answer: Companies view the acquisition of financial resources as an opportunity to expand product lines, increase distribution channels, hedge against volatility, increase market share, or acquire other necessary business assets.

4. **Question: How do both casual and professional stock investors share in the wealth of profitable businesses?**

   Answer: Both casual and professional stock investors share in the wealth of profitable businesses through dividends and stock price increases that may result in capital gains.

5. **Question: In the context of government financing, what category of securities may be sold to raise capital for development projects?**

   Answer: Governments may sell bonds as another category of securities to raise capital for infrastructure projects such as sewage and water treatment works or housing estates.

6. **Question: How does the movement of share prices at the stock exchange relate to the economy?**

   Answer: Share prices at the stock exchange rise and fall depending on the economic performance of the country, making it an indicator of the general trend in the economy.

7. **Question: What role do stock exchanges play as a barometer of the economy?**

   Answer: Stock exchanges, through the movement of share prices, serve as a barometer of the economy, reflecting the economic performance of the country.

8. **Question: What does the term "END" signify in the provided information?**

   Answer: The term "END" marks the conclusion of the document, indicating that the information about the role of stock exchanges concludes at that point.

9. **Question: How does the stock exchange contribute to facilitating company growth?**

MLearning House

Answer: Companies see the acquisition of financial resources through the stock exchange as an opportunity to expand product lines, increase distribution channels, hedge against volatility, increase market share, or acquire other necessary business assets.

10. **Question: What is the primary purpose of a stock exchange in relation to businesses?**

    Answer: The primary purpose is to provide companies with the facility to raise capital for expansion by selling shares to the investing public.

11. **Question: How do Rights Issues differ from other types of shares?**

    Answer: Rights Issues are shares offered on discount to existing shareholders in proportion to their current shareholding.

12. **Question: What is the role of stock exchanges in government capital-raising for development projects?**

    Answer: Stock exchanges facilitate government capital-raising for development projects by allowing the sale of securities such as bonds.

13. **Question: What does the movement of share prices at the stock exchange indicate about the economy?**

    Answer: The movement of share prices at the stock exchange can be an indicator of the general trend in the economy, reflecting economic performance.

14. **Question: What is the economic significance of stock exchanges facilitating profit-sharing for investors?**

    Answer: Stock exchanges, by facilitating profit-sharing through dividends and stock price increases, allow both casual and professional investors to share in the wealth of profitable businesses.

15. **Question: How do stock exchanges contribute to the rational allocation of resources?**

    Answer: Stock exchanges contribute to the rational allocation of resources by mobilizing savings and redirecting funds, which could have been consumed or kept in idle deposits, to help companies finance their business activities.

16. **Question: How do governments use stock exchanges for capital-raising in development projects?**

MLearning House

Answer: Governments may decide to borrow money for infrastructure projects by selling securities such as bonds through stock exchanges.

17. **Question: What types of securities may be traded on a stock exchange?**

    Answer: Securities traded on a stock exchange include stock issued by listed companies, unit trusts, derivatives, and pooled investment products, as well as bonds.

18. **Question: What is the focus of stock exchanges in terms of facilitating company growth?**

    Answer: Stock exchanges focus on providing companies with the opportunity to acquire financial resources for expanding product lines, increasing distribution channels, hedging against volatility, increasing market share, or acquiring other necessary business assets.

19. **Question: How does the stock exchange contribute to the rational allocation of resources by individuals?**

    Answer: The stock exchange contributes to the rational allocation of resources by encouraging individuals to draw their savings and invest in shares, redirecting funds to help companies finance their business activities.

20. **Question: How do stock exchanges serve as a barometer of the economy?**

    Answer: At the stock exchange, the movement of share prices rises and falls largely depending on the economic performance of the country, serving as an indicator of the general trend in the economy.

MC Learning House

THE END